

2021

AMENDEMENT A01
TO THE UNIVERSAL
REGISTRATION
DOCUMENT

AGIR

**EVERY DAY IN THE INTEREST OF
OUR CUSTOMERS AND SOCIETY**

Crédit Agricole Group Financial Statements



CRÉDIT AGRICOLE
S.A.

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UNIVERSAL REGISTRATION DOCUMENT

ANNUAL FINANCIAL REPORT

2021

WORKING EVERY DAY IN YOUR INTEREST
AND FOR SOCIETY



AUTORITÉ
DES MARCHÉS FINANCIERS
AMF

The English version of this Amendment A01 to the Universal registration document was filed on 4th April 2022 with the AMF, as competent authority under Regulation (EU) 2017/1129, without prior approval pursuant to Article 9 of the said regulation. The Universal registration document may be used for the purposes of an offer to the public of securities or admission of securities to trading on a regulated market if completed by a securities note and, if applicable, a summary and any amendments to the Universal registration document. The whole is approved by the AMF in accordance with Regulation (EU) 2017/1129.

This is a translation into English of the Amendment A01 to the Universal registration document/Annual Financial Report of the Company issued in French and it is available on the website of the Issuer.



WORKING

**EVERY DAY IN THE INTEREST OF
OUR CUSTOMERS AND SOCIETY**

2021 IMPLEMENTATION OF OUR RAISON D'ÊTRE

Day in, day out in 2021, we proved ourselves both willing and able to help the economy and work for the good of our customers and society, during the economic recovery and the emergence from the pandemic.

CRÉDIT AGRICOLE'S END PURPOSE

is to be a trusted partner to all its customers:

Its solid position and the diversity of its expertise enable CA to offer all its customers ongoing support on a daily basis and for their projects in life, in particular by helping them to guard against uncertainties and to plan for the long term.

CA is committed to seeking out and protecting its customers' interests in all it does. It advises them with transparency, loyalty and pedagogy.

It places human responsibility at the heart of its model: it is committed to helping all its customers benefit from the best technological practices, while guaranteeing them access to competent, available local teams that can ensure all aspects of the customer relationship.

Proud of its cooperative and mutualist identity and drawing on a governance representing its customers, Crédit Agricole:

Supports the economy, entrepreneurship and innovation in France and abroad. It is naturally committed to supporting its regions.

Takes intentional action in societal and environment fields by supporting progress and transformations.

Serves everyone: from the most modest to the wealthiest households, from local professionals to large international companies.

This is how Crédit Agricole demonstrates its usefulness and availability to its customers, and the commitment of its 147,000 employees to excellence in customer relations and operations.

CRÉDIT AGRICOLE GROUP

Crédit Agricole Group includes Crédit Agricole S.A., as well as all of the Regional Banks and Local Banks and their subsidiaries.

FLOAT

29.3%

INSTITUTIONAL INVESTORS

7.3%

INDIVIDUAL SHAREHOLDERS

5.1%

EMPLOYEE SHARE OWNERSHIP PLANS (ESOPS)

2.8%⁽¹⁾

TREASURY SHARES

HOLDING

44.5%

REGIONAL BANKS

11.2 million

MUTUAL SHAREHOLDERS who hold mutual shares in

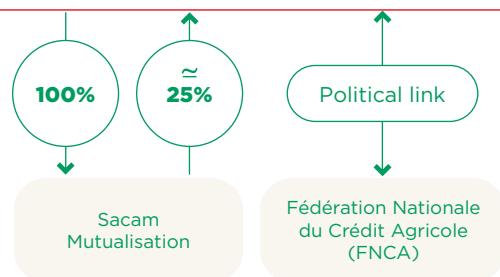
2,406

LOCAL BANKS

39

REGIONAL BANKS

jointly holding the majority of Crédit Agricole S.A.'s share capital through SAS Rue la Boétie⁽²⁾

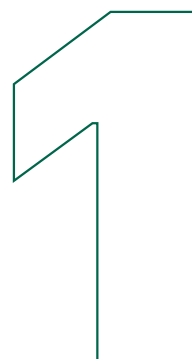


HOLDING

55.5%



(1) Treasury shares, including buybacks of shares in 2021 that will be cancelled in 2022. Once 87,673,241 shares are cancelled, the treasury shares will be non significant and SAS Rue de la Boétie's holding will account for about 57%.
(2) The Regional Bank of Corsica, 99.9% owned by Crédit Agricole S.A., is a shareholder of Sacam Mutualisation.

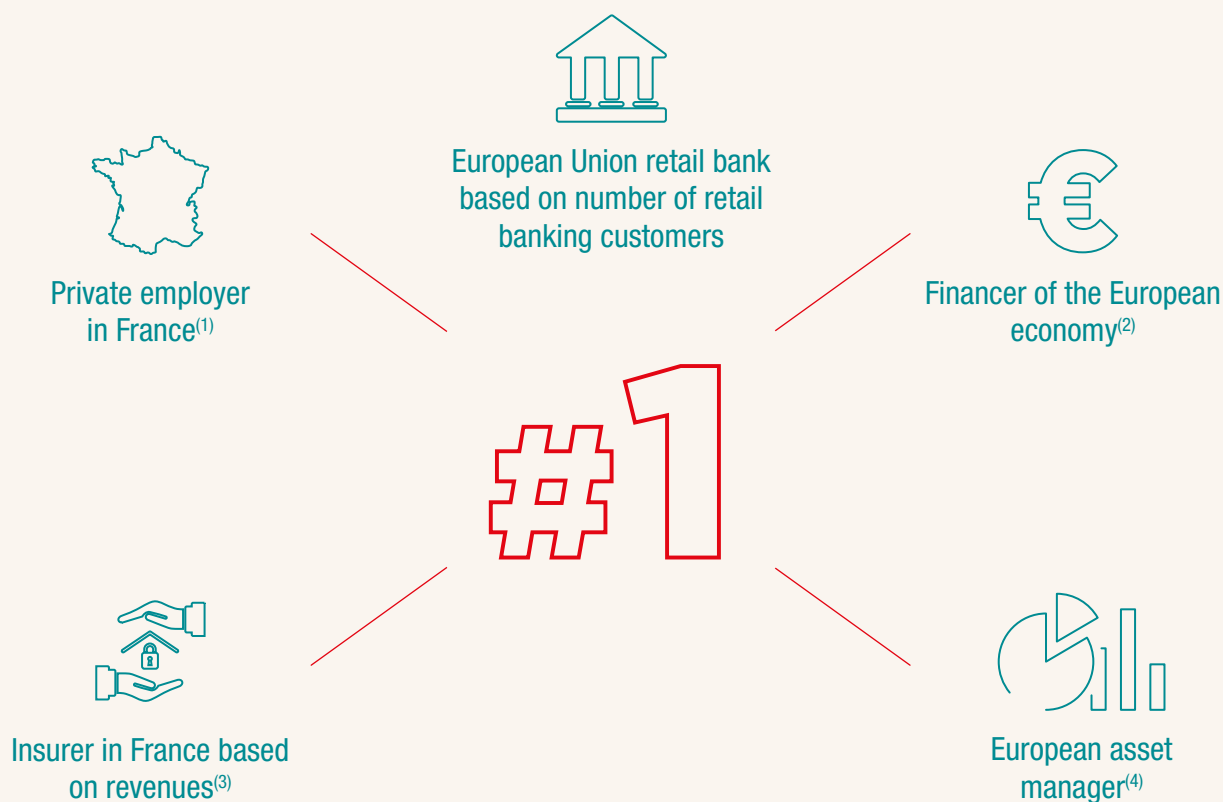


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Rankings and key figures



53 million
CUSTOMERS

10th
by balance
sheet size⁽⁵⁾

47 Countries



9,500
branches
including 7,400 in France
(Regional Banks and LCL)

(1) Source: Challenge 2021, Crédit Agricole Group scope.

(2) Internal source: ECO 31 December 2021.

(3) Source: L'Argus de l'Assurance 2021.

(4) Source: IPE "Top 500 Asset Managers" June 2021.

(5) Source: The Banker 2021.

BUSINESS AT 31 DECEMBER 2021

TOTAL ASSETS
€2,323.6bn

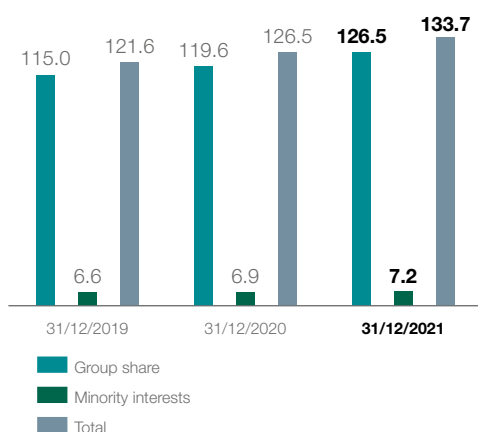
GROSS LOANS⁽¹⁾
€1,167.7bn

CUSTOMER deposits⁽²⁾
€1,226.3bn

FINANCIAL STRUCTURE

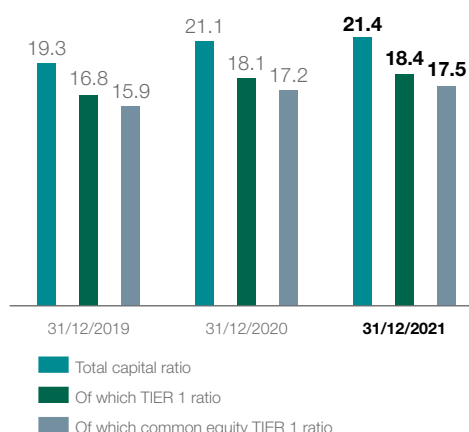
Total equity

(in billions of euros)



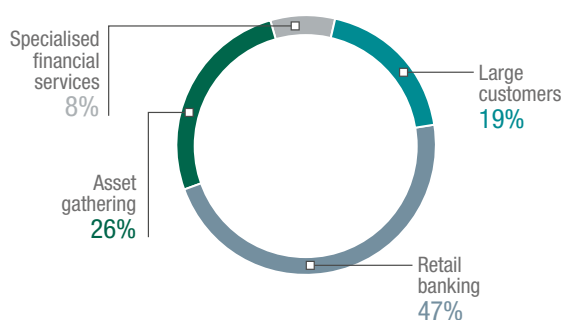
Phased-in solvency ratios

(percentage)

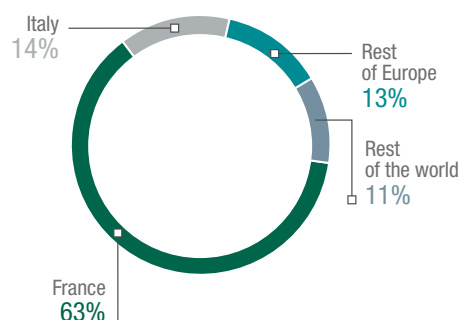


RESULTS IN 2021

By business line⁽³⁾



By geographic area



TRENDS IN EARNINGS

Condensed income statement

(in millions of euros)	2019	2020	2021
Revenues	33,297	33,596	36,822
Gross Operating Income	11,485	11,768	13,741
Net income	7,704	5,193	9,953
Net income Group share	7,198	4,689	9,101

Net income Group share 2021


€9,101m⁽⁴⁾

(1) Gross value of loans and receivables due from credit institutions and due from customers.

(2) Due to customers, due to credit institutions (excluding Crédit Agricole internal transactions), debt securities (excluding bonds).

(3) Excluding the Corporate Centre Division.

(4) 2021 Underlying net income group share : €8,512m.

OUR UNIVERSAL CUSTOMER-FOCUSED BANKING MODEL – A GLOBAL RELATIONSHIP BANK FOR ALL

Crédit Agricole Group's universal customer-focused banking model is based on the close association of its retail banks with its specialised business lines. The Regional Banks are at the heart of this model, based on recognised know-how in the distribution of all the financial products and services developed by the Group to all types of customers in France and internationally.

This model underscores Crédit Agricole Group's commitment to be the trusted partner of all of its customers and to cover the full breadth of their financial and wealth management needs, namely: payment instruments, insurance, savings management, financing, real estate and international support.

All of these services and skills are offered in a close relationship based on the Group's retail banks in France (Regional Banks, LCL, BforBank) and internationally (Crédit Agricole Italia, CA Bank Polska, CA Egypt, CA Ukraine, Crédit du Maroc, etc.). The contacts maintained by employees and elected representatives of Local and Regional Banks in the field ensure good knowledge of customers and their problems throughout their lives. This understanding of the expectations and needs of customers, together with

the size of the Group's networks, enable Crédit Agricole S.A.'s specialised business lines to constantly improve their offerings and their competitiveness.

With its specialised subsidiaries (insurance, asset management, wealth management, corporate and investment banking, financial services for institutional investors and issuers, consumer finance, leasing and factoring, payment instruments, real estate), the Group is able to offer comprehensive and customised solutions to all its customers, in good times and bad times, within the framework of an enduring relationship.

This universal useful and customer-focused model demonstrated its strength, resilience and usefulness to all stakeholders, including during the unprecedented events of the last two years. The Group was thus able to support all of its customers through the difficult times but also seize the opportunities of recovery. This experience has only reinforced the relevance and implementation of the three pillars – customers, personal relationships and society – that have explicitly framed its actions since 2019.

CRÉDIT AGRICOLE S.A. – RATINGS AT 15 MARCH 2022

Ratings	LT/ST counterparty	Issuer/LT senior preferred debt	Outlook/ Review	ST senior preferred debt	Date of last review	Rating action
S&P Global Ratings	AA-/A-1+ (RCR)	A+	Stable outlook	A-1	02/02/2022	• LT/ST ratings affirmed; outlook unchanged
Moody's	Aa2/P-1 (CRR)	Aa3	Stable outlook	P-1	15/12/2021	• LT/ST ratings affirmed; outlook unchanged
Fitch Ratings	AA- (DCR)	A+/AA-	Stable outlook	F1+	27/10/2021	• LT/ST ratings affirmed; outlook revised from negative to stable
DBRS	AA (high)/R-1 (high) (COR)	AA (low)	Stable outlook	R-1 (middle)	13/09/2021	• LT/ST ratings affirmed; outlook unchanged

ACTIVITIES AND ORGANISATION OF THE REGIONAL BANKS

The Crédit Agricole Regional Banks are co-operative entities and fully-fledged banks that have a leading position in all their retail banking markets in France. With 21 million individual customers, the Regional Banks account for 23.4% of the household bank deposit market and 23.9% of the household credit market (source: Banque de France, September 2021). They are leaders in the agricultural market (84% share; source: Adéquation 2020) and professionals market (35%; source: Pépites CSA 2019-2020), and in second place on the corporate market (38%; source: Kantar 2021).

The marketing of products and services covering the financial and wealth management needs of their customers is based on a network of nearly 6,000 branches, about 5,500 in-store servicing points installed at small retailers and a full range of remote banking services.

OUR BUSINESS MODEL SERVING SUSTAINABLE VALUE CREATION

OUR RESOURCES

OUR DNA

Mutualist and cooperative Group serving all.

OUR TALENTS

147,000

Crédit Agricole Group employees.

OUR GOVERNANCE

Solid majority shareholder ensuring long-term commitment.

OUR MULTIPLE PARTNERS

An organic **growth model** reinforced by external expertise and distribution partnerships in France and abroad.

REGIONAL COVERAGE

In France:

- **39** Regional Banks, LCL and BforBank
- **7,400** retail banking branches

Abroad:

- **47** countries
- **54%** of Crédit Agricole S.A. employees

OUR TECHNOLOGICAL CAPITAL

Single **centre of IT expertise** serving all of the Group's business lines.

Crédit Agricole S.A. **energy consumption: 419,466 MWh**

OUR CAPITAL

Equity Group share:

- Group: **€126.5bn**
- Crédit Agricole S.A.: **€68.2bn**

OUR ACTIVITIES



Supporting and advising our customers during their key life moments



Providing financing, savings and insurance solutions



Proposing complementary services

Payment instruments, real estate, transport, healthcare



Elaborating investment solutions

“Working every day in the interest of our customers and society” is our *Raison d’Être*

OUR VALUE CREATION

Our foundation Regional Banks

SOLID COMMITMENTS

- **Utility** at the service of everyone
- **Sound** and diverse range of expertise
- **Protecting** our customers' interests and assets
- **Human responsibility** at the heart of our model
- **Supporting** the economy and social cohesion
- **Supporting** the transition to other sources of energy

OUR 3 STRATEGIC PILLARS



Excellence in customer relations



Empowered teams



Commitment to society

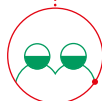


CUSTOMERS

Number 1 provider of financing to the French economy (€746bn loans outstanding in retail banking)

Number 1 asset manager⁽¹⁾ in Europe (€2,064bn assets under management)

Number 1 insurer in France



EMPLOYEES

80% participation rate in the ERI

11,101 internal transfers around the world

Number 1 private employer in France

Number 2 private provider of work-study contracts in France

31% of CASA's Executive Committee are women



SHAREHOLDERS AND INVESTORS

Crédit Agricole Group revenues: **€36.7bn⁽²⁾**

Crédit Agricole S.A. market capitalisation: **€39.1bn**

Crédit Agricole S.A. net income: **€5.4bn⁽³⁾**

Crédit Agricole Group net income Group share: **€9.1bn**, of which **€1.9bn** distributed to shareholders⁽⁴⁾ and mutual shareholders and AT1 coupons; **€7.1bn** retained



PUBLIC AUTHORITIES AND PARTNERS

Group procurement: **€6.1bn⁽⁵⁾**

Group taxes and social security expenses: **€7bn**



CIVIL SOCIETY AND THE ENVIRONMENT

CACIB arrangements for green, social and sustainable bonds: **\$46bn** (top 5 worldwide)

CACIB green loans: **€13.2bn**

Amundi environment solutions: **€35bn**

Capital invested in renewable energy by Crédit Agricole Assurances⁽⁶⁾: **€2.5bn**

4,200 overindebted customers helped by Crédit Agricole Consumer Finance

10,000 families helped by Point Passerelle

2021 data.

(1) Including Lyxor. (2) Underlying revenues. (3) Underlying net income Group share.

(4) Subject to the approval of the General Meeting of 24 May 2022. (5) External expenses.

(6) CAA, with a capacity of 8.5 GW.

THE BUSINESS LINES OF CRÉDIT AGRICOLE GROUP AT 31 DECEMBER 2021



RETAIL BANKING

REGIONAL BANKS

MISSION : with locations throughout the French territory, the 39 Regional Banks are co-operative entities and fully-fledged banks that provide support for the plans of their customers: individuals, high-net-worth customers, farmers, SMEs and small businesses, corporates and those working in the public sector and the social economy.

NOTRE OFFRE : an advisory approach based on a full range of products and services, available in-branch or remotely, that are designed to meet customer needs in terms of banking (payments, savings, financing, equity financing and international), insurance (life insurance, property and personal risk) and property (including advisory and valuation of property assets, property management and lease management).

CHIFFRES CLÉS :

21.5 million customers (including 21 million individual customers)	11.2 million mutual shareholders	23.9% Market share of household credit ⁽⁶⁾
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LCL

MISSION: LCL is the only domestic network bank in France to focus exclusively on retail banking and insurance. It covers all markets: individual customers, SMEs and small businesses, and private and corporate banking.

OUR OFFERING: a complete range of banking products and services covering finance, insurance, savings and wealth management, payments and flow management. With branches nationwide and an online banking service, the aim is to develop a close customer relationship (mobile app and website).

KEY FIGURES:

Loans outstanding €151 bn (including €92 bn in home loans)	Total customer assets €233 bn	≈ 6.1 million individual customers
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INTERNATIONAL RETAIL BANKING

MISSION: Crédit Agricole's international retail banks are primarily located in Europe (Italy, Poland, Serbia⁽⁶⁾ and Ukraine), and in selected countries of the Mediterranean basin (Morocco and Egypt), where they serve all types of customers (individuals, small businesses, corporates – from SMEs to multinationals), in collaboration with the Group's specialised business lines and activities.

OUR OFFERING: the international retail banks offer a range of banking and specialised financial services as well as savings and insurance products, in synergy with the Group's other business lines (CACIB, CAA, Amundi, CAL&F, etc.).

KEY FIGURES:

Loans outstanding €72.2 bn	On-balance sheet deposits €78.2 bn	5.9 million customers
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ASSET GATHERING

INSURANCE

MISSION: as France's leading insurer⁽¹⁾, Crédit Agricole Assurances is highly focused on the needs of its customers, whether they are individuals, SMEs and small businesses, corporates or farmers.

TARGET: to be useful and effective, from designing solutions and services to handling claims.

OUR OFFERING: a full and competitive range, tailored to customers' needs in terms of savings/retirement, death & disability/creditor/group and property & casualty insurance, and backed by the efficiency of the largest banking network in Europe and international partnerships outside the Group.

KEY FIGURES:

Revenues €36.5 bn	Savings/retirement outstandings €323 bn	Number of property and casualty insurance contracts 15.2 million
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ASSET MANAGEMENT

MISSION: Amundi is the leading European asset manager in terms of assets under management and ranks in the top 10 worldwide⁽²⁾. The Group manages €2,064 billion⁽³⁾ and has six main management platforms (Boston, Dublin, London, Milan, Paris and Tokyo).

OUR OFFERING: Amundi offers its customers in Europe, Asia Pacific, the Middle East and the Americas a full range of savings and investment solutions in active and passive management, in traditional or real assets. It constantly strives to have a positive impact on society and the environment. Amundi's customers can also access a full range of high added value technological solutions and services.

KEY FIGURES:

Assets under management €2,064 bn ⁽³⁾	No. 1 European asset management company ⁽²⁾	Present in more than 35 countries
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WEALTH MANAGEMENT

MISSION: Indosuez Wealth Management comprises Crédit Agricole Group's wealth management activities⁽⁴⁾ in Europe, the Middle East and Asia-Pacific. Renowned for the breadth of its offering and its international reach on a human scale, it operates in 10 territories around the world.

OUR OFFERING: Indosuez Wealth Management offers a tailored approach, allowing each of its customers to preserve and grow their wealth in a manner which best fits their aspirations. Embracing a global vision, its multidisciplinary teams draw on excellence, experience and expertise to provide customers with appropriate, sustainable solutions.

KEY FIGURES:

Assets under management ⁽⁴⁾ €135 bn	2,955 employees	Present in 10 territories
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(1) Source: L'Argus de l'Assurance, 17 December 2021 (data at end-2020).

(2) Source: IPE "Top 500 Asset Managers" published in June 2021 and based on assets under management at 31 December 2020.

(3) Amundi data including Lyxor as at 31 December 2021.

(4) Excluding LCL Private Banking, Regional Banks and private banking activities within International Retail Banking.

(5) As of third quarter 2021, reported under IFRS 5.



SPECIALISED FINANCIAL SERVICES

CONSUMER FINANCE

MISSION: a major player in consumer finance in Europe, Crédit Agricole Consumer Finance offers its customers and partners a range of flexible, responsible solutions, tailored to their needs. Digital is a strategic priority, particularly through investments, in order to build with the clients a credit experience which meets their expectations and new consumption trends.

OUR OFFERING: a complete multi-channel range of financing, insurance solutions and services available online, in branches of CA Consumer Finance subsidiaries and at its banking, institutional, distribution and automotive partners.

KEY FIGURES:

Assets under management €93bn	Including €22.4bn on behalf of the Crédit Agricole Group	Present in 19 countries
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LEASING, FACTORING AND FINANCE FOR ENERGIES AND REGIONS

MISSION: Crédit Agricole Leasing & Factoring (CAL&F) provides solutions for corporates of all sizes for their investment plans and the management of their trade receivables, through its offering of lease financing and factoring services in France and Europe. CAL&F is also one of France's leading providers of finance for energies and regions.

OUR OFFERING: in lease financing, CAL&F offers financing solutions to meet property and equipment investment and renewal requirements. In factoring, CAL&F provides trade receivable financing and management solutions for corporates, both for their day-to-day operations and for their expansion plans. Lastly, CAL&F, via its subsidiary Unifergie, helps corporates, local authorities and farmers to finance renewable energy and public infrastructure projects.

KEY FIGURES:

1 out of 3 mid-caps funded by CAL&F in France	€25.5Bn of managed outstandings	No. 2 in the financing of renewable energy ⁽¹⁾
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LARGE CUSTOMERS

CORPORATE AND INVESTMENT BANKING

MISSION: Crédit Agricole Corporate and Investment Bank is the corporate and investment bank of the Crédit Agricole Group, focused on financing activities and corporate clients and based on a powerful network in the major countries of Europe, the Americas, Asia-Pacific and the Middle East.

OUR OFFERING: products and services in investment banking, structured finance, international trade finance and commercial banking, capital market activities and syndication, and known worldwide "green" finance expertise.

KEY FIGURES:

\$46Bn Green, social, sustainable bonds bookrunner (top 5 worldwide ; source : Bloomberg)	3 rd largest bookrunner in syndicated loans for the EMEA region (source: Refinitiv)	More than 30 covered markets
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ASSET SERVICING

MISSION: CACEIS, a specialist asset servicing group, provides support to asset management companies, insurance companies, pension funds, private equity, real estate, infrastructure and private debt funds, banks, brokers and corporate clients from order execution to asset custody.

OUR OFFERING: With a network of offices across Europe, North America, South America (following an activity merger with Santander Securities Services) and Asia, CACEIS offers solutions to cover all asset classes' product lifecycles: execution, clearing, forex, securities lending, custody, depositary banking, fund administration, middle-office outsourcing solutions, fund distribution support and issuer services.

KEY FIGURES:

Assets under custody €4,581 bn	Assets under administration €2,405 bn	Assets under depository €1,798 bn
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SPECIALISED BUSINESSES AND SUBSIDIARIES

Crédit Agricole Immobilier

- €1 billion in annual fees
- 3 million sq. m under management at end-2021
- 2,157 homes sold

Crédit Agricole Capital Investissement & Finance (IDIA CI, SODICA CF)

- IDIA Capital Investissement: €1.9 billion in assets under management – Approximately 100 corporates supported by the Group's equity capital
- SODICA CF: 40 M&A transactions (SME/mid-caps) in collaboration with the Group's networks in 2021

Crédit Agricole Payment Services

- France's leading payment solutions provider with a 30% market share
- 12 billion payment transactions processed in 2021
- 22.7 million bank cards

Crédit Agricole Group Infrastructure Platform

- 1,700 employees at 17 sites in France
- 200,000 workstations/platform positions enabling the connection of 120,000 teleworkers in the Group
- Power usage effectiveness (PUE) indicator of the Chartres datacentre: 1.351 (down from 2019; the Uptime Institute benchmark is a PUE of 1.67)

Uni-médias

- 14 publications, most of them market-leading, with nearly 2 million subscribers
- 32 million cumulative users
- 8 million readers
- 22 million visits per month
- 31 million page views per month

(1) CAL&F is No. 2 on the Sofergie market (source: CAL&F at end-2020).

RETAIL BANKING – REGIONAL BANKS

business and organisation

The Crédit Agricole Regional Banks (Caisses régionales de Crédit Agricole—CRCA) are co-operative entities and fully-fledged banks that have a leading position in all retail banking markets in France serving individual customers over the age of 18 (source: Sofia Kantar TNS 2021) and individual customers under the age of 18 (source: Baromètre Jeunes 2021 CSA). The Regional Banks are leaders in the markets serving farmers (84% share; source: Adéquation 2020), SMEs and small businesses (35%; source: Pépites CSA 2019-2020) and rank second in the corporates market (38%; source: Kantar 2021).

Through the Group business lines, they market a range of products and services designed to meet their customers' financial and wealth management needs, namely: payment instruments, insurance, savings, financing, equity financing, real estate and international support. They have a network of nearly 6,000 branches, reinforced by around 5,500 in-store servicing points at small retailers and provide their customers with a full range of remote banking services.

With 21 million individual customers, the Regional Banks account for 23.4% of the household bank deposit market and 23.9% of the household credit market (source: Banque de France, June 2021).

As the business bank of 84% of farmers (source: Adéquation 2020), the Regional Banks rely on a network of more than 2,000 dedicated advisers and remain by far the leading provider of personal banking products and services to farmers.

The Regional Banks are also a leader in the SMEs and small businesses market, providing support to customers for both their personal and business banking needs, with a market share of 35% in this segment (in global banking, source: Pépites CSA 2019-2020). Crédit Agricole's 4,500 professional advisers and experts work every day to support our customers who are corporate customers and help them reach new milestones.

In the corporates market, the Regional Banks rank second with a 38% market penetration rate (source: Kantar 2021). Thanks to more than 2,000 business account managers, the Regional Banks are specifically organised to advise and support all the corporates in their region (start-ups, SMEs and mid-caps) and to provide support to local authorities and, more broadly, to players in the local public sector and the social economy.

Points forts de l'année 2021

- › The year 2021 confirmed and strengthened the full meaning and power of our Customer Project, one of the three key pillars of our strategic plan. More than ever, we are delivering on our *Raison d'Être*, "Working every day in the interest of our customers and society". Thus, Regional Banks commercial activity was strong in the whole year, with a strong gross customer acquisition (1,218,000 new customers in 2021), while the customer base continued to grow (226,000 more customers compared to 2020). Within its Societal Project, Crédit Agricole announced a programme plan centred around three priorities (taking action for the climate and the transition to a low-carbon economy, the strengthening of cohesion and social inclusion, and successful agricultural and food industry transitions) including 10 collective commitments that are central to our businesses.

Customer Project

The Customer Project, the maximum amount of digital technology augmented and secured by human effort available and accessible locally, will enable us to become the preferred bank for individuals, entrepreneurs and corporates.

To achieve this and be first in the NPS (Net Promoter Score) rankings, Crédit Agricole mobilises around four main targets:

1. Collectively managing relational excellence;
2. Becoming a leading digital bank;
3. Offering our customers a wide range of banking and non-banking services;
4. Empowering our brand.

Collectively managing relational excellence

Human banking: offering our customers access to an adviser to guarantee a responsible, locally based relationship.

The Group has chosen to make customer satisfaction and the culture of excellence the guiding thread of its actions to establish or maintain a solid relationship with its customers through local presence, responsibility, support at every stage, and trust.

- In 2021, Crédit Agricole reached a new milestone in **customer experience** and obtained a positive **NPS** in all markets, which consolidated its position among the top three brands. The tenth national-level NPS survey was carried out across all markets in 2021 and, for the first time, in the not-for-profit market. Regional NPS surveys have also been completed: 39 Regional Banks have a Retail Banking

NPS mechanism, 33 Regional Banks have a Wealth Management NPS (+6 Regional Banks compared to 2020), 33 Regional Banks have a Small Business NPS (+3 Regional Banks compared to 2020), 27 Regional Banks have a Farmers NPS (+4 Regional Banks compared to 2019), and 34 Regional Banks have a Corporates NPS (+6 Regional Banks compared to 2020). At the national level, the Regional Banks are currently ranking third in the retail banking market in France.

- The aim of the "**Relationship Model**" project is to improve the customer experience whatever the point of contact, both within the branches and through digital tools, and to make Crédit Agricole's promises clearer. In line with its digital transformation, Crédit Agricole deploys practices and postures that show its close attentiveness to customers and employees. Work is also under way on multi-channel consulting for excellence and priorities for excellence, such as availability and support, proactiveness and recognition of loyalty.
- To support Group entities in the enhancement of the "culture of relational excellence by CA", the **Académie de l'Excellence Relationnelle** now has 81 Customer Champions to promote the collective management of relationship excellence at all the Group's banks in France and abroad and all subsidiaries, business lines and divisions.
- **Customer Irritants Group Battle Plan:** as part of its aim to achieve Relational Excellence, the Crédit Agricole Group has obtained the commitment of all of its entities in an effort to identify and resolve their customers' irritants. More than 50 significant irritants have been resolved in the past 18 months and more than 500 pieces of regulatory correspondence have been improved and made easier to read and more informative. All the entities have structured or supplemented the

continuously improving mechanisms they have in place to address customers' irritants.

Becoming a leading digital bank

Omni-channel banking allows our customers to access our solutions digitally or through any channel of their choice throughout the entire relationship. For the Group, this means raising its tools and applications to the highest standards in all markets, being present where customers and prospects are (social networks, e-commerce sites and search engines) and capitalising on data to better serve our customers.

-  Crédit Agricole was able to adapt quickly and strongly with the digitalisation of the State Guaranteed Loans (PGEs). The Group is continuing this initiative by supporting the **transformation of the PGEs** by providing medium-term transformation simulators that facilitate the customer's choice.
-  The wider use of **electronic signatures** in all amortised loans and unsecured cash loans, with or without creditor insurance (Assurance des Emprunteurs—ADE), is now operational.
-  The **digitalisation of processes** continues. The challenge is to gain agility. For example, Pacifica has embarked on a plan to overhaul its digital processes (pre-sale/sale, management, claims) through **mobile first**, in line with the highest market standards. After the roll-out of self-care solutions in Health at the end of 2020, multi-risk home (Multi-Risques Habitation—MRH), Car and termination request self-care processes benefited from the same advantages in 2021.
-  The **new mobile payment app** by CA replaced the Ma Carte app (1 million downloads) from the Apple and Google stores. Centred around the three Paylib services (in-store, online and person-to-person payment), the app offers new sign-up and use processes to the highest standards in the market.
-  Provision in early 2021 by AMUNDI ESR and CA Titres of a Customer Portal for employee and retirement savings (*Epargne Salariale et Retraite*—ESR): a corporate membership portal **PAE (Portail Adhésion Entreprises)**. This new digital offering can be used by small and medium-sized companies to enrol online in a system including incentive and/or profit-sharing, in addition to voluntary contributions by employees, with Middle Office support by CA Titres.
-  CAPS (Crédit Agricole Payment Services) offers **AgoraPay**, a platform designed to meet the needs and regulatory obligations specific to BtoC marketplaces. Supported by a website and based on a business introducer-type business model with the Group's banks, the offering is available online at <https://www.agorapay.com/en/>
-  CAL&F offers a new **digital customer experience** in the "life of the contract" area which gives pride of place to self-care in a redesigned ergonomics (extranet client leasing).

Offering our customers a wide range of banking and non-banking services

Universal banking provides answers to all of our customers' day-to-day concerns, whether wealth-related or entrepreneurial in nature. Our offering and service strategy focuses on two dimensions: (i) adapting our offers to new uses and societal concerns and (ii) providing solutions that meet the interests of our customers and of society, particularly those centred around three themes: climate, cohesion and social inclusion, and the agricultural and food processing transitions.

Offerings:

Launch of our **new range of day-to-day banking offerings** co-designed with our customers. The new range includes five offerings that help customers find the best offer that suits their day-to-day needs. Depending on their selection, our customers can thus benefit from products and services such as a bank card, insurance for their purchases or travel insurance, an international travel transactions package, etc. And, of course, always with access to a branch and an advisor.

-  Offered since February 2021, **Blank** is a solution for the self-employed looking for a digital account, insurance in the event of hardship and services to simplify the management of their activities (business creation, estimate and invoice maker, management of expense reports, Urssaf (social security) declaration forms, etc.). All in an all-inclusive package.

-  Our **real estate segment** is built through the profound transformation of our businesses. The goal is to bring real estate into the bank by innovating on distributive models, putting forward unique offerings (By CA) for global support, providing fluid and omni-channel customer processes.

-  One of the priorities of the Group's societal project is to strengthen **cohesion and social inclusion**. This translates into the following commitments: to offer a range of products and services that do not exclude any customer in order to foster social and digital inclusion and to adapt to economic and societal changes; to help revitalise the most vulnerable regions and reduce social inequalities; to promote the integration of young people through employment and training; to amplify gender equality and diversity in all CA entities as well as within its governance.

-  **New Car Insurance Offering:** New customer expectations (including CSR), new uses (car lease with option to buy (*Location avec Option d'Achat*—LOA)/long-term rental (*Location de Longue Durée*—LLD)) and new risks (hybrid, electric vehicles) have led to an overhaul of the car offering, co-designed with Pacifica's Partner Banks. The new offering aims to strengthen its social utility, better target new uses, reward loyal, multi-equipped, eco-responsible or low-risk customers, while ensuring bodily injury protection for the driver to the highest standards.

-  Progressive marketing of **Agil'Auto**: Agil'Auto offers a complete range of rental products intended for a wide target group (primarily individuals, small businesses and corporates). The new website is operational and allows Agil'Auto, the Group's digital dealership, to position itself as an agile and innovative challenger in this very competitive market.

-  **New remote monitoring offering Ma Protection Maison:** the new offering Ma Protection Maison is based on a new distribution model with marketing directly in-branch and via telephone platforms from the New Sesame subscription tool.

Launch of Property & Casualty on the Corporates market: an offering intended for corporates and providing a Customer risk mapping tool, access to all new subscriber documentation and the management of Multi-risk Business, Fleet, Missions and roll out of partner offers.

-  **Launch of Car LOA with services:** this offering, created in partnership with Opteven, provides mechanical breakdown warranty and vehicle maintenance services, reinforcing CAL&F's Car LOA offering, which promotes electric vehicles within its "GREEN SOLUTIONS" range. The offering can be accessed by professional advisers and account managers on their workstation via a new version of Leasenet. CAL&F offers Green Solutions to support small businesses and SMEs, Farmers and Corporates, local authorities and social housing.

- **Death & disability:** the Regional Banks have strong ambitions in the field of individual cover. To support their development, CAA has completely overhauled its offering, its processes and its sales and medical eligibility requirements approach. The new guided advice approach is based on a new simulator to personalise each customer's proposal. The new offering, wider and more attractive, will better address the needs of each market (including the wealth and small business/farmers markets).
- A new concept for the *Regards Partagés* magazine in which greater value is placed on the wealth management expertise.

Financing:

State guaranteed student loan: in order to support the education of all young people, in 2021, the Regional Banks offered the State guarantee for young people who do not benefit from parental guarantee and wish to take out a student loan to finance their higher education.



Health segment:

Launch of a **financing package of €250 million** in partnership with the European Investment Bank intended to encourage healthcare professionals to establish their practice in severely underserved areas or the creation of health centres.

- Publication of a **customer guide on "How to register with a healthcare unit in your region"** and presentation of a webinar in partnership with Le Quotidien du Médecin about "the health centre, a regional professional healthcare community".



Small business express loan (Prêt Express Pro): The inclusion of equipment lease financing in the Prêt Express Pro in February 2022 streamlines the adviser's process and facilitates the signing of equipment lease financing contracts by making it as simple as a conventional loan (pre-allocated amount, lease agreement in a few clicks, electronic signature, etc.). A set of new functionalities will be deployed in mid-2022 with a customer extranet and a task manager (workflow) for the contract and its management.

Financings to support the transition and economic development of the regions (such as the Bei Transition Énergétique financing).

Short-term investments:



A new range of 100% committed short-term investments which, beyond seeking financial performance, can have a positive impact on the world, through four major themes, all of which create value for our customers (providing support to French corporates, contributing to societal change, participating in climate and environmental challenges and investing in sustainable real estate).

Personalised support:



Youzful, a platform for young people, a space for guidance and job searches where young people can get information, find out about job offers in their region, and receive professional advice. At the end of its first year, the online platform traffic has confirmed that young people are interested in it and that CA is right to position itself in this non-banking service. At the same time, the Regional Banks have organised more than 80 job dating events throughout the country.



More than 1 million customers have benefited from the **Démarche Conseil Trajectoires Patrimoine**, a wealth-management advisory initiative throughout the country: through this initiative we are able to support our customers and accurately perceive their needs and projects and to build together with each of them the solutions that best suit them, in complete transparency and fairness. In 2022, this initiative will be accessible independently for our customers on their Crédit Agricole website and will also include their preferences in terms of environmental criteria.

Launch of the **Farmers and Winegrowers Universities (Universités des Agri et Viticulteurs)**, an adaptation of University of Leaders among farmers (*Université des Dirigeants au monde des agriculteurs*). The system deployed by the Regional Banks consists of offering our customers a training cycle on the major wealth-management themes. The ambition is to raise their awareness and enable them to make the right decisions for the management of their wealth.

Launch of new **Wealth Management training** cycles: In order to further strengthen the relevance of the advice and the skills of our wealth experts, two diploma training schemes were launched by IFCAM in 2021 in partnership with top leading schools in wealth management: ESCP and AUREP.



Implementation of the **Labelling Initiative (Démarche de Labélisation)** (dedicated offers, training system, etc.) to support our farmer customers in their transition to certification and labelling in new agri-environmental practices (organic farming, High Environmental Value (HEV), soil conservation, low-carbon label, etc.)

As part of its development in the mid-cap segment, the CA Group has set up a **mid-cap division**, serving the networks and businesses of the Group. The division is part of CACIB. It is an accelerator both in building the expertise of players operating in this segment and in the amplification of synergies in the service of supporting the Group's mid-cap customers.

Empowering our brand

- In 2021, the Regional Banks' **websites** and the national website www.credit-agricole.fr reached 719 million annual visits. This figure was down -20% compared to 2020 because of the new CNIL (French Data Protection Authority) rules on cookies. Conversely, the number of users of the MaBanque app continues to rise sharply with time: 7.4 million customers now use the MaBanque app, i.e. 25% more than in 2020 (Dec. 2020 vs Dec. 2021).
- On **social media** (Facebook, Twitter, Instagram), Crédit Agricole has 1.167 million followers which places it in the top position among French banks in number of fans. With an average of 758,000 interactions just on these three networks, Crédit Agricole has also confirmed its top position in terms of commitment for the year 2021. On YouTube, in 2021 the Crédit Agricole channel designed to explain our *Raison d'Être* confirmed its very good 2020 momentum with 33 million minutes of time spent with the Crédit Agricole brand, which places Crédit Agricole as a leading banking player in this medium.
- During the public health crisis, the **great people's saga** touched the heart of the French. In it, we pay tribute to each of them, who in their own way, help the collective move forward on a daily basis. We honour those who have been most affected, especially young people and entrepreneurs. Moreover, in 2021, Crédit Agricole retained its leading position in these two populations and was No. 1 in subscribers on social media. We bear witness to our vision, our path towards human and societal exemplarity as well as our concrete actions in the regions in order to enable our customers to engage with their projects, by relying on our customer-focused universal banking model, because **it is all together that we will get there**.

In the **retail banking market**, the context has accelerated the transformation of consumer patterns and their environmental and societal impacts. In this sense, the societal project deployed on the retail banking market aims to anticipate and support the challenges relating to energy renovation, alternative mobility and ageing. Upstream of projects under construction, financing for operations related to the energy transition (mobility and housing) was already on the rise in 2021.

At the same time, the NPS on this market was up +2 points compared to 2020 and places Crédit Agricole in the top three.

The **high net worth customer market** is a growing market, itself concentrating a significant proportion of French household savings.

The expectations of digital tools and greener finance are accelerating the transformation movement of players. Competition plays in favour of online banks and neobanks that are still attractive to young wealthy people. After two years of record levels of time deposits and bank savings, investment through life insurance is regaining strong momentum and historic levels. And, retirement savings plans (plan d'épargne retraite—PER) are entering a phase of strong growth.

In 2021, Crédit Agricole identified the main lines to accelerate its development on the market by 2025, in particular: enhanced customer segmentation, processes, consulting approaches and offerings adapted to new expectations, priority segments to be penetrated (young people and business leaders, Small Businesses and Farmer), the creation of a HR wealth division for and positioning of the CA Private Bank brand in line with the Group's Societal Plan.

The **small businesses market** benefited in 2020 and 2021 from support measures to emerge from the crisis (PGEs, partial furlough, solidarity funds), which enabled it to withstand its impact and to fully benefit from the consumer desires of the French.

In this context, Crédit Agricole's image improved and its penetration rate among this customer base increased by +0.5 pt at end-June year-on-year⁽¹⁾. Customers continued to save massively, with their savings thus increasing by +10.5% at the end of September year-on-year⁽¹⁾.

As regards the **public sector and the social economy**, in a context of economic and social crisis, local authorities are well on the way to recovery and continue to support their regions. The social housing market is driven by the political will to accelerate the production of new housing and to promote innovative arrangements for social accession. The not-for-profit market must adapt its sources of revenue and its mode of operation to the new practices imposed by the crisis. Crédit Agricole has consolidated its positions as a committed bank in the regions, working with two out of three local authorities, one out of two social housing organisations and one out of three associations.

In the **corporates market**, the implementation of PGEs and other support mechanisms has helped to support the economy and promote a marked return to growth. Crédit Agricole has consolidated its position as a leading banker alongside corporates and their leadership during this phase of support and recovery. The Regional Banks have mobilised to transform the PGEs; 25% of outstandings (+€4 billion) is in the amortisation phase and 55% will be in the amortisation phase in 2022 and 2023 (+€9 billion). In addition, in order to strengthen the financial position of SMEs and mid-caps, the Regional Banks have rolled out Participatory Recovery Loans (Prêts Participatifs Relance—PPR) and Recovery Bonds (Obligations Relance—OR) schemes.

In 2021, **agriculture** has shown itself to be resilient in the face of the public health crisis and the numerous and intense climatic hazards. Farmers are also adapting to meet strong societal expectations, whether in terms of production or marketing practices, but also in terms of transitions and the fight against climate change.

In this context, Crédit Agricole consolidated its leadership with a penetration rate of 82%. Crédit Agricole's NPS on the farmers' market turned positive and stood at +2 points. Crédit Agricole is committed through its Societal Project to supporting agricultural and agri-food transitions (developments in techniques, contribution to the fight against climate change, strengthening food sovereignty)

(1) Source casa/rcr.



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OPERATING AND FINANCIAL INFORMATION

PRESENTATION OF THE CONSOLIDATED FINANCIAL STATEMENTS OF THE CRÉDIT AGRICOLE GROUP

Changes to accounting policies and principles

Changes to accounting policies and principles are described in Note 1 to the consolidated financial statements for the year ended 31 December 2021.

Changes in the scope of consolidation

Changes in the scope of consolidation are described in Notes 2 and 12 to the consolidated financial statements for the year ended 31 December 2021.

ECONOMIC AND FINANCIAL ENVIRONMENT

Overview of 2021

Global economic performance continued to be largely conditioned by the spread of the virus and the health response (roll-out of vaccination, containment strategy), the structure of the economies (relative weight of industry and services, including tourism), and the fiscal and monetary counter-offensive (extent of support for activity). **As with the recessions experienced in 2020, recovery paths have remained uneven. China, boosted by its foreign trade and growing at a rate of 8.1%, the United States and then the eurozone, which posted very good performances, continued to be contrasted with the half-hearted recoveries or fragile rebounds of many emerging countries, in which the trend towards fragmentation was clearly confirmed.**

Moreover, **inflation**, long forgotten, has returned to the forefront. The very sharp acceleration was the result of a combination of several factors: upstream pressures with strong increases in commodity prices and bottlenecks⁽¹⁾, downstream pressures from the strong rebound in household consumption supported by substantial financial aid and high savings inherited from the 2020 crisis, and base effects after very low inflation in 2020. While supply remained limited at the end of the crisis (lack of labour or goods), the normalisation of demand led to price increases in specific sectors, particularly those previously hard hit by the pandemic (hotels, restaurants or motor vehicles).

In the **United States**, after Donald Trump's US\$2.2 trillion Coronavirus Aid, Relief and Economic Security Act (CARES Act), the largest support plan in US history, and the US\$900 billion December plan (a total of about 14% of GDP), Joe Biden's stimulus package (the American Rescue Plan) totalling \$1.9 trillion, or about 9% of GDP, was rolled out in March. Households, mainly those with low incomes, were the main beneficiaries. Thanks to the strong recovery in consumption, further boosted by the rapid fall in unemployment, growth has stood at 5.7% in 2021. In December, overall year-on-year inflation reached 7% (the first time this has happened since the early 1980s), with core inflation at 5.5%, its highest level since the early 1990s. In addition to the impact of energy and industrial input prices, some specific items (e.g. new and, especially, used vehicles) driven by strong demand contributed to the acceleration of inflation.

The **eurozone** has withstood the latest lockdown phases by limiting the negative impacts to the sectors subject to targeted restrictive measures and by benefiting from the reactivation of its manufacturing sector. A pleasant surprise came from strong production investment supported by the strength

of demand for manufactured goods, but also by the European funds of the recovery plan. After contracting by 6.5% in 2020, GDP grew by 5.2% in 2021. While excess demand and wage acceleration are much less evident than in the United States, headline inflation nevertheless picked up significantly to 5% year-on-year in December, while core inflation rose less vigorously (2.6%).

After suffering an 8% recession in 2020, **France** started a strong recovery in the second half of 2020, which it continued into 2021. The new wave of infections and the spread of the Omicron variant raised new fears about the strength of the recovery in the short term, but the absence of very restrictive measures made it possible to limit the impact. After a marked mechanical rebound in the third quarter, growth slowed in the fourth quarter, while remaining sustained, allowing GDP to rise by 7% in 2021. Driven by the rise in commodity prices (especially energy, which accounts for more than half of the price increase), total inflation accelerated to 2.8% over 12 months in December (1.6% on average).

Despite a shift in the Federal Reserve's rhetoric suggesting a more rapid normalisation of its monetary policy, an accommodative monetary stance was maintained in both the United States and the eurozone.

In the **United States**, at the start of the year, Jerome Powell emphasised the still extremely weakened nature of the labour market and the low employment rate compared to its pre-crisis level. However, concerns gradually shifted from growth to inflation which, after being considered temporary, became more worrying. At the same time, the Fed announced its strategy of gradual normalisation: gradual reduction of its monthly asset purchases (US\$120 billion in force at the time) or tapering and then, without any pre-established timetable, raising its key rate (target range for the Fed Funds rate [0%, 0.25%]).

During its Federal Open Market Committee (FOMC) monetary policy meeting in June, the Fed made its first change, which consisted of a rise in its forecasts for the Fed Funds rate, combined with an upward revision of growth and inflation. The Fed prepared the markets by saying it would spell out in November just how it would carry on its tapering program. In early November the Fed announced it would cut back its monthly purchases by \$15 billion, suggesting these would come to an end in June 2022, though the pace of tapering might be adjusted. Finally, the mid-December meeting of the FOMC confirmed that monetary normalisation would go faster still, with tapering occurring at double speed and thus ending in March 2022. The reasons given for the speed-up were the breadth of the

(1) As prices can be very volatile, it is preferable to use average annual prices. Between 2020 and 2021, the price of oil (Brent) rose by almost 70%, while the price of gas in Europe quadrupled. The CRB index has risen by 43%. Iron and copper prices rose by 46% and 51% respectively. Food prices were not spared, as evidenced by the 23% rise in wheat prices. Finally, the Baltic Dry Index almost tripled, reflecting the extremely high level of tension in maritime traffic.

inflation and the quick progress made towards full employment, despite a few persistent disappointments in the participation rate. Jerome Powell also stated that a rate rise was possible before full employment is reached, should inflationary pressures remain concerning. Moreover, the Dot Plot⁽¹⁾ signalled a more aggressive upward path for the key rate.

In the **eurozone**, while the ECB in June also acknowledged the firming taking place and revised upward its growth and inflation forecasts, it reiterated the very accommodative and flexible orientation of its monetary policy. In December the ECB restated its growth and inflation scenario and presented its monetary strategy.

The ECB revised its inflation forecast for 2022 upward (from 1.7% to 3.2%), though much more moderately for 2023 (from 1.5% to 1.8%), and its 2024 projection of 1.8% remains lower than the 2% target. The negative impact on growth (revised downward from 4.6% to 4.2% in 2022) is presumed to be moderate and brief. Inflation should temporarily erode purchasing power without derailing growth, which is revised upward to 2.9% in 2023.

In terms of strategy, the ECB stated that the removal of emergency support would be accompanied by significant yet flexible attention to the sovereigns market. The point there is to prevent, on one hand, an over-steepening of the yield curve, and on the other, any risk of eurozone fragmentation⁽²⁾. The ECB reaffirmed that, before its key rate is raised, three conditions must be met: (1) inflation has to reach the 2% target well before the end of the ECB's forecasting horizon; (2) this target must be reached lastingly, out to the forecasting horizon; and (3) the progress achieved on core inflation must be sufficiently great that it is compatible with stabilising inflation at its medium-term target level. Respecting the forecasts updated in December, these conditions were not met.

Bond markets have kept step with a few major themes: an enthusiastic first quarter buoyed by reflation trading, a gloomier second quarter gripped by the reality of the pandemic, and a second half displaying lively growth yet also distinctly more troubling inflation, fuelling a faster monetary normalisation scenario in the U.S.

In the **United States**, the two-year interest rates⁽³⁾ kept pace with the monetary scenario. They stayed pegged to a low level (0.17% on average) and only started up, slowly, once monetary tightening was spoken of (September) and then more firmly with the acceleration of tapering late in the year, which they finished at 0.70%, for a rise on the year of 60 basis

points. With reflation trading, prompted by more sustained expectations for growth and inflation, increasing vaccination rates and better-than-expected economic data, long rates rose sharply in the United States, and this rise spread into the eurozone. The U.S. 10-year rate, near 0.90% at the start of the year, started to climb and peaked at end-March near 1.75%. Bad news on the public health front then tempered the enthusiasm, and the bond markets took a more conservative position. After that, starting in September, the idea that accelerating inflation would cause monetary tightening in the U.S. to be more energetic than expected once again pushed interest rates higher. The U.S. 10-year rate ended the year at 1.50%, or a rise on the year of 60 basis points, was not impacted by the attention focused by the markets on inflation and monetary normalisation.

In the eurozone, in sympathy with the first phase of recovery by the U.S. rates, the German 10-year rate (the Bund) rose from nearly -0.60% at 1 January to -0.10% in May. While the Fed proved to be tolerant with respect to the tightening of financing terms, a synonym of improvement in economic prospects, the ECB was quick to signal that this tightening was premature and unjustified. The Bund then headed downward. Whilst the German two-year rate remained virtually level at -0.60% at end-2021 vs. -0.70% at end-2020, the Bund closed the year at -0.30%, or a rise on the year of 40 basis points. As a result of the ECB's statements about its process of purchasing sovereign securities, the risk premiums offered by France and Italy versus the Bund widened somewhat, with those spreads widening 13 and 24 basis points, respectively, but remained narrow, at 35 and 135 basis points, respectively. Though the prospect of elections in France does not seem to have affected the spread at this point, the Italian spread has been negatively impacted since November by their coming presidential elections.

The equity markets, still buoyed by the accommodative financing terms, despite the normalisations to come, and by favourable growth prospects, at least in developed countries, have risen nicely, with the average annual rise in the S&P 500, Eurostoxx 50 and CAC 40 indexes up +32%, +23%, +27%, respectively. Lastly, after resisting stoutly, the euro fell against the dollar given that monetary normalisation was further along in the U.S. than in Europe. The euro gained 3.6% against the dollar on average but fell late in the year. At 1.14 in December 2021, it lost nearly 7% on the year.

CONSOLIDATED RESULTS OF THE CRÉDIT AGRICOLE GROUP

In full year 2021, stated net income Group share amounted to €9,101 million, versus €4,689 million in 2020, in other words, stated net income Group share increased by +94.1%.

Specific items in 2021 had a positive impact of **+€589 million** on stated net income Group share, i.e. a DVA for +€4 million, hedges of the Large customers loan book for -€12 million, changes in provisions for home purchase savings plans for +€76 million, and overpayment of SRF contributions for financial years 2016 to 2020 for +€185 million.

In addition to these items, there were items recognised in CA Italia's results for Creval: recording of a provisional net badwill for +€422 million in net income Group share, an additional provisioning of Creval's performing loans for -€21 million, recording of off-balance sheet deferred tax assets for +€89 million in net income Group share, technology infrastructure upgrade and IT migration costs for Creval, amounting to -€13 million in net income Group share, other miscellaneous Creval adjustments for -€12 million in net income Group share, and Creval acquisition costs for -€13 million. In addition to these items, there were actions to improve the quality of

(1) Scatter plot reflecting the level of the fed funds rate deemed appropriate by the Fed's governors. The median now indicates rate hikes of 25 basis points at a pace of three in 2022, three in 2023 and two in 2024, meaning earlier and stronger tightening than what was seen in September, when the first rate hike was expected to take place in late 2022/early 2023. These rises would put the target fed funds rate between 2% and 2.25% at end-2024.

(2) Purchases made under the PEPP emergency programme will therefore cease 31 March 2022, and the reinvestment period will be extended until year-end 2024, maintaining complete flexibility of purchases as between jurisdictions and asset classes. Assets purchases under the traditional APP programme will increase in 2022, from €20 billion per month to €40 billion in Q2, then decrease to €30 billion in Q3 and €20 billion in Q4, then kept up as long as necessary to augment the accommodative effects of key rates. Purchases will stop shortly before the increase in key rates.

(3) All interest rates mentioned refer to State borrowings.

CA Italia's assets, including the impact of the disposal of a gross portfolio of €1.5 billion and additional provisions on CA Italia's portfolio for -€180 million in net income Group share, the launch of a Next Generation HR plan for CA Italia and the associated job protection plan for -€109 million in net income Group share, the exceptional contribution by CA Italia to the Italian banks safeguard plan for -€14 million in net income Group share, and the *Affrancamento* gains related to exceptional tax provisions in Italy for the non-accounting revaluation of goodwill and its amortisation for +€82 million in net income Group share for CA Italia. In addition to these items, there were *Affrancamento* gains in the Asset Gathering and Specialised Financial Services business lines for a total of +€85 million, the reclassification of Serbia to held-for-sale assets for -€4 million, transformation costs related to the LCL New Generation Network project, new branch regrouping at LCL and the Turbo project, CACEIS transformation and development plan for a total of -€32 million

Also recognised as specific items were the Lyxor acquisition costs for -€8 million in net income Group share in asset management, Kas Bank and S3 integration costs by CACEIS for -€2 million and the losses on the wealth management activities in Miami and Brazil held for sale for +€2 million within the Wealth management business line.

Lastly the *Affrancamento* gains in Specialised Financial Services for AGOS for +€66 million in net income Group share.

2020 specific items had a material negative impact of -€1,440 million on stated net income Group share. They encompass CA Italia's goodwill impairment for -€884 million, Crédit Agricole Consumer Finance NL's goodwill impairment for -€55 million, the reclassification of assets held for sale and transition to IFRS 5 of Crédit Agricole Consumer Finance NL (-€135 million), Bankoia (-€42 million), CA Bank Romania (-€7 million), Nacarat (-€5 million), the ongoing planned disposal within Wealth Management (-€24 million), the provision reversal of the FCA Bank fine for +€89 million, the Liability management upfront payment for -€28 million, support to insured small businesses in relation with COVID-19 for -€163 million, the exceptional contribution to the Italian banks safeguard plan for -€7 million in net income Group share, the exceptional contribution to supplementary health insurance premiums for -€15 million, COVID-19 donations of -€62 million, Kas Bank and Santander Securities Services (S3) acquisition costs for -€9 million, exceptional contribution to supplementary Health insurance premiums. In addition, there are some recurrent specific elements, namely a DVA for +€8 million, Large customers loan book hedges for +€7 million, and home purchase saving plans for -€108 million.

Excluding these specific items, **underlying net income Group share was €8,512 million, up +38.9%** compared to 2020.

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	36,822	33,596	+9.6%	36,730	34,035	+7.9%
Operating expenses excluding SRF	(22,602)	(21,266)	+6.3%	(22,255)	(21,169)	+5.1%
SRF	(479)	(562)	(14.7%)	(664)	(562)	+18.2%
GROSS OPERATING INCOME	13,741	11,768	+16.8%	13,812	12,304	+12.3%
Cost of risk	(2,193)	(3,651)	(39.9%)	(1,849)	(3,651)	(49.4%)
Equity-accounted entities	392	419	(6.6%)	387	330	+17.3%
Net income on other assets	(27)	52	ns	(12)	52	ns
Change in value of goodwill	497	(968)	ns	0	(3)	ns
INCOME BEFORE TAX	12,409	7,620	+62.9%	12,337	9,031	+36.6%
Tax	(2,463)	(2,165)	+13.7%	(3,079)	(2,317)	+32.9%
Net income from discontinued or held-for-sale operations	6	(262)	ns	3	6	-57.0%
NET INCOME	9,953	5,193	+91.7%	9,261	6,720	+37.8%
Non-controlling interests	(852)	(504)	+69.1%	(748)	(591)	+26.6%
NET INCOME GROUP SHARE	9,101	4,689	+94.1%	8,512	6,129	+38.9%
COST/INCOME RATIO EXCLUDING SRF (%)	61.4%	63.3%	-1.9 PP	60.6%	62.2%	-1.6 PP

Underlying revenues were up **+7.9%** compared to 2020. In addition to a scope effect of €419 million mainly⁽¹⁾ related to the integration of Creval from second quarter 2021 in International Retail Banking, and to the adjustment of CACF NL following its exit from IFRS 5 status⁽²⁾, underlying revenues grew by +8.7% on a like-for-like basis. This increase in revenues was mainly due to the dynamism of the business lines. More specifically, in the Retail Banking division, growth in the revenues of the Regional Banks driven by commissions and more favourable refinancing conditions, balanced growth in LCL's revenues between interest margins and fee and commission income, and the dynamism of CA Italia's fee and commission income; in

Asset Gathering, it was due to dynamic management commission income in asset management, which benefited from both a positive market effect and dynamic inflows, as well as prudent management of the financial margin and prudent provisioning of technical risks in Insurance; for the Large customers division, a normalisation of revenues in capital markets offset by strong growth in revenues in structured finance and commercial banking, as well as a good level of fees in asset servicing, driven by dynamic activity; for the Specialised Financial Services division, dynamic commercial production in consumer finance, growth in insurance equipment, and a sustained level of activity in leasing and factoring. In the Corporate Centre

(1) For the purpose of the like-for-like calculation entities excluded in 2021: Creval, CACF NL, CA Serbia, La Médicale and, for Amundi, Sabadell AM, Amundi BOC, Fund Channel, Anatec. Entities excluded in 2020: CA Serbia, La Médicale, CACEIS Fund Services (pro-forma consolidation).

(2) Since the third quarter of 2020, CACF NL has been classified under IFRS 5, as the entity was subject to a disposal project. As this disposal project has been suspended, CACF NL is no longer classified under IFRS 5 as of the third quarter of 2021.

division, revenues were up thanks to lower refinancing costs and volatility factors (such as the impact of inflation on changes in hedging swaps and, particularly in second and third quarters 2021, eliminations on intra-group securities underwritten by Predica and Amundi).

Underlying **operating expenses** excluding SRF increased by +5.1% compared to 2020, and by +3.8% on a like-for-like basis. The increase in operating expenses both like-for-like and excluding scope effect was less than the increase in revenues in 2021, thus generating a positive jaw effect of 2.8 points and 2.9 points respectively. The cost/income ratio excluding SRF for 2021 was thus 60.6%, down 1.6 percentage points compared to 2020. The SRF totalled €664 million in 2021, up 18.2% compared to 2020. Note that the refund of an overpayment over financial years 2016-2020 was accounted for under specific items in first quarter 2020 for +€185 million. Underlying **gross operating income** totalled €13,812 million, up +12.3% compared to 2020.

Lastly, **cost of risk** was down sharply (-49.4%/-€1,802 million, to -€1,849 million versus -€3,651 million in 2020).

Net income on other assets stood at -€12 million in 2021 compared to +€52 million in 2020. This contribution was mainly from the deconsolidation of Crédit Agricole CIB's Algerian subsidiary.

Underlying income before tax, discontinued operations and non-controlling interests was therefore up +36.6%, at €12,337 million.

The tax charge was -€3,079 million, up +32.9%, with an **underlying effective tax rate of 25.8%**, down -0.9 percentage points compared to 2020. **Underlying net income before non-controlling interests was therefore up by +37.8%.**

Non-controlling interests amounted to -€748 million in 2021, up +26.6% in line with the increase in underlying income before tax, discontinued operations and non-controlling interests.

Underlying net income Group share increased by +38.9% to €8,512 million.

The specific elements that had an impact on the Crédit Agricole Group's financial statements in 2020 and 2021 are as follows:

	2021		2020	
(in millions of euros)	Gross impact ⁽¹⁾	Impact on net income	Gross impact ⁽¹⁾	Impact on net income
DVA (LC)	6	4	11	8
Exceptional contribution on supplementary health insurance premiums (AG)	-	-	(22)	(15)
Home Purchase Savings Plans (CC)	22	16	(64)	(44)
Home Purchase Savings Plans (LCL)	(1)	(1)	(14)	(9)
Home Purchase Savings Plans (RB)	85	61	(81)	(55)
Liability management upfront payment (CC)	-	-	(41)	(28)
Loan portfolio hedges (LC)	(17)	(13)	10	7
Ongoing sale project NBI (WM)	(1)	(1)	-	-
Reclassification of held-for-sale operations - NBI (IRB)	(2)	(2)	-	-
Support to insured clients Covid-19 (AG)	-	-	(143)	(97)
Support to insured clients Covid-19 (LCL)	-	-	(2)	(1)
Support to insured clients Covid-19 (RB)	-	-	(94)	(64)
TOTAL IMPACT ON REVENUES	92	65	(439)	(298)
Covid-19 donation (AG)	-	-	(38)	(38)
Covid-19 donation (CC)	-	-	(10)	(10)
Covid-19 donation (IRB)	-	-	(8)	(4)
Covid-19 donation (RB)	-	-	(10)	(10)
Creval integrations costs (IRB)	(32)	(17)	-	-
Creval other adjustments	(19)	(12)	-	-
Exceptional contribution to the Italian banks rescue plan (IRB)	(25)	(14)	(11)	(7)
Lyxor acquisition costs (AG)	(16)	(8)	-	-
Ongoing sale project Expenses (WM)	(2)	(2)	-	-
Reclassification of held-for-sale operations - Costs (IRB)	(1)	(1)	-	-
S3 / Kas Bank integration costs (LC)	(4)	(2)	(19)	(9)
Transformation costs (FRB)	(13)	(9)	-	-
Transformation costs (LC)	(45)	(23)	-	-
Voluntary redundancy plan CA Italia	(190)	(109)	-	-
TOTAL IMPACT ON OPERATING EXPENSES	(347)	(197)	(96)	(79)
Restatement SRF 2016-2020 (CC)	130	130	-	-
Restatement SRF 2016-2020 (CR)	55	55	-	-
TOTAL IMPACT ON SRF	185	185	-	-
Adjustment on switch 2 activation (GEA)	-	-	(28)	(19)
Adjustment on switch 2 activation (RB)	-	-	28	19
Creval - Cost of Risk stage 1 (IRB)	(25)	(21)	-	-
Disposal in receivables and additional provisioning of the portfolio CA Italia	(319)	(180)	-	-
Triggering of the Switch2 (AG)	-	-	65	44
Triggering of the Switch2 (RB)	-	-	(65)	(44)
TOTAL IMPACT ON COST OF CREDIT RISK	(344)	(202)	0	0
Affrancamento gain (SFS)	5	5	-	-
Provision recovery on FCA bank fine (SFS)	-	-	89	89
TOTAL IMPACT EQUITY-ACCOUNTED ENTITIES	5	5	89	89
Creval acquisition costs (IRB)	(16)	(9)	-	-
Creval integrations costs (IRB)	1	-	-	-
TOTAL IMPACT ON NET INCOME ON OTHER ASSETS	(15)	(9)	-	-
Badwill Creval (IRB)	497	422	-	-
Impairment CA Italia goodwill (CC)	-	-	(965)	(884)
TOTAL IMPACT ON CHANGE OF VALUE OF GOODWILL	497	422	(965)	(884)
Affrancamento gain (AG)	114	80	-	-
Affrancamento gain (IRB)	97	82	-	-
Affrancamento gain Tax (SFS)	108	66	-	-
Off-balance sheet DTA	105	89	-	-
TOTAL IMPACT ON TAX	424	317	-	-
Reclassification of held-for-sale operations (IRB)	-	-	(5)	(5)
impairment on goodwill (AHM)	-	-	(55)	(55)
Ongoing sale project (WM)	5	5	(24)	(24)
Reclassification of held-for-sale operation Bankoa (IRB)	-	-	(42)	(42)
Reclassification of held-for-sale operations (IRB)	(1)	(1)	(7)	(7)
Reclassification of held-for-sale operations (SFS)	-	-	(135)	(135)
TOTAL IMPACT ON NET INCOME FROM DISCOUNTED OR HELD-FOR-SALE OPERATIONS	3	3	(268)	(268)
TOTAL IMPACT OF SPECIFIC ITEMS	500	589	(1,679)	(1,440)
Asset gathering	100	74	(227)	(174)
French Retail banking	126	106	(206)	(145)
International Retail banking	71	226	(68)	(60)
Specialised financial services	113	71	(45)	(45)
Large customers	(61)	(33)	3	6
Corporate centre	152	146	(1,136)	(1,021)

(1) Impact before tax and before minority interests.

Solvency

At end-December 2021, the Crédit Agricole Group's solvency level remained high, with a phased-in **Common Equity Tier 1 (CET1) ratio of 17.5%**, and remains above the 16% target set in the 2022 Medium-Term Plan. This level of the Crédit Agricole Group's CET1 ratio represents a substantial cushion of +8.6 percentage points over the SREP requirement of 8.9%. The non-phased CET1 ratio at 31 December 2021 was 17.2%.

Compared to 31 December 2020, the phased-in CET1 ratio at 31 December 2021 was up by 30 basis points, driven by the following items:

- historically high **retained earnings** contributed to the increase in the CET1 ratio for +119 basis points and made it possible to absorb the **organic growth of the business lines**, which had an impact of -45 basis points year-on-year;
- Crédit Agricole S.A.'s distribution at the usual payout ratio was supplemented by an **additional dividend related to the catch-up of the 2019 dividend** and by the share buybacks which impacted the Group's CET1 ratio by -13 basis points;
- M&A transactions** contributed to the decrease in CET1 by -45 basis points with the acquisition of Lyxor by Amundi (-8 basis points), the acquisition of Olinn by CACF (-4 basis points) and the acquisition of Creval by CA Italia (-25 basis points);
- the **other impacts** on the CET1 ratio include the share capital increase reserved for employees (+4 basis points) and the new issuances of mutual shares (+14 basis points). These items were in part neutralised by the overall negative regulatory effects on the CET1 ratio in 2021, notably in relation to the implementation of CRR2 and to the entry into force of the ECB's requirements on non-performing exposures (NPE).

At end-December 2021, **risk-weighted assets** were €585 billion, compared with €562 billion at end-December 2020. This +€23.4 billion increase was concentrated in the Retail Banking division (+€14.3 billion), notably in CA Italia, following the integration of Creval and the Large customers division (+€8.5 billion), in particular following the pick-up of financing activities.

The **phased-in Tier 1 ratio** was **18.4%** and the **total phased-in capital ratio** was **21.4%** at 31 December 2021.

Finally, the phased-in **leverage ratio** stood at 6.1% at end December 2021 compared with a requirement of 3.11%⁽¹⁾. The leverage ratio before neutralisation of ECB exposures was 5.5%.

Liquidity

Liquidity is measured at Crédit Agricole Group level.

The liquidity position of Crédit Agricole Group is solid. Standing at €1,630 billion at 31 December 2021, the Group's banking cash balance sheet shows a surplus of stable funding resources over stable application of funds of €279 billion, up €14 billion compared to December 2020.

The Group continues to benefit from its active participation in the European Central Bank's "T-LTRO III" medium- and long-term refinancing transactions carried out against the backdrop of the COVID-19 crisis, helping to raise its level of stable funding resources. Total T-LTRO III outstandings for the Crédit Agricole Group amounted to €162 billion⁽²⁾ at 31 December 2021.

The Group's liquidity reserves, at market value and after haircuts, amounted to €465 billion at 31 December 2021, up by €27 billion compared with 31 December 2020. They covered short-term debt more than four times over (excluding the replacements with Central Banks).

At end-December 2021, the numerator of the LCR ratio (including the HQLA securities portfolio, cash and Central Bank deposits, excluding mandatory reserves), calculated as an average over 12 months, stood respectively at €401.9 billion for Crédit Agricole Group and at €371.2 billion for Crédit Agricole S.A. The denominator of the ratio (representing net cash outflows), calculated as an average over 12 months, stood respectively at €235.1 billion for Crédit Agricole Group and at €242.5 billion for Crédit Agricole S.A.

The average LCR ratios over 12 months of Crédit Agricole Group and of Crédit Agricole S.A. stood at 170.9% and 153.0%, respectively, at end-December 2021. They exceeded the Medium-Term Plan target by around 110%. The LCR ratios at 31 December 2021 were 183.0% for Crédit Agricole Group and 156.6% for Crédit Agricole S.A. respectively. Credit institutions are subject to a threshold for this ratio, set at 100% from 1 January 2018.

The NSFR of Crédit Agricole Group and Crédit Agricole S.A. exceeded 100%, in accordance with the regulatory requirement applicable since 28 June 2021.

The Group continues to follow a prudent policy as regards medium-to-long-term refinancing, with a very diversified access to markets in terms of investor base and products.

In 2021, the Group's main issuers raised the equivalent of €30.0 billion in medium/long-term debt on the markets⁽³⁾, 28% of which was issued by Crédit Agricole S.A. Notable events for the Group in 2021 were as follows:

- Crédit Agricole Assurances issued a Tier 2 10 year bullet bond in September for €1 billion to refinance intra-group subordinated debt;
- Crédit Agricole next bank (Switzerland) has completed two covered bond issuances this year for CHF 350 million, including an initial covered bond issue in Green format at 10 years for CHF 150 million in September;
- Crédit Agricole Italia issued its first Green covered bond for €500 million at 12 years in March.

In addition, €4.3 billion was also borrowed from national and supranational organisations or placed in the Group's Retail banking networks (Regional Banks, LCL, CA Italia) and other external retail networks at 2021.

In 2021, Crédit Agricole S.A. completed 95% of its medium-long term financing programme of €9 billion on the markets for 2021 (including €7 billion in non-preferred senior debt or Tier 2 debt).

The bank raised the equivalent of €8.5 billion⁽³⁾, of which €4.2 billion in senior non-preferred debt and €2.1 billion in Tier 2 debt, as well as €0.7 billion in senior preferred debt and €1.5 billion in senior secured debt. The funding is diversified with various formats and currencies (EUR, USD, AUD, GBP, JPY, CNY, CHF, NOK).

(1) Under CRR2, banks may exclude certain Central Bank exposures from the total exposure of the leverage ratio when justified by exceptional macroeconomic circumstances. If this exemption is applied, the institutions must satisfy an adjusted leverage ratio requirement of over 3%. On 18 June 2021, the European Central Bank announced that credit institutions under its supervision could apply this exclusion due to the existence of exceptional circumstances since 31 December 2019; this measure is applicable until 31 March 2022 included. The Crédit Agricole Group applies this provision and must, therefore, comply with a leverage ratio requirement of 3.11% during this period.

(2) Excluding FCA Bank.

(3) Gross amount before buy-backs and amortisations.

OPERATIONS AND RESULTS BY BUSINESS SEGMENT

— Contribution by business line to the net income Group share of the Crédit Agricole Group

(in millions of euros)	2021 stated	2020 stated
Retail Banking in France	3,983	2,658
International Retail Banking	617	193
Asset Gathering and Insurance	2,443	1,733
Large customers	1,643	1,359
Specialised Financial Services	808	559
Corporate Centre	(393)	(1,812)
TOTAL	9,101	4,689

Retail Banking in France – Regional Banks

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	14,096	13,056	+8.0%	14,011	13,231	+5.9%
Operating expenses excluding SRF	(8,986)	(8,712)	+3.1%	(8,986)	(8,702)	+3.3%
SRF	(87)	(123)	(29.0%)	(142)	(123)	+15.6%
GROSS OPERATING INCOME	5,023	4,221	+19.0%	4,883	4,406	+10.8%
Cost of risk	(606)	(1,042)	(41.9%)	(606)	(1,042)	(41.9%)
Equity-accounted entities	(11)	2	ns	(11)	2	ns
Net income on other assets	28	(13)	ns	28	(13)	ns
Change in value of goodwill	0	(3)	ns	0	(3)	ns
INCOME BEFORE TAX	4,434	3,165	+40.1%	4,294	3,351	+28.2%
Tax	(1,249)	(1,067)	+17.0%	(1,225)	(1,123)	+9.0%
Net income from discontinued or held-for-sale operations	0	(0)	ns	0	5	ns
NET INCOME	3,185	2,098	+51.8%	3,069	2,233	+37.5%
Non-controlling interests	(1)	(3)	(56.2%)	(1)	(3)	(56.2%)
NET INCOME GROUP SHARE	3,184	2,096	+51.9%	3,068	2,230	+37.6%
COST/INCOME RATIO EXCLUDING SRF (%)	63.8%	66.7%	-3.0 PP	64.1%	65.8%	-1.6 PP

The commercial momentum of the Regional Banks was sustained, for most of the year, in the context of economic rebound and continued public health restrictions. Support for Regional Bank customers intensified thanks to the rise in equipment at the start of the relationship as well as in day-to-day banking and insurance.

Regional Bank activity was dynamic in 2021, with gross **customer capture** up sharply (+1,218,000 customers since the beginning of the year) and customer base growth by an additional +226,000 customers. The Home-Car-Health insurance **equipment rate**⁽¹⁾ also increased (+1 percentage point compared to end-December 2020), reaching 42.7% at end-December 2021. **Web and Mobile app use rates**⁽²⁾ reached 71.2% and were up +3 percentage points compared to December 2020 (+6.8 percentage points compared to December 2019).

Loans outstanding stood at €596 billion at end-December 2021 and increased by +5.8% compared to end-December 2020 (including +6.5% for housing and +7.8% for corporates).

On-balance sheet deposits rose significantly (+7% since end-December 2020), driven by demand deposits (+11.0%) and passbooks (+9.8%), as did **off-balance sheet deposits**, which were up +4.8% since the same period (of which +3.7% in life insurance). As a result, **total customer assets**

increased by +6.2% compared to end-December 2020 to €839.5 billion at end-December 2021.

The **doubtful loan ratio** was lower (1.6% at end December 2021 compared to 1.7% at end December 2020), and the **coverage ratio** remained high (103.3% at end-December 2021 compared to 100.9% at end-December 2020).

In 2021, the contribution of the Regional Banks to the Crédit Agricole Group stated results was €3,184 million versus a contribution of €2,096 million for 2020, a +51.9% increase.

In 2021, specific items included a home purchase savings plan provision for €85 million in revenues (€60 million in net income Group share), +€55 million in operating expenses (+€55 million in net income Group share). In 2020, specific items included a home purchase savings plan provision for -€81 million in revenues (-€55 million in net income Group share), COVID-related customer support for -€94 million in revenues and -€10 million in operating expenses (-€74 million in net income Group share) and results related to the disposal of Nacarat classified in IFRS 5 under assets held for sale for -€5 million (-€5 million in net income Group share).

(1) Equipment rate – car insurance, home insurance, health, legal, all mobile/portable or personal accident insurance.

(2) Number of customers with an active profile on the Ma Banque app or who have visited CAEL (CA online) during the month/number of adult customers having an active demand deposit account.

For financial year 2021, the contribution of the Regional Banks to the Crédit Agricole Group underlying income was €3,068 million versus a contribution of €2,230 million for 2020, a +37.6% increase.

Over full-year 2021, the Regional Banks' underlying **revenues** reached €14,011 million, up +5.9% compared to full-year 2020. **Underlying operating expenses excluding SRF** increased by +3.3% compared to full-year 2020, mainly due to higher employee expenses (notably profit

sharing and the exceptional purchasing power bonus). As a result, there was a positive jaws effect of 2.6 percentage points year-on-year and the **underlying cost/income ratio excluding SRF** improved (-1.6 percentage points compared to full-year 2020, to 64.1%). Underlying **gross operating income** rose sharply (+10.8% compared to full-year 2020). The underlying **cost of risk** decreased by -41.9% in 2021 and reached -€606 million.

Retail Banking in France (LCL)

— Retail Banking in France (LCL) – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	3,696	3,521	+5.0%	3,696	3,537	+4.5%
Operating expenses excluding SRF	(2,312)	(2,277)	+1.5%	(2,299)	(2,277)	+1.0%
SRF	(59)	(42)	+40.9%	(59)	(42)	+40.9%
GROSS OPERATING INCOME	1,325	1,203	+10.2%	1,339	1,218	+9.9%
Cost of risk	(222)	(390)	(43.2%)	(222)	(390)	(43.2%)
Net income on other assets	6	2	x3.1	6	2	x3.1
INCOME BEFORE TAX	1,109	814	+36.2%	1,123	830	+35.3%
Tax	(309)	(252)	+23.0%	(313)	(257)	+22.1%
NET INCOME	800	563	+42.2%	810	573	+41.3%
Non-controlling interests	(0)	(0)	ns	(0)	(0)	ns
NET INCOME GROUP SHARE	800	562	+42.2%	810	573	+41.3%
COST/INCOME RATIO EXCLUDING SRF (%)	62.6%	64.7%	-2.1 PP	62.2%	64.4%	-2.2 PP

LCL continued its dynamic growth in 2021.

Loans outstanding reached €150.6 billion at end December 2021 and were up +5.0% from end December 2020, including +7.3% for real estate loans and +6.0%⁽¹⁾ for loans to SMEs and small businesses. Loan production was very dynamic in 2021 and amounted to €35.5 billion, an increase of +21% compared to 2020, driven by housing in particular (+22% over the period). **Home loan renegotiations** remained at a low level at end-December 2021 (€0.5 billion in the fourth quarter of 2021), still far below the high point of €5.2 billion in the fourth quarter of 2016.)

On-balance sheet deposits rose compared to December 2020 (+5%), driven by DAVs (+12.2%), as did **off-balance sheet savings**, which were up by +7% year-on-year (including +5.2% in life insurance). Finally, **customer capture** was dynamic with 335,000 new customers in 2021, and the customer base has grown by +36,000 since the beginning of the year.

The **equipment rate** of car, home, health, legal, all mobile phones or personal accident insurance is up by +1.1 percentage point compared to end December 2020 (+2.9 percentage points compared to end December 2018) to 26.6% at end December 2021.

In 2021, stated net income Group share was €800 million, a sharp increase of +42.2% compared to 2020. After taking into account specific items (home purchase savings plan provision: impact of -€1 million on net income Group share, transformation costs: impact of -€9 million), underlying net income Group share therefore was €810 million, an increase of +41.3%.

LCL's **underlying revenues** increased by 4.5% compared with 2020, reaching €3,696 million, driven in a balanced way by, on the one hand, the net interest margin (+4.5%) driven by good refinancing conditions and sustained commercial activity and, on the other hand, by fee and commission income (+4.5%). Underlying costs excluding SRF were under control (+1.0%). This led to an improvement in the underlying cost/income ratio excluding SRF of -2.2 percentage points compared with 2020, which stood at 62.2%. The contribution to the SRF increased by +40.9% over the year (+€17 million). The underlying gross operating income therefore increased by almost +10%. The cost of risk continued to fall and stood at -€222 million, i.e. down 43.2% compared with 2020. Its trend reflects the improved economic outlook. The cost of risk/outstandings was 15 basis points at end-2021 compared to 29 basis points at end-2020. The coverage ratio remained high at 83.2% at 31 December 2021 and the NPL rate was stable at 1.5%.

LCL contributed to 8.9% of the underlying net income Group share of the Crédit Agricole Group business lines (excluding the Corporate Centre division) in 2020 and to 10% of their underlying revenues.

(1) Including state-guaranteed loans.

International Retail Banking (IRB)

International Retail Banking encompasses the local banking networks in Italy, grouped under the name “Gruppo Bancario Crédit Agricole Italia” (hereafter referred to as “CA Italia”), to which must be added CA FriulAdria and Credito Valtellinese (legal mergers in 2022), as well as all of the Group’s retail banks abroad, mainly Crédit Agricole Poland (wholly owned⁽¹⁾), Crédit Agricole Ukraine (wholly owned⁽¹⁾), Crédit Agricole Egypt (60.2% owned⁽¹⁾) and Crédit du Maroc (78.7% owned⁽¹⁾).

— International Retail Banking (IRB) – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	3,180	2,724	+16.7%	3,183	2,724	+16.8%
Operating expenses excluding SRF	(2,299)	(1,785)	+28.8%	(2,033)	(1,766)	+15.1%
SRF	(33)	(25)	+30.2%	(33)	(25)	+30.2%
GROSS OPERATING INCOME	848	914	(7.2%)	1,117	933	+19.7%
Cost of risk	(786)	(566)	+38.8%	(442)	(566)	(21.9%)
Equity-accounted entities	3	0	ns	3	0	ns
Net income on other assets	(13)	72	ns	2	72	(97.8%)
Change in value of goodwill	497	0	-	0	0	-
INCOME BEFORE TAX	549	419	+30.9%	679	439	+54.9%
Tax	198	(103)	ns	(200)	(109)	+83.5%
Net income from discontinued or held-for-sale operations	1	(48)	ns	2	1	ns
NET INCOME	748	268	X 2.8	481	330	+45.7%
Non-controlling interests	(132)	(75)	+75.3%	(90)	(77)	+16.7%
NET INCOME GROUP SHARE	617	193	X 3.2	391	253	+54.5%
COST/INCOME RATIO EXCLUDING SRF (%)	72.3%	65.5%	+6.8 PP	63.9%	64.8%	-0.9 PP

In 2021, International Retail Banking’s stated net income Group share was €617 million, compared with €193 million in 2020. Income from the International Retail Banking business line in Italy for 2021 included several specific items for a total impact of +€230 million on net income Group share which mainly relate to the accounting integration and finalisation of the Credito Valtellinese PPA in the fourth quarter of 2021 as well as the CA Italia transformation plan. The 2020 financial statements include, under specific items, the exceptional contribution to the safeguard plan for Italian banks of -€11 million in operating expenses (-€7 million in net income Group share), as well as the COVID donations and the impacts of the reclassification of the activities in Romania and those of Bankoia in Portugal to held-for-sale assets for a total impact of -€53 million in net income Group share.

During the year, the Creval consolidation process proceeded according to schedule. The accounting consolidation of Credito Valtellinese was completed in the fourth quarter, with the PPA being finalised in the quarter. As a result, Crédit Agricole Italia recognised a 100% net badwill of €497 million over the financial year (i.e. an impact of €422 million on net income Group share, with these items being reclassified as specific items). The Creval due diligence and integration also gave rise to other adjustments, also classified as specific items: the recognition of off-balance sheet deferred tax assets for €105 million (€89 million in net income Group share), -€14 million in other adjustments following due diligence work (-€12 million in specific items) and costs for upgrading and migrating the technological infrastructure and the IT platform (-€47 million in integration costs in 2021, including -€23 million in the fourth quarter alone; impact on net income Group share of -€27 million and -€13 million respectively).

In order to prepare for the future, Crédit Agricole Italia has also initiated certain transformations. In Italy, the Group has launched a substantial Next Generation HR plan, which will result in the departure of approximately 1,100 employees through a job preservation plan and retirements, and approximately 550 new hires. €190 million were recognised in the fourth quarter to finance this plan (impact of -€109 million on net income Group share; reclassified as specific items). CA Italia also made a significant disposal of its non-performing loans portfolio this quarter, amounting to €1.5 billion, in order to improve the Group’s risk profile (cost of risk impact of -€194 million) and accounted for additional provisions on its residual portfolio, in order to comply with the Group’s new risk policies, amounting to -€125 million. These items impacting the cost of risk have been reclassified to specific items for a total impact on net income Group share of -€180 million. Lastly, CA Italia successfully concluded the takeover bid for CA FriulAdria in September 2021 and now holds more than 99% of the share capital of this structure, enabling it to prepare for the merger of the bank into CA Italia.

In 2021, underlying net income Group share of **International Retail Banking** stood at €391 million, an increase of 54.5% compared to 2020. This increase is the result of the increase in gross operating income (+19.7% compared to 2020), which still benefits from a positive jaws effect and an improvement in the cost/income ratio of 0.9 percentage points, to 63.9%, and of the quality of the assets and their coverage, which resulted in lower additions to the cost of risk in 2021. Note in 2020 a real estate capital gain in Italy of €65 million before tax recognised as a gain on other assets. International Retail Banking contributed to 4% of the underlying net income Group share of the Crédit Agricole Group business lines (excluding the Corporate Centre) in 2021 and to 9% of their underlying revenues.

(1) Percentage owned at 31 December 2021.

In Italy, CA Italia loan production remained very dynamic at nearly €8 billion (-2.1% compared to 2020), particularly in home loans (+18.1% compared to 2020) and despite a lower production of corporate loans (-20.1% due to a base effect in 2020 with the implementation state-guaranteed loans). In addition, CA Italia has disposed of €1.5 billion in doubtful loans in fourth quarter 2021. Thus, at 31 December 2021, loan outstandings stood at €59.4 billion. Excluding the scope effect related to the consolidation of Credito Valtellinese in second quarter 2021, loan outstandings in Italy totalled €45.5 billion, stable by +0.1% year-on-year, driven by home loans (+4.9% year-on-year). Excluding loan disposals for €1.5 billion, the growth in loans outstanding for the historical scope was +3.4%.

Balance sheet inflows continued to slow down (+2.3% Dec./Dec. excluding the Credito Valtellinese scope effect), reflecting the resource optimisation policy initiated in December 2020. CA Italia's assets under management rose sharply year-on-year (+8.9% Dec./Dec. excluding scope effect) with record net customer flows of €3.0 billion over 2021. Its equipment rate in car, multi-risk household, health, legal, all mobile phones or personal accident insurance increased to 19.0% (+1.9 percentage points from end December 2020, +3.6 percentage points from end 2019).

Excluding the specific items mentioned above, Crédit Agricole Italia's 2021 underlying revenues rose by +24.8% to €2,280 million (+4.5% excluding scope effect). Operating expenses excluding SRF were kept under control (+24.3% but +1.7% excluding scope effect), improving the underlying cost/income ratio on a like-for-like basis excluding SRF to 62.3% (an improvement of -1.8 percentage points Dec./Dec. on a like-for-like basis and -0.2 percentage point excluding scope effect). Underlying cost of risk fell sharply in 2021 to €347 million (-18.9% and -40.9% excluding the scope effect), benefiting from a very high 2020 base. This resulted in a very strong increase in CA Italia's contribution over the financial year to €274 million in underlying income, i.e. +69.5% compared to 2020 and +61.7% in underlying income on a like-for-like basis.

Crédit Agricole Italia, the Group's second largest domestic market after France, accounted for nearly three-fourths of revenues and over four-fifths of the loans and on-balance sheet deposits of the International Retail Banking business line, followed by Poland and Morocco. Although CA Italia is

84.9% owned by Crédit Agricole S.A., it accounted for 70% of the division's underlying net income of the International Retail Banking business line.

Accordingly, the **net income Group share of all Crédit Agricole S.A. entities in Italy** (excluding the Corporate Centre division) represented **13% of net income Group share⁽¹⁾**.

For all the International Retail Banking excluding Italy (other IRB), growth in commercial activity remained strong. Growth in loan outstandings reached +9.2% at end December 2021 compared to end December 2020 and +5.8% excluding foreign exchange impact, driven in particular by Ukraine (+21%), Poland (+12%) and Egypt (+15%), to total €12.8 billion. On-balance sheet deposits were up +8.0% excluding foreign exchange impact, especially in Ukraine (+8%) Poland (+17%) and Egypt (+16%). Total inflows rose by +8.0% year-on-year and by +4.2% excluding the foreign exchange impact to €17.2 billion. The result was a surplus of deposits over loans in International Retail Banking outside Italy of +€2.9 billion at 31 December 2021.

In August 2021, Crédit Agricole S.A. announced the disposal of its Serbian subsidiary, Crédit Agricole Srbija A.D., which is expected to be completed in first half 2022. The results of this entity for the year were thus reclassified under IFRS 5 during the third quarter, impacting all income lines for International Retail Banking excluding Italy.

On a like-for-like basis, the entities' revenues grew strongly, with the development of the business and the absorption of the 2020 key rate cuts in the various countries.

In 2021, **underlying revenues** of Retail Banking excluding Italy increased by +0.6% to €903 million (+6.3% on a like-for-like basis) thanks to the gradual absorption of the decrease in key rates that took place in 2020 and to the strong growth in commercial activity. Operating expenses excluding SRF fell by 3.1% (3.2% on a like-for-like basis) to €579 million, reflecting IT investments and inflationary pressure in these countries. This led to a slight improvement in the underlying cost/income ratio excluding SRF at constant scope, which stood at 64.0%, down more than 2 percentage points compared with 2020. The **cost of risk** was down, illustrating the quality of the credit portfolios and their coverage

Asset Gathering (AG)

This core business encompasses Insurance (Crédit Agricole Assurances), Asset management (Amundi) and Wealth management (CA Indosuez Wealth Management).

— Asset Gathering (AG) – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	6,528	5,749	+13.5%	6,529	5,914	+10.4%
Operating expenses excluding SRF	(3,005)	(2,865)	+4.9%	(2,987)	(2,826)	+5.7%
SRF	(7)	(6)	+14.2%	(7)	(6)	+14.2%
GROSS OPERATING INCOME	3,516	2,879	+22.1%	3,535	3,082	+14.7%
Cost of risk	(18)	(55)	(67.7%)	(18)	(55)	(67.7%)
Equity-accounted entities	84	66	+27.7%	84	66	+27.7%
Net income on other assets	(0)	3	ns	(0)	3	ns
INCOME BEFORE TAX	3,582	2,893	+23.8%	3,601	3,096	+16.3%
Tax	(643)	(775)	(17.0%)	(762)	(827)	(7.9%)
Net income from discontinued or held-for-sale operations	5	(24)	ns	1	0	ns
NET INCOME	2,944	2,095	+40.6%	2,840	2,269	+25.1%
Non-controlling interests	(501)	(362)	+38.4%	(470)	(362)	+29.8%
NET INCOME GROUP SHARE	2,443	1,733	+41.0%	2,370	1,907	+24.3%
COST/INCOME RATIO EXCLUDING SRF (%)	46.0%	49.8%	-3.8 PP	45.8%	47.8%	-2.0 PP

(1) Underlying income of the Crédit Agricole S.A. business lines.

At 31 December 2021, the business line's assets under management totalled €2,582 billion, a year-on-year increase of +16.3% (+9.7% excluding the scope effect related to the integration of Lyxor's assets of €148 billion into the Asset management business). Net inflows reached +€71 billion over the full-year 2021, driven by record inflows in MLT assets in asset management.

Over the year 2021, favourable market trends contributed very positively to the growth in assets under management (market and foreign exchange impact of +€147 billion over the period, including +€127 billion for Amundi).

Assets under management excluding double counting amounted to €2,256 billion at 31 December 2021, an increase of 19% compared to 31 December 2020.

In full-year 2021, the business line's underlying net income Group share increased by +24.3% compared to the same period in 2020 and was 2,370 million. The dynamic activity of the Asset Gathering business line

enabled it to achieve revenue growth of 10.4% year-on-year. By combining this good commercial performance with a controlled increase in costs of +5.7%, gross operating income and pre-tax income rose sharply by +14.7% and +16.3%, respectively. Tax is down by -7.9% despite the increase in this result, which can be mainly explained by Insurance with a 2020 base effect, the decrease in the normative tax rate in France, and disposals of securities at reduced rates in 2021.

The underlying cost/income ratio came to 45.8%, an improvement of 2.0 percentage points compared to 2020.

The Asset Gathering division had a positive contribution of 26% to the underlying net income Group share of the business lines of the Group (excluding the Corporate Centre division) in full-year 2021 and 18% to underlying revenues excluding the Corporate Centre.

Insurance (CA Assurances)

The Insurance business line reflects the results of Crédit Agricole Assurances, a wholly-owned subsidiary of Crédit Agricole S.A., which covers all insurance businesses: savings/retirement, property & casualty, death & disability, creditor and group insurance.

— Insurance – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	2,549	2,413	+5.7%	2,549	2,577	(1.1%)
Operating expenses excluding SRF	(722)	(800)	(9.8%)	(722)	(762)	(5.2%)
SRF	0	0	ns	0	0	ns
GROSS OPERATING INCOME	1,827	1,613	+13.3%	1,827	1,816	+0.6%
Cost of risk	(1)	0	ns	(1)	0	ns
Net income on other assets	(1)	(0)	x 5.5	(1)	(0)	x 5.5
INCOME BEFORE TAX	1,826	1,613	+13.2%	1,826	1,816	+0.6%
Tax	(345)	(462)	(25.4%)	(345)	(515)	(33.0%)
Net income from discontinued or held-for-sale operations	(2)	0	ns	(2)	0	ns
NET INCOME	1,479	1,150	+28.6%	1,479	1,301	+13.7%
Non-controlling interests	(75)	(80)	(6.3%)	(75)	(80)	(6.3%)
NET INCOME GROUP SHARE	1,405	1,071	+31.2%	1,405	1,221	+15.0%
COST/INCOME RATIO EXCLUDING SRF (%)	28.3%	33.2%	-4.8 PP	28.3%	29.5%	-1.2 PP

At end-December 2021, the business line's total premium income reached €37.0 billion, an increase of over +25.8% compared to full-year 2020.

In **savings/retirement**, activity was dynamic and Crédit Agricole Assurances continued its commercial expansion and diversification in France and internationally. Over 2021, the premium income of the savings/retirement segment totalled €27.3 billion, compared to €20.4 billion in 2020, a +33.5% increase.

The Policy Participation Reserve (PPE) increased over the year to €13.1 billion at 31 December 2021, which was 6.3% of total euro outstandings. The average yield of the Crédit Agricole Assurances group's assets was 2.26% in 2021 (2.13% at end 2020), well above even the average guaranteed minimum rate (0.16% at end 2021, compared to 0.20% at end 2020) and the profit sharing rate of euro-denominated policies of 1.28% at the end of 2021, stable compared to the end of 2020.

Assets (savings, retirement and death and disability) stood at €323.0 billion, up +4.8% from December 2020. Unit-linked outstandings reached a new all-time high of €86.6 billion at end December 2021, with the share of unit-linked products in outstandings totalling 26.8%, up +2.6 percentage points compared with December 2020.

In **property and casualty insurance**, premium income was up by +6.7% over 2021 and reached €5.1 billion. The number of property and casualty insurance policies in the Crédit Agricole Assurances portfolio reached 15.2 million at end December 2021, up +3.9% over one year, i.e. an increase of more than 568,000 policies in the twelve months of 2021. Growth in the property and casualty insurance business was driven by traditional activities (home, legal protection, personal accident insurance, car) and was also boosted by launches, in France, of corporate offerings (corporate property and casualty insurance and professional multi-risk) and a new auto insurance policy with an inclusive offer, EKO for the Regional Banks and PRIMO for LCL. Finally, on 1 January 2022, the transfer of 10 million assistance contracts to Europ Assistance France was successfully completed. The combined ratio remained under control at 96.4%.

In **death & disability/creditor/group insurance**, 2021 premium income stood at €4.7 billion, an increase of +10.1% compared to 2020, with a positive contribution from the three business lines (death & disability, creditor and group insurance). The performance of the new "Mon Assurance Décès" death & disability insurance offer was good, with over 100,000 new policies since end June 2021.

In addition, on 1 February 2022, Crédit Agricole Assurances signed an agreement with Generali for the disposal of La Médicale. The announcement in November that the company had entered into exclusive negotiations resulted in an accounting reclassification in IFRS 5 in fourth quarter 2021. The positive impact on Crédit Agricole Assurances' net income Group share at the time of the disposal, expected by the end of 2022, will be more than €100 million.

As regards income from insurance, it should be noted that the tax charge for the year 2021 decreased by -33.0% compared to 2020. This drop can be explained by a base effect in 2020, the decrease in the normative tax rate in France, and the reduced-tax disposal of securities in 2021. This made possible a strong increase in net income Group share of +15.0% compared to 2020, to €1,405 million, and made possible a prudent management policy for the financial margin (addition of the PPE of +€1.6 billion in 2021, and provisioning of technical risks in the fourth quarter). Underlying revenues in 2021 were therefore €2,549 million, down slightly by -1.1%. At the same time, costs decreased by -5.2%, which resulted in an improvement

in the cost/income ratio excluding SRF of 1.2 percentage points, which thus reached 28.3% in 2021. Overall, underlying gross operating income increased by +0.6%.

Insurance contributed to 15.5% of the underlying net income Group share of the business lines of the Group (excluding the Corporate Centre division) in 2021 and to 7% of their underlying revenues.

Crédit Agricole Assurances also demonstrated its solidity and resilience with a Solvency 2 regulatory prudential ratio still high at 244% at 31 December 2021.

Asset management (Amundi)

Asset management comprises the results of Amundi, a subsidiary 69.5% owned by Crédit Agricole Group, including 68.1% held by Crédit Agricole S.A.

Since the third quarter of 2017, the financial statements include the contribution of Pioneer, UniCredit's asset management company, which was acquired on 3 July 2017. From the first quarter of 2019 on, the integration costs related to this acquisition are no longer identified as specific items. In the first quarter 2018 these costs amounted to €9 million before tax, i.e. €4 million in net income Group share. In the second quarter 2018 the amounts were €8 million and €4 million, respectively. In third quarter 2018, the net income Group share amounts were -€12 million and -€6 million, respectively. In the fourth quarter 2018 these costs amounted to €27 million before tax, i.e. €14 million in net income Group share and €56/€29 million in full-year 2018.

Sabadell Asset Management is integrated into Amundi's consolidated scope since the third quarter of 2020 with AUM of €20.7 billion.

Lyxor is integrated into Amundi's consolidated scope since fourth quarter 2021 with AUM of €148.0 billion.

— Asset management – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	3,138	2,517	+24.7%	3,138	2,517	+24.7%
Operating expenses excluding SRF	(1,577)	(1,367)	+15.4%	(1,561)	(1,367)	+14.2%
SRF	(4)	(3)	+24.1%	(4)	(3)	+24.1%
GROSS OPERATING INCOME	1,557	1,147	+35.8%	1,573	1,147	+37.2%
Cost of risk	(12)	(23)	(46.8%)	(12)	(23)	(46.8%)
Equity-accounted entities	84	66	+27.7%	84	66	+27.7%
INCOME BEFORE TAX	1,629	1,190	+36.9%	1,645	1,190	+38.2%
Tax	(284)	(306)	(7.1%)	(403)	(306)	+31.7%
NET INCOME	1,345	884	+52.1%	1,243	884	+40.5%
Non-controlling interests	(415)	(273)	+52.1%	(384)	(273)	+40.6%
NET INCOME GROUP SHARE	931	612	+52.1%	859	612	+40.4%
COST/INCOME RATIO EXCLUDING SRF (%)	50.2%	54.3%	-4.1 PP	49.7%	54.3%	-4.6 PP

Amundi posted assets under management of €2,064 billion at end-December 2021, up +19.4% compared to end-December 2020 and up +10.8% excluding the Lyxor scope effect. The increase was mainly due to the consolidation of Lyxor assets (+€148 billion), positive market effects (+€127 billion) and strong net inflows in all customer segments (+€60 billion).

Most of the increase in inflows was attributable to MLT assets excluding JVs for +€75.5 billion despite outflows in first quarter 2021 (-€12.7 billion), the stability of third quarter 2021 (+€0.2 billion) and thanks to strong net inflows in the second and fourth quarters (€7.2 billion and +€65.6 billion, respectively).

In Asia, continued development enabled the level of assets under management to reach €369 billion at end December 2021, compared to €298 billion at end December 2020, with a target of €500 billion by 2025.

In addition, following the completion of Amundi's acquisition of Lyxor from Société Générale on 31 December 2021, Amundi has set a passive asset management target of around €420 billion by 2025.

In 2021, underlying net income Group share stood at €859 million, an increase of +40.4% compared to 2020. Underlying revenues increased by +24.7% due to positive market conditions, net management fees, which increased by +14.5% compared to 2020, and performance fees, which amounted to +€427 million for the year compared to €200 million in 2020. Underlying operating expenses excluding SRF were up +14.2% due to the increase in variable remuneration, higher development capex, mostly for Amundi Technology, and a scope effect of €44 million year-on-year.

The contribution of equity-accounted entities, which includes the income from Amundi's JVs in Asia, increased by +27.7% compared to 2020.

The underlying cost/income ratio excluding SRF was very low at 49.7%, an improvement of -4.6 percentage points compared to 2020.

Asset management contributed to 9% of the underlying net income Group share of the business lines of the Group (excluding the Corporate Centre division) in 2021 and to 9% of their underlying revenues.

Wealth management (CA Indosuez Wealth Management)

The assets under management referred to in the business activities figures only include those of CA Indosuez Wealth Management. As a reminder, LCL's private banking customer assets amounted to €60.1 billion at end-December 2021, up +11.1% compared to end-December 2020. The results generated by LCL's private banking business are recognised under LCL.

— Wealth management – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	840	820	+2.5%	841	820	+2.6%
Operating expenses excluding SRF	(707)	(698)	+1.2%	(704)	(698)	+0.9%
SRF	(3)	(3)	+2.9%	(3)	(3)	+2.9%
GROSS OPERATING INCOME	131	119	+10.2%	134	119	+12.7%
Cost of risk	(5)	(32)	(84.9%)	(5)	(32)	(84.9%)
Net income on other assets	1	3	(83.4%)	1	3	(83.4%)
INCOME BEFORE TAX	127	90	+40.9%	130	90	+44.2%
Tax	(14)	(6)	x 2.1	(14)	(6)	x 2.2
Net income from discontinued or held-for-sale operations	7	(24)	-	2	0	ns
NET INCOME	120	60	X 2	118	83	+41.1%
Non-controlling interests	(11)	(10)	+20.3%	(11)	(10)	+20.3%
NET INCOME GROUP SHARE	108	50	X 2.2	106	74	+43.8%
COST/INCOME RATIO EXCLUDING SRF (%)	84.1%	85.2%	-1.1 PP	83.7%	85.2%	-1.4 PP

CA Indosuez Wealth Management saw its assets under management rise sharply by +7.9%⁽¹⁾ year-on-year excluding the scope effect (+5.2% on a reported basis) to €134.6 billion, driven in particular by dynamic net inflows of €1.0 billion in Q4 2021.

Overall, assets under management in Wealth Management (CA Indosuez Wealth Management and LCL Private Banking) amounted to €194.8 billion at end-December 2021, up +6.9% year-on-year.

In 2021, underlying revenues were up +2.6% compared to 2020. Underlying costs excluding SRF were up +0.9%. Gross operating income was therefore up +12.7% to €134 million. Note that the recognition this year of -€1 million

in revenues, -€2 million in costs and €5 million from discontinued operations, representing a total net impact after tax of €2 million in specific items this half had an impact on net income Group share. These gains are related to the contribution of the Miami and Brazil entities that are held for disposal.

In full-year 2021, underlying net income Group share of Wealth Management was €106 million, a sharp increase of +43.8% compared to the same period in 2020.

Wealth Management contributed 1% to the underlying net income Group share of Crédit Agricole S.A.'s core businesses (excluding Corporate Centre division) over 2021 and 2% to underlying revenues.

Large customers (CIB and Asset Servicing)

The Large customers division includes the Capital Markets, Investment Banking, Structured Finance and Commercial Banking business lines housed within Crédit Agricole Corporate & Investment Bank (Crédit Agricole CIB), as well as Asset Servicing, hosted within CACEIS.

— Large customers (LC) – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	6,318	6,297	+0.3%	6,329	6,276	+0.9%
Operating expenses excluding SRF	(3,707)	(3,523)	+5.2%	(3,658)	(3,504)	+4.4%
SRF	(328)	(260)	+26.2%	(328)	(260)	+26.2%
GROSS OPERATING INCOME	2,283	2,514	(9.2%)	2,344	2,512	(6.7%)
Cost of risk	(39)	(829)	(95.2%)	(39)	(829)	(95.2%)
Equity-accounted entities	8	7	+8.1%	8	7	+8.1%
Net income on other assets	(39)	1	-	(39)	1	-
INCOME BEFORE TAX	2,212	1,693	+30.6%	2,273	1,690	+34.5%
Tax	(512)	(277)	+84.6%	(529)	(276)	+91.6%
NET INCOME	1,700	1,416	+20.1%	1,743	1,414	+23.3%
Non-controlling interests	(57)	(57)	(0.2%)	(68)	(61)	+10.6%
NET INCOME GROUP SHARE	1,643	1,359	+20.9%	1,676	1,353	+23.9%
COST/INCOME RATIO EXCLUDING SRF (%)	58.7%	55.9%	+2.7 PP	57.8%	55.8%	+2.0 PP

(1) Excluding the scope effect related to the exit of the Miami and Brazil activities.

Corporate and Investment Banking's total activity was particularly dynamic in 2021 and benefited from the good complementarity fit of activities. Financing activities saw strong growth in structured finance and good activity in commercial banking, while revenues in capital markets normalised in a context of low customer demand.

Overall, 2021 confirmed Crédit Agricole CIB's leading positions in bond issuances (#4 Green, Social & Sustainable bonds All currencies⁽¹⁾), #5 All bonds in Euro worldwide⁽²⁾ and #8 All Corporate bonds in Euro worldwide⁽³⁾. Crédit Agricole CIB remains the leader in syndicated loans (#3 in the EMEA zone⁽⁴⁾ and #1 in France⁽⁵⁾). Finally, Crédit Agricole CIB maintains its very conservative risk profile, with average regulatory VaR declining to €6.4 million in fourth quarter 2021 from €10.9 million in fourth quarter 2020.

Corporate and Investment Banking's 2021 stated net income Group share was €1,525 million, up +23.2% compared to 2020. It includes specific accounting items relating to the hedging of the loan book in financing activities for -€17.5 million in revenues (-€12.5 million in net income Group share) and for the DVA (Debt Valuation Adjustment) in capital markets and investment banking for +€5.8 million in revenues (+€4.3 million in net income Group share).

Corporate and Investment Banking's underlying net income Group share therefore totalled €1,533 million in 2021, up +25.4% compared to 2020.

The underlying revenues of Corporate and Investment Banking in 2021 increased slightly by +0.1% (up +0.9% at constant exchange rates) compared to 2020 and stood at €5,150 million.

Underlying revenues from **Financing Activities** totalled €2,775 million in 2021, up +9.2% compared to 2020 (+10.3% at constant exchange rates). This good performance is notable in all activities:

- Structured financing activities grew strongly (+12% to €1,306 million) across all product lines, particularly in the Acquisition Finance, Real Estate and Aeronautics sectors.
- Commercial banking activities reached a very high level (+6.8% to €1,469 million). Debt Optimisation and Distribution activities are growing, thanks in particular to significant transactions in 2021. Revenues from International Trade and Transaction Banking activity rose sharply, with strong growth in the Supply Chain activity and the continued development of the Private Equity Funds Solutions activity in partnership with CACEIS. The recognised structuring expertise in Trade Finance activity will generate a significant increase in revenues compared to 2020.

Underlying revenues in **Capital Markets and Investment Banking** totalled €2,375 million in 2021, down -8.9% compared to 2020 (-8.1% at constant exchange rates). The year 2020 was exceptional in terms of customer needs, including hedging and issuance needs, due to the financial crisis caused by the start of the epidemic. Market conditions normalised in 2021 compared to 2020.

- The Fixed Income activity (€1,980 million, down -13.9% on 2020) suffered from the compression of margins in a context of normalisation of volatility, overly-ample liquidity and the wait-and-see attitude of customers towards the level of long-term rates. By contrast, securitisation activities performed well compared to 2020 with the pick-up of economic activity and commercial volumes.
- Investment banking, for its part, recorded a strong increase in revenues (to €396 million, up +29% compared to 2020) thanks to M&A activities, with several major transactions in late 2021. The Primary Market Equity Capital and Structured Financial Solutions activities are also up compared to 2020. Similarly, Equity Solutions activities grew strongly thanks to continued commercial growth.

Underlying costs excluding SRF increased by +4.6%, linked to the impact of strong activity on remuneration, and IT investments, while the contribution to the SFR recorded a significant increase of +27.3% in 2021 compared to 2020, to reach €295 million. Accordingly, underlying gross operating income at €2,083 million was down (-8% compared to 2020), but the level of the underlying cost/income ratio remained low (53.8% versus 51.5% in 2020). Finally, the cost of risk recorded a provision of -€47 million for 2021, compared to -€824 million for 2020. All in all, the business line's contribution to underlying net income Group share rose sharply by +25.4% to €1,533 million.

Asset servicing (CACEIS) recorded a very good level of activity for full-year 2021, thanks to new customer gains and growth on the existing customer base. **Assets under custody** recorded strong momentum, totalling €4,581 billion at end-December 2021, up +9.1% from end-December 2020. **Assets under administration** also recorded an increase, rising +10.6% year-on-year⁽⁶⁾ to €2,405 billion at end-December 2021. This upward trend can be explained by both a volume effect and a positive market effect. Transaction flows were also dynamic.

Net income Group share stated for CACEIS totalled €118 million over full-year 2021. It includes -€45 million in expenses related to the Turbo project⁽⁷⁾ (impact on net income Group share of -€23 million) and -€4 million in integration costs for the acquisitions made by CACEIS in 2019 (Kas Bank, impact on net income Group share of -€2 million). In 2020, specific items had an impact of -€19 million in integration costs on acquisitions made by CACEIS in 2019 (Kas Bank and Santander Securities Services, impact on net income Group share of -€9 million).

Underlying revenues for 2021 were up +4.5%⁽⁸⁾ compared to 2020, driven by good fee and commission income and despite pressure on the interest margin in the first half of 2021. Underlying expenses excluding SRF were up +3.7%⁽⁹⁾, driven by the growth in business and the recognition of KAS Bank's residual integration costs during second quarter 2021, whereas SRF expenses were up sharply by +16.6%. Thus, underlying gross operating income was up 5.9% compared to 2020. The underlying cost/income ratio was down slightly by 0.6 percentage point, reaching 75.1% in 2021.

(1) Source: Bloomberg.

(2) Source: Refinitiv N1.

(3) Source: Refinitiv N8.

(4) Source: Refinitiv R17.

(5) Source: Refinitiv.

(6) 10.1% growth in assets under management, adjusted for the effect of the consolidation of CACEIS Fund Services.

(7) Turbo: CACEIS transformation and development plan.

(8) +3.5% increase in revenues, adjusted for the effect of the consolidation of CACEIS Fund Services.

(9) +2.5% increase in expenses, adjusted for the effect of the consolidation of CACEIS Fund Services.

In the end, the contribution of the business line to underlying net income Group share in 2021 was €143 million, representing a +9.4% increase compared to 31 December 2020.

The Large customers division contributed to 18.5% of the underlying net income Group share of Crédit Agricole S.A.'s business lines (excluding Corporate Centre division) over full-year 2021 and 17% to underlying revenues excluding Corporate Centre division.

Specialised Financial Services (SFS)

Specialised Financial Services includes the consumer finance (CA Consumer Finance – Crédit Agricole Consumer Finance) and leasing and factoring (CA Leasing & Factoring – CAL&F) activities.

— Specialised Financial Services (SFS) – Contribution to results, stated and underlying 2021

(in millions of euros)	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	2,692	2,526	+6.6%	2,692	2,526	+6.6%
Operating expenses excluding SRF	(1,379)	(1,268)	+8.7%	(1,379)	(1,268)	+8.7%
SRF	(23)	(20)	+15.9%	(23)	(20)	+15.9%
GROSS OPERATING INCOME	1,290	1,238	+4.2%	1,290	1,238	+4.2%
Cost of risk	(505)	(732)	(31.0%)	(505)	(732)	(31.0%)
Equity-accounted entities	307	344	(10.6%)	302	255	+18.8%
Net income on other assets	(8)	(3)	x 2.8	(8)	(3)	x 2.8
INCOME BEFORE TAX	1,084	847	+28.0%	1,079	757	+42.5%
Tax	(120)	(69)	+73.8%	(227)	(69)	x 3.3
Net income from discontinued or held-for-sale operations	0	(135)	ns	0	0	ns
NET INCOME	964	643	+50.0%	852	688	+23.7%
Non-controlling interests	(157)	(84)	+86.3%	(115)	(84)	+36.4%
NET INCOME GROUP SHARE	808	559	+44.5%	737	604	+21.9%
COST/INCOME RATIO EXCLUDING SRF (%)	51.2%	50.2%	+1.0 PP	51.2%	50.2%	+1.0 PP

The Specialised Financial Services business line recorded a strong performance across all businesses over the year. Commercial production was indeed strong in consumer finance, as well as in leasing and factoring. In cumulative terms at end-December 2021, production in consumer credit amounted to €43.3 billion, up +12% compared to 2020, production in leasing activity amounted to €6.8 billion, up +20% compared to 2020, and production in factoring amounted to €18.2 billion, +33% compared to 2020.

The division's activity was marked this year by the announcement of several initiatives that will lead to future growth for the Group: the announcement of the plan for the creation in 2023 by CACF and Stellantis, in a 50-50 JV, of a pan-European leader in long-term rentals serving all Stellantis brands. The target is to reach a fleet of one million vehicles by 2026. CACF has also announced its intention to expand in Europe in the area of car financing, via FCA Bank, which will be wholly owned by 2023. This multi-brand player will target manufacturers, dealers and short-term rental companies and independent direct distribution platforms. The objective is to reach €10 billion in assets by 2026, to which, for example, CACF's investment of €100 million in Cosmobilis to finance new forms of mobility will contribute. These initiatives were in addition to the launch of CA Mobility, a joint offer between CACF and CAL&F of long-term car leasing distributed through long channel, short channel and to customers of the Group's retail banks (Regional Banks and LCL). The target is to reach a fleet of 100,000 vehicles by 2026. All these initiatives support CACF's target of achieving a 15% return on normative equity (RoNE) by 2023, and reflect Crédit Agricole's strong ambitions in Europe in terms of mobility. The impact of the transactions on Crédit Agricole S.A.'s CET1 was neutral.

In addition to these initiatives, CAL&F acquired Olinn to expand its offer to professional equipment management services, and CAL&F launched a leasing business in Germany through the creation of a Vendoramed marketplace in the third quarter of 2021. The impact of the Olinn acquisition on Crédit Agricole S.A.'s CET1 ratio was -6 basis points in Q4 2021.

At end-December 2021, **Crédit Agricole Consumer Finance's** gross managed loans totalled €92.5 billion, up compared to end-December 2020 (+1.8%). The increase in assets was driven by international business (+4.1% compared to end-December 2020) and by business with the Crédit Agricole Group (+4.6% compared to end-December 2020). Loan outstandings related to automotive partnerships were down compared to 2020 (-2%) because of the slowdown of the automotive market due to the shortage of electronic components. Overall, year-on-year, production was up (+1%) compared to 2020, with the decline in FCA Bank production being offset by increases for France and Agos. Over the same period, consolidated outstandings recorded a sharp rise of +8.2%, for a total of €35.8 billion at 31 December 2021.

Crédit Agricole Consumer Finance's reported net income Group share came to €662 million for 2021, up +44.7% compared to 2020. In specific items, it includes an *Affrancamento* gain for the Agos entity of €66 million, which is recognised on the change in goodwill line, and €5 million recognised on the cost of credit risk line. Adjusted to factor in these specific items, Crédit Agricole Consumer Finance's underlying net income Group share works out at €592 million for 2021, up +17.6% from 2020. On a constant scope basis (excluding CACF NL, which has been reintegrated on a line-by-line basis since the third quarter of 2021 following the exit from IFRS 5 classification), the underlying net income Group share at the end of 2021 amounted to €595 million, an increase of +18.3% compared to 2020.

CACF's revenues totalled €2,098 million in 2021, up +5.3%, due to the increase in commercial activity and the growth in insurance revenues. Over the same period, expenses excluding the SRF contribution rose by +9.4%, in line with the strong trend of activity. Overall, for 2021, the cost/income ratio excluding SRF was 50.9%, an increase of 1.9 percentage points (with the contribution to the SRF amounting to €10 million in 2021). The cost of risk totalled -€445 million, compared to -€637 million in 2020, down -30.1%, in connection with the decrease in the rate of doubtful and disputed

loans by 0.2 percentage points (to 5.5%). Cost of risk/average outstandings reached 128 basis points in 2021. The contribution of equity-accounted entities amounted to €302 million, compared to €255 million in 2020, up +18.8% year-on-year, which is explained in particular by the increase in the Wafasalaf contribution.

In 2021, Crédit Agricole Leasing and Factoring (CAL&F) recorded +4.3% growth in finance lease outstandings, which totalled €16.2 billion at end-December 2021 thanks to a strong increase in commercial production of +20% compared to 2020, which was strongly impacted by the health crisis, to €6.8 billion in 2021. In factoring, the level of activity was also very strong, with commercial production of €18.2, up by +33% in 2021 billion compared to 2020, driven by international activity (Germany, Italy and Poland). At €26.7 billion in the fourth quarter of 2021, factored revenues recorded a +24.1% increase on the fourth quarter of 2020, buoyed by activity in France and internationally.

CAL&F's underlying net income Group share (reported and underlying) came to €145 million for 2021, an increase of +43.5% compared with 2020. Revenues totalled €594 million, up +11.3% compared to 2020, thanks to the dynamic activity in leasing and factoring over the period. Expenses excluding the SRF contribution stood at €310 million, up +6.4% year-on-year, in line with production increases. The cost/income ratio excluding SRF (with the SRF contribution amounting to €13 million in 2021) thus was 52.3% in 2021, an improvement of 2.4 percentage points compared to 2020. The cost of risk totalled -€60 million, an improvement of -37.5% compared to 2020, which was strongly impacted by the pandemic.

Specialised Financial Services contributed to 8% of the underlying net income Group share of the Crédit Agricole Group's business lines (excluding the Corporate Centre) in 2021 and to 7% of their underlying revenues (excluding the Corporate Centre).

Corporate Centre (CC)

This division comprises three types of so-called structural activities:

- *Crédit Agricole S.A.'s Corporate Centre function, asset and liability management and management of debt connected with acquisitions of subsidiaries or equity investments and the net impact of tax consolidation for Crédit Agricole S.A.;*
- *the results of the Private Equity business and of various other Crédit Agricole S.A. companies (including CA Immobilier, Uni-médias, Foncaris, etc.);*
- *the results of resource companies carrying out dedicated activities on behalf of the Crédit Agricole Group and its subsidiaries: IT production (CAGIP), payment activities (CAPS) and real estate operations (SCI).*

This segment also includes other non-structural items, such as the volatile technical impacts of intragroup transactions.

The 2021 financial statements include several specific items for a total impact of +€146 million in net income Group share which mainly concern the correction of the contribution to the Single Resolution Fund for 2016 to 2020 for +€130 million in net income Group share and the provision for home purchase savings plans for €16 million.

The 2020 financial statements include several specific items with a total impact of -€1,021 million on net income Group share, which essentially concern the amortisation of the goodwill on CA Italia for -€884 million in net income Group share, the amortisation of the goodwill on Corporate Centre for -€55 million in net income Group share, the home purchase savings plan provision for -€44 million, the liability management balance for -€28 million, the solidarity COVID-19 donations for -€10 million.

— Corporate Centre (CC) – Contribution to results, stated and underlying 2021

<i>(in millions of euros)</i>	2021 stated	2020 stated	Δ 2021/2020 stated	2021 underlying	2020 underlying	Δ 2021/2020 underlying
Revenues	312	(278)	ns	290	(173)	ns
Operating expenses excluding SRF	(913)	(836)	+9.2%	(913)	(826)	+10.5%
SRF	58	(86)	ns	(72)	(86)	(16.2%)
GROSS OPERATING INCOME	(543)	(1,200)	(54.8%)	(695)	(1,085)	(35.9%)
Cost of risk	(18)	(36)	(51.1%)	(18)	(36)	(51.1%)
Equity-accounted entities	0	(0)	(100.0%)	0	(0)	(100.0%)
Net income on other assets	0	(10)	ns	0	(10)	ns
Change in value of goodwill	0	(965)	-	0	0	ns
INCOME BEFORE TAX	(561)	(2,212)	(74.7%)	(713)	(1,131)	(37.0%)
Tax	172	378	(54.5%)	178	344	(48.2%)
Net income from discontinued or held-for-sale operations	(0)	(55)	(100.0%)	(0)	0	ns
NET INCOME	(389)	(1,889)	(79.4%)	(535)	(787)	(32.1%)
Non-controlling interests	(4)	77	ns	(4)	(4)	+16.5%
NET INCOME GROUP SHARE	(393)	(1,812)	(78.3%)	(539)	(791)	(31.9%)

In 2021, the underlying net income Group share of the Corporate Centre division was -€539 million, an improvement of +€252 million compared to 2020. This includes a contribution to the Single Resolution Fund (SRF) of -€72 million, a decrease of 16.2% compared to 2020.

CONSOLIDATED BALANCE SHEET OF THE CRÉDIT AGRICOLE GROUP

(in millions of euros)	Notes	31/12/2021	31/12/2020	Variation
Cash, Central Banks	6.1	241,191	197,792	21.9%
Financial assets at fair value through profit or loss	3.1-6.2-6.6-6.7	433,134	438,534	(1.2%)
<i>Held for trading financial assets</i>		233,031	258,187	(9.7%)
<i>Other financial instruments at fair value through profit or loss</i>		200,103	180,347	11.0%
Hedging derivative Instruments	3.2-3.4	16,023	22,965	(30.2%)
Financial assets at fair value through other comprehensive income	3.1-6.4-6.6-6.7	268,700	277,909	(3.3%)
<i>Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss</i>		264,572	274,260	(3.5%)
<i>Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss</i>		4,128	3,649	13.1%
Financial assets at amortised cost	3.1-3.3-6.5-6.6-6.7	1,258,283	1,165,650	7.9%
<i>Loans and receivables due from credit institutions</i>		96,703	89,954	7.5%
<i>Loans and receivables due from customers</i>		1,051,592	965,490	8.9%
<i>Debt securities</i>		109,988	110,206	(0.2%)
Revaluation adjustment on interest rate hedged portfolios		5,231	13,524	(61.3%)
Current and deferred tax assets	6.10	8,113	6,619	22.6%
Accruals, prepayments and sundry assets	6.11	43,081	45,613	(5.6%)
Non-current assets held for sale and discontinued operations	6.12	2,965	5,017	(40.9%)
Deferred participation benefits	6.17	(3)	-	
Investments in equity-accounted entities	6.13	8,046	7,423	8.4%
Investment property	6.14	8,292	7,362	12.6%
Property, plant and equipment	6.15	10,909	10,539	3.5%
Intangible assets	6.15	3,483	3,431	1.5%
Goodwill	6.16	16,109	15,134	6.4%
TOTAL ASSETS		2,323,557	2,217,512	4.8%

(in millions of euros)	Notes	31/12/2021	31/12/2020	Variation
Central Banks	6.1	1,276	864	47.7%
Financial liabilities at fair value through profit or loss	6.2	243,555	263,160	(7.4%)
<i>Held for trading financial liabilities</i>		205,075	227,318	(9.8%)
<i>Financial liabilities designated at fair value through profit or loss</i>		38,480	35,842	7.4%
Hedging derivative Instruments	3.2-3.4	16,827	23,725	(29.1%)
Financial liabilities at amortised cost		1,447,463	1,334,171	8.5%
<i>Due to credit institutions</i>	3.3-6.8	221,192	198,942	11.2%
<i>Due to customers</i>	3.1-3.3-6.8	1,044,566	963,433	8.4%
<i>Debt securities</i>	3.3-6.8	181,705	171,796	5.8%
Revaluation adjustment on interest rate hedged portfolios		5,841	11,541	(49.4%)
Current and deferred tax liabilities	6.10	3,013	3,507	(14.1%)
Accruals, prepayments and sundry liabilities	6.11	58,637	54,204	8.2%
Liabilities associated with non-current assets held for sale and discontinued operations	6.12	2,566	3,552	(27.8%)
Insurance company technical reserves	6.17	377,687	365,556	3.3%
Provisions	6.18	7,104	6,862	3.5%
Subordinated debt	3.3-6.19	25,873	23,896	8.3%
TOTAL LIABILITIES		2,189,842	2,091,038	4.7%
EQUITY		133,715	126,474	5.7%
Equity – Group share		126,498	119,565	5.8%
Share capital and reserves		29,927	30,217	(1.0%)
Consolidated reserves		85,467	82,333	3.8%
Other comprehensive income		2,029	2,319	(12.5%)
Other comprehensive income on discontinued operations		(26)	7	(471.4%)
Net income (loss) for the year		9,101	4,689	94.1%
Non-controlling interests		7,217	6,909	4.5%
TOTAL LIABILITIES AND EQUITY		2,323,557	2,217,512	4.8%

Main changes in the consolidated balance sheet

At 31 December 2021, the consolidated balance sheet of the Cr dit Agricole Group stood at €2,323.6 billion, up +€106 billion (+4.8%) compared with the 2020 balance sheet.

This increase mainly stemmed from:

- the rise in financial assets at amortised cost totalling €92.6 billion;
- the rise in cash and Central Banks for €43.4 billion.

Analysis of the main items

- **Financial assets at fair value through profit or loss** represented €433.1 billion at 31 December 2021, down -1.2% year-on-year, i.e. -€5.4 billion (including -€25.2 billion in financial assets held for trading and +€19.8 billion in other financial assets at fair value through profit or loss).
- **Financial assets at fair value through other comprehensive income** stood at €268.7 billion at end-December 2021, down -€9.2 billion (-3.3%).
- **Financial assets at amortised cost** stood at €1,258.3 billion at end-December 2021, up +€92.6 billion (+7.9%). The rise was attributable chiefly to the increase in customer loans and receivables at LCL in the amount of +€86.1 billion.
- **Cash and Central Banks** increased by +€43.4 billion (+21.9%) in assets and +€0.4 billion (+47.7%) in liabilities.

- **Financial liabilities at fair value through profit or loss** represented €243.6 billion at 31 December 2021, down -€19.6 billion (including -€22.2 billion in financial liabilities held for trading) year-on-year (-7.4%).
- **Hedging derivatives** recorded respective decreases of -30.2% in assets and -29.1% in liabilities.
- **Technical reserves for insurance contracts** increased by +3.3% in 2021 from 2020, reaching €377.7 billion. This rise was attributable notably to the increase in liabilities relating to insurance and financial contracts at Predica (+€10.9 billion), offset by a decrease in policyholders' deferred profit-sharing liabilities (-€4 billion) and an increase in the technical reserves of the Group's other insurers (+€5 billion).
- **Equity** stood at €133.7 billion at 31 December 2021, a year-on-year increase of +5.7%. Equity - Group share was also up (+5.8%) to €126.5 billion at end-2021.

Capital management and regulatory prudential ratios

The amendment to IAS 1 adopted by the European Union on 11 January 2006 requires quantitative and qualitative disclosures on the issuer's capital and management of its capital i.e. targets, policies and processes for managing capital. This information is provided in Note 3.6 to the financial statements and in "Pillar 3 disclosures", provided below. For financial year 2021, return on assets⁽¹⁾ was 0.28%, up from financial year 2020.

RECENT TRENDS AND OUTLOOK

The sections regarding prospects have been updated since the approval of the financial statements dated 9 February 2022 to reflect recent developments relating to the situation in Russia and Ukraine. The paragraphs 1.f) 1.g) 2.g) et 4.a) of the risk factors were also updated after the closing of the accounts.

At the end of February 2022, tensions between Russia and Ukraine resulted in armed conflict. The scale and duration of this war, as well as its economic and financial impact, are obviously difficult to predict. In addition to its immediate financial consequences (risk aversion, falling equity markets, drops in the most secure bond yields including the USA and Germany, rising volatility), the Russian-Ukrainian conflict has resulted in a significant rise in commodity prices for products where the warring nations are major players⁽²⁾. Against a backdrop of extreme uncertainty and erosion of confidence, the depressive effect on business and the increase in already sensitive inflationary pressure will make the task of central banks, especially the ECB, all the more complicated.

Our scenario⁽³⁾ accounts for a slowdown in growth, which is nevertheless set to remain strong, as well as a gradual moderation of inflation. Such a picture assumes that demand normalises and that supply chain bottlenecks break open. This twofold normalisation will allow inflation (particularly core inflation) to slow and the extraordinary measures of monetary support to be removed unhurriedly and without excessive impact on the bond markets.

Obviously, there is room for error in estimating inflation, which could be both higher and longer-lasting than expected. While the risk of significant growth in wages and of inflation persisting at a higher level is more manifest in the United States, the fear in the eurozone arises rather from an erosion of purchasing power that might undermine growth. Furthermore, at least in the advanced economies (thanks to high vaccination rates), the potential

variants of the virus seem to have the power to curb economic activity only temporarily and without causing disruption or major interruption of behaviour. The uncertainty produced by the omicron variant was negative in the first quarter of 2022 but positive in the second quarter of 2022, without upsetting the major thrust of our scenario.

In the **United States**, growth should remain vigorous (3.8% in 2022) before gradually converging with its long-term trend (2.3% in 2023). It should benefit from strong consumption driven by an improved labour market, from an upward trend in wages (though limited to the sectors most affected by workforce shortages and so not triggering a wage-price spiral) and from the still untapped reservoir of savings, which is a safety net to help absorb a quick pick-up in inflation. This is a scenario favourable consumption but also to investment, since businesses remain optimistic despite disturbances in the supply-chain and the persistent, though diminishing, lack of labour.

The drivers that contributed most vigorously to the acceleration of inflation in 2021 will remain in force, both in the United States and elsewhere, at least through the first half of 2022: brisk, high inflation, particularly with the ongoing crisis in natural gas (the price of which is extremely volatile but has more or less "stabilised" since October); repercussions on retail prices of higher-cost inputs (second-round effects with a maximum impact occurring about four quarters after the shock on upstream prices); supply-chain problems (including semiconductors and containers); and bottlenecks that although with less squeeze could continue for the greater part of 2022. In the second half-year 2022, assuming a stabilisation in energy prices, the base effects can be expected to be very favourable (i.e., a sharp year-on-year decline in energy prices and subsequently in the prices of goods) and the disturbances in the value chain should gradually subside.

(1) Referring to article R. 511-16-1 of the French Monetary and Financial Code, profitability of assets is obtained by dividing the net accounting income with the total balance-sheet, on a consolidated basis.

(2) Oil, gas and cereals initially, but also coal, platinum, aluminium, copper, nickel, silver, gold and palladium.

(3) Scenario established before the Russian-Ukrainian conflict.

Inflation in the United States, boosted by sharp trends in some specific components (such as the component of shelter known as Owner's Equivalent Rent, which does not exist in the eurozone, and more sharply rising wages leading to expectations of "third order" effects), is thought to remain very high in the first quarter, peaking near 7.5% year-on-year and yielding core inflation approaching 6.5%. Total inflation should then turn down, towards 3% for the 12 months ending 31 December 2022, bringing the yearly average to 5.4% as against 4.7% in 2021.

In the **eurozone**, the strength of the recovery has not yet filled the negative production gap and the exogenous inflationary shock does not appear able to alter the scenario of decelerating, if robust, growth, which should be 4.3% in 2022 and 2.5% in 2023. While coming up against low supply levels (logistics bottlenecks, pressure on supply chains, shortages of inputs and labour), aggregate demand is still weak despite its rebound. It is precisely this weakness that makes it possible to anticipate wage increases that are still contained and inflation albeit higher and more persistent but still temporary. As in the United States, a rise in inflation beyond our expectations is obviously the main risk. It would damage growth via the erosion of purchasing power, rather than via a possible price-wage spiral.

Apart from the upward pressures already noted, inflation in the eurozone will be volatile but greatly influenced by technical factors, such as the weighting of components in the price index, the end of the VAT effect in Germany, and country-by-country pricing changes in energy contracts. Total and core inflation rates should settle on average, respectively, at 4.1% (2.4% in December for the year) and 2.4% (1.9% in December).

In **France**, consumer spending should benefit from higher purchasing power despite inflationary pressures. A surge in new jobs and lower unemployment rates should create confidence among households, which also enjoy surplus savings from the pandemic estimated at €150 billion. Investment will benefit from the recovery plan announced in the autumn of 2020 and the additional support in the France 2030 plan. Growth is expected to be 3.9% in 2022. As for inflation, high as it was at the start of the year, it should fall below 2% by year-end and average 2.6% in 2022.

Our scenario assumes that monetary tightening will be implemented in a variety of ways and at different speeds. Depending on the strength of the inflation experienced or feared, and on the anticipated resilience of growth in their respective territories, the Central Banks are withdrawing their exceptional accommodation at varying paces.

In the **United States**, the officials of the Federal Reserve consider inflation a major risk but in mid-January emphasized recovery in business and employment, judging the risk of setting up a wage-price spiral to be low. According to the Fed, inflation can be expected to start slowing down in the second half. The Fed began its tapering process, and the markets are now counting on four rises in the fed funds rate in 2022, including 50 basis points at the March meeting. We are counting on a target rate of 1.25% at end-2022.

In the **eurozone**, at the end of the Governing Council meeting on 3 February, while the ECB did not decide on any changes to its monetary policy, its President acknowledged that the risks to the inflation outlook were on the upside; she was careful to erase the assertion in previous speeches that "a rate hike this year is highly unlikely". This decidedly firmer tone suggested to the markets that quantitative tightening would be accelerated, and even for the more daring, that the refinancing rate would be raised as early as 2023 or 2022. Our monetary scenario assumes the end of the Pandemic Emergency Purchase Programme in March 2022, a temporary increase in purchases in the Asset Purchase Programme followed by a reduction or even a halt in the third quarter, an initial increase in the deposit rate at the end of the year (to -0.25% at end-2022). The first increase in the refinancing rate would take place in 2023.

In the wake of actual or potential tightening and strong nominal growth, long-term interest rates have already recovered significantly. Nevertheless, after a first-half still characterised by both high growth and high inflation, favourable to a rise in interest rates, would follow the theme of a deceleration to soften them.

In the **United States**, the 10-year Treasury note could thus start to pull back and settle at 1.65% at end-2022. In the **eurozone**, both the way the ECB and the markets assess the risk of inflation and the credibility of the ECB's diagnosis and actions in the eyes of the markets will be critical. The ECB's communication will have to be as subtle as it is convincing to prevent a substantial widening of peripheral spreads. Our scenario assumes a rise in the Bund to 0.55% at end-2022 coupled with a contained widening of the risk premiums offered by France and Italy (to 45 and 180 basis points, respectively, above the Bund at end-2022).

Recent events

Main targets of the 2022 Medium-Term Plan within the Group Project

On 6 June 2019, Crédit Agricole Group announced its Group Project and Medium-Term Plan toward 2022, set out jointly with the Regional Banks and Crédit Agricole S.A.

The Group's Project expressed the *Raison d'Être*⁽¹⁾ of Crédit Agricole for the first time. It serves as the foundation for its unique relational model and is at the heart of its Universal Customer-focused Banking model. Looking to the future while remaining faithful to the daily fulfilment of the Group's usefulness, this *Raison d'Être* guides the transformation and development of the Group and carries the values of usefulness and universality. It can be summed up as follows: "Acting every day in the interest of our customers and society". Furthermore, in order to reinforce its action and commitments in favour of the energy transition, Crédit Agricole has adopted a Group climate strategy, aligned with the Paris Climate Agreement. This climate strategy was published on 6 June 2019 and was hailed by all stakeholders, notably the NGOs such as Oxfam France and *Les Amis de la Terre*, and was certified by an independent organisation. In addition, on 1 December 2021, the Group announced ten ambitious societal commitments based on three themes: acting for the climate and transition to a low-carbon economy, strengthening cohesion and social inclusion, and achieving the agricultural and agri-food transitions.

The 2022 Strategic Plan is a profitable growth project for the Crédit Agricole Group that is in line with the previous Medium-Term Plan, "Strategic Ambition 2020", in which most of the financial results were achieved a year ahead of schedule. It aims to amplify and accelerate the Group's trajectory in an uncertain environment marked by increasing societal demands.

The Group has based its development on a unique relationship model, which it intends to strengthen through this **Group Project** based on three pillars:

- **relational excellence at the heart of the Customer Project.** The Group's target is to become the preferred bank for individuals, entrepreneurs and businesses, and to increase by +20 percentage points the number of customers using its digital applications in France and in Italy. The Group is investing in an innovative strategy of banking and non-banking services platforms, operated directly or with partners;
- **responsibility in proximity at the heart of the Human Project.** The Group stands out by always offering its customers direct access to a local customer relations manager. Transformations in terms of organisation and management are planned to give employees a sense of responsibility as close as possible to the customer. The Group aspires to be the preferred employer in financial services in France and in the top 5 in Europe;

(1) Please refer to the glossary for the definition of *Raison d'Être*.

- a strong mutualist commitment to society at the heart of the Societal Project. Crédit Agricole Group will continue its mutualist commitment to development for all, and make green finance one of the Group's keys to growth. The Group thus intends to become the leading European player in responsible investment.

The strategic ambition of the 2022 Medium-Term Plan

— Crédit Agricole Group – 2022 Targets

CET1	> 16%	Retain around 80% of earnings, bringing the CET1 capital to around €100 billion at end-2022 and the CET1 ratio to over 10% despite regulatory tightening.
MREL excluding eligible preferred senior debts	24-25% as a % of the risk weighted assets > 8% in % of TLOF (Total Liabilities and Own Funds)	Increase the subordinated MREL ratio by +2-3 pp, in order to maintain a buffer significantly higher than the regulatory requirements and to secure our financing conditions.
Surplus of stable resources⁽¹⁾	> €100 billion	Pursue prudent liquidity management measures, based on a high level of medium/long term resources, and on increasing the reserves in line with the development of operations.

(1) Long-term financing surplus against long-term commitments.

Group Project

Customer and human-centric projects – amplification of the universal customer-focused banking model: digital technology and empowered local teams

This year, the Group continued to amplify the universal customer-focused banking model, which combines digital technology and empowered local teams. The Crédit Agricole Group's offers are constantly adapted to the needs of its customers. 2021 saw the launch of several **inclusive and flexible packages**.

In line with its universal banking model, the Crédit Agricole Group aims to make essential day-to-day banking services available to all, both online and in branches, in particular through the EKO and LCL Essentiel offers. For young people, the Globetrotter and LCL City Explorer offers provide an international payment card with no foreign payment fees. The insurance activity is also developing inclusive offers: the EKO Crédit Agricole Assurance

and Primo LCL packages offer a car insurance service that is accessible to all with no limits on essential coverage.

In addition, Crédit Agricole gives all customers access to the bank's premium services with its **flexible Nouvelle Banque du Quotidien offer**, which includes "essential", "premium" and "prestige" packages. For December 2021, the premiumisation rate was 23%.

The Crédit Agricole Group is also constantly improving its offers and services through **innovation and the digitalisation of the customer experience**. As a result, the Group's app usage rate (active profile on apps in the last month) rose sharply this year, recording an increase at the Regional Banks and at LCL (respectively, +18 percentage points compared to January 2019 to 45.5% and +20.5 percentage points to 57.4%). Similarly, the Group continues to deploy innovative digital tools for its customers and in particular for young people to facilitate their activities, such as the digital "piggy bank" on the CA Italia application (which allows amounts as small as €5 to be saved and invested in a mutual fund at any time with a simple click on a mobile phone), and Plick, a new private payment service also developed by CA Italia (which allows payments to be made throughout Europe without an IBAN, using only the beneficiary's mobile phone number or e-mail). Innovative non-banking platforms and services have also been set up, such as Vizio Client (which allows face-to-face exchanges with one's advisor and sharing and viewing documents during a videoconference call) and platforms for young people and professionals (Youzful, Blank, Yapla).

However, Crédit Agricole Group goes the extra mile and enhances the digital experience and the strength of its offers and services for its customers through **customer-focused empowered local teams**. The inclusion of an "empowerment index" in this year's ERI (Engagement and Recommendation Index) survey is a good illustration of this, as is the strong increase in the participation rate of employees in the ERI survey (81%, +1 point compared to 2020). In addition, the Group launched innovative measures in managerial transformation, supported by organisational transformation, to ramp up the employee empowerment process, aimed at creating more value for customers. Lastly, the Crédit Agricole Group continues to take steps to promote gender equality. 31% of Crédit Agricole S.A.'s Executive Committee is made up of women as of the end of 2021.

Finally, this year's achievements were made possible thanks to the full **mobilisation** of the Group's employees.

As a result of all these actions, the Group's positioning in terms of customer satisfaction continued to improve: Crédit Agricole is now at the top of the "France's favourite brand" ranking in the banking category. Crédit Agricole's Net Promoter Score (NPS) rose in 2021 from 2020 (+2 points to +10), placing it in the **top three French banks in terms of customer satisfaction**. After being recognised during lockdown as the leading bank in terms of contactability, LCL was awarded the "2022 Customer Service of the Year" trophy and received the prize for the best remote customer service and bank branch of the year (Trophy 2022 Moneyvox). Finally, the Sofinco website was elected "Best User Experience" in 2021.

The Group's societal project – societal commitment for energy transition and social cohesion

The Group's commitment to the energy transition has two main components: the Group's support for the energy transition of corporate and individual customers, and the progressive reallocation of financing and investment portfolios towards green assets.

There are several concrete examples of the Group's commitment to support its customers in their transition strategies in 2021. Indeed, 8,000 listed companies have been assigned transition scores, i.e. a single score used by Crédit Agricole CIB and Amundi to better support and meet the energy transition needs of their customers. Crédit Agricole CIB confirmed its position as one of the world's top five green, social and sustainable bond arrangers (with \$46 billion of bonds arranged in 2021). At Amundi, the assets under management dedicated to social and environmental solutions totalled €35 billion in 2021. In addition, CACF granted financing in the amount of €2 billion for vehicles emitting less than 95 g of carbon dioxide per km. Lastly, according to a May 2021 Bloomberg study, Crédit Agricole CIB is the first bank among the 30 largest worldwide banks to have arranged more green financing since the beginning of 2016 than hydrocarbon financing.

Several concrete examples of the reallocation of financing and investment portfolios towards green assets can also be noted 2021. Crédit Agricole CIB's green loan portfolio amounts to €13.2 billion at year end. CAA has invested €2.5 billion in renewable energies (i.e. an installed capacity of close to 8.5 GW), and 100% of Amundi's open-ended active management funds have an ESG score target⁽¹⁾ above the score for the investment universe. Finally, CALEF is, once again this year, the first private provider of renewable energy financing⁽²⁾, with €2.6 billion outstandings in 2021.

The Group's Societal Project covers the Group's societal commitment to both energy transition and social cohesion. The Group's commitment in this area includes support for young people and the regions. The Crédit Agricole Group was the second largest private recruiter⁽³⁾ of work-study students in France in 2021. In addition, CACF and the Regional Banks have developed support measures to help limit over-indebtedness and combat fragility: 4,200 over-indebted customers were accompanied by CACF this year, and 10,000 families were supported by the Regional Banks' "Points

Passerelle" scheme. Lastly, on a different note, social investment vehicles such as Amundi *Finance et solidarité*, or the *Contrat solidaire* CAA are offered within the Amundi and CAA ranges.

Furthermore, in 2021, as part of its Societal Project, the Crédit Agricole Group presented a programme with 10 ambitious commitments in the area of climate, social cohesion and inclusion and agriculture, embedded within the activities of the Group (detailed in Chapter 2 "Extra-Financial Performance").

Affirming our European ambitions regarding mobility

As part of the medium-term development of its business lines, Crédit Agricole S.A. confirmed its European ambitions regarding mobility, particularly in the specialised financial services business line.

In December 2021, Crédit Agricole and Stellantis announced their intention to join forces in 2023 to create a European leader in long-term leasing. CACF would become Stellantis's exclusive long-term leasing partner, and the purpose of the joint venture would be to manage a fleet of over one million vehicles by 2026. This exclusive partnership project between CACF and Stellantis would allow CACF to immediately become one of the top five long-term leasing players in Europe and offers additional revenue growth potential in a profitable segment from which CACF has been largely absent until now.

Alongside this partnership, CACF has also announced its intention to develop a pan-European multi-brand player in automotive financing, leasing and mobility, based on the expertise of FCA Bank and Leasys Rent, which will be wholly owned by CACF in 2023, with a target of €10 billion in outstanding by 2026. This new entity would offer white-label products and target manufacturers, dealerships, short-term rental companies and independent direct distribution platforms. To that end, CACF acquired a stake in Cosmobilis, the leading French automotive distributor in Europe, investing €100 million. Finally, the long-term rental offer of CACF and CAL&F for the distribution network of the Group's retail banks was structured via the creation of CA Mobility, a joint venture between CACF and CALF, with a target of 100,000 vehicles by 2026. All of these operations support the target of a 15% RoNE for CACF in 2023⁽⁴⁾, with an overall neutral CET1 impact for Crédit Agricole S.A.

(1) When an ESG methodology is applicable.

(2) ASF Sofergie market; source CALEF 2021.

(3) 2020 *Le Figaro* ranking.

(4) Target announced at the Consumer Finance investor day in December 2020.



3

RISKS AND PILLAR 3

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1. RISK FACTORS

This part sets out the main types of risks to which the Crédit Agricole Group is exposed, as well as the main risks related to holding Crédit Agricole S.A. shares and other securities in light of the structure of the Crédit Agricole Group.

Other parts of this chapter discuss the Crédit Agricole Group's risk appetite and the policies employed to manage these risks. The information on the Crédit Agricole Group's risk management is presented in accordance with IFRS 7, relating to disclosures on financial instruments.

In this part, the terms "Crédit Agricole Group" is defined as the whole made up of Crédit Agricole S.A. Corporate entity (parent company and listed company), and its direct and indirect consolidated subsidiaries according to the meaning of Article L. 233-3. of the French Commercial Code (Code de Commerce), the Crédit Agricole Mutuel Regional Banks, the Local Banks and their respective direct and indirect subsidiaries.

1.1 RISK FACTORS RELATED TO THE CRÉDIT AGRICOLE GROUP AND ITS ACTIVITY

Risks specific to the Crédit Agricole Group's business are presented in this section under the following categories: (i) credit risks and counterparty risks, (ii) financial risks, (iii) operational risks and associated risks, (iv) risks related to the environment in which the Crédit Agricole Group operates, (v) risks related to strategy and transactions of the Crédit Agricole Group, and (vi) risks related to the structure of Crédit Agricole Group.

Within each of the six categories, the risks that the Crédit Agricole Group currently considers to be most significant, based on an assessment of likelihood of occurrence and potential impact, are presented first. However, even a risk that is currently considered to be less important could have a significant impact on the Crédit Agricole Group if it were to materialise in the future.

These risk factors are described below.

1.1.1 Credit and counterparty risk

a) The Crédit Agricole Group is exposed to the credit risk of its counterparties

The risk of insolvency of its customers and counterparties is one of the main risks to which the Crédit Agricole Group is exposed. Credit risk impacts the Crédit Agricole Group's consolidated financial statements when counterparties are unable to honour their obligations and when the carrying amount of these obligations in the bank's records is positive. Counterparties may be banks, financial institutions, industrial or commercial companies, governments and their various entities, investment funds, or individuals. The level of counterparty defaults may increase compared to recent historically low levels; the Crédit Agricole Group may be required to record significant charges and provisions for possible bad and doubtful loans, affecting its profitability.

While the Crédit Agricole Group seeks to reduce its exposure to credit risk by using risk mitigation techniques such as collateralisation, obtaining guarantees, entering into credit derivatives and entering into netting contracts, it cannot be certain that these techniques will be effective to offset losses resulting from counterparty defaults that are covered by these techniques. Moreover, the Crédit Agricole Group is exposed to the risk of default by any party providing the credit risk coverage (such as a counterparty in derivatives) or to the risk of loss of value of the collateral. In addition, only a portion of the Crédit Agricole Group's overall credit risk is covered by these techniques. Accordingly, the Crédit Agricole Group has significant exposure to the risk of counterparty default.

As at 31 December 2021, the exposure of the Crédit Agricole Group to credit and counterparty risks (including dilution risk and settlement delivery risk) was €2055.7 billion before taking into account risk

mitigation methods. This is distributed as follows: 37% retail customers, 30% corporates, 22% governments and 7% credit institutions and investment firms. Moreover, the amounts of risk-weighted assets (RWAs) relating to credit risk and counterparty risk to which the Crédit Agricole Group is exposed were €479.7 billion and €23.7 billion, respectively, as at 31 December 2021. At that period-end, the gross amount of loans and receivables in default was €22.6 billion.

b) Any significant increase in provisions for loan losses or changes in the Crédit Agricole Group's estimate of the risk of loss in its loan and receivables portfolio could adversely affect its results of operations and financial position

In connection with its lending activities, the Crédit Agricole Group periodically recognises doubtful loan expenses, whenever necessary, to reflect actual or potential losses in respect of its loan and receivables portfolio, which are recognised in profit or loss account under "cost of risk". The Crédit Agricole Group's overall level of such asset impairment provisions is based upon its assessment of prior loss experience, the volume and type of lending being conducted, industry standards, statement of loans, economic conditions and other factors related to the recoverability of various loans, or scenario-based statistical methods applicable collectively to all relevant assets. Although the Crédit Agricole Group seeks to establish an appropriate level of provisions, its lending businesses may cause it to have to increase its provisions for doubtful loans in the future as a result of increases in non-performing assets or for other reasons (such as macroeconomic or sectorial evolutions), such as deteriorating market conditions or factors affecting particular countries or industry sectors notably in the current environment of crisis. Any significant increase in provisions for doubtful loans or a significant change in the Crédit Agricole Group's estimate of the risk of loss inherent in its portfolio of non-impaired loans, as well as the occurrence of loan losses in excess of the charges recorded with respect thereto, could have an adverse effect on the Crédit Agricole Group's results of operations and financial position.

As at 31 December 2021, the gross outstanding loans, receivables and debt securities of the Crédit Agricole Group were €1,328 billion. With regard to credit risk, the amounts of reserves, accumulated impairments and related adjustments amounted to €19.7 billion. The cost of risk on outstandings of the Crédit Agricole Group for 2021⁽¹⁾ was 18 basis points.

(1) The cost of risk on outstandings is calculated by dividing the cost of risk on trade receivables recorded over four quarters on a rolling basis by the average outstandings at the beginning of the four quarters.

c) A deterioration in the quality of corporate debt obligations could adversely impact the Crédit Agricole Group's results of operations

The credit quality of corporate borrowers could experience a deterioration, primarily from increased economic uncertainty and, in certain sectors, the risks associated with trade policies of major economic powers. The risks could be exacerbated by the recent practice by which lending institutions have reduced the level of covenant protection in their loan documentation, making it more difficult for lenders to intervene at an early stage to protect assets and limit the risk of non-payment. If a trend towards deterioration in credit quality were to appear, the Crédit Agricole Group may be required to record asset impairment charges or to write off the value of its corporate debt portfolio, which would in turn impact the Crédit Agricole Group's profitability and financial position.

As at 31 December 2021, the Crédit Agricole Group's gross exposure to sectors other than Financial and Insurance activities; Public administration and defence, compulsory social security; and Administrative and support service activities amounted to €376.1 billion (of which €11.4 billion in default) and were subject to accumulated impairments of €9.8 billion.

d) The Crédit Agricole Group may be adversely affected by events impacting sectors to which it has significant exposure

The Crédit Agricole Group's credit exposure is highly diversified because of the comprehensive activities of its customer-focused universal banking model. The Crédit Agricole Group is mainly exposed to the retail bank with the network of regional banks and the network of LCLs. At end-December 2021, the share of retail customers in the Crédit Agricole Group's total portfolio of commercial lending was 44%, or €761.6 billion. Moreover, the Crédit Agricole Group is subject to the risk that certain events may have a disproportionately large impact on a particular industrial sector to which it is significantly exposed. As at 31 December 2021, 20% of the Crédit Agricole Group's commercial loan book involved borrowers in the public sector, (including local authorities), representing an amount of approximately €345.0 billion, and 4% of borrowers in the energy sector, representing an amount of approximately €77.0 billion. Public sector borrowers can be affected by national and local budgetary policies and spending priorities. Energy sector borrowers are subject to risks relating to volatility in energy prices. If these or other sectors that represent a significant share of the Crédit Agricole Group's portfolio were to experience adverse conditions, the Crédit Agricole Group's profitability and financial position could be adversely affected.

e) The soundness and conduct of other financial institutions and market participants could adversely affect the Crédit Agricole Group

The Crédit Agricole Group's ability to engage in financing, investment and derivative transactions could be adversely affected by the strength of other financial institutions or market participants. Financial services institutions are interrelated as a result of trading, clearing, counterparty, funding or other relationships. As a result, defaults by, or even rumours or questions about, one or more financial services institutions, or the loss of confidence in the financial services industry generally, may lead to market-wide liquidity contractions and could lead to further losses or defaults. The Crédit Agricole Group has exposure to many counterparties in the financial industry, including brokers and dealers, commercial banks, investment banks, mutual and hedge funds, and other institutional customers with which it regularly executes transactions. Many of these transactions expose the Crédit Agricole Group to credit risk in the event of default or financial distress. In addition, the Crédit Agricole Group's credit risk may be exacerbated when the collateral held by the Crédit Agricole

Group cannot be disposed of or is liquidated at prices not sufficient to recover the full amount of the loan or derivative exposure due to it.

As at 31 December 2021, the total amount of the Crédit Agricole Group's gross exposure to counterparties that are Credit institutions and related entities was €134.0 billion, of which €98.1 billion was using the internal ratings-based method.

f) The Crédit Agricole Group is exposed to country risk and may be vulnerable to concentrated counterparty risk in certain countries where it operates

The Crédit Agricole Group is subject to country risk, meaning the risk that economic, financial, political or social conditions in a given country in which it operates will affect its financial interests. The Crédit Agricole Group monitors country risk and takes it into account in the fair value adjustments and cost of risk recorded in its financial statements. However, a significant change in political or macroeconomic environments may require it to record additional charges or to incur losses beyond the amounts previously written down in its financial statements. The Crédit Agricole Group is especially exposed in absolute value to the country risk for France and Italy. At 31 December 2021, the Crédit Agricole Group's commitment amounted to €1,262 billion in France and €116 billion in Italy, representing respectively 73% and 7% of the Crédit Agricole Group's total exposure for the period.

Adverse conditions that particularly affect these countries would have a significant impact on the Crédit Agricole Group. In addition, the Crédit Agricole Group has significant exposures in countries outside the OECD, which are subject to risks that include political instability, unpredictable regulation and taxation, expropriation and other risks that are less present in more developed economies.

At end-2021, commercial lending (including to bank counterparties) to Crédit Agricole Group customers in countries with ratings below A3 (Moody's) or A- (Standard & Poor's), excluding countries in Western Europe (Italy, Spain, Portugal, Greece, Cyprus and Iceland), totalled €73.6 billion.

The Crédit Agricole Group could suffer losses as a result of its direct and indirect exposure to Ukraine and Russia:

- In Ukraine, the commercial lending commitments amount to eq. €1.5 billion as of 31 December 2021. They are almost all booked at the Crédit Agricole Ukraine level and are locally financed. As of 31 December 2021, Crédit Agricole Ukraine is a provider of short term liquidity to Crédit Agricole S.A. The own funds of Crédit Agricole Ukraine amount to €226 million as of 31 December 2021.
- In Russia, the exposures booked in CACIB AO subsidiary represent eq. of €540 million as of 31 of December 2021. All of the credit portfolio is locally refinanced. The own funds of the subsidiary amount to approximately €150 million, of which €80 million in equity and €70 million in subordinated debt. The bulk of assets consists in loans to local corporates, mainly in rubles, one third of which benefits from the parent company's guarantee and of a sovereign exposure corresponding to the excess liquidity of the subsidiary deposited short term at the Central Bank of Russia in the context of its regulatory liquidity and ratio requirements. The exposures booked outside of CACIB AO, so-called off-shore exposures, can be split into on-balance sheet and off-balance sheet. The on-balance share of off-shore exposures amounts to eq. of €2.9 billion as of 31 December 2021. This portfolio mainly pertains to fifteen large Russian corporates, notably producers and exporters of commodities, leaders on the market in key economic sectors of their country. Its quality is strong: 96% of the portfolio is rated investment grade in the internal rating scale as of end December 2021. It is mainly corporate finance for 62%, trade finance for 25% and the rest corresponds to asset financing

(aerospace, project, shipping). The off-balance sheet share of off-shore exposures amounts to around €1.5 billion as of 31 December 2021. It is mainly corresponding to short-term trade finance activities (in particular documentary credit and financial guarantees), and, to a lesser extent, to confirmed un-drawn credit facilities. All in, these exposures, which are of a limited size and of good quality, are under a close monitoring. Indosuez Wealth Management Russian exposure currently represents approximately €250 million, fully collateralised.

g) The Crédit Agricole Group is subject to counterparty risk in the conduct of its market activities

The Crédit Agricole Group could suffer losses in the event of a counterparty defaulting in its securities, currency, commodities and other market activities. When the Crédit Agricole Group holds portfolios of debt securities, including in the context of its market making activities, it is subject to the risk of deterioration in the credit quality of issuers or default. As part of its trading activities, the Crédit Agricole Group is exposed to the risk of a counterparty defaulting in the execution of its transaction settlement obligations. The Crédit Agricole Group's derivatives activities are also subject to the risk of a counterparty default, as well as to significant uncertainty regarding the amounts due in the event of such a default. In this regard, the risk-weighted assets (RWAs) corresponding to the counterparty risk on derivatives and deferred settlement transactions and indicated in Pillar 3 were €10.1 billion at 31 December 2021. Although the Crédit Agricole Group often obtains collateral or makes use of compensation rights to deal with these risks, these techniques may not be sufficient to ensure complete protection, and the Crédit Agricole Group may incur significant losses due to the failure of major counterparties.

In addition, forward foreign exchange transactions were contracted with Russian counterparties. The market value of these transactions, sensitive to the ruble/dollar parity, reached €60 million as of December 31, 2021. This figure represented the counterparty risk associated with this date.

1.1.2 Financial risks

a) The Crédit Agricole Group may generate lower revenues from its insurance, asset management, brokerage and other businesses during market downturns

In the past, market downturns have reduced the value of customer portfolios of members of the Crédit Agricole Group specialised in asset and wealth management and increased the amount of withdrawals, thus reducing the Crédit Agricole Group's revenues from these businesses. Over 2021, 11% and 7% of the revenues of the Crédit Agricole Group were generated from its asset and wealth management and insurance businesses, respectively. The Crédit Agricole Group is the leading insurer in France, through Crédit Agricole Assurances⁽¹⁾. Amundi's assets under management stood at €2,064 billion at the end of December 2021, and Crédit Agricole Assurances' assets under management stood at €323 billion at the end of December 2021. Future downturns could have similar effects on the results and financial position of the Crédit Agricole Group.

In addition, financial and economic conditions affect the number and size of transactions for which the Crédit Agricole Group provides securities underwriting, financial advisory and other investment banking services. The Crédit Agricole Group's revenues, which include fees

from these services, are directly related to the number and size of the transactions in which the Crédit Agricole Group participates and can thus be significantly affected by market downturns. Moreover, because the fees that the members of the Crédit Agricole Group charge for managing their customers' portfolios are in many cases based on the value or performance of those portfolios, any market downturn that would reduce the value of the portfolios of the Crédit Agricole Group's customers, would reduce the revenues that the members of the Crédit Agricole Group receive for these services.

Even in the absence of a market downturn, any below-market performance by the Crédit Agricole Group's undertakings for collective investment and life insurance products may result in increased withdrawals and reduced inflows, which would reduce the Crédit Agricole Group's revenues from its asset management and insurance businesses.

b) The Crédit Agricole Group's profitability and financial position may be impacted by either the continuation or the end of the current low interest rate environment

In recent years, global markets have been characterised by low interest rates. However, the European Central Bank and the Federal Reserve have indicated that they are likely to raise interest rates in 2022. Under a scenario of gradually rising interest rates, Crédit Agricole S.A.'s results could be adversely affected by the increased cost of its resources (reduction in the accommodative monetary policy by the authorities, increase in the remuneration paid on regulated liabilities under the combined effect of a rise in short-term rates and a lasting increase in inflation, or a risk of a switch by customers of non-remunerated liabilities), and by the risk of the increase in market rates being passed on partially or in a deferred manner to originated loans under the combined effect of a possible decrease in new production and increased competition. If the low interest rate environment continues, the Crédit Agricole Group's profitability could continue to be materially affected. During periods of low interest rates, interest rate spreads tend to tighten, and the Crédit Agricole Group may be unable to lower funding costs sufficiently to offset reduced revenues from lending at lower market interest rates. Efforts to reduce the cost of deposits may be restricted by the prevalence, particularly in the Crédit Agricole Group's home market of France, of regulated savings products (such as the home savings plan (Plan d'Épargne Logement – PEL)) with interest rates set above current market levels. Low interest rates may also negatively affect the profitability of the insurance activities of the members of the Crédit Agricole Group, which may not be able to generate an investment return sufficient to cover amounts paid out on some of their insurance products.

Over 2021, the share of the insurance business in the revenues of the Crédit Agricole Group was 7%. Low interest rates may also affect commissions charged by the members of the Crédit Agricole Group specialised in the management of money market assets and other fixed income products. Over 2021, the share of the asset management business in the revenues of the Crédit Agricole Group was 9%. In addition, due to the lower interest rates, the members of the Crédit Agricole Group have experienced an increase in early repayment and refinancing of mortgages and other fixed-rate consumer and corporate loans as customers look to take advantage of lower borrowing costs. As at 31 December 2021, the gross exposure to home-loans in France granted by the Crédit Agricole Group were €455 billion. If interest rates remain low, a similar trend of early repayments could occur again. This, along with the issuance of new loans at the low prevailing market interest rates, could result in an overall decrease in the average interest rate of

(1) Source: L'Argus de l'assurance.

loan books. A reduction in credit spreads and a decline in retail banking revenues resulting from lower portfolio interest rates may have a material adverse effect on the profitability of the retail banking operations of the affiliated members of the Crédit Agricole Group and the overall financial position of the Crédit Agricole Group.

An environment of persistently low interest rates can also have the effect of flattening the yield curve in the market more generally, which could reduce the revenues generated by the financing activities of the Crédit Agricole Group and each of its members in connection with the financing activities and have a negative effect on their profitability and financial position. A flattening yield curve can also influence financial institutions to engage in riskier activities in an effort to earn the desired level of returns, which can increase overall market risk and volatility. The Crédit Agricole Group's operations could as a result be significantly disrupted, and, consequently, its business, results of operations and financial position could experience a material adverse effect.

Moreover, inflation has become the focus of attention again. The very sharp acceleration was the result of a combination of several factors: upstream pressures with strong increases in commodity prices and bottlenecks, downstream pressures from the strong rebound in household consumption supported by substantial financial aid and high savings inherited from the 2020 crisis, and base effects after very low inflation in 2020. While supply remained constrained at the exit of the crisis (shortage in labour and goods), the normalisation of demand led to an increase in prices in specific sectors, in particular those that were previously hit hard by the pandemic (hotels, restaurants and automotive). In addition to the indirect impacts relating to the consequences on interest rates, this inflation-related pressure could have a direct impact on the Crédit Agricole Group's expenses (salaries, purchases).

c) Any adverse changes to the interest rate curve weighs or is likely to weigh on the Crédit Agricole Group's consolidated revenues or profitability

The Crédit Agricole Group is among the retail banking leaders and is therefore exposed to interest rate variations through the Regional Banks and LCL, specifically with a cumulative market share of over 28% in France.

The amount of net interest margin earned by the Crédit Agricole Group during any given period significantly affects its overall consolidated revenues and profitability for that period. Interest rates are highly sensitive to many factors beyond the Crédit Agricole Group's control. Changes in market interest rates could affect the interest rates charged on interest-earning assets differently than the interest rates paid on interest-bearing debt. Any adverse change in the yield curve could cause a decline in the Crédit Agricole Group's net interest revenues from its lending activities.

Analysis in terms of economic value

As at end-December 2021, if interest rates were to decline in the main regions to which the Crédit Agricole Group is exposed⁽¹⁾, the economic value⁽²⁾ of the Crédit Agricole Group would be positively affected by €1.9 billion; conversely, as at end-December 2021, it would be negatively affected by -€10.9 billion on its economic value if the interest rates in the main regions to which the Crédit Agricole Group is exposed were to increase. These impacts are calculated based on a balance sheet phased out over the next 30 years, meaning they do not take into account

future production and do not include any dynamic impact from a change of positions on the balance sheet. The average maturity of deposits without contractual maturity (demand deposits and savings books) outside financial institutions is limited to five years. The balance sheet used excludes equity and shareholdings in compliance with regulations governing interest rate risk (Supervisory Outlier Test).

Net interest margin analysis

Taking into consideration a one-, two- and three-year horizon, assuming a constant balance sheet and therefore an identical renewal of maturing transactions, a pass-through rate⁽³⁾ of 100%, i.e. an immediate impact of interest rate changes to assets and liabilities, and finally with demand deposits maintained at their current high level without interest: at end-December 2021, in the event of a 50 basis point drop in interest rates in the main areas where the Crédit Agricole Group is exposed⁽¹⁾, the Crédit Agricole Group's net interest margin would fall by -€0.6 billion in year 1, -€1 billion in year 2 and -€1.3 billion in year 3. Conversely, at end-December 2021, in the event of an increase in interest rates of +50 basis points in the main areas where the Crédit Agricole Group is exposed, the Crédit Agricole Group's net interest margin would increase by €1 billion in year 1, €1 billion in year 2 and €1.4 billion in year 3.

The sensitivities between the two approaches are inverse: the Crédit Agricole Group's economic value drops if rates increase while the net interest margin increases.

The fall in economic value in the event of a rate hike is due to a generally lower volume of fixed-rate liabilities than fixed-rate assets on future maturities.

Conversely, the net interest margin increases if interest rates rise, as the sensitivity of renewed assets to rate changes is higher than that of renewed liabilities, due to the fact that liabilities include equity and retail customer resources (demand deposits and regulated savings), which are not sensitive to interest rate increases. In addition, the impact of a rate increase is assumed to be 100% immediately passed through customer assets; demand deposits remain at their current high level, without being interest-bearing (resumption of the assumptions of the EBA stress tests). In fact, the increase in the net interest margin would materialise more gradually than the results given above would suggest.

The Crédit Agricole Group's results may also be affected by either an upward or downward change in interest rates in the event they cannot be hedged from an accounting point of view. More generally, the discontinuation of accommodative monetary policies could lead to significant corrections on certain markets or asset classes, and an increase in market volatility.

Finally, any rate increase that is sharper or more rapid than expected could i) threaten economic growth in the European Union, the United States and elsewhere, ii) test the resistance of loan and bond portfolios, and iii) lead to an increase in doubtful loans and defaults. More generally, the ending of accommodative monetary policies may lead to severe corrections in certain markets or assets (e.g., non-investment grade corporate and sovereign borrowers, certain sectors of equities and real estate) that particularly benefited from the prolonged low interest rate and high liquidity environment. Such corrections could potentially be contagious to financial markets generally, including through substantially increased volatility. The Crédit Agricole Group's operations could as a result be significantly disrupted, and, consequently, its business, results of operations and financial position could experience a material adverse effect.

(1) The interest rate shocks taken into account correspond, for the analysis in terms of economic value, to the regulatory scenarios, i.e., +/- 200 bps in the eurozone and the United States and +/- 100 bps in Switzerland, and for the net interest margin analysis to a uniform shock of +/- 50 bps.

(2) Net present value of the current balance sheet from which the value of the equity and fixed assets is excluded.

(3) The pass-through rate is the sensitivity of customer rates to a change in the market rates.

d) Adjustments to the carrying amount of the Crédit Agricole Group's securities and derivatives portfolios and the Crédit Agricole Group's own debt could have an impact on its net income and shareholders' equity

The carrying amount of the Crédit Agricole Group's securities and derivatives portfolios and certain other assets, as well as that of its own debt, in its balance sheet are adjusted as at each financial statement date. The value adjustments specifically reflect the credit risk inherent in the Crédit Agricole Group's own debt in addition to the value variations associated with the interest rate and equities markets. Most of the adjustments are made on the basis of changes in fair value of the assets or liabilities of the Crédit Agricole Group during an accounting period, with the changes recorded either in the income statement or directly in shareholders' equity. Changes that are recognised in the income statement, to the extent not offset by opposite changes in the fair value of other assets, affect the consolidated net income of the Crédit Agricole Group. All fair value adjustments affect shareholders' equity and, as a result, the capital adequacy ratios of the Crédit Agricole Group. The fact that fair value adjustments are recognised in one accounting period does not mean that further adjustments will not be necessary in subsequent periods.

As at 31 December 2021, the gross outstanding debt securities held by the Crédit Agricole Group were €158.3 billion. Accumulated impairments and reserves and negative fair value adjustments due to credit risk were €167 million.

e) The Crédit Agricole Group may suffer losses in connection with its holdings of equity securities

Equity securities held by the Crédit Agricole Group could decline in value, causing losses for the Crédit Agricole Group. The Crédit Agricole Group bears the risk of a decline in value of equity securities in connection with its market-making and trading activities, mainly with respect to listed equity securities, in its private equity business, and in connection with transactions in which it acquires strategic equity investments in a company with a view to exercising control and influencing the management policies of the Crédit Agricole Group. In the case of strategic equity investments, the Crédit Agricole Group's degree of control may be limited, and any disagreement with other shareholders or with management may adversely impact the ability of the Crédit Agricole Group to influence the policies of the relevant entity. If the Crédit Agricole Group's equity securities decline in value significantly, the Crédit Agricole Group may be required to record fair value adjustments or recognise asset impairment charges in its consolidated financial statements, which could negatively impact its results of operations and financial position.

As at 31 December 2021, the Crédit Agricole Group held close to €52.8 billion in equity instruments, of which €41.9 billion were recorded at fair value through profit or loss; €6.8 billion were held for trading purposes and €4.1 billion in equity instruments recognised at fair value through equity.

f) The Crédit Agricole Group must adequately manage assets and liabilities to control the risk of losses, nonetheless prolonged market downturns could reduce liquidity, making it more difficult to dispose of assets and could result in significant losses.

The Crédit Agricole Group is exposed to the risk that the maturity, interest rate or currencies of its assets might not match those of its liabilities. The timing of payments on many of the Crédit Agricole Group's assets is uncertain and, if the Crédit Agricole Group receives lower revenues than expected at a given time, it might require additional funding from the market in order to meet its obligations on its liabilities. While the Crédit Agricole Group imposes strict limits on the gaps between its assets and its liabilities as part of its risk management procedures, it cannot be certain that these limits will be fully effective to eliminate potential losses arising from asset and liability mismatches.

The Crédit Agricole Group's primary target in managing liquidity is to ensure that it has sufficient resources to meet its requirements in the event of any type of severe, prolonged liquidity crisis. As at 31 December 2021, the Crédit Agricole Group's LCR (Liquidity Coverage Ratio – the regulatory prudential ratio to ensure the short-term resilience of the liquidity risk profile) was 170.9%⁽¹⁾, higher than the regulatory minimum of 100%, and exceeding the goal of 110% under the medium-term Plan.

In some of the Crédit Agricole Group's business activities, notably its market, asset management and insurance activities, it is possible that protracted market movements, particularly asset price declines, reduce the level of activity in the market or reduce market liquidity. Such developments can lead to material losses if the Crédit Agricole Group cannot close out deteriorating positions in a timely manner. This may especially be the case of not very liquid assets held by the Crédit Agricole Group. Assets that are not traded on stock exchanges or other public trading markets, such as derivatives contracts between banks, may have values that the Crédit Agricole Group calculates using models other than publicly-quoted prices. Monitoring the deterioration of prices of assets like these is difficult and could expose the Crédit Agricole Group to non-anticipated losses.

g) The Crédit Agricole Group is exposed to risks associated with changes in market prices and volatility with respect to a wide number of market parameters

The Crédit Agricole Group's businesses are materially affected by conditions in the financial markets, which in turn are impacted by current and anticipated future economic conditions in France, Europe and in the other regions around the world where the Crédit Agricole Group operates. Adverse changes in market, economic or geopolitical conditions could create a challenging operating environment for financial institutions. In particular, the risks to which the Crédit Agricole Group is therefore highly exposed include fluctuations in interest rates, security prices, foreign exchange rates, the specific yield premium on a bond issue and the prices of oil, precious metals and other commodities.

(1) Average LCR at end-December 2021.

For example, the Crédit Agricole Group is vulnerable to volatility and increased prices for oil, natural gas and agricultural products such as wheat, which can impact the Group's commodities financing activity and also have an impact on the French agriculture sector, which represents a significant client base for the Group.

Moreover, the Crédit Agricole Group is sensitive to the potential market volatility that would be generated by a concerted action of investors using social networking platforms to inflate the share price of certain issuers or commodities. Such activities, whether the Crédit Agricole Group share is the target or not, may create valuation uncertainty and unpredictable market conditions, and could adversely affect the Crédit Agricole Group and its counterparties. If the financial conditions of the Crédit Agricole Group or its counterparties deteriorated, the Crédit Agricole Group could suffer losses.

The Crédit Agricole Group uses a "Value at Risk" (VaR) model detailed in the risk management to quantify its exposure to potential losses related to market risks. The VaR of the Group as at 31 December 2021 was €9 million.

It also conducts stress tests to quantify its potential exposure in extreme scenarios. However, these techniques rely on statistical methodologies based on historical observations, which may turn out to be unreliable indicators of future market conditions. Accordingly, the Crédit Agricole Group's exposure to market risk in extreme scenarios could be greater than the exposures predicted by its quantification techniques.

The amount of risk-weighted assets (RWAs) relating to the market risk to which the Crédit Agricole Group is exposed was €12.9 billion as at 31 December 2021.

h) Future events may be different from those reflected in the Management's assumptions and estimates used in the preparation of the Crédit Agricole Group's financial statements, which may cause unexpected losses in the future

Under the IFRS standards and interpretations in effect, the Crédit Agricole Group is required to use certain estimates in preparing its financial statements, including accounting estimates to determine loan loss impairment charges, reserves related to future litigation, and the fair value of certain assets and liabilities, among other items. Should the Crédit Agricole Group's determined values for such items prove substantially inaccurate, or if the methods by which such values were determined are revised in future IFRS standards or interpretations, the Crédit Agricole Group may experience unexpected losses.

i) The Crédit Agricole Group's hedging strategies may not eliminate all risk of losses

If any of the variety of instruments and strategies that the Crédit Agricole Group uses to hedge its exposure to various types of risk in its businesses is not effective, the Crédit Agricole Group may incur losses. Many of its strategies are based on historical trading patterns and correlations. For example, if the Crédit Agricole Group holds a long position in an asset, it may hedge that position by taking a short position in an asset where the short position has historically moved in a direction that would offset a change in the value of the long position. The Crédit Agricole Group may

only be partially hedged, however, or these strategies may not be fully effective in mitigating its risk exposure in all market environments or against all types of risk in the future. Unexpected market developments may also reduce the effectiveness of the Crédit Agricole Group's hedging strategies. In addition, the manner in which gains and losses resulting from certain ineffective hedges are recorded may result in additional volatility in the Crédit Agricole Group's reported earnings.

1.1.3 Operational risks and associated risks

The operational risk of the Crédit Agricole Group includes non-compliance risk, legal risk and the risks generated by key outsourced services (*prestations externalisées*). Over the period from 2019 to 2021, operational risk incidents for the Crédit Agricole Group were divided as follows: the "Implementation, delivery and process management" category represents 25% of the operational loss, the "Customers, products and business practices" category represents 11% of the operational loss, and the "External fraud" category represents 42% of the operational loss. Other operational risk incidents can be broken down into employment and safety practice (9%), internal fraud (11%), business disruptions and system failures (2%).

In addition, the amount of risk-weighted assets (RWAs) relating to operational risk to which the Crédit Agricole Group is exposed was €58.7 billion as at 31 December 2021.

a) The Crédit Agricole Group is exposed to fraud risk

Fraud is defined as an intentional act carried out with the aim of obtaining a material or immaterial advantage to the detriment of a person or an organisation perpetrated by violating laws, regulations or internal rules or by infringing the rights of others or by concealing all or part of an operation or set of operations or their characteristics.

At the end of 2021, the amount of proven fraud for the Crédit Agricole Group was €151 million, representing a decrease of -69% compared with 2020 (€481 million) which had been impacted by exceptional fraud files of €366 million at Crédit Agricole CIB and Amundi (of which €231 million in credit frontier risk).

On a constant scope basis, the cost of fraud in 2021 (€151 million) would be up 31% compared with 2020 (€115 million), restated for exceptional files.

Consumer finance, retail banking in France (LCL + CR) and internationally represented 97% of overall fraud (excluding exceptional fraud).

Excluding exceptional files, the risk breakdown for fraud is as follows:

- fraud in means of payment (electronic payment, transfers and cheques): 49%;
- identity and documentary fraud: 28%;
- robbery: 4%;
- PSA/NPAI: 9%;
- others: 10%.

In a context of increasing attempts at external fraud and of more complex operating methods (notably via cybercrime), the main challenges now lie in the proactivity of banking players. Fraud prevention thus aims to protect the interests of the Bank and protect customers. The consequences of these fraud risks could prove to be significant.

b) The Crédit Agricole Group is exposed to risks related to the security and reliability of its information systems and those of third parties

Technology is at the heart of the activity of the banks in France, and the Crédit Agricole Group continues to deploy its multichannel model as part of a lasting relationship with its customers. In this context, the Crédit Agricole Group is subject to cyber risk, which is the risk caused by a malicious and/or fraudulent act, perpetrated digitally in an effort to manipulate data (personal, banking/insurance, technical or strategic data), processes and users, with the aim of causing material losses to companies, their employees, partners and customers. Cyber risk has become a top priority in the field of operational risks. A company's data assets are exposed to new, complex and evolving threats which could have material financial and reputational impacts on all companies, and specifically on banking institutions. Given the increasing sophistication of criminal enterprises behind cyber-attacks, regulatory and supervisory authorities have begun highlighting the importance of risk management in this area.

As with most other banks, the Crédit Agricole Group relies heavily on communications and information systems throughout the Group to conduct its business. Any failure or interruption or breach in security of these systems could result in failures or interruptions in its customer relationship management, general ledger, deposit, servicing and/or loan organisation systems. If, for example, the Crédit Agricole Group's information systems failed, even for a short period of time, it would be unable to serve in a timely manner certain customers' needs and could thus lose business opportunities. Likewise, a temporary shutdown of the information systems of the Crédit Agricole Group, even though it has back-up recovery systems and contingency plans, could result in considerable costs required for information retrieval and verification. The Crédit Agricole Group cannot provide assurances that such failures or interruptions will not occur or, if they do occur, that they will be adequately addressed. The occurrence of any failures or interruptions could have an adverse effect on its financial position and results of operations.

The Crédit Agricole Group is also exposed to the risk of an operational failure or interruption of one of its clearing agents, foreign exchange markets, clearing houses, custodians or other financial intermediaries or external service providers that it uses to execute or facilitate its securities transactions. The Crédit Agricole Group is also at risk in case of a failure of an external information technology service provider, such as a cloud data storage company. As its interconnectivity with its customers grows, the Crédit Agricole Group may also become increasingly exposed to the risk of operational failure of its customers' information systems. The Crédit Agricole Group's communications and information systems, and those of its customers, service providers and counterparties, may also be subject to failures or interruptions resulting from cybercrime or cyber terrorism. The Crédit Agricole Group cannot guarantee that failures or interruptions in its systems or in those of other parties will not occur or, if they do occur, that they will be adequately resolved. Over the period from 2019 to 2021, operational losses due to the risk of business disruptions and system failures accounted for between 2% and 6% of operational losses.

c) The Crédit Agricole Group's risk management policies, procedures and methods may leave it exposed to unidentified or unanticipated risks, which could lead to material losses

The Crédit Agricole Group's risk management techniques and strategies may not be fully effective in mitigating its risk exposure in all types of market environments or against all types of risk, including risks that it fails to identify or anticipate. Furthermore, the risk management procedures and policies used by the Crédit Agricole Group do not guarantee effective risk reduction in all market configurations. These procedures may not be effective against certain risks, particularly those that the Crédit Agricole Group has not previously identified or anticipated. Some of the qualitative tools and metrics used by the Crédit Agricole Group for managing risk are based upon its use of observed historical market behaviour. The Crédit Agricole Group applies statistical and other tools to these observations to assess its risk exposures. The tools and metrics may fail to predict future risk exposures of the Crédit Agricole Group. These risk exposures could, for example, arise from factors it did not anticipate or correctly evaluate in its statistical models or from unprecedented market movements. This would limit its ability to manage its risks and affect its results. The Crédit Agricole Group's losses could therefore be significantly greater than those anticipated based on historical measures. In addition, certain of the processes that the Crédit Agricole Group uses to estimate risk exposure are based on both complex analysis and factors that could lead to uncertain assumptions. Both qualitative and quantitative models used by the Crédit Agricole Group may not be comprehensive and could lead the Crédit Agricole Group to significant or unexpected losses. While no material issue has been identified to date, risk management systems are also subject to the risk of operational failure, including fraud.

As at 31 December 2021, the Crédit Agricole Group had a prudential capital requirement of €4.7 billion to cover operational risk, under the Advanced Measurement Approach (AMA) based on observed losses and medium and long-term loss assumptions, and the Standard Approach (TSA).

d) Any damage to the Crédit Agricole Group's reputation could have a negative impact on its business

The Crédit Agricole Groups business depends in large part on the maintenance of a strong reputation in compliance and ethics. If the Crédit Agricole Group were to become subject to legal proceedings or adverse publicity relating to compliance or similar issues, its reputation could be affected, resulting in an adverse impact on its business. These issues include inappropriately dealing with potential conflicts of interest, legal and regulatory requirements, competition issues, ethics issues, money laundering laws, information security policies and sales and trading practices. The Crédit Agricole Group's reputation could also be damaged by an employee's misconduct or fraud or embezzlement by financial intermediaries. Any damage to the Crédit Agricole Group's reputation might lead to a loss of business that could impact its earnings and financial position. Failure to address these issues adequately could also give rise to additional legal risk, which might increase the number of litigation claims and expose the Crédit Agricole Group to fines or regulatory sanctions.

Reputational risk is a significant risk for the Crédit Agricole Group and is managed by the Compliance department of the Crédit Agricole Group, which notably ensures the prevention and control of the risks of non-compliance with, in this context, the prevention of money laundering, the fight against the financing of terrorism, the prevention of fraud and corruption, compliance with embargoes and the obligations to freeze assets.

e) The Crédit Agricole Group is exposed to the risk of paying higher compensation for damages or fines as a result of legal, arbitration or regulatory proceedings

The Crédit Agricole Group has in the past been, and may in the future be, subject to significant legal proceedings (including class action lawsuits), arbitrations and regulatory proceedings. When determined adversely to the Crédit Agricole Group, these proceedings can result in awards of high damages, fines and penalties. Legal and regulatory proceedings to which the Crédit Agricole Group has been subject involve issues such as collusion with respect to the manipulation of market benchmarks, violation of international sanctions, inadequate controls and other matters. While the Crédit Agricole Group in many cases has substantial defences, even where the outcome of a legal or regulatory proceeding is ultimately favourable, the Crédit Agricole Group may incur substantial costs and have to devote substantial resources to defending its interests.

Organised as a business line, the Legal Affairs Department has two main objectives: to control legal risk, which can give rise to disputes and liabilities, whether civil, disciplinary or criminal, and to provide the legal support needed by entities to enable them to carry out their activities. At end-December 2021, reserves for legal risks totalled €758 million compared with €808 million at the end of 2020.

f) The international scope of the Crédit Agricole Group's operations exposes it to legal and compliance risks

The international scope of the Crédit Agricole Group's operations exposes it to risks inherent in foreign operations, including the need to comply with multiple and often complex laws and regulations applicable to activities in each of the countries where the Crédit Agricole Group is active, such as local banking laws and regulations, internal control and disclosure requirements, data privacy restrictions, European, U.S. and local anti-money laundering and anti-corruption laws and regulations, international sanctions and other rules and requirements. Violations of these laws and regulations could harm the reputation of the Crédit Agricole Group, result in litigation, civil or criminal penalties, or otherwise have a material adverse effect on its business.

To illustrate, in October 2015, Crédit Agricole S.A. and its subsidiary Crédit Agricole Corporate and Investment Bank (Crédit Agricole CIB) reached agreements with the US federal and New York State authorities that had been conducting investigations regarding US dollar transactions with countries subject to US economic sanctions. The events covered by this agreement took place between 2003 and 2008. Crédit Agricole CIB and Crédit Agricole S.A., which cooperated with the US and New York authorities in connection with their investigations, have agreed to pay a total penalty amount of US\$787.3 million (i.e. €692.7 million).

Despite the implementation and improvement of procedures designed to ensure compliance with these laws and regulations, there can be no assurance that all employees or contractors of the Crédit Agricole Group will follow its policies or that such programmes will be adequate to prevent all violations. It cannot be excluded that transactions in violation of the Crédit Agricole Group's policies may be identified, potentially resulting in penalties. The Crédit Agricole Group furthermore does not have direct or indirect majority voting control in certain entities with international operations, and in those cases its ability to require compliance with its policies and procedures may be even more limited.

At end-2021, the Crédit Agricole Group had operations in 47 countries. This includes the parent entity, its subsidiaries and their branches. It does not include held-for-sale and discontinued operations, nor any equity-accounted entities. Note that at end-2021, 81% of the net banking revenues (excluding intercompany eliminations) of the Crédit Agricole Group came from its two main locations (France and Italy).

1.1.4 Risks relating to the environment in which the Crédit Agricole Group operates

a) The Crédit Agricole Group's results of operations and financial condition may be affected by disruptions to global economic conditions and financial markets resulting from the conflict between Russia and Ukraine

The conflict between Russia and Ukraine, as well as economic sanctions measures against Russia adopted in response by a number of countries (including France, the European Union, the United Kingdom and the United States), may have widespread economic and financial repercussions. The conflict has exacerbated instability in global markets, with a negative impact on stock market indices, increases in commodity prices (particularly oil, gas and agricultural products such as wheat), worsening supply chain disruptions, and additional inflationary pressures beyond those already observed in recent months. These difficult conditions in the global economy and financial markets could have significant negative effects on the Crédit Agricole Group and its customers. These conditions may continue or worsen as the conflict evolves.

b) The ongoing coronavirus (Covid-19) pandemic may negatively affect the business, operations and financial performance of the Crédit Agricole Group.

Uncertainty remains regarding changes in the public health situation in Europe, due to the challenge of continuing to increase vaccine uptake and booster shots among the population, coupled with the development of new, more infectious variants.

New restrictions have been introduced in some European countries (maximum capacities, curfews, closure of borders, further lockdowns, etc.) that may curb economic activity and negatively impact consumer confidence. The introduction of further measures cannot be ruled out, even in countries where vaccination rates are high. Furthermore, there are still major uncertainties surrounding the actual damage caused by the crisis on production capacity (corporate insolvencies, bottlenecks on global supply chains) and the labour market (unemployment), which are currently limited by fiscal and monetary economic support measures. How governments (particularly the French and Italian governments) and the central banks (particularly the European Central Bank) manage and set targets for withdrawing these measures will be crucial.

Furthermore, the development of the epidemic and vaccination programmes vary greatly throughout the world, particularly in some emerging countries that are struggling to control the virus, resulting in restrictive government measures being maintained, which continue to disrupt global trade and supply chains as well as international travel. This could weaken some countries and weigh more heavily on certain sectors (tourism and air transport), thereby curbing global economic activity.

Against this backdrop, the European Commission reviewed its growth forecasts for 2022 in October to 4.3% for the eurozone and 3.8% for France. Despite the impact of the support measures implemented in many countries, the effects of the pandemic on the global economy and financial markets have had and are likely to continue to have a material adverse impact on the results of the business lines and financial position of the Crédit Agricole Group. This impact included, and could include in the future:

1. a decrease in revenues due notably to (a) a slowdown in production in certain activities, (b) a decrease in revenues from fees and commissions, notably resulting from lower asset management inflows in a context of risk aversion and a drop in insurance and banking fee and commission income, and (c) lower revenues in asset management and insurance;
2. an increase in the cost of risk due to a deterioration in the macroeconomic outlook and the deterioration in the repayment capacity of businesses and consumers, specifically with regard to the withdrawal of support measures in certain countries;
3. increased risk of a ratings downgrade following the sector reviews of certain rating agencies and following internal reviews of Crédit Agricole S.A. models; ;
4. higher risk-weighted assets (RWAs) due to the deterioration of risk parameters, which in turn could impact the capital position of the Crédit Agricole Group (specifically its solvency ratio); and
5. a deterioration in Crédit Agricole Group's liquidity (affecting its short-term liquidity coverage ratio – LCR) due to various factors, including in particular an increase in corporate customer drawdowns on credit lines.

The cost of risk may continue to be affected in 2022 by the change in the global health and macroeconomic situation in addition to the deterioration in the repayment capacity of companies (fragile companies, frauds revealed by the crisis) and consumers, the downgrading of ratings of counterparties whose receivables were downgraded from “*Stage 1*” to “*Stage 2*”, the sensitivity of certain sectors, particularly:

1. as a result of ongoing restrictions on travel or gatherings of people, i.e. for air transportation, cruises, restaurants, international tourism and events;
2. affected by a slowdown in or even disruptions to global supply chains (automotive);
3. which continue to be weakened by structural changes in consumer habits caused by the health crisis, for example in non-food retail sectors. Moreover, the commercial property sector is also closely monitored, as the health crisis has accelerated pre-existing conditions in some segments, such as shopping centres being undermined by online shopping and the office building segment facing structural change if teleworking trends continue.

At 31 December 2021, the Crédit Agricole Group's exposure to sectors considered “sensitive” was as follows: (a) aviation, with EAD (Exposure at Default ⁽¹⁾) of €15.4 billion, of which 4.9% in default, (b) tourism, hotels, restaurants, with EAD of €12.7 billion, of which 5.7% in default,

(c) non-food retail, with EAD of €19.3 billion, of which 2.5% in default, (d) automotive, with EAD of €25.1 billion, of which 0.5% in default, (e) shipping, with EAD of €14.1 billion, of which 4.3% in default, and (f) Oil & Gas, with EAD of €24.7 billion, of which 1.3% in default.

Over 2021, the economic scenarios for the second half of 2021, which were significantly more favourable compared to the base used in 2020 and in the first quarter of 2021, generated lower provisions associated with the economic scenario in *Stage 1* and *Stage 2* ⁽²⁾, and even reversals on certain portfolios.

Lastly, the Crédit Agricole Group's fully loaded Common Equity Tier 1 ratio was 17.2% as at 31 December 2021 versus 16.9% at 31 December 2020.

This change is not in any way an indication of the level of the CET1 ratio over the next quarters in 2022. In particular, there is still great uncertainty regarding the unemployment rate, the use of accumulated savings, the health scenario and the timetable of the deployment and then withdrawal of government measures, and, more generally, about the consequences of the economic growth trend on retained earnings, risk-weighted assets, public authorities' decisions and regulatory changes.

c) **Adverse economic and financial conditions have in the past had and may in the future have an impact on the Crédit Agricole Group and the markets in which it operates**

The businesses of the Crédit Agricole Group are specifically and significantly exposed to changes in the financial markets and, more generally, to the development of the economic conditions in France, Europe and the rest of the world. In the financial year ended 31 December 2021, 71% of the Crédit Agricole Group's revenues were generated in France, 10% in Italy, 12% in the rest of Europe and 7% in the rest of the world according to information provided in the notes to the financial statements. A deterioration in economic conditions in the markets where the Crédit Agricole Group operates could have one or several of the following impacts:

- adverse economic conditions could affect the business and operations of customers of the Crédit Agricole Group, which could increase the rate of default on loans and other receivables;
- a decline in the prices of bonds, equities and commodities could impact a significant portion of the business of the Crédit Agricole Group, including in particular trading, investment banking and asset management revenues;
- macro-economic policies adopted in response to actual or anticipated economic conditions could have unintended effects, and are likely to impact market parameters such as interest rates and foreign exchange rates, which in turn could affect the businesses of the Crédit Agricole Group that are most exposed to market risk;
- perceived favourable economic conditions generally or in specific business sectors could result in asset price bubbles, which could in turn exacerbate the impact of corrections when conditions become less favourable;
- a significant economic disruption (such as the global financial crisis of 2008 or the European sovereign debt crisis of 2011) could have a severe impact on all of the activities of the Crédit Agricole Group, particularly if the disruption is characterised by an absence of market liquidity that makes it difficult to sell certain categories of assets at their estimated market value or at all.

(1) Exposure at default: Crédit Agricole S.A.'s exposure in the event of counterparty default. The EAD includes on- and off-balance sheet exposures. Off-balance sheet exposures are converted into balance sheet equivalents using internal or regulatory conversion factors (draw-down scenarios).

(2) *Stage 1* and *Stage 2* receivables correspond to performing loans.

- greater uncertainties and major upheavals in the markets could increase volatility. Which could have material adverse consequences on the trading and investment activities that the Crédit Agricole Group undertakes in the bond, foreign exchange, commodities and equities markets and on its positions on other investments. Over the last few years, financial markets have experienced major disruptions together with strong volatility, which could repeat itself, exposing the Crédit Agricole Group to material losses. Such losses could extend to a number of trading and hedging instruments which the Crédit Agricole Group uses, specifically swaps, forwards, futures, options and structured products. Financial market volatility also makes any anticipation of trends and effective trading strategies more difficult.

In relation to this, in the current context of decreasing global growth and in 2020 very accommodative monetary policies, a deterioration in economic conditions would increase the difficulties and failures of businesses and the unemployment rate could start rising again, increasing the probability of customer default. The heightened uncertainty could have a strong negative impact on the valuation of risky assets, on the currencies of countries in difficulty, and on the price of commodities.

- A deterioration in the global landscape, could lead to further easing of monetary policies, which combined with a revival of risk aversion, leads to a prolongation of very low interest rates in the countries deemed to be risk free (Germany, the US).
- The global political and geopolitical context – more conflictual and tenser – induces greater uncertainty and increases the overall level of risk. This can lead, in the event of rising tensions or the materialisation of latent risks, to major market movements and can weigh on economies. Such risks include trade war, Brexit, tensions in the Middle East, social or political crises around the world, tensions in Eastern Europe, etc.
- In Italy, a political crisis, against the backdrop of already low growth and high public debt, would have a negative impact on confidence and the economy, and could also cause a rise in interest rates and in the cost of refinancing for the government and the banks. It could also lead to losses on the sovereign portfolios of banks and insurers. To illustrate, the Crédit Agricole Group's exposure in Italy was €137.8 billion as of end-December 2021 (Pillar 3), which represents 6.49% of the Crédit Agricole Group's exposures.
- In France, there could also be a significant drop in confidence in the event of a more marked deterioration of the social context which could lead households to consume less and save more as a precaution, and companies to delay investments, which could be harmful to growth and to the quality of private debt, which has increased more than in the rest of Europe.
- The very low level of interest rates leads investors, seeking yield, to move towards riskier assets; it could lead to the formation of bubbles in financial assets and in certain real estate markets. It also leads private customers and governments to go into debt and debt levels are sometimes very high. This increases the risks in the event of a market downturn.

It is difficult to predict when economic or financial market downturns will occur, and which markets will be most significantly impacted. If economic or market conditions in France or elsewhere in Europe, or global markets more generally, were to deteriorate or become significantly more volatile, the Crédit Agricole Group's operations could be disrupted, and its business, results of operations and financial position could as a result experience a material adverse effect.

d) The Crédit Agricole Group operates in a highly regulated environment, and its profitability and financial position could be significantly impacted by ongoing legal and regulatory changes

The Crédit Agricole Group is subject to major regulations and a number of supervisory regimes in jurisdictions where the Crédit Agricole Group carries out its business.

To illustrate, such regulations pertain to, in particular:

- regulatory and prudential requirements applicable to credit institutions, including prudential rules in terms of adequacy and minimum capital and liquidity requirements, risk diversification, governance, restrictions in terms of equity investments and remunerations as defined in particular by (i) Regulation (EU) No. 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms (as amended, in particular, by Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 and by Regulation (EU) 2020/873 of the European Parliament and the Council of 24 June 2020) and (ii) Directive 2013/36/EU of the European Parliament and of the Council of 26 June 2013 on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms (as modified, notably, by the Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019) as transposed into domestic law; under these regulations, credit institutions such as the Crédit Agricole Group must notably meet the requirements regarding minimum capital ratio, risk diversification and liquidity, monetary policy, reporting/disclosures, as well as restrictions on equity investments. As at 31 December 2021, the ratio of fully loaded Common Equity Tier 1 (CET1) capital was 17.5% and the total fully loaded ratio of the Crédit Agricole Group was 21.4%;
- the rules applicable to bank recovery and resolution as defined notably by (i) Directive 2014/59/EU of the European Parliament and of the Council of 15 May 2014 establishing a framework for the recovery and resolution of credit institutions and investment firms (as amended by Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 as regards the loss-absorbing and recapitalisation capacity of credit institutions and investment firms), as transposed into domestic law and (ii) Regulation (EU) 806/2014 of the European Parliament and of the Council of 15 July 2014 establishing uniform rules and a uniform procedure for the resolution of credit institutions and certain investment firms in the framework of a Single Resolution Mechanism and a Single Resolution Fund (as modified, notably, by Regulation (EU) 2019/877 of the European Parliament and of the Council of 20 May 2019); accordingly, the Crédit Agricole Group is placed under the supervision of the ECB to which a Crédit Agricole Group recovery plan is submitted each year in accordance with the applicable regulations (for more information, see the "Risk Management" section of the 2019 URD Amendment A01). In addition, the contribution of the Crédit Agricole Group to the annual financing of the Single Resolution Fund can be significant. Thus, in 2021, the Crédit Agricole Group's contribution to the SRF was €479 million in 2021 (this amount includes €185 million overpaid between 2016 and 2020 and returned to the Crédit Agricole Group);

- the regulations applicable to financial instruments (including shares and other securities issued by Crédit Agricole S.A.), as well as the rules relating to financial reporting, information disclosure and market abuse (Regulations (EU) No. 596/2014 of the European Parliament and of the Council of 16 April 2014 on market abuse), which in particular increase the obligations of Crédit Agricole Group in terms of transparency and reporting;
- monetary, liquidity, interest rate and other policies of central banks and regulatory authorities;
- the regulations governing certain types of transactions and investments, such as derivatives and securities financing transactions and money market funds (Regulation (EU) No. 648/2012 of the European Parliament and of the Council of 4 July 2012 over-the-counter derivatives, central counterparties and trade repositories);
- regulations of market infrastructures, such as trading platforms, central counterparties, central securities depositories and securities settlement systems;
- tax and accounting legislation in the jurisdictions where the Crédit Agricole Group operates; and
- the rules and procedures relating to internal control, risk management and compliance.

As a result of some of these measures, the Crédit Agricole Group was notably forced to reduce the size of some of its activities in order to comply with the new requirements created by them. These measures have also increased compliance costs and it is likely that they will continue to do so. In addition, some of these measures may also significantly increase the Crédit Agricole Group's funding costs, particularly by requiring the Crédit Agricole Group to increase the portion of its funding consisting of capital and subordinated debt, which carry higher costs than senior debt instruments.

Non-compliance with these regulations may have material consequences for the Crédit Agricole Group: increase intervention by regulatory authorities in addition to fines, international political sanctions, public scorn, reputational damage, forced suspension of operations or, in extreme cases, revocation of its operating license. Moreover, regulatory constraints could significantly limit the ability of the Crédit Agricole Group to expand its business or to pursue certain existing activities.

In addition, legislative and regulatory measures have entered into force in recent years or may be adopted or modified to introduce or strengthen a number of changes, some of which are permanent, in the overall financial environment. While the objective of these measures is to avoid a recurrence of the global financial crisis, the new measures have changed substantially, and may continue to change, the environment in which the Crédit Agricole Group and other financial institutions operate. The measures that have been or may be adopted include more stringent capital and liquidity requirements (particularly for large global institutions and groups such as the Crédit Agricole Group), tax on financial transactions, caps or tax on employee remuneration over specified levels, limits on the types of activities that commercial banks can undertake (particularly proprietary trading and investment and ownership in private equity funds and hedge funds), ring-fencing requirements relating to certain activities, restrictions on the types of entities permitted to conduct swaps activities, restrictions on certain types of activities or financial products such as derivatives, mandatory write-downs or conversions into equity of certain debt instruments, enhanced recovery and resolution regimes, revised risk-weighting methodologies (particularly with respect to insurance businesses), periodic stress testing, and the creation of new and strengthened regulatory bodies and new rules for the management of environment, social and governance (ESG) risks.

- Some of the new measures adopted after the financial crisis may be modified, affecting the predictability of the regulatory regimes to which the Crédit Agricole Group is subject and requiring rapid implementation likely to mobilise significant resources within the Crédit Agricole Group. In addition, the adoption of these new measures could increase the constraints on the Crédit Agricole Group and require a strengthening of the actions carried out by the Crédit Agricole Group presented above in response to the existing regulatory context.
- In addition, the general political environment has evolved unfavourably for banks and the financial industry, resulting in additional pressure on legislative and regulatory bodies to adopt more stringent regulatory measures, despite the fact that these measures can have adverse consequences on lending and other financial activities, and on the economy.

Given the continuing uncertainty linked to new legislative and regulatory measures, the scale and scope of which are largely unpredictable, it is impossible to predict their real impact on the Crédit Agricole Group, but its impact could be very significant. At the same time, in the context of the Covid-19 health crisis, some regulatory adjustments and new regulations (as well as the postponement in the application date of certain rules, notably regarding regulatory prudential requirements) were implemented by the national and European authorities. The permanent or temporary nature of these adjustments and changes, as well as the evolution of the new regulations implemented in relation to the health crisis are still uncertain: it is thus difficult to fully determine or accurately measure their actual impact on the Crédit Agricole Group at this stage.

1.1.5 Risk related to the strategy and transactions of the Crédit Agricole Group

a) The Crédit Agricole Group may not achieve the targets set out in its medium-term Plan

On 6 June 2019, the Crédit Agricole Group announced its Medium-Term Plan up to 2022 (the "Medium-Term Plan"). The Medium-Term Plan provides for several initiatives, including a strategic ambition based on three pillars (i) growth in all of the Crédit Agricole Group's markets, with the objective of being first in customer acquisition, (ii) revenue synergies to reach €10 billion in 2022, and (iii) technological transformation to increase the efficiency of cumulative IT spending by €15 billion over four years.

The Crédit Agricole Group has committed to a global approach to its Corporate Environmental and Social Responsibility (CSR) policy in the Group Project & MTP, including the financing of one out of three renewable energy projects in France; as well as the aspiration of developing a range of green leasing products, doubling the size of the green loan portfolio to €13 billion of outstanding loans; strengthening the Green Liquidity Factor mechanism within Crédit Agricole Group; the attribution of a transition rating to each large corporate customer; the incorporation of environmental, social and governance (ESG) criteria in 100% of financing to large corporates and gradually to SMEs; and, lastly, aligning the sector policy with the Paris Climate Agreement (programmed exit of thermal coal in the EU and OECD, with a threshold of 25% as from 2019). With the Medium-Term Plan and its climate strategy, the Crédit Agricole Group is committed to completely moving away from thermal coal by 2030, in the European Union and OECD countries, and by 2040 in the rest of the world. In December 2021, the Crédit Agricole Group strengthened its ESG commitment with a ten-point programme plan. This programme plan focuses on environmental commitments (i.e. achieving carbon

neutrality for our own carbon footprint and our investment and financing portfolios by 2050; providing all customers with advice and support on the challenges of adapting to ecological transitions and climate change; integrating extra-financial performance criteria in all financing to corporates and farmers), relating to social cohesion and inclusion (providing a range of offers that do not exclude any customers to promote social and digital inclusion; contributing to revitalising the most fragile regions; promoting the integration of young people through employment and training; boosting the application of diversity to the social policies of all Crédit Agricole entities, as well as within its governance) and relating to agriculture and agri-food transition (supporting technical changes towards a competitive and sustainable agri-food system through the launch of a dedicated fund; allowing French agriculture to fully contribute to the fight against climate change; contributing to enhancing food sovereignty by facilitating the establishment of new generations of farmers). Non-compliance with these ESG commitments may cause damage to Crédit Agricole S.A.'s reputation, which could have a negative impact on its business and give rise to legal risk, which could potentially result in litigation.

The Medium-Term Plan also includes a number of financial targets relating to revenues, expenses, net income and capital adequacy ratios, among other things. These financial targets were established primarily for purposes of internal planning and allocation of resources, and are based on a number of assumptions with regard to the economic climate and the activity of the business lines of the Crédit Agricole Group. The financial targets do not constitute projections or forecasts of anticipated results. The actual results of the Crédit Agricole Group are likely to vary (and could vary significantly) from these targets for a number of reasons, including the materialisation of one or more of the risk factors described elsewhere in this section. For example, the Crédit Agricole Group anticipates solvency of over 16% for its ratio of Common Equity Tier 1 (CET1) capital.

The financial targets announced for Crédit Agricole S.A. as part of the 2022 Medium-Term Plan were achieved one year ahead of schedule:

- underlying net income Group share reached €5.4 billion in 2021;
- the underlying cost/income ratio excluding the SRF reached 57.8% in 2021;
- underlying RoTE reached 13.1% in 2021;
- the fully loaded Crédit Agricole S.A. CET1 was 11.9% in 2021;
- the commitment to pay out 50% of earnings throughout the Medium-Term Plan will have been fulfilled despite the regulatory ban on distributing dividends in respect of 2019, thanks to the catch-up payment of the 2019 dividend with the dividend payments for 2020, 2021 and 2022.

At the Crédit Agricole Group level, the target solvency ratio of over 16% will be reached at the end of 2021 with a phased CET 1 ratio of 17.5%. Therefore, in 2021 the dividend was €1.05 per share, including 20 cents for the catch-up payment of the undistributed 2019 dividend (out of the 40 cents remaining following the payment of the dividend in respect of 2020).

b) Claims made to the Subsidiaries of the Crédit Agricole Group in the exercise of their insurance activities could be inconsistent with the assumptions they use to price their insurance products and the fees for obligations related to claims experience and technical reserves

Revenues from the insurance activities of the members of the Crédit Agricole Group specialising in this field depend significantly upon the extent to which the actual claims experience is consistent with the assumptions they use in setting the prices for their products and establishing technical reserves. Crédit Agricole Assurances uses both its own empirical analysis and industry data to develop its products and estimate future policy benefits, including information used in pricing the insurance products and establishing the related actuarial liabilities. However, there can be no assurance that the claims experience is not higher than the assumptions used for pricing and provisioning, and unanticipated risks such as pandemic diseases or natural disasters could result in loss experience inconsistent with the relevant assumptions related to the pricing of these products and the establishment of reserves. To the extent that the actual claims paid by Crédit Agricole Assurances to policyholders are higher than the underlying assumptions used in initially establishing the future policy reserves, or if events or trends cause Crédit Agricole Assurances to change the underlying assumptions, Crédit Agricole Assurances may be exposed to greater liabilities than expected, which may adversely affect the Crédit Agricole Group's insurance business, results of operations and financial position.

Crédit Agricole Assurances continues to adapt its strategy to the low interest rate environment, in particular by strengthening its policy of redirecting funds to unit-linked policies and by increasing its profit-sharing reserves (provision pour participation aux excédents – PPE), which was €13.1 billion at 31 December 2021 (compared with €11.6 billion at 31 December 2020), i.e. 6.3% of outstanding euro-denominated policies, which represents several years of rates provided to policyholders and which constitutes a level of coverage higher than the market average in France. Moreover, the unit-linked portion in assets under management of Crédit Agricole Assurances reached 26.8% at 31 December 2021, up 2.6 points year-on-year. In Property and Casualty insurance the combined ratio remained well under control. It reached 96.4% ⁽¹⁾.

Finally, Crédit Agricole Assurances maintains a high level of solvency, posting a ratio of 244% ⁽²⁾ at 31 December 2021.

c) Adverse events may affect several of the Crédit Agricole Group's businesses simultaneously

While each of the Crédit Agricole Group's principal activities are subject to risks specific to them and are subject to different market cycles, it is possible that adverse events could affect several of the Crédit Agricole Group's activities at the same time. For instance, a decrease in interest rates could simultaneously impact the interest margin on loans, the yield and therefore the fee and commission income earned on asset

(1) Ratio (claims experience + overheads + fee and commission income)/premiums, net of reinsurance, Pacifica scope, restated for climate events, the ratio.

(2) Standard formula without transitory measures, except for the grandfathering of subordinated debt.

management products, and the returns on investments of the insurance subsidiaries. In such event, the Crédit Agricole Group might not realise the benefits that it otherwise would hope to achieve through the diversification of its activities. For example, adverse macroeconomic conditions could impact the Crédit Agricole Group in multiple ways, by increasing default risk in its lending activities, causing a decline in the value of its securities portfolios and reducing revenues in the Crédit Agricole Group's commission-generating activities. Where an event adversely affects multiple activities, the impact on the result and financial position of the Crédit Agricole Group is all the more important.

d) The Crédit Agricole Group is subject to risks associated with climate change

Through its operating tools, the Crédit Agricole Group is directly exposed to climate risk, the impacts of which would only be marginal at the Crédit Agricole Group level. Counterparties of Crédit Agricole SA and Regional Bank subsidiaries may however be directly affected by environmental factors, the negative impacts of which may be significant and may therefore indirectly affect the Crédit Agricole Group. As a result, environmental risks are considered to be risks that influence other existing risks, particularly credit risk. For instance, when the Crédit Agricole Group lends to businesses that conduct activities that emit greenhouse gases, Crédit Agricole Group is subject to the risk that more stringent regulations or limitations on the borrower's activities could have an adverse impact on its credit quality (e.g. sudden drop in revenues). Such consequences may also arise as a result of technological changes accelerating the transition to a more low-carbon economy, or changes in the behaviour of end consumers (increase in leverage ratios to finance the transition). Likewise, these adverse impacts may be associated with events of physical risk – such as natural disasters and long-term changes in climate models (increase in the frequency of events such as drought, flooding, higher sea levels, etc.) – negatively impacting the Crédit Agricole Group's counterparties in carrying out their activities. Finally, the negative impacts of counterparties on other environmental factors, in particular the reduction/loss of biodiversity, or the use of resources may downgrade the quality of the counterparty or lead to reputational risks.

With the acceleration of transitional constraints to fight climate change, the intensification of acute climate phenomena and the challenge of conserving resources, the Crédit Agricole Group must adapt its activities and the way it chooses its counterparties in an appropriate way to meet its strategic objectives and avoid suffering losses.

With the Medium-Term Plan and its climate strategy, the Credit Agricole Group is committed to completely moving away from thermal coal by 2030, in the European Union and OECD countries, and by 2040 in the rest of the world. Additional commitments were made regarding oil and shale gas. Finally, the Crédit Agricole Group has recently joined the Net Zero Banking Alliance initiative, Amundi has joined the Net Zero Asset Manager Alliance initiative and CAA has joined the Net Zero Assets Owners' Alliance initiative. These commitments confirm the Crédit Agricole Group's dedication in supporting the economy towards its goal to be carbon neutral by 2050, with binding milestones in the interim period.

e) The Crédit Agricole Group, along with its corporate and investment banking subsidiary, must maintain high credit ratings, or their business and profitability could be adversely affected

Credit ratings have an important impact on the liquidity of the Crédit Agricole Group and the liquidity of each of its members individually that are active in financial markets (principally its corporate and investment banking subsidiary, Crédit Agricole CIB). A downgrade in credit ratings could adversely affect the liquidity and competitive position of the Crédit Agricole Group or Crédit Agricole CIB, increase borrowing costs, limit access to the capital markets, trigger obligations in the Crédit Agricole Group's covered bond programme or under certain bilateral provisions in some trading, derivative and collateralised financing contracts, or adversely affect the market value of the bonds.

The Crédit Agricole Group's cost of obtaining long-term unsecured funding from market investors, and that of Crédit Agricole CIB, is directly related to their credit spreads (the amount in excess of the interest rate of government securities of the same maturity that is paid to debt investors), which in turn depend to a certain extent on their credit ratings. Increases in credit spreads can significantly increase the Crédit Agricole Group's or Crédit Agricole CIB's cost of funding. Changes in credit spreads are continuous, market-driven, and subject at times to unpredictable and highly volatile movements. Credit spreads are also influenced by market perceptions of the Crédit Agricole Group's creditworthiness. In addition, credit spreads may be influenced by movements in the acquisition cost of credit default swaps indexed to the Crédit Agricole Group's or Crédit Agricole CIB's debt securities, which are influenced both by the credit quality of those securities, and by a number of market factors that are beyond the control of the Crédit Agricole Group and Crédit Agricole CIB.

Of the three rating agencies solicited, Moody's, S&P Global Ratings and Fitch Ratings long term issuer ratings for Crédit Agricole S.A. are Aa3, A+ and A+ respectively and their outlook is stable.

f) The Crédit Agricole Group faces intense competition

The Crédit Agricole Group faces intense competition in all financial services markets and for the products and services it offers, including retail banking services. As an illustration regarding this activity, the Regional Banks have over a 23% ⁽¹⁾ market share in France. The European financial services markets are mature, and the demand for financial services products is, to some extent, related to overall economic development. Competition in this environment is based on many factors, including the products and services offered, pricing, distribution systems, customer service, brand recognition, perceived financial strength and the willingness to use capital to serve customer needs. Consolidation has created a number of firms that, like the Crédit Agricole Group, have the ability to offer a wide range of products, from insurance, loans and deposit taking to brokerage, investment banking and asset management services.

(1) This market share applies to household bank deposits. The market share for household loans is 24% (source: Banque de France, September 2021).

In addition, new rivals that are more competitive (including those utilising innovative technology solutions), which may be subject to separate or more flexible regulation, or other requirements relating to regulatory prudential ratios, are also emerging in the market. Technological advances and the growth of e-commerce have made it possible for non-bank institutions to offer products and services that traditionally were banking products, and for financial institutions and other companies to provide electronic and Internet-based financial solutions, including electronic securities trading. These new players exert downward price pressure on the Crédit Agricole Group's products and services and can succeed in winning market share in areas that have been historically stable and dominated by traditional financial institutions. In addition, new applications, particularly in payment processing and retail banking, new currencies, such as bitcoin, and new technologies facilitating transaction processing, such as blockchain, have been gradually transforming the financial sector and the ways in which customers consume banking services. It is difficult to predict the effects of the emergence of such new technologies, for which the regulatory framework is still being defined, but their increased use may transform the competitive landscape of the banking and financial industry. The Crédit Agricole Group must therefore strive to maintain its competitiveness in France and in the other major markets in which it operates by adapting its systems and strengthening its technological footprint to maintain its current market share and level of results.

1.1.6 Risks related to the structure of Crédit Agricole Group

a) If any member of the Crédit Agricole Network encounters future financial difficulties, Crédit Agricole S.A. would be required to mobilise the resources of the Crédit Agricole Network (including its own resources) to support such member

Crédit Agricole S.A. is the corporate centre of the Crédit Agricole Network, consisting of Crédit Agricole S.A., the Regional Banks and the Local Banks, pursuant to Article R. 512-18 of the French Monetary and Financial Code, as well as of the affiliate members Crédit Agricole Corporate and Investment bank and Bforbank (the “Network”).

Under the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code (MFC), Crédit Agricole S.A. as the corporate centre must take all measures necessary to ensure the liquidity and solvency of each institution member of the Network, as well as the Network as a whole. As a result, each member of the Network benefits from and contributes to this internal financial strength. The general provisions of the French Monetary and Financial Code are transposed into internal provisions setting out the operational measures required for this legal mechanism for internal financial strength. More specifically, they have established a Fund for bank liquidity and solvency risks (fonds pour risques bancaires de liquidité et de solvabilité – FRBLS) designed to enable Crédit Agricole S.A. to fulfil its role as corporate centre by providing assistance to any Network member that may be experiencing difficulties.

Although Crédit Agricole S.A. is not currently aware of circumstances likely to require recourse to the FRBLS to support a member of the Network, there can be no assurance that it will not be necessary to use the Fund in future. In such a case, if the resources of the FRBLS were to be insufficient, Crédit Agricole S.A., under its tasks as corporate centre, will be required to make up the shortfall by mobilising its own resources and, where appropriate, those of the other members of the Network.

As a result of this obligation, if a member of the Network would face major financial difficulties, the event underlying these financial difficulties could impact the financial position of Crédit Agricole S.A. and that of the other members of the Network that are relied upon for support under the financial solidarity mechanism.

The European banking crisis management framework was adopted in 2014 by EU Directive 2014/59 (known as the “Bank Recovery and Resolution Directive – BRRD”), incorporated into French law by Order 2015-1024 of 20 August 2015, which also adapted French law to the provisions of European Regulation 806/2014 of 15 July 2014 establishing uniform rules and a uniform procedure for the resolution of credit institutions and certain investment firms in the framework of a Single Resolution Mechanism and a Single Resolution Fund. Directive (EU) 2019/879 of 20 May 2019, known as “BRRD2”, amended the BRRD and was incorporated into French law by Order 2020-1636 of 21 December 2020.

This framework, which includes measures to prevent and to resolve banking crises, is intended to preserve financial stability, to ensure the continuity of activities, services and operations of institutions whose failure could significantly impact the economy, to protect depositors, and to avoid or limit the use of public financial support as much as possible. In this context, the European Resolution Authorities, including the Single Resolution Board, have been granted extensive powers to take all necessary measures in connection with the resolution of all or part of a credit institution or the group to which it belongs.

For cooperative banking groups, the “extended single point of entry” (“extended SPE”) resolution strategy is favoured by the resolution authorities, whereby resolution tools would be applied simultaneously at the level of Crédit Agricole S.A. and the affiliated entities. In this respect, and in the event of a resolution of the Crédit Agricole Group, the scope comprising Crédit Agricole S.A. (in its capacity as the corporate centre) and its affiliated entities would be considered as a whole as the expanded single entry point. Given the foregoing and the solidarity mechanisms that exist within the network, a member of the Crédit Agricole network cannot be put individually in resolution.

The resolution authorities may initiate resolution proceedings against a credit institution where it considers that: the institution has failed or is likely to fail, there is no reasonable prospect that another private measure will prevent the failure within a reasonable time, a resolution measure is necessary, and a liquidation procedure would be inadequate to achieve the resolution objectives mentioned above.

The resolution authorities may use one or more resolution tools, as described below, with the objective of recapitalising or restoring the viability of the institution. The resolution tools should be implemented in such a way that equity holders (shares, mutual shares, CCIs, CCAs) bear losses first, with creditors following up immediately, provided that they are not excluded from bail-in legally speaking or by a decision of the resolution authorities. French law also provides for a protective measure when certain resolution tools or decisions are implemented, such as the principle that equity holders and creditors of an institution in resolution may not incur greater losses than those they would have incurred if the institution had been liquidated in the context of a judicial liquidation procedure under the French Commercial Code (NCWOL principle referred to in Article L. 613-57-I of the French Monetary and Financial Code). Thus, investors are entitled to claim compensation if the treatment they receive in a resolution is less favourable than the treatment they would have received if the institution had been subject to normal insolvency proceedings.

In the event that the resolution authorities decide to put the Crédit Agricole Group in resolution, they will first write down the par value CET1 instruments (shares, mutual shares, CCI and CCA), additional Tier 1 and Tier 2 instruments, in order to absorb losses, and then possibly convert the additional Tier 1 and Tier 2 instruments into equity securities⁽¹⁾. Then, if the resolution authorities decide to use the bail-in tool, the latter would be applied to debt instruments⁽²⁾, resulting in the partial or total write-down of these instruments or their conversion into equity in order to absorb losses.

With respect to the corporate centre and all affiliated entities, the resolution authorities may decide to implement, in a coordinated manner, impairment or conversion measures and, where applicable, internal bailouts. In such an event, the impairment or conversion measures and, where applicable, internal bailout measures would apply to all entities within the Crédit Agricole network, regardless of the entity in question and regardless of the origin of the losses.

The creditor hierarchy in resolution is defined by the provisions of Article L. 613-55-5 of the French Monetary and Financial Code, effective as at the date of implementation of the resolution.

Equity holders and creditors of the same rank or with identical rights in liquidation will then be treated equally, regardless of the Crédit Agricole Group entity of which they are creditors.

The scope of this bail-in, which also aims to recapitalise the Crédit Agricole Group, is based on capital requirements at the consolidated level.

Investors must then be aware that there is therefore a significant risk that holders of shares, mutual shares, CCI and CCA non-voting certificates and holders of debt instruments of a member of the network will lose all or part of their investment if a resolution procedure is implemented on the Crédit Agricole Group, regardless of the entity of which they are a creditor.

The other resolution tools available to the resolution authorities are essentially the total or partial transfer of the activities of the institution to a third party or to a bridge institution and the separation of the assets of the institution.

This resolution framework does not affect the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code, which applies to the Crédit Agricole network, as defined in Article R. 512-18 of the same Code. Crédit Agricole S.A. considers that, in practice, this mechanism should be implemented prior to any resolution procedure.

The implementation of a resolution procedure to the Crédit Agricole Group would thus mean that the legal internal solidarity mechanism had failed to remedy the failure of one or more network entities, and hence of the network as a whole.

b) The practical advantage of the 1988 Guarantee issued by the Regional Banks may be limited by the implementation of the resolution regime that would apply prior to liquidation

The resolution regime provided for by the DRRB (*Directive sur le redressement et la résolution des banques* – Directive on recovery and resolution of banks) granted jointly and severally by all Regional Banks up to the limit of their capital, reserves and retained earnings (the “1988 Guarantee”).

This resolution regime does not affect the legal internal financial solidarity mechanism provided for under Article L. 511-31 of the French Monetary and Financial Code, which applies to the Crédit Agricole Network (as defined in French law) and its affiliated members. This mechanism must be applied prior to any resolution action.

However, the application to Crédit Agricole Group of resolution procedures could limit the occurrence of the conditions for implementing the 1988 Guarantee, it being specified that the 1988 Guarantee can only be called if Crédit Agricole S.A. assets prove to be insufficient to cover its obligations at the end of its liquidation or dissolution. Due to this limitation, bondholders and creditors of Crédit Agricole S.A. may not be able to benefit from the protection afforded by the 1988 Guarantee.

(1) Articles L. 613-48 and L. 613-48-3 of the French Monetary and Financial Code.

(2) Articles L. 613-55 and L. 613-55-1 of the French Monetary and Financial Code.

2. RISK MANAGEMENT

This section of the management report presents the Group's risk appetite, the nature of the main risks to which the Group is exposed, their magnitude and the measures implemented to manage them.

The information presented under IFRS 7 on financial instrument disclosures covers the following main types of risks⁽¹⁾:

- credit risks;
- market risks;
- structural balance sheet risks: global interest rate risk, foreign exchange risk and liquidity risk, including risks associated with the insurance industry.

In order to cover all risks inherent in the banking business, additional information is provided concerning:

- operational risks;
- non-compliance risks.

In accordance with legislation and best business practices, risk management within Crédit Agricole S.A. Group is reflected by a form of governance in which the roles and responsibilities of each individual are clearly identified, as well as by effective and reliable risk management methodologies and procedures which make it possible to measure, monitor and manage all the risks to which the Group is exposed.

2.1 RISK APPETITE, GOVERNANCE AND ORGANISATION OF RISK MANAGEMENT

Concise statement on risks

(Statement prepared in compliance with Article 435-(1)-(f) of Regulation (EU) No. 575/2013)

The Board of Directors of the Crédit Agricole Group makes a formal statement every year regarding its risk appetite. The Group's Risk Appetite Statement is prepared in line with the risk identification process. The statement is an integral and strategic part of the governance framework which covers strategy, business targets, risk management and global financial management for the Group. The strategic orientations of the Medium-Term Plan, the Risk Appetite Statement, the budgetary process and the allocation of resources to the business lines are mutually coherent.

The Risk Appetite of the Crédit Agricole Group is the type and aggregate amount of risk that the Group is ready to take on, in the framework of its strategic targets.

The Group's risk appetite is determined by particular reference to the financial policy and the risk management policy, which are based on:

- a policy of selective and responsible financing that takes account of a prudent lending policy framed by the risks strategy, the corporate social responsibility policy and the authorisation system;
- the objective of keeping market risk exposure low;
- the strict management of operational risk exposure with zero legal risk appetite and a sound IT and cyber risk management framework;
- limits on non-compliance risk to exposures, which are strictly managed;
- management of the growth of risk-weighted assets;
- management of risks related to asset and liability management.

The formal definition of risk appetite allows Executive Management and the Board of Directors to define the Group's development direction consistent with the Medium-Term Plan and translate it into operational strategies. This results in a consistent approach shared by the Strategy, Finance, Risk and Compliance departments.

The Risk Appetite Statement is coordinated with the Operational departments of the various entities and aims to:

- engage Directors and senior Management in reflection and dialogue on risk taking;
- formalise, standardise and make explicit the acceptable level of risk for a given strategy;
- fully integrate risk/return considerations into the strategic planning and decision-making processes;
- define advance indicators and alert thresholds to improve resilience by taking action as soon as alerts for risk appetite standards are triggered;
- improve external communications to third parties on financial strength and risk management.

The Group's risk appetite takes into account the main strategic indicators defined in the Medium-Term Plan and forms the risk management framework for the strategy. The MTP targets set by the Group are then reported annually in the budget. Risk appetite is therefore included every year in the risk statement and appetite matrix. These draw on a set of strategic indicators defined by appetite, tolerance and, for indicators with regulatory thresholds, capacity thresholds.

In addition to the annual statement, the Group also reports on its risk appetite throughout the year through risk strategies approved by the Board of Directors, based on recommendations from the Board's Risk Committee. The Risk Committee bases its reviews on agreements given by the Group Risk Committee chaired by the Chief Executive Officer or Deputy Chief Executive Officer of Crédit Agricole S.A.

In addition to the summary statement and matrix, the Group produces a dashboard of its risks and internal and regulatory limits, which is used to monitor more operational indicators that represent major risks and consists of a selection of limits or alert thresholds set in these risk strategies. This dashboard is presented to the Group's Risk Committee, the Board's Risk Committee and Crédit Agricole S.A.'s Board of Directors on a quarterly basis.

⁽¹⁾ These disclosures are an integral part of the consolidated financial statements as at 31 December 2018 and, as such, are covered by the Statutory Auditor's report.

The Group's risk appetite is defined through:

- **key indicators covering:**
 - **Crédit Agricole S.A.'s external rating**, which has a direct impact on refinancing terms and the Group's image in the market,
 - **solvency** which guarantees the Group's sustainability by ensuring it has sufficient capital to back the risks it is taking on,
 - **liquidity**, the management of which aims to prevent the Group's sources of finances drying up with the consequent threat of default on payments, or even resolution,
 - **business risk**, which provides a measure of progress towards the strategy laid down by the Group, thereby guaranteeing its long-term sustainability,
 - **profit**, because it is a direct source of future solvency and shareholder dividends and therefore constitutes a key part of the Group's financial communications,
 - **credit risk** of the Crédit Agricole Group, which constitutes its main risk due to its commercial positioning and its growth strategy. Particular diligence is paid to this risk due to the context relating to the health crisis.
 - and key risks which include interest risk and inflation risks, market risk and more specifically at Crédit Agricole CIB, Group operational risk, non-compliance risk and insurance risk;
- **limits and alert thresholds on risks** defined in line with these indicators;
- **qualitative priorities**, inherent to the Group's strategy and businesses. The qualitative criteria are largely based on the Corporate Social Responsibility (CSR) policy of the Company, which embodies the Group's concern with supporting sustainable development and controlling all risks including non-financial risks.

The key indicators reflect three levels of risk:

- **appetite** is used for managing normal everyday risk and indicators which breach tolerance thresholds;

- **tolerance** corresponds to a level of steering that is closer to that of the Board of Directors. Any breach of tolerance thresholds in key indicators or limits triggers a report to the Risk Committee or the Board of Directors. Suitable corrective measures must then be presented;
- **capacity**, which is only defined for indicators for which there is a regulatory threshold, begins once this regulatory threshold is crossed. Entry into the capacity range leads to close dialogue with supervisors.

The Group's risk appetite system is based on the risk identification process which aims to list as exhaustively as possible the Group's major risks and to apply a uniform classification to placing them in categories and sub-categories.

Overall risk profile

The Group's business is built around the customer-focused universal banking model in Europe with a low level of defaults and prudent provisioning. The market risk profile has also considerably reduced, as a result of a change in the Group's strategy more than a decade ago.

The Group's risk profile is monitored and presented at least every quarter to the Group Risk Committee and to the Board of Directors. Breach of tolerance levels for central indicators or limits on the system are reported and corrective actions proposed to the Board of Directors. The executive Directors and the supervisory body are thus kept regularly informed of how the risk profile corresponds to the risk appetite.

The main components of the Group's risk profile at 31 December 2021 are broken down in the "Risk Management" and "Pillar 3" sections, respectively, of this Registration Document:

- Credit risk: Part 2.4 (Risk management) and Part 3.2 (Pillar 3);
- Market risk: Part 2.5 (Risk management) and Part 3.4 (Pillar 3);
- Financial risks (interest rate, exchange rate, liquidity and financing): Part 2.6 (Risk management) and Parts 3.4 and 3.5 (Pillar 3);
- Operational risks: Part 2.8 (Risk management) and Part 3.4.6 (Pillar 3).

A selection of key indicators from the Risk Appetite Statement is presented in the table below:

	(Phased-in) CET1 ratio	LCR ratio (end-of-year level)	Cost of risk	Net income Group share	Impaired loan ratio on outstandings
31/12/2021	17.5%	183%	€2.19 billion reported/€1.8 billion underlying	€9.1 billion reported/€8.5 billion underlying	2.02%

At 31 December 2021, the indicators of the Group's risk appetite in terms of solvency, earnings, cost of risk and impairment of receivables were within the risk appetite levels defined by the Group. They have not reached the tolerance thresholds.

Adequacy of the institution's risk management arrangements pursuant to Article 435.1-(e) of Regulation (EU) No. 575/2013

Organisation of risk management

Risk management, which is inherent in banking activities, lies at the heart of the Group's internal control system. All staff involved, from the initiation of transactions to final maturity, play a part in this system.

Measuring and monitoring risk is the responsibility of the dedicated Risk Management Business line (headed by the Group Risk department (*Direction des risques Groupe* – DRG)), which is independent from Group functions and reports directly to the Deputy Chief Executive Officer.

Although risk management is primarily the responsibility of the business lines which oversee their own business development, DRG's task is to ensure that the risks to which the Group is exposed are consistent with the risk strategies defined by the business lines (in terms of global and individual limits and selection criteria) and compatible with the Group's growth and profitability targets.

The DRG performs consolidated Group-wide monitoring of risks using a network of risk managers (*responsables de la fonction Gestion des risques* – RFGR) who report hierarchically to the Head of Risk Management and Permanent Controls and functionally to the executive body of their entity or business line.

To ensure a consistent view of risks within the Group, the DRG has the following duties:

- it coordinates the risk identification process and the implementation of the Group's risk appetite framework in cooperation with the Finance, Strategy and Compliance functions and the business lines;
- it defines and/or validates methods and procedures for analysing, measuring and monitoring all of the Group's risks that are considered to be major, as defined in the annual risk identification process.
- it takes part in the critical analysis of the business lines' commercial development strategies, focusing on the risk impact of these strategies;
- it provides independent opinions to Executive Management on risk exposure arising from business lines' positions (credit transactions, setting of market risk limits) or anticipated by their risk strategy;
- it lists and analyses Group entities' risks, on which data is collected in risk information systems.

The Financial Steering unit of the Group Finance department (*Direction des finances Groupe* – FIG) is responsible for the management of structural asset/liability risk (interest rate, exchange rate and liquidity) as well as for the refinancing policy and for the management of capital requirements.

Supervision of these risks by Executive Management is carried out through Liquidity and ALM (Asset Liability Management) Committee meetings, in which the DRG takes part.

The DRG keeps the executive Directors and the supervisory body informed of the degree of risk control in Crédit Agricole S.A., presents various risk strategies of the major business lines of the Group for validation, and warns them of any risk of deviation from risk strategies or policies approved by executive bodies. It informs them of the outcomes and performance of prevention measures, whose organisational principles are approved by them. It makes suggestions for any improvement of such measures that may be required as a result of changes to business lines and their environment.

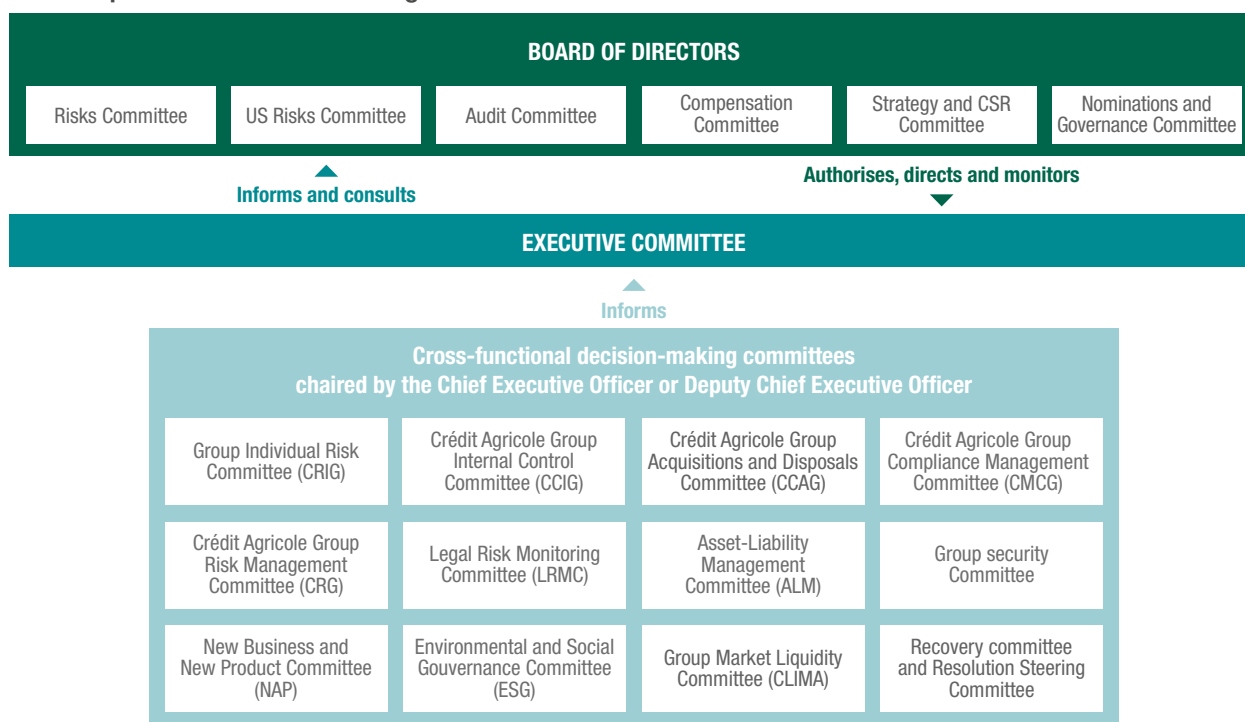
At consolidated level, this action falls within the remit of governance bodies, in particular:

- the **Risk Committee** (a Board of Directors sub-committee, nine meetings per year): it analyses key factors in the Group's risk appetite

statement defined by Executive Management, regularly examines the Group's risk management and internal control issues, reviews the half-yearly information and annual report on internal control and risk measurement and monitoring;

- the **Group Risk Committee** (*Comité des risques Groupe* – CRG, 12 meetings per year and when necessary) chaired by the Chief Executive Officer of Crédit Agricole S.A.: defines Group policy in terms of risks, sets the Group's overall limits, validates the risk strategies of the entities and business lines, monitors the Group's major risks in a cross-divisional manner;
- the **Group Individual Risk Committee** (*Comité des risques Individuels de niveau Groupe* – CRIG, one meeting per week) chaired by the Chief Executive Officer of Crédit Agricole S.A., decides on all individual cases requiring approval from Executive Management excluding exceptions, examines all cases at the request of Executive Management, presents at the request of the Group Chief Risk Officer any sensitive cases relating to an entity or any cases covered by the procedure;
- the **Group Internal Control Committee** (*Comité de contrôle interne Groupe* – CCIG, chaired by the Deputy Chief Executive Officer of Crédit Agricole S.A., four meetings per year): examines internal control issues common across the Group, looks at cross-functional actions within the Group, approves the annual report and half-yearly information on internal control, and coordinates the three control functions;
- the **Asset-Liability Management Committee** (ALM Committee, chaired by the Deputy General Manager in charge of the Steering division, six meetings per year): analyses the financial risks facing the Crédit Agricole Group, including Crédit Agricole S.A. (interest rate, exchange rate and liquidity risks) and validates the guidelines for their management; validates certain methodologies specific to interest rate risk, decisions relating to the management of solvency and resolution ratios, and various other financial elements including notably the dividend policy of subsidiaries and the guidelines for the management of liquidity portfolios in terms of limits validated by the Group Risk Committee;
- the **Group Compliance Management Committee** (*Comité de management de la conformité Groupe* – CCMG, chaired by the Deputy Chief Executive Officer of Crédit Agricole S.A., 12 meetings per year): defines and validates the Group's Compliance policy, examines all draft compliance-related standards and procedures, prior to their implementation, examines all significant irregularities and approves corrective measures, makes all decisions related to remedial action for deficiencies, takes note of the main compliance-related conclusions of audits conducted, conducts arbitrations within its remit, is informed of any new businesses and partnerships developed by Group entities that have received a favourable opinion from the New Business and New Product Committee (NAP Committee), approves the annual compliance report;
- the **Group Security Committee** (*Comité sécurité Groupe* – CSG, four meetings per year) chaired by the Deputy General Manager in charge of the Technologies and Digital division is a decision-making committee that defines the Crédit Agricole Group's security strategy in terms of information systems security, physical safety and security, data protection, business continuity and insurable corporate risk management, supervises the execution of the strategy and assesses the Group's level of control in the following four areas: security of people and property, security of Information Systems, business continuity plans, data protection.

Main Group-level committees dealing with risk



In addition, each Group operating entity defines its own risk appetite framework and sets up a Risk Management and Permanent Controls function. Accordingly, within each business line and legal entity:

- a risk manager (responsable de la fonction Gestion des risques – RFGR) is appointed;
- the RFGR supervises all the last-line control units within their areas of responsibility, covering oversight and permanent control of risks falling within the remit of the relevant business line; and
- has access to appropriate human, technical and financial resources. RCPRs must be provided with the information required by their role and have systematic and permanent access to any information, document, body (Committees, etc.), tools or even IT systems across their entire area of responsibility. They are associated with entity projects far enough in advance to be able to play their role effectively.

This principle of decentralising the Risk management function to operating entities aims to ensure that the business lines' risk management and permanent controls systems operate efficiently.

Group risk management is also reliant on a certain number of tools which enable the DRG and the Group's executive bodies to fully comprehend the risks that present themselves:

- a robust IT and global risk consolidation system, within the trajectory defined by the Basel Committee on Banking Supervision for global systemically important banks (BCBS 239);
- generalised use of stress testing methodologies in Group credit, financial or operational risk procedures;

- formalised and up-to-date control standards and procedures, which define lending systems, based on an analysis of profitability and risks, monitoring of geographical, individual and sectoral concentrations, as well as limits on interest rate, foreign exchange and liquidity risks;
- a Group recovery plan is updated on an annual basis, in accordance with the provisions of EU Directive 2014/59 of 15 May 2014, which establishes a framework for the recovery and resolution of credit institutions.

Risk culture

The risk culture is disseminated across the Group via diverse and effective channels:

- career and talent committees within the Risk Management business line, which plan the succession to key posts, facilitate the mobility of both men and women with the relevant expertise and thus enhance their future career paths by diversifying their skill sets;
- highly valued careers and experience sought after by other business sectors as a result of time spent within the Risk Management business line;
- a range of training on risk comprising modules tailored to the needs of employees within and outside the Risk Management business line. This includes awareness training for all Group employees with, in particular, an e-learning component, to better understand the risks inherent in the bank's business lines;
- communication efforts to foster the spreading of the risk culture, under way since 2015. They are designed to increase the knowledge and involvement of all employees, in order to turn risk into a day-to-day advantage.

Consolidated risk monitoring

Each quarter, the Board of Directors' Risk Committee and the Group Risk Committee examine the main changes in the risk position, the risk and limits dashboard produced by the Group Risk Management and Permanent Controls department. The dashboard provides a detailed review of the Group's risk position across all business lines and on a consolidated basis.

2.2 STRESS TESTING

Stress tests, crisis simulations and resistance tests, form an integral part of the Crédit Agricole Group's risk management system. Stress tests play a role in proactive risk management, the assessment of capital adequacy under an adverse scenario and meeting regulatory requirements. In this regard, by measuring the economic, accounting or regulatory impact of severe but plausible economic scenarios, stress testing provides a measure of the resilience of a portfolio, business, entity or of the Group used as inputs for the ICAAP and the risk appetite. Stress testing covers credit, market and operational risks as well as liquidity risk and risks related to interest rates and exchange rates. Stress testing used to manage the Crédit Agricole Group risks involves a range of different exercises.

Different types of stress tests

- **Using stress testing for proactive risk management:** specific exercises that are recurring or carried out upon request are performed centrally and with the contribution of Group entities to supplement and enhance the various analyses performed to properly monitor risks. This work is presented to Executive Management at Group Risk Committee Meetings. In this respect, stress testing focused on market risk or liquidity risk is periodically undertaken.

In the case of credit risk, stress tests were performed to measure the risk stemming from economic trends in certain major Group risks. The exercises underpin the decisions taken by the Group Risk Committee on aggregate exposure limits.

- **Budget stress tests or ICAAP** (Internal Capital Adequacy and Assessment Process) stress testing: the Crédit Agricole Group undertakes an annual exercise as part of the budgetary process, with the results of this stress testing being used in the ICAAP. It plays a part in capital requirements planning and makes it possible to estimate the Group's profitability over a three-year period, under various economic

The Group's consolidated alert procedures are coordinated by the Alert Monitoring Committee (*Comité des alertes* – CSA, chaired by the Chief Risk Officer, eight meetings per year or more if necessary) by reviewing all the risk alerts centralised by the Group Risk Management department.

scenarios. The goal of this stress testing in the budgetary process and the ICAAP is to measure the effects of the economic scenarios (baseline and adverse) on the businesses, entities and the Group as a whole and the sensitivity of their results. It is necessarily based on an economic scenario (change in a series of economic variables) from which the impact on the various risks and geographic regions are determined. This scenario is supplemented to reflect operational risks and the risk of improper conduct.

The aim of this exercise is to estimate a solvency ratio by measuring the impact on the income statement (cost of risk, interest margin, fee and commission income, etc.), risk-weighted assets and own funds and to compare these indices to the Group's tolerance thresholds.

- **Regulatory stress testing:** this stress testing encompasses all requests from the ECB, the ABE or other supervisor. In 2021, the Group was particularly successful in managing the global stress test organised by the ABE. In this regard, the Crédit Agricole Group was among the leading European systemic banks in terms of the CET1 solvency ratio level in the stress scenario at the end of 2023.

Governance

In line with the guidelines of the EBA (European Banking Authority), the stress test programme for the Group and major entities clearly details the governance and responsibilities of each party involved in the stress testing encompassing credit, market, operational and liquidity risks and structural risks related to interest rates and exchange rates.

The scenarios used in the ICAAP processes, Risk Appetite or for regulatory purposes are prepared by the Economic Department (ECD) and are presented to the Board of Directors. These economic scenarios show central and stressed fluctuations in macroeconomic and financial variables (GDP, unemployment, inflation, interest rates and exchange rates, etc.) for all countries to which the Group is exposed.

2.3 INTERNAL CONTROL AND RISK MANAGEMENT PROCEDURES

Crédit Agricole Group's internal control organisation reflects an architecture in line with legal and regulatory requirements, as well as the recommendations of the Basel Committee.

The internal control system and procedures are defined within the Crédit Agricole Group as all systems designed to control activities and risks of all kinds and to ensure regularity (in the sense of compliance with laws, regulations and internal standards), safety and efficiency of operations, in accordance with the references presented in Section 1 below.

The internal control system and procedures are characterised by the objectives assigned to them:

- application of Executive Management instructions and guidelines;
- financial performance, through the efficient and appropriate use of the Group's assets and resources, as well as protection against the risk of loss;

- comprehensive, accurate and regular knowledge of the data needed for decision making and risk management;
- compliance with legal and regulatory requirements and internal standards;
- prevention and detection of fraud and errors;
- accuracy, completeness of accounting records and the timely preparation of reliable accounting and financial information.

These procedures have, nonetheless, the inherent limitations of any internal control system, due in particular to technical or human failures.

In accordance with the principles in force within the Group, the internal control system applies over a broad scope aimed at supervising and controlling activities, as well as measuring and monitoring risks on a consolidated basis. This principle, applied by each entity of Crédit Agricole S.A. and its subsidiaries to its own subsidiaries, makes it possible to apply the internal control system according to a pyramidal logic and to all entities. The system implemented by Crédit Agricole S.A., which is in line with the standards and principles set out below, is thus deployed in a manner adapted to the different business lines and risks at each of the Crédit Agricole Group's levels in order to best meet the regulatory obligations specific to banking activities.

The resources, tools and reports implemented in this normative environment provide regular information, in particular to the Board of Directors, the Risk Committee, to Executive Management and to management, on the functioning of internal control systems and their adequacy (permanent and periodic control system, reports on risk measurement and monitoring, corrective action plans, etc.).

I. References in terms of internal control

References to internal control are based on the provisions of the French Monetary and Financial Code ⁽¹⁾, the Decree of 3 November 2014 as amended on internal control of companies in the banking, payment services and investment services sector subject to control by the French Regulatory and Resolution Supervisory Authority (ACPR), the General Regulation of the AMF and the recommendations on internal control, risk management and solvency issued by the Basel Committee and their European transposition (CRR2/CRD 5).

These national and international standards are supplemented by Crédit Agricole's own internal standards:

- a corpus of communications of a permanent, regulatory nature (external regulations and internal Group rules) and of mandatory application, relating in particular to accounting (Crédit Agricole's accounting plan), financial management, risks and permanent controls, applicable to the entire Crédit Agricole Group;
- Code of Conduct of the Crédit Agricole Group;
- the aggregate of "procedural notes", applicable to Crédit Agricole S.A. relating to organisation, operation or risks. In this context, Crédit Agricole S.A. adopted a set of procedural notes in 2004 to monitor compliance with laws and regulations. This procedural system has since been adapted to regulatory changes and deployed in the Group's entities, particularly in the areas of financial security (prevention of money laundering, fight against terrorist financing, freezing of assets, compliance with embargoes, etc.) or detection of malfunctions in the application of laws, regulations, professional standards and standards of conduct, for example. The procedural notes are updated regularly, as necessary, in particular in light of the regulatory changes and in the scope of supervision on a consolidated basis.

II. Principles for the organisation of the internal control system

In order to ensure that internal control systems are effective and consistent between the Group's various organisational levels, the Crédit Agricole Group has adopted a set of common rules and recommendations based on the implementation of and compliance with fundamental principles.

Thus, each entity of the Crédit Agricole Group (Regional Banks, Crédit Agricole S.A., subsidiaries of credit institutions or investment firms, insurance companies, other, etc.) must apply these principles at its own level.

Fundamental principles

The organisational principles and components of the internal control systems of Crédit Agricole S.A., which are common to all Crédit Agricole Group entities, include obligations in terms of:

- informing the supervisory body (risk strategies, limits set on risk taking, internal control activity and results, significant incidents);
- direct involvement of the management body in the organisation and operation of the internal control system;
- exhaustive coverage of activities and risks, liability of all actors;
- a clear definition of tasks, effective separation of engagement and control functions, formalised and up-to-date delegations;
- formalised and updated standards and procedures.

These principles are complemented by:

- risk measurement, monitoring and control systems: credit, market, liquidity, financial, operational (operational processing, quality of financial and accounting information, IT processes), non-compliance and legal risks;
- a control system, as part of a dynamic and corrective process, including permanent controls carried out by the operational units or by dedicated employees, and periodic controls (carried out by the units of the Group Control and Audit department or by the Audit units);
- the adoption of the Group's remuneration policies (following the deliberations of the Board of Directors of 9 December 2009 and 23 February 2011) and internal control procedures – in accordance with applicable national, European or international regulations, in particular those relating to Capital Requirements Directive (CRD 5), the AIFMD, UCITS V and Solvency 2, the provisions relating to the Volcker Rule, the French banking separation act (*Loi de séparation bancaire*) and MiFID, as well as the professional banking recommendations relating to, on the one hand, the adequacy between the remuneration policy and the risk control objectives, the adequacy between the remuneration policy and the risk control objectives, and on the other hand the remuneration of the members of the executive bodies and that of the risk takers (see Part I of this report).

System monitoring

In application of the decree of 3 November 2014, amended in 2021, an obligation has been imposed on each entity or business line manager, each manager, each employee and each Group body to be able to report and justify, at any time, the proper control of its activities and the risks involved, in accordance with the standards for the exercise of banking and financial professions, in order to ensure the long-term security of each activity and each development project and to adapt the control measures to be implemented to the intensity of the risks incurred.

This requirement is based on organisational principles and an architecture of responsibilities, operating and decision-making procedures, controls and reporting to be implemented in a formal and effective manner at each level of the Group: central functions, business lines, subsidiaries, operational units and support functions.

Group Internal Control Committee

The Internal Control Committee of the Group and of Crédit Agricole S.A., the umbrella body for steering the systems, met regularly under the chairmanship of the Chief Executive Officer of Crédit Agricole S.A.

By its nature, the purpose of this Committee is to examine internal control issues common to the entire Group (Crédit Agricole S.A., subsidiaries of Crédit Agricole S.A., Regional Banks, common resource structures) and to ensure the consistency and effectiveness of internal control on a

(1) Article L. 511-41.

consolidated basis. The Internal Control Committee, a decision-making body with binding decisions, is composed of Crédit Agricole S.A. employee executives. As such, it is distinguished from the Risk Committee, which is a division of the Board of Directors, and is responsible for coordinating the three control functions: Internal audit, Risk management, Compliance monitoring.

Three functions operating throughout the Group

The Group Chief Risk Officer, the Head of the Group Control and Audit department and the Group Head of Compliance report directly to the Chief Executive Officer of Crédit Agricole S.A. and have access to the Risk Committee and the Board of Directors of Crédit Agricole S.A.

In addition, under the decree of 3 November 2014, as amended, on the internal control of companies in the banking, payment services and investment services sector that are subject to the supervision of the French Regulatory and Resolution Supervisory Authority, the Group Chief Risk Officer has been designated as the person in charge of risk management for Crédit Agricole S.A. as well as for the Crédit Agricole Group.

The audit functions are responsible for supporting the business lines and operational units to ensure the regularity, safety and efficiency of operations. In this capacity they carry out:

- the management and control of credit, market, liquidity, financial and operational risks by the Group Risk Management department, which is also responsible for the ultimate control of accounting and financial information and for monitoring deployment by the Group IT Security Officer of information systems security and business continuity plans;
- the prevention and control of non-compliance risks by the Group Compliance department, which ensures in particular the prevention of money laundering, the fight against terrorist financing, the prevention of fraud, compliance with embargoes and asset freezing obligations;
- independent and periodic control of the proper functioning of all entities of the Crédit Agricole Group by the Group Control and Audit department.

In addition to the involvement of the various control functions, the other central functions of Crédit Agricole S.A. and its departments and business lines contribute to the implementation of internal control systems on a consolidated basis, whether within specialised committees or through actions to standardise procedures and centralise data.

Organised as a business line, the Legal Affairs department has two main objectives: to control legal risk, which can give rise to disputes and liabilities, whether civil, disciplinary or criminal, and to provide the legal support needed by entities to enable them to carry out their activities, while controlling legal risks and minimising associated costs.

With regard to Crédit Agricole S.A. and its subsidiaries

The functions, departments and business lines are themselves supported by decentralised mechanisms within each of the legal entities, which are first-tier subsidiaries and are part of the consolidated supervisory scope of Crédit Agricole S.A., and include:

- quarterly Internal Control Committee meetings, which are decision-making and binding in nature, consisting of an executive director of the entity and representatives of the control functions of the entity and of Crédit Agricole S.A., responsible in particular for steering the internal control system implemented in the entity, examining the main risks to which the entity is exposed, critically evaluating the internal control systems and the audit action, monitoring missions and taking any necessary corrective measures;
- special Committees that are specific to each entity;
- a network of correspondents and authorities dedicated to each business line.

With regard to the Crédit Agricole Regional Banks

For the Regional Banks, the application of all the Group's rules is made possible by the dissemination of national recommendations on internal control by the plenary Internal Control Committee of the Regional Banks and by the activity of the central control functions of Crédit Agricole S.A. The Plenary Committee is responsible for strengthening the management of the Regional Banks' internal control systems and is composed of Chief Executive Officers, senior managers and heads of the Regional Banks' audit functions, as well as representatives of Crédit Agricole S.A. Its activities are extended through regular regional meetings and working and information meetings between the heads of the audit functions of Crédit Agricole S.A. and their counterparts in the Regional Banks.

The role of Crédit Agricole S.A. as a corporate centre requires it to be very active and vigilant in terms of internal control. In particular, specific monitoring of the risks and controls of the Regional Banks is carried out at Crédit Agricole S.A. by dedicated units of the Group Risk Management department and by the Group Compliance department.

Role of the Board of Directors

The Board of Directors of Crédit Agricole S.A. is aware of the Company's general organisation. It approves the Group's general organisation and internal control system and defines the Group's risk appetite in an annual statement. It is informed of the organisation, activity and results of internal controls. Other than the information it regularly receives, it has access to the Annual Report and the half-yearly presentation on internal controls, such in accordance with banking regulations and standards defined by Crédit Agricole S.A. The Chairman of the Board of Directors of Crédit Agricole S.A. receives detailed summary notes presenting the conclusions of the Group Control and Audit department's missions.

The Board is informed, through the Risk Committee, of the main risks incurred by the Company and the significant incidents revealed by the internal control and risk management systems.

The Chairman of the Risk Committee of Crédit Agricole S.A. reports to the Board on the work of the Committee, and in particular on the annual report on internal controls and on risk measurement and monitoring. By the date of the General Meeting, the Annual Report will have been presented to the Risk Committee, forwarded in due course to the French Regulatory and Resolution Supervisory Authority (Autorité de contrôle prudentiel et de résolution – ACPR), and to the Statutory Auditors. It will also have been presented to the Board of Directors.

Role of the Chief Executive Officer in internal control

The Chief Executive Officer (CEO) defines the general organisation of the Company and ensures its efficient implementation by qualified and competent persons. He is directly and personally involved in the organisation and operation of the internal control system. In particular, the CEO sets out the roles and responsibilities for internal control and allocates appropriate resources to it.

The CEO ensures that the risk strategies and limits are compatible with the financial position (equity levels, results) and the strategies adopted by the Board of Directors, as part of the Group's Risk Appetite Statement.

The CEO ensures that risk identification and measurement systems, adapted to the Company's activities and organisation, are adopted. The CEO also ensures that the main information from these systems is regularly reported to him.

The CEO personally assures that the internal control system is constantly monitored to ensure its adequacy and effectiveness. The CEO is informed of any malfunctions that the internal control system would identify and of the corrective measures proposed. In this respect, the Chief Executive Officer receives detailed summary notes presenting the conclusions of the Group Control and Audit department's missions.

III. Specific internal control systems and risk control and monitoring systems of Crédit Agricole S.A.

Crédit Agricole S.A. implements processes and mechanisms for measuring, monitoring and controlling its risks (counterparty, market, operational, financial and other risks) adapted to its activities and organisation, which are an integral part of the internal control system and are periodically reported to the management body, the supervisory body and the Risk Committee, in particular via reports on internal control and risk measurement and monitoring.

Detailed information on risk management is presented in the chapter “Risk Management” and in the notes to the consolidated financial statements dedicated to these (Note 3).

Risk Management and Permanent Controls function

The Risk Management business line was created in 2006 pursuant to amendments to Regulation 97-02 (repealed and replaced by the decree of 3 November 2014, as amended, on the internal control of companies in the banking, payment services and investment services sector subject to the supervision of the French Regulatory and Resolution Supervisory Authority).

The Risk Management business line is responsible for both the overall management and the permanent control of the Group's risks: credit, financial and operational risks, in particular those related to the quality of financial and accounting information, physical security and information systems, business continuity and the supervision of outsourced essential services.

Risk management is based on a Group system whereby the strategies of the business lines, including in the event of the launch of new activities or new products, are the subject of a risk notice, and risk limits are formalised in the risk strategies for each sensitive entity and activity. These limits are reviewed at least once a year or in the event of a change in an activity or risks and are validated by the Group Risk Committee. They are accompanied by cross-Group limits, particularly on major counterparties. The mapping of potential risks, the measurement and monitoring of proven risks are regularly adjusted with regard to the activity.

Audit plans are adapted to changes in the activity and the risks, to which they are proportionate.

The business line is placed under the responsibility of the Group Chief Risk Officer, who is independent of any operational function and reports to the Group Chief Executive Officer. It consists of the cross functions of Crédit Agricole S.A. (Group Risk department) and the decentralised Risk Management and Permanent Controls functions, working closely with the business lines at the level of each Group entity in France and around the world. The Risk Management business line employed around 2,995 people at end-2020 (in full-time equivalent) within the scope of the Crédit Agricole Group.

The business line operates through structured governance bodies, including the Internal Control Committees, the Group Risk Committee, under which executive management approves the Group's strategies and is informed of the level of its risks, the Regional Banks' Risk Monitoring Committee, the Group Security Committee, the Standards and Models Committee, the Basel Recommendations Steering Committee, the Business Line Monitoring Committees, which include the Group Risk department and subsidiaries at predefined intervals, and various committees in charge of rating systems and information systems. The Group Risk Monitoring Committee, chaired by the Group Chief Executive Officer, meets twice a month and is responsible for monitoring the emergence of risks in order to identify appropriate guidelines.

Central Risk Management and Permanent Control functions of Crédit Agricole S.A.

Within Crédit Agricole S.A., the Group Risk department is responsible for the overall management of the Group's risks and permanent control systems.

Global Group risk management

The consolidated measurement and management of all Group risks is carried out centrally by the Group Risk department, with units specialised by risk type that define and implement consolidation and risk management measures (standards, methodologies, information systems).

The Group Risk department also has a “business line risk management” function in charge of the global and individualised relationship with each of the subsidiaries of Crédit Agricole S.A. and the Regional banks.

Group risks are monitored by the business line risk management units, in particular through the Group Risk Committee and the Regional Banks' Risk Monitoring Committee.

It is also carried out through an alert procedure applied to all entities and which allows the most significant risks to be presented to a specific Committee on a bi-monthly basis (Alert Monitoring Committee).

Crédit Agricole S.A. measures its risks in an exhaustive and precise manner, namely by integrating all categories of commitments (on- and off-balance sheet) and positions, consolidating commitments on companies belonging to the same group, aggregating all portfolios and distinguishing risk levels.

This is supplemented by ad hoc measurements of risk profile distortion under stress scenarios and a regular assessment based on various scenario types.

In addition to regulatory exercises, from an internal management viewpoint, stress tests are carried out at least once a year by all entities. This work is performed in particular as part of the annual budgetary process to strengthen the practice of measuring the sensitivity of the Group's risks and income statement and its various components to a significant downturn in the economy. This global stress testing is supplemented by sensitivity tests on the main portfolios.

Risk monitoring by Crédit Agricole S.A., its subsidiaries and the Regional Banks on an individual or collective basis requires a system to monitor the overruns and their regularisation, the operation of accounts, the correct classification of receivables in accordance with current regulations (in particular impaired loans), the adequacy of the level of provisioning for risks under the supervision of the Risk Committees, and the periodic review of the main risks and portfolios, in particular for sensitive business.

In a context of contrasting and uncertain risk, Crédit Agricole S.A. pursues a policy of actively reviewing the risk policies and strategies applied by its subsidiaries. Moreover, the Group's main cross-functional portfolios (housing, energy, professionals and farmers, consumer finance, private equity, etc.) have been analysed by the Group Risk Committee (CRG). The scope of risks covered in the risk strategies reviewed by the CRG also includes model risks, operational risks and conglomerate risks and environmental risk.

Alert and escalation procedures are in place in the event of a prolonged anomaly, depending on its materiality.

Permanent control of operational risks

The Group Risk department coordinates the Permanent Controls system (definition of key control indicators by type of risk, deployment of a single software platform integrating the assessment of operational risks and the results of permanent controls, organisation of reporting of control results to the various consolidation levels concerned within the Group).

Decentralised Risk Management and Permanent Control functions, at the level of each of the Group's business lines

Within Crédit Agricole S.A.

The function operates using a hierarchical organisation, with a risk manager (RFGR) appointed at each subsidiary or business line. The business line RFGR reports hierarchically to the Group Chief Risk Officer and functionally to the management body of the relevant entity. This positioning ensures the independence of the local Risk Management and Permanent Controls departments.

Each subsidiary or business line, under the responsibility of its RFGR, obtains the necessary resources to ensure the management of its risks and the compliance of its permanent control system, in order to implement a full-fledged function (exhaustive and consolidated vision of risks, likely to guarantee the sustainability of the entity over its entire scope of supervision on a consolidated basis).

The relationship between each subsidiary or business line and Group Risk department is organised around the following main elements:

- implementation by each subsidiary or business line of the Group's cross-functional standards and procedures, developed by the Group Risk department;
- determination for each subsidiary or business line of a risk strategy, validated by the Group Risk Committee on the advice of the Group Risk department, specifying in particular the entity's overall commitment limits;
- principle of delegation of powers from the Group RFGR to the business RFGRs that are hierarchically linked to it in the performance of their duties, subject to transparency and alerting the latter to the Group Risk department.

Within the scope of the Regional Banks

Banking regulations relating to risks apply to each of the Regional Banks individually. Each is responsible for its own permanent risk and control system and has a risk manager (RFGR) – who reports to its Chief Executive Officer – in charge of risk management and permanent controls. The RCPR may also be responsible for the duties of the Compliance Officer. If this is not the case, the Compliance Officer reports directly to an executive director.

Moreover, as the corporate centre, Crédit Agricole S.A., via the Group Risk department, consolidates the risks carried by the Regional Banks and has the role of standardising, monitoring, coordinating and managing the Risk Management business line in the Regional Banks, in particular by disseminating the necessary standards to them, in particular for the implementation of a permanent control system at Group level.

In addition, the significant credit risks taken by the Regional Banks are presented for partial guarantee to Foncaris, a credit institution and wholly owned subsidiary of Crédit Agricole S.A. The obligation imposed on the

Regional Banks to request a counter-guarantee from Foncaris on their main operations (above a threshold defined between the Regional Banks and Foncaris) thus provides the corporate centre with an effective tool enabling it to assess the associated risk before accepting it.

Internal control system for business continuity and information system security plans

The internal control system implemented makes it possible to provide the Group's security governance bodies with periodic reporting on the position of the main entities with regard to risk monitoring relating to business continuity plans and information system security.

Business continuity plans

With regard to IT backup plans, the IT productions of most of the subsidiaries of Crédit Agricole S.A. and of the 39 Regional Banks hosted on the Greenfield secure bi-site structurally benefit from backup solutions from one site to another.

These solutions are tested on a recurring basis for Crédit Agricole S.A. and its subsidiaries. The Regional Banks follow the same process in terms of testing.

The subsidiaries of Crédit Agricole S.A. for which IT is not managed by Greenfield have IT backup solutions that are regularly tested with reasonable assurance of restart in the event of a disaster.

With regard to user back-up plans, the Group has partially dismantled the physical bi-site back-up system and replaced it with a massive teleworking system that was broadly tested during the Covid-19 crisis. However, certain activities (trading room) still have a physical back-up site and the Group has developed cross-functional use of its entities' premises.

In addition, and in accordance with Group policy, most entities are able to cope with a massive viral attack on workstations through the use of adapted solutions (physical back-up site, workstation matrixing bench and crisis PCs in stock).

Information Systems Security

The Crédit Agricole Group continued to reinforce its resilience to the scale of IT risks, particularly cyber threats, in terms of organisation and projects.

Group security governance has been implemented with a Group Security Committee (CSG) which is the decision-making and executive body that defines the Group's security strategy by domain, integrating the orientations of Group security policies into it, determines Group security projects, supervises the execution of the strategy on the basis of indicators for managing Group projects and applying policies, and finally assesses the Group's level of control in the four areas falling within its competence: business continuity plan, data protection, personal and property security and information system security.

The Information Systems Risk Manager (*Manager des risques systèmes d'information – MRSI*) and Chief Information Security Officer (CISO) functions are now deployed in most of the Group's entities: the MRSI, who reports to the risk manager (RFGR - *responsable de la fonction Gestion des risques*), consolidates the information to act as a second set of eyes.

Internal control system for accounting and financial information

In keeping with the applicable rules within the Group, the organisational principles and responsibilities of the Group Finance department functions are set out in an operational note.

The Finance function is organised as a Business line within Crédit Agricole S.A. The chief financial officers of the Group's subsidiaries report hierarchically to the head of the business line or subsidiary and functionally to the Deputy General Manager, Chief Monitoring Officer. The central Finance function defines the financial strategy, in conjunction with other departments within Crédit Agricole S.A. where necessary, and determines and/or validates the standards and methods applicable in the Group in terms of accounting and regulatory information, taxation, solvency and the management of liquidity, interest rate and foreign exchange risks. It also ensures that these standards and methods are disseminated to and implemented by all the Groups entities.

At subsidiary level, the Finance department acts as a relay among subsidiaries, circulating the Group's standards and principles in these areas, in line with each business line's specific attributes. In some cases, it also constitutes an intermediate level for preparation of the business line's accounting and business management information. Each Risk Management and Permanent Controls department in a subsidiary within the Group is also responsible for producing the risk data used to prepare financial information and for implementing controls to ensure that this information is accurately reconciled to accounting data.

Each entity is equipped with the means to ensure the quality of the accounting, management and risk data transmitted to the Group in line with consolidation requirements, in particular with regard to the following aspects: compliance with the standards applicable to the Group, consistency with the parent company financial statements approved by its supervisory body, reconciliation of accounting and management reporting figures.

Within the Group Finance department, the reported accounting and financial information is prepared by three main functions: Accounting, Management Control and Financial Communication.

Accounting

The main purpose of the Accounting function is to draw up the parent company financial statements of Crédit Agricole S.A., the consolidated financial statements of Crédit Agricole S.A., its subsidiaries and Crédit Agricole Group, including segment information for Crédit Agricole S.A. based on the definition of the business lines for financial reporting purposes and in compliance with IFRS 8. To fulfil this purpose, the Accounting function, in accordance with applicable regulations, defines and circulates the accounting standards and principles that apply to the Group. It oversees the accounting framework, lays down the rules governing the architecture of the accounting information and regulatory reporting system, and manages the accounting processes for consolidation of the financial statements and regulatory reporting.

Management Control

For the preparation of financial information, the Group Management Control function, within the Financial Steering department, defines the rules for allocating economic capital (definition, allocation policy), consolidates, prepares and quantifies the budget and the Medium-Term Plan for Crédit Agricole S.A., and monitors the budget. To meet this objective, Group Management Control defines the management control procedures and methods and the structure and management regulations for the Group management control system.

Financial Communication

Crédit Agricole S.A.'s Financial Communication function ensures message consistency across all investor categories. It is responsible for information published in press releases and presentations to shareholders, financial analysts, institutional investors, rating agencies, as well as information contained in documents subject to approval by the French financial market authority (AMF). In this respect, working under the responsibility of the Chief Executive Officer and Crédit Agricole S.A.'s Deputy General Manager in charge of the Steering division, the Financial Communication function provides the materials used as the basis for presentations of Crédit Agricole S.A. results, financial structure and changes in business lines, as needed to enable third parties to formulate an opinion, particularly on the Group's financial strength, profitability and outlook.

Procedures for the preparation and processing of accounting and financial information

Each Group entity has responsibility, vis-à-vis the Group and the regulatory authorities to which it reports, for its parent company financial statements, which are approved by its supervisory body. Depending on the entity's size, these financial statements are subject to prior review by the entity's Audit Committee, if it has one.

As for the Crédit Agricole Regional Banks, once their financial statements are drawn up, they are approved by the Accounting and Regulatory Information department of Crédit Agricole S.A.; this is one of its responsibilities as corporate centre. The Crédit Agricole S.A. Group's consolidated financial statements are submitted to the Audit Committee and approved by the Board of Directors of Crédit Agricole S.A.

Most published financial information is based on accounting data and on management and risk data.

Accounting data

Figures for each individual entity are drawn up in accordance with the accounting standards applicable in the country in which the entity operates. For the purposes of preparing the Group's consolidated financial statements, local financial statements are restated to be conforming with IFRS policies and principles, as adopted by Crédit Agricole S.A.

Management data

Management data is produced by the Group Finance department or the Group Risk Management department. The data are reported in anticipation of definitive accounting data in accordance with the same definition and granularity standards and are used as inputs to the Group's internal management reporting.

Furthermore, external sources of information (such as the European Central Bank and Banque de France) may be used for management data, particularly for calculating market shares.

In accordance with AMF and ESMA (the European Securities and Markets Authority) recommendations, the use of management data for preparing published financial information must comply with the following guidelines:

- classification of the types of financial information published: historical information, pro forma data, projections or trends;
- a clear description of the sources from which the financial information was drawn. When published data are not extracted directly from accounting information, the sources and definition of calculation methods are mentioned;
- comparability of figures and indicators over time, which implies ongoing use of the same sources, calculation methods and methodologies.

Description of the Permanent Accounting Control system

The purpose of the Permanent Accounting Control system is to ensure that coverage of accounting risks likely to affect the quality of accounting information and regulatory reporting is satisfactory and effective.

Reporting hierarchically to the Group Financial Risk Department, the function's duties are carried out by the Accounting Control department, which is responsible for:

- the permanent control of the Operational departments of the GFD, excluding the FSD of Crédit Agricole S.A. corporate entity;
- the management of the permanent accounting control systems of all Crédit Agricole Group entities, in close collaboration with the network of accounting controllers in the Regional Banks and subsidiaries.

The following duties are carried out:

- performing the permanent controls applicable to the departments within Crédit Agricole S.A. corporate entity under its responsibility;
- coordinating governance of the permanent control for the departments within Crédit Agricole S.A. under its responsibility;
- outlining the accounting control methodologies, within the Crédit Agricole Group;
- ensuring oversight and supervision of the permanent accounting control systems implemented within the Group's subsidiaries and Regional Banks;
- issuing opinions on accounting risk in connection with Risk strategies presented by the entities based on in-depth analyses of the permanent accounting control systems. Work conducted by the Permanent Accounting Control team, which is responsible for second-level accounting controls in the Accounting and Regulatory Information department of Crédit Agricole S.A., showed a generally satisfactory level of maturity in the processes. Ad hoc studies were carried out and did not reveal any major irregularities. Action plans aimed at better managing the risks of the controlled processes were recommended. Follow-up of these plans has been set up.

Work conducted by the Permanent Accounting Control team, which is responsible for second-level accounting controls in the Accounting and Regulatory Information department of Crédit Agricole S.A., showed a generally satisfactory level of maturity in the processes. Ad hoc studies were carried out and did not reveal any major irregularities. Action plans aimed at better managing the risks of the controlled processes were recommended. Follow-up of these plans has been set up.

Work on the Updated Accounting Control Guide (*Guide du contrôle comptable*), which began in 2020, was finalised in 2021. This document, which was drawn up in 2010 and first updated in 2015, was disseminated by means of a Procedural Note and Yellow Newsletter (*"Lettre jaune"*) to all Crédit Agricole Group entities: NP 2022-01/LJ 2022-001 "Guide to Accounting Control and Regulatory Reporting". This reference document for all the 2.1 and 2.2 accounting controllers of Crédit Agricole Group incorporates controls on new reporting in addition to requests issued by the French anti-corruption authority (AFA – *Agence française anticorruption*) on preventing corruption risk as defined in the 2016 Sapin II law.

Relations with the Statutory Auditors

The Universal Registration Document, its updates, the securities notes and the prospectuses prepared for new debt or share issues, which contain comprehensive financial information, are subject to approval by or registration with the AMF.

In accordance with applicable professional standards, the Statutory Auditors perform those procedures they deem appropriate on published accounting and financial information:

- audit of the parent company and consolidated financial statements;

- review of interim consolidated financial statements;
- read through of quarterly financial information and materials used as a basis for presenting financial information to financial analysts.

As part of the duties assigned to them by law, the Statutory Auditors submit to Crédit Agricole S.A.'s Audit Committee their overall work programme, the various spot checks they have carried out, the conclusions of their work on the accounting and financial information they have reviewed in carrying out their assignment, as well as any significant weaknesses of the internal controls, with regards to the procedures used for the preparation and processing of accounting and financial information.

Non-compliance risk prevention and controls

See Part 2.9 "Non-compliance risks" below.

Periodic control

The Group Control and Audit department, which reports directly to the Chief Executive Officer of Crédit Agricole S.A., is the highest level of control within the Crédit Agricole Group. Its sole responsibility is to ensure the Crédit Agricole Group's periodic control through the missions it carries out, the management of Crédit Agricole S.A.'s Audit-Control business line, which is hierarchically attached to it, and the management of the internal audit units of the Regional Banks.

Based on an updated risk mapping approach resulting in an audit cycle generally lasting between two and five years, it conducts on-site and documentary audits in the Regional Banks, units of Crédit Agricole S.A. and its subsidiaries, including when they have their own internal audit and control units, as part of a coordinated approach to audit plans.

These periodic audits include a critical review of the internal control system put in place by the audited entities. These procedures are designed to provide reasonable assurance on the effectiveness of the system in terms of operational safety, risk control and compliance with external and internal rules.

Within the audited entities, they consist in particular in ensuring compliance with external and internal regulations, assessing the safety and effectiveness of operating procedures, ensuring the adequacy of systems for measuring and monitoring risks of all kinds and verifying the reliability of accounting information.

Thanks to its specialised audit teams, the Group Control and Audit department conducts several IT assignments each year on the information systems of the Group's entities as well as current issues, largely related to IT security, or in the field of models in the context of calculating the entities' or the Group's capital requirements. Finally, as required by regulations, the Group Control and Audit department carries out audits of outsourced essential services of interest to the Group or to the financial community.

The Group Control and Audit department also provides centralised monitoring of the Audit-Control business line for all subsidiaries and leads the periodic control of the Regional Banks, thereby enhancing the effectiveness of controls by harmonising audit practices at their best level, to ensure the security and regularity of operations in the various Group entities and to develop common areas of expertise. At end-2020, the business line had 1,210 full-time equivalent employees within Crédit Agricole S.A. (including the Group Control and Audit department) and the Regional Banks.

Joint audit engagements of the Group Control and Audit department and the audit departments of subsidiaries are regularly carried out, which contributes to exchanges on best audit practices. Particular importance is given to thematic and transversal investigations.

In addition, the Group Control and Audit department ensures, within the framework of the Internal Control Committees of the relevant Group subsidiaries – in which the Executive Management, the Head of Internal Audit, the Head of Risk Management and Permanent Controls and the Compliance Officer of each entity participate – that audit plans are properly carried out, that risks are properly controlled and, more generally, that each entity's internal control systems are adequate.

The assignments carried out by the Control and Audit department of Crédit Agricole S.A., the audit-control units or any external audit (regulatory authorities, external firms where applicable) are subject to a formal monitoring system for regulatory controlled monitoring assignments, which are included in the audit plan on a minimum half-yearly basis. For each of the recommendations made at the end of these assignments, the system makes it possible to ensure the progress of the planned corrective actions, implemented according to a precise

timetable, according to their priority level, and for the Head of the Group Control and Audit department to exercise, if necessary, the duty to alert the supervisory body and the Risk Committee pursuant to Article 26 b) of the decree of 3 November 2014, as amended, on the internal control of companies in the banking, payment services and investment services sector subject to the supervision of the French Regulatory and Resolution Supervisory Authority.

In accordance with Article 23 of this Order, the Head of the Group Control and Audit department reports to the Board of Directors of Crédit Agricole S.A. regarding the performance of the engagements.

The Audit-Control business line consisted of 1,196 full-time equivalent employees, at end-2021:

- 752 at Crédit Agricole S.A and its subsidiaries;
- 444 within the scope of the Regional Banks.

2.4 CREDIT RISK

A credit risk is realised when a counterparty is unable to honour its obligations and when the carrying amount of these obligations in the bank's books is positive. The counterparty may be a bank, an industrial or commercial enterprise, a government and its various controlled entities, an investment fund, or an individual person.

Definition of default

The definition of default used in management, which is the same as the one used for regulatory calculations, changed in 2020 in line with the regulatory requirements relating to the new default in the various Group entities.

A debtor is, therefore, considered to be in default when at least one of the following conditions has been met:

- a payment arrear of more than 90 days past due and above the regulatory materiality thresholds, unless specific circumstances demonstrate that the delay is due to reasons independent of the debtor's financial situation;
- the entity believes that the debtor is unlikely to settle its credit obligations unless it avails itself of certain measures such as enforcement of collateral security right.

The exposure may be a loan, debt security, deed of property, performance exchange contract, performance bond or unutilised confirmed commitment. The risk also includes the settlement risk inherent in any transaction entailing an exchange of cash or physical goods outside a secure settlement system.

Restructured loans

Restructuring as defined by the EBA (forbearance) consists of all changes made to one or more credit agreements, as well as to refinancings, agreed to by virtue of a customer's financial difficulties.

Once the restructuring as defined by the EBA has been carried out, the exposure continues to be classified as "restructured" for at least two years, if the exposure was performing when restructured, and three years if the exposure was in default when restructured. These periods are extended when certain events covered by the Group standards occur (further incidents for example).

In this respect, Group entities have put in place solutions to identify and manage these exposures, tailored to their specificities and to their business lines, depending on the circumstances: based on expert judgement, algorithmic solutions or a combination of these two approaches. These solutions have been maintained and tailored as necessary to the public health crisis situation, in compliance with EBA guidelines. These mechanisms also make it possible to satisfy the requirement to produce quarterly regulatory statements on this matter.

The volume of loans in forbearance under the ITS 2013-03 definition are given in the accompanying Note 3.1. The accounting policies and principles applicable to receivables are specified in Note 1.2 to the Group's financial statements.

I. Objectives and policy

Credit risk-taking by the Crédit Agricole Group is subject to the risk appetite of the Group and entities and risk strategies confirmed by the Board of Directors and approved by the Group Risk Committee, a sub-committee of Crédit Agricole S.A. Executive Committee chaired by the Chief Executive Officer. Risk strategies are adjusted to each business line and its development plan. They set out overall limits, intervention criteria (types of eligible counterparties, nature and maturity of eligible products, collateral required) and arrangements for delegating decision-making authority. These risk strategies are adjusted as required for each business line, entity, business sector or country. Business lines are responsible for complying with these risk strategies, and compliance is controlled by the Risk Management and Permanent Controls Officers.

Crédit Agricole Corporate and Investment Bank also carries out active portfolio management, in order to reduce the main concentration risks borne by the Crédit Agricole S.A. Group. The Group uses market instruments, such as credit derivatives or securitisation mechanisms, to reduce and diversify counterparty risk and enable it to optimise its use of capital. Similarly, potential risk concentration is mitigated by syndication of loans with external banks and use of risk hedging instruments (credit insurance, derivatives).

Crédit Agricole S.A., its subsidiaries and the Regional Banks seek to diversify their risks in order to limit their exposure to credit and counterparty risks, particularly in the event of a crisis affecting a particular industry or country. To this end, Crédit Agricole S.A. and its subsidiaries regularly monitor their total exposures by counterparty, by trading portfolio, by business sector and by country, using different internal calculation methods depending on the type of exposure (see in particular Section II.2.2 “Credit risk measurement”).

To reduce the risk associated with the deterioration of the quality of its exposure to credit and counterparty risks, the Group may apply a hedging strategy consisting notably of the purchase of credit derivatives (see Credit risks under paragraph II.4.3 “Use of credit derivatives”, Market risks under Section III.2. “Use of credit derivatives” and Asset and liability management Part V “Hedging policy”).

When the risk is proven, an individual or portfolio-based impairment policy is implemented.

In particular, with respect to counterparty risk on market transactions, the Group’s policy on credit reserves constitution on this type of risk is similar to credit risk, with a credit valuation adjustment (CVA) for sound customers that is economically comparable to a collective provision, and for defaulted counterparties, an individual provision sized in accordance with the derivative instrument position, taking into account the CVA amount already provisioned prior to the default.

In case of default, the impairment is assessed in accordance with the same principles as those governing the credit risk provisioning policy: expected loss amount depending on the derivative instrument rank in the waterfall. But it takes into account the CVA process, with two possible outcomes: either derivatives are left in place (CVA or individual impairment), or they are unwound (individual impairment).

II. Credit risk management

1. General principles of risk-taking

All credit transactions require in-depth analysis of the customer’s ability to repay the debt and the most efficient way of structuring the transaction, particularly in terms of security and maturity. This analysis must comply with the risk strategy of the business line or entity concerned and with all limits in force, both individual and aggregate. The final commitment decision is based on an internal rating and is taken by the commitment units or by the Credit Committees, on the basis of an independent opinion given by a representative of the Risk Management and Permanent Controls business line as part of the authorisation system in place. The Group Risk Committee and its Chair constitute the Group’s ultimate decision-making authority.

Each lending decision requires a risk-return analysis. For the Corporate and Investment bank this means an ex ante calculation of the profitability of the transaction.

In addition, the principle of an individual risk limit applies to all types of counterparty, whether corporates, banks, financial institutions, public sector or semi-public sector entities.

2. Risk measurement methods and systems

2.1 Internal rating systems and credit risk consolidation systems

The internal rating systems cover all of the methods, procedures and controls used for assessment of credit risk, rating of borrowers and estimation of losses given default by the borrower. Governance of the internal rating system relies on the Standards and Methodology Committee (Comité des normes et méthodologies – CNM), chaired by the Head of Group Risk Management and Permanent Controls, who is responsible for the validation and circulation of risk measurement and control standards and methodologies within the Crédit Agricole Group. In particular, the CNM reviews:

- the rules for identifying and measuring risks, in particular, counterparty rating methods, credit scoring and Basel risk parameter estimates (probability of default, credit conversion factor, loss given default) and related organisational procedures;
- the segmentation between retail customers and large customers, with related procedures such as risk consolidation information system data entry;
- the performance of rating and risk assessment methods by reviewing back-testing results at least once a year;
- the use of ratings (validation of common syntaxes, glossaries and benchmarks).

For retail customers, including loans to individuals (in particular, home loans and consumer finance) and small businesses, each entity is responsible for defining, implementing and substantiating its rating system, in accordance with the Group standards established by Crédit Agricole S.A.

LCL and the consumer finance subsidiaries (Crédit Agricole Consumer Finance) have their own rating systems. Crédit Agricole Regional Banks have shared risk assessment models which are managed at Crédit Agricole S.A. level. Procedures for back-testing the parameters used in calculating the regulatory capital requirements have been defined and are operational in all entities. The internal models used by the Group are based on statistical models established on explanatory behavioural variables (e.g. average current account balance) and identifying variables (e.g. business sector). The approach taken can be either customer-centred (Individual Customers, Farmers, Small Businesses and Very Small Enterprises), or product-centred. The estimated one-year probability of default, to which the rating relates, is updated on a yearly basis.

For the large customer category, a single fifteen-grade rating scale has been established on the basis of a segmentation of risk so as to provide a uniform view of default risk “over a full business cycle”. It has 13 ratings (A+ to E-) categorising counterparties not in default and two ratings (F and Z) categorising counterparties in default.

— Comparison between the Group ratings and the rating agencies

Crédit Agricole Group	A+	A	B+	B	C+	C	C-	D+	D	D-	E+	E	E-
S&P/Fitch	AAA	AA+	AA/AA-	A+/A/A-	BBB+	BBB	BBB-	BB+/BB	BB-	B+/B	B-	CCC/CCC-/CCC+	CC/C
Moody’s	Aaa	Aa1	Aa2	Aa3/A1/A2/A3	Baa1	Baa2	Baa3	Ba1/Ba2	Ba3	B1/B2/B3	Caa1	Caa2	Caa3/Ca/C
Benchmark PD	(0% - 0.01%)	(0.01% - 0.02%)	(0.02% - 0.04%)	(0.04% - 0.10%)	(0.10% - 0.20%)	(0.20% - 0.30%)	(0.30% - 0.60%)	(0.60% - 1.00%)	(1.00% - 1.90%)	(1.90% - 4.90%)	(4.90% - 11.80%)	(11.80% - 19.80%)	(19.80% - 100%)

Within Crédit Agricole Group, the large customer category comprises primarily sovereigns and central banks, corporates, local authorities, specialised financings as well as banks, insurance companies, asset management companies and other financial companies. An internal rating method tailored to each specific risk profile, based on financial and qualitative criteria, is applied to each type of large customer. For large customers, Crédit Agricole Group entities have common internal rating methodologies. Counterparties are rated, at the latest, when they apply for support and the rating is updated with each renewal or upon any event that could affect risk quality. The rating assigned must be approved by a unit independent of the Front Office. The rating is reviewed at least annually. To ensure that each counterparty has a unique Crédit Agricole Group rating, a single Group entity is responsible for rating said counterparty on behalf of all the entities providing it with support.

Whether relating to large customers or retail customers, the rating oversight system implemented by Crédit Agricole S.A., its subsidiaries and the Regional Banks across the entire rating process concerns:

- the rules for identifying and measuring risks, in particular, the methods used;
- the uniformity in the handling of default events on a consolidated basis;
- the proper utilisation of the internal rating methodologies;
- the reliability of data substantiating the internal rating.

The Standards and Methodology Committee, amongst others, ensures that these principles are respected, in particular, when rating methodologies are approved and during annual back-testing.

Furthermore, Crédit Agricole S.A. and its subsidiaries continue to focus on improving the risk-tracking system for:

- the risk management of third parties and groups which is designed to ensure accurate identification of third parties and groups presenting a risk within the entities and to improve cross-functional risk information management on third parties and groups, which is crucial to ensuring rating uniqueness and consistent allocation of exposures to Basel portfolios;
- the closing process, which aims to guarantee the quality of the process of production of the solvency ratio.

The French Regulatory and Resolution Supervisory Authority (ACPR) has authorised the Crédit Agricole Group to use internal rating systems to calculate regulatory capital requirements for credit risk of its retail and large customer portfolios on the greater part of its scope. During 2021, the European Central Bank authorised the Group to use probability of default models dedicated to property professionals and extend the use of probability of default models relating to Leverage Buy-Outs (LBO) at CRCA and LCL.

Having internal rating systems deployed throughout the Group enables it to implement counterparty risk management based on risk indicators compliant with current regulatory rules. For large customers, the single rating system (identical tools and methods, shared data) which has been implemented for several years now, has helped to improve counterparty monitoring, in particular, for counterparties common to several Group entities. The system has also made it possible to have a common reference framework on which to base standards and procedures, monitoring tools, alert procedures and risk provisioning policies.

Finally, in the corporate and investment banking businesses, expected loss, economic capital and risk-adjusted return measurements are used in the processes for making loan approval decisions, defining risk strategies and setting risk limits.

2.2 Credit risk measurement

The measurement of credit risk exposures includes both drawn facilities and confirmed unutilised facilities.

To measure counterparty risk on market transactions, Crédit Agricole S.A. and its subsidiaries use different types of approaches to estimate the current and potential risk of derivative instruments (such as swaps and structured products).

Crédit Agricole CIB uses an internal methodology to estimate the risk in relation to such instruments, using a net portfolio approach for each customer:

- current risk corresponds to the sum the counterparty would owe in the event of instantaneous default;
- the potential future risk corresponds to the estimated maximum Crédit Agricole CIB's exposure for a given confidence interval.

The methodology used is based on "Monte-Carlo"-type simulations making it possible to assess the risk related to the changes in the market value of a portfolio of derivatives over the derivatives' residual maturity on the basis of a statistical modelling of the change in underlying market parameters.

This model considers the different risk reduction factors, such as the use of offsetting and collateralisation in agreements negotiated with counterparties prior to transactions taking place. It includes also exchanges of collaterals on initial margin for derivative instruments which are not cleared under regulatory thresholds.

Situations of specific risk of unfavourable correlations (risk that an exposure to a derivative is positively correlated with the counterparty's probability of default as a result of a legal tie between this counterparty and the underlying of the derivative) are monitored regularly to identify and integrate such risks in the exposure measurement as recommended by regulations. Situations of general risk of unfavourable correlations (risk that market conditions have a correlated effect on a counterparty's credit quality and derivative exposures with this counterparty) were monitored by means of ad hoc exercises in 2021.

The internal model is used to manage internal limits on transactions with each counterparty and to measure Basel 3 Pillar 2 economic capital by determining the average risk exposure (Expected Positive Exposure) across the portfolio.

As allowed by this regulatory framework, the French Regulatory and Resolution Supervisory Authority (ACPR) authorised Crédit Agricole CIB as of 31 March 2014 to use the internal model method to calculate its capital requirements in respect of counterparty risk. The model uses the Effective Expected Positive Exposure (EEPE) and is applied to all derivatives. The same method is used to calculate credit exposure at default for capital requirement purposes to address the risk of credit value adjustment (CVA).

For the calculation of capital requirements for counterparty risk for repo transactions and derivative transactions at its subsidiaries, Crédit Agricole CIB uses the standardised approach, as does the rest of the Group.

During the year the Group deployed the SA-CCR method of measuring introduced by CRR2 on the standardised scope.

Credit risk on these market transactions is managed in accordance with rules set by the Group. The policy on setting counterparty risk limits is as described above in Section II.1 "Credit risk management – General principles of risk-taking". The techniques used to reduce counterparty risk on market transactions by Crédit Agricole CIB are described in "Credit risk mitigation mechanisms".

The Group includes a Credit Valuation Adjustment (CVA) in its calculation of the fair value of derivative assets. This valuation adjustment is described in the accompanying consolidated Note 1.2 on accounting policies and principles and Note 11.2 on information about financial instruments measured at fair value of the consolidated financial statements.

The positive gross fair value of the contracts, as well as the gains from the offsetting and the guarantees held, and the net exposure on derivative instruments after the impact of offsetting and guarantees are discussed in the accompanying consolidated Note 6.9 on Offsetting – Financial Assets of the consolidated financial statements.

At other Group entities, the base for counterparty risk on market transactions is either calculated by the Crédit Agricole CIB tool under an internal provision of services agreement or based on the regulatory approach.

3. Supervision system of commitments

Rules for dividing and limiting risk exposures, along with specific processes relating to commitments and grant criteria, are used to prevent any excessive concentration of the portfolio and to limit the impact of any underperformance.

3.1 Process for monitoring concentrations by counterparty or group of related counterparties

The consolidated commitments of all Crédit Agricole Group entities are monitored by counterparty and by group of related counterparties. A group of counterparties is a group of French or international legal entities that are connected, regardless of their status and economic activity, enabling the total exposure to the risk of default of this group to be measured on the basis of the exposure of one or more of these entities. Commitments to a counterparty or group of related counterparties include all loans granted by the Group as well as corporate finance transactions, bond portfolios, financing commitments and counterparty risks relating to capital market transactions. Exposure limits for counterparties and groups of related counterparties are recorded in the internal information systems of each subsidiary or business line. When several subsidiaries have a counterparty in common, a Group-level aggregate limit is set on the basis of commitment authorisation limits that depend on the internal rating.

Each operating entity reports the amount of its commitments by risk category on a monthly or quarterly basis to the Group Risk Management and Permanent Controls department. Exposures to major non-bank counterparties, i.e. those on which the aggregate commitments of Crédit Agricole Group exceed €300 million after offsetting, are reported separately to the Group Risk Committee.

At end-2021, the commercial lending commitments of Crédit Agricole S.A., its subsidiaries and the Regional Banks, to their ten largest non-sovereign, non-bank customers, amounted to 5.61% of the total non-bank commercial lending portfolio (compared with 4.86% at 31 December 2020). The diversification of the portfolio on an individual basis is satisfactory.

3.2 Portfolio review and sector monitoring process

Periodic portfolio reviews conducted by entity or business line strengthen the monitoring process, thus serving to identify counterparties that are underperforming, update counterparty ratings, monitor risk strategies and check on changes in concentration ratios, for instance, by business sector.

Moreover, the Corporate and Investment Bank has a portfolio modelling tool that it uses to test how well portfolios hold up under stress scenarios.

The Regional Banks are organising at their level a portfolio review and sector monitoring process adapted to their risk profile.

3.3 Process for monitoring counterparties in default and on credit watch

Counterparties in default and on credit watch are monitored closely by the business lines, in collaboration with the Risk Management and Permanent Controls Officers. They are also the object of formal monitoring by the entities' Sensitive Exposure Committees and of quarterly monitoring by the Group Risk Committee and the Risk Committee on a consolidated basis.

3.4 Consolidated credit risk monitoring process

The Group's credit risk profile is monitored and presented at least every quarter at the Group Risk Committee and the Board of Directors' Meetings using the main changes in the risk position, its supplement and the Group risk appetite dashboard.

In addition, detailed periodic reviews of banking risks, country risks and the main non-banking risks are conducted during Group Risk Committee Meetings.

3.5 Country risk monitoring and management system

Country risk is the risk that economic, financial, political, judicial or social conditions in a country will affect the Bank's financial interests. This risk does not differ in nature from "elementary" risk (credit, market and operational risks), but is an aggregate of risks resulting from vulnerability to a specific political, social, macroeconomic and financial environment. Country risk covers the assessment of the overall risk environment in a country as opposed to sovereign risk, which refers to a government's counterparty risk.

The system for assessing and monitoring country risk within Crédit Agricole Group is based on its own rating methodology. Internal country ratings are based on criteria relating to the financial strength of the government, the banking system and the economy, criteria relating to ability and willingness to pay, governance and political stability.

Annually reviewed limits and risk strategies are applied to each country whose business volume justifies it, with a few exceptions.

This approach is supplemented by scenario analyses aimed at testing the impact of adverse macroeconomic and financial assumptions. These tests provide the Group with an integrated view of the risks to which it may be exposed in situations of extreme tension.

The Group manages and controls its country risks according to the following principles:

- acceptable country risk exposure limits are determined through reviews of country strategies, depending on the portfolio's vulnerability to country risk. The degree of vulnerability is determined by the type and structure of transactions, the quality of counterparties and the term of commitments. The exposure limits may be reviewed more frequently if developments in a particular country make it necessary. These strategies and limits are validated according to the issues in terms of risks by the Crédit Agricole CIB's Strategy and Portfolio Committees (CSP) and Crédit Agricole S.A.'s Group Risk Committee (CRG);
- the Corporate and Investment bank maintains a system for regular assessment of country risk and for updating the country risk rating quarterly for each country in which the Group operates. This rating is produced using an internal country rating model based on various criteria (structural solidity, governance, political stability, ability and willingness to pay). Specific events may cause ratings to be adjusted before the next quarterly review;
- Crédit Agricole CIB's Country and Portfolio Risk department validates transactions whose size, maturity and degree of country risk could affect the quality of the portfolio.

Country risk exposure is monitored and controlled in both quantitative (amount and term of exposure) and qualitative (portfolio vulnerability) terms through regular specific reporting on all exposures to countries.

Western European countries with an internal rating (below B) qualifying them for close country risk monitoring undergo a separate ad hoc monitoring procedure. Exposures to sovereign and non-sovereign risk in these countries are detailed in Note 6.7 of the annexes to the consolidated financial statements.

Moreover, exposures to other countries rated below B are detailed in Part III paragraph 2.4 “Country risk” below.

3.6 Credit risk stress testing

Credit risk stress testing is primarily based on satellite models that link changes in credit risk parameters (PD and LGD) to macroeconomic and financial variables. These models are independently reviewed and approved by the Standards and Methodology Committee in the same way as the Basel models. In addition, the quantitative stress testing system is back-tested each year. These satellite models are used for the regulatory stress testing (2021 stress tests done by the EBA, for example) for budgetary stress (or ICAAP stress) and for certain specific portfolio stresses. Moreover, since 1 January 2018 these models also contribute to the calculation of ECLs according to IFRS 9 (see Part IV 1. below).

In line with EBA methodology, the credit risk stress tests employ IFRS 9 Basel parameters (PD, LGD, EAD) conditioned on economic scenarios to estimate the cost of risk including provisions for assets not in default and on Basel parameters to estimate the impact in terms of risk-weighted assets.

The Group Risk department, in collaboration with the relevant business lines and entities, is conducting specific recurring or on-demand exercises to supplement and enhance the various analyses ensuring proper risk monitoring. This work is presented to Executive Management at Group Risk Committee Meetings.

A global credit risk stress test is carried out at least once a year as part of the budgetary process. The works, coordinated by the DRG, involve all Crédit Agricole Group entities and all Basel portfolios, whether they are treated for regulatory purposes using the IRB or Standardised method. The period examined is set at three years (or four years for the 2021 budgetary process). The stress process is part of corporate governance and aims to improve dialogue between risk and finance on the sensitivity of the cost of risk and capital requirements to a downturn in the economic climate. In addition to being used for budgetary purposes and to manage capital requirements, the results of the global credit risk stress tests are a key component of the ICAAP. They are reviewed by the Executive Committee and are also reported to Crédit Agricole S.A. Board of Directors.

4. Credit risk mitigation mechanism

4.1 Collateral and guarantees received

Guarantees or collateral are intended to provide partial or full protection against credit risk.

The principles governing the eligibility, utilisation and management of collateral and guarantees received as security are defined by Crédit Agricole Group's Standards and Methodology Committee (CNM), (in accordance with the CRR/CRD 4 system for the calculation of the solvency ratio).

This common framework, defined in Group standards, ensures a consistent approach across the various Group entities. It notably documents the conditions for prudential recognition, and the valuation and revaluation methods of all the credit risk mitigation techniques that are used: collateral (notably for the financing of assets: property, aircraft, ships, etc.), personal guarantees, public export credit insurers, private credit insurance policies, financial guarantee insurance, credit derivatives, and cash collateral.

The entities are in charge of implementing this framework at the operational level (management, monitoring of valuations, implementation).

Details of collateral commitments received are provided in Notes 3.1 and 9 to the financial statements.

Regarding financial assets obtained by enforcement of guarantees or credit enhancement measures, the Group's policy is to sell them as soon as possible.

4.2 Use of netting agreements

If a “master” agreement has been signed with a counterparty and said counterparty defaults or enters bankruptcy proceedings, Crédit Agricole S.A., its subsidiaries and the Regional Banks apply close out netting, enabling them to terminate current contracts early and to calculate a net balance on the debts and debt obligations in respect of this counterparty. They also use collateralisation techniques to enable securities or cash to be transferred in the form of collateral or transfer of full ownership during the lifetime of the hedged transactions, which can be offset, in the event of default by one of the parties, in order to calculate the net balance of reciprocal debt and debt obligations resulting from the master agreement signed with the counterparty.

4.3 Use of credit derivatives

In managing its corporate financing portfolio Crédit Agricole CIB uses credit derivatives together with a range of risk-transfer instruments, including, in particular, securitisation (see Information under Pillar 3 of Basel 3). The aim is to reduce concentration of corporate credit exposure, diversify the portfolio and reduce loss levels.

At 31 December 2021, the notional amount of protection bought in the form of credit derivatives was €7.2 billion (€6.8 billion at 31 December 2020), the notional amount of short positions was zero (the same at 31 December 2020).

Crédit Agricole CIB processes its derivatives through ten leading, competent and regulated bank counterparties, all investment grade. Furthermore, 64% of these derivatives are processed through clearing houses (60% at 31 December 2020).

These credit derivative transactions carried out as part of credit risk mitigation transactions are subject to adjustment calculation under Prudent Valuation, to cover market risk concentrations.

The outstanding amounts of credit derivatives are shown in the accompanying consolidated Note 3.2 “Derivative instruments: total commitments”.

III. Exposures

1. Maximum exposure

The maximum exposure of Crédit Agricole S.A., its subsidiaries and Regional Banks to credit risk corresponds to the net carrying amount of financial assets (loans and receivables, debt instruments and derivative instruments) before the effect of non-recognised netting contracts and collateral. It is shown in Note 3.1 to the financial statements.

At 31 December 2021, the Crédit Agricole Group's maximum exposure to credit and counterparty risk amounted to €2,188 billion (€2,102 billion at 31 December 2020), an increase of 4.1% compared to 2020.

2. Concentration

An analysis of credit risk on commercial lending commitments excluding Crédit Agricole Group internal transactions and collateral given by the Group as part of repurchase agreements (loans and receivables to credit institutions, loans and receivables to customers, financing commitments given, and guarantee commitments given for €1,729.0 billion) is presented below. This scope excludes in particular derivative instruments, which are mainly monitored in VaR (see market risks) and financial assets held by insurance companies (€232 billion excluding unit-linked policies and UCITS – see Insurance sector risks).

2.1 Portfolio diversification by geographic area

On the commercial lending portfolio (including bank counterparties), the breakdown by geographic area covers a total portfolio of €1,716.9 billion at 31 December 2021, compared with €1,570.0 billion at 31 December 2020. The breakdown reflects the country in which the commercial lending risk is based.

— Breakdown by geographic area of commercial lending of the Crédit Agricole Group.

Geographic area of exposure	2021	2020
Africa and Middle East	2%	2%
Central and South America	1%	1%
North America	3%	3%
Asia and Oceania excluding Japan	3%	3%
Eastern Europe	1%	1%
Western Europe excluding Italy	8%	8%
France (retail banking)	39%	40%
France (excluding retail banking)	35%	33%
Italy	7%	7%
Japan	1%	2%
TOTAL	100%	100%

The breakdown of commercial lending by geographic area was unchanged. At end-2021, lending in France accounted for 74% of the total, versus 73% at end-2020. Commercial lending in Italy, the Group's second largest market, stood at 7%, the same as end-2020.

Note 3.1 to the financial statements presents the breakdown of loans and receivables and commitments given to customers and credit institutions and by geographic area on the basis of accounting data.

2.2 Portfolio diversification by business sector

On the commercial lending portfolio (including bank counterparties outside the Group) the scope broken down by business sector stood at €1,719.2 billion at 31 December 2021, versus €1,518.8 billion at 31 December 2020. These breakdowns reflect the business sector in which the commercial lending risk to customers is based.

— Breakdown by business sector of commercial lending of the Crédit Agricole Group

Business sector	2021	2020
Air/Space	1.0%	1.1%
Agriculture and food processing	2.3%	2.4%
Insurance	0.7%	0.8%
Automotive	1.7%	1.9%
Other non-banking financial activities	5.1%	5.2%
Other industries	1.0%	1.0%
Other transport	0.9%	1.0%
Institutions	1.6%	1.4%
Wood/Paper/Packaging	0.2%	0.2%
Building and public works	1.2%	1.3%
Retail/Consumer goods industries	1.7%	1.8%
Other	2.7%	2.7%
Energy	4.5%	4.2%
o/w Oil and Gas	2.8%	2.7%
o/w Electricity	1.7%	1.5%
Real estate and Tourism	4.1%	4.1%
Heavy industry	1.4%	1.5%
IT/Technology	0.8%	0.7%
Shipping	0.9%	0.9%
Media/Publishing	0.2%	0.2%
Healthcare/Pharmaceuticals	1.1%	1.2%
Non-trading services/Public sector/Local authorities	20.1%	19.1%
Telecom	0.9%	0.9%
Tourism/Hotels/Restaurants	0.8%	0.8%
Utilities	0.8%	0.3%
Retail banking customers	44.3%	45.2%
TOTAL	100%	100%

The commercial lending portfolio by business sector is well diversified and remained overall unchanged in 2021. Two sectors represent over 10% of business as was true in 2020: the "Retail Customers" which ranks first at 44.3% versus 45.2% in 2020; and the "Non-merchant/public sector/local authorities" sector in second place, which saw its relative share increase to 20.1% versus 19.1% of the 2020 total based specifically on increased deposits with central banks and guaranteed government loans.

Among the other sectors:

- the “Oil and gas” sector is the main component of the “Energy” exposure. It comprises a wide diversity of underlyings, players and types of financing, including a number such as Reserve-Based Lending (RBL, managed ladder maturities in the United States), are usually secured by assets. Most of the exposure in the oil sector relates to players that are structurally less sensitive to the drop in oil prices (public sector companies, large international companies, transportation/storage/refinery companies). Conversely, clients focused on exploration/production and those dependent on industry investment levels (oil services) are the most sensitive to market conditions. After a severe crisis that affected the oil sector in 2016, and in light of the volatility in barrel prices since the first half of 2020, Crédit Agricole CIB recorded no significant difficulties in its portfolio, which showed good resilience. Already under vigilance for several years, the “Oil and Gas” sector continues to be more tightly regulated and is subject to a very selective approach to projects and any significant new transactions are subject to an in-depth analysis of credit and CSR risk where necessary;
- the “Electricity” sector is another component of the exposure to “Energy” but with its own characteristics not directly related to the oil and gas segments. Half of the exposure focuses on large integrated or diversified groups;
- The “Real Estate and Tourism” portfolio consists mainly of specialised financing of quality assets to real estate investment professionals; other financing on a corporate basis is mainly granted to large real estate companies and is often accompanied by interest rate hedges. The context of the health crisis has significantly slowed investments and leases, shops have been hit hard due to the consequences of the lockdowns, and the tourism industry has been strongly impacted on an international scale;
- the “Agriculture” sector was stable at 2.3 % versus 2.4 % in 2020;
- the “Consumer goods production and distribution” sector primarily involves major French distributors operating worldwide. They continue to enjoy a high quality rating despite the competitive environment they operate in;
- the “Automotive” portfolio has been the focus of particular attention since the end of 2018. It is still deliberately focusing on the major car manufacturers, with limited development in terms of the main equipment manufacturers;
- the “heavy industry” sector mainly comprises large global steel, metal and chemical groups. Within the sector, commitments in the Coal segment have continued along a reduction trajectory, in line with the Crédit Agricole Group’s CSR policy;
- the “Aviation” sector financing involves either financing of very high-quality assets, or financing of some of the world’s leading aircraft or equipment manufacturers;

- exposure in the “Telecom” sector is stable compared with 2020. The sector involves lending to operators and equipment manufacturers. It consists primarily of corporate financing. Despite the Covid-19 pandemic, the Telecommunication sector has shown strong resilience;
- the current position of the “Shipping” sector is the result of the expertise and background of Crédit Agricole CIB in mortgage financing for ships, which it provides to its international ship-owning customers. After 10 difficult years, maritime transport has showed signs of recovery since 2018 and, bolstered by a far more stable tonnage supply, recorded a net rebound in 2021, albeit still uneven and fragile depending on the sector. However, this portfolio remains relatively protected by its diversification (financing of oil and gas tankers, offshore vessels, bulk carriers, container ships, cruise ships, etc.), as well as by the quality of ship financing structures, secured by mortgages and coverage from credit insurers;
- The “Other” sector includes Professional services to businesses & Administrative services to businesses.

2.3 Breakdown of loans and receivables outstanding by customer type

Concentration by customer type of loans and receivables to credit institutions and customers are presented in Note 3.1 to the financial statements.

The gross amount of loans and receivables outstanding, including accrued interest, was €1,167.7 billion at 31 December 2021, compared with €1,075.4 billion at 31 December 2020 increased 8.6% in 2021. It is split mainly between Large corporates and retail customers (respectively, 32.3% and 55.8%).

2.4 Exposure to country risk

At 31 December 2021, commercial lending (including to bank counterparties) to the Crédit Agricole Group customers in countries with ratings below B according to the Group’s internal ratings, excluding countries in Western Europe (Italy, Spain, Portugal, Greece, Cyprus and Iceland), totalled €73.6 billion versus €63.3 billion at 31 December 2020. Most of these commitments come from Crédit Agricole CIB, UBAF (47%-owned by Crédit Agricole CIB) and International retail banking. They include guarantees received which are deducted (export credit insurance, cash deposits, securities pledged, etc.).

The concentration of total exposures in these countries was stable in 2021: the top twenty countries accounted for 93.9% of the lending portfolio at end-2021, the same as end-2020.

Three geographic areas are dominant: Middle East/North Africa (36%), Asia (27%) and Central and Eastern Europe (25%).

— Changes in commercial lending for countries with a credit rating lower than B (in millions of euros)

Date	Northern Africa/ Middle East	Sub-Saharan Africa	Americas	Asia	Central and Eastern Europe	Total
2021	26,783	1,513	6,938	20,190	18,127	73,551
2020	22,972	1,643	6,231	16,027	16,454	63,327

The Middle East and North Africa

Cumulative commitments in countries in the Middle East and North Africa totalled €26.8 billion at 31 December 2021, up 17% on end-2020. Morocco, Saudi Arabia, United Arab Emirates, Egypt and Qatar accounted for 90% of commitments in the Middle East and Northern Africa area.

Central and Eastern Europe

Cumulative commitments in central and Eastern Europe were up 10% from the previous year. The Group's commitments remain concentrated in four countries: Poland, Russia, Ukraine and Serbia, which together represented 94% of the total in this region.

Asia

Commitments in Asia were up 26% to €20.2 billion from 31 December 2020. This change is primarily due to increased exposure in China, Indonesia and India. China remains the largest regional exposure (at €14.5 billion) ahead of India (€3.7 billion).

Latin America

At end-December 2021, exposure to this region represented 9% of all exposure to countries rated lower than "B". The increase in commitments recorded was 11% compared to end-2020, mainly due to an increase in commitments to Brazil, Panama and Mexico. Exposure to Brazil and Mexico made up 87% of the Latin America total at end-2021.

Sub-Saharan Africa

The Group's commitments in Sub-Saharan Africa totalled €1.5 billion at 31 December 2021, i.e. 2.1% of the total for countries with a rating below B, versus 2.6% at end-2020. Exposure to South Africa accounted for 24% of commitments in this region.

3. Credit quality**3.1 Analysis of loans and receivables by category**

The breakdown of loans and receivables to credit institutions and customers is presented as follows:

Loans and receivables (in millions of euros)	31/12/2021	31/12/2020
Neither past due nor impaired	1,131,021	1,040,659
Past due but not impaired	14,557	11,016
Impaired	22,078	23,733
TOTAL	1,167,656	1,075,408

The portfolio of loans and receivables at 31 December 2021 was 96.9% made up of amounts that were neither past due nor impaired, compared with 96.8% at end-2020.

According to IFRS 7, a financial asset is past due when a counterparty has not made a payment by its contractual maturity date. The Group considers that there is no proven risk on assets fewer than 90 days past due, i.e. 99.9% of non-impaired past-due receivables (99.8% at end-2020).

Details of financial assets that were past due or impaired are presented in Note 3.1 to the financial statements.

3.2 Analysis of outstanding amounts by internal rating

The internal rating policy used by the Crédit Agricole Group aims to cover the entire Group customer portfolio, i.e. retail customers, corporates, banks and financial institutions, government agencies and local authorities.

On the performing commercial lending portfolio excluding retail customers (€958.7 billion at 31 December 2021, compared with €869.5 billion at 31 December 2020), internally-rated borrowers accounted for 92.6% of the total, compared with 91.7% at end-2020 (€888.0 billion at 31 December 2021, compared with €796.0 billion at 31 December 2020). The breakdown of this portfolio is presented according to the Standard & Poor's equivalents of the Group's internal ratings:

— Change in the performing non-retail commercial lending portfolio of the Crédit Agricole Group by indicative S&P equivalent of 2021 internal rating

	31/12/2021	31/12/2020
AAA	36.7%	35.6%
AA	13.7%	14.4%
A	9.3%	9.3%
BBB+	24.0%	23.0%
BB	13.6%	14.5%
B	1.7%	1.9%
On credit watch	1.0%	1.4%
TOTAL	100.0%	100.0%

This breakdown reflects a high-quality loan book, with a risk profile showing an increase of over one point in AAA ratings. At 31 December 2021, 83.8% of lending was to borrowers with investment-grade ratings (ratings equal to or greater than BBB, 82.2% at 31 December 2020), and only 1.0% pertained to borrowers on credit watch.

3.3 Impairment and risk coverage**3.3.1 Impairment and risk hedging policy**

The policy for hedging loan loss risks is based on two kinds of value adjustments for credit losses:

- impairment allowances on an individual basis intended to cover probable losses on impaired loans;
- impairment allowances for credit losses, pursuant to IFRS 9, following a significant decline in the loan quality for a transaction or loan book. These impairments are designed to cover the risk profile of commitments in certain countries, business sectors or counterparties, not because they are in default but because their ratings have been downgraded. Loan book-based impairments are also performed in retail banking. These impairments are for the most part calculated on a statistical basis, based on the expected loss amount up to the transaction's maturity, using Basel criteria to estimate the probability of default (PD) and the loss given default (LGD).

3.3.2 Impaired loans and receivables

At 31 December 2021, total individually impaired commitments amounted to €22.1 billion, compared with €23.7 billion at 31 December 2020. These consist of commitments for which the Group sees potential non-recovery. Individually impaired outstandings represent 1.9% of the Group's gross book value, versus 2.2% at 31 December 2020.

Restructured loans ⁽¹⁾ totalled €15.6 billion at 31 December 2021.

4. Cost of risk

The main factors that had an impact on the level of impairment observed during the year:

4.1 Main economic and industry-specific factors of 2021

A description of the overall environment and macroeconomic outlook is detailed in Chapter 1 "Management report", section "Economic and financial environment" above.

2021 continues to be shaped by the consequences of the health crisis that had very variable effects depending on the portfolios. Following the crisis observed in 2020 (GDP: - 6.4%), the economy rebounded sharply in 2021 but remains fragile with renewed uncertainty at the close of the year related to the health and geopolitical situation, associated with higher inflation.

The main sectors to watch remain: tourism hotels restaurants, aerospace, automotive, distribution and retail, shipping and commercial real estate.

4.2 Figures and facts

After the crisis peaked in 2020, the Crédit Agricole Group's cost of risk declined sharply in 2021 to €1.85 billion excluding one-off items (i.e. 18 bps), meaning it was approximately half that recorded in 2020 (38 bps), which was marked by €1.4 billion in allocations to IFRS 9 provisions related to the health crisis.

The proven risk accounts for €1.2 billion (i.e. 12 bps) for the year, contained in terms of absolute value and with limited defaults given the various economic assistance programmes instituted in 2020 and continued in 2021. The cost of default is down -37% vs. 2020 and -33% vs. the pre-crisis period (2019).

Prudential provisions contribute some €600 million (i.e. 6 bps) for the year, integrating an update of the macro-scenarios used in the IFRS calculation parameters in Q4, supplemented by an exceptional provision of €88 million in the Crédit Agricole S.A. scope intended to cover various types of broad uncertainties that intensified nearing the end of the year (health situation, inflation expectations, pace of interest rate adjustments, especially in the eurozone, and geopolitical tensions). Entities have also maintained a prudent level of coverage through additional local stress of €0.9 billion in 2021.

The non-default rate fell sharply compared with 2020, which had integrated €1.7 billion in additions to provisions, €0.7 billion of which from adverse effects of updated macro-scenarios and +€0.7 billion to increased local stress.

In 2021, the cost of risk decreased in all of the Group's business lines compared to 2020, which was specific to the pandemic: on average -64% in the cost on non-default and -37% in default: a 41% decrease was posted in Regional Banks (€612 million versus €1,039 million in

2020) driven by a cost of default risk down 21% and a cost of non-default risk down 46%, essentially due to improved macro-scenarios. LCL trend was equivalent (-43%) to €222 million compared to €390 million, driven essentially by a drop in the cost of non-default risk (-74%). The cost of risk for Italy decreased overall by -19% in 2021 (€347 million versus €428 million) mainly due to actual risk (98% of the 2021 total). Corporate banking saw its largest decline (-94%) with only €52 million in 2021 compared to €856 million in 2020, with a marked reduction in individual defaults (€21 million versus €445 million) and a cost of non-default risk that was also very contained (€31 million versus €411 million). Within the Specialised Financial Services division, the change primarily concerns the consumer finance business (the Crédit Agricole Consumer Finance group) where the cost of credit risk decreased by -30% (€445 million versus €637 million) with a major impact on *Stages 1 and 2* (-270%) in addition to a sharply lower default cost (-40%).

Details of the movements that affected the cost of risk are presented in Note 4.9 to the financial statements. This is broken down by business line in Note 5.1 to the financial statements.

5. Counterparty risk on derivative instruments

The counterparty risk on derivative instruments is established according to market value and potential credit risk calculated and weighted in accordance with regulatory standards. The measure relating to this credit risk is presented above in Part 2.2 "Credit risk measurement" of Section II "Credit risk management".

IV. Application of IFRS 9

1. Credit risk rating measurement

In the context of the health and economic crisis surrounding Covid-19, the Group continues to regularly revise its forward-looking macro-economic outlook to determine the credit risk estimate. Note that the health crisis and its macro-economic impact were first taken into account from the second quarter of 2020.

The Group used four scenarios for calculating IFRS 9 provisioning parameters in production as at 31 December 2021, with projections for 2024. These four scenarios were prepared in October 2021 on the basis of information and data available at that date.

- **The first scenario**, which is the central scenario, weighted 50%, includes a growth profile that continues to depend heavily on changing health assumptions but incorporates a consumption-driven rebound in growth. High, albeit seemingly temporary, inflation observed in the United States, with a brief acceleration, but no runaway trend, in the eurozone.

Growth assumptions (GDP):

A continuous growth profile that depends heavily on changing health assumptions and the following assumptions for the eurozone and France:

Even in the event of new waves of infections, the decision to lift restrictive health measures last spring would not be reversed as a result of the ramp-up of the vaccination rollouts. Integration of a strong growth rebound driven by consumption in H2 2021 and ongoing recovery into 2022:

- GDP growth forecasts in the eurozone of 5.4% in 2021, 4.4% in 2022 and 2.5% in 2023 after -6.5% in 2020;
- GDP growth in France: Average annual growth in 2021 would reach 6.4% and GDP would achieve its pre-crisis level at the end of

(1) The definition of restructured loans is detailed in Note 1.2 "Accounting policies and principles" to the consolidated financial statements.

the year. It would increase 3.9% in 2022. Certain sectors would continue to be weakened, however (aerospace, automotive, tourism, etc.), with lacklustre demand and supply affected by shortages of certain intermediary goods. In addition, failures of businesses and the unemployment rate, which was very low in 2020, would see a slight uptick, but without the wave of closures feared at the start of the crisis. In 2023, growth would remain dynamic at 2.0% and then slow to around 1.5% in 2024, returning to its long-term trend (estimated at 1.35% by the Ministry of the Economy).

Inflation assumptions for the eurozone:

Less sustained pressure albeit from the same upstream sources and specific factors (new weightings, German VAT, base effects, etc.), which might temporarily accelerate and lead to overall inflation exceeding the 2% target in the second half of 2021 and the first quarter of 2022. Inflation rates of 3% in August 2021 temporarily hitting an anticipated high in November 2021 when total inflation could approach 4%, with core inflation (i.e. excluding the price of food and energy) at around 2.4%. Scenario 1 predicts inflation of 2.4% in 2022 and 1.6% in 2023. Based on available data in October 2021, there is no risk of it spiralling out of control. Unemployment assumptions are 8.6% in 2022 and 8.5% in 2023, a slight increase from 2021.

Financial assumptions in this central scenario:

- In the United States: cautious and very gradual monetary tightening by the Fed alongside steady recovery of the labour market. Decision by the Fed to gradually reduce asset purchases while moderating long-term interest rates against the backdrop of ample liquidity and strong demand for government securities. The 10-year US Treasury rate would be around 1.50% at end-2021, around 1.25% at end-2022 and around 1.4% at end-2023.
- In the eurozone: a still accommodative ECB (European Central Bank) policy:
 - key interest rates would remain unchanged over the 2021-2024 period, inferring necessary support for the fiscal stimulus plans, the absorption of net issues of securities, the maintaining of favourable financial conditions, the cap on risk premiums. As a result, the amounts of ECB purchases would be extended beyond March 2022: high until the end of 2022 and extended (but lower) to 2023;
 - the PEPP (Pandemic Emergency Purchase Programme) of €1,850 billion extended until March 2022. The PEPP would be extended through to December 2022 with a new envelope of approximately €180 billion. The APP (Asset Purchase Programme) would remain in place in 2022-2023 (at least) with a monthly amount of €30 billion. In 2026: first interest rate hike by the ECB;
 - long-term interest rates: these would remain very low given the ECB's activism; relative moderation of inflationary pressure; no strong bond pressure in the US. As a result, the *Bund* would remain low;
 - temporary pressure on the OAT/Bund spread (Q4 2021/Q1 2022 in anticipation of presidential elections); in 2022, France's spread would narrow after the (supposedly reassuring) election outcome thanks to the return of investors having neglected French securities; beyond this, return to a "normal" spread (30 bps).
- **The second scenario**, ("moderate adverse") differs from the central scenario by a longer lasting and more marked rise in inflation (2.7% in 2022, 2.0% in 2023 versus 2.4% and 1.6%, respectively, in scenario 1). In the eurozone and France it includes a sharp slowdown on consumption and investment beginning in mid-2022 and higher unemployment as a result of more widespread business failures. The long-term interest rate projection could lead to a downturn in the stock market and a correction of residential and commercial real estate.

- **The third scenario** is slightly more favourable than the first scenario and assumes that the pressure on the price of commodities and intermediary goods in 2021 would shrink significantly from 2022.

Growth in the eurozone is stronger than in the central scenario (4.8% in 2022, 2.8% in 2023 versus 4.4% and 2.5%, respectively in scenario 1). Long-term interest rates in Europe are very low, close to their central scenario levels.

- **The fourth scenario, the least likely and most adverse**, is the one used in the budget stress test (July 2021), characterised by an overheated economy, high inflation and a rise in long-term interest rates in the United States combined with multiple crises in various countries. In France, a sharp economic slowdown is projected in 2022 and 2023 associated with a strong correction of residential real estate.

In France, assumptions involving a specific crisis with tensions on the financial markets caused by uncertainties in the upcoming presidential election, prompting social and economic tension (increased unemployment and business closures in 2022 linked to the discontinuation of the "at all costs" policy, severe social conflicts like the yellow vest movement and country-wide blockades). No new emergency plan to confront this social crisis. The OAT/Bund spread widens significantly. A downgrade in the sovereign debt rating is expected.

In addition:

- the governmental support measures were included in IFRS 9 projections: the process of forecasting central risk parameters was revised in 2020 to better reflect the impact of government programmes in IFRS 9 forecasts. The effect of this revision was to mitigate the sudden intensity of the crisis and the strength of the recovery, and to spread these over a longer period (three years). The variables relating to the interest rates level, and more generally all the variables linked to the capital markets, have not been modified, because their forecasts already structurally include the effects of the support policies;
- in an effort to take specific local circumstances into account (related to geographical area and/or certain activities/business lines), sector supplements are established at the local level ("forward looking local") by some Group entities, which can round out the centrally defined macroeconomic scenarios;
- for the Q4 2021 period end, Crédit Agricole S.A. carried out an exceptional ECL supplement on performing and downgraded loans by €88 million booked in cost of risk;
- this one-time adjustment reduces the effect of reversals of provisions prompted by the update of the macroeconomic scenarios used in the central calculation parameters of the central ECLs. It is intended to cover various types of broad uncertainties, which intensified nearing the end of the year, as evaluated by an expert and which cannot be modelled: health situation, inflation expectations, pace of interest rate adjustments, specifically in the eurozone, and geopolitical tensions. This level of uncertainty was not included in the October 2021 macro-scenarios used to calculate the IFRS 9 forecasts for Q4 2021. Therefore, the Q4 provisions models only reflect the improved macro-scenarios of October compared with the prior scenarios used in Q3 without including this new uncertainty;
- to illustrate, the January 2022 inflation forecasts anticipate inflation that would reach 3.9% in 2022 for the eurozone versus 2.4% in scenario 1.

Breakdown of Stage 1-Stage 2 versus Stage 3:

- at the end of December 2021, including local forward looking scenarios, the *Stage 1/Stage 2* provisions on the one hand (provisioning for performing and downgraded loans) and *Stage 3* provisions on the other hand (provisioning for proven risks) represented 39% and 61%, respectively, of the stock of hedges for the Crédit Agricole Group scope;
- At the end of December 2021, net additions to provisions for *Stage 1/Stage 2* represented 33% of the Crédit Agricole Group's annual cost of risk and 67% for the *Stage 3* share of proven risks and other provisions.

Sensitivity analysis of ECL amounts for IFRS 9 provisions (Stages 1 and 2)

The first scenario (called central) was weighted at 50% for the calculation of IFRS ECL amounts for Q4-2021. By way of example, based on data from 31 August 2021, a 10-point reduction in the weighting of the central scenario in the calculations at Q4-2021 in favour of the more unfavourable scenario 2, leads to a rise in the ECL stock under "forward looking central" of around 0.5% for the Crédit Agricole Group.

This low sensitivity, which was anticipated in the central scenario, may be reduced by adjustments under "forward looking local".

2. ECL trends

Changes in the structure of outstanding amounts and ECL during the period are detailed in section 3.1 of the financial statements as at 31 December 2021.

The comments below pertain to the scope of financial assets at amortised cost (loans and receivables from customers), which represent ~9/10 of the value adjustments for losses.

Loan structure on customer balance sheet

2021 was still atypical with very dynamic credit activity: loans increase by €85.5 billion versus €53 billion in 2020. The main business lines contributing to this included French Retail Banking (€39.9 billion), International Retail Banking (€14.8 billion including the impact of the Creval acquisition in Italy), Corporate Banking (€23.2 billion).

In 2021, the loan structure by IFRS 9 stage changed significantly in the last quarter: methodological effects (SICR) impacting the various business lines with the exception of Corporate Banking and specific operations in Italy.

Indeed, the weighting of performing loans with lowest risk (*Stage 1*) decreased to 88.2% versus 90.3% at the end of 2020, i.e. -2.1% of which -1.4% in Q4 2021. For the period, *Stage 1* customer loans increased despite everything by €55 billion (versus €44 billion in 2020). In the last quarter, a transfer of €17.5 billion in loans from *Stage 1* to *Stage 2* was observed in connection with a change of methodology in the significant deterioration threshold calculated by some of the Group's business lines.

The share of performing loans showing signs of significant deterioration in credit risk (*Stage 2*) increased significantly to 9.8% versus 7.3% in 2020, i.e. + 2.5%, 1.6% of which was in the last quarter alone. For the period, *Stage 2* customer loans increased by €32 billion, €17.5 billion of which in Q4 from transfers related to the change of methodology cited above. The remaining increase (~€14.5 billion) is concentrated in French Retail Banking (~€12.5 billion) primarily linked to increased local stress, notably downgrading State-guaranteed loans benefiting from additional deferral.

Defaulting loans (*Stage 3*) were down by €1.7 billion for the year with a default rate of only 2.02% at the end of 2021 versus 2.37% at the end of 2020. The decrease was concentrated in Q4 2021 (-€1.9 billion), impacted essentially by the disposal of a portfolio of defaulting Italian debts (-€1.6 billion).

ECL trends

Value adjustments on the best-rated counterparties (*Stage 1*) increased reasonably in 2021 (6% versus 32% in 2020) essentially in line with the growth in outstandings. Overall this year, the level of hedging of loans in *Stage 1* remained stable at 0.26% on average at the Crédit Agricole Group.

Stage 2 ECLs rose more sharply (14.5% in 2021), in line with the increase in loans (methodological effect noted in Q4 2021) and with additional stress by business line. Despite this, the sharp rise in the base created a diluting effect, which explains most of the decline in the level of coverage: 4.8% at the end of 2021 versus 6.0% at the end of 2020 on average at the Crédit Agricole Group.

The coverage ratio for impaired loans (*Stage 3*) decreased for the Crédit Agricole Group (53.1% versus 55.2% at the end of 2020). This decrease can be explained primarily by the disposal in Q4 2021 of a portfolio of Italian debt which was better covered than the stock on average and by a slight declining trend observed (with the effect of implementing new active default/default under observation) in various business lines.

2.5 MARKET RISKS

Market risk is the risk of a negative impact on the income statement or balance sheet of adverse fluctuations in the value of financial instruments following changes in market parameters, the principle ones being:

- interest rates: interest rate risk is the risk of a change in the fair value of a financial instrument or the future cash flows from a financial instrument due to a change in interest rates;
- exchange rates: foreign exchange risk is the risk of a change in the fair value of a financial instrument due to a change in exchange rates;
- prices: price risk is the risk of a change or volatility in the price of equities, commodities, baskets of equities or stock market indexes. The instruments most exposed to this risk are, in particular, variable-income securities, equity derivatives and commodity derivatives;

- **credit spreads:** credit risk is the risk of a change in the fair value of a financial instrument resulting from movement in the credit spreads on indexes or issuers. For more complex credit products there is also the risk of a change in fair value arising from a change in correlation between issuer defaults.

I. Objectives and policy

Crédit Agricole S.A. and its subsidiaries have a specific market risk management system with their own organisation independent of operational hierarchies, risk identification and measurement methods, monitoring and consolidation procedures. In terms of scope, this system hedges all market risk.

Given the uncertainty in the market and the health crisis, the Crédit Agricole Group continued its prudent market risk management policy, in line with its risk appetite.

II. Risk management

1. Local and central organisation

Crédit Agricole S.A. and its subsidiaries have two distinct and complementary levels of market risk management:

- at the central level, the Group Risk department ensures coordination on all subjects related to the management and control of cross-functional market risks. It standardises data and data processing to ensure consistency of both consolidated risk measurement and controls. It keeps the executive bodies (Executive Management of Crédit Agricole S.A.) and decision-making bodies (Board of Directors and Risk Committee) up-to-date on the market risk exposure;
- at the local level, for Crédit Agricole S.A. and its subsidiaries, a Risk Management and Permanent Controls department steers the monitoring and control of the market risks of the entity. Within the Crédit Agricole Corporate and Investment Bank subsidiary, the Risk Management and Permanent Controls department includes the Market and Counterparty Risks (MCR) department, which is responsible for identifying, measuring and monitoring market risks. This department provides assistance in monitoring the market risks of international retail banks in addition to the local risk teams, as well as for the trading book of the Financial Steering department of Crédit Agricole S.A., whose transactions are managed in the IT system of Crédit Agricole Corporate and Investment bank.

Within the MCR department, these various activities break down as follows:

- Risk Management**, the mission of which is to monitor and control market risk for all product lines, namely:
 - implementing a series of limits and monitoring overruns, their regularisation and significant variations in results which are brought to the attention of the Market Risk Committee,
 - analysing risks flagged by the product line,
 - second-level validation of monthly risks and reserves;
- monitoring of activity**: in charge of producing daily management income and risk indicators for all activities held to market risk limits and of monitoring and validating the market parameters used to produce profit and loss account and risk indicators. This ensures an autonomous production process based on a market database updated daily, which is independent of the Front Office.
 Lastly, the process is used in conjunction with the Finance department during monthly procedures to align net management income and net accounting income;
- cross-functional teams**, responsible for coordinating the methods and processes between product lines and units. These teams are responsible for reporting regulatory indicators produced independently by the MCR department. This includes the following:
 - the IPV (Independent Price Valuation) team, in charge of checking valuation parameters and observability mapping,
 - the MRA (Market Risks Analytics) team, responsible for validating pricers,
 - the team in charge of the internal model (VaR, stressed VaR, stress scenarios, IRC, etc.),
 - the Regulatory Oversight team,
 - the International Consolidation team, primarily tasked with producing the department's consolidated information;
 - the COO (Chief Operating Officer) provides coordination of Group-wide issues: projects, new activities, budgets, reports and committees.

The IT architecture put in place within Crédit Agricole Corporate and Investment bank for market risk management is based on sharing the platforms used in the Front Office, on which risk indicators are calculated. The independence of the process is based on the selection of market data and the validation of valuation models by the Risk department.

Group procedures define the level of information, the format and frequency of reporting that the entities must send to Crédit Agricole S.A. (Risk Management and Permanent Controls department).

2. Decision-making and Risk Monitoring Committees

Four governance bodies are involved in managing market risk at the level of Crédit Agricole S.A.:

- the Group Risk Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A., approves the aggregate limits (VaR and Stress) on each entity's market risks when it presents its risk strategy and makes the main decisions in the matter of risk containment. It examines the market situation and risks incurred on a quarterly basis, in particular through the main indicators for monitoring market risk, the utilisation of limits and any significant breaches of limits and incidents;
- alerts in connection with market risk are reported to Executive Management during Executive Committee meetings, potentially every two weeks;
- the Alert Monitoring Committee, chaired by the Chief Risk Officer, reviews all reported alerts on a monthly basis;
- the Standards Committee of Crédit Agricole Corporate and Investment Bank is in charge of validating the prudential standards and models implemented within the scope of market activities.

In addition, each entity has its own Risk Committee. The most important of these is Crédit Agricole Corporate and Investment Bank's Market Risk Committee (CRM), which meets once monthly and is chaired by the Management Committee member in charge of risks. It is made up of Crédit Agricole Corporate and Investment Bank's head of capital market activities and the market risk managers. This Committee reviews Crédit Agricole Corporate and Investment Bank's positions and the profit and loss account of its capital market activities and verifies compliance with the limits assigned to each activity. It has the authority to make decisions on requests for increases in operational limits.

III. Market risk measurement and supervision methodology

1. Indicators

The market risk measurement and supervision system is based on a combination of several indicators, most of which are subject to global or specific limits. It relies principally on Value at Risk (VaR), stressed VaR, stress scenarios and complementary indicators (risk factor sensitivity, combined qualitative and quantitative indicators) and a process that values all positions in each entity giving rise to market risks. The permanent control process includes procedures to validate and back-test models.

1.1 VaR (Value at Risk)

The central element of the market risk measurement system is the historical Value at Risk (VaR). VaR can be defined as the maximum theoretical loss on a portfolio in the event of adverse movements in market parameters (interest rates, exchange rates, asset prices, etc.) over a given time frame and for a given confidence interval.

Crédit Agricole S.A. uses a confidence interval of 99% and a time frame of one day using one year of historical data. In this way, market risks incurred by Crédit Agricole S.A. in its trading activities can be monitored on a daily basis by quantifying the estimated maximum level of loss in 99 out of 100 cases, after inclusion of a number of risk factors.

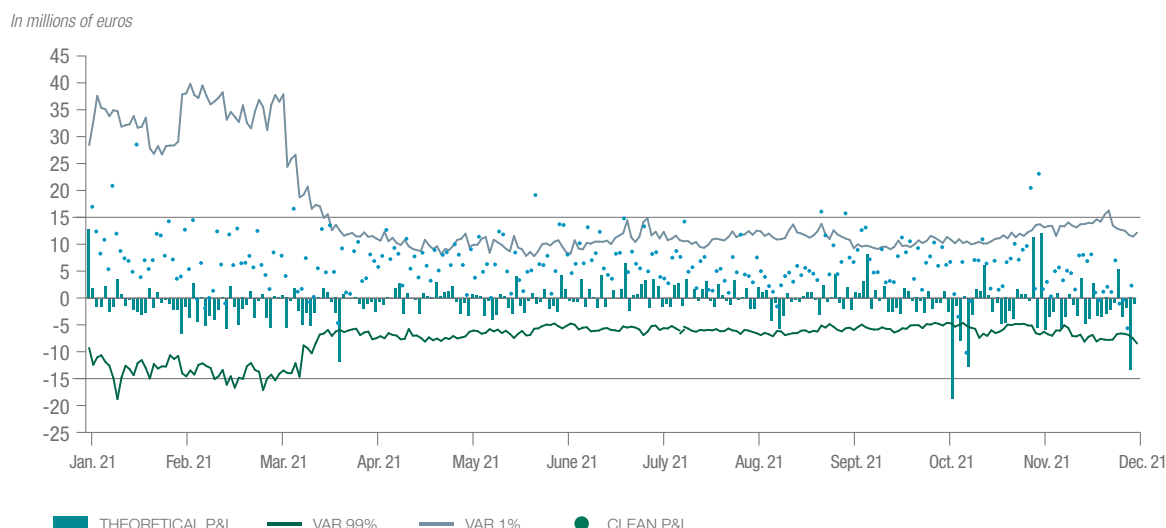
Back-testing

A back-testing process is applied to check the relevance of the VaR model for each of entity of Crédit Agricole S.A. and its subsidiaries that has capital market activities. This process verifies a posteriori whether the

number of exceptions (days when actual losses exceeded estimated VaR) was within the 99% confidence interval (a daily loss should statistically exceed the calculated VaR only two or three times a year).

At 31 December 2021, within the regulatory scope of Crédit Agricole Corporate and Investment bank (see chart below) was subject to six 12-month rolling VaR exceptions. Consequently, the multiplier, used to calculate capital requirements, is stable compared to the end of 2020 at 4.5.

Back-testing of the regulatory VaR of Crédit Agricole Corporate and Investment Bank for 2021 (in millions of euros)



1.2 Stress scenarios

Stress scenarios complement the VaR measure, which does not capture the impact of extreme market conditions. Stress scenarios are calculated following Group principles to simulate extreme market conditions and are the result of different complementary approaches:

- **historical scenarios**, which consist in replicating the impact on the current portfolio of major crises observed in the past. The past crises used in historical stress scenarios are the 1987 stock market crash, the 1994 bond market crisis, the 1998 credit market crisis, coupled with falling equity markets, sharply rising interest rates and declining emerging-country currencies; the 2008 crisis following the failure of Lehman Brothers (two stress scenarios measuring the impact of market movements after the failure);
- **hypothetical scenarios** anticipating plausible shocks, which are developed in conjunction with economists. The hypothetical scenarios used are **economic recovery** with rising equity and commodity markets, flattening yield curves, appreciation of the USD and narrowing credit spreads; **liquidity crunch**, with flattening yield curves, widening spreads, falling equity markets; and international tensions (scenario representing economic conditions in a context of **international tensions** between China and the United States: rising volatility and falling prices on the equity markets, falling futures prices and rising volatility on the commodities market, flattening yield curves, fall of the USD against other currencies, widening credit spreads).

In addition, other types of stress tests are performed:

- at the level of the entities, adverse stress tests enabling evaluation of the impact of major and unfavourable market movements on the different business lines;
- at the level of Crédit Agricole Corporate and Investment bank, extreme adverse stress tests are used to measure the impact of even more severe market shocks.

The stress scenarios are calculated weekly.

1.3 Complementary indicators

Other complementary indicators are also produced by the entities and can, as part of the risk containment system, be subject to limits. These include indicators of sensitivity to various risk factors, loss alerts, stop-loss indicators, outstandings, maturities, etc.. These indicators provide fine-grained measurements of exposure to different market risk factors, serve to identify atypical transactions and fill out the summary picture of risks supplied by VaR and global stress scenarios.

1.4 Indicators related to the CRD 4 Directive

Stressed VaR

The so-called “stressed” VaR is intended to correct the pro-cyclical nature of historical VaR. This is calculated over the one-year period preceding the measurement date, and where the associated market parameters reflect calm market conditions with low volatility, it can display a low level.

Stressed VaR is calculated using a 99% confidence interval of one day and over a period of tension corresponding to the worst period observed for the most significant risk factors and is remeasured every year.

At end-2021, for Crédit Agricole Corporate and Investment Bank it corresponds to the period 13 November 2007 to 12 November 2008. In addition to the VaR capital requirement, there is now a stressed VaR capital requirement.

Incremental Risk Charge

The IRC (Incremental Risk Charge) is an additional equity requirement related to the risk of default and migration on so-called linear credit positions (i.e. not including credit correlation positions), required by the CRD 4 Directive.

Its purpose is to quantify any unexpected losses caused by credit events on the issuers, i.e. default and migration of rating (the case of either a fall or a rise in credit rating).

The IRC is calculated with a confidence interval of 99.9% over a risk period of one year, by Monte Carlo simulations of migration scenarios based on three sets of data:

1. a one-year transition matrix provided by S&P and adapted to the internal rating system of Crédit Agricole Corporate and Investment Bank. This matrix gives the transition probabilities for an issuer based on its initial credit rating to higher or lower credit ratings, as well as its probability of default;
2. the correlation of issuers with systemic factors;
3. average spread curves by rating from which the shocks resulting from migrations are deducted.

These simulated credit default and migration scenarios then make it possible to value positions using the Crédit Agricole Corporate and Investment Bank models.

Credit Value Adjustment (CVA)

CRD 4 brought in a new capital charge to cover volatility in the CVA. Under this Directive, banks authorised to calculate their capital requirements using their internal models for both counterparty risk and specific rate risk must calculate their CVA risk capital charge using the advanced approach ("CVA VaR"). The size of these capital requirements is calculated using the same methodology and tools as for market VaR in respect of specific interest rate risk.

The ACPR has validated the CVA VaR model used by Crédit Agricole Corporate and Investment Bank and the additional capital required to cover CVA risk (VaR and stressed VaR) has been measured since 2014.

IV. Exposures

VaR (Value at Risk)

In light of Regional Banks' low exposure to market risk, Crédit Agricole S.A.'s total VaR is representative of the Crédit Agricole Group's VaR on the capital market activities.

Crédit Agricole S.A.'s VaR is calculated by incorporating the impacts of diversification between the different Group entities.

The scope considered for capital market activities of Crédit Agricole Corporate and Investment Bank is the regulatory VaR (measured through an internal model approved by the ACPR).

The change in VaR on the capital markets activities of Crédit Agricole S.A. and its subsidiaries between 31 December 2020 and 31 December 2021, broken down by major risk factor, is shown in the table below:

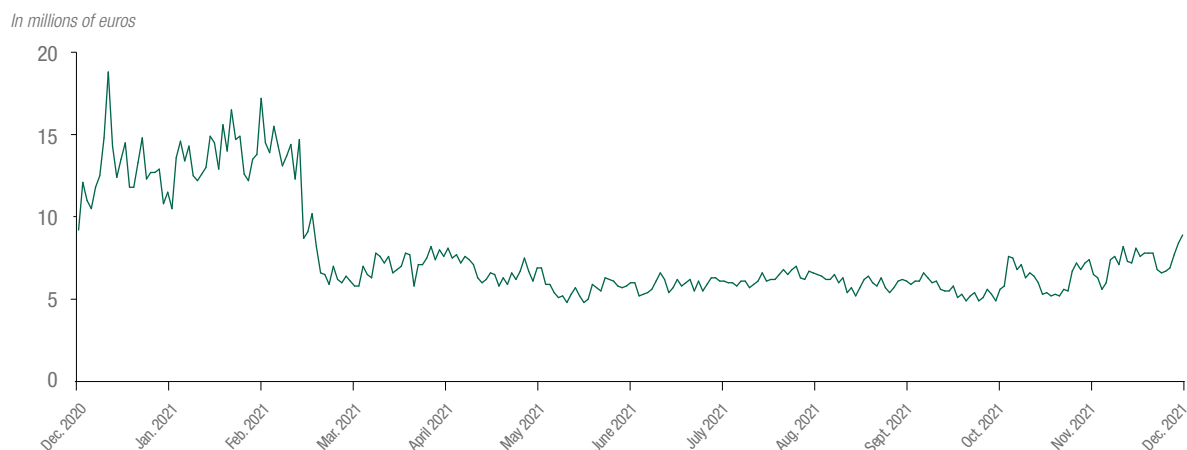
— Breakdown of VaR (99%, 1 day)

(in million of euros)	31/12/2021	Minimum	Maximum	Average	31/12/2020
Rate	6	3	15	6	8
Credit	3	2	8	4	4
Foreign exchange	4	2	7	3	5
Equity securities	2	1	4	2	2
Commodities	0	0	0	0	0
Offsetting	(6)	-	-	(7)	(9)
VAR OF CRÉDIT AGRICOLE S.A.	9	5	19	8	9

Averaged over the full year, VaR for 2021 was €8 million, versus €14 million for 2020. This decrease is explained by the fact that shocks during the peak of the health crisis in the spring of 2020 were not in the history used in the calculation model.

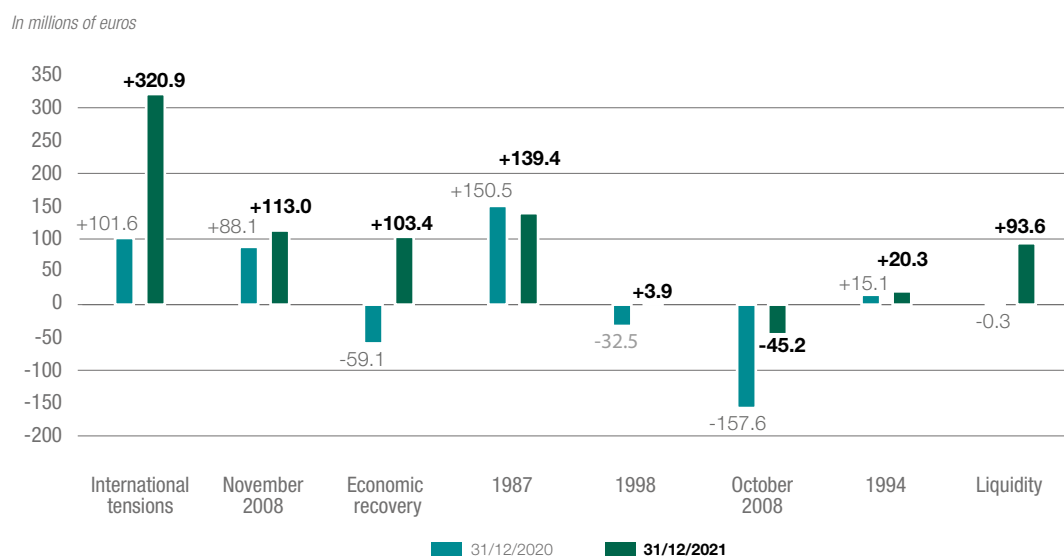
The following graph shows VaR over the course of 2021:

VaR for Crédit Agricole S.A. and subsidiaries between 31 December 2020 and 31 December 2021



Impacts associated with stress scenarios

The risk levels of Crédit Agricole S.A. and its subsidiaries assessed through historical and hypothetical stress scenarios at end-2021 are presented below. As an illustration, the “Economic Recovery” scenario, which had a negative impact at end-2020 (loss of €59 million), had a positive impact at end-2021 (gain of €103 million).



Stressed VaR (Crédit Agricole Corporate and Investment bank)

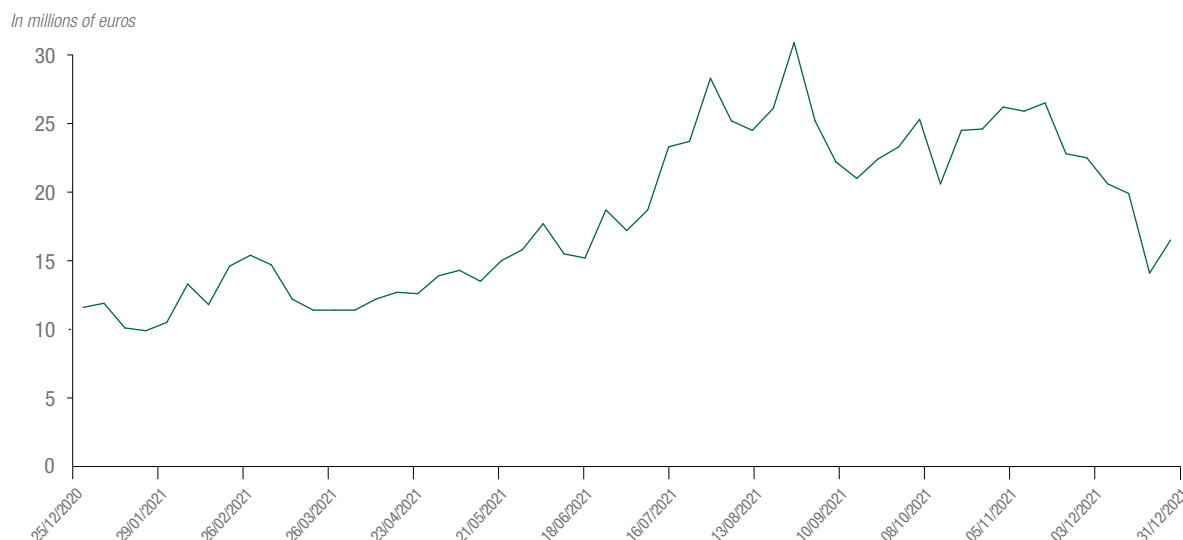
The stressed VaR is calculated on the scope of Crédit Agricole Corporate and Investment bank.

The table below shows the change in regulatory stressed VaR on the capital market activities of Crédit Agricole CIB, between 25 December 2020 and 31 December 2021:

<i>(in million of euros)</i>	31/12/2021	Minimum	Maximum	Average	25/12/2020
Crédit Agricole CIB stressed VaR	17	10	31	18	12

Change in stressed VaR (99%, 1 day)

The graph below shows the change in regulatory stressed VaR of Crédit Agricole Corporate and Investment bank over the course of 2021.



At end-December 2021, stressed regulatory VaR of Crédit Agricole Corporate and Investment bank was €17 million, an increase of €5 million compared to end-2020. On average over the year, stressed VaR (€18 million) was stable compared to the 2020 average.

Capital requirement related to IRC (Crédit Agricole Corporate and Investment Bank)

IRC is calculated on the so-called linear credit positions (i.e. excluding correlation positions) scope of Crédit Agricole Corporate and Investment Bank. The table below shows the change in regulatory stressed VaR on the capital market activities of Crédit Agricole Corporate and Investment Bank, between 31 December 2020 and 31 December 2021:

(in millions of euros)	31/12/2021	Minimum	Maximum	Average	31/12/2020
IRC capital	188	119	239	153	116

V. Equity risk

1. Trading portfolios and banking book

The different types of business are exposed to equity risk. The equity risk incurred by the market activities of Crédit Agricole CIB is hedged by the overall management through VaR (see section IV above). The other outstandings exposed to equity risk correspond to portfolios that are invested partly in equities and structured products whose market value depends on prices of underlying equities and equity indexes.

2. Equity risk from other activities

A number of Crédit Agricole S.A. entities hold portfolios that are invested partly in equities and structured products whose market value depends on prices of underlying equities and equity indexes.

Note 1.2 "Accounting policies and principles" to the financial statements presents the various valuation methods for equity instruments measured at fair value. At 31 December 2021, outstanding amounts exposed to equity risk amounted to € 46 billion, including portfolios of insurance companies for € 37.3 billion.

Note 6.4 to the financial statements shows in particular the outstanding amounts and the unrealised gains and losses on shares recorded at fair value non-recyclable through equity. Information on market risk (including equity risk) on the portfolios held by the insurance companies is presented below in the section on "insurance sector risks".

2.6 ASSET AND LIABILITY MANAGEMENT

I. Asset and liability management – Structural financial risks

Crédit Agricole S.A.'s Financial Management department defines the principles of financial management and ensures their consistent application within Crédit Agricole S.A. The department is responsible for organising financial flows, defining and implementing refinancing rules, performing asset and liability management and managing regulatory prudential ratios.

Optimising financial flows within Crédit Agricole S.A. is an ongoing objective. Pooling of surplus resources and making it systematically possible to hedge the associated risks contribute to this objective.

Thus, the principles of the Crédit Agricole S.A. ALM approach ensure that any surpluses and shortfalls in terms of customer resources, in particular resources collected by the Regional Banks, are centralised in the books of Crédit Agricole S.A. This resource pooling helps in refinancing other Group entities as needed (including Crédit Agricole Leasing & Factoring and Crédit Agricole Consumer Finance).

The system for centralising the management of liquidity at Crédit Agricole S.A. serves to control and optimise cash management, especially since it is accompanied by partial interest rate matching.

Consequently, Crédit Agricole S.A. has a high level of financial cohesion, with limited spreading of financial risks, particularly liquidity risk. Nevertheless, the various entities are responsible for managing the risk that remains at their level, within the limits assigned to them.

The limits are determined by the Chief Executive Officer of Crédit Agricole S.A. within the Group Risk Committee, approved by Crédit Agricole S.A.'s Board of Directors and concern the Crédit Agricole S.A. scope::

- subsidiaries taking asset and liability risks must adhere to limits set by the Crédit Agricole S.A. Group Risk Committee; ;
- methods of measuring, analysing and managing Crédit Agricole S.A. assets and liabilities are defined by Crédit Agricole S.A. Regarding the retail banks' balance sheets in particular, a consistent system of run-off conventions and models has been adopted for the Regional Banks, LCL and the international subsidiaries;
- Crédit Agricole S.A. consolidates the subsidiaries' measurements of their asset and liability risks. The results of these measures are monitored by the Crédit Agricole S.A. Liquidity and ALM (Asset Liability Management) Committee.; ;
- Crédit Agricole S.A.'s Financial Management department and Risk Management and Permanent Controls department take part in meetings of the ALM Committees of the main subsidiaries.

Within the Regional Banks, the Boards of Directors set the limits on the overall interest rate risk and the trading portfolio et determine the alert thresholds for managing their investment portfolios (securities available for sale). These limits are monitored by Crédit Agricole S.A.

II. Global interest rate risk

Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 ("CRR2"), amending Regulation (EU) 575/2013, introduced new publication requirements under Pillar 3 with regard to global interest rate risk. The anticipated qualitative information, set forth in Article 448, covers certain topics that until now have been covered in the section entitled "Risk management".

For greater readability, all information related to measuring and managing the global interest rate risk is included in the section "Information under Pillar 3" of chapter 3 "Risks and Pillar 3".

III. Foreign exchange risk

Foreign exchange risk is treated differently depending on whether it relates to structural foreign exchange positions (revalued through OCI) or to operational foreign exchange positions (revalued through PnL).

1. Structural foreign exchange risk

The Crédit Agricole Group's structural foreign exchange risk arises from long-term investments by the Group in assets denominated in foreign currencies (equity of the international operating entities, whether resulting from acquisitions, transfers of funds from the head office, or capitalisation of local earnings), with the Group's reference currency being the euro.

At 31 December 2020, the Group's main structural foreign exchange positions, on a gross basis before hedging, were in US dollars and currencies pegged to the dollar (in particular the Hong-Kong dollar), in Swiss francs, pounds sterling, Chinese yuan, Polish zloty, Moroccan dirham, Japanese yen and Egyptian pounds.

The main principles of the management of structural foreign exchange positions are:

- over the next year, the coverage of the portion of structural positions that are expected to become operational positions (results in the process of being formed that are expected to be distributed, shares that are expected to be sold in the near future);
- over a more medium/long term horizon, an adjustment to the level of hedging of structural foreign exchange positions in order to immunise the Group's CET1 ratio against exchange rate fluctuations. This should include the implementation of new coverage in the event of over-immunisation or the termination of existing coverage in the event of under-immunisation.

An entity may, however, choose not to hedge a position denominated in a currency that is over-immunised if the cost of the hedge is considered too high in relation to the profit earned or the amount of the position in question is not material.

Five times a year, the Group's structural foreign exchange positions are presented to Crédit Agricole S.A.'s Treasury and ALM Committee, which is chaired by the Chief Executive Officer.

2. Operational foreign exchange risk

Operational foreign exchange risk arises from income and expenses of all kinds that are denominated in currencies other than the euro (provisions, net income generated by international subsidiaries and branches, dividends in foreign currencies, etc.), and from balance sheet imbalances.

Crédit Agricole S.A. manages the positions affected by foreign currency income and expenses that appear on its books, as does each entity within the Group that bears significant risk. The Treasury departments of international subsidiaries' manage their operational foreign exchange risk in their local currency.

The Group's general policy is to limit its operational foreign exchange positions and not to hedge revenues that have not yet materialised, unless there is a strong probability that losses will materialise and unless the impairment risk is high.

In accordance with the foreign exchange risk monitoring and management procedures, operational foreign exchange positions are updated monthly or daily for foreign exchange trading operations.

IV. Liquidity and financing risk

Like all credit institutions, the Group is exposed to liquidity risk, i.e. the risk of not having sufficient funds to honour its commitments. This risk could materialise if, for instance, there were a general crisis of confidence among investors in the money and bond markets or massive withdrawals of customer deposits.

1. Objectives and policy

The Group's primary objective in managing liquidity is to ensure that it has sufficient resources to meet its requirements in the event of any type of severe, prolonged liquidity crisis.

To manage this, Crédit Agricole S.A. uses an internal liquidity risk management and control system whose objectives are:

- to maintain liquidity reserves;
- to match these reserves with future liabilities coming due;
- to organise its refinancing (to achieve an appropriate short and long-term refinancing time frame and diversify sources of refinancing);
- to ensure a balanced development between customer loans and deposits.

The system includes indicators, limits and alert thresholds. These are calculated and monitored for all Group entities and consolidated to allow monitoring of liquidity risk across the whole Crédit Agricole Group scope.

It also incorporates compliance with regulatory liquidity constraints. The LCR, the NSFR and the Additional Liquidity Monitoring Metrics (ALMM), calculated on a company or sub-consolidated basis for the Group entities in question and on a consolidated basis for the Group, are disclosed in monthly (LCR/ALMM) or quarterly (NSFR) reports to the ECB.

2. Methodology and governance of the internal liquidity risk management and control system

Crédit Agricole Group's liquidity risk management and control system is built around indicators defined in a standard and divided into four separate groups:

- short-term indicators derived largely from simulations of crisis scenarios. The purpose of these is to schedule maturities and volumes of short-term refinancings as a function of liquidity reserves, cash flow from commercial activity and repayment of long-term debt;
- long-term indicators used to assess and schedule long-term debt maturities: limits on maturity concentrations, allowing the Group to anticipate its refinancing needs and avoid any risk of difficulties with refinancing on the markets;
- diversification indicators, which allow the Group to monitor and manage concentrations of sources of market refinancing (by refinancing channel, type of debt, currency, geographic area, investor);
- cost indicators used to measure the short-term and long-term trends in the Group's issue spreads and their impact on the cost of liquidity.

The Standards and Methodology Committee is responsible for validating the definition of these indicators and any changes in them proposed by Crédit Agricole S.A.'s Group Finance department, on the advice of the Group Risk Management and Permanent Controls department.

The Crédit Agricole S.A. Board of Directors approves the general policy for Group liquidity risk management and sets limits for key indicators in light of the Group's liquidity risk tolerance. The Group Risk Committee, which proposes these limits to the Board of Directors, determines how they are translated to each of the Group's constituent entities.

Accordingly, each subsidiary of Crédit Agricole S.A. and each Regional bank is notified of the limits for the indicators controlled at Group level. In addition to this translation of the Group system, the ALM Committees of these entities define a specific set of limits for the risks relating to their own business. They are also free to decide locally to apply a stricter control than that required by the Group.

3. Liquidity management

Crédit Agricole S.A. controls the management of liquidity risk. The Finance department is responsible, in respect of short-term refinancing, for:

- setting spreads on short-term funds raised under the various programmes (mainly negotiable certificates of deposit – NCDs);
- centralising assets eligible for refinancing by the central banks of Group entities and specifying the terms and conditions of use in the framework of tenders;
- monitoring and forecasting cash positions.

And in respect of long-term refinancing, for:

- assessing needs for long-term funds;
- planning refinancing programmes to meet these needs;
- executing and monitoring these programmes over the course of the year;
- reallocating the funds raised to Group entities;
- setting prices for liquidity in intragroup flows.

Long-term refinancing programmes comprise various instruments (see below). The body in charge of these tasks at an operational level is the Group's Treasury and Liquidity Committee, which reviews all matters relating to liquidity issues ranging from intraday to medium/long-term. It proposes policy directions for the Group's Asset-Liability Management and Capital Liquidity Committee.

The Asset-Liability Management and Capital Liquidity Committee, chaired by the Deputy General Manager and Chief Financial Officer of Crédit Agricole S.A. (who is also informed of the Group's liquidity position) is responsible for all key decisions concerning the management of funding programmes, the launch of new programmes, the validation of funding budgets and management of the balance between loans and deposits.

If funding markets tighten, a Committee is set up by the Executive Management, the Group Risk Management and Permanent Controls department and the Group Finance department in order to keep a close watch on the Group's liquidity situation.

4. Quantitative information

4.1 Cash balance sheet at 31 December 2021

In order to provide simple, pertinent and auditable information on the Group's liquidity position, the cash balance sheet long-term sources surplus is calculated quarterly.

The cash balance sheet is derived from Crédit Agricole Group's IFRS financial statements. It is based on the definition of a comparison table between the Group's IFRS financial statements and the sections of the cash balance sheet, the definition of which corresponds to that commonly accepted in the market.

It relates to the banking scope, with insurance activities being managed in accordance with their own specific regulatory constraints.

Further to the breakdown of the IFRS financial statements in sections of the cash balance sheet, netting calculations are carried out. They relate to certain assets and liabilities that have a symmetrical impact

in terms of liquidity risk. Deferred taxes, fair value impacts, collective impairments, short-selling transactions and other assets and liabilities were netted for a total of €67 billion at end-December 2021. Similarly, €93 billion in repos/reverse repos were eliminated insofar as these outstandings reflect the activity of the securities desk carrying out securities borrowing and lending transactions that offset each other. Other nettings calculated in order to build the cash balance sheet – for an amount totalling €138 billion at end-December 2021 – relate to derivatives, margin calls, adjustment/settlement/delivery accounts and to non-liquid securities held by the corporate and investment banking division (CIB) and are included in the “Customer-related trading assets” section.

Note that deposits centralised with Caisse des Dépôts et Consignations are not netted in order to build the cash balance sheet; the amount of centralised deposits (€71 billion at end-December 2021) is booked to assets under “Customer-related trading assets” and to liabilities under “Customer-related funds”.

In a final stage, other restatements reassign outstandings that accounting standards allocate to one section, when they are economically related to another. As such, senior issues placed through the banking

networks as well as financing by the European Investment Bank, the Caisse des Dépôts et Consignations and other refinancing transactions of the same type backed by customer loans, which accounting standards would classify as “Long-term market funds”, are reclassified as “Customer-related funds”.

Note that for Central Bank refinancing transactions, outstandings related to the TLTRO (Targeted Longer-Term Refinancing Operation) are included in “Long-term market funds”. The TLTRO III operations do not allow for early redemption by the ECB and, given their three-year contractual maturity, are equivalent to long-term secured refinancing, identical in liquidity risk terms to a secured issue.

Medium-to-long-term repurchase agreements are also included in “Long-term market funds”.

Finally, the CIB’s counterparties that are banks with which we have a commercial relationship are considered as customers in the construction of the cash balance sheet.

Crédit Agricole Group cash balance sheet before netting at 31 December 2021

€2,324bn			€2,324bn				
Other balance sheet items subject to netting			67	Other balance sheet items subject to netting			NETTINGS
	Reverse repos	115	Net= 21		93	Repos	
Derivative instruments - assets, and other items necessary for the activity			165	Derivative instruments - liabilities, and other items necessary for the activity			NETTING
Accruals and deferred income - assets			9	Accruals and deferred income - liabilities			
Centralisation CDC			71	Net= 108		121	
Cash and Central Bank deposits (incl. mandatory reserves)			242	123			ST market deposits
Interbank assets			21	12			
Reverse repos and other ST			127	344			MLT market deposits
Securities portfolio (excluding reverse repos and other ST)			108	1,021			Customer deposits
Customer trading assets			1,067	142			Equity and similar
Customer assets (excluding customer trading assets)			53	396			Transition to the prudential scope (mainly subtraction of the insurance business)
Tangible and intangible assets			396	396			
Transition to the prudential scope (mainly subtraction of the insurance business)							
ASSETS			LIABILITIES				

Standing at €1,630 billion at 31 December 2021, the Group’s cash balance sheet shows a surplus of stable funding resources over stable application of funds of €279 billion.

The Group continues to benefit from its active participation in the European Central Bank’s TLTRO III medium-to-long-term refinancing operations, carried out in the context of the Covid-19 crisis, helping to increase its level of stable resources. Total TLTRO III outstandings for the Crédit Agricole Group amounted to €162 billion⁽¹⁾ at 31 December 2021. (Note that the bonus applicable to the refinancing rate for these operations is spread over the drawdown period). The additional bonus applicable to the refinancing rate for these operations for the second period (June 2021 to June 2022) was taken into account.

In addition, the Group recorded strong commercial activity in 2021, with a €84 billion increase in inflows and a €101 billion increase in loans.

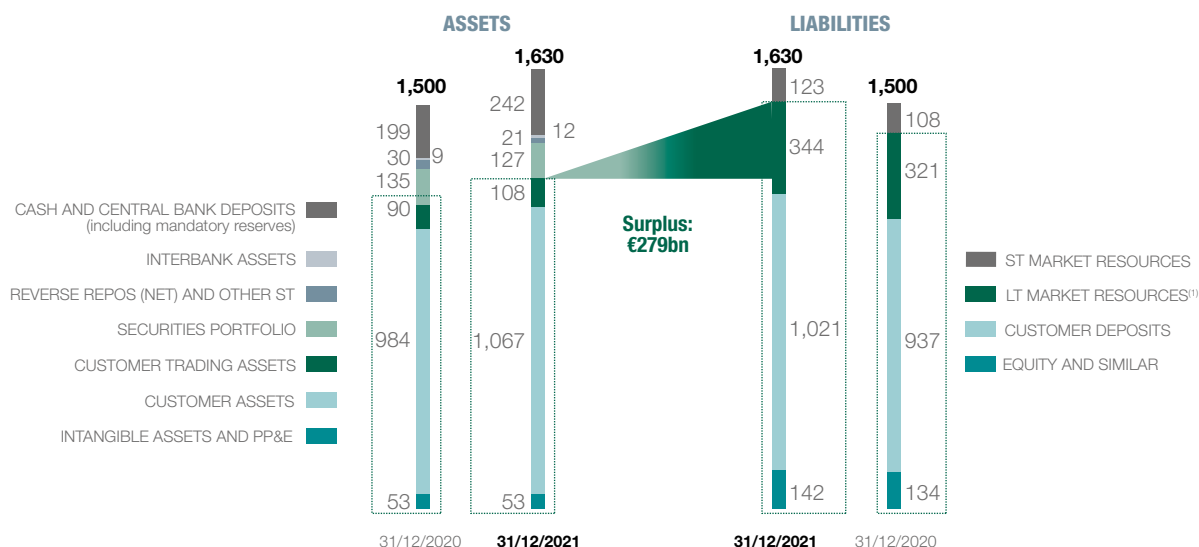
This surplus of €279 billion, called the stable resources position, allows the Group to cover the LCR deficit generated by long-term assets and stable liabilities (customer, tangible and intangible assets, long-term funds and own funds). Internal steering does not factor in the temporary surplus of stable resources resulting from the increase in TLTRO 3 financing, in order to secure the Medium-Term Plan target of more than €100 billion independently of the future repayment strategy.

The NSFR ratios of the Crédit Agricole Group and Crédit Agricole S.A. were above 100%, in accordance with the regulatory requirement introduced on 28 June 2021.

Furthermore, given the excess liquidity, the Group posted a short-term lending position at 31 December 2021 (central bank deposits and short-term replacements exceeding the amount of short-term debt).

(1) Excluding FCA Bank.

Crédit Agricole Group cash balance sheet at 31 December 2021

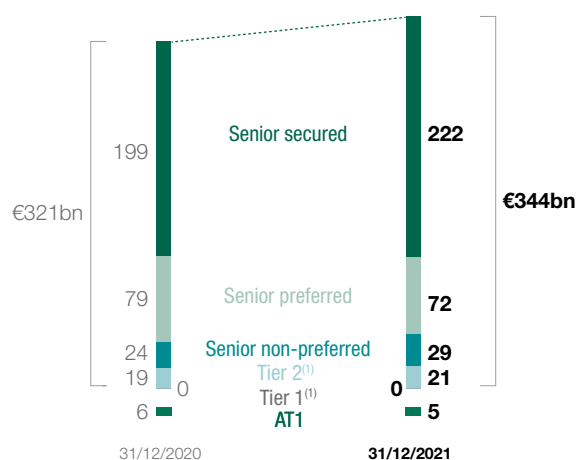


(1) LT market resources include T-LTRO drawings.

Medium-to-long-term market resources were €344 billion at 31 December 2021, up by €23 by billion over the financial year.

The increase in senior secured debt is explained by the Group taking part in the TLTRO III operations of the European Central Bank. Moreover, the increase in senior non-preferred debt (+€5 billion) is aimed at meeting future resolution requirements.

Changes in long term market resources of the Crédit Agricole Group



(1) Notional amount.
Accounting view (excluding solvency prudential adjustment).

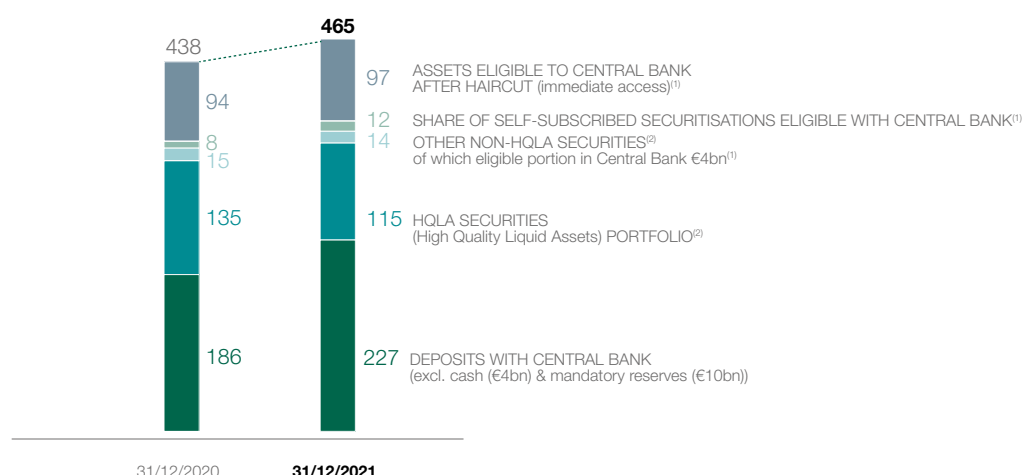
4.2 Change in Crédit Agricole Group's liquidity reserves

Liquidity reserves after haircuts totalled €465 billion at 31 December 2021. They covered short-term debt more than four times over (excluding the replacements with Central Banks).

The high level of central bank deposits was the result of the replacement of significant excess liquidity.

The Crédit Agricole Group also continued its efforts to maintain immediately available reserves (after recourse to the ECB financing). Assets eligible for central bank refinancing after haircuts totalled €113 billion.

Liquidity reserves of the Crédit Agricole Group at 31 December 2021



(1) Eligible for central bank refinancing for potential LCR coverage.

(2) Available securities at market value after haircut.

Available liquidity reserves at end-2021 comprised:

- €97 billion in loans and receivables eligible for central bank refinancing operations after the ECB haircut;
- €12 billion in treasury shares held by the bank and eligible for central bank refinancing operations, after haircut;
- €227 billion in central bank deposits (excluding cash and mandatory reserves);
- a securities portfolio amounting to €129 billion after haircut, consisting of HQLA securities liquid in markets of €115 billion and other securities liquid in markets of €14 billion after haircut (including €4 billion eligible for central bank refinancing).

Liquidity reserves in 2021 averaged €459 billion.

The allocation of limits arising from Crédit Agricole Group's liquidity risk management and control system to each Crédit Agricole S.A. subsidiary and Regional bank ensures that local liquidity risks are matched by adequate coverage from reserves.

4.3 Regulatory ratios

Since March 2014, Eurozone credit institutions have been obliged to report to their supervisory authorities their Liquidity Coverage Ratio (LCR), as defined by the EBA (European Banking Authority). The aim of the LCR is to boost the short-term resilience of banks' liquidity risk profile by ensuring that they have sufficient unencumbered High Quality Liquid Assets (HQLA) that can be converted into cash easily and immediately, on private markets, assuming a liquidity crisis lasting 30 calendar days. Credit institutions are subject to a threshold for this ratio, set at 100% since 1 January 2018.

(in billions of euros) 12-month average at 31/12/2021	Crédit Agricole Group	Crédit Agricole S.A.
Liquidity buffer	401.9	371.2
Total net cash outflows	235.1	242.5
Liquidity Coverage Ratio (LCR)	170.9%	153.0%

The average LCR ratios over 12 months for Crédit Agricole Group and Crédit Agricole S.A. were respectively 170.9% and 153.0% at end-December 2021. They exceeded the Medium-Term Plan target of around 110%.

In the context of the Covid-19 health crisis, the increase in the LCR ratios of the Crédit Agricole Group and Crédit Agricole S.A. is in line with the Group's recourse to TLTRO III drawdowns through the ECB.

In addition, since 28 June 2021, eurozone credit institutions have been obliged to report to their supervisory authorities their Net Stable Funding Ratio (NSFR), as defined by the EBA (European Banking Authority). The NSFR is intended to ensure that the institution has sufficient "stable" resources (i.e. with an initial maturity greater than one year) to finance its medium-to-long-term assets.

Credit institutions are subject to a threshold for this ratio, set at 100% since 28 June 2021.

(in billions of euros) Figures at 31/12/2021	Crédit Agricole Group	Crédit Agricole S.A.
Stable financing requirement	1,009.4	793.5
Available stable financing	1,268.0	971.9
Net Stable Funding Ratio (NSFR)	125.6%	122.5%

5. Refinancing strategy and conditions in 2021

Inflation, the Covid-19 pandemic and its attendant issues (social distancing measures, vaccines, variants), geopolitical tensions and expectations of interest rate rises sustained a climate of uncertainty throughout 2021. In an economy supported by accommodative monetary policies on the part of central banks and by the presence of liquidity in the market, refinancing conditions remained favourable over the first nine months of the year before deteriorating slightly against the backdrop of the energy crisis and anticipation of an acceleration of inflation.

The offer of new issues in 2021 was slightly higher than that seen in 2020, despite a slower start to the year. Banks benefited from ample liquidity and issued relatively few securities in January and February in a context of rapidly rising long rates.

The actions of the central banks, including the purchases made by the ECB under the PEPP, supported the markets despite the economic recovery in the spring following the resurgence of the epidemic and the resulting disruptions to production chains and rise in inflation.

The stabilisation of the epidemic in Europe, coupled with better than expected corporate results, buoyed the equity and debt markets in the second quarter.

After a traditionally sluggish summer period, the volume of new issues increased in August and especially September, with sustained demand from investors.

From September onwards, the markets saw renewed volatility linked to the energy crisis, high inflation indicators prompting fears of more lasting inflation, and expectations of a tightening of policies by the central banks, particularly the Fed. The ECB, for its part, announced that it would be reducing its bond purchases under the PEPP. In this environment, issuers were obliged to offer higher new issue premiums, and spreads increased slightly.

At the end of the year, the jitters of the markets, refuelled by a resurgence of the pandemic in Europe and then the appearance of the Omicron variant, as well as the markets' anticipation of less accommodative central bank policies, made execution conditions less favourable for issuers, which had to offer higher premiums in a less deep market. The Fed decided to accelerate its tapering policy, and the ECB announced the ending of the PEPP in March 2022 as well as of the special refinancing conditions for the T-LTRO III (with the interest rate returning from the bonus level of -1% to the deposit facility rate of -0.5%). Against this background, with still ample liquidity and spreads at historically low levels in December, eurozone issuers increased their covered bond and senior preferred debt issues.

V. Hedging policy

Within Crédit Agricole S.A., derivative instruments are used for three main purposes:

- to meet demand from Group customers;
- to manage the Group's financial risks;
- to take positions for the Group's own account (as part of specific trading activities).

2.7 INSURANCE SECTOR RISKS

The information in this section supplements Note 4 to the consolidated financial statements in the Universal Registration Document of Crédit Agricole Assurances and is covered by the Statutory Auditor's Report on the consolidated financial statements.

In view of the predominance of its savings and retirement activities, the Crédit Agricole Assurances Group is more particularly exposed to market risks (equity risk, spread risk) and asset/liability risks (liquidity and interest rate risk). The Crédit Agricole Assurances Group also faces insurance risks. Lastly, it is exposed to operational risk linked to non-compliance risk and to legal risk particularly in process execution.

Derivatives not held for hedging purposes (as defined by IAS 39⁽¹⁾) are classified as derivative instruments held for trading and are monitored for market risk as well as counterparty risk, where applicable. Certain derivative instruments may be held for the economic hedging of financial risks, without however meeting the IAS 39 criteria. They are also classified as derivative instruments held for trading.

In all cases, the intent of the hedge is documented at the outset and verified quarterly by appropriate tests (forward-looking and backward-looking).

Each Group entity manages its financial risks within limits set by the Group Risk Committee chaired by the Chief Executive Officer of Crédit Agricole S.A.

The charts in Note 3.4 to the consolidated financial statements give the market values and notional amounts of hedging derivatives.

1. Fair value hedges and cash flow hedges

All information relating to the policy for hedging global interest rate risk is grouped together in the "Pillar 3 Disclosures" section of Chapter 3 "Risks and Pillar 3". For greater readability, all information related to measuring and managing the global interest rate risk is included in the section "Information under Pillar 3" of chapter 3 "Risks and Pillar 3".

2. Net investment hedges in foreign currencies

A third hedging category relates to the hedging of investments made in the entities (mostly international subsidiaries and branches) whose functional currency is different than that of the Group. The level of hedging is adjusted by currency, primarily in order to immunise the Group's CET1 ratio against exchange rate fluctuations. These hedging derivatives used for international investments (mainly currency bonds and exchange rate swaps) are subject to net investment hedge documentation. The changes in hedge value associated with the hedged risk (i.e. foreign exchange risk) are recorded, for the effective portion, through other comprehensive income that can be reclassified, where the amount of the hedged foreign currency asset is greater than or equal to the nominal (or notional) amount of the hedging instrument. Any ineffectiveness is recognised directly through profit or loss.

I. Governance and organisation of risk management in the Crédit Agricole Assurances Group

The risk governance system of the Crédit Agricole Assurances Group is based on the following principles:

- it is within the remit of the control function mechanism at Crédit Agricole S.A. level that includes the Group Risk Management and Permanent Controls business line, which is responsible for steering (supervision and prevention) and second-degree control, the Internal Audit business line, which is responsible for periodic control, and the Compliance business line. In addition to these functions is the Actuarial function at the Crédit Agricole Assurances level, as required by insurance company regulations;

(1) In accordance with a decision made by the Group, Crédit Agricole S.A. chooses not to apply the IFRS 9 "hedge accounting" option, as allowed by the standard. All hedging relationships continue to be documented in accordance with the rules in IAS 39, until, at the latest, the date of application of the regulations on fair value macro hedges when adopted by the European Union. However, hedge accounting under IAS 39 uses the classification and measurement principles of IFRS 9 to decide which financial instruments qualify.

- it is overseen by the Risk Management function of the Crédit Agricole Assurances Group, which heads the “Risk Management” business line, supervises procedures and ensures that subsidiary risk management systems are compliant with Group standards and principles. It is supported by experts for each major risk category;
- it is based on the principle of subsidiarity. Each Crédit Agricole Assurances Group entity is responsible for defining and implementing its solo risk management policy, in accordance with Crédit Agricole S.A. principles and rules, the principles and rules for the management of Crédit Agricole Assurances Group, and local regulations for international subsidiaries.

Risk governance falls on:

- Executive Management (the CEO and second Executive Directors as defined by Solvency 2) and the Board of Directors, ultimately responsible for the Crédit Agricole Assurances Group’s compliance with all applicable regulations and legislation;
- the Crédit Agricole Assurances Executive Committee, which is the primary strategic body of the Group’s Executive Management and the Group committees (in particular the Finance Committee, the Risks and Internal Control Committee, the ALM and Investment Committee and the Reinsurance Strategy Committee);
- the four key functions (Risks, Compliance, Actuarial function, Internal Audit), whose representatives have been appointed by the Chief Executive Officer. Their appointment is validated by the Board of Directors and notified to the competent national supervisory authority. The four key functions are coordinated by the Risk and Internal Control Committee of the Crédit Agricole Assurances Group. The heads of the key functions have direct access to the Board of Directors, to whom they present the results of their work at least once a year;
- an internal control system, defined as the framework designed to manage and control all types of operations and risks and to ensure that all transactions are carried out in a manner that is proper (in compliance with regulations), secure and effective. Crédit Agricole Assurances asks its Board of Directors to validate its risk policies;
- the internal process for evaluating Crédit Agricole Assurances Group’s solvency and risks (Organisational Readiness Self-Assessment – ORSA), synchronised with the other MTP/Budget strategic processes, capital planning and the updating of the Risk strategy and function policies. Prospective assessments completed within this framework make it possible to analyse the consequences of adverse situations on the Group’s management indicators and to take the necessary action, where appropriate.

1. Organisation of risk management

The risk management system of the Crédit Agricole Assurances Group is managed by the Head of the Risk Management function, who reports operationally to the Crédit Agricole Assurances Chief Executive Officer and hierarchically to the Group Chief Risk Officer of Crédit Agricole S.A. The Head of the function relies on the Chief Risk Officers of the entities who report to him/her. The Insurance Risk business line operates like a matrix, combining entity-level organisations with Group approaches by type of risk.

The hierarchical reporting by business line guarantees independence, with a “second pair of eyes” role (to issue a recommendation) to back the operating functions, which manage risks day-to-day, make decisions and exercise first-level controls to ensure their processes are performed properly.

2. Risk management system

At Crédit Agricole Assurances Group level

In order to achieve its strategic orientations while managing and mitigating its risks appropriately, the Crédit Agricole Assurances Group established

a risk appetite framework. This consists of key indicators for each risk category that constitute the core of its Risk management strategy.

The Risk management strategy implemented by the Crédit Agricole Assurances Group is based on the overall risk management framework and the limits and alert thresholds for the range of different risks it is exposed to through the implementation of its strategy.

It is reviewed and validated at least annually, along with the Risk Appetite Statement, by the Crédit Agricole Assurances Board of Directors, following a review by the Crédit Agricole S.A. Risk Committee (a sub-committee of Crédit Agricole S.A. Executive Committee, chaired by its Chief Executive Officer) of the indicators and major limits. Crédit Agricole Assurances’ Executive Management and Board of Directors or even the Risk Committee of the Crédit Agricole S.A. Group, depending on the scope of its authority, are notified of any breaches of alert thresholds or limits and any resulting corrective measures.

The quarterly risk dashboard of Crédit Agricole Assurances, supplemented by a monthly report, is used to monitor the Group’s risk profile and identify potential deviations.

The Board of Directors receives regular updates on compliance with the risk appetite framework.

Dedicated bodies have been established to manage risk consistently at Group level: the Risk Monitoring Committee, which meets bi-monthly, and the Financial Risk Committee, which meets monthly; portfolios are reviewed by asset type and current risks are reported monthly to the Executive Committee.

Moreover, a Committee on Insurance Models at the level of the Crédit Agricole Assurances Group, steered by the Risk Management business line, approves the methodologies underpinning the models and indicators used to address major risks for Crédit Agricole Assurances Group or presenting cross-sector challenges for the Crédit Agricole Assurances Group.

At entity level

In accordance with the Group framework, companies define their own processes and systems to measure, supervise and manage risks: process and risk mapping resulting in a risk strategy that defines, according to their risk appetite, the Crédit Agricole Assurances Group global limits in accordance with a process coordinated by the holding company, accompanied if necessary by limits to manage their specific risks.

The entities also draw up formal policies and procedures providing a strict framework for risk management (including the rules for accepting risk when insurance policies are taken out, provisioning and hedging of technical risks by reinsurance, claims management, etc.).

For its international subsidiaries, Crédit Agricole Assurances has drawn up a set of standards to be implemented by each entity, which sets out the scope and rules for decentralised decision-making and specifies the rules to follow during the decision-making process.

Operational risk management is supervised in each entity by committees that meet periodically (investment, ALM, technical, reinsurance and others) in order to monitor developments in the risk position, based on reporting by business lines, present analyses to support the risk management process, and, if necessary, draw up proposals for action. Significant incidents and limit breaches lead to alerts being triggered and notified either to the Crédit Agricole S.A. Risk Management department (for Crédit Agricole Assurances group-level limits), or to Crédit Agricole Assurances Executive Management or the entity’s management. Corrective measures are implemented accordingly.

The risk management system is examined during meetings of the Risk Management and Internal Control Committees of each subsidiary, in light of the permanent control reports, the analysis of their Risk dashboard and the conclusions of periodic controls.

II. Market risk

In view of the predominance of savings activities in the French and international (Italy mainly) life insurance subsidiaries, and therefore the very large volume of financial assets held to cover policyholder liabilities, the Crédit Agricole Assurances Group is particularly concerned by market risks.

Market risk is the risk of loss that can result from fluctuations in the price of financial instruments in a portfolio.

The Crédit Agricole Assurances Group is exposed to several types of market risk:

- interest rate risk;
- equities risk;
- foreign exchange risk;
- spread risk. This risk is fully described in a specific section.

In particular, these risks have an impact on the valuation of portfolio assets and their long-term yield, and must be managed closely with matching liabilities and, particularly for life insurance, with guarantees granted to policyholders (minimum guaranteed rate, floor guarantee, etc.).

Liquidity risk is monitored specifically.

Thus, the Crédit Agricole Assurances Group's financial policy provides for an asset/liability framework aimed at reconciling objectives of seeking yield for policyholders, conserving ALM balances and delivering shareholder value. This framework is based on "risk/yield" analyses and "stress scenarios", to identify the characteristics of the amounts to invest, the limitations and objectives over short/medium and long-term horizons, with market analysis, supported by economic scenarios, to identify opportunities and limitations in terms of the environment and the market.

The Investment department of Crédit Agricole Assurances is involved in developing and monitoring implementation of the investment policies of Crédit Agricole Assurances Group and of the subsidiaries (taking into account individual ALM limitations and financial targets), which are submitted to their respective Board of Directors for approval. It is responsible for oversight of the investment management services provided by Amundi (management mandates granted by the companies). Moreover, it makes investments directly (without a mandate) on behalf of the Crédit Agricole Assurances Group companies (in real estate in particular), as part of the policy of diversification.

1. Interest rate risk

Type of exposure and risk management

Interest rate risk refers to the risk of a change in the value of the bond portfolio due to upward or downward movements in interest rates.

The Crédit Agricole Assurances Group's bond portfolio, excluding unit-linked policies and excluding UCITS, amounted to €232 billion at 31 December 2021, down from €245 billion at end-2020.

Interest rate risk for the life insurance companies is linked to interactions between assets (financial management) and liabilities (policyholder behaviour). Management of this risk requires a global approach combining financial strategy, the constitution of reserves and sales and income policies. Crédit Agricole Assurances' framework for managing interest rate risk sets out the limits on risks and the related (ALM Committee, presentation of stress scenarios to the Board of Directors, etc.).

A low interest rate environment puts pressure on the profitability of the life insurance activities of Crédit Agricole Assurances: it creates a situation in which returns from securities in the portfolio are lower than the rates paid out on life insurance contracts. Risks related to the minimum guaranteed returns in France are handled at regulatory level by means of prudential provisions.

Crédit Agricole Assurances has a range of levers to tackle the risk of falling rates:

- no longer issuing policies with a guaranteed minimum rate above zero (since 2000 for the main French life insurance company), so that the overall average guaranteed minimum rate has steadily fallen;
- moderation of the profit-sharing paid;
- hedging using bond assets and swaps/swaptions to manage reinvestment risk;
- adaptation of ALM and investment policies to the very low interest rate environment;
- prudent diversification of investment assets;
- adaptation of the sales policy in favour of deposits to unit-linked contracts.

A risk arising from an increase in interest rates could occur if there is a gap between the rate of return delivered by the insurer (related to bond yields) and the rate expected by policyholders in a high-rate environment, or the rate achieved by other savings vehicles. This could result in a wave of early redemptions by policyholders, forcing the insurer to dispose of assets, notably bonds, with unrealised losses (which would generate losses). In turn, the yield on the portfolio would be reduced, with the risk of triggering new waves of policy redemptions.

Crédit Agricole Assurances thus implements measures to manage the risk of a rise in rates:

- adjustment of duration according to projected outflows of liabilities;
- retention of liquidities or liquid investments with a low risk of loss;
- dynamic management of the investment portfolio and setting aside reserves to provide the capacity to increase the return (capitalisation reserve, and profit-sharing reserves);
- upward interest rate hedging through derivatives;
- building customer loyalty to limit early redemptions.

The Crédit Agricole Assurances Group's dashboard, presented to the Executive Committee, includes indicators to monitor the nature of this risk: average guaranteed minimum rate, bond portfolio coverage ratio, allocation to reserves, etc.

Analysis of sensitivity to interest rate risk

Technical liabilities

The Crédit Agricole Assurances Group's technical liabilities are largely insensitive to rate risks for the following reasons:

- **savings provisions** (over 90% of technical reserves, excluding unit-linked policies): these technical reserves are based on the pricing rate which is constant over time for a particular policy. As a result, a change in interest rates will have no impact on the value of these commitments;
- **property and casualty reserves**: these technical reserves are not discounted to present value and changes in interest rates therefore have no impact on the value of these commitments;
- **mathematical reserves for benefits** (personal injury, disability): the discount rate used in calculating these reserves is based on the interest rate in force at the calculation date. Therefore, the size of these commitments varies with interest rates. However, given the limited amount of these technical commitments, they pose no material risk for the Crédit Agricole Assurances Group.

Financial investments

The sensitivity to rate risk of the Crédit Agricole Assurances Group's bond portfolio is used to assess the impact of a rate movement. It is calculated by assuming a 100-basis point rise or fall in interest rates (net of policyholders' deferred profit-sharing and tax):

(in million of euros)	31/12/2021		31/12/2020	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
100 bps rise in risk-free rates	(63)	(2,035)	(53)	(2,193)
100 bps decline in risk-free rates	85	2,039	89	2,197

The impacts presented above take the following elements into account:

- the profit-sharing rate for the entity holding the financial investments;
- the tax rate in force.

Where securities are recognised as assets at fair value through equity, the impacts are presented in the "Impact on equity" column. Where they are recognised as assets at fair value through profit or loss, the impacts are presented in the "Impact on net income" column.

To reiterate, Crédit Agricole S.A. uses the overlay approach for financial assets held for the purpose of an activity involving insurance contracts, which are designated in accordance with the option provided by the amendments to IFRS 4 (this approach is explained in Note 1 to the Crédit Agricole Assurances consolidated financial statements). The sensitivity of designated assets is recorded in shareholders' equity.

Financing debt

Borrowings arranged by the Crédit Agricole Assurances Group mainly pay fixed rates; interest is therefore not very sensitive to changes in interest rates.

2. Equity and other diversification assets risk

Type of exposure and risk management

Exposure to the equity markets and other so-called diversification assets (private equity and listed or unlisted infrastructures, real estate and alternative management) is intended to capture yield in these markets (notably with a low correlation between real estate and other asset classes). Market risk on equities and other diversification assets is defined as a risk of volatility in terms of valuation and therefore, an accounting provisioning risk that could have an impact on policyholder benefits (provision for permanent impairment, provision for liquidity risk). To limit this effect, particularly for the life insurance portfolios, allocations are analysed to determine a ceiling for the share of these diversification assets and a maximum volatility level.

Equities and other diversification assets are held directly or via dedicated Crédit Agricole Assurances Group UCITS to provide regional diversification, in accordance with the relevant risk policies. Exposure to these assets is managed by a series of limits (by asset class and overall for the diversification) and concentration rules.

Compliance with these limits is monitored on a monthly basis.

The main asset classes in the global portfolio are presented in Note 6.4 to the consolidated financial statements. The fair value of financial assets and liabilities recognised at acquisition cost in the balance sheet is disclosed in Note 6.5.1 to the consolidated financial statements. Both items can be found in the Crédit Agricole Assurances Universal Registration Document.

Analysis of sensitivity to equity risk

A quantified measurement of equity risk can be expressed by the sensitivity calculated by assuming a 10% rise or fall in equity markets (impacts are shown net of policyholders' deferred profit-sharing and tax):

(in million of euros)	31/12/2021		31/12/2020	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
10% rise in equity markets	154	179	123	152
10% decline in equity markets	(156)	(179)	(126)	(152)

The impacts presented above take the following elements into account:

- the profit-sharing rate for the entity holding the financial investments;
- the tax rate in force.

These sensitivity measurements include the impact of changes in the benchmark equity index on assets measured at fair value, reserves for guaranteed minimum return and reserves for the right to withdraw from unit-linked contracts as well as any additional impairment provisions required by a decline in equity markets.

Changes in the fair value of equity instruments at fair value through profit or loss impact net income; changes in the fair value of equity instruments classified as non-recyclable under the fair value option impact unrealised gains and/or losses.

Moreover, Crédit Agricole Assurances uses the overlay approach for financial assets held for the purpose of an activity involving insurance contracts, which are designated in accordance with the option provided by the amendments to IFRS 4 (this approach is presented in Note 1 to the consolidated financial statements). The sensitivity of designated assets is recorded in shareholders' equity.

3. Foreign exchange risk

Foreign exchange risk is defined as the risk of loss due to movements in foreign exchange rates against the euro. For Crédit Agricole Assurances, this risk is marginal, as shown by the sensitivity to foreign exchange risk, calculated by assuming a 10% rise or fall in each currency relative to the euro (impacts are shown net of policyholders' deferred profit-sharing and tax):

	31/12/2021		31/12/2020	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
(in millions of euros)				
10% rise of each currency relative to the euro	0.0	2.0	(0.1)	0.1
10% fall of each foreign currency relative to the euro	(0.0)	(1.7)	0.1	(0.1)

Crédit Agricole Assurances's exposure to foreign exchange risk falls into two categories:

- limited structural exposure: in yen for the CA Life Japan subsidiary, with a hedging ratio of 83% (low net exposure of €18.6 million at end-2021) and in PLN for the CA Zycie subsidiary, with a hedge ratio of 89% (net exposure of €2.5 million at end-2021);
- operational foreign exchange exposure arising from a mismatch between the asset's currency and that of its liabilities: the Crédit Agricole Assurances Group's global portfolio, representing commitments in euros, is primarily invested in euro-denominated financial instruments. However, to achieve the aim of optimising risk/return and diversification, the Group seeks to profit from projected growth and interest rate differentials between major geographic areas, in dedicated funds and fixed-income mandates. The general foreign exchange risk hedging strategy is not to hedge exposure to the currencies of emerging economies, regardless of the asset class, and, in contrast, to hedge exposure to the currencies of mature countries, with the option of limited tactical exposure to the US dollar. Crédit Agricole Assurances Group's overall foreign exchange exposure is bound by a maximum market value limit relative to the total portfolio, and two sub-limits for emerging currencies and the US dollar.

4. Liquidity risk

Type of exposure and risk management

For Crédit Agricole Assurances, liquidity risk essentially corresponds to its ability to meet its current liabilities.

From this perspective, the companies combine several approaches.

On the one hand, liquidity is an investment selection criterion (majority of securities listed on regulated markets, limits on assets in markets that lack depth, such as private equity, unrated bonds, and alternative management, etc.).

On the other hand, systems for managing liquidity are consistent across the Crédit Agricole Assurances Group, and are defined by the companies as part of their ALM policy:

- for life insurance companies, these systems have the goal to ensure a match between the maturities of assets and those of liabilities under normal and stressed conditions (wave of buybacks/deaths, see below the liquidity monitoring indicator). The objective is to ensure liquidity in the long-term (monitoring and limiting of annual cash run-off gaps), medium term (so-called "reactivity" ratio described below), and, in case of uncertainty regarding net inflows, short-term (one-week and one-month liquidity, with daily monitoring of redemptions). Temporary liquidity management mechanisms also exist for exceptional circumstances where markets are unavailable (repurchase agreements with collateral in cash or ECB-eligible assets);

- for non-life insurance companies, liquidities or assets with low reactivity are retained, and the share is calculated to respond to a shock to liabilities.

The "reactivity" ratio measures the ability to mobilise current assets of less than two years or variable-rate assets by limiting the impacts in terms of capital loss; it is measured and compared against a threshold set by each life insurance company.

The liquidity monitoring indicator, introduced in 2018, measures the ratio between stressed liquid assets (appreciation of a discount) and a liquidity requirement generated by a 40% buyback rate over a one-year period.

Profile of financial investment portfolio maturities

Note 6.6 to the consolidated financial statements of Crédit Agricole Assurances, which can be found in Part 6 of the Universal Registration Document, contains the bond portfolio maturity schedule (excluding unit-linked contracts).

Breakdown of financial liabilities by contractual maturity

Note 6.23 to the consolidated financial statements of Crédit Agricole Assurances, which can be found in Part 6 of the Universal Registration Document, provides information on the estimated schedule for Crédit Agricole Assurances insurance liabilities (excluding unit-linked contracts for which the risk is borne by policyholders).

Financing

As a holding company, Crédit Agricole Assurances is responsible for subsidiary refinancing enabling them to meet their solvency requirements and operational cash needs. It is refinanced through its shareholder Crédit Agricole S.A. and, since 2014, through issuing subordinated debt directly in the market.

The structure of the financing debt and its breakdown by maturity is shown in Note 6.21 to the consolidated financial statements of Crédit Agricole Assurances (Part 6 of the Universal Registration Document).

III. CCR

Credit risk is the risk of loss due to default by an issuer. For debt securities, this risk translates as a decrease in value.

This section deals only with counterparty risk on financial instruments. Exposure to counterparty risk on reinsurers' receivables is covered in the section on "insurance risk".

Amundi's risk management teams perform the analysis of counterparty risk for issuers and for OTC market transactions (derivatives) under the management mandates granted to them by the insurance companies.

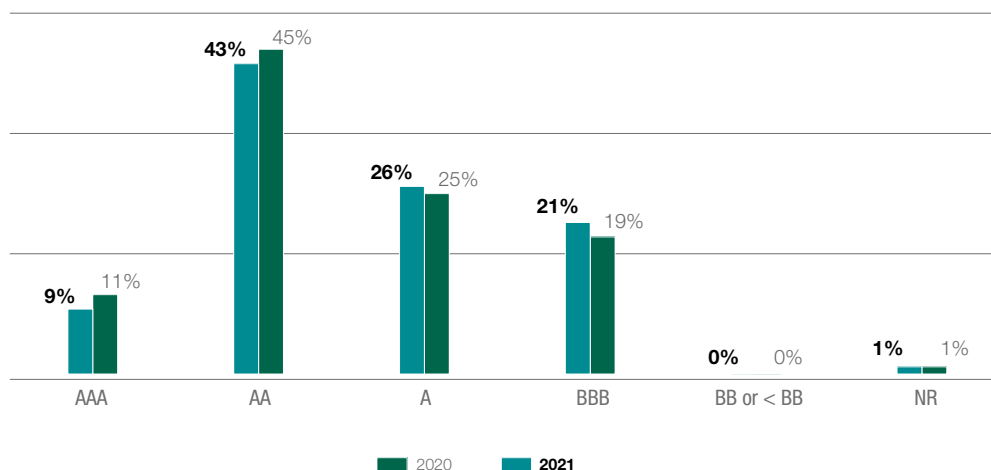
Counterparty risk is contained overall for Crédit Agricole Assurances Group and at portfolio level for each entity on the basis of limits in terms of ratings, issuer and sector concentration.

Hence, aggregate limits are defined to manage the breakdown of issues between rating classes. The rating used is the “Solvency 2” rating corresponding to the second best of the three Standard & Poor’s, Moody’s and Fitch ratings. The share of “high-yield” issues held directly or

indirectly via funds, is subject to strict limits. Only issues with a minimum BB rating are authorised for purchase in mandates. Issuers that have not been rated by an external agency but have an internal Crédit Agricole S.A. rating are selected according to a rigorous process and accounted for approximately 4.0% of the portfolio at end-October 2021.

The breakdown of the bond portfolio by financial rating makes it possible to assess its credit quality.

The bond portfolio (excluding unit-linked policies and UCITS) by credit rating breaks down as follows:



Concentration in a single issuer (equities and interest rate instruments) may not exceed a given percentage of the global portfolio, which is determined according to issuer type and quality. Furthermore, limiting the relative weighting of the top ten issuers ensures diversification within rating levels A and BBB. Exposure is reviewed quarterly with the Amundi Risk teams and the Risk Management department of Crédit Agricole S.A.

Concentration in sovereign debt and similar is subject to individual limits according to debt-to-GDP ratio and the country’s internal credit rating.

The exposure to sovereign debt in Italy, Spain, Portugal and Ireland is subject to authorisations by the Crédit Agricole S.A. Group Risk Committee. Such exposure is concentrated in Italian sovereign debt held by the Italian subsidiary of Crédit Agricole Assurances. The purchase of Greek issuers’ debt remains prohibited.

Cash collateral contracts are used to manage counterparty risk for over-the-counter derivatives used by companies to hedge exposure to rate risk on their balance sheets.

IV. Insurance risk

The Crédit Agricole Assurances Group is exposed to insurance risk through the insurance business. Such risk primarily relates to the underwriting, valuation of provisions and reinsurance processes.

Each entity implements an approach in collaboration with all the operating departments concerned, as well as Risk, Compliance, Actuarial functions and Legal Affairs, to manage risks when new insurance products are created or substantial changes are made to the features of an existing product. Products are approved by an ad hoc committee (New Business and New Product Committee).

1. Insurance underwriting risk

Insurance underwriting risk takes different forms depending on the whether the insurance is life or non-life:

Life insurance underwriting risk

Through its Savings, Retirement and Death & Disability activities and life insurance guarantees in respect of its creditor insurance, Crédit Agricole Assurances is exposed to biometric risks (longevity, mortality, incapacity, long-term care and disability risks), loading risk (insufficient loading to cover operating expenses and fees paid to distributors), but most of all to behavioural risk for redemptions (for example, due to an increase in interest rates that reduces the competitiveness of certain investments, a deterioration in trust in Crédit Agricole Group, or a legal development, such as the Bourquin amendment to the Sapin II law).

Life insurance technical reserves, recognised in the main by French companies, are chiefly constituted from savings denominated in euro or unit-linked (UL) policies. For the majority of UL policies, the risk of fluctuation in the value of the underlying is borne directly by the policyholder. Some policies may include a floor guarantee in the event of the death of the insured, which exposes the insurer to a financial risk determined by the value of the policies’ UL and the probability of death of the insured. A specific technical reserve is recognised for this floor guarantee.

In savings, redemption rates are monitored for each life insurance company and compared with the structural redemption rates established on the basis of historic and market data.

In death and disability, creditor insurance and yields, the underwriting policy, which specifies the risks covered, the underwriting conditions (target customers, exclusions) and pricing standards (notably the statistical tables established either from national or international statistics or from experience tables) helps to control risk in this area.

“Catastrophe” risk, related to a mortality shock, is likely to impact the results for individual or group death & disability insurance. The adequacy of the reinsurance programme helps to limit this risk.

Non-life insurance underwriting risk

For property and casualty insurance and non-life benefits included in creditor insurance policies, the underwriting risk can be defined as the risk that the premiums collected are insufficient compared to the claims to be settled. Crédit Agricole Assurances is specifically exposed to frequency risk and exceptional risk, whether originating from a catastrophe risk (particularly climatic) or the occurrence of individual incidents for significant amounts.

For distribution partners, underwriting policy defines the framework for accepting risk (to ensure appropriate selection of risks and the spread within the policy portfolio to optimise technical margins). Formal rules and procedures for pricing are also drawn up.

The ratio of claims paid to premiums earned is compared to targets that are reviewed annually. This claims ratio is the key indicator for monitoring risk and is used to identify priorities for improving the technical result, where necessary.

Concentration risk in non-life insurance relates to an aggregation of liabilities in respect of a single claim, arising from:

- underwriting concentration in which insurance policies are written by one or more Group entities on the same risk;
- claim concentration, where policies are written by one or more Crédit Agricole Assurances Group entities on risks that are different, but liable to be triggered by a single covered event or the same primary cause.

This type of risk is hedged, first, by a policy of diversifying the risks written in a single region and, second, by reinsurance to limit the financial impact of a major event (storms, natural disasters, etc.), under a reinsurance policy (see reinsurance risk below) that incorporates this dimension.

2. Provisioning risk

Provisioning risk is the risk of a gap between the provisions set aside and those required to meet liabilities. It may be related to risk valuation (volatility introduced by discount rates, regulatory changes, or new risks for which statistical depth is inadequate, etc.) or a change in risk factors (population ageing, for example, leading to increased long-term care risks or health issues, stricter laws governing professional liability insurance, personal injury compensation, and others).

The objective of the provisioning policy established in each of the companies is to guarantee a prudent assessment of loadings for past and projected claims to ensure a high probability that the accounting provisions set aside will be sufficient to cover the ultimate load.

The methods used to constitute provisions (on a case-by-case basis) for property and casualty insurance, according to the products and benefits affected, are documented and the management rules applied by claims managers are set out in the manuals.

The choice of statistical methodology to calculate accounting provisions (including provisions for late payment) is justified at each reporting date.

The local permanent control plan encompasses control of provisioning policy.

The Statutory Auditors perform an actuarial review of provisions as part of the review of the annual financial statements.

The breakdown of technical reserves relating to life and non-life insurance contracts is presented in Note 6.23 to the consolidated financial statements.

3. Reinsurance risk

Reinsurance risks are of three types:

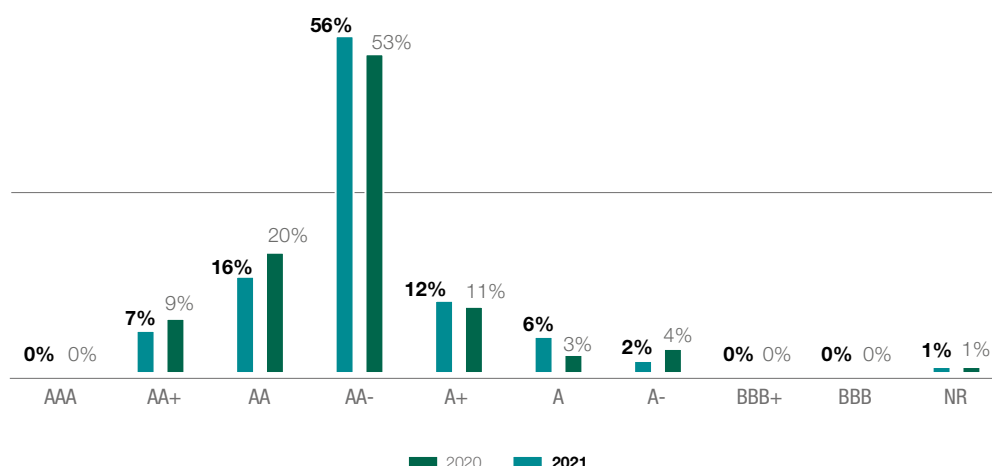
- inappropriate reinsurance (insufficient cover or, on the other hand, payment of too high a premium, which erodes technical margins and competitiveness);
- risk of a reinsurer defaulting and not being able to pay its share of the claims;
- no or virtually no reinsurance on a given activity or guarantee given (reinsurance offer, amounts that can be covered and the cost of cover, depending on market conditions that are liable to vary significantly).

Each company draws up its own reinsurance plan aimed at protecting equity in case of systemic or exceptional events and at limiting volatility in the Company's results, based on the principles of Crédit Agricole Assurances Group's strategy for common and uniform risks limitation, namely:

- selecting reinsurers that meet minimum financial strength criteria, with reinsurers' ratings monitored at the Crédit Agricole Assurances Group level;
- ensuring adequate dispersion of premiums across reinsurers;
- monitoring the adequacy of reinsurance cover relative to the commitments to policyholders and of results on each reinsurance agreement.

The reinsurance plans are reviewed annually by the Board of Directors in each subsidiary.

Their breakdown by reinsurer rating is as follows:



4. Emerging risks

The Risk department is responsible for the ongoing monitoring of insurance risk, in cooperation with other business line departments and the Legal department.

The Risk Monitoring Committee, which meets twice monthly and is attended by all Risk Management and Permanent Controls Officers, is also tasked with anticipating developments in the regulatory and legal environment and identifying emerging risks.

This monitoring comes from many sources (economic research, internal and external analysis, in particular by consulting firms and research published by the French Regulatory and Resolution Supervisory Authority (ACPR), the European regulator – EIOPA, etc.).

V. Operational risk

Operational risk is the risk of loss resulting from shortcomings or failure in internal procedures, human error, information systems or external events. It includes non-compliance risk, legal risk and the risks generated by key outsourced services.

The Crédit Agricole Assurances entities apply Crédit Agricole S.A. directives on operational and compliance risk management.

The operational risk management system in each entity, including the holding company, is thus comprised of the following components:

- a mapping of risk events, periodically updated to incorporate organisational changes, new activities and even changes in the cost of risk. It is based on a breakdown of activities into processes and the seven risk categories of the Basel 2 classification. The financial and non-financial (regulatory, image) impacts of these identified risk events, whether actual or potential, are assessed as well as their probability of occurrence, based on business expertise. Internal control is assessed on the basis of the results of controls at the different levels defined in the local control plans and standardised controls defined by the Risk Department of Crédit Agricole S.A. and its subsidiaries and the findings of periodic controls to highlight the most critical net risks and prioritise actions plans to reduce them;
- a process of collecting data on risk-related incidents and operating losses, backed by an early-warning system, is used to monitor identified risks and use them to introduce remedial measures and ensure consistency with mapping. The amount of collected losses is compared each quarter to an annually defined alert threshold.

Crédit Agricole Assurances and its subsidiaries have prepared a Business Continuity Plan (BCP) focusing on essential activities in order to cover a failure of information systems, operational sites and staff. This meets the standards of Crédit Agricole S.A., with the adoption of the Crédit Agricole S.A. and its subsidiaries solution for the user backup site, and an IT Back-up Plan (PSI) that relies on the pooled operating and IT production environment of Crédit Agricole S.A. IT system security is an inherent component of the Group's security policies. A three-year programme of security projects (including accreditation, intrusion tests, and IT system failure scenarios) is being implemented.

A Crédit Agricole Assurances Group-wide general subcontracting policy, describing amongst others the monitoring and control system associated with outsourcing, has been rolled out by Group entities. The system for managing outsourced services was reinforced in 2021, following the publication of the EBA guidelines on outsourced services and the publication of the EIOPA guidelines on the outsourcing of cloud-based services.

VI. Non-compliance risks

Non-compliance risks refer to a potential lack of adherence to rules governing financial activities. These rules may be laws, regulations (Solvency 2, securities regulations, data protection, customer protection, or anti-money laundering and combating the financing of terrorism requirements, fighting of corruption, etc.), professional or ethics standards, and instructions from the executive body. These risks are identified in the operational risk mapping of each Crédit Agricole Assurances Group entity.

In each entity, the Compliance Officer is responsible for the implementation of the Group procedures issued by the Compliance department of Crédit Agricole S.A. (Fides Corpus) and for the development of procedures specific to the activities of his/her entity. The Compliance Officer is also responsible for training and for the dedicated control system aimed at controlling these risks, with the ongoing goal of limiting the potential impacts (financial losses, legal, administrative or disciplinary sanctions), while protecting the reputation of the Crédit Agricole Assurances Group. In this respect, the launch of new business activities and the creation of new products, are subject to enhanced security by referral to the New Activities and New Products Committees, established in each entity to review in particular the contractual and marketing documents for products, as well as the training materials and sales aids intended for distributors.

The supervision of the compliance systems of the subsidiaries of Crédit Agricole Assurances is carried out by the Compliance Officer of the Crédit Agricole Assurances group. Coordination for the Insurance business is carried out mainly through exchanges with the subsidiaries.

In all areas of compliance, from the prevention of money laundering and financing of terrorism to protecting customers, the Group has strengthened coordination with distributors (Regional Banks, LCL, other international networks) to ensure implementation of the controls to guarantee correct application of procedures by all parties.

2.8 OPERATIONAL RISKS

Operational risk is the risk of loss resulting from shortcomings or failure in internal procedures, staff, information systems or external events.

It includes legal risk, non-compliance risk, internal and external fraud risk, the model risk and risks generated by the use of outsourced services, including those that are key (*prestations de service essentielles externalisées* – PSEE).

I. Organisation and supervision system

The operational risk system, adjusted to each Group entity, comprises the following components common to the entire Group.

Organisation and governance of the Operational Risk Management function

- supervision of the system by Executive Management (via the Operational Risk Committee or the operational risk unit of the Group Risk Committee and the Internal Control Committee).
- tasks of the Risk Management Officers (Crédit Agricole S.A. and its subsidiaries) and the Operational Risk Managers at local level in terms of management of the operational risk management system;
- responsibility of the entities in managing their own risks;
- set of standards and procedures;
- circulation of Crédit Agricole's Group risk tolerance policy implemented in 2015 and incorporating operational risk.

Identification and qualitative assessment of risks through risk mapping

Risk mapping is done annually by the entities and is used by each entity with a validation of the results and associated action plans by the Operational Risk Committee (operational risk unit of the Internal Control Committee) and a presentation to the Risk Committee of the Board of Directors.

This mapping is supplemented by the establishment of risk indicators to monitor the most sensitive processes.

Collection of operational loss data and an early-warning system to report significant incidents, which are consolidated in a database used to measure and monitor the cost of risk

The reliability and quality of the data collected are submitted to systematic audits both at the local and central levels.

VII. Legal risks

Responsibility for legal management, regulatory monitoring and consulting with the various Business line departments lies with the companies' Legal departments. There are currently no governmental, legal or arbitration proceedings (or any proceedings known by the Company, suspended or threatened) that could have or has had, in the previous 12 months, any material effect on the financial position or profitability of the Company and/or of the Crédit Agricole Assurances Group.

To Crédit Agricole Assurances' knowledge, there is no significant litigation to note.

The calculation and regulatory reporting of capital for operational risk at the consolidated and entity levels

The quarterly production of an operational risk dashboard at entity level, accompanied by a Crédit Agricole Group summary, taking into account the main sources of risks affecting the business lines and associated action plans for major incidents.

Tools

The RCP (Risk Management and Permanent Controls) platform contains the four essential elements of the system (collection of loss data, operational risk mapping, permanent controls and action plans) sharing the same framework and thus making it possible to establish a connection between the risk mapping systems and risk management system (permanent controls, action plans, etc.).

Regarding the IT system component used for the calculation and allocation of regulatory capital, the upgrade plan was continued along with a rationalisation of the databases, enhanced information granularity and the automation of the controls on data taken from COREP's regulatory statements to bring IT into line with best management principles defined by the Basel Committee.

These components are subjected to consolidated verifications at the central level.

In addition, the risks associated with key outsourced services are incorporated into each component of the Operational Risk system and are the subject of a specific report, as are the consolidated controls that are centrally communicated. The system of the Crédit Agricole Group was adapted in accordance with the ABE guidelines on outsourcing arrangements, published in February 2019. The latter were transposed into a standard, published in December 2021, dedicated to risk management of activities outsourced within the Group.

II. Methodology

The main entities of the Crédit Agricole Group use the advanced measurement approach (AMA): Crédit Agricole CIB, Amundi, LCL, Crédit Agricole Consumer Finance, Agos and the Regional Banks. The use of the AMA for these entities was approved by the French Regulatory and Resolution Supervisory Authority (ACPR) in 2007. These entities currently represent 78% of the capital requirement for operational risks.

For the entities that use the standardised approach (TSA), the regulatory weighting coefficients used in calculating the capital requirement are those recommended by the Basel Committee (percentage of revenues according to business line).

AMA regulatory capital requirement calculation

The AMA method for calculating capital requirements for operational risk has the following main objectives:

- increase control over the cost of operational risk, and prevent exceptional risks across the various Group entities;
- determine the level of capital needed for the measured risks;
- promote improvements in risk management through the monitoring of action plans.

The systems implemented within the Group aim for compliance with all qualitative criteria (integration of risk measurement into day-to-day management, independence of the Risk function, periodic disclosure of operational risk exposures, etc.) and Basel 3 quantitative criteria (99.9% confidence interval over a one-year period; incorporation of internal data, external data, scenario analyses and factors reflecting the operating environment; incorporation of risk factors that influence the statistical distribution, etc.).

The AMA model for calculating capital requirements is based on a unique actuarial model called the **Loss Distribution Approach**.

Internal factors (change in the entity's risk profile) are considered according to:

- changes within the entity (organisational, new business activities, etc.);
- changes in risk mapping;
- an analysis of the history of internal losses and the quality of the risk management system, in particular via the permanent controls system.

For external factors, the Group uses:

- the ORX Insight external consortium database to monitor incidents recorded in other institutions;
- the SAS OpRisk and ORX News external public databases for:
 - raising awareness among the entities of the main risks that have impacted other institutions,
 - assisting experts in the valuation of the main Group vulnerabilities (key scenarios).

The model was designed and developed according to the following principles:

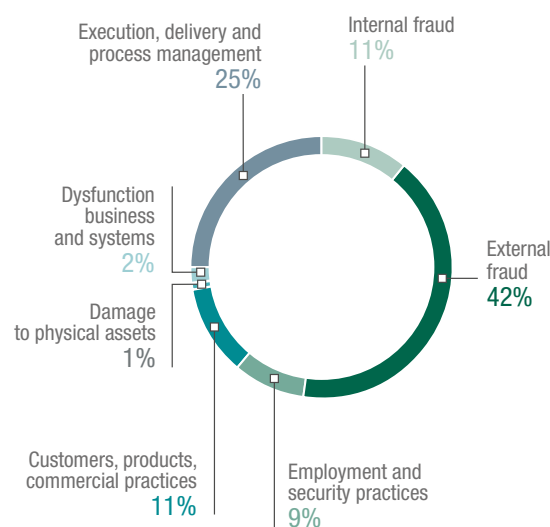
- it must form an integral part of the risk policy;
- it must be pragmatic, i.e. the methodology must be applicable to real operating conditions;
- it must have educational value, in order to be endorsed by Executive Management and the business lines;
- it must be robust, i.e. it must be able to provide estimates that are realistic and stable from one financial year to the next.

A half-yearly Committee for back-testing the Advanced Measurement Approach (AMA) has been put in place and is dedicated to analysing the model's sensitivity to changes in the risk profile of the entities. Every year, this committee identifies areas where improvements are possible, and draws up corresponding action plans.

The operational risk system and methodology have been subject to external audits by the ECB in 2015, 2016 and 2017. These missions made it possible to note the Group's progress, but also to complete the prudential approach relating to emerging risks (cyber risk, compliance/conduct risk).

III. Exposure

Breakdown of operational losses by Basel risk category (2019 to 2021)

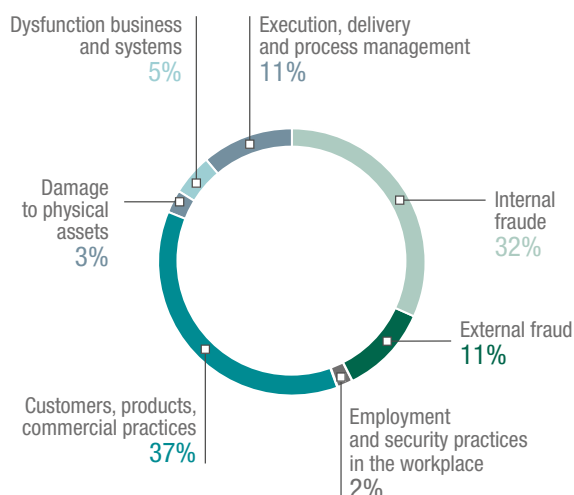


Generally, the exposure profile in terms of operating risks detected in the last three years reflects the principal activities of the Crédit Agricole Group:

- an exposure to external fraud that remains significant, mainly in connection with credit boundary operational risk (document fraud, fraudulent invoices, etc.), as well as one-off defaults in 2020 associated with suspected fraudulent bankruptcies) and payment instruments fraud (specifically bank cards, fraudulent transfers);
- execution and delivery risks, process management risks due to processing errors (absent or incomplete legal documentation, collateral management, litigation with suppliers, input errors, etc.);
- exposure to the Customers category, marked in particular by the decision of the Dutch ombudsman concerning the conditions for the review of the interest rates of revolving loans marketed by Crédit Agricole Consumer Finance Nederland B.V.;
- notable in 2020 was the rise in the share of the Internal Fraud category due to one-off incidents, and in the Employment and Safety Practices category due to additional costs connected to the Covid-19 health crisis (health protection kits, cancellation of travelling and events).

Remedial and preventive action plans at local or Group level were introduced to reduce the exposure of the Crédit Agricole Group to operational risk. Periodic monitoring of action plans for incidents with an impact higher than €5 million has been implemented since 2014 within the Group Operational Risk Committee and since 2016 in the Group Risk Committee.

Breakdown of risk-weighted assets by Basel risk category (2021)



IV. Insurance and coverage of operational risks

The Crédit Agricole Group has obtained insurance coverage for its operational risks to protect its assets and profits. For high-intensity risks, Crédit Agricole S.A. has taken out insurance policies to cover

itself and its subsidiaries with major insurance companies and with the CAMCA for the Regional Banks. These policies harmonise the transfer of personal and property risks and the setting up of specific professional liability and fraud insurance programmes for each business line. Lower intensity risks are managed directly by the relevant entities.

In France, third-party civil liability risks are covered by Operating, General, Professional Civil Liability policies. It should be noted that property and casualty insurance for operating assets (property and IT equipment) also includes third-party liability coverage for all property exposed to this risk.

The MRB (*Multirisques Bureaux* – Comprehensive Office), PAB (*Perte d'Activité Bancaire* – Loss of banking business), Cyber and RCJ (*Responsabilité Civile Juristes* – Lawyers' Liability) policies were renewed on 1 January 2022. The RCP (*Responsabilité Civile Professionnelle* – Professional liability) and GDB (*Globale de Banque* – Global Bank = All Securities Risks + Fraud) policies expire on 1 May 2022 and will be renewed on that date.

"Basel 2 eligible" policies contribute to reducing the capital requirement for operational risks (within the 20% authorised limit).

High-frequency and low-intensity risks that cannot be insured on satisfactory financial terms are retained in the form of deductibles or are pooled within the Crédit Agricole Group.

2.9 NON-COMPLIANCE RISKS

The Compliance department bears responsibility for disseminating within the Group a culture of impeccable ethics, transparency and fairness that resonates with our historical values of usefulness, proximity, responsibility and solidarity, as well as with our *raison d'être*, deployed to the Customer, Societal and Human pillars.

In addition to meeting regulatory requirements and the expectations of all its stakeholders (customers, members, shareholders, employees), the Crédit Agricole Group thus has the objective of making Compliance a differentiating asset in the service of customer satisfaction, development and sustainable performance.

To this end, the Compliance department has launched its Smart Compliance strategic road map, aimed at giving the Compliance function, which is now organised and structured, a more operational mandate in terms of serving the departments and entities, while maintaining its key control role. The vision of Smart Compliance has two thrusts, a defensive thrust aimed at protecting the Group from regulatory and image risk, and an offensive thrust whereby all internal stakeholders, from back office to front office, commit to providing customers with quality and loyalty. Three vectors contribute to the success of this approach: an organisation and governance vector, in the broadest sense, including communication, a "Human" vector, which includes making employees accountable and providing them with training opportunities and, lastly, a vector that leverages innovation, technology and data use for the benefit of Compliance.

Organisation and governance

The non-compliance risk management system is organised around a governance structure that is fully integrated into the Group's internal control framework. The Group Compliance Management Committee, chaired by Executive Management, holds a meeting every month. It makes the decisions required to prevent non-compliance risks and to implement and monitor corrective measures following the reporting of irregularities to the Committee. Non-compliance risks and the decisions taken to control them are regularly presented to the Risk Committee of the Board of Directors and the Board of Directors of Crédit Agricole S.A.

The Crédit Agricole Group has defined and implemented an updated, adequate and proportionate non-compliance risk management system that involves all Group stakeholders (employees, management, control functions including Compliance). This system is based in particular on organisations, procedures, information systems or tools used to identify, assess, monitor and control these risks and to determine the necessary action plans. A dedicated monitoring plan that enables to ensure that these risks are controlled and that their impact in terms of financial losses, or legal, administrative or disciplinary sanctions, is minimised, with the ongoing goal to preserve the Group's reputation. The control of non-compliance risks is in particular based on permanent indicators and controls deployed within the entities, supervised at Group level by the Group Compliance department (DDC) (including analyses of compliance failures). Regular reports on the system are provided to the governance bodies of the entities and the Group.

The system is structured and deployed by the Crédit Agricole Group's Compliance business line. It is placed under the authority of the Group Head of Compliance, who reports directly to the Deputy Chief Executive Officer of Crédit Agricole S.A., responsible for ensuring the coherence and effectiveness of the internal controls. To develop the integration of the business line and ensure the independence of its roles, the Compliance Officers of Crédit Agricole S.A. subsidiaries report hierarchically to the Group Head of Compliance, unless prevented by local law. The Compliance Officers of the Regional Banks have a functional link with the Compliance department. The workforce of the Group Compliance business line has almost doubled in seven years, reaching more than 1,800 positions at end-2021. 50% of these positions are dedicated to Financial Security, 20% to Customer Protection and the remaining 30% to activities such as training, market integrity, management and personal data protection. Retail Banking in France and abroad accounts for 42% of this workforce, while 25% are involved in Large Customer and Private Banking activities. In 2022, the Group Compliance department will strengthen the Human Resources management in order to facilitate career development and increase the attractiveness of the Compliance Business Line within the Group.

The Group Compliance department of Crédit Agricole S.A. (DDC) establishes Group policies relating to compliance with regulations and legislation and ensures that these are properly disseminated and applied. To this end, it has teams specialised by area of expertise: financial market compliance and integrity, customer protection, financial security, fraud and corruption. A project team is also dedicated to managing the deployment of all commitments made by the Crédit Agricole Group under the OFAC remediation plan (see below). As part of the entry into force of the European General Data Protection Regulation (GDPR), the Group Data Protection Officer (DPO) reports directly to the Head of Group Compliance and is in charge of managing the DPO division of Crédit Agricole.

The Group Compliance department also leads and supervises the Compliance business line. Launched in 2021, the Smart Supervision system is intended to strengthen the supervision of the entities through a uniform, structured and consolidated methodology. The methodology aims, via a risk-based approach, to prioritise supervision issues by entity and ensure tighter management of the entities according to the identified shortcomings. This method relies on automated dashboards and optimised and rationalised risk sensors.

Culture of ethics

The system for controlling non-compliance risks is based primarily on the dissemination of a solid culture of ethics and compliance among all Group employees and managers. The culture of ethics and compliance is based on the deployment of the Code of Ethics published in 2017. This Code, which is common to all Group entities, promotes the values of proximity, responsibility and solidarity held up by the Group. The spreading of this culture of ethics also relies on awareness-raising and training activities with regard to the challenges and risks of non-compliance that strongly mobilise all Group stakeholders: employees, managers and directors. In 2021, the ethics awareness-raising programme was intensified with, among other things, the circulation of communications (newsletters, comic strips, videos of members of the Crédit Agricole S.A. Executive Committee) and a renewal of the "Ethics and you" quiz. In addition, training modules and materials – general or intended for employees who are at a higher risk of exposure – cover all areas of day-to-day

compliance, fraud prevention and detection, personal data protection, anti-money laundering and combating terrorist financing, as well as compliance with international sanctions.

The entities have a Code of Conduct, which disseminates the principles of the Code of Ethics at an operational level. The Code of Conduct applies to everybody – Board members, executive officers and employees of the entity, regardless of their situation and function. The Code of Conduct is designed to guide actions, decisions and behaviour on a daily basis by incorporating behavioural rules to deal with ethical issues that anyone might encounter during their professional and non-professional assignments. As part of the approach to controlling the risks of non-compliance, it also includes a specific "anti-corruption" component in application of the obligations arising from the Sapin II law relating to the prevention of corruption and influence peddling.

Fight against corruption

In accordance with national and international anti-corruption directives, and in an extension of the measures taken by Crédit Agricole for many years, since 2018 (implementation of the Sapin II law) the Group has strengthened its anti-corruption system. This system is now deployed in all Group entities in France and abroad, regardless of the nature of their activities (retail banking, investment banking, consumer finance, insurance, real estate, etc.).

Thus, the Group has procedures and operating methods based on committed governance, a dedicated Anti-Corruption Code, a whistleblowing system, accounting controls and training programmes for all employees. Taking the most recent recommendations of the French anti-corruption authority (*Agence française anticorruption*) into account, the corruption risk mapping processes have been updated. After the effective implementation of a supplier assessment system, work is currently being done to optimise the assessment of customers and intermediaries with regard to corruption risks.

Crédit Agricole is thus one of the first French banks to have obtained ISO 37001 certification for its anti-corruption management system.

Whistleblowing system

In the context of its anti-corruption system, in 2019 Crédit Agricole set up an online whistleblowing platform that allows any employee or any person from outside the company (service providers or suppliers in particular) to securely report any situation that they deem irregular (corruption, fraud, harassment, discrimination, etc.).

Administered by qualified experts, the platform guarantees the strict confidentiality of the whistleblower, the facts reported, the persons involved and the exchanges between the whistleblower and the person in charge of processing the alert. The deployment of this online platform was completed in 2020 across the entire Crédit Agricole Group, covering more than 300 entities and almost 150,000 people. To date, more than 200 alerts have been reported and processed through this new system.

Financial security

Customer knowledge and anti-money laundering and terrorist financing prevention systems are the subject of ongoing action plans to take into account changes in risks, regulatory requirements and supervisory authorities.

Know Your Customer

In accordance with the roadmap, 2021 saw the overhaul, at Group level (all entities and all customer segments), of KYC standards and the implementation of a programme to provide assistance to the entities and to monitor the deployment through the establishment of monitoring and management indicators. It should be noted that the procedure aimed at updating KYC information when business opportunities arise (upstream review) contributed strongly to the 2021 review campaign. In addition, work continues on making customer databases more reliable in order to improve the quality of the data and the screening of these databases. This project must also improve the level of customer knowledge over the long term to make it a loyalty factor and prevent and detect risks, especially money-laundering and terrorist financing. Finally, 2021 was marked by a strengthening of procedures for sharing KYC information between Group entities in order to facilitate KYC procedures for multi-entity customers and avoid a “customer irritant” (several requests). The roadmap for 2022 aims to build on the initiatives conducted in previous years: achieving the target of 100% of the 2022 review scope, strengthening controls on the quality, coherence and reliability of KYC information (data/documents), continuing and enhancing the upstream review process in order to reduce the volumes to be handled in subsequent years, managing and monitoring periodic KYC reviews, deploying exchanges of KYC information more widely among Group entities, and finally, improving and strengthening the KYC process for customers doing international business.

Anti-money laundering and combating the financing of terrorism

Anti-money laundering and combating the financing of terrorism is a major preoccupation for the Group. The Group's system is based on (i) classification of AML/CFT risks, (ii) KYC with assessment of the risk profile, (iii) detection of unusual transactions and, where applicable, reporting them to financial information units, and (iv) intragroup exchanges of AML/CFT information.

The regulatory and supervisory framework for the prevention of money laundering and terrorism financing is the subject of important discussions at European level in the context of the establishment of a European supervisory authority. In 2021, the French national AML/CFT system was assessed by the Financial Action Task Force (FATF). Against this background, and in the light of the changing risks of financial delinquency, the standards and expectations of the authorities are evolving rapidly in this regard.

Thus, the Group pays particular attention to refining its system in order to meet these new challenges and constantly adapting to the new risks. In 2021, this was particularly reflected in the work done at Group level on the organisation of the internal AML/CFT control system in the light of the requirements imposed by the decree of 6 January 2021. Work was done to optimise the financial security tools, particularly in order to facilitate intragroup cooperation and exchange of information.

International sanctions

Controlling risks related to financial security requirements, and in particular international sanctions, is a high priority for the Group. They are part of a major project to strengthen the international sanctions management system, the OFAC remediation plan, as a result of agreements signed with the American authorities on 19 October 2015 following breaches of the “OFAC Sanctions” regime for USD transactions between 2003 and 2008. This remediation plan was approved by the US Federal Reserve on 24 April 2017 and is subject to close monitoring and regular reporting to the Group's governance and the US authorities.

The criminal proceedings against Crédit Agricole CIB were lifted on 19 October 2018, and on 23 April 2021 the Crédit Agricole Group completed the 118 milestones of the OFAC remediation plan, at the end of five years of far-reaching transformation work aimed at strengthening the management of risks related to international sanctions. Thus, for example, all Group entities reviewed and, where necessary, updated their customer data required to identify any potential risk related to international sanctions. The projects for the centralisation of the platforms managed by the Group, the screening of payment flows and the names of customers, suppliers and other third parties were completed. Over 63 million third parties are now screened on these Group platforms. Lastly, the control system for international trade finance activities was strengthened and automated. The 2015 agreements with the US authorities remain in place: each entity must now ensure that the actions implemented under the USLCP plan are effective, fully integrated into the Bank's operating processes and sustainable.

Fraud prevention

To protect customers and the Bank's interests, a structured fraud prevention system has been deployed in all Crédit Agricole Group entities since 2018. A dedicated unit for coordinating the fight against fraud has been created at Group level, within the Group Compliance department, as well as equivalent units in each Group entity, thus constituting the Compliance/Prevention of Fraud and Corruption business line. A head of Coordination of Fraud Prevention has been appointed in all the Regional Banks and all French and international subsidiaries, and an umbrella Fraud Prevention Committee, coordinated by the Group Compliance department, meets regularly, representing the other support functions concerned by fraud issues (IT, payments service, etc.) and the main Group entities.

Governance is a very active concern in the entities, with a high degree of management involvement and the creation, in many entities, of units specialising in handling fraud alerts (experts, specific tools). In each entity, a dedicated committee (Internal Control Committee or Fraud Prevention Coordination Committee) is set up to manage action plans appropriate to each entity.

IT tools have been deployed at Group level to detect cases of fraud in payment instruments and in fraudulent transfers, as well as in the area of loans and credit facilities. Work has also been carried out on optimising the detection of forged documents, and a partnership is currently being finalised with the services of the Ministry of the Interior (*Agence Nationale des Titres Sécurisés* – National Agency for Secure Documents).

Training and awareness-raising modules, aimed at Group employees and also customers, are available to the entities and are regularly updated according to changes in the threats and in the operating methods of the fraudsters.

Since 2020, the Covid-19 health crisis has represented an opportunity immediately seized upon by many fraudsters and by organised criminal groups, particularly online (phishing) and through social engineering scams (CEO frauds, breach of trust, fraudulent investments, etc.). The Crédit Agricole Group has taken measures on all fronts and across all sectors. Actions have been taken to raise employee and customer awareness and to strengthen the detection tools, and work is currently under way to provide improved support to business customers who are victims of cyber-attacks, with or without ransom demands.

Customer protection

Customer protection is a firm priority for the Crédit Agricole Group. It is completely central to the “Relationship excellence” and “Societal commitment” components of the 2022 Group Project. In 2021 the Crédit Agricole Group furthered its actions within a continuous improvement approach with regard to the transparency and loyalty of customer journeys. Thus, several systems were strengthened in relation to the duty of advice. In particular, the system for assisting financially vulnerable customers was significantly enhanced to provide our customers with increased protection, based on a three-step approach:

- prevention: further deployment of the Overdraft Alert service in the Regional Banks. This service allows any customer whose account becomes overdrawn, or whose agreed overdraft limit is exceeded, to be notified accordingly. If the account is topped up within one day, no fee will be charged;
- detection of and assistance with situations of demonstrated vulnerability: adoption of a per-customer approach with regard both to detection and the capping of certain fees for payment incidents and account irregularities;
- recovery: support for customers who have recovered a stable and healthy financial position.

Personal data protection

In 2021 the Group continued the consolidation of its programme related to the European General Data Protection Regulation (GDPR). The system deployed in 2018 was scaled up and adjusted appropriately, while Privacy by Design was incorporated as part of the Group's data and project governance. Particular attention was paid to the duty of information, with an enrichment of the Regional Banks' personal data protection policy, which is accessible to everyone. Among other things, 2022 will be devoted to updating the Group's system of rules to incorporate the most recent case law and to disseminating a new mandatory training course for the most exposed employees.

Sustainable finance

Sustainable Finance is a pillar of the Crédit Agricole 2022 Group Project, particularly in the context of the “Societal engagement” component. In this regard, the Compliance function has been contributing to the Group's Sustainable Finance transformation programme in close liaison with all the affected functions and business lines (Finance, Risk, Societal Project) since 2021. In particular, the Compliance department is responsible for the implementation of European regulations intended to ensure transparency and customer protection with regard to sustainability issues. It supports the business lines in the evolution of advisory procedures and the product range in order to provide a sustainable offer consistent with the expectations of customers and society. Beyond these regulatory issues, the Compliance department actively supports the Group's proactive employment-related commitments and contributes to the “Sustainable finance” acculturation of the business line teams.

Market integrity

Market transparency

Market transparency relies on investors having equal access to the same information on listed companies. In this regard, Crédit Agricole S.A. has a global system for centralising all Group entity holdings that allows any threshold breach by Group entities to be declared within the statutory time limits. Thus, 27 threshold breaches were made public in 2021 via the competent national supervisory authority.

In addition, following an audit by the US Federal Reserve (Fed) in 2019 concerning the statutory reporting in relation to the BHCA (Bank Holding Company Act), an action plan had been implemented with a view to intensifying the exchange of information between Group entities and Crédit Agricole S.A., which is responsible for carrying out this reporting. The action plan was completed in 2021, and the Fed noted its satisfactory outcome.

Market integrity

Through the systems implemented, the Group contributes to ensuring the fairness, efficiency and integrity of the financial markets by combating market abuses or attempted market abuses. The Group also ensures respect for the primacy of customers' interests through its system for the prevention, detection and management of conflicts of interest. These systems, made obligatory by the MAR, MIF and DDA regulations, are based on regularly updated policies, procedures, tools and training programmes.

Over the last financial year, the tools for detecting market abuse and potential conflicts of interest underwent major changes that considerably improved their efficiency. The procedures are regularly reviewed, and the last important project concerned a review of systems for the ongoing management of insider information, an essential tool in the fight against market abuse.

Fight against tax evasion

The fight against tax evasion involves a number of regulations, including FATCA (Foreign Account Tax Compliance Act), AEOE (Automatic Exchange of Information) and DAC6 (European Directive on the reporting of cross-border arrangements). The Crédit Agricole Group has implemented procedures to disseminate these regulations and the reporting obligations that arise from them.

In 2021, a simplification of the Group FATCA/AEOE rules was undertaken. The aim of this action was to make these regulations easier to understand for all Group entities by removing system rules that had become obsolete.

In addition, several actions were taken in 2021 to improve the information provided to customers about the FATCA/AEOE regulations. In this context, a FATCA/AEOE portal was created for the Regional Banks. Finally, actions aimed at collecting tax information (NIF (French tax ID number) – for FATCA and AEOE) were carried out in 2021.

Regulatory training

In 2021 the Group continued its work to update and enhance its offer of training on the management of non-compliance risks. The new features include the creation of training courses dedicated to the fight against market abuse and the fight against corruption, as well as the creation of a mandatory training course for obtaining a professional qualification in real estate business. Further enhancements in 2022 will include advanced training on personal data protection.

Innovation and technology

The Compliance department directly manages IT systems that make it possible to comply with current regulations. Since its inception, it has therefore had a project management, administration and operational production role for managing and pooling the IT-based compliance systems where necessary.

Thus, the central Compliance and Systems team is in charge of the following: management of the filtering of centralised payments on the two platforms in Paris and Lausanne (154 entities covered, 75 million payments filtered); filtering of trade finance transactions (70 entities covered); screening of third parties (around 100 entities covered, 70 million third parties); configuration and administration of the Anti-money Laundering tool in Retail Banking (47 entities covered); responsibility for the negative information sharing tool (192 entities covered); optimisation of the market abuse detection tool for Retail Banking in France (more than 40 entities covered); management of the tool for the reporting of indicators and controls carried out by the entities, the tool for monitoring compliance declarations and derogations, and the tool for mapping "International sanctions" risks (EWRA). Finally, the Group Compliance department includes a team of data scientists that has created several artificial intelligence (AI) models in the areas of payment filtering and anti-money laundering.

At the same time, work continued on reducing the number of non-relevant alerts while improving detection at a constant level of risk hedging (operational effectiveness). To this end, the use of traditional deterministic techniques, but also of AI-based constructions, was reinforced. The Compliance department continues to invest in AI innovation, with the signing of a sponsoring and joint work agreement with the Mines-Telecom Paris department specialising in this field (AI and Compliance).

Native Compliance and Compliance Valley

In 2021, the Native Compliance team continued to provide support for innovation in customer journeys and back/front office processes, for all customer segments, in order to make them more natively compliant. Fintech solutions were incorporated, such as identity checks via the video function of the person's mobile phone.

Compliance also relies on technological solutions to streamline, automate and simplify processes, such as the use of blockchain technology to track the sending of customer information documents, the provision of a dedicated compliance chatbot to answer questions on all aspects of compliance, or the use of data visualisation interfaces to facilitate the management of compliance indicators.

In the second half of the year, the "Compliance Valley" innovation lab launched the second edition of the Startup Compliance competition, which will lead to the implementation of innovations in 2022, such as an automatic customer address verification solution or an intelligent regulatory monitoring tool. Compliance Valley relies on a community of more than 100 employees, originating from all Group entities, driven by the desire to transform compliance through innovation. In 2021, among other things, these employees took part in advanced training courses on new technologies and new compliance areas such as digital identity and the *blockchain*.

3. PILLAR 3 DISCLOSURES

— Key phased-in metrics at Crédit Agricole Group level (EU KM1)

The key metrics table below provides information required by Articles 447 (a to g) and 438-(b) of CRR2. It presents an overview of the institution's various solvency, leverage and liquidity coverage regulatory prudential ratios as well as their related input components and minimum requirements.

Note that the amounts composing the solvency and leverage regulatory prudential ratios shown below take into account the transitional provisions related to the application of IFRS 9 and the transitional provisions concerning hybrid debt instruments. They also include retained earnings for the period. Lastly, the leverage ratio exposure and minimum leverage ratio requirement at 31 December 2021, 30 September 2021 and at 30 June 2021 take into account the effect of the temporary neutralisation of Central Bank exposures.

EU KM1 – Phased-in key metrics (in millions of euros)		31/12/2021	30/09/2021	30/06/2021
Available own funds (amounts)				
1	Common Equity Tier 1 (CET1) capital	102,693	101,586	100,422
2	Tier 1 capital	107,549	106,581	105,337
3	Total capital	125,340	123,556	122,464
Risk-weighted exposure amounts				
4	Total risk-weighted exposure amount	585,441	582,610	579,718
Capital ratios (as a percentage of risk-weighted exposure amount)				
5	Common Equity Tier 1 ratio (%)	17.54%	17.44%	17.32%
6	Tier 1 ratio (%)	18.37%	18.29%	18.17%
7	Total capital ratio (%)	21.41%	21.21%	21.12%
Additional own funds requirements to address risks other than the risk of excessive leverage (as a percentage of risk-weighted exposure amount)				
EU 7a	Additional own funds requirements to address risks other than the risk of excessive leverage (%)	1.50%	1.50%	1.50%
EU 7b	of which: to be made up to CET1 capital (percentage points)	0.84	0.84	0.84
EU 7c	of which: to be made up to Tier 1 capital (percentage points)	1.13	1.13	1.13
EU 7d	Total SREP own funds requirements (%)	9.50%	9.50%	9.50%
Combined buffer and overall capital requirement (as a percentage of risk-weighted exposure amount)				
8	Capital conservation buffer (%)	2.50%	2.50%	2.50%
EU 8a	Conservation buffer due to macro-prudential or systemic risk identified at the level of a Member State (%)	0.00%	0.00%	0.00%
9	Institution specific countercyclical capital buffer (%)	0.02%	0.03%	0.03%
EU 9a	Systemic risk buffer (%)	0.00%	0.00%	0.00%
10	Global Systemically Important Institution buffer (%)	1.00%	1.00%	1.00%
EU 10a	Other Systemically Important Institution buffer (%)			
11	Combined buffer requirement (%)	3.52%	3.53%	3.53%
EU 11a	Overall capital requirements (%)	13.02%	13.03%	13.03%
12	CET1 available after meeting the total SREP own funds requirements (%)	11.25%	11.17%	11.05%
Leverage ratio				
13	Total exposure measure	1,765,793	1,780,718	1,777,738
14	Leverage ratio (%)	6.09%	5.99%	5.93%
Additional own funds requirements to address the risk of excessive leverage (as a percentage of total exposure amount)				
EU 14a	Additional own funds requirements to address the risk of excessive leverage (%)	0.00%	0.00%	0.00%
EU 14b	of which: to be made up of CET1 capital (percentage points)	0.00%	0.00%	0.00%
EU 14c	Total SREP leverage ratio requirements (%)	3.11%	3.11%	3.11%
Leverage ratio buffer and overall leverage ratio requirement (as a percentage of total exposure measure)				
EU 14d	Leverage ratio buffer requirements (%)	0.00%	0.00%	0.00%
EU 14e	Overall leverage ratio requirements (%)	3.11%	3.11%	3.11%
Liquidity Coverage Ratio				
15	Total high-quality liquid assets (HQLA) (weighted value – average)	401,940	383,801	362,466
EU 16a	Cash outflows – Total weighted value	299,251	288,181	279,651
EU 16b	Cash inflows – Total weighted value	64,102	62,861	60,809
16	Total net cash outflows (adjusted value)	235,148	225,320	218,842
17	Liquidity coverage ratio (%)	170.93%	170.34%	165.63%
Net Stable Funding Ratio				
18	Total available stable funding	1,268,040	1,271,961	1,266,841
19	Total required stable funding	1,009,418	1,009,500	1,012,577
20	NSFR ratio (%)	125.62%	126.00%	125.11%

At 31 December 2021, the Crédit Agricole Group ratios were above the minimum requirements.

3.1 COMPOSITION AND MANAGEMENT OF CAPITAL

Within the framework of Basel 3 agreements, (EU) regulation No. 575/2013 of the European Parliament and of the Council of 26 June 2013 (the Capital Requirements Regulation, or “CRR”) modified by CRR No. 2019/876 (“CRR2”) requires relevant financial institutions (notably credit institutions and investment firms) to disclose quantitative and qualitative information on their risk management activities. The risk management system and exposure levels of the Crédit Agricole Group are presented in this section and in the section entitled “Risk management”.

The Basel 3 agreements are categorised into three pillars:

- **Pillar 1** sets the minimum capital adequacy requirements and level of ratios in accordance with the current regulatory framework;
- **Pillar 2** completes the regulatory approach with the quantification of a capital requirement covering the major risks to which the bank is exposed, on the basis of internal approaches (see section on “Economic Capital Adequacy”);
- **Pillar 3** introduces standards for financial disclosure to the market, with the requirement to give details of the regulatory capital components and risk assessments, both for the regulations applied and the business during the period.

The Crédit Agricole Group has chosen to disclose its Pillar 3 information in a separate section from its “Risk factors” and “Risk management” in order to isolate the items that meet the regulatory prudential publication requirements.

The main purpose of solvency management is to assess the Crédit Agricole Group’s own funds and to verify that they are sufficient to cover the risks to which the Group is or could be exposed, given its activities. The objective is to secure its customers’ deposits and allow the Group access to the financial markets under the desired conditions. To achieve this objective, the Group measures regulatory capital requirements (Pillar 1) and conducts regulatory capital management, by relying on both short- and medium-term prospective measures that are consistent with the budgetary projections, based on a central economic scenario.

Moreover, the Group relies on an internal process, named ICAAP (Internal Capital Adequacy and Assessment Process), which has been developed in accordance with the interpretation of the regulatory texts specified below. More specifically, the ICAAP includes:

- the governance of capital management, adapted to the specificities of the Group’s subsidiaries, which enables centralised and coordinated monitoring at Group level;
- a measurement of economic capital requirements based on the risk identification process and quantification of capital requirements using an internal approach (Pillar 2);
- conducting ICAAP stress test exercises that aim to simulate the destruction of capital after a three-year adverse economic scenario;
- the management of economic capital (see section on “Economic Capital Adequacy”);
- a qualitative ICAAP mechanism that formalises, amongst other items, the major areas for risk management improvement.

The ICAAP is highly integrated within the Group’s other strategic processes, such as the ILAAP (Internal Liquidity Adequacy and Assessment Process), the risk appetite framework, the budgetary process, the recovery plan and the risk identification process.

In addition to solvency, Crédit Agricole S.A. also manages resolution ratios (MREL & TLAC) on behalf of Crédit Agricole Group.

Lastly, the solvency and resolution ratios are an integral part of the risk appetite framework applied within Crédit Agricole Group (described in the chapter on “Risk Factors and Risk management”).

3.1.1 Applicable regulatory framework

Tightening up the regulatory framework, Basel 3 agreements enhanced the quality and level of regulatory capital required and added new risk categories to the regulatory framework.

In addition, a specific regulatory framework, allowing an alternative to bank default, has entered into force following the 2008 financial crisis.

The legislation concerning the regulatory prudential requirements applicable to credit institutions and investment firms was published in the Official Journal of the European Union on 26 June 2013. It includes directive 2013/36/EU (Capital Requirements Directive, known as “CRD 4”) and regulation 575/2013 (Capital Requirements Regulation, known as “CRR”) and entered into force on 1 January 2014, in accordance with the transitional provisions specified in the legislation.

Directive 2014/59/EU, the Bank Recovery and Resolution Directive (known as “BRRD”), was published in the Official Journal of the European Union on 12 June 2014 and has been in effect in France since 1 January 2016. The European Single Resolution Mechanism Regulation (known as “SRMR”, Regulation 806/2014) was published on 15 July 2014 and came into effect on 19 August 2016, in accordance with the transitional provisions specified in the legislation.

On 7 June 2019, four pieces of legislation constituting the banking package were published in the Official Journal of the European Union:

- **CRR2:** Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No. 575/2013;
- **SRMR2:** Regulation (EU) 2019/877 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No. 806/2014;
- **CRD 5:** Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019 amending Directive 2013/36/EU;
- **BRRD2:** Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 amending Directive 2014/59/EU.

Regulations SRMR2 and CRR2 came into force 20 days after their publication, i.e. on 27 June 2019 (although not all the provisions are immediately applicable). The CRD 5 and BRRD2 directives were both transposed into French law on 21 December 2020 by decrees 2020-1635 and 2020-1636 and came into force seven days after their publication, i.e., on 28 December 2020.

Regulation 2020/873, known as “Quick-Fix”, was published on 26 June 2020 and came into force on 27 June 2020, amending Regulations 575/2013 (“CRR”) and 2019/876 (“CRR2”).

Under the CRR2/CRD 5 regime, four levels of capital requirements are calculated:

- the Common Equity Tier 1 (CET1) ratio;
- the Tier 1 ratio;
- the total capital ratio;
- the leverage ratio, which has been a Pillar 1 regulatory requirement since 28 June 2021.

A phasing-in period of calculation for these ratios shall permit to take into account:

- the transition from Basel 2 calculation rules to Basel 3 rules (the transitional provisions applied to own funds until 1 January 2018 and apply to hybrid debt instruments until 1 January 2022);
- the eligibility criteria defined by CRR2 (until 28 June 2025 as capital instruments are concerned);
- the impacts related to the application of the IFRS 9 accounting standard.

In addition, two ratios are used to assess the adequacy of loss absorption and recapitalisation capacities in the context of bank resolution. These two requirements are applicable at Crédit Agricole Group level:

- the TLAC (Total Loss Absorbing Capacity) ratio, defined for Global Systemically Important Institutions (G-SII) and applicable in the European Union through its integration into the CRR2;
- the MREL (Minimum Requirement for Own Funds and Eligible Liabilities) ratio, applicable to all banking institutions in the European Union and defined in the BRRD.

3.1.2 Supervision and regulatory scope

Credit institutions and certain investment activities referred to in Annex 1 of Directive 2004/39/EC are subject to solvency ratios, resolution ratios and large exposure ratios on an individual, and where applicable, sub-consolidated basis.

The French Regulatory and Resolution Supervisory Authority (ACPR) has accepted that certain subsidiaries of the Group may benefit from individual exemption or, as necessary, on a sub-consolidated basis under the conditions specified by Article 7 of the CRR. Accordingly, Crédit Agricole S.A. has been exempted by the ACPR from application on an individual basis.

The transition to single supervision on 4 November 2014 by the European Central Bank did not call into question the individual exemptions previously granted by the ACPR.

The detailed list of entities concerned by a difference between the accounting and prudential scopes is detailed in the part on “Appendix to the regulatory capital”.

3.1.3 Capital policy

The Capital Management Committee meets quarterly, chaired by the Deputy General Manager, Chief Financial Officer; it includes in particular the Group Chief Risk Officer, the Head of Group Financial Management, the Director of Financial Communication and the Group Head of Treasury and Funding.

This Committee has the following main tasks:

- to review the short- and medium-term solvency, leverage ratio and resolution projections for Crédit Agricole Group and for Crédit Agricole S.A. as well as the ratios monitored by rating agencies;
- to approve the structuring assumptions with an effect on solvency in line with the Medium-Term Plan;
- to set the rules for capital management and distribution within the Group;
- to decide on liability management transactions (subordinated debt management);
- to keep up to date with the latest supervision and regulatory news;
- to examine the relevant problems relating to the subsidiaries and to the Regional Banks;
- to prepare the decisions to be submitted if necessary to the Asset-Liability Management Committee and the Board of Directors;
- to study any other subject affecting solvency and resolution ratios at Group level.

The management of regulatory capital is performed using a process called capital planning.

Capital planning is designed to provide projections for capital and rare resource consumption (risk-weighted assets and size of the balance sheet) over the current Medium-Term Plan, covering both scopes of consolidation (the listed entity Crédit Agricole S.A. and Crédit Agricole Group, a global systemically important institution), with a view to determining the trajectories for solvency ratios (CET1, Tier 1, total ratio and leverage ratio) and resolution ratios (MREL and TLAC, if applicable).

It covers the budgetary components of the financial trajectory, including organisational transaction projects, regulatory accounting and prudential changes, as well as model effects against risk bases. It also reflects the issuance policy (subordinated debts and eligible TLAC and MREL debts) and distribution with regard to the capital structure targets defined in line with the Group's strategy.

It determines the leeway available to the Group for development. It is also used to set various risk thresholds used for risk appetite. It thus ensures compliance with the various regulatory prudential requirements and is used to calculate the Maximum Distributable Amount (MDA), as defined by regulations.

Capital planning is submitted to various governance bodies and is communicated to the competent authorities, either in the context of regular discussions or for specific transactions (such as authorisation requests).

The subsidiaries subject to regulatory prudential requirement compliance and the Regional Banks also perform this forecast exercise at a sub-consolidated level.

At the Investors' Day on 6 June 2019, the Group unveiled its financial trajectory for the Group Project and the 2022 Medium-Term Plan and specified the targets in terms of resulting outcomes and scarce resources.

- Crédit Agricole Group aims to remain among the most capitalised global systemically important institutions (G-SII) in Europe by reaching and maintaining a CET1 ratio of more than 16% by 2022. This target will be achieved by retaining more than 80% of its results, bringing its Common Equity Tier 1 (CET1) capital to €100 billion by the end of 2022;
- Crédit Agricole Group aims to achieve a subordinated MREL ratio (excluding senior preferred debt) of 24% to 25% of risk-weighted assets by the end of 2022 and to maintain a subordinated MREL ratio (excluding senior preferred debt) of at least 8% of TLOF (Total Liabilities and Own Funds);
- Crédit Agricole S.A. has set itself the target of a CET1 ratio of 11% over the plan period. It is committed to a payout ratio of 50%. In an uncertain economic and regulatory context, this capital policy makes it possible to achieve a balance between an attractive distribution policy for the shareholder and an agile allocation of capital.

Through their financial structure, the Regional Banks have a strong ability to generate capital by retaining most of their earnings. Capital is also strengthened by the issuance of mutual shares by the Local Banks.

Subsidiaries under Crédit Agricole S.A.'s exclusive control and subject to compliance with capital requirements are capitalised at a consistent level, taking into account among other things the local regulatory requirements and the capital requirements necessary to finance their development.

3.1.4 Financial conglomerate

3.1.4.1 Overall system

The European Directive of 16 December 2002 imposes supplementary consolidated supervision on “financial conglomerates”, in particular for those carrying out both banking and insurance activities.

This Directive notably requires the financial conglomerates to have appropriate risk management procedures and internal control systems for overall risk monitoring.

The conglomerate approach is appropriate to Crédit Agricole Group and Crédit Agricole S.A., as it corresponds to the Group’s natural scope, which combines banking and insurance activities, as well as to its internal governance (reflected in particular through the Risk Appetite framework). The ICAAP approach of Crédit Agricole Group is also based on a conglomerate approach to define both the economic capital requirement and the internal capital available at Group level to cover this requirement (see section on “Economic capital adequacy”).

For the financial conglomerate supervision, Crédit Agricole Group thus relies on three regulatory scopes:

- the banking scope (Basel 3) – *banking ratios*;
- the insurance scope (Solvency 2⁽¹⁾) – *insurance solvency ratio*;
- the conglomerate scope – *financial conglomerate ratio*.

$$\text{Financial conglomerate ratio} = \frac{\text{Total Conglomerate Own Funds}}{\text{Banking requirements} + \text{Insurance requirements}} > 100\%$$

The conglomerate ratio is defined as the ratio of the phased-in total conglomerate own funds to the sum of banking and insurance capital requirements:

- a restatement is made in both the numerator and the denominator for the intragroups related to equity investments;
- the financial conglomerate’s own funds include the insurance subsidiary’s own funds raised outside of the consolidation scope;
- the denominator includes the banking and insurance activities according to their respective regulatory solvency requirements, thus taking into account the actual specific risks related to each of these two business sectors.

The conglomerate ratio must at all times be greater than 100%. The 100% threshold remains a binding requirement, the non-compliance with which would be detrimental: in the event of non-compliance or risk of non-compliance with the financial position of a conglomerate, the necessary measures must be taken to address the situation as soon as possible (as defined in the European FICOD Directive 2002/87).

— Financial conglomerates – information on own funds and the adequacy ratio of own funds (EU INS2)

The table below provides information required by Article 438-(g) of CRR2.

Financial conglomerates information on own funds and capital adequacy ratio (EU INS2)	31/12/2021
Supplementary own fund requirements of the financial conglomerate (amount)	63,300
CAPITAL ADEQUACY RATIO OF THE FINANCIAL CONGLOMERATE (%)	175%

At 31 December 2021, the phased-in financial conglomerate ratio of the Crédit Agricole Group, which includes the Solvency 2 requirement for the equity investment in Crédit Agricole Assurances, was 175%, far above the minimum regulatory requirement of 100%. The level of the Crédit Agricole Group’s phased-in financial conglomerate ratio as at 31 December 2021 corresponds to a €63.3 billion surplus of own funds of the Crédit Agricole Group financial conglomerate.

This situation follows logically from compliance with the solvency requirements of each of the two sectors, banking and insurance.

3.1.4.2 Regulatory prudential requirements with respect to insurance in banking ratios

Financial conglomerates may, with the authorisation of the competent authority, use the option not to deduct their equity holdings in insurance companies from their prudential own funds but to treat them as risk-weighted assets. This provision, known as the “Danish compromise” (or Article 49-(1) of the CRR) has not been amended by CRR2 (Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No. 575/2013).

On 18 October 2013, Crédit Agricole Group and Crédit Agricole S.A. received the authorisation from the ACPR to apply this treatment to Crédit Agricole Assurances Group entities.

Risk-weighted assets include the equity-accounted value of insurance investments for the validated conglomerate scope, pursuant to Article 49-(1) of the CRR. Due to the unlisted status of Crédit Agricole Assurances (CAA), the weighting given to this value is 370%.

The table below shows the amount of holdings covered under Article 49-(1) of the CRR.

— Insurance participations (EU INS1)

The table below provides information required by Article 438-(f) of CRR2.

Insurance participations (EU INS1) (in millions of euros)	Exposure value	Risk exposure amount
Own fund instruments held in insurance or re-insurance undertakings or insurance holding company not deducted from own funds	12,549	46,433

3.1.5 Regulatory capital

3.1.5.1 Regulatory capital

Basel 3 defines three levels of capital:

- Common Equity Tier 1 (CET1);
- Tier 1 capital, which consists of Common Equity Tier 1 and Additional Tier 1 (AT1) capital;
- total capital, consisting of Tier 1 capital and Tier 2 capital.

All the tables and remarks below include the retained earnings of the period.

(1) Solvency 2 is a European regulatory reform of the insurance industry.

3.1.5.1.1 Common Equity Tier 1 (CET1);

This includes:

- **share capital;**
- **reserves**, including share premiums, retained earnings, income net of tax after dividend payments as well as accumulated other comprehensive income, including unrealised capital gains and losses on financial assets held for collection and sale purposes and translation adjustments;
- **non-controlling interests**, which are partially derecognised, or even excluded, depending on whether or not the subsidiary is an eligible credit institution; this partial derecognition corresponds to the excess capital compared to the amount required to cover the subsidiary's capital requirements and applies to each tier of capital;
- **deductions**, which mainly include the following items:
 - CET1 instruments held under market-making agreements and share buyback programmes,
 - intangible assets, including start-up costs and goodwill,
 - prudent valuation, which consists of adjusting the amount of the institution's assets and liabilities if, in accounting terms, it does not reflect a valuation that is deemed to be prudent by the regulations (see details in the EU PV1 table in the next section),
 - deferred tax assets (DTA) that rely on future profitability arising from tax losses carryforwards,
 - expected losses shortfall in relation to the credit exposures monitored using the internal ratings-based (IRB) approach, as well as anticipated losses related to equity exposures,
 - capital instruments held in financial sector equity investments of less than or equal to 10% (non-significant investments), for the amount exceeding a ceiling of 10% of the CET1 capital of the subscribing institution, up to the proportion of CET1 instruments in the total capital instruments held; items not deducted are included in risk-weighted assets (variable weighting depending on the nature of instruments and the Basel methodology),
 - deferred tax assets (DTAs) that rely on future profitability arising from temporary differences for the amount exceeding an individual ceiling of 10% of the institution's CET1 capital; items not deducted are included in risk-weighted assets (weighting at 250%),
 - CET1 instruments held in financial sector equity investments of more than 10% (significant investments) for the amount exceeding an individual ceiling of 10% of the institution's CET1 capital; items not deducted are included in risk-weighted assets (weighting at 250%),
 - the total of deferred tax assets (DTAs) dependent on future profitability related to temporary differences and CET1 instruments held in financial sector equity investments greater than 10% ("significant investments") for the amount exceeding an individual ceiling of 17.65% of the institution's CET1 capital; components not deducted are included in risk-weighted assets (weighting at 250%).

3.1.5.1.2 Additional Tier 1 (AT1) capital

This includes:

- eligible AT1 capital, which consists of perpetual debt instruments without any requirements or incentives to redeem (in particular step-up clauses);
- direct deductions of AT1 instruments (including market making);
- deductions of capital instruments held in financial sector equity investments of less than or equal to 10% (non-significant investments), for the amount exceeding a ceiling of 10% of the CET1 capital of the subscribing institution, up to the proportion of AT1 instruments in the total capital instruments held; items not deducted are included in risk-weighted assets (variable weighting depending on the nature of instruments and the Basel methodology);
- deductions of AT1 instruments held in equity investments in the financial sector of more than 10% (significant investments);
- other AT1 capital components or other deductions (including AT1 eligible non-controlling interests).

AT1 instruments eligible under CRR No. 575/2013 as amended by CRR No. 2019/876 (CRR2) include a bail-in mechanism that is triggered when the CET1 ratio is below a threshold that must be set at no lower than 5.125% for Crédit Agricole S.A. and 7% for the CET1 ratio of the Crédit Agricole Group. Instruments may be converted into equity or suffer a reduction in their par value. Payments must be totally flexible: no automatic compensation mechanisms and/or suspension of coupon payments at the issuer's discretion are permitted.

The amount of AT1 instruments used in fully loaded ratios corresponds to AT1 capital instruments eligible under CRR No. 575/2013, as amended by CRR No. 2019/876 (CRR2).

The AT1 instruments issued by Crédit Agricole S.A. have two loss absorption mechanisms that are triggered when at least one of these two following conditions is met:

- Crédit Agricole S.A.'s CET1 ratio drops below 5.125%;
- Crédit Agricole Group's CET1 ratio drops below 7%.

At 31 December 2021, the phased-in CET1 ratios of Crédit Agricole S.A. and of Crédit Agricole Group were 11.9% and 17.5%, respectively. These ratios represent capital buffers of €25.5 billion for Crédit Agricole S.A. and €61.7 billion for the Crédit Agricole Group relative to the loss absorption thresholds of 5.125% and 7%, respectively.

At 31 December 2021, there were no applicable restrictions on the payment of coupons.

At the same date, the distributable items of Crédit Agricole S.A. totalled €41.6 billion, including €27.5 billion in distributable reserves and €14.1 billion in share premiums.

The CRR2 regulation adds eligibility criteria. For example, instruments issued by an institution established in the European Union that are subject to the law of a third country must include a bail-in clause in order to be eligible. These provisions apply to each category of AT1 and Tier 2 capital instruments.

These instruments are published at <https://www.credit-agricole.com/en/finance/finance/financial-publications> in the Appendix "Main features of regulatory own funds instruments and eligible liabilities instruments (EU CCA)" and correspond to deeply subordinated notes (TSS).

3.1.5.1.3 Tier 2 capital

This includes:

- subordinated debt instruments, which must have a minimum maturity of five years and for which:
 - early redemption incentives are prohibited,
 - a haircut applies during the five-year period prior to their maturity date;
- deductions of directly held Tier 2 instruments (including market making);
- the surplus provisions relative to expected eligible losses determined in accordance with the internal ratings-based (IRB) approach, limited to 0.6% of risk-weighted assets under IRB;
- deductions of capital instruments held in financial sector equity investments of less than or equal to 10% (non-significant investments), for the amount exceeding a ceiling of 10% of the CET1 capital of the subscribing institution, up to the proportion of Tier 2 instruments in the total capital instruments held; items not deducted are included in risk-weighted assets (variable weighting depending on the nature of instruments and the Basel methodology);
- deductions of Tier 2 instruments held in financial sector equity investments of more than 10% (significant investments), predominantly in the insurance sector;
- Tier 2 capital components or other deductions (including Tier 2 eligible non-controlling interests).

The amount of Tier 2 instruments used in fully loaded ratios corresponds to Tier 2 capital instruments eligible under CRR No. 575/2013, as amended by CRR No. 2019/876 (CRR2).

These instruments are published at <https://www.credit-agricole.com/en/finance/finance/financial-publications> in the Appendix “Main features of regulatory own funds instruments and eligible liabilities instruments (EU CCA)”. They correspond to undated subordinated notes (*titres subordonnés à durée indéterminée* – TSDI), equity investments (*titres participatifs* – TP) and dated subordinated notes (*titres subordonnés remboursables* – TSR).

3.1.5.1.4 Transitional implementation

To facilitate compliance by credit institutions with CRR2/CRD 5, less stringent transitional provisions have been provided for, notably with the gradual introduction of new prudential treatment of capital components.

All these transitional provisions ended on 1 January 2018, with the exception of those concerning hybrid debt instruments, which will end on 1 January 2022.

Hybrid debt instruments that were eligible as capital under CRD 3 and are no longer eligible as capital following the entry into force of CRD 4 may be eligible, in certain circumstances, under the grandfather clause:

- any instrument issued after 31 December 2011, which does not comply with the CRR regulation has been excluded since 1 January 2014;
- instruments issued prior to that date may, under certain conditions, be eligible for the grandfather clause and are then gradually excluded over an eight-year period, decreasing by 10% per annum. In 2014, 80% of the total stock declared on 31 December 2012 was recognised, then 70% in 2015, and so on;
- the unrecognised part can be included in the lower level capital components (from AT1 to Tier 2, for example) if it meets the corresponding criteria.

CRR2 complements these provisions by introducing a new grandfather clause: ineligible instruments issued before 27 June 2019 will remain eligible under transitional provisions until 28 June 2025.

During the transitional phase, the amount of Tier 1 included in the ratios corresponds to the sum of:

- additional Tier 1 capital eligible under CRR2 (AT1);
- additional Tier 1 capital instruments eligible for CRR issued before 27 June 2019;
- a fraction of the CRR ineligible Tier 1 issued before 1 January 2014, equal to the lower of:
 - the regulatory amount of ineligible Tier 1 instruments at the end of the reporting period (after amortisation, any calls, redemptions, etc.),
 - 10% (regulatory threshold for 2021) of the Tier 1 stock at 31 December 2012, which stood at €9,313 million, i.e. a maximum recognisable amount of €931 million,
 - the amount of Tier 1 capital exceeding this regulatory threshold is included in phased-in Tier 2, up to the regulatory threshold applicable to Tier 2.

During the transitional phase, the amount of Tier 2 included in the ratios corresponds to the sum of:

- CRR2 eligible Tier 2;
- CRR eligible Tier 2 capital instruments issued before 27 June 2019;
- a fraction of the CRR ineligible Tier 2 issued before 1 January 2014, equal to the lower of:
 - the regulatory amount of ineligible Tier 2 securities at the reporting period-end and, as applicable, the remainder of Tier 1 securities exceeding the 10% threshold (threshold for 2021) of ineligible Tier 1 securities,
 - 10% (threshold for 2021) of the CRR ineligible Tier 2 stock at 31 December 2012, which stood at €4,704 million, i.e. a maximum recognisable amount of €470 million.

Finally, the “Quick Fix” regulation of 26 June 2020 extended until 2024 the transitional provisions set out in the CRR, by allowing inclusion of the impacts associated with the application of the IFRS 9 accounting standard in the solvency ratios. Crédit Agricole S.A. and the Crédit Agricole Group had not opted for this provision when IFRS 9 was first applied in 2018. Following the publication of the “Quick Fix” regulation, it was decided to opt for this provision as from 30 June 2020.

During the transitional phase (until 2024), the impacts related to the application of the IFRS 9 accounting standard can be included in the CET1 equity, according to a calculation composed of several components:

- a static component making it possible to neutralise, in shareholders’ equity, part of the impact of the first-time application of IFRS 9. In 2021, neutralisation is achieved on the basis of a rate of 50%;
- a dynamic component, making it possible to neutralise part of the net increase in provisions recorded between 1 January 2018 and 1 January 2020 on performing outstandings (Stages 1 and 2 of IFRS 9). In 2021, neutralisation is achieved on the basis of a rate of 50%;
- a second dynamic component, making it possible to neutralise part of the net increase in provisions recorded between 1 January 2020 and the balance sheet date on performing loans (compartments 1 and 2 of IFRS 9). In 2021, neutralisation is achieved on the basis of a rate of 100%.

3.1.5.1.5 Position at 31 December 2021

— Simplified regulatory capital

Simplified regulatory capital (in millions of euros)	31/12/2021		31/12/2020	
	phased-in	fully-loaded	phased-in	fully-loaded
EQUITY – GROUP SHARE	126,498	126,498	119,565	119,565
(-) Expected dividend	(1,594)	(1,594)	(1,032)	(1,032)
(-) AT1 instruments accounted as equity	(4,888)	(4,888)	(5,888)	(5,888)
Eligible minority interests	3,557	3,557	3,148	3,148
(-) Prudential filters	(1,920)	(1,920)	(2,056)	(2,056)
o/w: Prudent valuation	(1,732)	(1,732)	(1,225)	(1,225)
(-) Deduction of goodwills and intangible assets	(19,014)	(19,014)	(18,098)	(18,098)
Deferred tax assets that rely on future profitability excluding those arising from temporary differences	(494)	(494)	(131)	(131)
Shortfall in adjustments for credit risk relative to expected losses under the Internal Ratings-Based approach	(462)	(462)	(440)	(440)
Amount exceeding thresholds	-	-	-	-
Insufficient coverage for non-performing exposures	(20)	(20)	-	-
Other CET1 components	1,029	(1,144)	1,875	56
COMMON EQUITY TIER 1 (CET1)	102,693	100,521	96,942	95,123
Additional Tier 1 (AT1) instruments	5,107	3,435	6,005	4,335
Other AT1 components	(251)	(251)	(225)	(225)
TOTAL TIER 1	107,549	103,704	102,722	99,234
Tier 2 instruments	18,098	15,719	17,073	17,008
Other Tier 2 components	(307)	(307)	(1,471)	(1,471)
TOTAL CAPITAL	125,340	119,116	118,325	114,771

For clarity, the full tables of the composition of capital (EU CC1 and EU CC2) are available directly at <https://www.credit-agricole.com/en/finance/finance/financial-publications>.

— Value adjustments for the purpose of prudent valuation, PVA (EU PV1)

The table below provides information required by Article 436-(e) of CRR2.

(in millions of euros)	Risk category					Valuation uncertainty				
	Equity	Interest Rates	Foreign exchange	Credit	Commodities	Unearned credit spreads	Investment and funding costs	Total post-diversification	Of which: trading book	Of which: banking book
Market price uncertainty	175	156	14	41	0	11	7	191	110	81
Close-out cost	74	274	58	30	0	16	4	119	114	5
Concentrated positions	21	26	0	24	-	-	-	72	42	29
Early termination	-	-	-	-	-	-	-	-	-	-
Model risk	80	363	15	-	0	179	52	225	225	-
Operational risk	2	0	-	0	-	-	-	2	0	2
Future administrative costs	-	39	-	-	-	-	-	39	39	-
TOTAL ADDITIONAL VALUATION ADJUSTMENTS (AVAS)								1,732	530	1,202

Changes during the period

Phased-in Common Equity Tier 1 (CET1) capital stood at €102.7 billion at 31 December 2021, showing an increase of €5.8 billion compared to year-end 2020.

This change was attributable to retained earnings of €7.5 billion over the year, partially offset by the share buybacks carried out over the period (-€1.1 billion) and an increase in the deductions for goodwill (-€1 billion), linked in particular to the consolidation of Lyxor and Olin. Phased-in Tier 1 capital was €107.5 billion, an increase of €4.8 billion compared with 31 December 2020, while additional Tier 1 capital decreased by €1 billion, mainly due to the redemption of an additional capital instrument in June 2021.

Phased-in Tier 2 capital was €17.8 billion, up €2.2 billion compared with 31 December 2020. This change was attributable to, among other things, issuances net of redemptions over the period (+€1 billion) and a smaller deduction related to the redemption of €1 billion in subordinated debt securities issued by Crédit Agricole Assurances and held by Crédit Agricole S.A.

In all, phased-in total capital stood at €125.3 billion, up €7 billion compared with 31 December 2020. This regulatory capital does not take into account the senior non-preferred debt issuances, which are discussed in the "Resolution ratios" section below.

3.1.6 Capital adequacy

The regulatory perspective of capital adequacy is ensured through the monitoring of solvency, leverage and resolution ratios. Each of these ratios reports the amount of regulatory capital and/or, when applicable, eligible instruments, to the risk, leverage or size of the balance sheet exposures. These exposures are defined and calculated in section "Composition of and changes in risk-weighted assets". The regulatory perspective is supplemented by the economic internal perspective of capital adequacy, which is ensured by the monitoring of the economic capital requirements' coverage ratio.

3.1.6.1 Solvency ratios

Solvency ratios are intended to check the adequacy of the various categories of capital (CET1, Tier 1 and total capital) to cover risk-weighted assets arising as a result of credit risk, market risk and operational risk. These risk-weighted assets are computed using either a Standardised Approach or an Internal Approach (see section "Composition of and changes in risk-weighted assets").

3.1.6.1.1 Regulatory prudential requirements

The CRR regulation governs the requirements with regard to Pillar 1. The supervisor also sets, on a discretionary basis, the minimum requirements within the framework of Pillar 2.

The overall capital requirement is as follows:

SREP own funds requirement	31/12/2021	31/12/2020
Pillar 1 minimum CET1 requirement	4.50%	4.50%
CET1 additional Pillar 2 requirement (P2R)	0.84%	0.84%
Combined buffer requirement	3.52%	3.51%
CET1 REQUIREMENT	8.87%	8.86%
Pillar 1 minimum AT1 requirement	1.50%	1.50%
AT1 component of P2R	0.28%	0.28%
Pillar 1 minimum Tier 2 requirement	2.00%	2.00%
Tier 2 component of P2R	0.38%	0.38%
OVERALL CAPITAL REQUIREMENT	13.02%	13.01%

Minimum requirements with regard to Pillar 1

The capital requirements established under Pillar 1 include a minimum CET1 capital ratio of 4.5%, a minimum Tier 1 capital ratio of 6% and a minimum total capital ratio of 8%.

Minimum requirements with regard to Pillar 2

The European Central Bank (ECB) annually notifies Crédit Agricole Group and Crédit Agricole S.A. of their minimum capital requirements following the results of the Supervisory Review and Evaluation Process (SREP):

- a Pillar 2 Requirement (P2R) of 1.5%, which applies to each level of capital; failure to comply with this requirement automatically results

in restrictions on distributions (additional Tier 1 capital instrument coupons, dividends, variable compensation). Accordingly, this requirement is public. The P2R can be met with 75% Tier 1 capital including as a minimum 75% CET1 capital;

- a Pillar 2 Guidance (P2G), which is not public and must be fully met with Common Equity Tier 1 (CET1) capital.

Combined capital buffer requirement and restriction on distributions threshold

Regulations provide for the establishment of capital buffers, fully covered with CET1 capital and for which the overall capital requirement works out as follows:

Combined buffer requirement	31/12/2021	31/12/2020
Phased-in capital conservation buffer	2.50%	2.50%
Phased-in systemic buffer	1.00%	1.00%
Countercyclical buffer	0.02%	0.01%
COMBINED BUFFER REQUIREMENT	3.52%	3.51%

More specifically:

- the capital conservation buffer (2.5% of risk-weighted assets since 1 January 2019) aims to absorb losses in a situation of intense economic stress;
- the countercyclical buffer (a rate set within a range of 0% to 2.5%) aims to prevent excessive credit growth. The rate is set by the competent authorities from each country (the Haut Conseil de Stabilité Financière or HCFS/High Council for Financial Stability in the case of France) and the buffer applying at the institution's level therefore results from the weighted average of the buffers defined for each country in which the institution operates applied to the relevant exposures at default (EAD); when the countercyclical buffer rate is calculated by one of the national authorities, the application date should be no later than 12 months from the publication date, except in exceptional circumstances;
- the systemic risk buffer (0% to 3% in general, up to 5% after agreement from the European Commission and more exceptionally above that figure) is designed to prevent or attenuate the non-cyclical risk dimension. It is set by the competent authorities from each country (the Haut Conseil de Stabilité Financière or HCFS/High Council for Financial Stability in the case of France) and depends on the structural characteristics of the banking industry, in particular its size, level of concentration and its share in financing the economy;

- the buffers for systemically important institutions (0% to 3% in general, up to 5% after agreement from the European Commission and more exceptionally above that figure); for global systemically important institutions (G-SII), between 0% and 3.5%, or for other systemically important institutions (O-SII), between 0% and 2%. These buffers are not cumulative, and in general, with some exceptions, the highest buffer rate applies. Only Crédit Agricole Group is a G-SII and has a buffer of 1% since 1 January 2019. Crédit Agricole S.A. is not subject to these requirements. When an institution is subject to a buffer for systemically important institutions (G-SII or O-SII) and a buffer for systemic risk, the two buffers are combined.

To date, countercyclical buffers have been activated in six countries by the relevant national authorities. In light of the Crédit Agricole Group's exposures in these countries, the Group's countercyclical buffer rate was 0.02% at 31 December 2021.

Moreover, the HCFS has since 2019 recognised the reciprocal application of the systemic risk buffer activated by the Estonian authorities and, since July 2021, the reciprocal application of the systemic risk buffer activated by the Norwegian authorities. In light of the methods for applying this buffer and the materiality of risk-weighted assets held by the Crédit Agricole Group in these countries, the systemic risk buffer rate was 0% at 31 December 2021.

The tables below provide information required by Article 440 (a and b) of CRR2.

— Geographical distribution of credit exposures relevant for the calculation of the countercyclical buffer (EU CCYB1)

31/12/2021 (in millions of euros)		General credit exposures		Relevant credit exposures – Market risk		Securitisation exposures	Total exposure value
Breakdown by country	Exposure value under the Standardised Approach	Exposure value under the IRB approach	Sum of long and short positions of trading book exposures for SA	Value of trading book exposures for internal models	Exposure value for non-trading book		
1 Belgium	4,646	3,732	-	-	-		8,377
2 Bulgaria	1	11	-	-	-		11
3 Czech Republic	31	89	-	-	-		121
4 Denmark	175	1,115	-	-	74		1,364
5 France	86,107	684,092	186	2,350	22,593		795,327
6 Germany	3,824	16,598	-	-	2,751		23,173
7 Hong Kong	72	5,801	-	-	-		5,873
8 Iceland	1	0	-	-	-		2
9 Ireland	78	3,725	-	-	65		3,869
10 Lithuania	24	2	-	-	-		26
11 Luxembourg	3,040	171,762	-	-	3,162		177,965
12 Norway	15	1,856	-	-	101		1,972
13 Slovakia	3	4	-	-	-		7
14 Sweden	88	1,777	-	-	32		1,896
15 United-kingdom	1,118	16,540	-	-	2,693		20,352
16 Other countries ⁽¹⁾	69,017	183,369	214	-	30,582		283,183
17 TOTAL	168,241	1,090,474	401	2,350	62,053		1,323,518

(1) For which no countercyclical buffer has been defined by the competent authority

— Institution-specific countercyclical buffer (EU CCYB2)

Amount of institution-specific countercyclical capital buffer (EU CCYB2)		31/12/2021	31/12/2020
1	Total risk exposure amount	585,441	562,059
2	Institution specific countercyclical capital buffer rate	0.023%	0.014%
3	INSTITUTION SPECIFIC COUNTERCYCLICAL CAPITAL BUFFER REQUIREMENT	137	81

The transposition of Basel regulations into European law (CRD) has established a distribution restriction mechanism applicable to dividends, AT1 instruments and variable compensation. The principle of the Maximum Distributable Amount (MDA), the maximum amount that a

bank can allocate to distributions, aims at restricting distributions where they would result in non-compliance with the combined capital buffer requirement.

The distance to the MDA trigger is the lowest of the respective distances to the SREP requirements in CET1 capital, Tier 1 capital and total capital.

	CET1 SREP requirement	Tier 1 SREP requirement	Overall capital SREP requirement
Pillar 1 minimum requirement	4.50%	6.00%	8.00%
Pillar 2 requirement (P2R)	0.84%	1.13%	1.50%
Conservation buffer	2.50%	2.50%	2.50%
Systemic risk buffer	1.00%	1.00%	1.00%
Countercyclical buffer	0.02%	0.02%	0.02%
SREP REQUIREMENT (A)	8.87%	10.65%	13.02%
31/12/2021 PHASED-IN SOLVENCY RATIOS (B)	17.5%	18.4%	21.4%
Distance to SREP requirement (b-a)	867 bp	772 bp	839 bp
DISTANCE TO MDA TRIGGER THRESHOLD	772 bp (€45bn)		

At 31 December 2021, the Crédit Agricole Group had a buffer of 772 basis points above the MDA trigger, i.e. approximately €45 billion in CET1 capital.

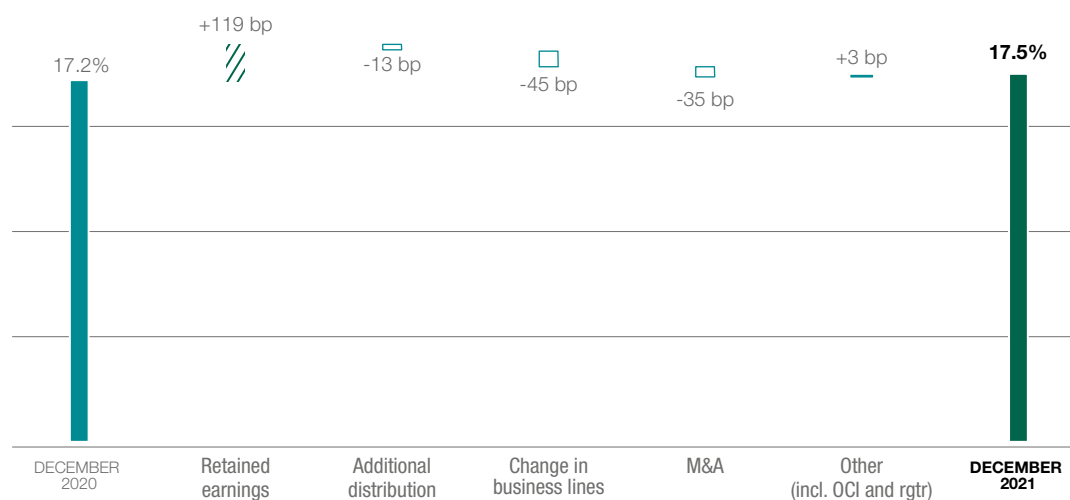
	Securitisation exposures Exposure value for non-trading book						
	Relevant credit risk exposures – Credit risk	Relevant credit exposures – Market risk	Relevant credit exposures – Securitisation positions in the non-trading book	Total	Risk-weighted exposure amounts	Own fund requirements weights (%)	Countercyclical buffer rate (%)
	175	-	-	175	2,182	0.45%	0.00%
	0	-	-	0	4	0.00%	0.50%
	5	-	-	5	59	0.01%	0.50%
	28	-	1	29	362	0.07%	0.00%
	24,175	203	1,214	25,592	319,894	65.91%	0.00%
	688	-	29	717	8,961	1.85%	0.00%
	103	-	-	103	1,288	0.27%	1.00%
	0	-	-	0	1	0.00%	0.00%
	105	-	1	106	1,322	0.27%	0.00%
	2	-	-	2	20	0.00%	0.00%
	1,503	-	0	1,504	18,795	3.87%	0.50%
	50	-	1	52	646	0.13%	1.00%
	0	-	-	0	4	0.00%	1.00%
	66	-	0	66	826	0.17%	0.00%
	522	-	45	568	7,097	1.46%	0.00%
	9,459	17	437	9,913	123,914	25.53%	0.00%
	36,881	220	1,729	38,830	485,375	100%	0.023%

3.1.6.1.2 Position at 31 December 2021

	31/12/2021		31/12/2020	
	Phased-in ratios	Requirements	Phased-in ratios	Requirements
CET1 RATIO	17.54%	8.87%	17.25%	8.86%
TIER 1 RATIO	18.37%	10.65%	18.28%	10.64%
TOTAL CAPITAL RATIO	21.41%	13.02%	21.05%	13.01%

The applicable minimum requirements have been fully met.

Changes in CET1 over 2021



The CET1 ratio was up by 0.3 percentage points over the year in 2021. The very positive impact of historical retained earnings on the ratio (+1.19 pp) was able to absorb the growth of the businesses (-0.45 pp), various acquisitions (-0.35 pp, including Creval by CA Italia (-0.25 pp), Lyxor by Amundi (-0.08 pp) and Olin by CAL&F (-0.04 pp)), as well as the additional dividend and Crédit Agricole S.A. share buybacks (-0.13 pp).

The item "Other" includes a capital increase reserved for employees (+0.04 pp) and new mutual shares issuances (+0.14 pp). These items were partly cancelled out by the overall negative impact of regulation on the CET1 ratio in 2021, which included implementing CRR2 and the entry into force of ECB requirements around coverage of non-performing exposures (NPEs).

— Solvency ratios of Regional Banks⁽¹⁾

The 2021 retained earnings are included in the regulatory capital as at 31 December 2021.

Regional Banks' capital ratios (in millions of euros)	31/12/2021	31/12/2020
Common Equity Tier 1 capital	65,886	61,490
Additional Tier 1	13	13
Tier 1	65,899	61,503
Tier 2	1,008	1,031
Total capital	66,907	62,534
Credit risk	233,268	245,318
Market risk	294	267
Operational risk	20,589	19,957
Risk weighted assets	254,150	265,542
CET1 RATIO	25.92%	23.16%
TIER 1 RATIO	25.93%	23.16%
TOTAL CAPITAL RATIO	26.33%	23.55%

The phased-in CET1 solvency ratio for all Regional Banks (excluding Corsica) rose by 2.8 percentage points to 25.9%, far above the minimum requirements (7% for the CET1 ratio and 10.5% for the total capital ratio). Common Equity Tier 1 (CET1) capital grew by €4.4 billion over the year, due mainly to retained earnings for the period (€3.8 billion) and the issuance of new mutual shares. Total phased-in capital grew by the same amount.

Risk-weighted assets decreased by €11.3 billion, mainly because of the various stages of unwinding the Switch guarantee (-€22 billion for 2021). These effects were partly offset by the dynamic recovery in business.

The Switch guarantee allowed the transfer of insurance risk from Crédit Agricole S.A. to the Regional Banks. The guaranteed amount initially totalled €9.2 billion, or €33.9 billion in risk-weighted assets. At 31 December 2020, 35% of the guarantee had been unwound. Crédit Agricole S.A. unwound an additional 15% of the guarantee on 1 March 2021, and then the unwinding was completed in full on 16 November 2021.

(1) Total of 38 Regional Banks (excluding Caisse régionale de Corse).

— Impact of the application of the IFRS 9 transitional provisions

IFRS 9 transitional provisions were applied for the first time from the Decree of 30 June 2020.

Comparison of institutions' own funds and capital and leverage ratios with and without the application of transitional arrangements for IFRS 9 or analogous ECLs

(in millions of euros)		31/12/2021	31/12/2020
Available capital (amounts)			
1	Common Equity Tier 1 (CET1) capital	102,693	96,942
2	Common Equity Tier 1 (CET1) capital as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	100,521	95,123
3	Tier 1 capital	107,549	102,722
4	Tier 1 capital as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	105,376	100,904
5	Total capital	125,340	118,325
6	Total capital as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	123,167	116,506
Risk-weighted assets (amounts)			
7	Total risk-weighted assets	585,441	562,059
8	Total risk-weighted assets as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	584,825	561,467
Capital ratios			
9	Common Equity Tier 1 (as a percentage of risk exposure amount)	17.54%	17.25%
10	Common Equity Tier 1 (as a percentage of risk exposure amount) as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	17.19%	16.94%
11	Tier 1 (as a percentage of risk exposure amount)	18.37%	18.28%
12	Tier 1 (as a percentage of risk exposure amount) as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	18.02%	17.97%
13	Total capital (as a percentage of risk exposure amount)	21.41%	21.05%
14	Total capital (as a percentage of risk exposure amount) as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	21.06%	20.75%
Leverage ratio			
15	Leverage ratio total exposure measure	1,765,793	1,684,937
16	Leverage ratio	6.09%	6.10%
17	Leverage ratio as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	5.97%	6.00%

The Crédit Agricole Group did not apply the temporary treatment described in Article 468 of Regulation (EU) 2019/876 (CRR2) and was not impacted by any change related to this provision during the period. The Crédit Agricole Group's capital and capital and leverage ratios already reflect the full impact of unrealised gains and losses measured at their fair value through other comprehensive income.

3.1.6.2 Leverage ratio

3.1.6.2.1 Regulatory framework

The objective of the leverage ratio is to help preserve financial stability by acting as a safety net to supplement risk-based capital requirements and by limiting the accumulation of excessive leverage in times of economic recovery. The Basel Committee, in the context of Basel 3 agreements, defined the leverage ratio rule, which was transposed into European law via Article 429 of the CRR, amended by Delegated Act 62/2015 of 10 October 2014 and published in the Official Journal of the European Union on 18 January 2015.

The leverage ratio is defined as the Tier 1 capital divided by the leverage exposure measure, i.e. balance sheet and off-balance-sheet assets after certain restatements of derivatives, transactions between Group affiliates, securities financing transactions, items deducted from the numerator, and off-balance-sheet items.

Since the publication of European Regulation CRR2 in the Official Journal of the European Union on 7 June 2019, the leverage ratio has been subject to a minimum Pillar 1 requirement applicable as from 28 June 2021:

- the minimum leverage ratio requirement is 3%;
- from 1 January 2023, a leverage ratio buffer, defined as half of the entity's systemic buffer, will be added to this level for global systemically important institutions (G-SII), i.e. for Crédit Agricole Group;
- lastly, failure to comply with the leverage ratio buffer requirement will result in a distribution restriction and the calculation of a maximum distributable amount (L-MDA).

Regulation CRR2 stipulates that certain Central Bank exposures may be excluded from the overall leverage ratio exposure if macroeconomic circumstances so justify. If this exemption is applied, the institutions must satisfy an adjusted leverage ratio requirement of over 3%. On 18 June 2021, the European Central Bank declared that credit institutions under its supervision could apply this exclusion in light of the exceptional circumstances existing since 31 December 2019; this measure is applicable until 31 March 2022 inclusive. The Crédit Agricole Group applies this provision and must, therefore, comply with a leverage ratio requirement of 3.11% during this period.

As of 1 January 2015 publication of the leverage ratio is mandatory at least once a year; institutions can choose to publish a fully loaded ratio or a phased-in ratio. If the institution decides to change its publication choice, at the time of first publication it must reconcile the data for

all of the ratios previously published with the data for the new ratios selected for publication.

The Crédit Agricole Group has opted to publish a phased-in leverage ratio.

3.1.6.2.2 Position at 31 December 2021

The items below provide information required by Article 451 of CRR2.

Publication of qualitative information on the leverage ratio (EU LRA)

The leverage ratio of the Crédit Agricole Group was 6.1% on a phased-in Tier 1 basis following neutralisation of Central Bank exposures. The application of this measure makes it possible to neutralise Central Bank exposures of €207.9 billion at 31 December 2021.

The leverage ratio was stable in 2021. The ratio remained at a high level, 3.0 percentage points above the requirement.

The leverage ratio is not sensitive to risk factors and, on this basis, is considered to be a measurement that supplements the solvency (solvency ratio/ resolution ratio) and liquidity risk management, which already limit the size of the balance sheet. Under the excessive leverage monitoring framework, the Group controls and sets limits on the size of the balance sheet for businesses with low consumption of risk-weighted assets

— LRCom: Leverage ratio – common disclosure (EU LR2)

(in millions of euros)		31/12/2021	30/06/2021
On-balance sheet exposures (excluding derivatives and SFTs)			
1	On-balance sheet items (excluding derivatives, SFTs, but including collateral)	1,667,657	1,637,257
2	Gross-up for derivatives collateral provided, where deducted from the balance sheet assets pursuant to the applicable accounting framework	5,397	8,550
3	(Deductions of receivables assets for cash variation margin provided in derivatives transactions)	(16,146)	(14,759)
4	(Adjustment for securities received under securities financing transactions that are recognised as an asset)	-	-
5	(General credit risk adjustments to on-balance sheet items)	-	-
6	(Asset amounts deducted in determining Tier 1 capital)	(22,166)	(19,834)
7	TOTAL ON-BALANCE SHEET EXPOSURES (EXCLUDING DERIVATIVES AND SFTS)	1,634,743	1,611,213
Derivative exposures			
8	Replacement cost associated with SA-CCR derivatives transactions (ie net of eligible cash variation margin)	24,720	24,030
EU-8a	Derogation for derivatives: replacement costs contribution under the Simplified Standardised Approach	1	0
9	Add-on amounts for potential future exposure associated with SA-CCR derivatives transactions	48,302	44,793
EU-9a	Derogation for derivatives: Potential future exposure contribution under the Simplified Standardised Approach	23	24
EU-9b	Exposure determined under Original Exposure Method	-	-
10	(Exempted CCP leg of client-cleared trade exposures) (SA-CCR)	(2,665)	(3,548)
EU-10a	(Exempted CCP leg of client-cleared trade exposures) (Simplified Standardised Approach)	-	-
EU-10b	(Exempted CCP leg of client-cleared trade exposures) (Original Exposure Method)	-	-
11	Adjusted effective notional amount of written credit derivatives	15,249	13,731
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	(4,711)	(3,933)
13	TOTAL DERIVATIVES EXPOSURES	80,919	75,097
Securities financing transaction (SFT) exposures			
14	Gross SFT assets (with no recognition of netting), after adjustment for sales accounting transactions	318,101	358,103
15	(Netted amounts of cash payables and cash receivables of gross SFT assets)	(176,652)	(198,581)
16	Counterparty credit risk exposure for SFT assets	6,188	8,213
EU-16a	Derogation for SFTs: Counterparty credit risk exposure in accordance with Articles 429e-(5) and 222 CRR	-	-
17	Agent transaction exposures	-	-
EU-17a	(Exempted CCP leg of client-cleared SFT exposure)	-	-
18	TOTAL SECURITIES FINANCING TRANSACTION EXPOSURES	147,637	167,735
Other off-balance sheet exposures			
19	Off-balance sheet exposures at gross notional amount	380,717	396,748
20	(Adjustments for conversion to credit equivalent amounts)	(185,906)	(193,466)
21	(General provisions deducted in determining Tier 1 capital and specific provisions associated with off-balance sheet exposures)	-	-
22	OFF-BALANCE SHEET EXPOSURES	194,810	203,282

(in millions of euros)		31/12/2021	30/06/2021
Excluded exposures			
EU-22a	(Exposures excluded from the total exposure measure in accordance with point (c) of Article 429a(1) CRR)	-	-
EU-22b	(Exposures exempted in accordance with point (j) of Article 429a(1) CRR (on and off balance sheet))	(71,056)	(69,995)
EU-22c	(Excluded exposures of public development banks (or units) - Public sector investments)	-	-
EU-22d	(Excluded exposures of public development banks (or units) - Promotional loans)	-	-
EU-22e	(Excluded passing-through promotional loan exposures by non-public development banks (or units))	-	-
EU-22f	(Excluded guaranteed parts of exposures arising from export credits)	(13,341)	(12,676)
EU-22g	(Excluded excess collateral deposited at triparty agents)	-	-
EU-22h	(Excluded CSD related services of CSD/institutions in accordance with point (o) of Article 429a(1) CRR)	-	-
EU-22i	(Excluded CSD related services of designated institutions in accordance with point (p) of Article 429a(1) CRR)	-	-
EU-22j	(Reduction of the exposure value of pre-financing or intermediate loans)	-	-
EU-22K	(TOTAL EXEMPTED EXPOSURES)	(84,397)	(82,671)
Capital and total exposure measure			
23	TIER 1 CAPITAL	107,549	105,337
24	TOTAL EXPOSURE MEASURE	1,765,793	1,777,738
Leverage ratio			
25	LEVERAGE RATIO (%)	6.09%	5.93%
EU-25	Leverage ratio (excluding the impact of the exemption of public sector investments and promotional loans) (%)	6.09%	5.93%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of Central Bank reserves) (%)	5.45%	5.34%
26	Regulatory minimum leverage ratio requirement (%)	3.11%	3.11%
EU-26a	Additional own funds requirements to address the risk of excessive leverage (%)	0.00%	0.00%
EU-26b	of which: to be made up of CET1 capital	0.00%	0.00%
27	Leverage ratio buffer requirement (%)	0.00%	0.00%
EU-27a	Overall leverage ratio requirement (%)	3.11%	3.11%
Choice on transitional arrangements and relevant exposures			
EU-27b	Choice on transitional arrangements for the definition of the capital measure	Transitory	Transitory
Disclosure of mean values			
28	Mean of daily values of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivable	162,877	N/A
29	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	141,449	N/A
30	Total exposure measure (including the impact of any applicable temporary exemption of Central Bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	1,787,221	N/A
30a	Total exposure measure (excluding the impact of any applicable temporary exemption of Central Bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	1,995,107	N/A
31	Leverage ratio (including the impact of any applicable temporary exemption of Central Bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	6.02%	N/A
31a	Leverage ratio (excluding the impact of any applicable temporary exemption of Central Bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	5.39%	N/A

— LRSum: Summary reconciliation of accounting assets and leverage ratio exposures (EU LR1)

Applicable Amount (in millions of euros)		31/12/2021
1	Total assets as per published financial statements	2,323,557
2	Adjustment for entities which are consolidated for accounting purposes but are outside the scope of prudential consolidation	(406,139)
3	(Adjustment for securitised exposures that meet the operational requirements for the recognition of risk transference)	(33)
4	(Adjustment for temporary exemption of exposures to Central Banks (if applicable))	(207,886)
5	(Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the total exposure measure in accordance with point (i) of Article 429a-(1) CRR)	-
6	Adjustment for regular-way purchases and sales of financial assets subject to trade date accounting	-
7	Adjustment for eligible cash pooling transactions	-
8	Adjustment for derivative financial instruments	(143,131)
9	Adjustment for securities financing transactions (SFTs)	(170,464)
10	Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet exposures)	195,012
11	(Adjustment for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital)	-
EU-11a	(Adjustment for exposures excluded from the total exposure measure in accordance with point (c) of Article 429a-(1) CRR)	-
EU-11b	(Adjustment for exposures excluded from the total exposure measure in accordance with point (j) of Article 429a-(1) CRR)	(71,056)
12	Other adjustments	245,933
13	TOTAL EXPOSURE MEASURE	1,765,793

— LRSpI: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures) (EU LR3)

CRR leverage ratio exposures (in millions of euros)		31/12/2021
EU-1	TOTAL ON-BALANCE SHEET EXPOSURES (EXCLUDING DERIVATIVES, SFTS, AND EXEMPTED EXPOSURES), OF WHICH:	1,380,442
EU-2	Trading book exposures	36,336
EU-3	Banking book exposures, of which:	1,344,106
EU-4	Covered bonds	5,655
EU-5	Exposures treated as sovereigns	143,451
EU-6	Exposures to regional governments, MDB, international organisations and PSE, not treated as sovereigns	46,135
EU-7	Institutions	33,067
EU-8	Secured by mortgages of immovable properties	457,182
EU-9	Retail exposures	248,395
EU-10	Corporates	305,916
EU-11	Exposures in default	19,745
EU-12	Other exposures (eg equity, securitisations, and other non-credit obligation assets)	84,561

3.1.6.3 Resolution ratios

The TLAC and MREL requirements described below are applicable at the level of the Crédit Agricole Group.

3.1.6.3.1 TLAC ratio

The Financial Stability Board (FSB) has defined the calculation of a ratio aimed at estimating the adequacy of the loss absorbing and recapitalisation capacity of Globally Systemically Important Banks (G-SIB). The Total Loss Absorbing Capacity (TLAC) ratio provides resolution authorities with the means to assess whether G-SIBs have sufficient loss absorption and recapitalisation capacity before and during resolution. This ratio applies to global systemically important financial institutions, and therefore to the Crédit Agricole Group.

The components that could absorb losses consist of equity, subordinated notes and debt to which the resolution authority can apply the bail-in.

The TLAC ratio requirement has been transposed into European Union law via CRR2 and has been applicable since 27 June 2019. As from that date, Crédit Agricole Group must comply with the following requirements at all times:

- a TLAC ratio above 16% of risk-weighted assets (RWA), plus – in accordance with CRD 5 – a combined capital buffer requirement (including, for the Crédit Agricole Group, a capital conservation buffer of 2.5%, a G-SIB buffer of 1% and a countercyclical buffer set at 0.02% for the CA Group at 31/12/21). Considering the combined capital buffer requirement, the Crédit Agricole Group must comply with a TLAC ratio of above 19.5%;
- a TLAC ratio of above 6% of the Leverage Ratio Exposure (LRE).

The minimum TLAC ratio requirements will increase as from 1 January 2022, to 18% of risk-weighted assets – plus the combined buffer requirement at that date – and 6.75% of the leverage ratio exposure.

At 31 December 2021, the Crédit Agricole Group TLAC ratio was 26.3% of RWA and 8.7% of leverage exposure, excluding eligible preferred senior debt, i.e. well above the requirements. The Group thus has a TLAC ratio excluding eligible preferred senior debt of 680 basis points, i.e. €40 billion, above the currently required 19.5% of RWA. Compared with the new requirements applicable from 1 January 2022, this same TLAC ratio is 480 basis points, i.e. €28 billion, higher than the TLAC requirement expressed in terms of RWA (i.e. at 21.5% RWA + countercyclical buffer at 31 December 2021). Without taking into account the neutralisation of Central Bank exposures, this same TLAC ratio expressed in terms of LRE would have stood at 7.8%.

Achieving the TLAC ratio is supported by an annual issuance programme on the market in 2021 of around €7 billion of TLAC debt. At 31 December 2021, €6.3 billion equivalent had been issued in the market (senior non-preferred and Tier 2 securities); the amount of the Crédit Agricole Group senior non-preferred debt taken into account in the computation of the TLAC ratio was €26.1 billion. Overall in 2021, the TLAC ratio increased by 90 basis points, also linked to the increase in CET1 (sharp increase in retained earnings) despite the increase in risk weighted assets over the period.

Key metrics – Capital requirement and eligible liabilities requirement applicable to G-SIIs (EU KM2)

The table below provides information required by Article 447-(h) of CRR2 and Article 45i-3 (a and c) of BRRD2. It presents an overview of the ratios and components of the TLAC requirement applicable to global systemically important institutions, and therefore to the Crédit Agricole Group.

— EU KM2: Own funds and eligible liabilities, ratios and components

(in millions of euros)		31/12/2021	30/09/2021	30/06/2021	31/03/2021	31/12/2020
1	Own funds and eligible liabilities ⁽¹⁾	154,060	151,419	148,640	146,240	143,073
2	Total risk exposure amount of the resolution group (TREA) ⁽²⁾	585,441	582,610	579,718	568,097	562,059
3	OWN FUNDS AND ELIGIBLE LIABILITIES AS A PERCENTAGE OF TREA	26.32%	25.99%	25.64%	25.74%	25.46%
4	Total exposure measure of the resolution group ⁽²⁾	1,765,793	1,780,718	1,777,738	1,754,094	1,684,937
5	OWN FUNDS AND ELIGIBLE LIABILITIES AS PERCENTAGE OF THE TOTAL EXPOSURE MEASURE	8.72%	8.50%	8.36%	8.34%	8.49%
6a	Does the subordination exemption in Article 72b-(4) of the CRR apply? (5% exemption)	No	No	No	No	No
6b	Pro-memo item – Aggregate amount of permitted non-subordinated eligible liabilities instruments if the subordination discretion as per Article 72b-(3) CRR is applied (max 3.5% exemption) ⁽³⁾	0	0	0	0	0
6c	Pro-memo item: If a capped subordination exemption applies under Article 72b-(3) CRR, the amount of funding issued that ranks <i>pari passu</i> with excluded liabilities and that is recognised under row 1, divided by funding issued that ranks <i>pari passu</i> with excluded Liabilities and that would be recognised under row 1 if no cap was applied (%)	N/A	N/A	N/A	N/A	N/A

(1) Total loss absorbing capacity.

(2) For the purpose of computing resolution ratios, the Total Exposure Risk Amount (TREA) of the resolution group is equivalent to the Risk Weighted Assets (RWA) at Crédit Agricole Group level; the Total Exposure Measure (TEM) of the resolution group is equivalent to the Leverage Ratio Exposure (LRE) at Crédit Agricole Group level.

(3) As part of its annual resolvability assessment, Crédit Agricole Group has chosen to waive the possibility offered by Article 72b-(3) of the Capital Requirements Regulation to use senior preferred debt for compliance with its TLAC requirements in 2021 and in 2022.

— Composition of the TLAC at the level of the resolution group (EU-TLAC1)

The table below provides information required by Article 437a (a, c and d) of CRR2 and Article 45i-3-(b) of BRRD2. It presents the composition of own funds and liabilities eligible for the TLAC requirement applicable to global systemically important institutions, and therefore to the Crédit Agricole Group.

EU TLAC1 – Composition – G-SII Requirement for own funds and eligible liabilities <i>(in millions of euros)</i>		31/12/2021
Own funds and eligible liabilities and adjustments		
1	Common Equity Tier capital (CET1)	102,693
2	Additional Tier capital (AT1)	4,856
6	Tier 2 capital (T2)	17,791
11	OWN FUNDS FOR THE PURPOSE OF ARTICLES 92A CRR	125,340
Own funds and eligible liabilities: Non-regulatory capital elements		
12	Eligible liabilities instruments issued directly by the resolution entity that are subordinated to excluded liabilities (not grandfathered) ⁽¹⁾	26,085
EU-12a	Eligible liabilities instruments issued by other entities within the resolution group that are subordinated to excluded liabilities (not grandfathered)	0
EU-12b	Eligible liabilities instruments that are subordinated to excluded liabilities, issued prior to 27 June 2019 (subordinated grandfathered)	0
EU-12c	Tier 2 instruments with a residual maturity of at least one year to the extent they do not qualify as Tier 2 items	2,635
13	Eligible liabilities that are not subordinated to excluded liabilities (not grandfathered pre cap) ⁽²⁾	N/A
EU-13a	Eligible liabilities that are not subordinated to excluded liabilities issued prior to 27 June 2019 (pre-cap) ⁽²⁾	N/A
14	Amount of non subordinated instruments eligible, where applicable after application of Article 72b-(3) CRR ⁽²⁾	0
17	ELIGIBLE LIABILITIES ITEMS BEFORE ADJUSTMENTS	28,720
EU-17a	Of which subordinated	28,720
Own funds and eligible liabilities: Adjustments to non-regulatory capital elements		
18	Own funds and eligible liabilities items before adjustments	154,060
19	(Deduction of exposures between MPE resolution groups)	N/A
20	(Deduction of investments in other eligible liabilities instruments)	0
22	OWN FUNDS AND ELIGIBLE LIABILITIES AFTER ADJUSTMENTS	154,060
EU-22a	Of which own funds and subordinated	154,060
Risk-weighted exposure amount and leverage exposure measure of the resolution group		
22	TOTAL RISK EXPOSURE AMOUNT (TREA)⁽³⁾	585,441
23	TOTAL EXPOSURE MEASURE (TEM)⁽³⁾	1,765,793
Ratio of own funds and eligible liabilities		
25	OWN FUNDS AND ELIGIBLE LIABILITIES (AS A PERCENTAGE OF TREA)	26.32%
EU-25a	Of which own funds and subordinated	26.32%
26	OWN FUNDS AND ELIGIBLE LIABILITIES (AS A PERCENTAGE OF TEM)	8.72%
EU-26a	Of which own funds and subordinated	8.72%
27	CET1 <i>(as a percentage of TREA)</i> available after meeting the resolution group's requirements ⁽⁴⁾	9.42%
28	Institution-specific combined buffer requirement	3.52%
29	of which: capital conservation buffer requirement	2.50%
30	of which: countercyclical buffer requirement	0.02%
31	of which: systemic risk buffer requirement	0.00%
EU-31a	of which: Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer	1.00%
Memorandum items		
EU-32	Total amount of excluded liabilities referred to in Article 72a-(2) CRR	811,589

(1) Senior non preferred debt instruments.

(2) As part of its annual resolvability assessment, Crédit Agricole Group has chosen to waive the possibility offered by Article 72b-(3) of the Capital Requirements Regulation to use senior preferred debt for compliance with its TLAC requirements in 2021 and in 2022.

(3) For the purpose of computing resolution ratios, the Total Exposure Risk Amount (TREA) of the resolution group is equivalent to the Risk Weighted Assets (RWA) at Crédit Agricole Group level; the Total Exposure Measure (TEM) of the resolution group is equivalent to the Leverage Ratio Exposure (LRE) at Crédit Agricole Group level.

(4) CET1 available after meeting Pillar 1, Pillar 2 requirement and resolution requirements as of 31 December 2021.

Crédit Agricole Group's TLAC items, which rank from the most senior to the most junior, include senior non-preferred debt securities, subordinated securities not recognised as prudential capital (prudentially amortised portion), Tier 2 instruments, additional Tier 1 items and common equity Tier 1 capital items.

All these eligible liability items and their features can be consulted in Appendix II, "Main features of regulatory own funds instruments and eligible liabilities instruments (EU CCA)", available at <https://www.credit-agricole.com/en/finance/finance/financial-information>.

Ranking in the creditor hierarchy at the level of the resolution entity Crédit Agricole S.A. (EU-TLAC3)

The table below provides information required by Article 437a (a and b) of CRR2 and Article 45i-3-(b) of BRRD2. It presents, at the level of the resolution entity Crédit Agricole S.A., the breakdown of own funds and liabilities based on their maturities and TLAC-eligibility, as well as their ranking in the creditor hierarchy in normal insolvency proceedings.

EU TLAC3: creditor ranking at the level of the resolution entity Crédit Agricole S.A.

31/12/2021 (in millions of euros)		Insolvency ranking				
		1 (most junior)	2	3	4 (most senior)	
1	Description of insolvency rank	Equity ⁽¹⁾	Deeply subordinated and subordinated notes ⁽²⁾	Subordinated claims of higher rank ⁽³⁾	Senior non-preferred unsecured claims ⁽⁴⁾	Sum of 1 to 4
2	LIABILITIES AND OWN FUNDS	55,073	26,109	0	28,971	110,153
3	of which excluded liabilities	0	0	0	0	0
4	Liabilities and own funds less excluded liabilities	55,073	26,109	0	28,971	110,153
5	SUBSET OF ROW 4 THAT ARE OWN FUNDS AND LIABILITIES POTENTIALLY ELIGIBLE FOR MEETING TLAC ⁽⁵⁾	55,073	25,702	0	26,085	106,860
6	of which residual maturity ≥ 1 year <2 years	0	452	0	3,859	4,311
7	of which residual maturity ≥ 2 year <5 years	0	9,371	0	10,543	19,914
8	of which residual maturity ≥ 5 years <10 years	0	7,306	0	10,138	17,444
9	of which residual maturity ≥ 10 years, but excluding perpetual securities	0	3,464	0	1,545	5,009
10	of which perpetual securities	55,073	5,109	0	0	60,182

(1) Equity excluding Fund for General Banking Risk.

(2) Subordinated claims issued before 28 December 2020 which are or have been recognized as Additional Tier 1 and Tier 2 instruments, as well as subordinated claims issued since 28 December 2020 which are fully or partially recognized as Additional Tier 1 and Tier 2.

(3) Subordinated claims ranking above rank 2 as referred to in Article L. 613-30-3-I-5° of the Monetary and Financial Code, issued since 28 December 2020 and fully excluded from own funds. This rank was introduced following the transposition into French law of Article 48-(7) BRRD2 by way of Ordinance No. 2020-1636 of 21 December 2020.

(4) Senior non preferred claims in accordance with Article L. 613-30-3-I-4° of the Monetary and Financial Code.

(5) Instruments with a residual maturity below one year, as well as instruments issued towards entities within the resolution group are not included in eligible liabilities for meeting TLAC.

3.1.6.3.2 MREL ratio

The MREL (Minimum Requirement for Own Funds and Eligible Liabilities) ratio is defined in the European "Bank Recovery and Resolution Directive" (BRRD). This Directive establishes a framework for the resolution of banks throughout the European Union, with the aim to provide resolution authorities with instruments and common powers to prevent the occurrence of banking crises, preserve financial stability and reduce taxpayers' exposure to losses. Directive (EU) 2019/879 of 20 May 2019, known as "BRRD2", amended the BRRD and was transposed into French law by Decree 2020-1636 of 21 December 2020.

The MREL ratio corresponds to an own funds and eligible liabilities buffer required to absorb losses in the event of resolution. Under BRRD2, the MREL ratio is calculated as the amount of own funds and eligible liabilities expressed as a percentage of risk-weighted assets (RWA) and as a percentage of leverage exposure (LRE). The total regulatory capital of the Group, in addition to the eligible liabilities issued by the central body and its affiliated entities, i.e. the subordinated notes, senior non-preferred debt and some senior preferred debt with a residual maturity of more than one year, qualify for inclusion in the MREL ratio numerator.

The required minimum levels are determined in the decisions taken by the resolution authorities and communicated to each institution, then revised periodically. As from 1 January 2022, the Crédit Agricole Group must comply with a total minimum MREL requirement of:

- 21.04% of RWA, plus – in accordance with CRD 5 – a combined capital buffer requirement (including, for the Crédit Agricole Group, a capital conservation buffer of 2.5%, a G-SIB buffer of 1% and a countercyclical buffer set at 0.02% for the CA Group at 31 December 2021). Considering the combined capital buffer requirement, the Crédit Agricole Group must comply with a MREL ratio of above 24.6%;
- 6.02% of LRE.

At 31 December 2021, the Crédit Agricole Group had an estimated MREL ratio of 30.5% of RWA and 10.1% leverage exposure, well above the total MREL requirement.

An additional subordination requirement to TLAC ("subordinated MREL") is also defined by the resolution authorities and expressed as a percentage of RWA and of LRE, from which the senior debt instruments are excluded, similarly to the TLAC, whose ratio is equivalent to that of the subordinated MREL for the Crédit Agricole Group. At 1 January 2022, the subordinated MREL requirement did not exceed the TLAC requirement for the Crédit Agricole Group.

The distance to the maximum distributable amount trigger related to the MREL requirements (M-MDA) is, for the G-SIBs, the lower of the respective distances to the MREL, subordinated MREL and TLAC requirements expressed in terms of RWA.

At 31 December 2021, the Crédit Agricole Group thus had a buffer of 480 basis points above the M-MDA trigger, considering the TLAC requirement applicable as of 1 January 2022, i.e. €28 billion in CET1 capital.

The Crédit Agricole Group aims to reach a subordinated MREL ratio (excluding eligible senior preferred debt) of 24%-25% of RWA by the end of 2022 – a target that has been reached since September 2020 – and to maintain the subordinated MREL ratio above 8% of TLOF. This level would enable recourse to the Single Resolution Fund (subject to the decision of the resolution authority) before applying the bail-in to senior preferred debt, creating an additional layer of protection for investors in senior preferred debt. At 31 December 2021, the subordinated MREL ratio was at 8.6% of TLOF.

3.1.6.4 Economic Capital Adequacy

In order to assess and permanently maintain the adequate capital level to cover the risks to which it is (or may be) exposed, the Group supplements its framework for the regulatory perspective of capital adequacy with an economic internal perspective. Economic capital requirement (Pillar 2) therefore supplements regulatory capital requirement (Pillar 1). Economic capital requirement is based on the risks identification process and on an evaluation using internal approaches. The economic capital requirement must be covered by internal capital which is the Group's internal view of its available own funds.

The assessment of the economic capital requirement is one of the ICAAP components, which also covers the stress test programme – with the objective to introduce a forward-looking view of the impact of more unfavourable scenarios on the Group's risk level and solvency.

The monitoring and management of the economic perspective of capital adequacy has been developed in accordance with the interpretation of the main regulatory texts:

- Basel agreements;
- CRD 5 through its transposition into French regulations by the Decree of 21 December 2020;
- the guidelines of the European Banking Authority;
- the guide to the ICAAP and ILAAP and the harmonised collection of information on the subject.

ICAAP is first and foremost an internal process, and it is up to each institution to implement it in a proportionate way. The implementation as well as the update of ICAAP process are the responsibility of each subsidiary.

ICAAP information (EU OVC)

The items below provide information required by Article 438 (a and c) of CRR2.

The Group's approach for measuring economic capital requirement has been implemented at Crédit Agricole Group, Crédit Agricole S.A., and within the Group's main French and foreign entities.

The primary aim of the risk identification process is to accurately identify all major risks that are likely to impact the Group's balance sheet, income statement, regulatory prudential ratios, or the reputation of an entity or the Group and to apply a Group-wide, standard approach to placing them in categories and sub-categories. As a second stage, the risk identification aims to assess the importance of these risks in

a systematic and exhaustive manner in order to establish the final list of major risks.

The risk identification process brings together several sources: an internal analysis based on the information gathered from the Risk department and other control functions, and an additional analysis based on information obtained from external sources. The process is formalised by each entity; for the Group it is coordinated by the Risk department and approved by the Board of Directors.

For each of the major risks, the economic capital requirement is quantified as follows:

- the risk measurements already covered by Pillar 1 are reviewed and, where necessary, completed by economic capital adjustments;
- the risks absent from Pillar 1 are subject to a specific calculation of economic capital needs, based on internal approaches;
- generally, the measures for economic capital needs are carried out with a calculation horizon of one year, and with a quantile (probability of default occurrence) for which the level is set on the basis of the Group's appetite in terms of external rating;
- lastly, the economic capital needs measurement takes into account, with caution, the impacts of diversification resulting from the broad spread of business activities within the same Group, including between banking and insurance.

A specific governance within the Group ensures the coherence of all risk quantification methodologies for the economic capital requirement.

The measurement of the economic capital requirement is supplemented by a projection over the current year, consistent with capital planning forecasts at that date, in order to integrate the impact of changes in activity on the risk profile.

At 31 December 2021, all the major risks identified during the risk identification process were taken into account for assessing economic capital requirement. The Group notably measures: interest rate risk on the banking portfolio, issuer risk, business and strategic risk, credit risk, and liquidity price risk.

The Group ensures that its internal capital covers the economic capital requirements (an internal view of own funds) defined in a conglomerate approach given the importance of the Group's insurance businesses and considering the going concern principle. At the Crédit Agricole Group level, internal capital covered approximately 180% of the economic capital requirement at 31 December 2021.

Crédit Agricole S.A. entities subject to the requirement to measure their economic capital requirement are responsible for doing so in accordance with standards and methodologies defined by the Group. In particular, they must ensure that their ICAAP approach is appropriately organised and governed. The economic capital requirement computed by the entities is reported in detail to Crédit Agricole S.A.

In addition to the quantitative aspect, the Group's approach relies on a qualitative component that supplements the calculation of the economic capital requirement with indicators of the business lines' exposure to risk and their permanent controls. The qualitative component meets three targets:

- evaluation of the risk management system and the control of entities within the scope of deployment along different axes, this assessment is a component of the risk identification system;
- if required, identification and formalising of points for improvement of the risk management and permanent control system, in the form of an action plan formalised by the entity;
- identification of any elements that are not adequately captured in quantitative ICAAP measures.

3.1.7 Appendix regarding regulatory capital

3.1.7.1 Differences in the treatment of equity exposures between the accounting and regulatory scopes

Exposure type	Accounting treatment	Fully loaded Basel 3 regulatory treatment
Subsidiaries with financial operations	Fully consolidated	Full consolidation generating capital requirements for the subsidiary's operations.
Jointly held subsidiaries with financial operations	Equity method	Proportional consolidation.
Subsidiaries with insurance operations	Fully consolidated	Regulatory treatment of these equity investments using equity accounting method, since the Group is identified as being a "financial conglomerate": • CET1 instruments weighted at 370% (for non-listed entities), with expected loss calculation at 2.4%, subject to approval by the banking supervisor; otherwise, deduction of the subsidiary's CET1 financial instruments from the Group's total CET1 instruments; • AT1 and Tier 2 instruments deducted from the total of corresponding financial instruments of the Group. In turn, as in previous years, Crédit Agricole S.A. and Crédit Agricole Group are subject to additional capital requirements and capital adequacy ratios applying to financial conglomerates.
Equity investments of >10% with operations that are financial in nature	• Equity method • Equity investments in credit institutions	• Deduction of CET1 instruments from CET1, beyond an exemption threshold of 17.65% of CET1. This exemption threshold, applied after calculation of a 10% threshold of CET1, is common to the non-deducted portion of deferred tax assets that rely on future profitability arising from temporary differences. • AT1 and Tier 2 instruments deducted from the corresponding class of instruments of the Group.
Equity investments of ≤ 10% with financial or insurance operations	Equity investments and securities held for collection and sale	Deduction of CET1, AT1 and Tier 2 instruments, beyond an exemption threshold of 10% of CET1.
Investments ≤ 10% in a global systemically important institution (G-SII)	Financial assets	Deduction of eligible elements, or where not available in a sufficient quantity, deduction of Tier 2 instruments, beyond an exemption threshold of 10% of CET1 (for global systemically important institutions).
ABCP (Asset-backed commercial paper) business securitisation vehicles	Fully consolidated	Risk weighting of the equity-accounted value and commitments on these structures (liquidity facilities and letters of credit).

3.1.7.2 Difference between the accounting and regulatory scopes of consolidation

Entities consolidated for accounting purposes, but excluded from the regulatory scope of consolidation of credit institutions on a consolidated basis predominantly comprise insurance companies and several ad hoc entities that are equity-accounted for regulatory

purposes. In addition, entities consolidated on an accounting basis using proportional consolidation at 31 December 2013 and now equity-accounted in accordance with IFRS 11, are still consolidated proportionally for regulatory purposes. Information on these entities and their consolidation method for accounting purposes is provided in the notes to the consolidated financial statements, "Scope of consolidation at 31 December 2021".

— Differences between accounting and regulatory scopes of consolidation and correspondence between financial statements and regulatory risk categories (L1)

	a	b	c	d	e	f	g
	Carrying values of items						
	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitisation framework	Subject to the market risk framework	Not subject to capital requirements or subject to deduction from capital
31/12/2021 <i>(in millions of euros)</i>							
ASSETS							
Cash, Central Banks	241,191	241,713	241,713	-	-	-	-
Available-for-sale financial assets	233,031	232,493	-	201,812	-	121,156	-
Other financial assets at fair value through profit or loss	200,103	14,336	14,335	-	-	-	1
Hedging derivative instruments	16,023	15,792	-	15,792	-	-	-
Accounted debt's instruments at fair value through recyclable own funds	264,572	48,411	41,492	4,719	2,199	-	1
Accounted own funds' instruments at fair value through non recyclable own funds	4,128	4,027	4,026	-	-	-	0
Loans and receivables due from credit institutions	96,703	96,200	90,469	5,731	-	-	(0)
Loans and receivables due from customers	1,051,592	1,062,795	1,058,640	4,155	-	-	(0)
Held-to-maturity financial assets	109,988	100,258	84,756	15,502	-	-	0
Revaluation adjustment on interest rate hedged portfolios	5,231	5,224	-	-	-	-	5,224
Deferred tax assets	8,113	8,086	8,086	-	-	-	-
Accruals, prepayments and sundry assets	43,081	41,467	39,059	2,226	-	501	182
Non-current assets held for sale	2,965	(0)	(0)	-	-	-	-
Investments in equity-accounted entities	8,046	16,179	14,672	-	-	-	1,507
Investment property	8,292	1,146	1,146	-	-	-	-
Property, plant and equipment	10,909	10,727	10,727	-	-	-	-
Intangible assets	3,483	3,256	-	-	-	-	3,256
Goodwill	16,109	15,308	-	-	-	-	15,308
TOTAL ASSETS	2,323,557	1,917,418	1,609,123	249,936	2,199	121,656	25,479
LIABILITIES							
Central Banks	1,276	1,295	-	-	-	-	1,295
Available-for-sale financial liabilities	205,075	205,635	-	78,215	-	-	127,419
Financial liabilities at fair value through options	38,480	35,980	-	-	-	-	35,980
Hedging derivative instruments	16,827	16,707	-	-	-	-	16,707
Due to credit institutions	221,192	207,984	-	2,360	-	-	205,624
Due to customers	1,044,566	1,065,490	-	2,124	-	-	1,063,366
Debt securities	181,705	163,424	-	-	-	-	163,424
Revaluation adjustment on interest rate hedged portfolios	5,841	5,720	-	-	-	-	5,720
Current and deferred tax liabilities	3,013	2,978	2,694	-	-	-	284
Accruals, deferred income and sundry liabilities	58,637	51,015	6,283	-	-	-	44,732
Liabilities associated with non-current assets held for sale	2,566	(0)	-	-	-	-	(0)
Insurance company technical reserves	377,687	-	-	-	-	-	-
Provisions	7,104	7,204	-	-	-	-	7,204
Subordinated debt	25,873	21,888	-	-	-	-	21,888
TOTAL LIABILITIES	2,189,842	1,785,320	8,977	82,699	-	-	1,693,645
EQUITY	133,715	132,098	-	-	-	-	132,098
Equity, Group share	126,498	126,708	-	-	-	-	126,708
Share capital and reserves	29,927	29,927	-	-	-	-	29,927
Consolidated reserves	85,467	85,646	-	-	-	-	85,646
Other comprehensive income	2,029	2,022	-	-	-	-	2,022
Other comprehensive income on non-current assets held for sale and discontinued operations	(26)	-	-	-	-	-	-
Net income/(loss) for the year	9,101	9,113	-	-	-	-	9,113
Non-controlling interests	7,217	5,390	-	-	-	-	5,390
TOTAL EQUITY AND LIABILITIES	2,323,557	1,917,418	8,977	82,699	-	-	1,825,743

The carrying amounts for the regulatory scope of consolidation (column b) are not equal to the sum of their breakdown by the risk (columns c to g) as an exposure may be subject to several types of risk.

3.2 MAIN SOURCES OF DIFFERENCES BETWEEN REGULATORY EXPOSURE AMOUNTS AND CARRYING AMOUNTS IN FINANCIAL STATEMENTS (LI2)

	a	b	c	d	e
	Items subject to:				
	Total	Credit risk framework	Counterparty credit risk framework	Securitisation framework	Market risk framework ⁽¹⁾
31/12/2021 (in millions of euros)					
1 ASSET CARRYING VALUE AMOUNT UNDER THE SCOPE OF REGULATORY CONSOLIDATION (AS PER TEMPLATE EU LI1) ⁽²⁾	1,891,940	1,609,123	249,936	2,199	121,656
2 Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1)	91,675	8,977	82,699	-	-
3 TOTAL NET AMOUNT UNDER THE REGULATORY SCOPE OF CONSOLIDATION	1,800,264	1,600,146	167,237	2,199	121,656
4 Off-balance-sheet amounts ⁽³⁾	793,473	197,404	23	52,190	
5 Differences in valuations	45,258	8,260	36,997	-	
6 Differences in netting rules	(102,204)	-	(102,204)	-	
7 Difference due to consideration of provisions	17,890	17,890	0	-	
8 Differences due to the use of credit risk mitigation techniques (CRMs)	(18,422)	(18,422)	-	-	
9 Differences due to credit conversion factors	(107,882)	-	-	-	
10 Differences due to Securitisation with risk transfer	-	-	-	-	
11 Other adjustments	(26,666)	(4,944)	(21,728)	7	
12 EXPOSURE AMOUNT CONSIDERED FOR REGULATORY PURPOSES	1,935,033	1,800,335	80,326	54,395	

(1) Exposures related to market risk include the exposures subject to the calculation of counterparty risk on the derivatives.

(2) The "Total" column includes the assets deductible from the prudential capital.

(3) In line item "Off-balance sheet amounts", the amounts shown in the Total column, which relates to exposures pre-CCF, do not equal the sum of the amounts shown in the remaining columns, as these are post-CCF.

3.3 OUTLINE OF THE DIFFERENCES IN THE SCOPES OF CONSOLIDATION (LI3: ENTITY BY ENTITY)⁽¹⁾

Name of the entity	Method of accounting	Method of regulatory consolidation			Description of the entity
		Full consolidation	Description of the entity Proportional consolidation	Equity method	
Uni-medias	Global			X	Information and Communication
Crédit Agricole Assurances (CAA)	Global			X	Financial and Insurance Activities – Insurance
Crédit Agricole Life Insurance Company Japan Ltd.	Global			X	Financial and Insurance Activities – Insurance
CA ASSICURAZIONI	Global			X	Financial and Insurance Activities – Insurance
Crédit Agricole Créditor Insurance (CACI)	Global			X	Financial and Insurance Activities – Auxiliary activities of financial and insurance services
Spirica	Global			X	Financial and Insurance Activities – Insurance
Crédit Agricole Assurances Solutions	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
PREDICA	Global			X	Financial and Insurance Activities – Insurance
LA MÉDICALE (under IFRS5 in Q4 2021)	Global			X	Financial and Insurance Activities – Insurance
PACIFICA	Global			X	Financial and Insurance Activities – Insurance
IRIS HOLDING FRANCE	Global			X	Real-Estate Activities
HOLDING EUROMARSEILLE	Global			X	Real-Estate Activities
Crédit Agricole Life Insurance Europe	Global			X	Financial and Insurance Activities – Insurance
CDT AGRI ZYCIE TU	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
MUDUM SEGUROS	Global			X	Financial and Insurance Activities – Insurance
Crédit Agricole Life	Global			X	Financial and Insurance Activities – Insurance
Crédit Agricole Vita S.p.A.	Global			X	Financial and Insurance Activities – Insurance
VAUGIRARD INFRA S.L.	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
SAS ALTA VAI HOLDCO P	Global			X	Real-Estate Activities
Predica Infrastructure S.A.	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
UBAF	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CAIRS Assurance S.A.	Global			X	Financial and Insurance Activities – Insurance
Atlantic Asset Securitization LLC	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
LMA S.A.	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Héphaïstos Multidevises FCT	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Eucalyptus FCT	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Pacific USD FCT	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Pacific EUR FCC	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Pacific IT FCT	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Triple P FCC	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
ESNI (compartiment Cédit Agricole CIB)	Global			X	Financial and Insurance Activities – Auxiliary activities of financial and insurance services

(1) The scope of consolidation is described in full in Note 12 to the consolidated financial statements.

UCITS, UL and SCI (non-trading real estate investment company) funds held by the insurance entities and detailed in Note 12 to the consolidated financial statements follow the same accounting en regulatory treatment as their holding entity.

Name of the entity	Method of accounting	Method of regulatory consolidation			Description of the entity
		Full consolidation	Description of the entity Proportional consolidation	Equity method	
La Fayette Asset Securitization LLC	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
La Route Avance	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
FCT CFN DIH	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Santander CACEIS Latam Holding 1, S.L.	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Santander CACEIS Brasil Participações S.A.	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Banco Santander CACEIS México, S.A., Institución de Banca Múltiple	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
SANTANDER CACEIS COLOMBIA S.A, SOCIEDAD FIDUCIARIA	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Santander CACEIS Latam Holding 2, S.L.	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Santander CACEIS Brasil D.T.V.M., S.A.	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Crédit Agricole Securities (USA) Inc	Non consolidated	X			Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
FCA Bank S.P.A	MEE		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CACI Reinsurance Ltd.	Global			X	Financial and Insurance Activities – Auxiliary activities of financial and insurance services
SPACE HOLDING (IRELAND) LIMITED	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
SPACE LUX	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CACI LIFE LIMITED	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CACI NON LIFE LIMITED	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
FCT compartiment LCL	Global			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Sacam Assurance Caution	Global			X	Financial and Insurance Activities – Auxiliary activities of financial and insurance services
GROUPE CAMCA	Global			X	Financial and Insurance Activities – Insurance

3.4 COMPOSITION AND CHANGES IN RISK-WEIGHTED ASSETS

3.4.1 Summary of risk weighted assets

3.4.1.1 Overview of total risk exposure amounts (OV1)

The risk-weighted assets in respect of credit risk, market risk and operational risk were €585.4 billion at 31 December 2021 vs. €562.1 billion at 31 December 2020.

		Total risk exposure amounts (RWA)			Total own funds requirements
31/12/2021		31/12/2021	30/09/2021	31/12/2020	31/12/2021
1	Credit risk (excluding CCR)	479,724	478,819	463,920	38,378
2	Of which the standardised approach	136,748	136,657	136,040	10,940
3	Of which the Foundation IRB (F-IRB) approach	86,032	90,419	93,478	6,883
4	Of which slotting approach	-	-	-	-
EU 4a	Of which equities under the simple risk weighted approach	74,805	74,140	71,876	5,984
5	Of which the Advanced IRB (A-IRB) approach	175,192	170,785	156,478	14,015
6	Counterparty credit risk – CCR	23,699	24,381	22,914	1,896
7	Of which the standardised approach ⁽¹⁾	4,476	5,033	3,950	358
8	Of which internal model method (IMM)	10,131	10,238	10,301	810
EU 8a	Of which exposures to a CCP	435	551	348	35
EU 8b	Of which credit valuation adjustment – CVA	4,864	4,859	4,563	389
9	Of which other CCR	3,792	3,701	3,752	303
15	Settlement risk	15	43	1	1
16	Securitisation exposures in the non-trading book (after the cap)	10,456	9,655	8,736	836
17	Of which SEC-IRBA approach	3,180	3,178	2,370	254
18	Of which SEC-ERBA (including IAA)	5,895	5,115	5,214	472
19	Of which SEC-SA approach	1,382	1,362	1,152	111
EU 19a	Of which 1250% / deduction	0	-	-	0
20	Position, foreign exchange and commodities risks (Market risk)	12,881	12,053	10,026	1,031
21	Of which the standardised approach	5,472	5,285	4,693	438
22	Of which IMA	7,409	6,769	5,333	593
EU 22a	Large exposures	-	-	-	-
23	Operational risk	58,666	57,658	56,462	4,693
EU 23a	Of which basic indicator approach	-	-	-	-
EU 23b	Of which standardised approach	12,968	12,456	11,349	1,037
EU 23c	Of which advanced measurement approach	45,698	45,202	45,114	3,656
24	Amounts below the thresholds for deduction (subject to 250% risk weight)	13,258	11,867	11,633	1,061
29	TOTAL	585,441	582,610	562,059	46,835

(1) Following the implementation of the regulation (UE) No. 2019/876 (CRR2) since 30 June 2021, exposure to derivatives previously modelled using the CEM method are now assessed using the SA-CCR standard approach.

Information on the Crédit Agricole Group's approach to risk management is discussed in Chapter 3, Part 2. "Risk management" of this document:

- for a concise statement on risks, see Section 2.1 "Risk appetite, Governance and organisation of risk management", paragraph titled "Concise statement on risks";
- for a risk governance structure for each type of risk, see Section 2.1 "Risk appetite, Governance and organisation of risk management", paragraph entitled "Organisation of risk management";
- for the scope and nature of risk reporting and/or assessment systems, see Section 2.4 "Credit risk";

- for the main features of the information and risk assessment systems, see, respectively, Sections 2.4.II.2 "Risk measurement methods and systems", 2.5.III "Market risk measurement and management methodology", 2.6 "Asset and liability management", 2.7 "Insurance sector risks" and 2.8 "Operational risks", 2.1 "Risk appetite, Governance and organisation of risk management" and the paragraphs that discuss the robustness of the information system and the overall consolidation of risks (BCBS 239) in the section "Organisation of risk management";
- for the risk management strategies and processes in place for each separate risk category, see, respectively Section 2.3.III "Specific internal control systems and risk control and monitoring systems of Crédit Agricole S.A." and the description of the main types of risk in Part 2 "Risk management";

- for risk management, hedging and mitigation strategies and processes, monitoring of the effectiveness of hedges and mitigation techniques, see, respectively, Section 2.3.II “Principles for the organisation of the internal control system”, the description of the main types of risks in Part 2 “Risk management” and Section 3.4.2.4.1 “Credit risk mitigation techniques” in Part 3 “Pillar 3 disclosures”.

Information on the Crédit Agricole Group approach to corporate governance is discussed in Chapter 3 of the Universal Registration Document, “Corporate Governance” and in Chapter 3, Part 2, “Risk management” of this document:

- for the number of management positions held by members of the management body, see Chapter 3, Part 3 “Information on executives and management bodies” in Section 3.1 “Information on executives”;
- for the recruitment policy for the selection of members of the management body and their knowledge, skills and expertise, see Chapter 3, Part 1 “Report of the Board of Directors” in Section 1.3.7

“Appointments and Governance Committee”, in the “The Board’s relations with management bodies and succession planning for key functions” section and in Section 1.2.1 “Board activity” in the paragraph “The Board’s relations with management bodies and succession planning for key functions”;

- for the diversity policy applicable to the selection of members of the management body, see Chapter 3, Part 1 “Report of the Board of Directors” in Section 1.1.3 “Governance and diversity policy”;
- for the Risk Committee and frequency of its meetings, see Chapter 3, Part 1 “Report of the Board of Directors” in Section 1.3.1 “Operating principles of the Committees” in paragraph 1.3.2 “Risk Committee”;
- for the flow to the management body of information on risks, see Chapter 3, Part 2 “Risk management” in Section 2.1 “Risk appetite, Governance and organisation of risk management” in the paragraph “Organisation of risk management”.

3.4.1.2 Operating segment information

31/12/2021 (in millions of euros)	Credit risk								
	Standardised approach	Weighting approach IRB	IRB Approach ⁽¹⁾	Contributions to a CCP default fund	Credit risk	Credit valuation adjustment risk	Operational Risk	Market risk	Total risk-weighted assets
French Retail Banking	43,109	23,874	164,953	-	231,935	275	24,596	40	256,847
International Retail Banking	38,223	935	8,650	-	47,808	114	4,846	299	53,068
Asset Gathering and Insurance	7,311	47,332	921	-	55,564	514	7,646	111	63,835
Specialised Financial Services	32,609	1,783	18,583	-	52,975	52	3,888	3	56,918
Large customers	14,568	1,573	87,229	245	103,615	3,909	16,814	9,193	133,531
Corporate Centre	6,770	6,255	4,106	-	17,131	-	876	3,235	21,242
TOTAL RISK-WEIGHTED ASSETS	142,590	81,752	284,442	245	509,029	4,864	58,666	12,881	585,441

(1) Advanced IRB or Foundation IRB approach depending on business lines.

31/12/2020 (in millions of euros)	Credit risk								
	Standardised approach	Weighting approach IRB	IRB Approach ⁽¹⁾	Contributions to a CCP default fund	Credit risk	Credit valuation adjustment risk	Operational Risk	Market risk	Total risk-weighted assets
French Retail Banking	41,424	19,050	167,601	-	228,076	251	23,843	46	252,215
International Retail Banking	33,836	977	4,244	3	39,060	6	4,230	74	43,370
Asset Gathering and Insurance	6,538	49,779	768	-	57,086	343	7,275	60	64,763
Specialised Financial Services	32,546	1,189	17,815	-	51,549	21	3,413	2	54,985
Large customers	19,884	1,246	75,930	344	97,404	3,943	16,978	6,701	125,026
Corporate Centre	6,911	5,683	5,239	-	17,832	-	724	3,143	21,699
TOTAL RISK-WEIGHTED ASSETS	141,139	77,924	271,597	348	491,007	4,563	56,462	10,026	562,059

(1) Advanced IRB or Foundation IRB approach depending on business lines.

3.4.1.3 Changes in risk-weighted assets

The table below shows the changes in the Crédit Agricole Group's risk weighted assets in 2021:

(in millions of euros)	31/12/2020	Foreign exchange	Organic change and optimisation	Equity-accounted value Insurance	Scope	Method and regulatory changes	Total variation 2021	31/12/2021
Credit risk	491,007	3,641	9,778	(2,666)	6,551	717	18,021	509,029
of which Equity risk	77,924	-	6,269	(2,666)	225	-	3,829	81,752
CVA	4,563	-	252	-	49	-	301	4,864
Market risk	10,026	-	2,832	-	24	-	2,855	12,881
Operational risk	56,462	-	952	-	1,252	-	2,204	58,666
TOTAL	562,059	3,641	13,814	(2,666)	7,875	717	23,382	585,441

Risk-weighted assets totalled €585.4 billion at 31 December 2021, an increase of €23.4 billion (+4.2%) year on year, mainly due to:

- growth of the businesses (+€17.5 billion of which +€3.6 billion in foreign exchange impacts), in particular Retail Banking (+€9.4 billion), Corporate and investment banking (+€7.1 billion) and Specialised Financial Services (+€1.3 billion);
- methodological and regulatory effects (+€0.7 billion) in connection with the implementation of the CRR2 regulation (+€3.2 billion) and the review of internal models at Crédit Agricole CIB, LCL and the Regional Banks (-€2.5 billion);
- the decrease in the equity-accounted value of the investment in Insurance for -€2.7 billion;
- a scope effect (+€7.9 billion) mainly related to the acquisition of Credito Valtellinese S.P.A (+€8.9 billion) by Crédit Agricole Italy and the disposal of the Bankoia subsidiary of the Pyrénées Gascogne Regional Bank (-€1.4 billion).

3.4.2 Credit and counterparty risk

Definitions:

- **probability of default (PD):** the probability that a counterparty will default within a period of one year;
- **exposure at default (EAD):** the exposure amount in the event of default. The concept of exposure encompasses balance sheet assets plus a proportion of off-balance sheet commitments;
- **loss given default (LGD):** ratio between the loss experienced on an exposure on a counterparty at default and the size of the exposure at default;
- **gross exposure:** amount of the exposure (balance sheet + off-balance sheet), after the impacts of offsetting and before the application of any credit risk mitigation techniques (guarantees and collateral) and the credit conversion factor (CCF);
- **credit conversion factor (CCF):** ratio between the unused portion of a commitment that will be drawn and at risk at the time of default and the unused portion of the commitment calculated on the basis of the authorised limit or, where applicable, the unauthorised limit if higher;
- **expected losses (EL):** the amount of the average loss the bank expects to have to recognise in its loan book within one year;
- **risk-weighted assets (RWA):** risk-weighted assets are calculated by applying a weighting ratio to each exposure at default. The ratio is a function of the characteristics of the exposure and the calculation method used (IRB or standardised);

- **valuation adjustments:** impairment losses on a specific asset due to credit risk, recognised either through a partial write-down or a deduction from the carrying amount of the asset;

- **external credit ratings:** credit ratings provided by an external credit rating agency recognised by Regulation (EC) No. 1060/2009.

Part 4.2.1 provides a general overview of the change in credit and counterparty risk. This is followed by a more detailed look at credit risk in Part 4.2.2, by type of prudential method (*i.e.* standard method and IRB method). Counterparty risk is covered in Part 4.2.3, and Part 4.2.4 covers the credit and counterparty risk mitigation techniques.

General qualitative information on credit risk is discussed in Chapter 3, Part 2 “Risk Management” of this document:

- for a concise statement on risks, see Section 2.1 “Risk appetite, Governance and organisation of risk management”, paragraph entitled “Overall risk profile”;
- for the credit risk management strategy and process and risk mitigation policy, see, respectively, Sections 2.4.II.1 “General principles of risk-taking” and 2.4.II.4 “Credit risk mitigation mechanism”;
- for information on the structure and organisation of the risk management function, see Section 2.4.III, paragraph entitled “Risk Management and Permanent Controls function”;
- for other risk management provisions, see Section 2.4.II, paragraph entitled “Three functions operating throughout the Group”.

3.4.2.1 General overview of credit and counterparty risk

3.4.2.1.1 Exposures by type of risk

The table below shows the Crédit Agricole Group's exposure to global risk (credit, counterparty, dilution and settlement and delivery) by exposure class for the standardised and internal ratings-based approaches at 31 December 2021 and at 31 December 2020.

The 17 exposure classes under the standardised approach are grouped together to ensure the presentation aligns with the IRB exposures.

— Overall risk exposure (credit, counterparty, dilution, settlement and delivery) at 31 December 2021

31/12/2021 (in billions of euros)	Standardised				IRB				Total				
	Gross exposure	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure	Gross exposure after CRM ⁽²⁾	EAD	RWA	Capital requirement
	⁽¹⁾				⁽¹⁾				⁽¹⁾				
Central governments or Central Banks	115.3	117.0	116.9	8.8	330.6	353.1	350.3	2.9	445.8	470.0	467.1	11.7	0.9
Institutions	35.9	55.4	53.0	8.5	98.1	109.4	99.0	17.1	134.0	164.8	152.0	25.6	2.0
Corporates	155.7	131.7	102.7	78.7	453.0	403.6	340.4	146.5	608.8	535.3	443.1	225.2	18.0
Retail customers	44.3	40.7	37.8	22.9	717.5	717.5	728.4	108.9	761.8	758.2	766.3	131.8	10.5
Loans to individuals	28.9	27.3	25.7	15.9	572.1	572.1	578.2	70.5	601.1	599.4	603.9	86.4	6.9
o/w secured by real estate assets	9.5	9.2	9.1	3.6	431.8	431.8	431.8	39.5	441.3	441.0	440.9	43.1	3.5
o/w revolving	2.5	2.4	1.1	0.9	19.7	19.7	24.7	4.5	22.2	22.1	25.8	5.3	0.4
o/w other	17.0	15.8	15.4	11.4	120.6	120.6	121.7	26.5	137.6	136.4	137.2	37.9	3.0
Loans to small and medium businesses	15.3	13.4	12.1	7.0	145.4	145.4	150.3	38.4	160.7	158.8	162.4	45.4	3.6
o/w secured by real estate assets	0.8	0.8	0.6	0.2	26.4	26.4	26.5	7.2	27.2	27.2	27.1	7.5	0.6
o/w other	14.5	12.6	11.5	6.7	119.0	119.0	123.8	31.2	133.5	131.6	135.4	37.9	3.0
Shares	1.6		1.6	1.9	21.7		21.6	74.8	23.3		23.2	76.7	6.1
Securitisations	6.2		4.9	1.4	49.5		49.5	9.1	55.7		54.4	10.5	0.8
Assets other than credit obligation	26.3		26.1	20.4	-		-	-	26.3		26.1	20.4	1.6
TOTAL	385.3		343.0	142.6	1,670.4		1,589.2	359.2	2,055.7		1,932.3	501.8	40.1

(1) Initial gross exposure.

(2) Gross exposure after credit risk mitigation (CRM).

— Overall risk exposure (credit, counterparty, dilution, settlement and delivery) at 31 December 2020

31/12/2020 (in billions of euros)	Standardised						IRB				Total		
	Gross exposure	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure	Gross exposure after CRM ⁽²⁾	EAD	RWA	Capital requirement
	⁽¹⁾				⁽¹⁾	⁽²⁾			⁽¹⁾	⁽²⁾			
Central governments or Central Banks	96.6	98.3	98.2	7.6	286.8	310.0	307.3	2.7	383.4	408.3	405.5	10.3	0.8
Institutions	38.6	51.7	49.2	8.1	110.7	116.7	113.3	17.7	149.3	168.4	162.5	25.7	2.1
Corporates	160.5	139.6	107.5	79.4	420.1	382.3	317.5	142.2	580.5	521.9	425.0	221.6	17.7
Retail customers	43.1	39.8	36.7	22.6	672.0	672.0	673.8	101.5	715.1	711.8	710.5	124.1	9.9
Loans to individuals	29.1	27.4	25.5	16.1	535.0	535.0	535.5	66.9	564.0	562.4	561.0	83.0	6.6
o/w secured by real estate assets	10.0	9.7	9.6	4.1	399.9	399.9	399.9	37.0	409.9	409.6	409.5	41.1	3.3
o/w revolving	3.1	2.9	1.4	1.1	19.8	19.8	19.7	4.1	22.9	22.7	21.1	5.2	0.4
o/w other	16.0	14.8	14.4	10.9	115.3	115.3	115.9	25.7	131.2	130.1	130.4	36.7	2.9
Loans to small and medium businesses	14.0	12.4	11.2	6.5	137.0	137.0	138.2	34.6	151.1	149.5	149.5	41.1	3.3
o/w secured by real estate assets	0.6	0.5	0.5	0.2	23.7	23.7	23.7	6.3	24.2	24.2	24.2	6.5	0.5
o/w other	13.5	11.9	10.7	6.2	113.3	113.3	114.6	28.3	126.8	125.2	125.3	34.5	2.8
Shares	1.2		1.2	1.5	20.5		20.5	71.9	21.7		21.7	73.3	5.9
Securitisations	5.5		4.3	1.2	40.6		40.6	7.6	46.1		44.9	8.7	0.7
Assets other than credit obligation	27.0		26.9	20.9	-		-	-	27.0		26.9	20.9	1.7
TOTAL	372.4		323.9	141.1	1,550.7		1,473.0	343.5	1,923.1		1,796.9	484.6	38.8

(1) Initial gross exposure.

(2) Gross exposure after credit risk mitigation (CRM).

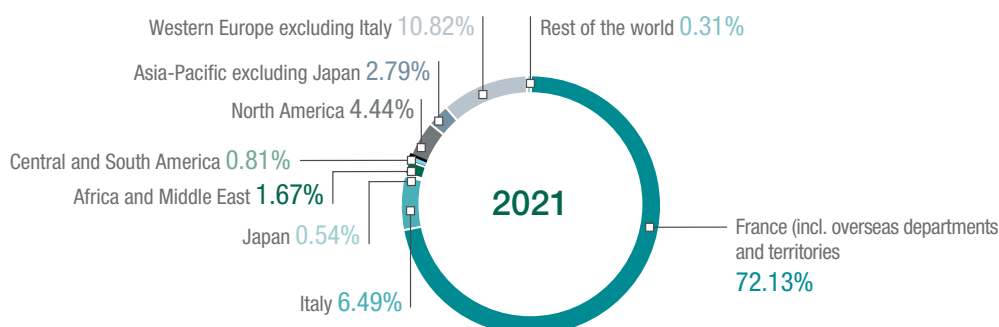
Measured in terms of gross exposure, the Group's total outstanding amounts were up 6.9%, reflecting the favourable business climate in the main business lines.

The main portfolio remains in the retail customers category with an overall gross exposure of €761.8 billion at end-December 2021 compared to €715.1 billion at end-2020.

The "Central governments and Central Banks" portfolio rose 16.29% due mainly to the increase in Central Bank deposits.

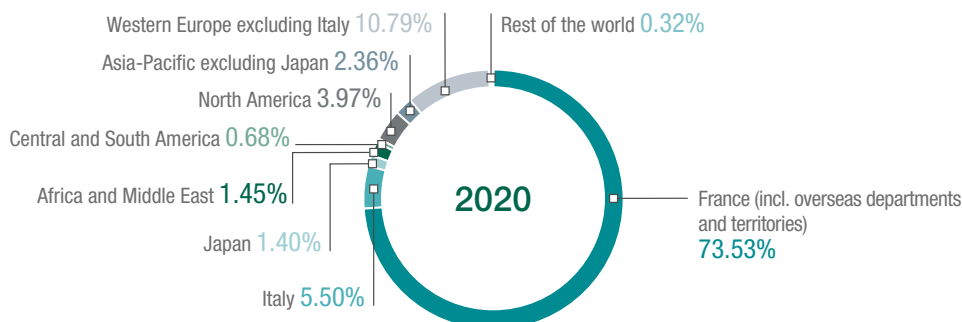
RWA density (defined as the ratio of risk-weighted assets/EAD) was 17% on average for retail customers and 51% for Corporates at 31 December 2021.

At 31 December 2021



The increase in Italy's share of Crédit Agricole Group's exposure is mainly due to the integration of Credito Valtellinese (Creval).

At 31 December 2020

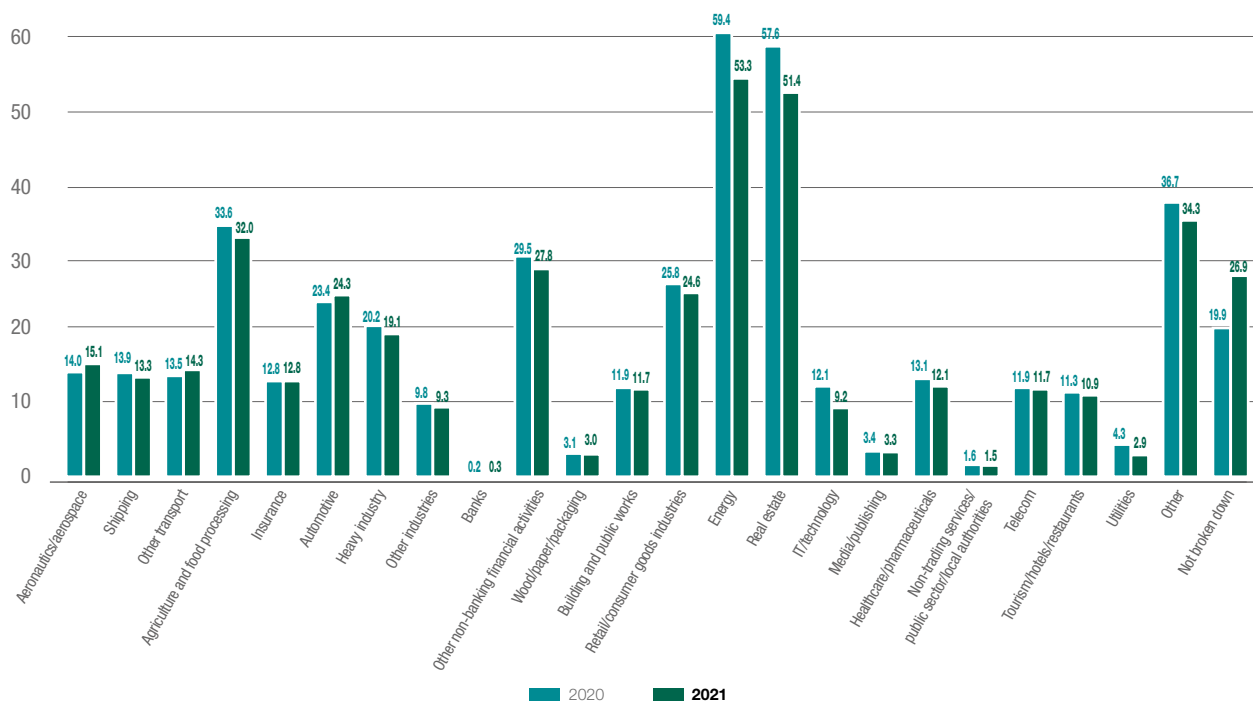


3.4.2.1.3 Exposures by business sector

A focus on the Corporate portfolio is shown below. A breakdown of the Retail customers portfolio is also provided by Basel sub-portfolio (home loans, revolving credit, other loans to microenterprises, farmers and professional customers, other loans to individuals).

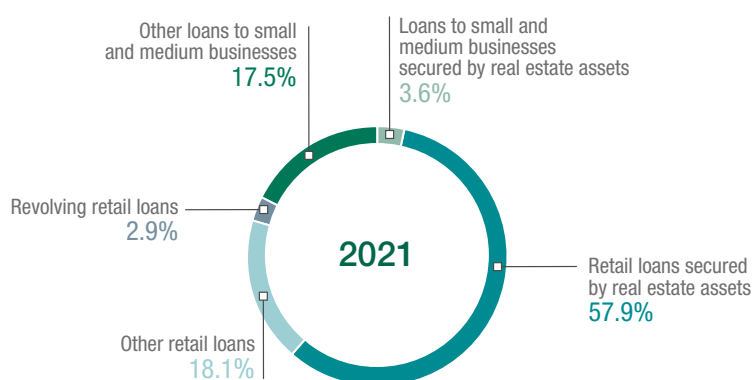
Breakdown of the Corporate portfolio

Amounts in EAD
(in billions of euros)

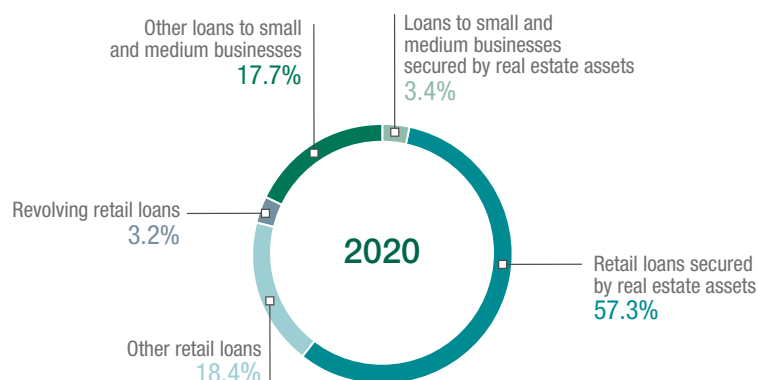


The breakdown of EAD amounts by economic sector remained stable overall with good diversification by sector.

Retail customers at 31 December 2021



Retail customers at 31 December 2020



Breakdown of the Retail customers portfolio

The chart above shows a breakdown of the initial gross on- and off-balance sheet exposures for Crédit Agricole Group's Retail customers by Basel sub-portfolio (outstanding amounts of €761.7 billion at 31 December 2021 compared with €715.1 billion at 31 December 2020, an increase of 6.5% on an annual basis).

Within the "Retail customers" portfolio, the relative share of "loans to individuals secured by real estate assets" continues the upward trend observed for several years now (57.9% in 2021, compared with 57.3% in 2020). Conversely, the share of "revolving exposures to individuals" fell further in 2021 to 2.9% of outstanding retail customer loans from 3.2% in 2020.

3.4.2.1.4 Loans, receivables and debt securities by maturity

— Maturity of exposures (CR1-A)

		Net exposure value on balance sheet					
31/12/2021 (in millions of euros)		On demand	≤1 year	>1 year ≤5 years	>5 years	No stated maturity	Total
1	Loans and advances	148	381,075	423,565	429,691	3,392	1,237,871
2	Debt securities	-	45,847	80,875	54,487	9,476	190,685
3	TOTAL	148	426,922	504,440	484,178	12,869	1,428,556

		Net exposure value on balance sheet					
31/12/2020 (in millions of euros)		On demand	≤1 year	>1 year ≤5 years	>5 years	No stated maturity	Total
1	Loans and advances	195	369,662	394,207	412,284	3,231	1,179,578
2	Debt securities	-	47,929	69,295	56,564	8,315	182,102
3	TOTAL	195	417,591	463,502	468,847	11,545	1,361,680

3.4.2.1.5 Default exposures and value adjustments

— Performing and non-performing exposures and related provisions (CR1)

31/12/2021 (in millions of euros)	Gross carrying amount/nominal amount											Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			Accumulated partial write-off	Collateral and financial guarantees received	
	Performing exposures			Non-performing exposures			Performing exposures – accumulated impairment and provisions			Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			On performing exposures	On non-performing exposures			
	Of which Bucket 1	Of which Bucket 2		Of which Bucket 2	Of which Bucket 3		Of which Bucket 1	Of which Bucket 2		Of which Bucket 2	Of which Bucket 3						
005 Cash balances at Central Banks and other demand deposits	245,056	245,056	0	17		17	(2)	(2)		(17)		(17)			20		
010 Loans and advances	1,147,547	1,042,607	104,731	22,504	237	22,260	(7,567)	(2,585)	(4,981)	(11,946)	(30)	(11,916)			658,528	7,090	
020 Central Banks	672	672					(0)	(0)									
030 General governments	42,328	41,153	1,175	85	2	83	(45)	(34)	(11)	(41)	(0)	(41)			3,944	16	
040 Credit institutions	87,835	87,779	56	419		419	(35)	(35)	(1)	(366)		(366)			3,947		
050 Other financial corporations	38,139	35,386	2,729	859	2	857	(319)	(146)	(172)	(654)	(0)	(654)			17,874	79	
060 Non-financial corporations	401,355	340,467	60,844	12,342	117	12,224	(4,285)	(1,483)	(2,802)	(6,341)	(14)	(6,327)			194,844	4,111	
070 Of which SMEs	198,770	168,452	30,275	7,451	107	7,343	(2,982)	(1,073)	(1,909)	(4,345)	(13)	(4,331)			110,820	2,122	
080 Households	577,218	537,151	39,928	8,799	116	8,677	(2,883)	(887)	(1,996)	(4,543)	(15)	(4,528)			437,920	2,884	
090 Debt Securities	158,230	147,742	976	106	2	88	(84)	(74)	(10)	(83)	(0)	(83)			2,554	0	
100 Central Banks	4,869	4,434	434				(3)	(1)	(1)								
110 General governments	83,126	82,784	341				(51)	(48)	(3)						1,700		
120 Credit institutions	35,398	35,233	5	5	0	5	(18)	(18)	(0)	(5)		(5)			526		
130 Other financial corporations	18,046	8,994	13	9		1	(2)	(2)		-					75	0	
140 Non-financial corporations	16,791	16,296	182	92	2	83	(11)	(5)	(6)	(78)	(0)	(78)			253		
150 Off-balance sheet exposures	791,298	771,236	20,062	2,175	20	2,155	(1,295)	(532)	(763)	(548)	(7)	(542)			40,179	208	
160 Central Banks	299,349	299,349					(0)	(0)									
170 General governments	19,615	18,724	891	4		4	(8)	(4)	(4)						2,437		
180 Credit institutions	103,266	103,235	32	21		21	(12)	(12)	(0)	(24)		(24)			159	-	
190 Other financial corporations	82,782	81,031	1,751	655	0	655	(150)	(58)	(92)	(20)		(20)			1,246	2	
200 Non-financial corporations	242,142	226,357	15,785	1,367	1	1,366	(985)	(387)	(598)	(448)	(0)	(448)			24,977	193	
210 Households	44,144	42,541	1,603	128	18	110	(139)	(70)	(69)	(56)	(7)	(49)			11,359	13	
220 TOTAL	2,342,130	2,206,641	125,769	24,802	259	24,521	(8,947)	(3,192)	(5,755)	(12,594)	(37)	(12,557)			701,281	7,298	

31/12/2020 (in millions of euros)													Accumulated partial write-off	Collateral and financial guarantees received	
Gross carrying amount/nominal amount							Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions								
	Performing exposures			Non-performing exposures			Performing exposures – accumulated impairment and provisions	Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions					On performing exposures	On non-performing exposures	
	Of which Bucket 1	Of which Bucket 2		Of which Bucket 2	Of which Bucket 3	Of which Bucket 1		Of which Bucket 2		Of which Bucket 2	Of which Bucket 3				
005 Cash balances at Central Banks and other demand deposits	201,146	201,146	-	15		15	(1)	(1)		(15)		(15)		3,228	
010 Loans and advances	1,052,629	980,923	71,513	25,104	1,209	23,881	(6,665)	(2,427)	(4,238)	(13,474)	(142)	(13,332)		563,092	6,825
020 Central Banks	461	461					-	-						0	
030 General governments	42,090	41,271	819	106	8	98	(20)	(14)	(6)	(47)	-	(47)		545	-
040 Credit institutions	80,439	80,378	61	393	0	393	(29)	(29)	-	(343)		(343)		98	
050 Other financial corporations	30,706	29,296	1,386	738	14	723	(328)	(158)	(169)	(566)	(3)	(563)		9,516	65
060 Non-financial corporations	361,471	318,234	43,209	14,137	669	13,462	(3,972)	(1,423)	(2,549)	(7,590)	(83)	(7,507)		171,010	3,953
070 Of which: SMEs	186,887	165,379	21,481	8,130	465	7,665	(2,783)	(1,038)	(1,745)	(4,802)	(65)	(4,737)		100,596	2,253
080 Households	537,461	511,283	26,038	9,731	518	9,204	(2,317)	(803)	(1,513)	(4,928)	(57)	(4,871)		381,922	2,807
090 Debt Securities	162,775	148,164	1,096	105	-	86	(78)	(67)	(11)	(81)	0	(81)		2,856	2
100 Central Banks	5,428	5,049	379				(6)	(4)	(2)						
110 General governments	75,079	74,749	330	0			(40)	(36)	(4)					1,866	
120 Credit institutions	40,342	40,005	5	5		5	(18)	(18)	-	(5)		(5)		557	
130 Other financial corporations	26,325	13,256	314	12		-	(4)	(3)	(1)	-				107	2
140 Non-financial corporations	15,601	15,105	68	88	-	81	(11)	(7)	(4)	(76)	0	(76)		325	
150 Off-balance sheet exposures	734,294	719,750	14,544	3,917	71	3,847	(1,134)	(521)	(613)	(521)	(7)	(515)		34,296	289
160 Central Banks	288,250	288,250					-	-							
170 General governments	15,257	14,504	753	-	0	-	(4)	(2)	(2)	-1		-1		1,478	
180 Credit institutions	102,861	102,828	32	23		23	(5)	(4)	(1)	(25)		(25)		192	-
190 Other financial corporations	70,706	70,426	280	2,179	-	2,179	(44)	(30)	(14)	(33)		(33)		2,107	2
200 Non-financial corporations	213,149	200,531	12,619	1,579	38	1,541	(930)	(399)	(531)	(418)	(2)	(417)		19,713	275
210 Households	44,071	43,210	860	136	32	104	(151)	(86)	(65)	(44)	(5)	(39)		10,806	12
220 TOTAL	2,150,845	2,049,984	87,154	29,142	1,280	27,829	(7,877)	(3,016)	(4,861)	(14,092)	(149)	(13,943)		603,472	7,116

— Changes in the stock of non-performing loans and receivables (CR2)

31/12/2021

(in millions of euros)

Gross carrying amount

1	INITIAL STOCK OF NON-PERFORMING LOANS AND ADVANCES (31/12/2020)	25,104
2	Inflows to non-performing portfolios	8,244
3	Outflows from non-performing portfolios	(10,844)
4	Outflows due to write-offs	
5	Outflow due to other situations	
6	FINAL STOCK OF NON-PERFORMING LOANS AND ADVANCES (31/12/2021)	22,504

— Credit quality of renegotiated exposures (CQ1)

31/12/2021 (in millions of euros)	Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forborne exposures	
	Performing forborne	Non-performing forborne		Of which defaulted	of which impaired	On performing forborne exposures	On non-performing forborne exposures	Of which collateral and financial guarantees received on non-performing exposures with forbearance measures
005 Cash balances at Central Banks and other demand deposits	-	-	-	-	-	-	-	-
010 Loans and advances	7,264	8,362	8,101	8,101	(601)	(3,470)	7,899	3,101
020 Central Banks	0	-	-	-	-	-	-	-
030 General governments	65	8	6	6	(2)	(4)	22	0
040 Credit institutions	-	46	45	45	-	(26)	-	-
050 Other financial corporations	106	144	142	142	(11)	(81)	115	44
060 Non-financial corporations	4,839	5,460	5,363	5,363	(430)	(2,269)	5,470	2,317
070 Households	2,253	2,703	2,545	2,545	(158)	(1,090)	2,292	740
080 Debt Securities	-	5	5	1	-	(1)	-	-
090 Loan commitments given	351	133	126	126	(23)	(25)	166	43
100 TOTAL	7,615	8,499	8,232	8,228	(624)	(3,495)	8,065	3,145

31/12/2020 (in millions of euros)	Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forborne exposures	
	Performing forborne	Non-performing forborne		Of which defaulted	of which impaired	On performing forborne exposures	On non-performing forborne exposures	Of which collateral and financial guarantees received on non-performing exposures with forbearance measures
005 Cash balances at Central Banks and other demand deposits	-	-	-	-	-	-	-	-
010 Loans and advances	6,326	7,983	7,138	7,138	(549)	(3,419)	6,939	2,474
020 Central Banks	-	-	-	-	-	-	-	-
030 General governments	24	11	3	3	(1)	(3)	-	-
040 Credit institutions	-	45	45	45	-	(26)	-	-
050 Other financial corporations	80	127	114	114	(8)	(76)	73	24
060 Non-financial corporations	4,018	4,909	4,494	4,494	(378)	(2,084)	4,634	1,627
070 Households	2,204	2,890	2,482	2,482	(162)	(1,229)	2,232	824
080 Debt Securities	-	1	1	1	-	(1)	-	-
090 Loan commitments given	354	162	150	150	(22)	(34)	99	33
100 TOTAL	6,681	8,145	7,289	7,289	(571)	(3,454)	7,039	2,508

— Credit quality of performing and non-performing exposures by number of past due days (CQ3)

31/12/2021 (in millions of euros)	Gross carrying amount/nominal amount											
	Performing exposures			Non-performing exposures								
		Not past due or past due ≤30 days	Past due >30 days ≤90 days		Unlikely to pay that are not past-due or past-due ≤90 days	Past due >90 days ≤180 days	Past due >180 days ≤1 year	Past due >1 year ≤2 years	Past due >2 year ≤5 years	Past due >5 years ≤7 years	Past due >7 years	Of which defaulted
005 Cash balances at Central Banks and other demand deposits	245,056	245,056		17	0				16			17
010 Loans and advances	1,147,547	1,144,892	2,655	22,504	9,841	926	1,527	2,181	3,754	1,471	2,804	22,260
020 Central Banks	672	672										
030 General governments	42,328	42,220	108	85	28	0	1	3	25	0	28	83
040 Credit institutions	87,835	87,835	0	419	5	0				296	118	419
050 Other financial corporations	38,139	37,781	359	859	348	10	14	20	81	43	343	857
060 Non-financial corporations	401,355	400,034	1,321	12,342	5,606	472	507	1,431	2,315	639	1,371	12,224
070 Of which SMEs	198,770	198,288	482	7,451	3,292	206	420	488	1,685	454	906	7,343
080 Households	577,218	576,351	867	8,799	3,854	443	1,005	728	1,333	493	944	8,677
090 Debt securities	158,230	158,217	13	106	77	1			1		27	93
100 Central Banks	4,869	4,869										
110 General governments	83,126	83,126										
120 Credit institutions	35,398	35,398		5	3	1			1		1	5
130 Other financial corporations	18,046	18,034	13	9	9							1
140 Non-financial corporations	16,791	16,791		92	65						26	87
150 Off-balance sheet exposures	791,298			2,175								2,155
160 Central Banks	299,349											
170 General governments	19,615			4								4
180 Credit institutions	103,266			21								21
190 Other financial corporations	82,782			655								655
200 Non-financial corporations	242,142			1,367								1,366
210 Households	44,144			128								110
220 TOTAL	2,342,130	1,548,164	2,668	24,802	9,919	926	1,527	2,181	3,771	1,471	2,831	24,525

31/12/2020 (in millions of euros)	Gross carrying amount/nominal amount											
	Performing exposures				Non-performing exposures							
		Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days		Unlikely to pay that are not past-due or past-due ≤ 90 days	Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 1 year ≤ 2 years	Past due > 2 year ≤ 5 years	Past due > 5 years ≤ 7 years	Past due > 7 years	Of which defaulted
005 Cash balances at Central Banks and other demand deposits	201,146	201,101	46	15	-			15				15
010 Loans and advances	1,052,629	1,050,782	1,847	25,104	10,793	1,269	2,123	2,213	4,161	1,895	2,651	23,886
020 Central Banks	461	461										
030 General governments	42,090	42,023	67	106	54	2	1	2	43		4	98
040 Credit institutions	80,439	80,420	19	393	102			-	2	272	18	393
050 Other financial corporations	30,706	30,694	12	738	335	4	44	33	81	44	197	723
060 Non-financial corporations	361,471	360,563	908	14,137	6,123	841	1,007	1,224	2,502	1,012	1,427	13,467
070 Of which SMEs	186,887	186,429	458	8,130	3,061	174	411	847	1,787	681	1,170	7,665
080 Households	537,461	536,620	841	9,731	4,179	422	1,071	953	1,533	568	1,005	9,204
090 Debt securities	162,775	162,449	326	105	82	1					22	90
100 Central Banks	5,428	5,428										
110 General governments	75,079	75,069	11	0	0							
120 Credit institutions	40,342	40,340	2	5	5	1						5
130 Other financial corporations	26,325	26,011	314	12	12							-
140 Non-financial corporations	15,601	15,601		88	66						22	85
150 Off-balance sheet exposures	734,294			3,917								3,847
160 Central Banks	288,250											
170 General governments	15,257			-								-
180 Credit institutions	102,861			23								23
190 Other financial corporations	70,706			2,179								2,179
200 Non-financial corporations	213,149			1,579								1,541
210 Households	44,071			136								104
220 TOTAL	2,150,845	1,414,331	2,219	29,142	10,876	1,269	2,123	2,228	4,161	1,895	2,673	27,838

— Quality of non-performing exposures by geographic location (CQ4)

31/12/2021 (in millions of euros)	Gross carrying/nominal amount			Accumulated impairment	Provisions on off-balance-sheet commitments and financial guarantees given	Accumulated negative changes in fair value due to credit risk on non-performing exposures
		Of which non-performing	Of which subject to impairment			
		Of which defaulted				
ON BALANCE SHEET EXPOSURES	1,328,386	22,610	22,353	1,318,644	(19,680)	-
Europe	1,207,964	19,434	19,226	1,198,330	(17,421)	-
France	955,767	14,300	14,110	947,376	(13,332)	-
Italy	111,667	3,176	3,173	111,488	(2,367)	-
Germany	27,687	344	344	27,681	(318)	-
Luxembourg	17,719	49	48	16,906	(105)	-
United Kingdom	14,939	62	62	14,918	(105)	-
Spain	8,129	183	181	8,129	(170)	-
Switzerland	12,176	97	97	12,172	(71)	-
Netherland	13,186	144	144	13,184	(160)	-
Poland	9,654	403	392	9,508	(375)	-
Other European countries	37,040	676	676	36,968	(419)	-
Asia and Oceania	46,792	397	397	46,767	(279)	-
Japan	7,438	130	130	7,438	(65)	-
Other Asia and Oceania	39,354	267	267	39,328	(214)	-
North America	33,003	239	239	32,960	(289)	-
USA	26,425	187	187	26,382	(210)	-
Other Northern America	6,578	52	52	6,578	(79)	-
Central and South America	11,738	1,384	1,384	11,737	(775)	-
Africa and Middle East	24,759	1,156	1,106	24,719	(914)	-
Rest of the World	4,131	(0)	-	4,131	(1)	-
OFF BALANCE SHEET EXPOSURES	793,477	2,175	2,155			1,843
Europe	689,797	2,034	2,031			1,531
France	574,601	691	689			1,185
Italy	26,121	743	743			99
Germany	13,507	21	21			37
Luxembourg	12,708	-	-			10
United Kingdom	21,389	0	0			38
Spain	4,512	59	59			33
Switzerland	9,332	3	3			6
Netherland	8,111	399	399			66
Poland	1,846	13	13			10
Other European countries	17,669	105	105			49
Asia and Oceania	23,955	6	6			24
Japan	4,022	0	0			0
Other Asia and Oceania	19,933	6	6			23
North America	61,151	14	14			200
USA	56,287	4	4			189
Other Northern America	4,865	10	10			11
Central and South America	5,405	42	42			32
Africa and Middle East	10,636	79	62			56
Rest of the World	2,533	(0)	(0)			0
TOTAL	2,121,863	24,785	24,508	1,318,644	(19,680)	1,843

31/12/2020 (in millions of euros)	Gross carrying/nominal amount			Of which subject to impairment	Accumulated impairment	Provisions on off-balance-sheet commitments and financial guarantees given	Accumulated negative changes in fair value due to credit risk on non-performing exposures
		Of which non-performing					
		Of which defaulted					
ON BALANCE SHEET EXPOSURES	1,441,775	25,225	23,992	1,428,035	(20,314)		-
Europe	1,307,331	21,570	20,777	1,293,688	(18,045)		-
France	1,054,144	15,390	14,623	1,041,385	(13,392)		-
Italy	98,203	4,290	4,281	98,166	(2,918)		-
Germany	28,264	325	325	28,260	(317)		-
Luxembourg	27,934	68	68	27,339	(135)		-
United Kingdom	14,985	143	143	14,985	(180)		-
Spain	11,779	193	189	11,754	(161)		-
Switzerland	14,108	176	176	14,104	(70)		-
Netherland	11,983	113	113	11,958	(67)		-
Poland	8,975	338	328	8,825	(378)		-
Other European countries	36,957	534	532	36,912	(427)		-
Asia and Oceania	61,205	540	540	61,205	(297)		-
Japan	26,714	231	231	26,714	(82)		-
Other Asia and Oceania	34,491	309	309	34,491	(215)		-
North America	35,940	302	302	35,873	(267)		-
USA	29,657	270	270	29,590	(225)		-
Other Northern America	6,283	32	32	6,283	(43)		-
Central and South America	10,355	1,212	1,212	10,354	(693)		-
Africa and Middle East	22,847	1,602	1,161	22,817	(1,011)		-
Rest of the World	4,097	-	-	4,097	(1)		-
OFF BALANCE SHEET EXPOSURES	738,211	3,917	3,847			1,655	
Europe	650,674	3,701	3,688			1,421	
France	548,885	886	873			1,117	
Italy	21,620	2,162	2,162			91	
Germany	11,267	22	22			31	
Luxembourg	9,925	-	-			7	
United Kingdom	22,484	-	-			21	
Spain	5,005	116	116			25	
Switzerland	7,873	3	3			14	
Netherland	6,550	484	484			62	
Poland	1,558	5	5			12	
Other European countries	15,507	24	24			41	
Asia and Oceania	20,742	37	37			17	
Japan	3,808	-	-			-	
Other Asia and Oceania	16,934	37	37			17	
North America	50,713	56	56			142	
USA	46,035	46	46			126	
Other Northern America	4,678	9	9			17	
Central and South America	4,544	19	19			36	
Africa and Middle East	8,709	104	46			39	
Rest of the World	2,830	-	-			-	
TOTAL	2,179,987	29,142	27,838	1,428,035	(20,314)	1,655	

The CQ4 report (quality of non-performing exposures by geographic location) replaced the RC1-C report (credit quality of exposures by geographic area) as part of the application of Regulation (EU) No. 2019/876 (CRR2) since 30 June 2021.

The CQ4 report makes a distinction between balance sheet and off-balance sheet items unlike the RC1-C.

On the CQ4 statement, cash, cash balances at Central Banks and other demand deposits have been removed from the scope of the exposure line on the balance sheet to conform with the FINREP 2021 presentation, which changed on 30 June 2021.

— Credit quality of loans and receivables to non-financial corporations by business line (CQ5)

31/12/2021 (in millions of euros)		Gross carrying amount				Accumulated impairment	Accumulated negative changes in fair value due to credit risk on non-performing exposures
			Of which non-performing		Of which loans and advances subject to impairment		
				Of which defaulted			
010	Agriculture, forestry and fishing	34,753	1,201	1,183	34,752	(1,294)	-
020	Mining and quarrying	11,255	109	109	11,255	(120)	-
030	Manufacturing	69,111	1,376	1,350	69,096	(1,135)	-
040	Electricity, gas, steam and air conditioning supply	20,431	170	170	20,431	(238)	-
050	Water supply	2,502	52	52	2,502	(47)	-
060	Construction	14,530	812	810	14,523	(666)	-
070	Wholesale and retail trade	53,888	1,633	1,623	53,888	(1,479)	-
080	Transport and storage	27,602	1,829	1,828	27,602	(787)	-
090	Accommodation and food service activities	12,836	932	911	12,836	(893)	-
100	Information and communication	11,032	167	167	11,032	(118)	-
105	Financial and insurance activities	22,351	483	483	22,342	(469)	-
110	Real estate activities	77,148	1,515	1,494	77,137	(1,637)	-
120	Professional, scientific and technical activities	23,562	953	952	23,562	(770)	-
130	Administrative and support service activities	13,162	278	278	13,161	(257)	-
140	Public administration and defence, compulsory social security	2,101	42	42	2,101	(33)	-
150	Education	572	20	19	572	(22)	-
160	Human health services and social work activities	6,346	120	119	6,346	(96)	-
170	Arts, entertainment and recreation	1,743	130	130	1,743	(98)	-
180	Other services	8,772	520	506	8,772	(466)	-
190	TOTAL	413,697	12,342	12,224	413,652	(10,626)	-

31/12/2020 (in millions of euros)		Gross carrying amount				Accumulated impairment	Accumulated negative changes in fair value due to credit risk on non-performing exposures
			Of which non-performing		Of which loans and advances subject to impairment		
				Of which defaulted			
010	Agriculture, forestry and fishing	32,740	1,266	1,206	32,738	(1,152)	-
020	Mining and quarrying	11,235	264	260	11,235	(180)	-
030	Manufacturing	60,788	2,263	2,157	60,774	(1,747)	-
040	Electricity, gas, steam and air conditioning supply	16,218	260	220	16,218	(236)	-
050	Water supply	2,350	43	39	2,350	(44)	-
060	Construction	13,937	1,197	1,108	13,937	(899)	-
070	Wholesale and retail trade	49,837	2,046	1,934	49,837	(1,635)	-
080	Transport and storage	26,123	1,656	1,637	26,122	(807)	-
090	Accommodation and food service activities	11,927	738	688	11,927	(842)	-
100	Information and communication	10,484	182	165	10,484	(149)	-
105	Financial and insurance activities	22,322	615	611	22,315	(550)	-
110	Real estate activities	70,044	1,918	1,851	70,036	(1,823)	-
120	Professional, scientific and technical activities	21,635	742	718	21,635	(742)	-
130	Administrative and support service activities	10,933	311	305	10,933	(243)	-
140	Public administration and defence, compulsory social security	1,648	10	9	1,648	(10)	-
150	Education	511	21	18	511	(24)	-
160	Human health services and social work activities	5,603	136	130	5,603	(103)	-
170	Arts, entertainment and recreation	1,665	100	96	1,665	(85)	-
180	Other services	5,608	369	314	5,606	(292)	-
190	TOTAL	375,607	14,137	13,467	375,574	(11,561)	-

The CQ5 report (credit quality of loans and receivables to non-financial corporations by business line) replaced the RC1-B report (quality of credit exposures by sector or type of counterparty) as part of the application of Regulation (EU) No. 2019/876 (CRR2) starting 30 June 2021.

The CQ5 report presents the balance sheet items. It excludes debt securities, loans and receivables on central governments and Central Banks, as well as credit institutions and households.

— Collateral obtained by taking possession and execution processes (CQ7)

		31/12/2021		31/12/2020	
		Collateral obtained by taking possession		Collateral obtained by taking possession	
		Value at initial recognition	Accumulated negative changes	Value at initial recognition	Accumulated negative changes
<i>(in millions of euros)</i>					
010	Property, plant and equipment (PP&E)	2	(0)	3	0
020	Other than PP&E	210	(136)	247	(151)
030	Residential immovable property	35	(13)	39	(14)
040	Commercial immovable property	60	(33)	79	(40)
050	Movable property (auto, shipping, etc.)	112	(89)	124	(95)
060	Equity and debt instruments	-	-	-	-
070	Other	3	(1)	5	(1)
080	TOTAL	212	(136)	250	(151)

Definitions of assets that are past due, impaired, in default, provisioned or restructured appear in the following sections of this document:

- for exposures that are past due, impaired and in default, see Chapter 4 “Consolidated financial statements”, “Notes to the consolidated financial statements” part, Note 1.2 “Accounting policies and principles”;
- please note that the Crédit Agricole Group does not report exposures over 90 days past due that are not considered impaired;
- for the methods for determining adjustments for general and specific credit risk, see Chapter 3, “Risk management”, Section 2.4.IV “Application of IFRS 9”, which discusses the determination of expected loss amounts;
- the definition of restructured exposures is given in Chapter 4 “Consolidated financial statements”, Note 1, “Restructuring due to financial difficulty” section.

3.4.2.2 Credit risk

Since late 2007, the ACPR has authorised Crédit Agricole Group to use its internal rating systems to calculate regulatory capital requirements for credit risk on Retail and Large customer exposures throughout almost all of its scope. The main recent developments concerning the Group's rollout plan are the transition to the advanced IRB approach for all “Retail Banking” portfolios in the CA Italia and FriulAdria entities in Italy in 2013, the validation in the IRB approach of the LCL “Corporates” portfolios of the Crédit Agricole Regional Banks (CRCA) with effect from 1 October 2014, as well as the authorisation issued by the ECB in July 2021 to use the probability of default models for real estate professionals and extend the use of the probability of default models for leverage buy-outs (LBOs) to CRCA and LCL.

The main Group entities or portfolios still using the standardised approach for measuring credit and/or operational risk at 31 December 2020 were as follows:

- the not-yet-validated CA Italia portfolios (non-retail customer portfolios and Carispezia scope) as well as all other entities in the International Retail Banking division;
- the Crédit Agricole Leasing & Factoring Group;
- some portfolios and international subsidiaries of the Crédit Agricole Consumer Finance Group.

Pursuant to the Group's commitment to phase in the advanced approach, agreed with the Supervisor (rollout plan), work on the rollout of the IRB approach continues. An update of the rollout plan is sent annually to the competent authority. In addition, pursuant to Article 150 of Delegated Regulation (EU) No. 575/2013 of 26 June 2013 modified (CRR) on regulatory prudential requirements for credit institutions and investment firms, a request for authorisation for the use of the permanent partial use (PPU) of the standardised approach in certain areas of the Crédit Agricole Group was submitted to the ECB in 2021.

3.4.2.2.1 Exposures under the standardised approach

The exposure classes under the standardised approach are classified by counterparty type and financial product type, in one of the 17 classes set out in Article 112 of Regulation (EU) 575/2013 of 26 June 2013 modified (CRR). The weightings applied to these same assets are calculated in accordance with Articles 114 to 134 of said Regulation.

For the “Central governments and Central Banks” and “Institutions” exposure classes, the Crédit Agricole Group has chosen to use evaluations from several ratings agencies: (S&P, Moody's, Fitch, Cerved and BdF) under the standardised approach.

Accordingly, when the counterparty's credit valuation from the rating agency is known, it is used to determine the applicable weighting. With respect to the counterparties in the “Institutions” or “Corporates” exposure categories for which the credit valuation is not known, the weighting used is determined having regard to the credit valuation of the jurisdiction of the central government in which this counterparty is established, in accordance with the provisions of Articles 121 and 122 of the aforementioned Regulation.

With respect to exposures on debt instruments in the banking portfolio, the rule is to apply the issuer's weighting ratio. This rate is determined using the rules described in the foregoing paragraph.

— Standardised approach – Credit risk exposure and CRM effects (CR4)

31/12/2021 Exposure classes (in millions of euros)		Exposures before CCF and before CRM		Exposures post CCF and post CRM		RWA and RWA density	
		On-balance- sheet exposures	Off-balance- sheet exposures	On-balance- sheet exposures	Off-balance- sheet exposures	RWA	RWA density (%)
1	Central governments or Central Banks	102,796	1,085	104,526	1,010	8,796	8.34%
2	Regional government or local authorities	969	81	1,113	53	170	14.61%
3	Public sector entities	5,030	83	5,226	55	408	7.72%
4	Multilateral development banks	447	15	453	3	24	5.33%
5	International organisations	1,105	-	1,105	-	-	-
6	Banks (Institutions)	15,410	5,116	34,756	2,730	5,897	15.73%
7	Corporates	86,125	26,864	64,786	9,612	61,999	83.34%
8	Retail	28,892	3,550	26,801	831	18,462	66.82%
9	Secured by mortgages on immovable property	12,936	300	12,825	94	5,231	40.49%
10	Exposures in default	1,506	104	1,274	46	1,575	119.37%
11	Exposures associated with particularly high risk	1,796	639	1,693	301	2,991	150.00%
12	Covered bonds	869	-	869	-	87	10.00%
13	Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-
14	Collective investment undertakings	12,351	18,779	12,351	7,284	8,824	44.94%
15	Equity	1,627	1	1,627	1	1,866	114.63%
16	Other items	26,040	4	26,040	4	20,417	78.39%
17	TOTAL	297,899	56,621	295,443	22,023	136,748	43.08%

— Standardised approach – Credit risk exposure and CRM effects (CR4)

31/12/2020 Exposure classes (in millions of euros)		Exposures before CCF and before CRM		Exposures post CCF and post CRM		RWA and RWA density	
		On-balance- sheet exposures	Off-balance- sheet exposures	On-balance- sheet exposures	Off-balance- sheet exposures	RWA	RWA density (%)
1	Central governments or Central Banks	85,499	116	87,205	35	7,609	8.72%
2	Regional government or local authorities	966	87	1,107	57	142	12.18%
3	Public sector entities	3,807	40	3,964	26	163	4.10%
4	Multilateral development banks	361	2	369	-	21	5.58%
5	International organisations	1,116	-	1,116	-	-	-
6	Banks (Institutions)	20,378	5,786	35,326	3,352	6,511	16.83%
7	Corporates	81,877	30,837	64,787	11,776	63,808	83.34%
8	Retail	26,925	3,883	25,257	797	17,661	67.79%
9	Secured by mortgages on immovable property	12,228	178	12,082	84	5,149	42.32%
10	Exposures in default	2,020	93	1,728	38	2,117	119.86%
11	Exposures associated with particularly high risk	1,737	668	1,677	318	2,993	150.00%
12	Covered bonds	664	-	664	-	140	21.13%
13	Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-
14	Collective investment undertakings	16,364	18,989	16,364	6,229	7,391	32.71%
15	Equity	1,220	6	1,220	6	1,450	118.30%
16	Other items	26,843	6	26,843	6	20,885	77.79%
17	TOTAL	282,004	60,691	279,709	22,724	136,040	44.98%

— Standardised approach to exposures by asset class and risk weighting coefficient (CR5)

31/12/2021 Exposure classes (in millions of euros)	Risk weight																o/w unrated
	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1,250%	Others	Total	
1 Central governments or Central Banks	99,739	-	-	-	5	-	0	-	-	3,789	0	2,003	-	-	-	105,536	105,535
2 Regional government or local authorities	315	-	-	-	851	-	-	-	-	0	-	-	-	-	-	1,166	1,164
3 Public sector entities	3,476	-	-	-	1,734	-	20	-	-	51	-	-	-	-	-	5,281	4,506
4 Multilateral development banks	334	-	-	-	121	-	-	-	-	-	-	-	-	-	-	456	456
5 International organisations	1,105	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1,105	1,105
6 Banks (Institutions)	19,369	2,979	-	-	8,552	-	4,949	-	-	1,603	33	-	-	-	-	37,486	30,493
7 Corporates	-	-	-	-	6,314	-	8,286	-	-	57,424	2,375	-	-	-	-	74,398	43,751
8 Retail	-	-	-	-	-	603	-	-	27,028	-	-	-	-	-	-	27,632	27,632
9 Secured by mortgages on immovable property	-	-	-	-	-	8,355	3,476	-	1,088	-	-	-	-	-	-	12,919	12,919
10 Exposures in default	-	-	-	-	-	-	-	-	-	808	511	-	-	-	-	1,319	1,319
11 Exposures associated with particularly high risk	-	-	-	-	-	-	-	-	-	-	1,994	-	-	-	-	1,994	1,994
12 Covered bonds	-	-	-	869	-	-	-	-	-	-	-	-	-	-	-	869	-
13 Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14 Collective investment undertakings	9,392	-	4	104	2,641	-	2,839	-	-	4,251	221	-	-	183	-	19,635	18,338
15 Equity	-	-	-	-	-	-	-	-	-	1,469	-	159	-	-	-	1,628	1,628
16 Other items	4,438	-	-	-	1,486	-	-	-	-	20,119	-	-	-	-	-	26,044	25,428
17 TOTAL	138,168	2,979	4	973	21,706	8,958	19,571	-	28,117	89,513	5,134	2,161	-	183	-	317,466	276,269

— Standardised approach to exposures by asset class and risk weighting coefficient (CR5)

31/12/2020																	Risk weight	
Asset classes																	o/w	
(in millions of euros)		0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1,250%	Others	Total	unrated
1	Central governments or Central Banks	82,046	-	-	-	6	-	334	-	-	3,127	3	1,724	-	-	-	87,240	87,239
2	Regional government or local authorities	455	-	-	-	709	-	-	-	-	-	-	-	-	-	-	1,164	1,163
3	Public sector entities	3,443	-	-	-	456	-	38	-	-	53	-	-	-	-	-	3,990	3,959
4	Multilateral development banks	342	-	-	-	8	-	-	-	-	19	-	-	-	-	-	369	369
5	International organisations	1,116	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1,116	1,116
6	Banks (Institutions)	19,173	1,784	-	-	10,590	-	5,590	-	-	1,500	42	-	-	-	-	38,678	30,088
7	Corporates	-	-	-	-	5,291	-	11,069	-	-	57,885	2,317	-	-	-	-	76,563	46,803
8	Retail	-	-	-	-	-	-	-	-	26,054	-	-	-	-	-	-	26,054	26,054
9	Secured by mortgages on immovable property	-	-	-	-	-	8,212	2,063	-	1,891	-	-	-	-	-	-	12,166	12,166
10	Exposures in default	-	-	-	-	-	-	-	-	-	1,064	701	-	-	-	-	1,766	1,766
11	Exposures associated with particularly high risk	-	-	-	-	-	-	-	-	-	-	1,995	-	-	-	-	1,995	1,995
12	Covered bonds	-	-	-	269	352	-	-	-	-	43	-	-	-	-	-	664	-
13	Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14	Collective investment undertakings	9,192	-	1	85	5,025	-	4,130	-	-	3,856	304	-	-	-	-	22,593	21,116
15	Equity	-	-	-	-	-	-	-	-	-	1,076	-	150	-	-	-	1,226	1,226
16	Other items	4,579	-	-	-	1,732	-	-	-	-	20,539	-	-	-	-	-	26,849	26,242
17	TOTAL	120,346	1,784	1	354	24,169	8,212	23,224	-	27,945	89,162	5,362	1,874	-	-	-	302,433	261,302

Exposures to the asset classes “Central government and Central Banks” and “Banks” (institutions) treated under the standardised approach were mainly risk-weighted at 0% at end-2021 and at end-2020. This reflects the quality of the activities carried out with these types of counterparties.

3.4.2.2.2 Credit risk – internal ratings-based approach

Outstanding loans are classified by counterparty type and financial product type, based on the seven exposure classes shown in the table below and set out in Article 147 of Regulation (EU) 575/2013 of 26 June 2013 modified (CRR) on capital requirements for credit institutions and investment firms:

- in addition to exposures to “Central governments and Central Banks”, the Central government and Central Banks class includes exposures to certain regional and local authorities and public sector agencies that are treated as central government agencies, as well as multilateral development banks and international organisations;
- the “Institutions” class comprises exposure to credit institutions and investment companies, including those recognised in other countries. It also includes some exposures to regional and local authorities, public sector agencies and multilateral development banks that are not classified under central governments;
- the “Corporates” class is divided into large corporates and small and medium-sized companies, which are subject to different regulatory treatments;
- the “Retail customers” class is broken down into loans secured by real estate granted to individuals and to small and medium businesses, revolving credit, other loans granted to individuals and to small and medium businesses;
- the “Equity” class comprises exposures that convey a residual, subordinated claim on the assets or revenues of the issuer or have a similar economic substance;
- the “Securitisation” class includes exposures to securitisation transactions or structures, including those resulting from interest rate or exchange rate derivatives, independently of the institution’s role (whether it is the originator, sponsor or investor);
- the “Assets other than credit obligations” class does not currently include any assets using the IRB approach.

In accordance with the regulatory rules in effect, risk-weighted assets in the “Central governments and Central Banks”, “Institutions”, “Corporates” and “Retail customers” classes are calculated by applying a regulatory formula, the main parameters of which are the EAD, PD, LGD and the maturity associated with each exposure:

- for exposures to Large customers (Central governments and Central Banks, Institutions and Corporates), the formula is given in Article 153 of EU Regulation 575/2013 of 26 June 2013 modified (CRR);
- for exposures to Retail customers, the formula is given in Article 154 of EU Regulation 575/2013 of 26 June 2013 modified (CRR).

Risk-weighted assets in the “Equities” category are calculated by applying standardised weightings to the carrying amount of the exposures. These weightings, set out in Article 155 of EU Regulation 575/2013 of 26 June 2013 modified (CRR), depend on the nature of the equities involved: 190% for private equity exposures in sufficiently diversified portfolios, 290% for exchange traded equity exposures and 370% for all other “Equity” exposures excluding equity investments of over 10% in financial firms used in the calculation of the exemption threshold (250% weighting).

Risk-weighted assets of “Assets other than credit obligations” exposures are calculated in accordance with Article 156 of Regulation (EU) 575/2013 of 26 June 2013 modified (CRR). The parameters of the formulas cited above are estimated using historical default and loss data collected internally by the Crédit Agricole Group. Note that the definition of default used for the calculation of these parameters has a significant influence on the value thereof.

Exposure at Default (EAD) is the amount of exposure to a counterparty at the time of said counterparty’s default. For balance sheet items, EAD corresponds to exposure net of provisions for hedged items using the standardised approach to credit risk, and to gross amounts for hedged items using internal ratings. In the case of limits and financing commitments not used by the counterparty, a portion of the total commitment is taken into account by applying a credit conversion factor (CCF). The CCF is estimated using an internal method validated by the supervisory authority for Retail customers portfolios. The Internal CCF is estimated on the basis of the CCF observed in cases of default by class of exposure. For other portfolios, a standard CCF of 20%, 50% or 100% is applied, depending on the nature of the commitment and its term.

For Large customers, default is defined on a customer-by customer basis. As a result, it factors in the principle of contagion: an exposure to a defaulting customer causes the classification under default of all of the said customer’s loans within the entity responsible for the run rate and all of its loans within the Crédit Agricole Group.

For Retail customers, following the change in the internal definition of default pursuant to the new EBA guidelines, the definition of default now also applies solely at the debtor level. Contagion rules are defined and precisely documented by the entity (joint account, outstandings of individuals or professionals, notion of risk group, etc.).

The pertinence and reliability of the rating data used are guaranteed by a process consisting in the initial validation and subsequent maintenance of internal models based on a structured and documented organisation implemented throughout the Group and involving entities, the Risk Management department and the Audit Group function.

The use of internal models for calculating solvency ratios has strengthened the Crédit Agricole Group’s risk management. In particular, the development of “internal rating” approaches has led to the systematic collection of reliable data in respect of historical default and loss for the majority of Group entities. The collection of historical data of this nature now makes it possible to quantify credit risk by giving each rating an average Probability of Default (PD) and, for “advanced internal rating” approaches, a Loss Given Default (LGD).

In addition, the parameters of the “internal rating” models are used in the definition, implementation and monitoring of the entities’ risk and credit policies. For Large customers, the Group’s unique rating system (identical tools and methods, shared data), in place for many years, has contributed to strengthening and normalising the use of ratings and the associated risk parameters within the entities. The uniqueness of ratings for the Large customer class thereby provides a shared framework on which to base standards and procedures, management tools, provisioning and risk-hedging policies, as well as alerts and close monitoring procedures. Due to their role in the monitoring and managing of risk within the various entities, ratings are subject to quality controls and regular monitoring at all stages of the rating process.

Internal models for measuring risks accordingly promote the development of sound risk-management practices among Group entities and improve the efficiency of the process of capital allocation by allowing a more accurate measurement of its consumption by business line and by entity.

In accordance with internal model validation procedures, all internal models used within the Crédit Agricole Group to calculate capital requirements for credit risk are submitted to the Standards and Models Committee (SMC) for approval, following an independent review by the Group's Internal Validation function. This internal validation process pre-dates the application for formal approval to the ECB.

After validation, systems governing internal ratings and the calculation of risk parameters are subject to permanent and periodic control within each Group entity.

Pursuant to Article 189 of Regulation (EU) 575/2013 of 26 June 2013 (CRR), as amended, an annual summary of the functioning of the rating system is presented to the management bodies (Crédit Agricole S.A. Risk Committee and Group Risk Committee). This presentation incorporates the overall findings of the independent review and validation processes for internal models.

Modelled Parameter	Portfolio/Entity	Number of models
PD	Sovereigns	5
	Local authorities	8
	Financial Institutions (Banks, Insurance, Funds, etc.)	8
	Specialised financing	9
	Corporates	9
	Retail Banking – Regional Banks	4
	Retail Banking – LCL	2
	Retail Banking – Crédit Agricole Consumer Finance	16
	Retail Banking – Crédit Agricole CIB	1
	Retail Banking – CA Italia	7
LGD	Sovereigns	1
	Financial Institutions (Banks, Insurance, Funds, etc.)	4
	Specialised financing	8
	Corporates	1
	Retail Banking – Regional Banks	12
	Retail Banking – LCL	8
	Retail Banking – Crédit Agricole Consumer Finance	16
	Retail Banking – Crédit Agricole CIB	1
	Retail Banking – CA Italia	2
CCF	Retail Banking – Regional Banks	2
	Retail Banking – LCL	2
	Retail Banking – Crédit Agricole Consumer Finance	4
	Retail Banking – CA Italia	2

3.4.2.2.3 Quality of exposures under the internal ratings-based approach

Presentation of the internal ratings system and procedure

The internal ratings systems and procedures are described in the section entitled “Risk management – Credit Risk – Risk measurement methods and systems”.

The Retail customers credit risk exposure classes are presented separately as the internal ratings used for them are not the same as those for the other classes.

— Internal Ratings Based (Foundation) Approach – Credit risk exposures by exposure class and probability of default (PD) category: CR6

31/12/2021 (in millions of euros) F-IRB	PD Scale	On-balance sheet exposures	Off-balance- sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Central governments and Central Banks	0.00 to <0.15	220,159	791	56.93%	231,264	0.00%	45.00%	2.50	998	0.43%	1	31
	0.00 to <0.10	220,149	790	56.92%	231,254	0.00%	45.00%	2.50	994	0.43%	1	31
	0.10 to <0.15	10	0	75.00%	10	0.12%	45.00%	2.50	4	34.94%	0	0
	0.15 to <0.25	568	-	-	567	0.16%	45.00%	2.50	233	41.13%	0	0
	0.25 to <0.50	51	2	30.40%	49	0.35%	43.86%	2.50	30	60.67%	0	0
	0.50 to <0.75	84	3	53.57%	85	0.60%	45.00%	2.50	68	79.98%	0	0
	0.75 to <2.50	243	14	61.44%	237	1.69%	45.00%	2.50	272	115.09%	2	8
	0.75 to <1.75	82	13	62.03%	76	1.25%	45.00%	2.50	79	104.62%	0	0
	1.75 to <2.5	161	1	52.84%	161	1.90%	45.00%	2.50	193	119.99%	1	8
	2.50 to <10.00	20	1	83.51%	21	3.33%	45.00%	2.50	30	139.54%	0	0
	2.5 to <5	19	1	83.51%	20	3.00%	45.00%	2.50	27	136.14%	0	0
	5 to <10	1	-	-	1	8.00%	45.00%	2.50	3	188.21%	0	0
	10.00 to <100.00	9	1	75.00%	9	20.00%	45.00%	2.50	23	252.53%	1	0
	10 to <20	-	-	-	-	-	-	-	-	-	-	-
	20 to <30	9	1	75.00%	9	20.00%	45.00%	2.50	23	252.53%	1	0
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	0	-	-	0	100.00%	45.00%	2.50	-	-	0	0
	SUB-TOTAL	221,134	811	56.99%	232,233	0.00%	45.00%	2.50	1,654	0.71%	4	40
Institutions	0.00 to <0.15	45,837	3,978	50.21%	49,117	0.03%	41.88%	2.50	7,549	15.37%	7	20
	0.00 to <0.10	45,820	3,978	50.21%	49,099	0.03%	41.88%	2.50	7,543	15.36%	7	20
	0.10 to <0.15	18	1	66.67%	18	0.12%	45.00%	2.50	6	34.98%	0	0
	0.15 to <0.25	918	73	67.96%	1,022	0.16%	35.59%	2.50	361	35.31%	1	1
	0.25 to <0.50	828	29	60.22%	846	0.32%	44.95%	2.50	584	69.06%	1	1
	0.50 to <0.75	602	30	55.25%	620	0.60%	44.91%	2.50	589	95.14%	2	2
	0.75 to <2.50	232	39	44.34%	239	1.09%	44.87%	2.50	243	101.43%	1	3
	0.75 to <1.75	221	37	45.20%	231	1.06%	44.86%	2.50	232	100.57%	1	3
	1.75 to <2.5	11	1	20.00%	9	1.90%	45.00%	2.50	11	124.69%	0	0
	2.50 to <10.00	34	23	66.50%	49	3.60%	45.00%	2.50	72	146.95%	1	1
	2.5 to <5	21	20	68.62%	35	3.00%	45.00%	2.50	48	136.13%	0	0
	5 to <10	12	3	51.94%	14	5.10%	45.00%	2.50	24	174.12%	0	0
	10.00 to <100.00	201	14	37.12%	207	19.98%	45.00%	2.50	525	253.42%	19	0
	10 to <20	1	1	21.01%	1	13.18%	45.00%	2.50	2	235.53%	0	0
	20 to <30	200	13	39.03%	206	20.00%	45.00%	2.50	523	253.47%	19	0
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	34	2	59.20%	34	100.00%	45.00%	2.50	-	-	16	12
	SUB-TOTAL	48,686	4,187	50.62%	52,134	0.20%	41.87%	2.50	9,923	19.03%	46	39

31/12/2021 (in millions of euros) F-IRB	PD Scale	On-balance sheet exposures	Off-balance- sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Corporates – SME	0.00 to <0.15	3,361	797	67.01%	3,801	0.08%	44.02%	2.50	711	18.70%	1	6
	0.00 to <0.10	1,626	342	67.71%	1,860	0.04%	44.62%	2.50	246	13.24%	0	2
	0.10 to <0.15	-	-	-	-	-	-	-	-	-	-	-
	0.15 to <0.25	143	27	58.96%	141	0.16%	44.48%	2.50	42	30.01%	0	0
	0.25 to <0.50	9,907	2,330	66.42%	10,406	0.38%	43.05%	2.50	4,452	42.78%	17	67
	0.50 to <0.75	411	97	71.14%	438	0.60%	43.17%	2.50	229	52.25%	1	3
	0.75 to <2.50	16,331	3,303	70.16%	16,051	1.14%	42.96%	2.50	10,405	64.82%	79	271
	0.75 to <1.75	15,487	3,135	70.26%	15,229	1.10%	42.97%	2.50	9,775	64.19%	72	245
	1.75 to <2.5	844	168	68.42%	822	1.90%	42.90%	2.50	630	76.59%	7	26
	2.50 to <10.00	7,593	1,209	69.20%	6,554	4.25%	42.86%	2.50	6,080	92.76%	119	349
	2.5 to <5	5,315	866	68.91%	4,691	3.00%	42.86%	2.50	4,009	85.45%	60	186
	5 to <10	2,278	343	69.94%	1,863	7.39%	42.84%	2.50	2,071	111.16%	59	163
	10.00 to <100.00	1,399	248	69.53%	1,173	18.04%	42.92%	2.50	1,849	157.56%	91	130
	10 to <20	637	103	69.83%	524	14.34%	43.35%	2.50	784	149.75%	33	54
	20 to <30	762	145	69.32%	650	21.02%	42.57%	2.50	1,064	163.85%	58	76
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	1,477	175	71.57%	1,357	100.00%	44.25%	2.50	-	-	601	1,004
	SUB-TOTAL	40,622	8,188	68.63%	39,921	5.20%	43.12%	2.50	23,767	59.53%	909	1,830
Corporates – Specialised Lending	0.00 to <0.15	116	72	73.60%	180	0.07%	43.50%	2.50	44	24.29%	0	0
	0.00 to <0.10	115	13	67.54%	134	0.05%	43.00%	2.50	28	20.71%	0	0
	0.10 to <0.15	2	58	75.00%	45	0.12%	45.00%	2.50	16	34.94%	0	0
	0.15 to <0.25	472	100	63.25%	533	0.16%	43.13%	2.50	210	39.43%	0	2
	0.25 to <0.50	862	274	73.37%	1,063	0.30%	44.16%	2.50	606	56.99%	1	5
	0.50 to <0.75	665	160	77.00%	787	0.60%	43.91%	2.50	618	78.52%	2	6
	0.75 to <2.50	773	193	75.84%	911	1.23%	43.50%	2.50	901	98.97%	5	23
	0.75 to <1.75	543	130	76.51%	639	0.94%	43.86%	2.50	590	92.41%	3	8
	1.75 to <2.5	230	63	74.46%	272	1.90%	42.65%	2.50	311	114.38%	2	15
	2.50 to <10.00	22	10	75.00%	30	4.88%	43.74%	2.50	46	153.06%	1	2
	2.5 to <5	4	0	75.00%	5	3.00%	43.25%	2.50	6	132.27%	0	0
	5 to <10	18	10	75.00%	25	5.22%	43.83%	2.50	40	156.87%	1	2
	10.00 to <100.00	15	10	80.02%	23	14.77%	45.00%	2.50	54	230.29%	2	1
	10 to <20	14	2	75.00%	15	12.00%	45.00%	2.50	33	218.51%	1	0
	20 to <30	2	8	81.36%	8	20.00%	45.00%	2.50	20	252.53%	1	1
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	-	-	-	-	-	-	-	-	-	-	-
	SUB-TOTAL	2,925	818	73.55%	3,527	0.71%	43.75%	2.50	2,479	70.28%	11	39

31/12/2021 (in millions of euros) F-IRB	PD Scale	On-balance sheet exposures	Off-balance- sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Corporates – Other	0.00 to <0.15	26,547	14,835	66.88%	37,007	0.06%	44.67%	2.50	8,423	22.76%	10	43
	0.00 to <0.10	20,358	10,281	68.77%	27,763	0.04%	44.67%	2.50	5,173	18.63%	5	25
	0.10 to <0.15	6,189	4,554	62.60%	9,245	0.12%	44.69%	2.50	3,250	35.16%	5	18
	0.15 to <0.25	1,479	1,322	77.65%	2,511	0.16%	44.49%	2.50	1,037	41.32%	2	4
	0.25 to <0.50	17,672	9,561	61.88%	22,633	0.35%	44.29%	2.50	13,832	61.11%	35	104
	0.50 to <0.75	1,318	563	68.49%	1,663	0.60%	44.24%	2.50	1,329	79.96%	4	10
	0.75 to <2.50	14,991	5,461	65.47%	15,597	1.11%	43.81%	2.50	15,337	98.33%	76	316
	0.75 to <1.75	14,238	5,340	65.43%	14,883	1.07%	43.81%	2.50	14,497	97.40%	70	294
	1.75 to <2.5	752	121	67.45%	714	1.90%	43.77%	2.50	841	117.71%	6	21
	2.50 to <10.00	4,847	1,396	67.81%	4,170	4.36%	43.96%	2.50	6,196	148.60%	80	209
	2.5 to <5	3,183	908	68.18%	2,887	3.00%	43.84%	2.50	3,868	133.95%	38	124
	5 to <10	1,664	487	67.13%	1,282	7.41%	44.22%	2.50	2,329	181.58%	42	85
	10.00 to <100.00	1,002	258	56.19%	846	18.37%	44.08%	2.50	2,055	242.87%	69	76
	10 to <20	416	126	59.21%	336	14.73%	43.80%	2.50	766	227.99%	22	35
	20 to <30	586	132	53.32%	510	20.78%	44.26%	2.50	1,289	252.67%	47	41
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	1,494	241	53.90%	1,324	100.00%	44.61%	2.50	-	-	610	906
	SUB-TOTAL	69,349	33,637	65.54%	85,751	2.27%	44.36%	2.50	48,209	56.22%	886	1,667
TOTAL (ALL EXPOSURES CLASSES)		382,716	47,642	64.75%	413,566			2.50	86,032	20.80%	1,856	3,615

— Internal Ratings Based (Foundation) Approach – Credit risk exposures by exposure class and probability of default (PD) category: CR6

31/12/2020 Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Average CCF (%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Central governments and Central Banks	0.00 to <0.15	187,349	996	74.36%	200,587	0.00%	45.00%	2.50	926	0.46%	1	-
	0.15 to <0.25	713	11	76.16%	718	0.16%	45.00%	2.50	297	41.39%	1	-
	0.25 to <0.50	11	-	75.00%	9	0.30%	44.31%	2.50	5	61.88%	-	-
	0.50 to <0.75	93	4	75.00%	96	0.60%	45.00%	2.50	77	80.27%	-	-
	0.75 to <2.50	88	10	75.09%	96	1.24%	44.99%	2.50	107	110.73%	1	-
	2.50 to <10.00	9	1	75.00%	10	5.00%	45.00%	2.50	17	173.92%	-	-
	10.00 to <100.00	18	1	77.68%	18	20.00%	44.22%	2.50	45	248.77%	2	-
	100.00 (default)	1	-	-	1	100.00%	45.00%	2.50	-	-	-	-
	SUB-TOTAL	188,283	1,023	74.38%	201,535	0.01%	45.00%	2.50	1,474	0.73%	4	21
Institutions	0.00 to <0.15	49,885	4,477	68.29%	54,244	0.03%	42.09%	2.50	8,753	16.14%	7	-
	0.15 to <0.25	1,132	101	74.72%	1,251	0.16%	38.02%	2.50	487	38.96%	1	-
	0.25 to <0.50	748	8	58.27%	752	0.30%	44.99%	2.50	517	68.76%	1	-
	0.50 to <0.75	260	32	68.31%	266	0.60%	44.77%	2.50	225	84.62%	1	-
	0.75 to <2.50	265	55	55.42%	294	1.06%	44.89%	2.50	319	108.69%	1	-
	2.50 to <10.00	9	2	41.36%	9	5.00%	45.00%	2.50	17	177.88%	-	-
	10.00 to <100.00	105	17	72.40%	110	19.34%	44.99%	2.50	277	252.17%	10	-
	100.00 (default)	42	-	-	42	100.00%	45.00%	2.50	-	-	19	-
	SUB-TOTAL	52,445	4,693	68.26%	56,969	0.16%	42.08%	2.50	10,596	18.60%	40	26
Corporates – Other	0.00 to <0.15	20,364	8,006	73.20%	26,240	0.04%	44.73%	2.50	5,233	19.94%	5	-
	0.15 to <0.25	7,246	3,616	73.98%	9,290	0.16%	44.61%	2.50	4,059	43.69%	7	-
	0.25 to <0.50	8,914	4,799	69.35%	11,617	0.30%	44.41%	2.50	7,103	61.14%	15	-
	0.50 to <0.75	7,556	3,232	72.50%	8,852	0.60%	44.35%	2.50	7,485	84.56%	24	-
	0.75 to <2.50	18,922	6,302	73.60%	19,926	1.23%	43.87%	2.50	21,517	107.99%	107	-
	2.50 to <10.00	2,113	577	74.18%	1,863	5.00%	43.70%	2.50	3,141	168.64%	41	-
	10.00 to <100.00	1,815	409	69.59%	1,553	16.83%	44.45%	2.50	3,956	254.63%	116	-
	100.00 (default)	1,342	364	54.07%	1,337	100.00%	44.79%	2.50	-	-	599	-
	SUB-TOTAL	68,273	27,305	72.33%	80,678	2.54%	44.39%	2.50	52,494	65.07%	913	1,660
Corporates – SME	0.00 to <0.15	524	150	77.55%	638	0.04%	44.50%	2.50	84	13.20%	-	-
	0.15 to <0.25	762	291	73.91%	937	0.16%	44.07%	2.50	313	33.45%	1	-
	0.25 to <0.50	2,211	609	73.32%	2,251	0.30%	43.57%	2.50	976	43.34%	3	-
	0.50 to <0.75	3,386	678	76.95%	3,417	0.60%	43.39%	2.50	1,979	57.90%	9	-
	0.75 to <2.50	21,361	4,242	76.42%	20,818	1.40%	43.09%	2.50	15,645	75.15%	125	-
	2.50 to <10.00	4,378	750	77.78%	4,057	5.00%	42.56%	2.50	4,327	106.65%	86	-
	10.00 to <100.00	2,574	399	77.07%	2,218	15.18%	42.95%	2.50	3,505	158.01%	145	-
	100.00 (default)	1,382	186	78.72%	1,354	100.00%	44.23%	2.50	-	-	599	-
	SUB-TOTAL	36,579	7,305	76.39%	35,690	6.20%	43.17%	2.50	26,829	75.17%	968	1,866
Corporates – Specialised Lending	0.00 to <0.15	139	34	77.61%	170	0.06%	43.50%	2.50	37	21.56%	-	-
	0.15 to <0.25	261	48	79.37%	297	0.16%	42.48%	2.50	116	38.91%	-	-
	0.25 to <0.50	873	210	77.88%	1,035	0.30%	43.98%	2.50	593	57.34%	1	-
	0.50 to <0.75	524	212	79.58%	693	0.60%	44.00%	2.50	543	78.38%	2	-
	0.75 to <2.50	368	146	76.81%	478	1.15%	43.92%	2.50	473	98.78%	2	-
	2.50 to <10.00	49	14	75.12%	60	5.00%	44.15%	2.50	94	155.84%	1	-
	10.00 to <100.00	69	45	76.33%	103	14.75%	43.76%	2.50	230	224.18%	7	-
	100.00 (default)	6	1	100.00%	7	100.00%	40.02%	2.50	-	-	3	-
	SUB-TOTAL	2,289	710	78.12%	2,844	1.35%	43.78%	2.50	2,085	73.33%	17	32
TOTAL (ALL PORTFOLIOS)		347,869	41,035	72.73%	377,715	1.17%	44.25%		93,478	24.75%	1,942	3,604

— Credit risk exposures by portfolio and probability of default (PD) range Advanced internal ratings-based approach at 31 December 2021 (CR6)

31/12/2021 (in millions of euros) A-IRB	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Central governments and Central Banks	0.00 to <0.15	93,100	2,021	69.12%	107,602	0.01%	5.31%	1.60	432	0.40%	-	8
	0.00 to <0.10	93,100	2,021	69.12%	107,602	0.01%	5.31%	1.60	432	0.40%	-	8
	0.10 to <0.15	-	-	-	-	-	-	-	-	-	-	-
	0.15 to <0.25	238	10	75.00%	814	0.16%	10.00%	3.04	82	10.08%	6	-
	0.25 to <0.50	102	-	-	140	0.30%	10.00%	3.79	22	15.97%	-	-
	0.50 to <0.75	931	159	75.00%	642	0.60%	10.00%	1.27	92	14.31%	-	1
	0.75 to <2.50	128	484	75.00%	24	1.81%	45.00%	4.60	34	146.45%	-	1
	0.75 to <1.75	4	70	75.00%	3	1.24%	45.00%	4.56	4	133.05%	-	-
	1.75 to <2.5	123	414	75.00%	20	1.90%	45.00%	4.61	30	148.54%	-	1
	2.50 to <10.00	1,001	1,029	75.00%	153	5.00%	59.13%	4.53	208	135.71%	3	1
	2.5 to <5	-	-	-	-	-	-	-	-	-	-	-
	5 to <10	1,001	1,029	75.00%	153	5.00%	59.13%	4.53	208	135.71%	3	1
	10.00 to <100.00	371	349	75.02%	43	14.14%	71.11%	3.20	159	370.24%	4	2
	10 to <20	259	132	75.05%	31	12.00%	69.56%	3.10	108	345.24%	3	1
	20 to <30	111	217	75.00%	11	20.00%	75.38%	3.48	50	438.93%	2	1
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	39	-	-	23	100.00%	45.00%	3.85	-	-	17	17
	SUB-TOTAL	95,909	4,052	72.07%	109,440	0.04%	5.50%	1.62	1,029	0.94%	31	30
Institutions	0.00 to <0.15	11,250	4,010	50.15%	20,131	0.06%	28.52%	1.82	832	4.13%	1	-
	0.00 to <0.10	11,080	4,010	50.15%	14,783	0.04%	23.78%	1.54	713	4.82%	1	-
	0.10 to <0.15	170	-	-	5,348	0.13%	41.62%	2.59	119	2.22%	-	-
	0.15 to <0.25	1,291	2,050	68.43%	2,111	0.18%	36.67%	1.77	468	22.18%	1	1
	0.25 to <0.50	886	1,532	23.15%	1,176	0.30%	34.83%	1.49	548	46.59%	1	1
	0.50 to <0.75	87	688	31.64%	305	0.60%	44.33%	1.46	244	80.11%	1	-
	0.75 to <2.50	462	823	32.13%	620	1.24%	45.77%	1.60	676	108.97%	4	1
	0.75 to <1.75	309	512	22.37%	384	0.83%	45.62%	1.10	362	94.37%	1	1
	1.75 to <2.5	153	311	48.18%	236	1.90%	46.00%	2.42	314	132.68%	2	-
	2.50 to <10.00	46	267	31.78%	29	5.00%	83.87%	1.66	93	317.90%	1	-
	2.5 to <5	-	-	-	-	-	-	-	-	-	-	-
	5 to <10	46	267	31.78%	29	5.00%	83.87%	1.66	93	317.90%	1	-
	10.00 to <100.00	-	22	32.63%	5	13.11%	82.64%	2.10	24	459.41%	1	-
	10 to <20	-	19	34.62%	4	12.00%	81.30%	2.09	20	447.66%	-	-
	20 to <30	-	3	20.07%	1	20.00%	90.97%	2.15	4	532.73%	-	-
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	213	180	-	393	100.00%	45.01%	1.59	-	-	379	379
	SUB-TOTAL	14,234	9,572	45.37%	24,770	1.71%	30.48%	1.78	2,885	11.65%	388	383

31/12/2021 (in millions of euros) A-IRB	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Corporates – SME	0.00 to <0.15	89	304	24.02%	164	0.06%	39.50%	2.72	26	15.89%	-	-
	0.00 to <0.10	41	136	51.18%	111	0.04%	44.12%	2.86	18	16.22%	-	-
	0.10 to <0.15	48	167	1.91%	54	0.11%	30.01%	2.43	8	15.22%	-	-
	0.15 to <0.25	178	323	1.15%	188	0.21%	27.51%	2.47	37	19.58%	-	1
	0.25 to <0.50	342	361	3.95%	324	0.36%	29.82%	2.47	97	29.93%	-	1
	0.50 to <0.75	5	5	9.63%	6	0.64%	26.39%	2.32	2	29.51%	-	-
	0.75 to <2.50	1,032	713	37.52%	1,087	1.08%	31.68%	2.46	499	45.97%	3	8
	0.75 to <1.75	957	698	37.26%	1,004	1.02%	32.65%	2.53	469	46.76%	3	8
	1.75 to <2.5	76	15	50.15%	83	1.90%	20.06%	1.64	30	36.37%	-	-
	2.50 to <10.00	399	108	7.51%	403	3.56%	21.61%	2.49	187	46.51%	3	9
	2.5 to <5	382	97	2.84%	391	3.47%	21.12%	2.50	175	44.79%	3	9
	5 to <10	17	11	48.84%	12	6.59%	37.79%	2.10	12	102.79%	-	-
	10.00 to <100.00	160	48	13.59%	166	20.09%	24.64%	2.63	155	93.34%	8	9
	10 to <20	81	20	1.60%	82	11.55%	20.57%	2.46	53	64.40%	2	5
	20 to <30	29	23	26.74%	33	20.03%	42.90%	3.25	61	184.56%	3	-
	30.00 to <100.00	50	5	-	51	34.03%	19.41%	2.50	41	81.15%	3	4
	100.00 (default)	730	33	1.67%	751	100.00%	45.78%	2.50	329	43.76%	321	420
	SUB-TOTAL	2,935	1,895	19.74%	3,089	26.30%	33.38%	2.50	1,332	43.12%	336	448
Corporates – Specialised Lending	0.00 to <0.15	1,580	1,953	26.22%	9,771	0.04%	8.94%	3.51	435	4.45%	1	1
	0.00 to <0.10	1,238	598	32.08%	9,013	0.03%	7.39%	3.64	321	3.56%	-	-
	0.10 to <0.15	-	-	-	-	-	-	-	-	-	-	-
	0.15 to <0.25	6,647	1,524	49.51%	9,348	0.16%	10.39%	3.78	1,105	11.82%	2	1
	0.25 to <0.50	10,915	3,909	43.28%	11,569	0.31%	13.13%	3.07	2,030	17.54%	5	14
	0.50 to <0.75	7,857	1,617	46.65%	7,137	0.60%	13.24%	3.17	1,691	23.70%	6	27
	0.75 to <2.50	14,022	5,050	51.37%	11,218	1.12%	16.72%	3.26	4,346	38.74%	21	94
	0.75 to <1.75	10,095	3,378	44.18%	9,047	0.93%	17.04%	3.27	3,400	37.58%	15	56
	1.75 to <2.5	3,928	1,672	65.89%	2,172	1.90%	15.41%	3.22	946	43.56%	6	39
	2.50 to <10.00	2,062	467	74.17%	1,906	4.45%	17.65%	3.10	1,194	62.67%	15	85
	2.5 to <5	605	106	75.00%	620	3.00%	14.63%	2.83	277	44.60%	3	3
	5 to <10	1,457	361	73.93%	1,285	5.14%	19.10%	3.23	918	71.40%	12	82
	10.00 to <100.00	2,547	342	75.40%	1,771	15.54%	16.00%	3.36	1,499	84.63%	43	129
	10 to <20	1,411	94	77.08%	988	12.00%	17.80%	3.34	882	89.22%	21	66
	20 to <30	1,136	248	74.76%	783	20.00%	13.74%	3.37	617	78.84%	22	63
	30.00 to <100.00	-	-	-	-	-	-	-	-	-	-	-
	100.00 (default)	1,618	11	84.42%	1,415	100.00%	36.35%	2.59	-	0.02%	455	455
	SUB-TOTAL	47,248	14,873	46.53%	54,135	3.69%	13.52%	3.32	12,300	22.72%	547	806

31/12/2021 (in millions of euros) A-IRB	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Corporates – Other	0.00 to <0.15	33,063	79,921	55.63%	71,895	0.06%	38.27%	2.11	12,233	17.02%	15	21
	0.00 to <0.10	25,205	56,937	64.33%	59,603	0.04%	37.60%	2.08	8,588	14.41%	9	14
	0.10 to <0.15	7,859	22,984	34.05%	12,292	0.12%	41.49%	2.21	3,644	29.65%	6	7
	0.15 to <0.25	4,979	8,164	54.92%	7,880	0.16%	42.36%	1.56	2,548	32.34%	5	9
	0.25 to <0.50	13,662	20,083	64.67%	22,385	0.31%	41.56%	2.39	12,273	54.83%	30	42
	0.50 to <0.75	1,891	4,127	67.47%	3,158	0.59%	39.70%	2.85	2,295	72.67%	8	73
	0.75 to <2.50	11,272	11,251	64.43%	12,935	1.04%	41.50%	2.76	12,161	94.02%	56	225
	0.75 to <1.75	10,351	9,796	63.62%	11,536	0.94%	41.24%	2.68	10,365	89.85%	45	161
	1.75 to <2.5	921	1,455	69.89%	1,400	1.86%	43.67%	3.49	1,796	128.36%	12	64
	2.50 to <10.00	4,566	2,938	72.79%	3,987	5.06%	37.98%	2.48	5,516	138.37%	78	246
	2.5 to <5	2,460	1,158	62.04%	2,243	3.16%	37.54%	2.56	2,702	120.47%	27	61
	5 to <10	2,106	1,780	79.78%	1,744	7.50%	38.54%	2.38	2,815	161.38%	50	185
	10.00 to <100.00	1,033	1,673	69.72%	975	15.28%	31.84%	2.16	1,618	165.91%	51	113
	10 to <20	676	1,047	72.53%	810	13.83%	28.54%	2.05	1,204	148.66%	34	85
	20 to <30	333	621	65.58%	139	20.20%	52.02%	2.76	373	268.31%	15	26
	30.00 to <100.00	24	5	-	26	34.03%	26.68%	2.50	40	154.99%	2	2
	100.00 (default)	1,690	628	34.79%	1,824	100.00%	43.39%	2.43	111	6.07%	1,524	1,572
	SUB-TOTAL	72,157	128,786	58.61%	125,039	1.96%	39.50%	2.23	48,755	38.99%	1,767	2,302
Retail – Secured by immovable property SME	0.00 to <0.15	2,214	39	101.90%	2,254	0.13%	22.06%	1.00	117	5.19%	1	2
	0.00 to <0.10	-	-	-	-	-	-	-	-	-	-	-
	0.10 to <0.15	2,214	39	101.90%	2,254	0.13%	22.06%	1.00	117	5.19%	1	2
	0.15 to <0.25	3,478	65	101.75%	3,545	0.21%	25.43%	1.00	313	8.82%	2	7
	0.25 to <0.50	5,762	167	100.16%	5,930	0.40%	22.60%	1.01	728	12.27%	5	18
	0.50 to <0.75	2,364	28	98.60%	2,392	0.53%	14.08%	1.08	237	9.90%	2	2
	0.75 to <2.50	6,730	307	99.45%	7,036	1.22%	24.32%	1.06	1,929	27.42%	20	85
	0.75 to <1.75	5,862	288	99.41%	6,149	1.11%	25.59%	1.06	1,705	27.74%	17	68
	1.75 to <2.5	868	19	100.00%	887	2.05%	15.56%	1.00	223	25.19%	3	17
	2.50 to <10.00	3,371	169	99.55%	3,540	5.32%	26.96%	1.15	2,627	74.20%	52	244
	2.5 to <5	1,617	105	99.48%	1,721	3.67%	29.86%	1.18	1,181	68.60%	19	101
	5 to <10	1,755	64	99.66%	1,819	6.87%	24.22%	1.12	1,446	79.50%	32	143
	10.00 to <100.00	976	47	100.06%	1,023	18.94%	23.99%	1.20	1,088	106.30%	49	122
	10 to <20	779	35	100.47%	815	15.33%	24.17%	1.13	859	105.52%	32	98
	20 to <30	111	1	85.46%	111	26.81%	19.48%	1.86	107	96.26%	6	7
	30.00 to <100.00	86	11	100.00%	98	40.16%	27.66%	1.02	121	124.30%	11	17
	100.00 (default)	729	1	55.93%	730	100.00%	55.66%	1.13	204	27.91%	404	351
	SUB-TOTAL	25,625	824	99.86%	26,450	4.71%	24.17%	1.05	7,242	27.38%	535	832

31/12/2021 (in millions of euros) A-IRB	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Retail – Secured by immovable property non SME	0.00 to <0.15	266,052	9,578	100.00%	275,629	0.07%	13.17%	1.00	6,849	2.49%	25	51
	0.00 to <0.10	181,877	6,608	100.00%	188,485	0.05%	12.26%	1.00	3,166	1.68%	10	17
	0.10 to <0.15	84,174	2,970	100.00%	87,144	0.11%	15.16%	1.01	3,683	4.23%	15	34
	0.15 to <0.25	45,370	2,051	99.99%	47,421	0.22%	16.23%	1.02	3,535	7.46%	17	49
	0.25 to <0.50	40,643	1,797	99.92%	42,440	0.37%	14.43%	1.02	4,277	10.08%	23	75
	0.50 to <0.75	16,141	960	100.00%	17,100	0.69%	14.64%	1.03	2,685	15.70%	18	74
	0.75 to <2.50	26,498	1,159	99.93%	27,657	1.43%	17.06%	1.06	7,920	28.64%	67	299
	0.75 to <1.75	24,686	1,130	99.93%	25,816	1.37%	17.26%	1.03	7,352	28.48%	61	278
	1.75 to <2.5	1,812	29	99.68%	1,841	2.17%	14.22%	1.47	568	30.88%	6	21
	2.50 to <10.00	14,447	676	99.99%	15,123	5.68%	17.60%	1.05	9,958	65.85%	151	505
	2.5 to <5	8,616	386	99.99%	9,002	4.16%	17.88%	1.05	5,158	57.30%	67	275
	5 to <10	5,831	290	100.00%	6,121	7.90%	17.18%	1.05	4,800	78.41%	83	229
	10.00 to <100.00	2,906	90	100.00%	2,997	19.28%	19.67%	1.06	3,390	113.13%	119	206
	10 to <20	2,158	73	100.00%	2,231	15.01%	19.65%	1.00	2,477	111.00%	66	148
	20 to <30	412	12	99.96%	424	24.58%	17.01%	1.43	456	107.52%	18	30
	30.00 to <100.00	336	5	100.00%	341	40.59%	23.11%	1.00	457	134.05%	35	28
	100.00 (default)	3,410	13	31.78%	3,414	100.00%	39.52%	1.05	895	26.22%	1,347	1,205
	SUB-TOTAL	415,467	16,323	99.93%	431,780	1.35%	14.35%	1.01	39,511	9.15%	1,766	2,464
Retail – Qualifying revolving	0.00 to <0.15	352	7,247	157.96%	11,896	0.07%	36.58%	1.00	211	1.77%	3	2
	0.00 to <0.10	149	4,637	167.68%	7,948	0.04%	35.64%	1.00	97	1.23%	1	1
	0.10 to <0.15	204	2,611	140.70%	3,948	0.11%	38.47%	1.00	114	2.88%	2	1
	0.15 to <0.25	133	785	180.37%	1,548	0.22%	28.87%	1.00	54	3.51%	1	1
	0.25 to <0.50	301	1,795	101.16%	2,144	0.37%	42.21%	1.00	172	8.05%	3	2
	0.50 to <0.75	259	2,129	80.71%	1,981	0.62%	53.98%	1.00	300	15.15%	6	5
	0.75 to <2.50	1,116	1,975	103.32%	3,193	1.60%	47.23%	1.00	927	29.03%	25	18
	0.75 to <1.75	748	1,263	121.71%	2,313	1.42%	41.31%	1.00	520	22.46%	13	9
	1.75 to <2.5	368	712	70.69%	879	2.08%	62.80%	1.00	407	46.31%	11	9
	2.50 to <10.00	1,513	1,331	110.27%	3,032	4.63%	52.64%	1.00	1,956	64.53%	71	57
	2.5 to <5	1,206	1,195	98.85%	2,399	3.80%	54.61%	1.00	1,444	60.20%	49	40
	5 to <10	306	136	210.40%	633	7.78%	45.20%	1.00	512	80.92%	22	16
	10.00 to <100.00	362	152	144.12%	598	19.34%	53.01%	1.00	790	132.07%	61	66
	10 to <20	282	136	142.87%	487	13.60%	53.49%	1.00	624	128.08%	35	37
	20 to <30	17	3	318.81%	31	24.89%	42.50%	1.00	40	132.26%	3	2
	30.00 to <100.00	64	13	111.10%	80	52.05%	54.06%	1.00	125	156.15%	23	27
	100.00 (default)	272	17	9.43%	274	100.00%	81.68%	1.00	64	23.47%	224	188
	SUB-TOTAL	4,309	15,432	130.43%	24,666	2.48%	42.23%	1.00	4,475	18.14%	394	339

31/12/2021 (in millions of euros) A-IRB	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Retail – Other SME	0.00 to <0.15	8,134	1,001	142.23%	9,559	0.13%	28.71%	1.29	929	9.72%	4	10
	0.00 to <0.10	122	0	225.65%	122	0.07%	4.19%	1.00	1	0.82%	-	-
	0.10 to <0.15	8,013	1,001	142.21%	9,437	0.13%	29.03%	1.29	928	9.84%	4	10
	0.15 to <0.25	22,777	2,364	161.42%	26,592	0.19%	24.65%	1.36	3,156	11.87%	13	33
	0.25 to <0.50	26,997	2,942	150.41%	31,468	0.37%	24.16%	1.31	5,247	16.67%	29	91
	0.50 to <0.75	1,504	425	33.09%	1,743	0.57%	37.84%	1.26	444	25.50%	4	3
	0.75 to <2.50	28,634	2,927	141.02%	32,840	1.26%	28.56%	1.33	10,486	31.93%	115	422
	0.75 to <1.75	22,510	2,183	129.56%	25,414	1.02%	30.71%	1.35	8,337	32.80%	83	297
	1.75 to <2.5	6,125	745	174.60%	7,426	2.05%	21.18%	1.27	2,149	28.94%	32	125
	2.50 to <10.00	12,269	1,354	124.54%	14,018	5.28%	32.22%	1.35	7,226	51.55%	235	789
	2.5 to <5	5,563	750	102.94%	6,376	3.67%	37.52%	1.33	3,436	53.90%	87	301
	5 to <10	6,706	603	151.40%	7,642	6.62%	27.79%	1.36	3,789	49.58%	149	487
	10.00 to <100.00	3,550	373	125.62%	4,034	20.97%	27.91%	1.34	2,691	66.72%	267	445
	10 to <20	2,841	246	143.15%	3,203	15.16%	25.69%	1.29	1,868	58.30%	129	345
	20 to <30	171	13	45.25%	181	25.15%	35.22%	1.49	161	88.90%	16	21
	30.00 to <100.00	537	114	96.65%	649	48.45%	36.82%	1.54	662	102.06%	121	79
	100.00 (default)	3,529	183	15.20%	3,566	100.00%	62.78%	1.20	990	27.76%	2,236	2,280
	SUB-TOTAL	107,394	11,568	139.31%	123,819	4.65%	28.12%	1.33	31,168	25.17%	2,902	4,072
Retail – Other non-SME	0.00 to <0.15	50,949	2,896	114.04%	54,354	0.07%	16.58%	1.00	1,872	3.44%	7	15
	0.00 to <0.10	34,034	1,902	119.48%	36,314	0.05%	14.82%	1.00	799	2.20%	3	6
	0.10 to <0.15	16,914	994	103.62%	18,039	0.12%	20.11%	1.01	1,072	5.95%	4	9
	0.15 to <0.25	13,382	720	103.94%	14,196	0.21%	22.98%	1.01	1,486	10.47%	7	13
	0.25 to <0.50	11,536	784	97.57%	12,380	0.38%	27.87%	1.02	2,341	18.91%	13	23
	0.50 to <0.75	5,288	399	94.28%	5,712	0.68%	28.13%	1.03	1,468	25.71%	11	18
	0.75 to <2.50	17,916	840	107.31%	18,905	1.49%	37.61%	1.01	9,085	48.06%	105	139
	0.75 to <1.75	14,514	765	111.51%	15,432	1.31%	38.34%	1.01	7,325	47.47%	78	108
	1.75 to <2.5	3,402	75	64.55%	3,472	2.28%	34.35%	1.04	1,760	50.69%	27	31
	2.50 to <10.00	10,657	297	105.28%	11,081	4.56%	43.83%	1.01	7,726	69.73%	205	255
	2.5 to <5	7,785	127	110.68%	7,994	3.51%	46.39%	1.01	5,746	71.88%	122	143
	5 to <10	2,872	171	101.28%	3,086	7.29%	37.20%	1.01	1,980	64.14%	83	112
	10.00 to <100.00	1,874	57	109.53%	2,072	23.23%	35.43%	1.01	1,699	82.02%	213	274
	10 to <20	1,220	30	109.02%	1,310	14.30%	33.51%	1.00	918	70.09%	62	88
	20 to <30	284	15	116.17%	378	26.20%	38.94%	1.04	397	105.21%	38	46
	30.00 to <100.00	370	11	102.01%	384	50.78%	38.50%	1.00	384	99.89%	113	140
	100.00 (default)	2,976	9	35.91%	3,019	100.00%	67.60%	1.02	817	27.07%	2,046	1,863
	SUB-TOTAL	114,576	6,003	107.83%	121,717	3.65%	26.35%	1.01	26,495	21.77%	2,607	2,600
TOTAL (ALL EXPOSURES CLASSES)		899,855	209,329	71.61%	1,044,906			1.40	175,192	16.77%	11,272	14,275

— Credit risk exposures by portfolio and probability of default (PD) range Advanced internal ratings-based approach at 31 December 2020 (CR6)

31/12/2020 Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Average CCF (%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Central governments and Central Banks	0.00 to <0.15	80,838	2,831	65.04%	94,308	0.00%	5.46%	1.63	370	0.39%	-	-
	0.15 to <0.25	1,184	10	53.12%	1,800	0.16%	9.98%	2.05	144	8.00%	8	-
	0.25 to <0.50	202	-	-	202	0.30%	10.00%	2.54	27	13.26%	-	-
	0.50 to <0.75	733	232	75.00%	459	0.60%	10.00%	1.77	70	15.27%	-	-
	0.75 to <2.50	575	541	74.18%	143	1.33%	45.00%	1.86	137	95.33%	1	-
	2.50 to <10.00	759	272	75.00%	52	5.00%	58.78%	3.55	120	228.47%	2	-
	10.00 to <100.00	199	203	75.42%	28	15.09%	79.88%	3.32	120	425.44%	3	-
	100.00 (default)	51	-	-	23	100.00%	45.00%	3.82	-	-	14	-
	SUB-TOTAL	84,540	4,089	64.80%	97,015	0.04%	5.69%	1.64	988	1.02%	28	28
Institutions	0.00 to <0.15	21,509	2,683	101.02%	29,166	0.03%	11.36%	1.59	1,023	3.51%	1	-
	0.15 to <0.25	862	852	54.31%	821	0.16%	34.04%	2.12	255	31.10%	1	-
	0.25 to <0.50	772	920	25.65%	964	0.30%	41.94%	1.20	465	48.25%	1	-
	0.50 to <0.75	71	666	32.26%	268	0.60%	47.37%	1.43	164	61.33%	1	-
	0.75 to <2.50	288	767	41.56%	458	1.31%	32.85%	1.97	389	84.92%	2	-
	2.50 to <10.00	-	83	24.03%	20	5.00%	83.92%	0.76	59	300.45%	1	-
	10.00 to <100.00	-	18	33.40%	4	12.79%	76.51%	1.12	18	421.79%	-	-
	100.00 (default)	200	168	99.29%	367	100.00%	45.01%	4.35	-	-	356	-
	SUB-TOTAL	23,702	6,157	80.51%	32,068	1.22%	13.90%	1.63	2,374	7.40%	363	360
Corporates – Other	0.00 to <0.15	25,683	55,300	58.83%	57,217	0.05%	34.21%	1.88	7,709	13.47%	9	-
	0.15 to <0.25	10,535	18,865	45.77%	17,501	0.16%	45.39%	2.18	5,780	33.03%	11	-
	0.25 to <0.50	8,761	17,076	46.92%	14,278	0.30%	45.10%	2.03	6,490	45.45%	16	-
	0.50 to <0.75	8,949	10,355	56.32%	10,493	0.60%	43.50%	1.95	6,257	59.63%	21	-
	0.75 to <2.50	12,357	11,725	57.57%	12,144	1.13%	49.08%	2.49	10,910	89.84%	53	-
	2.50 to <10.00	1,757	938	68.00%	1,146	5.00%	32.74%	2.17	1,190	103.81%	17	-
	10.00 to <100.00	1,709	1,608	36.63%	1,340	14.12%	43.04%	2.24	2,098	156.56%	54	-
	100.00 (default)	2,115	750	39.29%	2,291	100.00%	45.36%	2.44	156	6.82%	1,679	-
	SUB-TOTAL	71,867	116,618	54.49%	116,410	2.44%	39.92%	2.04	40,590	34.87%	1,859	2,344
Corporates – SME	0.00 to <0.15	38	55	20.08%	41	0.05%	47.30%	3.06	9	21.23%	-	-
	0.15 to <0.25	6	2	75.00%	7	0.18%	31.50%	2.02	1	17.27%	-	-
	0.25 to <0.50	23	6	49.03%	17	0.30%	43.75%	1.20	4	25.09%	-	-
	0.50 to <0.75	19	4	45.64%	9	0.60%	42.95%	2.78	4	44.72%	-	-
	0.75 to <2.50	126	407	30.62%	197	1.48%	36.77%	2.23	112	57.15%	1	-
	2.50 to <10.00	9	8	45.41%	4	5.00%	41.58%	3.92	3	82.93%	-	-
	10.00 to <100.00	19	10	39.08%	18	16.31%	23.06%	1.96	14	78.23%	1	-
	100.00 (default)	38	28	74.88%	59	100.00%	45.00%	2.25	33	55.50%	16	-
	SUB-TOTAL	279	519	34.11%	352	18.63%	39.11%	2.30	181	51.36%	18	19
Corporates – Specialised Lending	0.00 to <0.15	1,928	991	55.49%	8,929	0.03%	7.99%	3.81	393	4.40%	-	-
	0.15 to <0.25	5,579	2,127	52.68%	8,741	0.16%	12.80%	3.72	1,008	11.53%	2	-
	0.25 to <0.50	8,573	2,524	51.15%	9,093	0.30%	12.79%	3.66	1,718	18.89%	3	-
	0.50 to <0.75	9,483	2,102	42.26%	9,171	0.60%	13.15%	3.07	2,056	22.41%	7	-
	0.75 to <2.50	14,384	4,744	49.40%	11,523	1.11%	15.47%	3.45	4,107	35.64%	19	-
	2.50 to <10.00	1,157	114	73.93%	1,038	5.00%	13.36%	3.57	549	52.88%	7	-
	10.00 to <100.00	1,624	326	73.20%	1,258	13.80%	14.68%	3.11	923	73.40%	25	-
	100.00 (default)	1,788	79	96.73%	1,427	100.00%	31.94%	2.69	130	9.14%	306	-
	SUB-TOTAL	44,516	13,006	51.23%	51,179	3.67%	13.22%	3.50	10,884	21.27%	370	632

31/12/2020 Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Average CCF (%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjust- ments and provisions
Retail – Secured by immovable property non SME	0.00 to <0.15	176,028	6,356	100.00%	182,384	0.07%	10.70%		4,004	2.20%	14	-
	0.15 to <0.25	75,397	2,953	100.00%	78,350	0.18%	12.14%		3,823	4.88%	17	-
	0.25 to <0.50	55,904	2,670	100.00%	58,575	0.39%	11.79%		5,078	8.67%	27	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	44,181	2,550	100.00%	46,732	1.04%	12.31%		8,183	17.51%	61	-
	2.50 to <10.00	26,702	1,437	99.91%	28,137	5.09%	13.13%		13,216	46.97%	194	-
	10.00 to <100.00	2,107	68	100.00%	2,175	27.68%	-		2,042	93.88%	96	-
	100.00 (default)	3,547	9	18.32%	3,549	100.00%	41.14%		658	18.54%	1,460	-
	SUB-TOTAL	383,867	16,043	99.95%	399,902	1.45%	11.64%		37,004	9.25%	1,869	2,389
Retail – Other SME	0.00 to <0.15	199	6,078	109.14%	6,878	0.07%	39.56%		144	2.09%	2	-
	0.15 to <0.25	147	1,500	119.71%	1,942	0.18%	26.25%		58	3.00%	1	-
	0.25 to <0.50	368	3,534	75.16%	3,038	0.42%	47.91%		333	10.95%	6	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	1,282	2,811	83.25%	3,643	1.37%	46.07%		970	26.63%	25	-
	2.50 to <10.00	1,853	1,429	117.73%	3,562	5.04%	46.79%		2,173	61.02%	83	-
	10.00 to <100.00	175	56	177.77%	279	29.81%	46.13%		372	133.56%	39	-
	100.00 (default)	346	18	8.31%	349	100.00%	82.68%		83	23.82%	288	-
	SUB-TOTAL	4,370	15,427	98.59%	19,689	3.14%	43.10%		4,133	20.99%	445	344
Retail – Qualifying revolving	0.00 to <0.15	34,862	1,938	106.61%	36,934	0.07%	13.73%		1,120	3.03%	4	-
	0.15 to <0.25	17,015	846	107.33%	17,931	0.18%	16.88%		1,268	7.07%	6	-
	0.25 to <0.50	16,836	861	106.76%	17,765	0.40%	22.61%		2,814	15.84%	16	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	22,936	1,021	108.86%	24,067	1.28%	33.22%		9,852	40.94%	108	-
	2.50 to <10.00	13,839	464	108.44%	14,450	4.81%	37.22%		8,700	60.21%	247	-
	10.00 to <100.00	1,292	29	104.53%	1,423	8.45%	13.50%		1,210	85.06%	196	-
	100.00 (default)	3,323	10	30.05%	3,365	100.00%	68.41%		776	23.05%	2,317	-
	SUB-TOTAL	110,102	5,169	107.20%	115,934	3.81%	23.76%		25,740	22.20%	2,894	2,808
Retail – Secured by immovable property SME	0.00 to <0.15	764	12	100.45%	776	0.15%	15.60%		32	4.07%	-	-
	0.15 to <0.25	2,740	61	100.04%	2,801	0.21%	16.18%		155	5.53%	1	-
	0.25 to <0.50	6,462	149	100.22%	6,611	0.47%	20.65%		854	12.92%	6	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	8,310	277	100.21%	8,587	1.35%	17.47%		1,970	22.94%	21	-
	2.50 to <10.00	3,376	160	100.01%	3,536	7.20%	21.51%		2,495	70.55%	55	-
	10.00 to <100.00	572	30	100.00%	602	7.46%	5.95%		637	105.86%	35	-
	100.00 (default)	771	1	1.35%	771	100.00%	63.92%		164	21.30%	493	-
	SUB-TOTAL	22,996	689	100.00%	23,685	4.82%	19.92%		6,307	26.63%	612	776
Retail – Other non-SME	0.00 to <0.15	6,619	1,155	122.32%	8,032	0.16%	10.46%		306	3.81%	1	-
	0.15 to <0.25	21,618	2,231	117.47%	24,239	0.22%	20.54%		2,669	11.01%	10	-
	0.25 to <0.50	27,256	2,614	112.33%	30,192	0.45%	24.99%		5,922	19.62%	34	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	27,926	2,816	110.87%	31,050	1.48%	24.70%		9,580	30.85%	113	-
	2.50 to <10.00	13,425	1,335	106.78%	14,852	6.94%	27.09%		7,315	49.25%	273	-
	10.00 to <100.00	2,123	191	102.80%	2,320	8.67%	-		1,682	72.51%	184	-
	100.00 (default)	3,833	180	13.24%	3,861	100.00%	70.40%		803	20.80%	2,717	-
	SUB-TOTAL	102,799	10,523	111.55%	114,547	4.74%	24.27%		28,278	24.69%	3,332	4,162
TOTAL (ALL PORTFOLIOS)		849,037	188,242	68.53%	970,781	2.30%	18.35%		156,478	16.12%	11,790	13,860

The disparities between customer classes seen in prior years in the Retail Banking portfolio were again apparent in 2021. The PD levels observed in loans secured by real estate assets are significantly lower than for other classes. For instance, 84.7% of gross exposures to the “Retail customers – secured by non-SME real estate assets” portfolio have a PD of under 0.5%, while this figure is 53.9% for “Other retail customer exposures – SME” of the Group’s IRB – Retail Banking portfolio.

The differences in respect of PD levels are even more pronounced if we observe the contributions of expected losses attributable to significant differences in LGD levels from one portfolio to another: exposure to “Retail customers – secured by non-SME real estate assets” accounted for 59.3% of total Retail customer EAD but only 21.5% of expected losses.

— Scope of application of the IRB and SA approaches (CR6-A)

31/12/2021 (in millions of euros)	Exposure value as defined in Article 166 CRR for exposures subject to IRB approach	Total exposure value for exposures subject to the Standardised approach and to the IRB approach	Percentage of total exposure value subject to the permanent partial use of the SA (%)	Percentage of total exposure value subject to IRB Approach (%)	Percentage of total exposure value subject to a roll-out plan (%)
1 Central governments or Central Banks	322,759	445,528	23.35%	74.11%	2.54%
1.1 Of which Regional governments or local authorities		7,887	7.83%	92.17%	0.00%
1.2 Of which Public sector entities		102,300	4.23%	95.33%	0.43%
2 Institutions	73,117	90,333	23.43%	74.35%	2.23%
3 Corporates	334,164	540,635	9.04%	51.47%	39.49%
3.1 Of which Corporates – Specialised lending, excluding slotting approach		65,864	0.00%	99.96%	0.04%
3.2 Of which Corporates – Specialised lending under slotting approach		-	0.00%	0.00%	0.00%
4 Retail	728,433	759,894	3.33%	94.76%	1.91%
4.1 of which Retail – Secured by real estate SMEs		26,695	1.44%	97.66%	0.90%
4.2 of which Retail – Secured by real estate non-SMEs		440,959	1.74%	97.87%	0.40%
4.3 of which Retail – Qualifying revolving		22,094	2.53%	95.57%	1.90%
4.4 of which Retail – Other SMEs		133,267	6.96%	90.30%	2.75%
4.5 of which Retail – Other non-SMEs		136,879	5.34%	88.55%	6.12%
5 Equity	-	58,820	24.56%	75.44%	0.00%
6 Other non-credit obligation assets	-	33,868	100.00%	0.00%	0.01%
7 TOTAL	1,458,472	1,929,079	11.34%	77.60%	11.06%

A progress report on the roll-out plan is presented annually to the management body.

3.4.2.2.4 Use of credit derivatives for hedging purposes

Effect of credit derivatives used for credit risk mitigation (CRM) on risk-weighted assets (RWA) under the internal ratings-based approach at 31 December 2021.

— IRB approach – Effect on RWA of credit derivatives used for CRM (CR7)

31/12/2021 (in millions of euros)	Pre-credit derivatives risk weighted exposure amount	Actual risk weighted exposure amount
1 Exposures under F-IRB	86,032	86,032
2 Central governments and Central Banks	1,654	1,654
3 Institutions	9,923	9,923
4 Corporates	74,455	74,455
4.1 of which Corporates – SMEs	23,767	23,767
4.2 of which Corporates – Specialised lending	2,479	2,479
5 Exposures under A-IRB	177,663	175,192
6 Central governments and Central Banks	1,029	1,029
7 Institutions	2,711	2,885
8 Corporates	65,031	62,387
8.1 of Corporates – which SMEs	1,332	1,332
8.1 of which Corporates – Specialised lending	12,300	12,300
9 Retail	108,891	108,891
9.1 of which Retail – SMEs – Secured by immovable property collateral	7,242	7,242
9.2 of which Retail – non-SMEs – Secured by immovable property collateral	39,511	39,511
9.3 of which Retail – Qualifying revolving	4,475	4,475
9.4 of which Retail – SMEs – Other	31,168	31,168
9.5 of which Retail – Non-SMEs- Other	26,495	26,495
10 TOTAL (INCLUDING F-IRB EXPOSURES AND A-IRB EXPOSURES)	263,694	261,224

— IRB approach – Information to be published on the extent to which CRM is used (CR7-A)

31/12/2021 (in millions of euros) F-IRB	Total exposures	Credit risk Mitigation techniques											
		Funded credit protection (FCP)								Unfunded credit Protection (UFCP)		RWA with substitution effects (both reduction and sustitution effects)	
		Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)			Part of exposures covered by Other funded credit protection (%)			Part of exposures covered by Guarantees (%)	Part of exposures covered by Credit Derivatives (%)			
			Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party (%)					
1 Central governments and Central Banks	232,233	-	0.00%	0.00%	0.00%						-		1,654
2 Institutions	52,134	0.00%	0.16%	0.05%	0.11%	-							9,923
3 Corporates	129,199	0.55%	8.83%	5.87%	2.23%	0.73%	-						74,455
3.1 Of which Corporates – SMEs	39,921	0.96%	15.76%	11.31%	3.40%	1.05%	-						23,767
3.2 Of which Corporates – Specialised lending	3,527	0.08%	12.93%	2.07%	10.52%	0.34%							2,479
3.3 Of which Corporates – Other	85,751	0.39%	5.44%	3.49%	1.35%	0.60%	-						48,209
4 TOTAL	413,566	0.17%	2.78%	1.84%	0.71%	0.23%	-						86,032

31/12/2021 (in millions of euros) A-IRB	Total exposures	Credit risk Mitigation techniques										
		Funded credit protection (FCP)								Unfunded credit Protection (UFCP)		RWA with substitution effects (both reduction and substitution effects)
		Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)			Part of exposures covered by Other funded credit protection (%)			Part of exposures covered by Guarantees (%)	Part of exposures covered by Credit Derivatives (%)		
			Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party (%)				
1 Central governments and Central Banks	109,440	0.00%										1,029
2 Institutions	24,770	-					-	-				2,885
3 Corporates	182,263	2.08%	11.08%	5.31%		5.76%						62,387
3.1 Of which Corporates – SMEs	3,089	3.56%	0.26%	0.26%								1,332
3.2 Of which Corporates – Specialised lending	54,135	0.82%	36.73%	17.32%		19.41%						12,300
3.3 Of which Corporates – Other	125,039	2.59%	0.24%	0.24%								48,755
4 Retail	728,433		24.15%	24.15%						39.38%		108,891
4.1 Of which Retail – Immovable property SMEs	26,450		77.36%	77.36%						6.34%		7,242
4.2 Of which Retail – Immovable property non-SMEs	431,780		35.14%	35.14%						63.07%		39,511
4.3 Of which Retail – Qualifying revolving	24,666											4,475
4.4 Of which Retail – Other SMEs	123,819		2.95%	2.95%						9.54%		31,168
4.5 Of which Retail – Other non-SMEs	121,717		0.03%	0.03%						0.88%		26,495
5 TOTAL	1,044,906	0.36%	18.76%	17.76%		1.01%	-	-		27.46%		175,192

3.4.2.2.5 Change in RWA

— RWA flow statement for credit risk exposures using the IRB approach (CR8)

31/12/2021 (in millions of euros)		RWA amounts
1	RWAs AS AT THE END OF THE PREVIOUS REPORTING PERIOD (30/09/2021)	261,204
2	Asset size (+/-)	3,548
3	Asset quality (+/-)	(2,747)
4	Model updates (+/-)	(1,154)
5	Methodology and policy (+/-)	-
6	Acquisitions and disposals (+/-)	-
7	Foreign exchange movements (+/-)	1,031
8	Other (+/-)	(658)
9	RWAs AS AT THE END OF THE REPORTING PERIOD (31/12/2021)	261,224

The change in line 8 “Other (+/-)” of the CR8 table can be explained mainly by the establishment of a proprietary synthetic securitisation transaction at Crédit Agricole CIB in the fourth quarter of 2021 which allows that entity to transfer credit risk to investors.

3.4.2.2.6 Backtesting results

In the following paragraphs, backtesting covers all the methods and procedures used to verify the performance and stability of the internal risk models (PD, LGD, CCF), specifically by comparing forecasts with actual results.

With regard to permanent control, a backtesting Committee has been established within each entity. The Committee (which may, for some entities, be a specific agenda item for the Risk Committee) is chaired by the Risk Management department of the relevant entity and includes a representative from the Group Risk Management department. Reports are submitted to the Chief Executive Officer and the Head of the entity's Permanent Control department, as well as the Group Risk Management department.

Periodic control is conducted annually by the Internal Audit function or any third party specifically authorised by it. The audit plan covers:

- systems for calculating ratings and estimating risk parameters, as well as compliance with minimum requirements;
- systems functioning (correct implementation).

The corresponding reports are sent to the person responsible for monitoring the relevant entity within the Group Risk Management department.

The entity performs internal controls (permanent and periodic) on:

- the quality of input and output data within the system;

- the conceptual and technical quality of systems for calculating ratings and estimating risk parameters;
- the completeness of data used for the calculation of risk-weighted assets.

Backtesting is critical in maintaining the pertinence and performance of rating models. A first phase of analysis is based chiefly on the quantitative analysis of the predictive model as a whole and its main explanatory variables.

This exercise can also detect significant changes in the structure and behaviour of portfolios and customers. Backtesting then results in decisions to adjust or recast models in order to factor in the new structural elements. This allows changes in non-cyclical behaviour or change in the franchise to be identified, revealing the impact of commercial or risk strategies implemented by the Bank.

Across the Group as a whole, each rating method is back-tested at least once a year by the unit responsible for the method (Group Risk Management department or its delegate). This provides the Group annually, through the Standards and Models Committee, with the result of backtesting after consulting the Group's Internal Validation function, whose conclusions are presented to the Technical Committee, to confirm the proper application of selected statistical methods and the validity of results, and proposes, where appropriate, suitable corrective measures (revision of the method, recalibration, training, recommendations for control, etc.).

These *ex-post* controls are performed – through the cycle – on historical data covering as long a period as possible. The following tables show the backtesting results for 2021 in respect of the Probability of Default (PD) models.

— Backtesting of probability of default (PD) by exposure class and method (simple or advanced) – (CR9) at 31 December 2021

31/12/2021 (in millions of euros) IRBF	PD range	Number of obligors in the end of previous year		Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
			Of which number of obligors which defaulted in the year				
Central governments and Central Banks	0.00 to <0.15	571	-	-	0.00%	0.01%	0.04%
	0.00 to <0.10	571	-	-	0.00%	0.01%	0.04%
	0.10 to <0.15	-	-	-	0.12%	-	-
	0.15 to <0.25	15	-	-	0.16%	0.15%	-
	0.25 to <0.50	7	-	-	0.35%	0.29%	-
	0.50 to <0.75	16	-	-	0.60%	0.63%	-
	0.75 to <2.50	62	1	1.61%	1.69%	1.24%	0.77%
	0.75 to <1.75	47	-	-	1.25%	1.02%	0.60%
	1.75 to <2.5	15	1	6.67%	1.90%	1.93%	1.33%
	2.50 to <10.00	2	-	-	3.33%	5.00%	-
	2.5 to <5	-	-	-	3.00%	-	-
	5 to <10	2	-	-	8.00%	5.00%	-
	10.00 to <100.00	1	-	-	20.00%	20.00%	-
	10 to <20	-	-	-	-	-	-
	20 to <30	1	-	-	20.00%	20.00%	-
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	2	2	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		676	3	0.44%	0.00%	0.48%	0.40%
Institutions	0.00 to <0.15	26,954	15	0.06%	0.03%	0.03%	0.05%
	0.00 to <0.10	26,954	15	0.06%	0.03%	0.03%	0.05%
	0.10 to <0.15	-	-	-	0.12%	-	-
	0.15 to <0.25	566	1	0.18%	0.16%	0.16%	0.12%
	0.25 to <0.50	362	1	0.28%	0.32%	0.30%	0.31%
	0.50 to <0.75	164	1	0.61%	0.60%	0.60%	0.20%
	0.75 to <2.50	72	1	1.39%	1.09%	1.28%	1.11%
	0.75 to <1.75	48	1	2.08%	1.06%	0.96%	1.50%
	1.75 to <2.5	24	-	-	1.90%	1.92%	0.33%
	2.50 to <10.00	27	-	-	3.60%	5.00%	-
	2.5 to <5	-	-	-	3.00%	-	-
	5 to <10	27	-	-	5.10%	5.00%	-
	10.00 to <100.00	25	-	-	19.98%	15.84%	0.60%
	10 to <20	13	-	-	13.18%	12.00%	0.77%
	20 to <30	12	-	-	20.00%	20.00%	0.42%
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	22	22	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		28,192	41	0.15%	0.20%	0.14%	0.14%
Corporates – SME	0.00 to <0.15	161	2	1.24%	0.08%	0.04%	0.25%
	0.00 to <0.10	150	2	1.33%	0.04%	0.04%	0.27%
	0.10 to <0.15	11	-	-	0.12%	0.10%	-
	0.15 to <0.25	533	-	-	0.16%	0.16%	0.03%
	0.25 to <0.50	2,922	4	0.14%	0.38%	0.30%	0.09%
	0.50 to <0.75	5,667	4	0.07%	0.60%	0.60%	0.13%
	0.75 to <2.50	38,789	153	0.39%	1.14%	1.42%	0.60%
	0.75 to <1.75	21,947	61	0.28%	1.10%	1.05%	0.33%
	1.75 to <2.5	16,842	92	0.55%	1.90%	1.90%	0.96%
	2.50 to <10.00	8,745	146	1.67%	4.25%	5.00%	2.62%
	2.5 to <5	30	-	-	3.00%	4.13%	4.00%
	5 to <10	8,715	146	1.68%	7.39%	5.00%	2.62%
	10.00 to <100.00	5,117	378	7.39%	18.04%	14.79%	8.17%
	10 to <20	3,336	176	5.28%	14.34%	12.00%	5.95%
	20 to <30	1,781	202	11.34%	21.02%	20.01%	12.32%
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	4,177	4,177	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		66,111	4,864	7.36%	5.20%	9.02%	7.67%

31/12/2021 (in millions of euros) IRBF	PD range	Number of obligors in the end of previous year		Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
			Of which number of obligors which defaulted in the year				
Corporates – Specialised Lending	0.00 to <0.15	9	1	11.11%	0.07%	0.06%	2.22%
	0.00 to <0.10	9	1	11.11%	0.05%	0.06%	2.22%
	0.10 to <0.15	-	-	-	0.12%	-	-
	0.15 to <0.25	26	-	-	0.16%	0.15%	-
	0.25 to <0.50	84	-	-	0.30%	0.30%	-
	0.50 to <0.75	81	-	-	0.60%	0.61%	0.44%
	0.75 to <2.50	74	-	-	1.23%	1.18%	-
	0.75 to <1.75	57	-	-	0.94%	0.97%	-
	1.75 to <2.5	17	-	-	1.90%	1.88%	-
	2.50 to <10.00	17	1	5.88%	4.88%	5.00%	1.94%
	2.5 to <5	-	-	-	3.00%	-	-
	5 to <10	17	1	5.88%	5.22%	5.00%	1.94%
	10.00 to <100.00	17	-	-	14.77%	13.88%	8.47%
	10 to <20	13	-	-	12.00%	12.00%	11.08%
	20 to <30	4	-	-	20.00%	20.00%	-
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	-	-	-	-	-	-
SUB-TOTAL		308	2	0.65%	0.71%	1.58%	0.76%
Corporates – Other	0.00 to <0.15	2,142	5	0.23%	0.06%	0.05%	0.06%
	0.00 to <0.10	2,109	5	0.24%	0.04%	0.05%	0.06%
	0.10 to <0.15	33	-	-	0.12%	0.12%	-
	0.15 to <0.25	1,573	2	0.13%	0.16%	0.16%	0.07%
	0.25 to <0.50	2,794	9	0.32%	0.35%	0.30%	0.13%
	0.50 to <0.75	2,958	4	0.14%	0.60%	0.60%	0.18%
	0.75 to <2.50	9,594	58	0.61%	1.11%	1.29%	0.71%
	0.75 to <1.75	6,530	30	0.46%	1.07%	1.01%	0.47%
	1.75 to <2.5	3,064	28	0.91%	1.90%	1.90%	1.20%
	2.50 to <10.00	1,292	15	1.16%	4.36%	5.01%	2.17%
	2.5 to <5	10	-	-	3.00%	3.90%	-
	5 to <10	1,282	15	1.17%	7.41%	5.02%	2.19%
	10.00 to <100.00	950	75	7.90%	18.37%	15.37%	7.72%
	10 to <20	551	22	3.99%	14.73%	12.01%	4.59%
	20 to <30	399	53	13.28%	20.78%	20.00%	12.04%
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	1,012	1,012	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		22,315	1,180	5.29%	2.27%	6.17%	5.34%

31/12/2021 (in millions of euros) IRB-A	PD range	Number of obligors in the end of previous year		Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
			Of which number of obligors which defaulted in the year				
Central governments and Central Banks	0.00 to <0.15	89	-	-	0.01%	0.01%	-
	0.00 to <0.10	89	-	-	0.01%	0.01%	-
	0.10 to <0.15	-	-	-	-	-	-
	0.15 to <0.25	5	-	-	0.16%	0.16%	-
	0.25 to <0.50	1	-	-	0.30%	0.30%	-
	0.50 to <0.75	3	-	-	0.60%	0.67%	-
	0.75 to <2.50	8	-	-	1.81%	1.63%	-
	0.75 to <1.75	5	-	-	1.24%	1.40%	-
	1.75 to <2.5	3	-	-	1.90%	2.00%	-
	2.50 to <10.00	10	-	-	5.00%	5.00%	-
	2.5 to <5	-	-	-	-	-	-
	5 to <10	10	-	-	5.00%	5.00%	-
	10.00 to <100.00	12	-	-	14.14%	16.00%	6.42%
	10 to <20	6	-	-	12.00%	12.00%	2.83%
	20 to <30	6	-	-	20.00%	20.00%	10.00%
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	7	7	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		135	7	5.19%	0.04%	7.09%	5.76%
Institutions	0.00 to <0.15	240	-	-	0.06%	0.05%	-
	0.00 to <0.10	240	-	-	0.04%	0.05%	-
	0.10 to <0.15	-	-	-	0.13%	-	-
	0.15 to <0.25	67	-	-	0.18%	0.16%	-
	0.25 to <0.50	62	-	-	0.30%	0.29%	-
	0.50 to <0.75	41	-	-	0.60%	0.61%	-
	0.75 to <2.50	60	-	-	1.24%	1.20%	0.22%
	0.75 to <1.75	42	-	-	0.83%	0.88%	-
	1.75 to <2.5	18	-	-	1.90%	1.94%	0.72%
	2.50 to <10.00	25	-	-	5.00%	5.00%	-
	2.5 to <5	-	-	-	-	-	-
	5 to <10	25	-	-	5.00%	5.00%	-
	10.00 to <100.00	11	-	-	13.11%	14.91%	1.00%
	10 to <20	7	-	-	12.00%	12.00%	1.57%
	20 to <30	4	-	-	20.00%	20.00%	-
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	12	12	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		518	12	2.32%	1.71%	3.14%	2.36%
Corporates – SME	0.00 to <0.15	426	-	-	0.06%	0.10%	0.08%
	0.00 to <0.10	10	-	-	0.04%	0.10%	-
	0.10 to <0.15	416	-	-	0.11%	0.10%	0.08%
	0.15 to <0.25	1,074	1	0.09%	0.21%	0.21%	0.15%
	0.25 to <0.50	1,457	3	0.21%	0.36%	0.36%	0.45%
	0.50 to <0.75	18	-	-	0.64%	0.61%	-
	0.75 to <2.50	3,063	17	0.56%	1.08%	1.11%	0.90%
	0.75 to <1.75	3,036	17	0.56%	1.02%	1.10%	0.91%
	1.75 to <2.5	27	-	-	1.90%	1.89%	-
	2.50 to <10.00	1,378	24	1.74%	3.56%	3.44%	2.61%
	2.5 to <5	1,367	24	1.76%	3.47%	3.43%	2.60%
	5 to <10	11	-	-	6.59%	5.00%	4.18%
	10.00 to <100.00	870	62	7.13%	20.09%	20.33%	11.68%
	10 to <20	463	23	4.97%	11.55%	11.53%	7.78%
	20 to <30	107	-	-	20.03%	20.00%	-
	30.00 to <100.00	300	39	13.00%	34.03%	34.03%	21.85%
	100.00 (default)	578	578	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		8,864	685	7.73%	26.30%	9.52%	8.48%

31/12/2021 (in millions of euros) IRB-A	PD range	Number of obligors in the end of previous year		Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
			Of which number of obligors which defaulted in the year				
Corporates – Specialised Lending	0.00 to <0.15	56	-	-	0.04%	0.07%	0.36%
	0.00 to <0.10	56	-	-	0.03%	0.07%	0.36%
	0.10 to <0.15	-	-	-	0.12%	-	-
	0.15 to <0.25	180	-	-	0.16%	0.16%	-
	0.25 to <0.50	351	-	-	0.31%	0.30%	0.29%
	0.50 to <0.75	366	-	-	0.60%	0.60%	0.10%
	0.75 to <2.50	504	1	0.20%	1.12%	1.08%	0.65%
	0.75 to <1.75	432	-	-	0.93%	0.94%	0.51%
	1.75 to <2.5	72	1	1.39%	1.90%	1.90%	1.47%
	2.50 to <10.00	57	1	1.75%	4.45%	5.00%	3.14%
	2.5 to <5	-	-	-	3.00%	-	-
	5 to <10	57	1	1.75%	5.14%	5.00%	3.14%
	10.00 to <100.00	69	13	18.84%	15.54%	14.67%	17.59%
	10 to <20	46	4	8.70%	12.00%	12.00%	8.33%
	20 to <30	23	9	39.13%	20.00%	20.00%	36.13%
	30.00 to <100.00	-	-	-	-	-	-
	100.00 (default)	70	70	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		1,653	85	5.14%	3.69%	5.56%	5.37%
Corporates – Other	0.00 to <0.15	856	-	-	0.06%	0.05%	-
	0.00 to <0.10	795	-	-	0.04%	0.05%	-
	0.10 to <0.15	61	-	-	0.12%	0.10%	-
	0.15 to <0.25	787	-	-	0.16%	0.18%	0.11%
	0.25 to <0.50	915	-	-	0.31%	0.33%	0.11%
	0.50 to <0.75	521	-	-	0.59%	0.61%	0.28%
	0.75 to <2.50	1,514	8	0.53%	1.04%	1.20%	1.11%
	0.75 to <1.75	1,258	5	0.40%	0.94%	1.05%	0.99%
	1.75 to <2.5	256	3	1.17%	1.86%	1.91%	1.72%
	2.50 to <10.00	573	6	1.05%	5.06%	3.78%	2.14%
	2.5 to <5	424	5	1.18%	3.16%	3.25%	1.98%
	5 to <10	149	1	0.67%	7.50%	5.29%	2.59%
	10.00 to <100.00	341	47	13.78%	15.28%	20.61%	14.17%
	10 to <20	138	10	7.25%	13.83%	11.51%	9.91%
	20 to <30	160	30	18.75%	20.20%	24.85%	18.33%
	30.00 to <100.00	43	7	16.28%	34.03%	34.02%	12.37%
	100.00 (default)	688	688	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		6,195	749	12.09%	1.96%	13.01%	12.41%
Retail – Secured by immovable property SME	0.00 to <0.15	14,998	14	0.09%	0.13%	0.12%	0.32%
	0.00 to <0.10	-	-	-	-	-	-
	0.10 to <0.15	14,998	14	0.09%	0.13%	0.12%	0.32%
	0.15 to <0.25	22,048	19	0.09%	0.21%	0.21%	0.39%
	0.25 to <0.50	36,687	57	0.16%	0.40%	0.40%	0.46%
	0.50 to <0.75	16,473	31	0.19%	0.53%	0.56%	0.23%
	0.75 to <2.50	45,632	216	0.47%	1.22%	1.27%	1.12%
	0.75 to <1.75	36,352	118	0.33%	1.11%	1.07%	0.76%
	1.75 to <2.5	9,280	98	1.06%	2.05%	2.06%	2.54%
	2.50 to <10.00	23,867	511	2.14%	5.32%	5.26%	3.81%
	2.5 to <5	11,134	152	1.37%	3.67%	3.71%	2.12%
	5 to <10	12,733	359	2.82%	6.87%	6.62%	5.28%
	10.00 to <100.00	9,342	923	9.88%	18.94%	18.98%	14.74%
	10 to <20	6,815	514	7.54%	15.33%	14.58%	12.38%
	20 to <30	1,630	166	10.18%	26.81%	26.21%	15.14%
	30.00 to <100.00	897	243	27.09%	40.16%	39.25%	31.99%
	100.00 (default)	8,544	8,544	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		177,591	10,315	5.81%	4.71%	7.01%	6.58%

31/12/2021 (in millions of euros) IRB-A	PD range	Number of obligors in the end of previous year		Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
			Of which number of obligors which defaulted in the year				
Retail – Secured by immovable property non SME	0.00 to <0.15	2,177,946	961	0.04%	0.07%	0.07%	0.06%
	0.00 to <0.10	1,479,232	454	0.03%	0.05%	0.05%	0.05%
	0.10 to <0.15	698,714	507	0.07%	0.11%	0.11%	0.10%
	0.15 to <0.25	380,647	449	0.12%	0.22%	0.22%	0.16%
	0.25 to <0.50	377,503	741	0.20%	0.37%	0.36%	0.28%
	0.50 to <0.75	152,003	594	0.39%	0.69%	0.67%	0.56%
	0.75 to <2.50	227,492	1,509	0.66%	1.43%	1.41%	0.99%
	0.75 to <1.75	204,618	1,299	0.64%	1.37%	1.33%	0.97%
	1.75 to <2.5	22,874	210	0.92%	2.17%	2.13%	1.17%
	2.50 to <10.00	132,371	3,670	2.77%	5.68%	6.00%	4.81%
	2.5 to <5	67,303	1,457	2.17%	4.16%	4.21%	3.22%
	5 to <10	65,068	2,213	3.40%	7.90%	7.84%	6.46%
	10.00 to <100.00	32,760	4,483	13.68%	19.28%	17.60%	16.24%
	10 to <20	24,027	2,447	10.18%	15.01%	13.86%	13.46%
	20 to <30	6,015	1,182	19.65%	24.58%	23.39%	20.15%
	30.00 to <100.00	2,718	854	31.42%	40.59%	37.87%	32.15%
	100.00 (default)	41,152	41,152	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		3,521,874	53,559	1.52%	1.35%	1.78%	1.68%
Retail – Qualifying revolving	0.00 to <0.15	7,811,967	4,558	0.06%	0.07%	0.07%	0.05%
	0.00 to <0.10	5,334,411	2,642	0.05%	0.04%	0.05%	0.04%
	0.10 to <0.15	2,477,556	1,916	0.08%	0.11%	0.11%	0.09%
	0.15 to <0.25	1,707,070	3,376	0.20%	0.22%	0.22%	0.18%
	0.25 to <0.50	1,614,320	3,663	0.23%	0.37%	0.36%	0.26%
	0.50 to <0.75	1,453,626	4,752	0.33%	0.62%	0.63%	0.59%
	0.75 to <2.50	2,905,047	21,494	0.74%	1.60%	1.52%	1.16%
	0.75 to <1.75	2,289,863	16,051	0.70%	1.42%	1.37%	1.03%
	1.75 to <2.5	615,184	5,443	0.89%	2.08%	2.07%	1.66%
	2.50 to <10.00	1,819,057	54,735	3.01%	4.63%	4.91%	4.05%
	2.5 to <5	1,337,149	27,837	2.08%	3.80%	3.88%	3.19%
	5 to <10	481,908	26,898	5.58%	7.78%	7.78%	6.42%
	10.00 to <100.00	382,796	53,205	13.90%	19.34%	22.45%	15.42%
	10 to <20	288,458	26,087	9.04%	13.60%	13.41%	11.37%
	20 to <30	26,410	5,827	22.06%	24.89%	24.43%	21.94%
	30.00 to <100.00	67,928	21,291	31.34%	52.05%	60.11%	30.10%
	100.00 (default)	293,678	293,678	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		17,987,561	439,461	2.44%	2.48%	2.99%	2.67%
Retail – Other SME	0.00 to <0.15	93,561	77	0.08%	0.13%	0.13%	0.15%
	0.00 to <0.10	81	1	1.24%	0.07%	0.05%	0.68%
	0.10 to <0.15	93,480	76	0.08%	0.13%	0.13%	0.15%
	0.15 to <0.25	181,223	152	0.08%	0.19%	0.20%	0.16%
	0.25 to <0.50	341,621	686	0.20%	0.37%	0.35%	0.31%
	0.50 to <0.75	107,879	190	0.18%	0.57%	0.57%	0.37%
	0.75 to <2.50	554,996	3,334	0.60%	1.26%	1.35%	1.11%
	0.75 to <1.75	424,184	2,131	0.50%	1.02%	1.12%	0.87%
	1.75 to <2.5	130,812	1,203	0.92%	2.05%	2.08%	1.91%
	2.50 to <10.00	295,233	8,031	2.72%	5.28%	4.99%	4.49%
	2.5 to <5	182,650	3,006	1.65%	3.67%	3.63%	3.26%
	5 to <10	112,583	5,025	4.46%	6.62%	7.20%	6.48%
	10.00 to <100.00	99,469	15,724	15.81%	20.97%	23.11%	19.97%
	10 to <20	61,405	6,532	10.64%	15.16%	15.55%	14.26%
	20 to <30	16,582	2,721	16.41%	25.15%	25.12%	20.63%
	30.00 to <100.00	21,482	6,471	30.12%	48.45%	43.19%	35.80%
	100.00 (default)	132,677	132,677	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		1,806,659	160,871	8.90%	4.65%	9.97%	9.62%

31/12/2021 (in millions of euros) IRB-A	PD range	Number of obligors in the end of previous year		Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
			Of which number of obligors which defaulted in the year				
Retail – Other non-SME	0.00 to <0.15	2,009,921	1,194	0.06%	0.07%	0.07%	0.07%
	0.00 to <0.10	1,065,344	426	0.04%	0.05%	0.04%	0.04%
	0.10 to <0.15	944,577	768	0.08%	0.12%	0.11%	0.09%
	0.15 to <0.25	597,074	894	0.15%	0.21%	0.22%	0.17%
	0.25 to <0.50	1,102,047	2,721	0.25%	0.38%	0.39%	0.35%
	0.50 to <0.75	563,673	3,403	0.60%	0.68%	0.67%	0.63%
	0.75 to <2.50	1,992,471	18,182	0.91%	1.49%	1.45%	1.30%
	0.75 to <1.75	1,595,561	13,620	0.85%	1.31%	1.28%	1.17%
	1.75 to <2.5	396,910	4,562	1.15%	2.28%	2.15%	1.83%
	2.50 to <10.00	1,464,029	47,116	3.22%	4.56%	4.75%	4.30%
	2.5 to <5	1,089,796	27,370	2.51%	3.51%	3.82%	3.30%
	5 to <10	374,233	19,746	5.28%	7.29%	7.45%	7.19%
	10.00 to <100.00	469,790	87,344	18.59%	23.23%	24.68%	20.29%
	10 to <20	263,542	30,483	11.57%	14.30%	14.36%	13.06%
	20 to <30	115,096	24,182	21.01%	26.20%	27.68%	25.36%
	30.00 to <100.00	91,152	32,679	35.85%	50.78%	50.72%	34.80%
	100.00 (default)	525,085	525,085	100.00%	100.00%	100.00%	100.00%
SUB-TOTAL		8,724,090	685,939	7.86%	3.65%	8.60%	8.24%

Long-term average PD rates are calculated without overlapping time windows.

3.4.2.2.7 Comparison between estimated and actual losses

The Expected Losses (EL)/Exposure at Default (EAD) ratio was 1.05% at 31 December 2021 (1.17% at 31 December 2020). This ratio is calculated for the Central governments and Central Banks, Institutions, Corporates, Retail customers and Equity portfolios under the A-IRB approach.

At the same time, the provisions to gross exposures ratio was 1.20% at 31 December 2021, compared with 1.24% at end-2020.

3.4.2.3 CCR

The Group calculates counterparty risk for all their exposures, whether in the banking portfolio or the trading book. For items in the trading book, counterparty risk is calculated in accordance with the provisions relating to the regulatory supervision of market risk.

The regulatory treatment of counterparty risk on transactions on forward financial instruments in the banking portfolio is defined in Regulation (EU) 575/2013 of 26 June 2013, as amended (CRR). Crédit Agricole Group uses the standardised approach to measure its exposure to counterparty risk on transactions on derivative instruments in the banking portfolio (Article 274) or the internal model method (Article 283).

Counterparty risk is determined by several indicators, depending on the nature of the transactions involved and the sub-categories of counterparty risk incurred:

Risk of change:

- the maximum future exposure of transactions with a single counterparty, taking into account the netting/collateral contracts in place with that counterparty. The maximum future exposure is calculated using an internal model (for Crédit Agricole CIB – model validated in 2014) or the SA-CCR standardised approach (for the other Crédit Agricole Group entities – regulatory model in effect since June 2021);
- nominal amount of repo/reverse repo and securities lending/borrowing transactions with a single counterparty.

Delivery risk: the value of assets (cash or securities to be received) from a counterparty on a given date, when the entity will have delivered on the same date the assets it owes in return (e.g. deliverable foreign exchange transactions settled outside of a clearing house such as Continuous Linked Settlement, or securities lending/borrowing where delivery is made free of payment).

For central counterparties (CCPs):

- values of assets (securities or cash) deposited with the CCP to cover its initial margin requirements;
- risk of change for transactions cleared by the CCP, taking into account variation margin calls and payments made by the CCP;
- exposure to its default fund.

The sales teams request limits suitable to the risk profile of the counterparty and the volume of transactions planned with it. The limits are approved by the holders of an appropriate counterparty risk delegation, based on a risk opinion issued by a representative of the entity's Risk Management Business Line. This independent opinion is based on an analysis of several factors:

- the entity's risk appetite in the counterparty's sector or geographic area;
- the counterparty's fundamentals: internal and, if applicable, external ratings, balance sheet, business volume, results, NAV for counterparties that are funds, etc.;
- applicable sector policies (ESG criteria);
- the contractual framework/guarantees provided by the counterparty (Independent Amount, collateral agreement, pledge, etc.);
- the transaction products/maturities envisaged.

CCPs are subject to a specific risk procedure that takes into account their specific features and the fact that EMIR and equivalent regulations in other jurisdictions require Crédit Agricole Group entities to clear certain instruments for an authorised CCP. In Crédit Agricole CIB, for example, CCP limits are decided at the highest level (Executive Management). Joining a new CCP, either directly or indirectly via a clearing broker, or clearing a new type of instrument for an existing CCP are examined by all support functions involved in the “New Products” or “CCP Committee”.

Crédit Agricole Group does not allocate equity to individual counterparties *ex-ante*. Capital requirements are calculated globally on the basis of the portfolios of all of the entities using the SA-CCR method or an internal model, depending on the entity.

To hedge its counterparty risk on market transactions, Crédit Agricole CIB buys single-name CDS and index CDS from dealers selected according to strict criteria: major banks with which Crédit Agricole CIB has signed

“Golden” CSA agreements (bilateral and daily margin calls, thresholds at 0, low minimum transfer amounts). The fundamentals of these counterparties are reviewed annually by the Risk functions.

In line with regulator incentives, a very large part of our single-name CDS and index CDS positions are cleared.

Further information on Counterparty Risk is provided in Chapter 3, Part 2 “Risk Management” of this document:

- for the methodology for setting credit limits, see Section 2.4.II.2.2 “Credit risk measurement”;
- for policies on collateral and other credit risk mitigation measures, see Section 2.4.II.4 “Credit risk mitigation mechanism”;
- for correlation risk policies, see Section 2.4.II.2.2 “Credit risk measurement”.

3.4.2.3.1 Analysis of exposure to counterparty risk

— Exposure to counterparty risk by approach at 31 December 2021

31/12/2021 (in billions of euros)	Standard		IRB		Total	
	Exposure value (EAD)	RWA	Exposure value (EAD)	RWA	Exposure value (EAD)	Capital Requirement
Central governments and Central Banks	6.1	0.0	8.6	0.2	14.7	0.2
Institutions	11.9	1.9	22.1	4.2	34.0	6.2
Corporates	2.7	2.5	29.0	9.7	31.6	12.2
Retail Customers	-	-	-	-	-	-
Shares	-	-	-	-	-	-
Securitisations	-	-	-	-	-	-
Other non credit-obligation assets	-	-	-	-	-	-
TOTAL	20.6	4.4	59.7	14.1	80.3	18.6

— Exposure to counterparty risk by approach at 31 December 2020

31/12/2020 (in billions of euros)	Standard		IRB		Total	
	Exposure value (EAD)	RWA	Exposure value (EAD)	RWA	Exposure value (EAD)	Capital Requirement
Central governments and Central Banks	5.6	0.0	8.8	0.2	14.4	0.2
Institutions	8.6	1.1	24.2	4.7	32.8	5.8
Corporates	3.1	2.8	30.3	9.1	33.4	12.0
Retail Customers	-	-	-	-	-	-
Shares	-	-	-	-	-	-
Securitisations	-	-	-	-	-	-
Other non credit-obligation assets	-	-	-	-	-	-
TOTAL	17.2	3.9	63.4	14.1	80.6	18.0

The total gross exposure to counterparty risk was €80.3 billion at 31 December 2021 (in the form of derivatives: €45.5 billion and in the form of securities financing transactions: €34.8 billion).

Information on exposures on forward financial instruments is presented in Note 3.1 to the consolidated financial statements “Credit risk”.

3.4.2.3.2 Exposure to counterparty risk by approach

— Analysis of exposure to counterparty risk by approach (CCR1)

31/12/2021 (in millions of euros)	Replacement cost (RC)	Potential future exposure (PFE)	EEPE	Alpha used for computing regulatory exposure value	Exposure value pre-CRM	Exposure value post-CRM	Exposure value	RWA
EU – Original Exposure Method (for derivatives)	-	-		1.4	-	-	-	-
EU2 EU – Simplified SA-CCR (for derivatives)		16		1.4	24	24	24	24
1 SA-CCR (for derivatives)	3,288	3,123		1.4	13,468	8,976	8,935	4,476
2 IMM (for derivatives and SFTs)			20,941	1.65	65,145	34,553	34,384	10,131
2a Of which securities financing transactions netting sets			-		-	-	-	-
2b Of which derivatives and long settlement transactions netting sets			20,941		65,145	34,553	34,384	10,131
2c Of which from contractual cross-product netting sets			-		-	-	-	-
3 Financial collateral simple method (for SFTs)					-	-	-	-
4 Financial collateral comprehensive method (for SFTs)					260,996	30,457	30,384	3,827
5 VaR for SFTs					-	-	-	-
6 TOTAL 31/12/2021					339,632	74,010	73,726	18,458
TOTAL 31/12/2020							73,162	16,934

3.4.2.3.3 Exposure to counterparty risk under the standardised approach

— Exposure to counterparty risk under the standardised approach by regulatory portfolio and by risk weighting at 31 December 2021 (CCR3)

31/12/2021 Exposure classes (in millions of euros)	Risk weight												Total Exposure to credit risk
	0%	2%	4%	10%	20%	50%	70%	75%	100%	150%	Other		
Central governments or Central Banks	6,036	-	-	-	-	-	-	-	7	-	-	-	6,042
Regional government or local authorities	-	-	-	-	-	-	-	-	-	-	-	-	-
Public sector entities	19	-	-	-	9	-	-	-	-	-	-	-	28
Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	-	-
International organisations	-	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	-	6,576	-	-	3,022	2,209	-	-	80	-	-	-	11,887
Corporates	-	-	-	-	11	315	-	-	2,307	44	-	-	2,677
Retail	-	-	-	-	-	-	-	5	-	-	-	-	5
Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-
Other items	-	-	-	-	-	-	-	-	-	2	-	-	2
TOTAL EXPOSURE VALUE	6,055	6,576	-	-	3,042	2,525	-	5	2,393	46	-	-	20,642

— Exposure to counterparty risk under the standardised approach by regulatory portfolio and by risk weighting at 31 December 2020 (CCR3)

31/12/2020 Exposure classes (in millions of euros)												Risk weight
	0%	2%	4%	10%	20%	50%	70%	75%	100%	150%	Other	Total Exposure to credit risk
Central governments or Central Banks	5,560	-	-	-	-	3	-	-	-	-	-	5,564
Regional government or local authorities	-	-	-	-	-	-	-	-	-	-	-	-
Public sector entities	13	-	-	-	9	-	-	-	-	-	-	22
Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	-
International organisations	-	-	-	-	-	-	-	-	-	-	-	-
Institutions	-	5,634	-	-	1,694	1,174	-	-	44	4	-	8,551
Corporates	-	-	-	-	17	394	-	-	2,598	48	-	3,058
Retail	-	-	-	-	-	-	-	4	-	-	-	4
Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-
Other items	-	-	-	-	-	-	-	-	1	-	3	4
TOTAL EXPOSURE VALUE	5,574	5,634	-	-	1,720	1,572	-	4	2,644	52	3	17,203

3.4.2.3.4 Exposure to counterparty risk under the advanced approach

— Exposure to counterparty risk by portfolio and probability of default (PD) range, supervisory portfolios for foundation internal ratings-based approach (CCR4)

31/12/2021 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD	Exposure weighted average LGD	Exposure weighted average maturity	RWA	Density of risk weighted exposure amounts
			(%)	(%)	(years)		
Institutions	0.00 to <0.15	219	0.03%	45.00%	2.50	48	21.92%
	0.15 to <0.25	38	0.16%	45.00%	2.50	16	41.68%
	0.25 to <0.50	1	0.30%	45.00%	2.50	1	76.44%
	0.50 to <0.75	34	0.60%	45.00%	2.50	34	102.21%
	0.75 to <2.50	-	0.77%	45.00%	2.50	-	105.50%
	2.50 to <10.00	-	-	-	-	-	-
	10.00 to <100.00	-	20.02%	44.98%	2.50	-	286.63%
	100.00 (default)	-	-	-	-	-	-
	SUB-TOTAL	292	0.12%	45.00%	2.50	99	34.11%
Corporates – Other	0.00 to <0.15	380	0.05%	45.00%	4.35	120	31.47%
	0.15 to <0.25	49	0.16%	45.00%	2.75	21	43.38%
	0.25 to <0.50	152	0.33%	45.00%	2.47	92	60.33%
	0.50 to <0.75	107	0.60%	45.00%	2.50	86	80.02%
	0.75 to <2.50	67	1.12%	45.00%	2.54	67	100.85%
	2.50 to <10.00	39	5.30%	45.00%	2.56	63	162.26%
	10.00 to <100.00	17	16.21%	45.00%	2.50	41	244.37%
	100.00 (default)	5	100.00%	45.00%	2.50	-	-
	SUB-TOTAL	815	1.40%	45.00%	3.38	489	60.08%
Corporates – SME	0.00 to <0.15	17	0.06%	45.00%	2.50	3	17.74%
	0.15 to <0.25	5	0.16%	45.00%	2.50	1	27.90%
	0.25 to <0.50	34	0.34%	45.00%	2.50	15	46.07%
	0.50 to <0.75	12	0.60%	45.00%	2.55	8	61.55%
	0.75 to <2.50	66	0.94%	45.00%	2.60	46	69.30%
	2.50 to <10.00	27	3.37%	45.00%	2.50	25	91.68%
	10.00 to <100.00	3	18.12%	45.00%	2.50	5	170.19%
	100.00 (default)	3	100.00%	45.00%	2.50	-	-
	SUB-TOTAL	167	3.26%	45.00%	2.54	103	61.49%
TOTAL		1,273	1.35%	45.00%	3.07	692	54.32%

— Exposure to counterparty risk by portfolio and probability of default (PD) range, supervisory portfolios for foundation internal ratings-based approach (CCR4)

31/12/2020 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWA	Density of risk weighted exposure amounts
Institutions	0.00 to <0.15	566	0.03%	42.47%	2.50	105	18.49%
	0.15 to <0.25	40	0.16%	38.02%	2.50	17	42.56%
	0.25 to <0.50	-	0.30%	44.99%	2.50	-	57.64%
	0.50 to <0.75	22	0.60%	44.77%	2.50	23	104.03%
	0.75 to <2.50	-	1.25%	44.99%	2.50	-	115.67%
	2.50 to <10.00	-	-	-	0.00	-	-
	10.00 to <100.00	-	20.00%	45.00%	2.50	-	286.68%
	100.00 (default)	-	-	-	0.00	-	-
	SUB-TOTAL	629	0.07%	42.27%	2.50	146	23.14%
Corporates – Other	0.00 to <0.15	659	0.03%	44.84%	2.50	49	7.42%
	0.15 to <0.25	17	0.16%	44.61%	2.50	7	44.27%
	0.25 to <0.50	92	0.30%	44.41%	2.50	56	60.59%
	0.50 to <0.75	58	0.60%	44.35%	2.50	49	83.57%
	0.75 to <2.50	76	1.09%	43.89%	2.50	83	108.20%
	2.50 to <10.00	6	5.00%	43.70%	2.50	11	174.84%
	10.00 to <100.00	9	19.10%	44.44%	2.50	24	270.13%
	100.00 (default)	1	100.00%	44.79%	2.50	-	-
	SUB-TOTAL	918	0.49%	44.67%	2.50	279	30.34%
Corporates – SME	0.00 to <0.15	8	0.03%	44.62%	2.50	1	12.45%
	0.15 to <0.25	4	0.16%	44.07%	2.50	1	28.32%
	0.25 to <0.50	12	0.30%	43.57%	2.50	6	50.08%
	0.50 to <0.75	15	0.60%	43.39%	2.50	10	67.73%
	0.75 to <2.50	43	1.40%	43.11%	2.50	37	84.78%
	2.50 to <10.00	15	5.00%	42.56%	2.50	18	117.47%
	10.00 to <100.00	3	16.71%	43.03%	2.50	6	175.98%
	100.00 (default)	1	100.00%	44.23%	2.50	-	-
	SUB-TOTAL	101	2.83%	43.28%	2.50	79	77.74%
TOTAL		1,648	0.47%	43.67%	2.50	503	30.50%

— Exposure to counterparty risk by portfolio and probability of default (PD) range, supervisory portfolios for advanced internal ratings-based approach (CCR4)

31/12/2021 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWA	Density of risk weighted exposure amounts
Central governments and Central Banks	0.00 to <0.15	8,098	0.01%	5.14%	2.66	88	1.08%
	0.15 to <0.25	366	0.16%	8.90%	2.59	32	8.76%
	0.25 to <0.50	19	0.30%	10.00%	1.18	2	9.65%
	0.50 to <0.75	47	0.60%	9.88%	2.39	8	17.34%
	0.75 to <2.50	45	0.91%	45.00%	3.29	46	102.62%
	2.50 to <10.00	1	8.00%	45.00%	4.43	1	212.17%
	10.00 to <100.00	22	20.00%	45.00%	4.98	62	279.29%
	100.00 (default)	-	-	-	-	-	-
	SUB-TOTAL	8,598	0.08%	5.65%	2.66	239	2.78%
Institutions	0.00 to <0.15	16,795	0.05%	21.69%	2.06	1,539	9.16%
	0.15 to <0.25	2,566	0.16%	34.15%	1.92	918	35.76%
	0.25 to <0.50	1,484	0.30%	37.43%	1.74	755	50.85%
	0.50 to <0.75	529	0.60%	45.50%	1.75	448	84.73%
	0.75 to <2.50	416	0.95%	49.31%	1.35	431	103.46%
	2.50 to <10.00	4	5.00%	86.10%	1.94	11	288.72%
	10.00 to <100.00	13	19.96%	57.18%	1.95	47	349.80%
	100.00 (default)	0	100.00%	45.00%	2.34	-	-
	SUB-TOTAL	21,809	0.12%	25.36%	2.00	4,148	19.02%
Corporates – Other	0.00 to <0.15	16,068	0.04%	29.74%	1.64	1,900	11.82%
	0.15 to <0.25	1,900	0.16%	42.94%	3.11	1,019	53.63%
	0.25 to <0.50	2,596	0.32%	40.47%	1.78	1,280	49.31%
	0.50 to <0.75	1,958	0.60%	47.84%	0.72	1,194	60.96%
	0.75 to <2.50	1,763	0.95%	51.72%	1.17	1,526	86.57%
	2.50 to <10.00	486	4.55%	45.24%	2.99	794	163.43%
	10.00 to <100.00	168	15.66%	44.49%	2.52	402	239.69%
	100.00 (default)	24	100.00%	45.00%	3.56	0	0.78%
	SUB-TOTAL	24,963	0.48%	35.25%	1.69	8,115	32.51%
Corporates – SME	0.00 to <0.15	37	0.04%	51.86%	2.09	5	13.95%
	0.15 to <0.25	3	0.16%	54.52%	1.80	1	35.29%
	0.25 to <0.50	13	0.28%	59.29%	1.32	6	45.12%
	0.50 to <0.75	2	0.60%	52.30%	3.32	1	89.33%
	0.75 to <2.50	20	1.09%	52.45%	4.37	19	98.76%
	2.50 to <10.00	1	3.16%	52.30%	4.46	1	119.88%
	10.00 to <100.00	0	19.80%	52.50%	3.52	1	195.49%
	100.00 (default)	-	-	-	-	-	-
	SUB-TOTAL	76	0.51%	53.44%	2.59	35	45.79%
Corporates – Specialised lending	0.00 to <0.15	301	0.06%	8.11%	4.24	19	6.19%
	0.15 to <0.25	1,174	0.16%	16.31%	4.61	260	22.18%
	0.25 to <0.50	517	0.30%	17.33%	3.80	152	29.34%
	0.50 to <0.75	352	0.60%	13.65%	4.18	105	29.95%
	0.75 to <2.50	403	1.21%	13.72%	3.63	139	34.49%
	2.50 to <10.00	48	5.00%	20.92%	2.56	33	70.30%
	10.00 to <100.00	122	14.07%	33.17%	2.72	204	167.69%
	100.00 (default)	19	100.00%	16.45%	4.16	-	-
	SUB-TOTAL	2,936	1.68%	15.75%	4.13	912	31.08%
Retail – Other SME	0.00 to <0.15	-	-	-	-	-	-
	0.15 to <0.25	1	0.22%	53.63%	1.00	0	24.63%
	0.25 to <0.50	1	0.44%	53.63%	1.00	0	38.10%
	0.50 to <0.75	1	0.55%	53.63%	1.00	1	43.30%
	0.75 to <2.50	1	1.42%	53.63%	1.00	1	64.92%
	2.50 to <10.00	0	5.51%	53.63%	1.00	0	84.98%
	10.00 to <100.00	0	26.41%	53.63%	1.00	0	134.90%
	100.00 (default)	0	100.00%	73.62%	1.00	0	31.37%
	SUB-TOTAL	5	2.39%	53.75%	1.00	3	48.59%
TOTAL		58,387	0.35%	26.24%	2.07	13,452	23.04%

— Exposure to counterparty risk by portfolio and probability of default (PD) range, supervisory portfolios for advanced internal ratings-based approach (CCR4)

31/12/2020 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWA	Density of risk weighted exposure amounts
Central governments and Central Banks	0.00 to <0.15	8,257	0.01%	5.67%	2.85	89	1.08%
	0.15 to <0.25	385	0.16%	9.98%	2.05	29	7.53%
	0.25 to <0.50	21	0.30%	10.00%	2.54	2	9.45%
	0.50 to <0.75	24	0.60%	10.00%	1.77	6	24.31%
	0.75 to <2.50	101	0.80%	45.00%	1.09	72	71.45%
	2.50 to <10.00	8	5.00%	58.78%	3.55	15	197.58%
	10.00 to <100.00	-	20.00%	77.17%	3.68	-	249.17%
	100.00 (default)	-	0.00%	0.00%	0.00	-	-
	SUB-TOTAL	8,796	0.03%	6.38%	2.80	214	2.44%
Institutions	0.00 to <0.15	17,384	0.04%	15.80%	1.63	1,513	8.70%
	0.15 to <0.25	2,510	0.16%	34.04%	2.12	944	37.59%
	0.25 to <0.50	2,073	0.30%	41.94%	1.20	953	45.96%
	0.50 to <0.75	738	0.60%	47.37%	1.43	635	86.04%
	0.75 to <2.50	980	0.82%	25.69%	2.85	443	45.17%
	2.50 to <10.00	19	5.00%	83.92%	0.76	48	252.29%
	10.00 to <100.00	4	19.81%	39.70%	3.13	9	206.80%
	100.00 (default)	5	100.00%	45.01%	4.35	2	54.17%
	SUB-TOTAL	23,715	0.15%	21.44%	1.68	4,547	19.18%
Corporates – Other	0.00 to <0.15	14,908	0.04%	33.32%	1.75	1,586	10.64%
	0.15 to <0.25	2,498	0.16%	45.39%	2.18	1,096	43.86%
	0.25 to <0.50	2,477	0.30%	45.10%	2.03	1,104	44.58%
	0.50 to <0.75	2,782	0.60%	43.50%	1.95	1,650	59.30%
	0.75 to <2.50	2,059	1.19%	48.87%	2.51	1,827	88.76%
	2.50 to <10.00	129	5.00%	32.74%	2.17	180	139.51%
	10.00 to <100.00	110	14.40%	43.10%	2.23	237	214.53%
	100.00 (default)	57	100.00%	45.36%	2.44	6	10.11%
	SUB-TOTAL	25,020	0.55%	38.16%	1.91	7,685	30.72%
Corporates – SME	0.00 to <0.15	54	0.03%	47.31%	2.56	8	14.55%
	0.15 to <0.25	4	0.18%	31.50%	2.02	1	33.65%
	0.25 to <0.50	14	0.30%	43.75%	1.20	6	44.81%
	0.50 to <0.75	6	0.60%	42.95%	2.78	5	89.25%
	0.75 to <2.50	27	1.67%	33.44%	2.49	28	102.79%
	2.50 to <10.00	5	5.00%	41.58%	3.92	6	127.39%
	10.00 to <100.00	1	16.39%	23.16%	1.96	2	176.38%
	100.00 (default)	-	-	-	0.00	-	-
	SUB-TOTAL	111	0.87%	42.18%	2.42	57	51.04%
Corporates – Specialised lending	0.00 to <0.15	690	0.06%	12.04%	3.81	44	6.31%
	0.15 to <0.25	1,172	0.16%	12.80%	3.72	236	20.15%
	0.25 to <0.50	698	0.30%	12.79%	3.66	119	17.06%
	0.50 to <0.75	680	0.60%	13.15%	3.07	187	27.46%
	0.75 to <2.50	804	1.03%	15.78%	3.49	325	40.36%
	2.50 to <10.00	59	5.00%	13.36%	3.57	34	57.21%
	10.00 to <100.00	78	15.85%	16.19%	3.07	103	132.80%
	100.00 (default)	31	100.00%	31.94%	2.69	-	0.99%
	SUB-TOTAL	4,212	1.50%	13.51%	3.55	1,047	24.87%
Retail – Other SME	0.00 to <0.15	-	0.16%	10.50%	1.07	-	12.48%
	0.15 to <0.25	1	0.22%	20.54%	1.36	-	28.81%
	0.25 to <0.50	2	0.45%	24.99%	1.35	1	44.88%
	0.50 to <0.75	-	-	-	-	-	-
	0.75 to <2.50	2	1.49%	25.27%	1.32	1	72.60%
	2.50 to <10.00	-	6.06%	29.07%	1.30	-	107.46%
	10.00 to <100.00	-	49.33%	30.20%	1.39	-	584.60%
	100.00 (default)	-	100.00%	70.40%	1.15	-	73.76%
	SUB-TOTAL	5	4.55%	25.86%	1.33	3	62.73%
TOTAL		61,859	0.39%	25.56%		13,554	21.91%

3.4.2.3.5 Collateral

— Composition of collateral for exposures to counterparty risk (CCR5)

31/12/2021 (in millions of euros)	Collateral type	Collateral used in derivative transactions				Collateral used in SFTs			
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received		Fair value of posted collateral	
		Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated
1	Cash – domestic currency	-	10,455	981	7,151	-	398	-	677
2	Cash – other currencies	-	6,457	89	2,199	-	628	-	-
3	Domestic sovereign debt	-	6,376	-	130	-	199,227	-	164,854
4	Other sovereign debt	-	1,637	-	-	-	110,677	-	95,095
5	Government agency debt	-	23	1,646	-	-	12,641	-	11,837
6	Corporate bonds	-	316	-	-	-	20,010	-	14,481
7	Equity securities	-	38	-	-	-	17,222	-	14,059
8	Other collateral	-	1,167	18	8	-	3,567	-	7,204
9	TOTAL	-	26,469	2,733	9,488	-	364,371	-	308,208

3.4.2.3.6 Change in RWA using the internal model method (IMM)

— RWA flow statement for CCR exposures using the IMM (CCR7)

31/12/2021 (in millions of euros)	RWA amounts
0010 RWAs as at the end of the previous reporting period (30/09/2021)	10,238
0020 Asset size	809
0030 Credit quality of counterparties	83
0040 Model updates (IMM only)	-
0050 Methodology and policy (IMM only)	-
0060 Acquisitions and disposals	-
0070 Foreign exchange movements	(311)
0080 Other	(688)
0090 RWAs AS AT THE END OF THE REPORTING PERIOD (31/12/2021)	10,131

3.4.2.3.7 Central Counterparty (CCP) Exposures

— Central counterparty (CCP) exposures (CCR8)

		31/12/2021	
(in millions of euros)		EAD post CRM	RWA
1	Exposures to QCCPs (total)		435
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	6,576	132
3	(i) OTC derivatives	1,872	37
4	(ii) Exchange-traded derivatives	285	6
5	(iii) SFTs	4,420	88
6	(iv) Netting sets where cross-product netting has been approved	-	-
7	Segregated initial margin	2,247	
8	Non-segregated initial margin	4,570	58
9	Prefunded default fund contributions	1,139	245
10	Unfunded default fund contributions	-	-
11	Exposures to non-QCCPs (total)		-
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which	-	-
13	(i) OTC derivatives	-	-
14	(ii) Exchange-traded derivatives	-	-
15	(iii) SFTs	-	-
16	(iv) Netting sets where cross-product netting has been approved	-	-
17	Segregated initial margin	-	
18	Non-segregated initial margin	-	-
19	Prefunded default fund contributions	-	-
20	Unfunded default fund contributions	-	-

3.4.2.3.8 CVA

The CRD 4 prudential framework introduced a new capital charge to cover volatility in the CVA (Credit Valuation Adjustment) or valuation adjustment for assets grouped together under the term "CVA Risk", which is intended to include in the valuation of OTC derivatives credit events affecting our counterparties. The CVA is thus defined as the difference between the valuation excluding risk of default and the valuation including the probability of default of our counterparties.

Under the prudential framework, institutions use a regulatory formula ("standardised approach") or are authorised to calculate their capital requirements using their internal models for both counterparty risk and specific rate risk using the advanced approach ("CVA VaR").

The CVA requirement under the advanced approach is calculated on the basis of expected positive exposure on OTC derivative transactions involving "Financial institution" counterparties excluding intragroup transactions. Within this scope, the tools used to estimate capital requirements are the same as for market VaR in respect of specific interest rate risk.

— Credit valuation adjustment (CVA) capital requirement (CCR2)

		31/12/2021		31/12/2020	
(in millions of euros)		Exposure value	RWA	Exposure value	RWA
1	Total transactions subject to the Advanced method	17,675	2,690	14,768	2,634
2	(i) VaR component (including the 3× multiplier)	-	259	-	545
3	(ii) stressed VaR component (including the 3× multiplier)	-	2,431	-	2,089
4	Transactions subject to the Standardised method	25,029	2,174	22,910	1,929
EU4	Transactions subject to the Alternative approach (Based on the Original Exposure Method)	-	-	-	-
5	TOTAL TRANSACTIONS SUBJECT TO OWN FUNDS REQUIREMENTS FOR CVA RISK	42,705	4,864	37,678	4,563

3.4.2.4 Credit and counterparty risk mitigation techniques

— Overview of credit risk mitigation techniques (CRMs): publication of the use of CRM techniques (RC3)

31/12/2021 (in millions of euros)	Unsecured carrying amount	Secured carrying amount	Of which secured by collateral	Of which secured by financial guarantees	Of which secured by credit derivatives
1 Loans and advances	749,505	665,618	325,205	340,413	8,184
2 Debt securities	155,781	2,554	-	2,554	-
3 TOTAL	905,287	668,172	325,205	342,967	8,184
4 Of which non-performing exposures	15,520	7,090	4,471	2,619	-

31/12/2020 (in millions of euros)	Unsecured carrying amount	Secured carrying amount	Of which secured by collateral	Of which secured by financial guarantees	Of which secured by credit derivatives
1 Loans and advances	627,805	651,090	321,514	311,785	17,791
2 Debt securities	160,023	2,858	-	2,858	-
3 TOTAL	787,828	653,948	321,514	314,642	17,791
4 Of which non-performing exposures	18,126	7,083	3,717	3,110	256

3.4.2.4.1 Credit risk mitigation techniques

Collateral management system for collateral received

The main categories of collateral taken into account by the bank are described in the section entitled "Risk management – Credit risk – Collateral and guarantees received".

When a credit is granted, collateral is analysed to assess the value of the asset, its liquidity, volatility and the correlation between the value of the collateral and the quality of the counterparty financed. Regardless of collateral quality, the first criterion in the lending decision is always the borrower's ability to repay sums due from cash flow generated by its operating activities, except for specific trade finance transactions.

For financial guarantees, a minimum exposure coverage ratio is usually included in loan contracts, with readjustment clauses. Financial guarantees are revalued according to the frequency of margin calls and the variability of the underlying value of financial assets transferred as guarantee or quarterly, as a minimum.

The minimum coverage ratio (or the haircut applied to the value of the guarantee in treatments under EU Regulation 575/2013 of 26 June 2013 as amended (CRR) is determined using the measure of the pseudo-maximum deviation of the value of the securities at the revaluation date. This measurement is calculated with a 99% confidence interval over a time horizon covering the period between each revaluation, the period between the default date and the date on which asset disposal starts, and the duration of the liquidation period. This haircut also applies for currency mismatch risk when the securities and the collateralised exposure are denominated in different currencies. Additional haircuts are applied when the size of the stocks position implies a block disposal or when the borrower and the issuer of the collateral securities belong to the same risk group.

For Retail Banking (LCL, CA Italia), revaluation of real estate assets is automatic based on changes in the property market indexes. In contrast, for project-type property financing, assets are mainly revalued on the basis of an expert appraisal combining various approaches (asset value, rental value, etc.) and include external benchmarks.

Other types of assets may also be pledged as collateral. The case for certain activities such as aircraft, shipping, real estate or commodities financing. These businesses are conducted by middle offices, which have specific expertise in valuing the assets financed.

Protection providers

Two major types of guarantee are mainly used (other than intragroup guarantees): export credit insurance taken out by the Bank and unconditional payment guarantees.

The main guarantee providers (excluding credit derivatives) are export credit agencies, most of which enjoy a sovereign rating. The most important agencies are BPI (France), K-Sure (South Korea), ECGD (UK), Euler Hermes (Germany) and Sace SPA (Italy).

The use of risk mitigation techniques by Crédit Agricole, to cover some of its commitments to third parties

Crédit Agricole may also use risk mitigation techniques to cover some of its transactions vis-à-vis third parties, in particular refinancing transactions. The latter may contain an additional collateralisation clause in the event of a downgrading of the credit quality of Crédit Agricole S.A. corporate entity. By way of example, at end-2021, in the event of a one-notch credit quality downgrade, the Group would have had to provide the counterparties of the refinancing transactions with additional collateral totalling €287 million.

— External ratings given to the export credit agencies

31/12/2021 (in millions of euros)	Moody's	Standard & Poor's	Fitch Ratings
	Long term rating (outlook)	Long term rating (outlook)	Long term rating (outlook)
Bpifrance Financement (EPIC Bpifrance)	Aa2 [stable]	Unrated	AA [negative]
Euler Hermès S.A.	Aa3 [stable]	AA [stable]	Unrated
Sace S.p.A.	Unrated	Unrated	BBB [stable]

Moreover, the guarantees received from mutual guarantee companies cover a substantial portion of the loans in the Group's "residential real estate" portfolio in France (see table below). These loans are guaranteed by guarantees granted by Crédit Logement (rated Aa3 [stable] by Moody's)

or by the Group's insurance company subsidiary, CAMCA Assurance S.A. (rated A+ [stable] by Fitch). The guarantors are subject to prudential regulation applying to either financing companies for Crédit Logement, or insurance companies (Solvency 2) for CAMCA Assurance.

— Mortgage loan amounts guaranteed by CAMCA and Crédit Logement

(in millions of euros)	Outstandings 31/12/2020		Outstandings 31/12/2019	
	Amount of guaranteed outstandings	% of guaranteed loans in the "residential mortgage loans" portfolio in France	Amount of guaranteed outstandings	% of guaranteed loans in the "residential mortgage loans" portfolio in France
Coverage by surety agencies (Crédit Logement, CAMCA)	254,631	58.76%	235,157	58.10%

When a guarantee is issued, the guarantor applies an independent selection policy in addition to that already implemented by the bank. Where Crédit Logement is concerned, the guarantee issued covers, with no deductible, the payment of all amounts legally due by defaulting borrowers in principal, interest, insurance premiums and costs. In respect of CAMCA Assurance, the guarantee mechanism is broadly similar to

that of Crédit Logement, with the difference that the payments made by CAMCA Assurance with respect to the guarantee arise once the bank's means of recourse against the borrower have been exhausted. Ultimately, these guarantee provisions significantly enhance the quality of the mortgage loans guaranteed and constitute a full transfer of risk in respect of the loans.

3.4.2.4.2 Risk mitigation techniques applied to counterparty risk

Credit derivatives for hedging purposes

These techniques are presented in the "Risk management" chapter, Part 2.4.II.4.3 "Credit risk – Credit risk mitigation mechanisms – Use of credit derivatives" of Amendment A01 of the 2021 Universal Registration Document of the Crédit Agricole Group.

Qualitative information on credit risk mitigation techniques is discussed in Chapter 3, Part 2 "Risk management" of this document:

- for more information on on- and off-balance sheet netting, see Section 2.4.II.4, paragraph 4.2 "Use of netting agreements";

- for more information on the valuation and management of eligible collateral, see Section 2.4.II.4 "Credit risk reduction mechanism";
- reduction of concentrations of risk via credit risk mitigation transactions, see, respectively, Sections 2.4.II.3 "Supervision system of commitments" and 2.4.II.4 "Credit risk mitigation mechanism", paragraph 4.3 "Use of credit derivatives".

— Credit derivatives exposures (CCR6)

31/12/2021 (in millions of euros)		Protection bought	Protection sold
Notionals			
0010	Single-name credit default swaps	24,112	13,411
0020	Index credit default swaps	2,908	726
0030	Total return swaps	21,001	1,113
0040	Credit options	-	-
0050	Other credit derivatives	-	-
0060	TOTAL NOTIONALS	48,021	15,249
Fair values			
0070	Positive fair value (asset)	845	252
0080	Negative fair value (liability)	(538)	(479)

3.4.2.5 Equity exposures in the banking portfolio

The Crédit Agricole Group's equity exposures, excluding the trading book, consist of securities "that convey residual, subordinated claims on the assets or revenues of the issuer or have a similar economic substance". These mainly include:

- listed and unlisted equities and shares in investment funds;

- options implicit in convertible, redeemable or exchangeable bonds;
- stock options;
- super-subordinated securities.

The accounting policies and valuation methods used are described in Note 1.2 to the financial statements "Accounting policies and principles".

— Equity exposures subject to the simple risk-weight approach (CR10.5)

31/12/2021 Categories (in millions of euros)	On-balance sheet amount	Off-balance sheet amount	Risk weight	Exposure amount	RWAs	Expected loss amount
Private equity exposures	2,268	55	190%	2,323	4,413	19
Exchange-traded equity exposures	1,248	-	290%	1,248	3,619	10
Other equity exposures	18,147	0	370%	18,048	66,773	433
TOTAL	21,662	55		21,618	74,805	462

— Equity exposures subject to the simple risk-weight approach (CR10.5)

31/12/2020 Categories (in millions of euros)	On-balance sheet amount	Off-balance sheet amount	Risk weight	Exposure amount	RWAs	Expected loss amount
Private equity exposures	1,407	29	190%	1,435	2,727	11
Exchange-traded equity exposures	1,821	-	290%	1,821	5,281	15
Other equity exposures	17,257	4	370%	17,262	63,868	414
TOTAL	20,485	33		20,518	71,876	440

Equity exposures under the internal ratings based approach mainly consist of the portfolios of Crédit Agricole S.A., Crédit Agricole CIB and Crédit Agricole Capital Investissement et Finance.

Equity exposures (on and off-balance sheet) under the internal ratings-based approach amounted to €21.7 billion at 31 December 2021 (compared with €20.5 billion at 31 December 2020).

Furthermore, equity exposures using the standardised approach amounted to €1.6 billion at 31 December 2021 for an RWA amount of €1.87 billion at 31 December 2021.

The cumulative amount of gains or losses realised on sales and liquidations during the period under review is disclosed in Note 4 to the financial statements "Notes to the income statement and other comprehensive income".

3.4.3 Securitisation

3.4.3.1 Definitions of securitisation transactions

Crédit Agricole Group acts as originator, sponsor and investor in securitisation transactions within the meaning of the Basel 3 framework.

Securitisation transactions, listed below, consist of transactions defined in Directive 2013/36/EU (CRD IV) and EU Regulation 575/2013 of 26 June 2013 (CRR) in force since 1 January 2014. The directive and regulations incorporate into European law the Basel 3 international reform (issued in December 2010) introducing, among other things, new requirements for bank solvency and oversight of liquidity risk. These texts are supplemented by Regulations (EU) 2017/2401 and 2017/2402 of the European Parliament and the Council of 12 December 2017. Regulation 2017/2402 revises the general framework of securitisation and creates a specific framework for simple, transparent, and standardised securitisations, and Regulation 2017/2401 amends the calculation formulas applicable for securitisations with regard to the solvency ratio and corresponds to the Basel IV framework for securitisation.

This applies to transactions under which the credit risk associated with an exposure or set of exposures is sub-divided into tranches, which have the following two characteristics:

- payments made within the transaction or scheme depend on the performance of the underlying exposure or basket of exposures;
- the subordination of tranches determines how losses are distributed during the lifetime of the transaction or scheme.

Securitisation transactions include:

- traditional securitisations: a securitisation involving the transfer of the economic interest in the securitised exposures by transferring ownership of those exposures from the originator to a securitisation entity or by a sub-participation of a securitisation entity, in which the securities issued do not represent payment obligations for the originator;
- synthetic securitisations: a securitisation whereby the transfer of risks takes place through the use of credit derivatives or guarantees and in which the securitised exposures remain exposures for the originator.

The securitisation exposures of Crédit Agricole Group are broken down in its regulatory portfolio according to the following categories:

- the securitisation exposures for which the Group is deemed an originator;
- exposures in which the Group is an investor;
- exposures in which the Group is a sponsor;
- securitisation swap exposures (currency or interest rate hedges) allocated to securitisation vehicles.

Note that most securitisation transactions on behalf of European customers involve Ester Finance Technologies, a wholly owned credit institution subsidiary of Crédit Agricole CIB, which finances the purchase of receivables and therefore makes Crédit Agricole CIB both sponsor and, via Ester Finance Technologies, originator of these securitisation transactions.

The impact on the consolidated financial statements of proprietary securitisation transactions carried out within the context of collateralised financing activities that are not deconsolidated is detailed in Note 6.6 to the financial statements “Transferred assets not derecognised or derecognised with on-going involvement”.

3.4.3.2 Purpose and strategy

3.4.3.2.1 Proprietary securitisation transactions

Crédit Agricole Group's proprietary securitisation transactions are the following:

Collateralised financing activities

These transactions are designed for the issue of securities and, where appropriate, can be wholly or partially placed with investors, sold under repurchase agreements or kept on the issuer's balance sheet as liquid securities reserves that can be used to manage refinancing. This activity relates to several Group entities, mainly CA Consumer Finance and its subsidiaries as well as EFL (Europejski Fundusz Leasingowy) in Poland. It should be noted that in this context, the Crédit Agricole Regional Banks have regularly carried out residential mortgage-backed securities transactions (“RMBS”) under the Crédit Agricole Habitat programme since 2015. Some of these transactions are fully subscribed to build up liquid securities reserves (Crédit Agricole Habitat 2019, in which LCL also participates); for the others (Crédit Agricole Habitat 2017, 2018, 2020), senior securities are placed on the market and each Regional Bank retains part of the junior securities. These transactions are rated by Moody's and DBRS Morningstar and by Standard & Poors for Crédit Agricole Habitat 2017.

Transactions carried out by the CACF group in 2021

In 2021, the CACF Group carried out an issue placed on the market: SUNRISE 93 2021-2 for a placement amount of €573 million of senior securities with an expected average early maturity of 2.2 years. Another transaction (Sunrise 92 2021-1, issued in March for a senior tranche of €944 million) was fully retained and used as collateral for financing activities.

The CACF Group also carried out three self-subscribed issues to build reserves of liquid securities eligible for collateral in the Eurosystem. The Ginkgo Master Revolving Loans programme restructured in January 2021 by CACF S.A. (issue of €648 million of new senior units), Thétis 2 (Ares Lusitani STC) issued in July by Credibom in Portugal (€504 million of senior units) and RACP 2021 (Retail Automotive CP Germany 2021 UG) issued at the end of October by Creditplus in Germany (€900 million of senior units).

All transactions in 2021, except for Ginkgo Master Revolving Loans, have S.T.S. status. The CACF Group used the following rating agencies: Standard & Poors, Fitch Ratings and DBRS Morningstar. The names of the securitisation vehicles are listed above for each transaction.

Many of the previous transactions of the CACF Group were still alive in 2021:

- for CACF S.A.: Ginkgo SF 2017-1 (Ginkgo FCT), rated by Fitch Ratings and Standard & Poors, whose senior tranches have been placed, Ginkgo DC 2015-1 (Ginkgo FCT), as well as Ginkgo PL 2020 (Ginkgo Personal Loans 2020 FCT), which is S.T.S., rated by Fitch Ratings and DBRS Morningstar, and self-subscribed to build up liquid reserves;
- for Agos Ducato S.p.A.: Sunrise 2017 Private (SPV30 2017-P), Sunrise 2018-2 (SPV50 2018-2), Sunrise 2019 Private (SPV60 2019-P), Sunrise 2019-1 (SPV70 2019-1), Sunrise 2019-2 (SPV80 2019-2), for which the senior tranches have been placed, and Sunrise 2020-1

(SPV90 2020-1), which is self-subscribed to build up liquid reserves; these transactions, except for the private transactions, are rated by Fitch Ratings and DBRS Morningstar. Sunrise 2019-1, 2019-2 and 2020-1 are S.T.S.;

- for CACF Nederland B.V.: Magoï B.V., S.T.S., rated by Fitch Ratings and DBRS Morningstar, all tranches of which have been placed;
- for FCA Bank: ABEST 14, 18, 19, 20 and 21, rated by Fitch Ratings and DBRS Morningstar or Fitch Ratings and Moody's, self-subscribed to build up liquid reserves; ABEST 16, rated by Standard & Poors and Moody's, for which the senior tranches have been placed. FCA also uses the unrated Erasmus and Nixis 6 programmes, for which the senior tranches have been placed. Finally, ABEST 15 and 17, which are S.T.S., rated respectively by Fitch Ratings and Moody's and Fitch Ratings and DBRS Morningstar, and for which all tranches have been placed, allow FCA Bank to reduce its prudential balance sheet.

Transactions carried out by the CAL&F group in 2021

Europejski Fundusz Leasingowy (EFL) issued a new lease financing-backed “Lease ABS 2021-1 DAC” transaction for an amount of PLN1.7 billion. The transaction was supported by the EIB Group (European Investment Bank and European Investment Fund) as a direct investor in part of the issue and a guarantor for the balance. The senior tranche has been rated by Fitch Ratings and Scope Ratings.

Two previous EFL transactions were still alive in 2021: “EFL LEASE ABS 2017-1 DAC” backed by lease financing for an initial amount of PLN2.2 billion, currently being amortised. The senior tranche, placed with the support of the EIB Group, was rated by Fitch Ratings and Scope Ratings; and a synthetic securitisation completed in 2019 covering an initial portfolio of PLN2.1 billion of unrated lease financing, where EFL retained only a first-loss tranche, the amortisation of which began at end-2021.

Transactions carried out by Crédit Agricole Italia in 2021

Crédit Agricole FriulAdria S.p.A. and Credito Valtellinese S.p.A. completed a €1.8 billion securitisation of non-performing loans via a disposal to the “Ortles 21” vehicle. Crédit Agricole Italia has underwritten the senior bonds covered by the Italian government's GACS (*Garanzia Cartolarizzazione Sofferenze*) guarantee scheme, rated by DBRS Morningstar, Scope Ratings and Arc Ratings. The junior and mezzanine bonds were placed on the market, thus allowing a prudential deconsolidation of the portfolio sold.

Crédit Agricole CIB's transfer of risks by means of proprietary securitisation transactions are the following:

Active management of the financing portfolio

In addition to using credit derivatives (see the “Risks and Pillar 3 – Use of credit derivatives” chapter), this activity consists of using synthetic securitisation to manage the credit risk of the bank, optimise capital allocation, reduce the concentration of outstanding loans to corporates, release resources to contribute to the renewal of the banking portfolio (as part of the Distribute to Originate model) and maximise the return on capital. This activity is managed by the Private Debt Solutions team, which reports both to the Execution Management department within the Finance Department and to the Debt Optimisation and Distribution department at Crédit Agricole CIB. The approach used to calculate the risk-weighted amounts on proprietary securitisation exposures is the regulatory formula approach. In this such transactions, the Bank does not systematically purchase protection on all tranches, as the management goal is to cover some of the more risky financing portfolio tranches whilst keeping part of the overall risk.

New securitisations carried out by Crédit Agricole CIB in 2021

As part of the management of the financing portfolio, the PDS team set up four new synthetic securitisation transactions:

- Marco Polo 3. This four-year transaction, which involves a USD 4 billion portfolio of Crédit Agricole CIB's exposure (loans or trade finance transactions) to companies based in emerging countries, is the third successive transaction with IFC, a subsidiary of the World Bank. The selection of the portfolio incorporates Crédit Agricole CIB's ESG criteria. This transaction was voted Impact Deal of the Year Award by SCI magazine in the Capital Relief Trades Awards 2021;
- CEDAR 2021-1 and CEDAR 2021-2, with private investors. These five-year transactions cover a total of €5.3 billion of Crédit Agricole CIB's large corporates loan book. This transaction is secured by a cash collateral equal to the amount of risk guaranteed. Both transactions have STS (Simple, Transparent and Standard) status;
- PERS 1, with a private investor. This five-year transaction involves a €2 billion portfolio of Crédit Agricole CIB credit facilities. This transaction is secured by a cash collateral equal to the amount of risk guaranteed.

These transactions are private and unrated and are conducted without the support of a securitisation vehicle. In the case of Marco Polo 3, Crédit Agricole CIB retained a first loss tranche and sold the mezzanine tranche; for the other transactions, Crédit Agricole CIB sold the first losses and the mezzanine position.

At end-2021, the synthetic securitisation transactions previously put in place by Crédit Agricole CIB represented a hedged portfolio of €8.75 billion.

3.4.3.2.2 Securitisation transactions carried out on behalf of customers as arranger, sponsor, intermediary or originator

Only Crédit Agricole CIB, within the Crédit Agricole Group, carries out securitisation transactions on behalf of its customers.

Securitisation transactions on behalf of customers within Global Markets activities allow Crédit Agricole CIB to raise funds or manage a risk exposure on behalf of its customers. When carrying out these activities, Crédit Agricole CIB can act as an originator, sponsor, arranger or investor:

- as a sponsor and arranger, Crédit Agricole CIB structures and manages securitisation programmes that refinance assets of the bank's customers, mainly via ABCP (Asset Backed Commercial Paper) programmes, namely LMA in Europe, Atlantic and La Fayette in the United States and ITU in Brazil. These specific entities are protected from Crédit Agricole CIB bankruptcy risk but are consolidated for accounting purposes at Group level;
- as an investor, the Group invests directly in certain securitisation exposures and is a liquidity provider or counterparty of derivative exposures (foreign exchange or interest rate swaps for instance);
- as an arranger, sponsor or originator, Crédit Agricole CIB carries out securitisation transactions on behalf of its customers. At 31 December 2021, there were four active consolidated multi-seller vehicles (LMA, Atlantic, La Fayette and ITU), structured by the Group on behalf of third parties. LMA, Atlantic, La Fayette and ITU are fully supported ABCP programmes. This ABCP programme activity finances the working capital requirements of some of the Group's customers by backing short-term financing with traditional assets, such as trade receivables or financial loans. The amount of the assets held by these vehicles and financed through the issuance of marketable securities amounted to €28 billion at 31 December 2021 (€24 billion at 31 December 2020).

The default risk on the assets held by these vehicles is borne by the sellers of the underlying receivables through credit enhancement or by insurers for certain types of risk upstream of the ABCP transactions. Crédit Agricole CIB bears the risk through liquidity facilities.

Activities carried out as sponsor

The programme activity was sustained throughout 2021, and the newly securitised outstandings mainly relate to trade receivables and financial loans.

For part of this programme activity, Crédit Agricole CIB acts as the originator insofar as the structures involve the entity Ester Finance Technologies, which is a consolidated Group entity.

The amount committed to liquidity facilities granted to LMA, Atlantic, La Fayette and ITU as sponsors was €38 billion at 31 December 2021 (€34 billion at 31 December 2020).

It should be noted that the majority of European ABCP transactions are of STS quality.

Activities carried out as investor

As part of its sponsor activities, the Group can grant guarantees and liquidity facilities to securitisation vehicles or act as a counterparty for derivatives in *ad hoc* securitisation transactions. These are mainly exchange rate swaps provided to the ABCP programmes and interest rate swaps for some ABS issues. These activities are recorded in the banking portfolio as investor activities.

Moreover, Crédit Agricole CIB may be called upon to directly finance on its balance sheet some securitisation transactions on behalf of its customers (mainly aircraft transactions and vehicle fleet financing) or provide support through a liquidity facility to an issue by special purpose vehicles external to the bank (SPV or ABCP programme not sponsored by the bank). In this case, Crédit Agricole CIB is deemed to be an investor. Overall, this activity represented commitments of €2 billion at 31 December 2021 (€2 billion at 31 December 2020).

Intermediation transactions

Crédit Agricole CIB participates in the structuring and in the placement of securities, backed by client asset pools and to be placed with investors.

In this activity, the Crédit Agricole CIB retains a relatively low risk via the possible contribution of back-up lines to securitisation vehicles or via a share of the securities issued.

3.4.3.2.3 Risk monitoring and recognition

Risk monitoring

The management of risks related to securitisation transactions follows the rules established by the Group, according to which these assets are recorded in the banking portfolio (credit and counterparty risk) or in the trading book (market and counterparty risk).

The development, sizing and targeting of securitisation transactions are periodically reviewed by Portfolio Strategy Committees specific to those activities and the countries to which they relate, as well as in the course of Group Risk Management Committee meetings.

Risks on securitisation transactions are measured against the capacity of the assets transferred over to financing structures to generate sufficient flows to cover the costs, mainly financial, of these structures.

Crédit Agricole CIB's securitisation exposures are treated in accordance with the IRB securitisation framework approach, which consists of:

- the Internal Ratings-Based Approach (IRBA): This approach is primarily based on the prudential weighting of the underlying debt portfolio and the attachment point of the tranche in question. For S.T.S. securitisations, Crédit Agricole CIB applies Article 260 of Regulation (EU) 575/2013 of 26 June 2013 modified (CRR), which provides for a 10% risk weight minimum for senior securitisation exposures;

- the External Ratings-Based Approach (ERBA) for exposures that receive (directly or by induced rating) public external ratings from agencies approved by the Committee of European Supervisors. The external agencies used are Standard & Poor's, Moody's, Fitch Ratings and DBRS Morningstar;
- the Standardised Approach (SA): This approach is primarily based on the prudential weighting of the underlying debt portfolio (using the standardised approach) and the attachment point of the tranche in question. For STS securitisations, Crédit Agricole CIB applies Article 262 of Regulation (EU) 575/2013 of 26 June 2013 modified (CRR), which provides for a 10% risk weight minimum for senior securitisation exposures;
- the Internal Assessment Approach (IAA): internal rating methodology approved by Crédit Agricole S.A.'s Standards and Methodology Committee for the main asset classes (particularly trade receivables and vehicle financing) if there are no agency ratings for the exposure in question.

These methods apply irrespective of whether the transactions are S.T.S. or non-S.T.S. notwithstanding the differences in the rules applicable between S.T.S. and non-S.T.S. transactions described in Articles 254.2(a) and 254.2(b) of the CRR.

In line with regulations, the internal assessment approaches used by Crédit Agricole CIB replicate the public methodologies of external rating agencies. The latter have two components:

- a quantitative component that in particular evaluates the enhancement of transactions having regard to historical performances as well as the possible risk of "commingling" generated by the transaction;
- a qualitative component that supplements the quantitative approach and that makes it possible, among other things, to evaluate the quality of structures as well as reporting.

The internal rating methodologies apply to the securitisation of trade receivables, car loans and dealer financing.

Stress test parameters are dependent on the rating of securitisations and of the securitised underlyings. For example, for a rating equivalent to AA (on the S&P scale), the stress test parameter for default risk is around 2.25 for trade receivables transactions, usually 3 for car loan securitisation, and for the securitisation of dealer financing, the credit stress scenario is comprised of a number of items including in particular a three notch downgrade in the car manufacturer's rating.

Note that aside from regulatory calculation purposes, internal ratings are used in the course of the origination process to evaluate the profitability of transactions.

As regards the management of internal models, an independent unit within Crédit Agricole Group is responsible for validating internal methodologies. Moreover, regular audits are conducted by the Control and Audit department to ensure the internal methodologies are relevant. Backtesting and stress testing are also done regularly by the modelling teams.

These ratings cover all types of risks generated by such securitisation transactions: intrinsic risks on receivables (debtor insolvency, payment delays, dilution, offsetting of receivables) or risks on the structuring of transactions (legal risks, risks relating to the receivables collection circuit, risks relating to the quality of information supplied periodically by managers of receivables sold, other risks related to the seller, etc.).

These critically examined ratings are only a tool for making decisions pertaining to the transactions; such decisions are taken by Credit Committees at various levels.

Credit decisions relate to transactions that are reviewed at least once a year by the same Committees. Committee decisions incorporate varying limits according to the evolution of the acquired portfolio (arrears rate, loss rate, rate of sector-based or geographical concentration, rate of dilution of receivables or periodic valuation of assets by independent experts, etc.). Non-compliance with these limits may cause the structure to become stricter or place the transaction in early amortisation.

These credit decisions also include, in liaison with the Bank's other credit Committees, an assessment focusing on the risk generated by the sellers of the receivables and the possibility of substituting the manager by a new one in the event of a failure in the management of those receivables.

Like all credit decisions, these decisions include aspects of compliance and "country risk".

At 31 December 2021, Ester Finance Titrisation recognised impaired loans (Bucket 3) for €180.0 million and an impairment (Bucket 3) of €5.1 million. Net of impairment (Bucket 3), this entity had €19.9 billion in securitised assets.

The liquidity risk associated with securitisation activities is monitored by the business lines in charge, but also centrally by the Market Risk and Steering departments of Crédit Agricole CIB. The impact of these activities is incorporated into the Internal Liquidity Model indicators, mainly stress scenarios, liquidity ratios and liquidity gaps. The management of liquidity risk at Crédit Agricole CIB is described in more detail in the "Liquidity and financing risk" paragraph of the "Risk factors" and "Risk management" sections in this chapter.

The management of foreign exchange risk with respect to securitisation transactions does not differ from that of the Group's other assets. As regards interest rate risk management, securitised assets are refinanced through special purpose vehicles according to interest rate matching rules similar to those applying to other assets.

For assets managed in run-off mode, each disposal of position is first approved by the Market Risk department of Crédit Agricole CIB.

Accounting policies

Investments made in securitisation instruments (cash or synthetic) are recognised according to their classification and the associated valuation method (see Note 1.3 to the consolidated financial statements on accounting policies and principles for financial asset classification and valuation methods).

The securitisation exposures can be classified in the following accounting categories:

- "Financial assets at amortised cost": these securitisation exposures are measured following initial recognition at amortised cost based on the effective interest rate and may, if necessary, be impaired;
- "Financial assets at fair value through equity recyclable to profit or loss": these securitisation exposures are remeasured at fair value at the end of the reporting period and any changes in fair value are recognised in other comprehensive income and may be reclassified to profit or loss;
- "Financial assets at fair value through profit or loss": these securitisation exposures are remeasured at fair value at the end of the reporting period and any changes in fair value are recognised through profit or loss under "Net gains (losses) on financial instruments at fair value through profit or loss".

Gains (losses) on the disposal of these securitisation exposures are recognised in accordance with the rules of the original category of the exposures sold.

As part of securitisation transactions, a derecognition test is carried out pursuant to IFRS 9 (the criteria can be found in Note 1.3 to the consolidated financial statements on accounting policies and principles). In the case of synthetic securitisations, the assets are not derecognised in that they remain under the control of the institution. The assets are still recognised according to their classification and original valuation method (see Note 1.3 to the consolidated financial statements on accounting policies and principles for financial asset classification and valuation methods).

3.4.3.3 Summary of activities in 2021

Crédit Agricole CIB's Securitisation activity in 2021 was characterised by:

- support of the development of the public ABS market in the United States and in Europe. Crédit Agricole CIB structured and organised the placement (arranger and bookrunner) of a significant number of primary ABS issues on behalf of its major "Financial Institution" customers, in particular in the automotive industry and in consumer finance;
- on the ABCP programme market, Crédit Agricole CIB maintained its ranking as one of the leaders in this segment, both in Europe and on the US market. This was achieved via the renewal and implementation of new securitisation transactions for trade receivables or financial loans on behalf of its mainly Corporate customers, while ensuring that

the profile of risks borne by the Bank remained good. The strategy of Crédit Agricole CIB, focused on the financing of its customers, is well perceived by investors and resulted in financing conditions that are still competitive;

- increased activity in terms of proprietary synthetic securitisations as part of the management of the capital allocated to financing activities and the management of the bank's risk envelopes.

Apart from Crédit Agricole CIB, the Crédit Agricole Consumer Finance Group carried out an issue placed in the market in 2021, "SUNRISE 2021-2", for an amount of €573 million of senior securities with an early maturity of 2.2 years, as well as several self-underwritten securitisation transactions to constitute reserves of liquid securities eligible as collateral with the Eurosystem; EFL completed a new issue placed with investors and supported by the EIB Group; and Crédit Agricole Italia completed an initial securitisation of non-performing loans, which was deconsolidated for prudential purposes.

At 31 December 2021, Crédit Agricole Group had no early-redemption securitisation transactions. Moreover, the Crédit Agricole Group did not provide any implicit support to securitisation transactions in 2021.

No Group entity invested in securitisation transactions initiated by Crédit Agricole S.A. or in securitisation exposures issued by securitisation entities sponsored by Crédit Agricole S.A. in 2021. The Group does not hold any resecuritisation positions.

3.4.3.4 Securitisation exposure

3.4.3.4.1 Exposure at default to securitisation transaction risks in the banking portfolio that generate risk-weighted assets

— Securitisation exposures in the banking portfolio IRB and STD (SEC1)

		Institution acts as originator							Institution acts as sponsor					Institution acts as investor				
		Traditional				Synthetic				Traditional		Synthetic			Traditional		Synthetic	
		STS		Non-STS						STS					Non-STS			
		of which SRT	of which SRT	of which SRT	Sub-total	STS	Non-STS	Sub-total	STS	Non-STS	Sub-total							
31/12/2021 <i>(in millions of euros)</i>																		
1	TOTAL EXPOSURES	19,804	-	1,150	-	12,395	12,395	33,348	3,692	14,829	-	18,522	570	1,948	7	2,525		
2	Retail (total)	107	-	389	-	-	-	497	1,422	8,369	-	9,790	570	1,086	7	1,663		
3	Residential mortgage	-	-	-	-	-	-	-	-	-	-	-	438	14	-	452		
4	Credit card	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
5	Other retail exposures	107	-	389	-	-	-	497	1,422	8,369	-	9,790	132	1,050	-	1,182		
6	Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	22	7	29		
7	Wholesale (total)	19,697	-	760	-	12,395	12,395	32,852	2,271	6,461	-	8,731	-	862	-	862		
8	Loans to corporates	-	-	-	-	9,839	9,839	9,839	357	65	-	422	-	-	-	-		
9	Commercial mortgage	-	-	-	-	-	-	-	-	-	-	-	-	11	-	11		
10	Lease and receivables	19,697	-	754	-	-	-	20,451	1,914	4,185	-	6,099	-	241	-	241		
11	Other wholesale	-	-	6	-	2,556	2,556	2,561	-	2,211	-	2,211	-	611	-	611		
12	Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		

31/12/2020 (in millions of euros)		Institution acts as originator								Institution acts as sponsor				Institution acts as investor			
		Traditional				Synthetic		Traditional		Synthetic		Traditional		Synthetic			
		STS		Non-STS		STS	Non-STS										
			of which SRT		of which SRT				of which SRT	Sub-total	STS	Non-STS	Sub-total	STS	Non-STS	Sub-total	
1	TOTAL EXPOSURES	14,588	43	2,802	11	7,232	7,223	24,622	3,210	14,331	-	17,541	358	2,332	-	2,690	
2	Retail (total)	43	43	573	11	-	-	616	1,975	7,143	-	9,118	357	1,048	-	1,405	
3	Residential mortgage	-	-	-	-	-	-	-	-	-	-	-	357	43	-	400	
4	Credit card	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
5	Other retail exposures	43	43	573	11	-	-	616	1,975	7,143	-	9,118	-	980	-	980	
6	Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	24	-	24	
7	Wholesale (total)	14,546	-	2,229	-	7,232	7,223	24,006	1,235	7,188	-	8,423	1	1,284	-	1,285	
8	Loans to corporates	-	-	-	-	6,703	6,694	6,703	-	1,141	-	1,141	-	-	-	-	
9	Commercial mortgage	-	-	-	-	-	-	-	-	-	-	-	-	16	-	16	
10	Lease and receivables	14,546	-	2,229	-	-	-	16,774	1,235	4,456	-	5,691	1	525	-	527	
11	Other wholesale	-	-	-	-	529	529	529	-	1,591	-	1,591	-	743	-	743	
12	Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	

— Exposure at default of securitisation transactions broken down by on- and off-balance sheet accounting classification

Underlying Asset (in millions of euros)	Exposure values on 31/12/2021		
	On Balance Sheet	Off Balance Sheet	Total
1 TOTAL EXPOSURES	2,199	52,196	54,395
2 Retail (total)	1,158	10,791	11,950
3 Residential mortgage	436	16	452
4 Credit card	-	-	-
5 Other retail exposures	700	10,769	11,469
6 Re-securitisation	22	7	29
7 Wholesale (total)	1,040	41,405	42,445
8 Loans to corporates	-	10,261	10,261
9 Commercial mortgage	-	11	11
10 Lease and receivables	590	26,200	26,790
11 Other wholesale	450	4,933	5,383
12 Re-securitisation	-	-	-

— Securitisation exposures in the banking portfolio and related regulatory capital requirements – Bank acting as issuer or agent IRB and STD (SEC3)

31/12/2021 (in millions of euros)	Exposure values (by RW bands/deductions)					Exposure values (by regulatory approach)				RWEA (by regulatory approach)				Capital charge after cap			
	≤20% RW	>20% to 50% RW	>50% to 100% RW	>100% to <1,250% RW	1,250% RW/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC- SA	1,250%/ deductions
1 TOTAL EXPOSURES	46,473	3,268	2,107	11	11	13,330	34,342	4,198	-	2,954	5,674	803	-	236	454	64	-
2 Traditional transactions	37,256	2,202	6	11	-	935	34,342	4,198	-	140	5,674	803	-	11	454	64	-
3 Securitisation	37,256	2,202	6	11	-	935	34,342	4,198	-	140	5,674	803	-	11	454	64	-
4 Retail underlying	10,088	199	-	-	-	-	7,706	2,581	-	-	1,239	408	-	-	99	33	-
5 Of which STS	1,502	26	-	-	-	-	1,422	107	-	-	152	11	-	-	12	1	-
6 Wholesale	27,168	2,003	6	11	-	935	26,637	1,617	-	140	4,435	396	-	11	355	32	-
7 Of which STS	20,944	646	-	-	-	-	21,589	-	-	-	3,185	-	-	-	255	-	-
8 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9 Synthetic transactions	9,217	1,066	2,101	-	11	12,395	-	-	-	2,814	-	-	-	225	-	-	-
10 Securitisation	9,217	1,066	2,101	-	11	12,395	-	-	-	2,814	-	-	-	225	-	-	-
11 Retail underlying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12 Wholesale	9,217	1,066	2,101	-	11	12,395	-	-	-	2,814	-	-	-	225	-	-	-
13 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

31/12/2020 (in millions of euros)	Exposure values (by RW bands/deductions)					Exposure values (by regulatory approach)				RWEA (by regulatory approach)				Capital charge after cap			
	≤20% RW	>20% to 50% RW	>50% to 100% RW	>100% to <1,250% RW	1,250% RW/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC- SA	1,250%/ deductions
1 TOTAL EXPOSURES	32,987	9,083	23	17	5	7,947	30,783	3,380	-	2,100	5,125	585	-	168	410	47	-
2 Traditional transactions	30,227	4,620	23	13	-	724	30,783	3,376	-	140	5,125	528	-	11	410	42	-
3 Securitisation	30,227	4,620	23	13	-	724	30,783	3,376	-	140	5,125	528	-	11	410	42	-
4 Retail underlying	9,548	60	23	13	-	-	7,617	2,060	-	-	1,176	332	-	-	94	27	-
5 Of which STS	1,945	60	-	13	-	-	1,988	-	-	-	235	-	-	-	19	-	-
6 Wholesale	20,680	4,560	-	-	-	724	23,166	1,316	-	140	3,949	196	-	11	316	16	-
7 Of which STS	13,977	1,826	-	-	-	-	15,620	19	-	-	2,423	1	-	-	194	-	-
8 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9 Synthetic transactions	2,760	4,463	-	5	5	7,223	-	5	-	1,959	-	57	-	157	-	5	-
10 Securitisation	2,760	4,463	-	5	5	7,223	-	5	-	1,959	-	57	-	157	-	5	-
11 Retail underlying	-	-	-	5	5	-	-	5	-	-	-	57	-	-	-	5	-
12 Wholesale	2,760	4,463	-	-	-	7,223	-	-	-	1,959	-	-	-	157	-	-	-
13 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

— Securitisation exposures in the banking portfolio and related regulatory capital requirements –
Bank acting as investor IRB and STD (SEC4)

31/12/2021 (in millions of euros)	Exposure values (by RW bands/deductions)					Exposure values (by regulatory approach)				RWEA (by regulatory approach)				Capital charge after cap			
	≤20% RW	>20% to 50% RW	>50% to 100% RW	>100% to <1,250% RW	1,250% RW/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC- SA	1,250%/ deductions
1 TOTAL EXPOSURES	2,182	457	35	18	26	947	865	907	-	234	146	655	1	19	12	52	-
2 Traditional securitisation	2,178	457	35	18	20	947	865	896	-	234	146	356	1	19	12	28	-
3 Securitisation	2,178	457	35	18	-	947	865	876	-	234	146	107	1	19	12	9	-
4 Retail underlying	1,273	457	1	-	-	437	733	561	-	150	113	59	1	12	9	5	-
5 Of which STS	641	-	-	-	-	-	132	509	-	-	13	51	-	-	1	4	-
6 Wholesale	905	-	34	18	-	510	132	315	-	84	34	47	-	7	3	4	-
7 Of which STS	1	-	-	-	-	-	1	-	-	-	-	-	-	-	-	-	-
8 Re-securitisation	-	-	-	-	20	-	-	20	-	-	-	249	-	-	-	20	-
9 Synthetic securitisation	-	-	-	-	6	-	-	6	-	-	-	80	-	-	-	6	-
10 Securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
11 Retail underlying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12 Wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13 Re-securitisation	-	-	-	-	6	-	-	6	-	-	-	80	-	-	-	6	-

31/12/2020 (in millions of euros)	Exposure values (by RW bands/deductions)					Exposure values (by regulatory approach)				RWEA (by regulatory approach)				Capital charge after cap			
	≤20% RW	>20% to 50% RW	>50% to 100% RW	>100% to <1,250% RW	1,250% RW/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC- SA	1,250%/ deductions
1 TOTAL EXPOSURES	2,088	566	38	46	-	1,013	854	876	-	270	89	567	1	22	7	45	-
2 Traditional securitisation	2,088	566	38	46	-	1,013	854	876	-	270	89	566	1	22	7	45	-
3 Securitisation	2,088	566	38	23	-	1,013	854	852	-	270	89	274	1	22	7	22	-
4 Retail underlying	928	566	1	-	-	501	425	569	-	172	72	75	1	14	6	6	-
5 Of which STS	357	-	-	-	-	-	-	357	-	-	-	36	-	-	-	3	-
6 Wholesale	1,160	-	37	23	-	512	428	283	-	98	17	199	-	8	1	16	-
7 Of which STS	1	-	-	-	-	-	1	-	-	-	-	-	-	-	-	-	-
8 Re-securitisation	-	-	-	24	-	-	-	24	-	-	-	292	-	-	-	23	-
9 Synthetic securitisation	-	-	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-
10 Securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
11 Retail underlying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12 Wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-

— Securitisation exposures – defaulted exposures and adjustment of specific credit risk (SEC5)

Exposures securitised by the institution – Institution acts as originator or as sponsor			
31/12/2021 (in millions of euros)	Total outstanding nominal amount		Total amount of specific credit risk adjustments made during the period
	Of which exposures in default		
1 TOTAL EXPOSURES	51,870	1,161	-
2 Retail (total)	10,287	16	-
3 Residential mortgage	-	-	-
4 Credit card	-	-	-
5 Other retail exposures	10,287	16	-
6 Re-securitisation	-	-	-
7 Wholesale (total)	41,583	1,145	-
8 Loans to corporates	10,261	20	-
9 Commercial mortgage	-	-	-
10 Lease and receivables	26,550	1,124	-
11 Other wholesale	4,772	1	-
12 Re-securitisation	-	-	-

Exposures securitised by the institution – Institution acts as originator or as sponsor			
31/12/2020 (in millions of euros)	Total outstanding nominal amount		Total amount of specific credit risk adjustments made during the period
	Of which exposures in default		
1 TOTAL EXPOSURES	42,163	692	0
2 Retail (total)	9,734	29	0
3 Residential mortgage	-	-	0
4 Credit card	-	-	0
5 Other retail exposures	9,734	29	0
6 Re-securitisation	-	-	0
7 Wholesale (total)	32,429	663	0
8 Loans to corporates	7,844	23	0
9 Commercial mortgage	-	-	0
10 Lease and receivables	22,465	639	0
11 Other wholesale	2,120	1	0
12 Re-securitisation	-	-	0

3.4.3.5 Exposure at default of securitisation transaction risks in the trading book that generate risk-weighted assets

Exposure at default of securitisation transactions by role

— Securitisation exposures in the trading book (SEC2)

31/12/2021 (in millions of euros)	Institution acts as originator				Institution acts as sponsor				Institution acts as investor			
	Traditional		Synthetic	Sub-total	Traditional		Synthetic	Sub-total	Traditional		Synthetic	Sub-total
	STS	Non-STS			STS	Non-STS			STS	Non-STS		
1 TOTAL EXPOSURES	-	-	-	-	-	-	-	-	-	196	-	196
2 Retail (total)	-	-	-	-	-	-	-	-	-	186	-	186
3 Residential mortgage	-	-	-	-	-	-	-	-	-	117	-	117
4 Credit card	-	-	-	-	-	-	-	-	-	-	-	-
5 Other retail exposures	-	-	-	-	-	-	-	-	-	53	-	53
6 Re-securitisation	-	-	-	-	-	-	-	-	-	16	-	16
7 Wholesale (total)	-	-	-	-	-	-	-	-	-	10	-	10
8 Loans to corporates	-	-	-	-	-	-	-	-	-	-	-	-
9 Commercial mortgage	-	-	-	-	-	-	-	-	-	-	-	-
10 Lease and receivables	-	-	-	-	-	-	-	-	-	-	-	-
11 Other wholesale	-	-	-	-	-	-	-	-	-	10	-	10
12 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-

31/12/2020 (in millions of euros)	Institution acts as originator				Institution acts as sponsor				Institution acts as investor			
	Traditional		Synthetic	Sub-total	Traditional		Synthetic	Sub-total	Traditional		Synthetic	Sub-total
	STS	Non-STS			STS	Non-STS			STS	Non-STS		
1 TOTAL EXPOSURES	-	-	-	-	-	-	-	-	-	168	-	168
2 Retail (total)	-	-	-	-	-	-	-	-	-	-	-	-
3 Residential mortgage	-	-	-	-	-	-	-	-	-	-	-	-
4 Credit card	-	-	-	-	-	-	-	-	-	-	-	-
5 Other retail exposures	-	-	-	-	-	-	-	-	-	-	-	-
6 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-
7 Wholesale (total)	-	-	-	-	-	-	-	-	-	168	-	168
8 Loans to corporates	-	-	-	-	-	-	-	-	-	-	-	-
9 Commercial mortgage	-	-	-	-	-	-	-	-	-	-	-	-
10 Lease and receivables	-	-	-	-	-	-	-	-	-	-	-	-
11 Other wholesale	-	-	-	-	-	-	-	-	-	152	-	152
12 Re-securitisation	-	-	-	-	-	-	-	-	-	16	-	16

Exposure at default only concerns traditional securitisations.

— Exposure at default of securitisation transactions by approach and by weighting

Risk weighting tranche (in millions of euros)	31/12/2021			31/12/2020		
	Long Positions	Short Positions	Capital requirement	Long Positions	Short Positions	Capital requirement
EAD subject to weighting	-	-	-	-	-	-
7-10% weightings	-	-	-	-	-	-
12-18% weightings	37	-	-	36	-	1
20-35% weightings	18	-	-	3	-	-
40-75% weightings	119	-	1	111	-	1
100% weightings	-	-	-	1	-	-
150% weightings	1	-	-	-	-	-
200% weightings	-	-	-	-	-	-
225% weightings	-	-	-	-	-	-
250% weightings	-	-	-	-	-	-
300% weightings	-	-	-	-	-	-
350% weightings	-	-	-	-	-	-
425% weightings	-	-	-	-	-	-
500% weightings	-	-	-	-	-	-
650% weightings	-	-	-	-	-	-
750% weightings	-	-	-	-	-	-
850% weightings	-	-	-	-	-	-
1,250% weightings	16	-	3	16	-	3
Internal valuation approach	191	-	5	168	-	5
Supervisory Formula Approach	-	-	-	-	-	-
Transparency Approach	-	-	-	-	-	-
NET TOTAL OF DEDUCTIONS OF EQUITY	-	-	-	-	-	-
1,250% / Positions deducted from capital	-	-	-	-	-	-
TOTAL TRADING BOOK	191	-	5	168	-	5

— Capital requirements relating to securitisations held or acquired

(in millions of euros)	31/12/2021				31/12/2020			
	Long Positions	Short Positions	Total weighted positions	Capital requirement	Long Positions	Short Positions	Total weighted positions	Capital requirement
WEIGHTED EAD	191	-	5	5	168	-	5	5
Securitisation	176	-	2	2	152	-	2	2
Resecuritisaton	16	-	3	3	16	-	3	3
Deductions	-	-	-	-	-	-	-	-

3.4.4 Market risk

3.4.4.1 Internal model market risk measurement and management methodology

Market risk measurement and management by internal methods are described in the “Risk management – Market risk – Market risk measurement and management methodology” section.

With regard to qualitative information on market risk and the description of market risk management strategies and processes:

- Crédit Agricole CIB has a specific market risk management system with its own organisation independent of operational hierarchies, risk identification and measurement methods, monitoring and consolidation procedures. In terms of scope, this system hedges all market risk.

Crédit Agricole CIB continued to apply a prudent market risk management policy, in line with its risk appetite.

Concerning the structure and organisation of the market risk management function:

- risk strategies and limits are supervised by a number of Committees, in particular the Strategy and Portfolio Committees (SPC), the Market Risk Committees (MRC), the Crédit Agricole CIB Risk Committees and the Group Risk Committees (GRC);
- from an operational standpoint, the Market and Counterparty Risks (MCR) department is responsible for the identification, measurement and monitoring of market risks. Its missions are divided between (i) Activity Monitoring; (ii) Risk Management and (iii) Cross-Sector Monitoring;
- the complete market risk control system is described in the “Risk management” section of this Universal Registration Document (Part 2.5.1).

Finally, with regard to risk assessment systems, the Crédit Agricole CIB Market Risk Committee (MRC) meets once monthly and is chaired by the Management Committee member in charge of risks. It is made up of the bank's head of capital market activities and the market risk managers. This Committee reviews Crédit Agricole CIB's positions and the profit and loss account of its capital market activities and verifies compliance with the limits assigned to each activity. It has the authority to make decisions on requests for increases in operational limits.

The VaR and SVaR models cover most of Crédit Agricole CIB's trading books for the various risk classes (interest rate, credit, equity and foreign exchange).

As regards information on VaR and SVaR models, among the market risks assessed using internal models, 15% were covered by VaR models and 51% by SVaR models at end-December 2021.

The distributions of future losses due to changes in market parameters are obtained from the application of the 261 historical scenarios for the current period and the stressed period respectively (recalibrated on an annual basis). The calculated *quantile* is the average between the second- and third-worst case scenario:

- the main driver of VaR covers risks on spots, curves and volatilities;
- shock methodologies are specific to the nature of the risks;
- a satellite covers a subset of idiosyncratic bond risk;
- the VaR and SVaR calculations are supplemented by capital add-ons covering certain non-VaR risk factors;
- the same VaR model is applied to counterparty credit risk for the regulatory CVA reserve and supplemented by some specific treatments for counterparties for which there are no observable CDS.

With regard to internal models for measuring capital requirements for additional default and migration risks (IRC):

- The IRC (Incremental Default and Migration Risk Charge) is calculated for the Crédit Agricole CIB trading book, in particular for the following activities: sovereign debt, hybrid activities and corporate bonds.
- With regard to the internal models for measuring capital requirements for additional default and migration risks (IRC), they account for 31% of the RWA for market risks assessed using the internal model at end-December 2021.
- The IRC measures the issuer risk for the trading portfolio for a horizon of one year and a confidence interval of 99.9%:
 - the distribution of losses related to that risk is estimated based on the Monte Carlo simulation of one million rating migration scenarios including defaults;
 - the Group master internal rating scale gives a probability of default for each internal rating. Migration probabilities are calibrated for historical credit events and determined by rating;
 - the correlations of migration and default are obtained based on the Merton model applied to systemic risk factors;
 - shocks are applied to the credit spreads in the event of migration, which have been calibrated to the average levels of CDS spreads by credit quality, region and issuer type;
 - loss given default rates are stochastic and centred on market values.
- The liquidity horizon is fixed at one year.
- Convergence is monitored and assured by considering a sufficient number of simulations.
- The models are validated according to the governance established for the internal models.

- The stress tests are applied to the following parameters: migration and default probabilities through rating downgrades and upward and downward stress on CDS spreads from which credit shocks in case of migration are derived.

- The consistency of the IRC parameters is tested by comparing these values with other internal or external calibrations and also through the annual benchmarking exercise organised by the EBA on hypothetical portfolios.

With regard to the internal models for measuring capital requirements for the correlation portfolio, it should be noted that Crédit Agricole CIB is not affected.

3.4.4.2 Rules and procedures for valuing the trading book

The rules for valuing the various items in the trading book are described in Note 1.2 to the financial statements, "Accounting policies and principles".

Measurement models are reviewed periodically as described in the "Risk management – Market risk – Market risk measurement and management methodology" section.

With regard to the qualitative disclosures required for institutions using internal market risk models, including the reliability and prudence of exposure value estimates:

Internal control systems and implementation procedures are the responsibility of the Market and Counterparty Risks department (MCR), which covers all trading books of Crédit Agricole CIB Group's consolidated entities. The organisation and functioning of this department are described in the "Risk management" section of this Universal Registration Document (Part 2.5.1).

The market risk framework is based on a set of qualitative and quantitative risk monitoring indicators, including Value at Risk (VaR), Stressed VaR (SVaR) and stress test scenario measurements.

The monitoring of activity of the MCR department is responsible for the control and validation of market parameters independently from the Front Office; the cross-function MCR teams (IPV – Independent Price Valuation) validate valuation parameters and observability mapping.

Market reserves are used to hedge against valuation uncertainties which may be mainly related to market observations (bid/ask spreads) and models. They are supplemented by Day One reserves, which are applied to products whose valuation requires the use of significant unobservable parameters or where there is a high degree of model risk.

Crédit Agricole CIB implements an additional prudence measure – Prudent Valuation. This applies to all trading and banking book positions recognised at fair market value. It is broken down into nine accounting adjustments: price uncertainty, liquidation costs, model risk, concentrated positions, prepaid credit spreads, borrowing cost, early termination, future administrative costs and operational risk. All of the various categories are then aggregated and deducted from the Common Equity Tier One (Prudent Valuation Capital Requirement presented in the "Risk management" section of this Registration Document (Part 2.5.1)).

In 2020, the ECB conducted a market audit on valuation risk and prudent valuation.

All Crédit Agricole CIB activities are valued using internal models: VaR models, Stressed Value-at-Risk (SVaR) models and Incremental Default and Migration Risk Charge (IRC) models, with the exception of a few isolated products that remain in the standardised model (which account for less than 20% of RWA at end-December 2021).

3.4.4.3 Exposures to market risk of the trading book

3.4.4.3.1 Risk-weighted exposure using the standardised approach

— Risk-weighted exposure using the standardised approach (MR1)

	31/12/2021	31/12/2020
<i>(in millions of euros)</i>	RWA	RWA
Futures and forwards		
1 Interest rate risk (general and specific)	808	470
2 Risk on shares (general and specific)	-	-
3 Currency risk	4,546	4,155
4 Commodities risk	16	7
Options		
5 Simplified approach	-	-
6 Delta-plus method	6	1
7 Scenarios based approach	39	4
8 Securitisation (specific risk)	58	56
9 TOTAL	5,472	4,693

3.4.4.3.2 Exposures using the Internal Models Approach

Risk-weighted assets and capital requirements

— Market risk under the Internal Models Approach (MR2-A)

	31/12/2021		31/12/2020	
<i>(in millions of euros)</i>	RWA	Capital requirement	RWA	Capital requirement
1 VaR (higher of values a and b)	1,137	91	1,694	136
(a) Previous day's VaR (VaRt-1)		29		29
(b) Multiplication factor (mc) x average of previous 60 working days (VaRavg)		91		136
2 SVaR (higher of values a and b)	3,923	314	2,188	175
(a) Latest available SVaR (SVaRt-1)		52		37
(b) Multiplication factor (ms) x average of previous 60 working days (sVaRavg)		314		175
3 IRC (higher of values a and b)	2,350	188	1,451	116
(a) Most recent IRC measure		97		69
(b) 12 weeks average IRC measure		188		116
4 Comprehensive risk measure (higher of values a, b and c)	-	-	-	-
(a) Most recent risk measure of comprehensive risk measure		-		-
(b) 12 weeks average of comprehensive risk measure		-		-
(c) Comprehensive risk measure Floor		-		-
5 Other	-	-	-	-
6 TOTAL	7,409	593	5,333	427

— RWEA flow statement for market risk exposures using the Internal Models Approach (IMA) (MR2-B)

31/12/2021 (in millions of euros)	VaR	SVaR	IRC	Comprehensive risk measure	Other	Total RWAs	Total own funds requirements
1 RWEAs at previous period end (30/09/2021)	970	3,840	1,959			6,769	541
1a Regulatory adjustment	730	2,952	164			3,846	308
1b RWEAs at the previous quarter-end (end of the day)	240	887	1,795			2,923	234
2 Movement in risk levels	180	131	357			668	53
3 Model updates/changes	-	-	45			45	4
4 Methodology and policy	-	-	-			-	-
5 Acquisitions and disposals	-	-	-			-	-
6 Foreign exchange movements	(14)	(48)	(11)			(73)	(6)
7 Other	-	-	-			-	-
8a RWEAs at the end of the reporting period (end of the day)	357	653	1,214			2,224	178
8b Regulatory adjustment	779	3,271	1,135			5,185	415
RWEAS AT THE END OF THE REPORTING PERIOD 8 (31/12/2021)	1,137	3,923	2,350			7,409	593

Values resulting from use of internal models

— Value of the trading book using the Internal Models Approach (IMA) (MR3)

(in millions of euros)	31/12/2021	31/12/2020
1 VaR (10 days, 99%)		
2 Maximum value	59	47
3 Mean value	25	34
4 Minimum value	15	26
5 End of period value	29	29
6 VaR in stressed period (10 days, 99%)		
7 Maximum value	98	68
8 Mean value	58	44
9 Minimum value	31	35
10 End of period value	52	37
11 Capital requirement in line with IRC (99.9%)		
12 Maximum value	365	198
13 Mean value	114	89
14 Minimum value	62	53
15 End of period value	75	53
16 Capital requirement in line with CRM (99.9%)		
17 Maximum value	-	-
18 Mean value	-	-
19 Minimum value	-	-
20 End of period value	-	-
21 Floor (standard measure method)	-	-

3.4.4.4 Backtesting of the VaR model (MR4)

The backtesting process of the VaR (Value at Risk) model to check the relevance of the model, as well as the results of this backtesting, are presented in Part 5 "Risk management" of the Registration Document.

3.4.5 Operational risk

3.4.5.1 Advanced measurement approach

The French Regulatory and Resolution Supervisory Authority, the ACPR, has, since 1 January 2008, authorised the main Crédit Agricole Group entities to use the Advanced Measurement Approach (AMA) to calculate their regulatory capital requirements for operational risk. The other Group entities use the standardised approach, in accordance with regulations.

The scope of application of the advanced measurement and standardised approaches and a description of the advanced measurement approach methodology are provided in the “Risk management – Operational risk – Methodology” section.

General qualitative information on operational risk is discussed in Chapter 3, Part 2 “Risk Management” of this document:

- for risk management targets and policies, see the paragraph “Organisation and governance of the Operational Risk Management function” in Section 2.8.I;
- for approaches for the assessment of minimum equity requirements, see Section 2.8.II “Methodology”;
- for the AMA approach, see Section 2.8.II “Methodology”, paragraph entitled “AMA regulatory capital requirement calculation”;
- for the use of insurance for risk mitigation in the Advanced Measurement Approach, see Section 2.8.IV “Insurance and coverage of operational risks”.

3.4.5.2 Insurance techniques for reducing operational risk

The insurance techniques used to reduce operational risk are described in the “Risk management – Operational risk – Insurance and coverage of operational risks” section.

— Capital requirements and RWA amounts for operational risk (OR1)

Banking activities	Relevant indicator			Own funds requirements	RWA amount
	Year-3	Year-2	Last year		
1 Banking activities subject to basic indicator approach (BIA)					
2 Banking activities subject to standardised (TSA) / alternative standardised (ASA) approaches	8,052	8,024	9,018	1,037	12,968
3 Subject to TSA:	8,052	8,024	9,018	-	-
4 Subject to ASA:	-	-	-	-	-
5 Banking activities subject to advanced measurement approaches AMA	24,168	24,302	25,576	3,656	45,698

The information used for the calculation of the standardised capital requirements (SCR) is based on the most recent data at the reporting date.

3.5 ASSET ENCUMBRANCE

Medians of the four quarterly end-of-period values over the previous twelve months.

Template EU AE1 – Encumbered and unencumbered assets

	Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of unencumbered assets		Fair value of unencumbered assets	
		of which notionally eligible EHQLA and HQLA		of which notionally eligible EHQLA and HQLA		of which EHQLA and HQLA		of which EHQLA and HQLA
(in millions of euros)	010	030	040	050	060	080	090	100
010 Assets of the reporting institution	355,072	34,471			1,556,291	340,474		
030 Equity instruments	2,754	1,802	2,754	1,802	12,038	1,505	8,919	1,505
040 Debt securities	34,589	32,653	30,556	28,955	158,442	102,779	142,929	111,992
050 of which: covered bonds	1,552	1,552	8	8	1,586	1,021	1,509	1,249
060 of which: securitisations	65	0	65	0	20	0	5	0
070 of which: issued by general governments	23,378	23,337	21,753	21,712	78,812	69,465	80,329	76,435
080 of which: issued by financial corporations	7,979	6,415	5,848	4,544	54,887	21,651	46,908	23,641
090 of which: issued by non-financial corporations	830	605	830	605	17,818	8,176	11,450	8,316
120 Other assets	317,728	16			1,385,810	236,190		

Template EU AE2 – Collateral received and own debt securities issued

	Fair value of encumbered collateral received or own debt securities issued	of which notionally eligible EHQLA and HQLA	Unencumbered	
			Fair value of collateral received or own debt securities issued available for encumbrance	of which EHQLA and HQLA
(in millions of euros)	010	030	040	060
130 Collateral received by the reporting institution	239,931	226,230	58,536	31,714
140 Loans on demand	0	0	0	0
150 Equity instruments	8,436	3,736	9,042	1,191
160 Debt securities	231,495	222,494	49,494	30,523
170 of which: covered bonds	843	743	506	473
180 of which: securitisations	0	0	0	0
190 of which: issued by general governments	212,072	211,342	32,106	26,526
200 of which: issued by financial corporations	13,854	7,993	12,749	3,471
210 of which: issued by non-financial corporations	5,392	2,625	3,835	1,262
220 Loans and advances other than loans on demand	0	0	0	0
230 Other collateral received	0	0	0	0
240 OWN DEBT SECURITIES ISSUED OTHER THAN OWN COVERED BONDS OR SECURITISATIONS	31	0	33,328	0
241 OWN COVERED BONDS AND ASSET-BACKED SECURITIES ISSUED AND NOT YET PLEDGED			24,195	0
250 TOTAL ASSETS, COLLATERAL RECEIVED AND OWN DEBT SECURITIES ISSUED	595,034	260,702	0	0

Template EU AE3 – Sources of encumbrance

(in millions of euros)	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and securitization encumbered
	010	030
010 Carrying amount of selected financial liabilities	572,362	568,777

Table EU AE4 – Additional descriptive information

Crédit Agricole S.A. monitors and manages the encumbrance level of assets pledged in the Crédit Agricole Group.

The asset encumbrance ratio for Crédit Agricole Group represented 28.2% at 31 December 2021.

The encumbrance for assets for Crédit Agricole Group mainly covers loans and receivables (other than loans on demand). The pledge of receivables due from private customers aims to obtain refinancing under advantageous conditions or to constitute reserves that can easily be made liquid if needed. The policy of Crédit Agricole S.A. aims to both diversify the instruments used to improve resistance to liquidity stress, which could affect individual markets differently, and to limit the share of assets pledged in order to retain good quality assets that can be easily liquidated in the market through existing mechanisms in case of stress.

The increase in the asset burden ratio of Crédit Agricole Group observed in 2021 is explained in⁽¹⁾ particular by the increase in drawdowns from the ECB under T-LTRO, in line with the increase observed in 2020 as part of the measures taken to handle the Covid-19 crisis.

The sources of asset encumbrance mainly related to loans and receivables (other than loans on demand) are as follows:

- covered bonds referred to in Article 52-(4), first sub-paragraph of Directive 2009/65/EC, issued under the following three programmes:
 - Crédit Agricole Home Loan SFH, pledging the receivables of the Regional Banks and LCL,
 - Crédit Agricole Public Sector SCF, pledging the receivables of Crédit Agricole CIB,
 - Crédit Agricole Italia OBG SRL, pledging the receivables of the Crédit Agricole Italia Group,
 - CAnb Hypotheques S.A., mobilising the receivables of Crédit Agricole nextbank (Suisse) S.A.

(1) Ongoing reliability work to ensure the complete reporting of all the encumbrances for assets and collateral received also contributed to the observed increase.

At 31 December 2021, the placed covered bonds amounted to €45.1 billion for a total of €50.7 billion in encumbered underlying assets thus complying with the contractual and regulatory requirements in terms of over-collateralisation;

- asset-backed securities (ABS) issued during securitisation transactions – as defined in Article 4-(1), item 61, of Regulation (EU) No. 575/2013 – mainly carried out by the CA Consumer Finance Group and its subsidiaries, as well as by the Regional Banks and LCL (via the FCT CA Habitat 2017, 2018, 2019 and 2020).

At 31 December 2021, placed asset-backed securities amounted to €6.3 billion for a total of €6.8 billion in encumbered underlying assets;

- guaranteed deposits (other than repurchase agreements) mainly associated with financing activities: from the ECB under T-LTROs, via Crédit Agricole CIB's ESTER securitisation conduit, as well as French or supranational institutional organisations (such as the CDC and the EIB).

At 31 December 2021, guaranteed deposits (other than repurchase agreements) amounted to €191.3 billion for a total of €242.6 billion in encumbered assets;

- debt securities (other than covered bonds or ABSs) issued to the Caisse de Refinancement de l'Habitat (CRH) in the form of promissory notes, pledging receivables from the Regional Banks and LCL.

At 31 December 2021, these securities amounted to €7.9 billion for a total of €11.3 billion in encumbered assets.

As Crédit Agricole S.A. is the central actor in most of these secured financing mechanisms, these levels of encumbrance are broken down at an intragroup level between Crédit Agricole S.A., its subsidiaries and the Crédit Agricole Regional Banks.

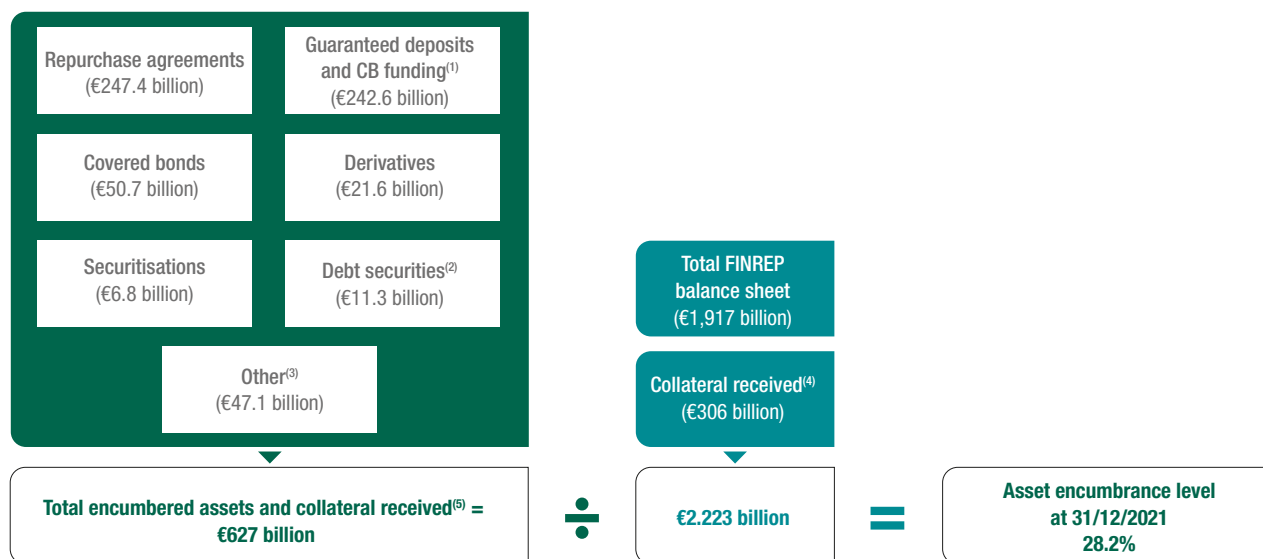
The other main sources of asset encumbrance in the Crédit Agricole Group are:

- repurchase agreements, mainly associated with the activity of Crédit Agricole CIB and mainly encumbering the collateral received comprising debt securities and, on an ancillary basis, equity instruments. In particular, this source concentrates the majority of encumbrance held in the second material currency (USD), within the meaning of Annex XVII of the Implementing Regulation (EU) No. 680/2014, other than the reporting currency (EUR).

At 31 December 2021, repurchase agreements amounted to €251 billion for a total of €247.4 billion in encumbered assets and collateral received;

- derivatives associated mainly with the OTC derivative activity of Crédit Agricole CIB and encumbering mainly cash as part of margin calls.

At 31 December 2021, margin calls amounted to €21.6 billion.



(1) Central banks.

(2) Other than covered bonds or ABSs.

(3) Mainly securities lending and borrowing.

(4) Excluding collateral that could not be encumbered.

(5) In accordance with the current regulations, for the purpose of asset encumbrance level calculation, the total of encumbered assets and collateral received re-used does not include the own debt securities issued other than covered bonds and securitisations.

3.6 INFORMATION ON THE LIQUIDITY REQUIREMENT MODEL

3.6.1 Credit Risk Management

With regard to information on liquidity risk management (EU LIQ A):

Liquidity risk management is assessed at each sub-consolidation level and at Crédit Agricole Group level.

a. Liquidity risk management strategy and process

The Crédit Agricole Group's liquidity risk management strategy is based on a few key principles:

- a financing structure that minimises risk and substantial liquidity cushions to enable the Group to handle a potential liquidity crisis;
- prudent management of intraday liquidity risk;
- a robust liquidity risk management and control system.

The Group ensures the diversification of its market financing sources through dedicated indicators for both the short and long term. The diversification covers the category of counterparty (various market players, retail and corporate customers) and the currency and country of the counterparty.

b. Structure and organisation of the liquidity risk management function

Liquidity risk management is coordinated for the Crédit Agricole Group by the Group Financial Management department within the Finance department of Crédit Agricole S.A.

The liquidity risk managed and controlled by the Finance department is based on liquidity risk management indicators produced by Group entities and consolidated. The Group Risk Management department provides a second opinion on the management of liquidity risk through standards, indicators and limits and participates in liquidity governance bodies.

c. Centralisation of liquidity and intra-group interactions

Crédit Agricole S.A. acts as the pivotal bank for Group entities. Crédit Agricole S.A. ensures the proper circulation of liquidity between Group entities and executes the market financing plan at its level, which it redistributes to the entities.

For specific reasons and under certain conditions, Crédit Agricole S.A. authorises certain Group entities to have direct access to the markets. This is the case for CACF, Crédit Agricole CIB and CA Italia.

d. Liquidity risk measurement and reporting systems

In practice, liquidity risk is monitored via a centralised tool common to all entities that are part of the Group's liquidity risk monitoring scope.

Through an accounting plan adapted to the monitoring of liquidity risk, this tool makes it possible to identify the uniform compartments of the Group's balance sheet and of each of its entities. This tool also conveys the timing of payments for each of these compartments. In production since 2013, it measures the various indicators standardised by the Group on a monthly basis:

- the internal liquidity model indicators: liquidity balance sheet, reserves, stress scenarios, concentration of short-term and long-term refinancing, etc.;
- regulatory indicators: LCR, NSFR, ALMM.

This system is supplemented by management tools that provide a daily view of certain risks (intraday liquidity, daily LCR production).

Liquidity management is also integrated into the Group's planning process. In this way, the balance sheet is projected for budget, Medium-Term Plan or stress exercises and other uses.

e. Liquidity risk hedging

The liquidity risk management policies implemented by the Crédit Agricole Group consist of having a solid balance sheet structure to be able to handle stress situations or liquidity crises (liquidity outflows or market closure). This is mainly done through:

- encouraging medium- to long-term refinancing and limiting the use of short-term refinancing. In this respect, the Group has set a management target for the Stable Resources Position and a limit for net short-term refinancing;
- controlling the Group's footprint in the refinancing market;
- diversifying its sources of market refinancing;
- access to asset liquefaction tools (securitisations, covered).

In the event of a crisis, the reserves of liquefiable assets allow significant liquidity outflows to be met. These assets consist mainly of:

- Central Bank deposits (mainly with the ECB);
- high quality liquid securities with low risk of change in value;
- and receivables on Central Banks that can be pledged.

f. Liquidity emergency plan

Crédit Agricole S.A. is developing an emergency plan that is to be deployed in the event of a liquidity crisis. This Group Emergency Plan applies to Crédit Agricole Group entities and has three levels that are triggered depending on the severity of the crisis situation:

- *Yellow*: the situation requires increased surveillance and low-level measures;
- *Orange*: the situation requires the use of unusual resources to deal with the crisis;
- *Red*: the situation requires the use of exceptional resources to deal with the crisis.

The crisis monitoring indicators used to trigger the Emergency Plan are measured weekly by the Crédit Agricole S.A. Financial Management department.

The system is based on dedicated governance in the event that the emergency plan is triggered and includes a Crisis Committee chaired by the Executive Management. The Group Emergency Plan is tested annually.

g. Liquidity stress tests

The institution ensures that it has sufficient liquid assets to handle liquidity crises. These include Central Bank deposits, securities that are liquid in the secondary market, securities that can be sold under repurchase agreements, or securities or receivables that can be pledged with Central Banks.

The Group sets tolerance thresholds in terms of survival periods for the following three scenarios:

- a so-called systemic crisis scenario corresponding to a crisis in the refinancing market. The survival period is set at one year;
- a so-called idiosyncratic crisis scenario corresponding to a severe crisis that is centred on Crédit Agricole Group on a smaller scale than the global crisis scenario, especially since the market liquidity of assets is not impacted. The survival period is set at three months;
- a so-called global crisis scenario corresponding to a sudden and severe crisis, both specific to the institution (affecting its reputation) and systemic (affecting the entire financing market). The survival period is set at one month.

In practice, these stress tests are carried out by applying a set of assumptions about the deterioration of the liquidity balance sheet. The Group satisfies the stress test if liquid assets are sufficient to maintain positive liquidity throughout the stressed period.

h. Management and governance

Liquidity risk appetite is defined each year by governance in the Risk Appetite Framework, which reflects the level of risk accepted by the Group. This takes the form of alert thresholds and limits on the key indicators of the liquidity risk monitoring system:

- the LCR and NSFR, managed with leeway in relation to the regulatory requirements (an appetite threshold for the LCR of 110%);
- internal indicators, such as the Stable Resources Position (SRP), liquidity crisis scenarios and liquidity reserves are also subject to alert thresholds and limits.

— Main liquidity risk management and appetite indicators monitored by the Crédit Agricole Group at 31 December 2021

	LCR	NSFR	PRS	Stress	Reserves
Crédit Agricole Group	183.0%	125.6%	€279 bn	Global >0 Systemic >0 Idiosyncratic >0	€465 bn
Crédit Agricole S.A.	156.6%	122.5%	NA	Global >0 Systemic >0 Idiosyncratic >0	NA

The internal monitoring system is supplemented by other liquidity risk measures (concentration of medium- and long-term refinancing by counterparty, maturity and currency, sensitivity to short-term market refinancing, market footprint, level of asset encumbrance, contingent liquidity requirements) monitored at Group level and broken down to different levels (sub-consolidation levels of subsidiaries and Regional Banks).

The Group prepares an annual statement on the adequacy of liquidity risk management systems, ensuring that the liquidity risk management systems in place are appropriate to the Group's profile and strategy. This statement is approved by the Board of Directors of Crédit Agricole S.A. and sent to the European Central Bank, in its capacity as the Group's supervisor.

3.6.2 Regulatory Short-Term Liquidity Coverage Ratio (LCR)

Quantitative information on the LCR (EU LIQ 1)

Average⁽¹⁾ 12-month rolling LCR calculated as at 31 March 2021, 30 June 2021, 30 September 2021 and 31 December 2021.

Liquidity Coverage Ratio average over 12 months (LCR)		Total unweighted value (average)				Total weighted value (average)			
Scope of consolidation: Crédit Agricole Group									
(in millions of euros)									
EU 1A	QUARTER ENDING ON	31/03/2021	30/06/2021	30/09/2021	31/12/2021	31/03/2021	30/06/2021	30/09/2021	31/12/2021
EU 1b	Number of data points used in the calculation of averages	12	12	12	12	12	12	12	12
HIGH-QUALITY LIQUID ASSETS									
1	Total High-Quality Liquid Assets (HQLA)					342,767	362,466	383,801	401,940
CASH OUTFLOWS									
2	Retail deposits and deposits from small business customers, of which:	542,598	553,816	567,089	579,374	34,402	35,265	36,333	37,365
3	Stable deposits	395,789	401,989	408,133	413,481	19,789	20,099	20,407	20,674
4	Less stable deposits	146,809	151,828	158,956	165,893	14,612	15,166	15,926	16,691
5	Unsecured wholesale funding	344,595	350,787	360,204	373,686	156,871	158,691	163,701	171,616
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	147,192	149,678	151,939	154,057	36,535	37,146	37,703	38,224
7	Non-operational deposits (all counterparties)	181,052	183,424	188,079	197,115	103,985	103,861	105,810	110,878
8	Unsecured debt	16,351	17,684	20,187	22,514	16,351	17,684	20,187	22,514
9	Secured wholesale funding					22,391	23,743	24,955	26,341
10	Additional requirements	210,227	212,489	215,762	218,777	54,498	54,574	54,596	54,504
11	Outflows related to derivative exposures and other collateral requirements	27,076	28,048	30,042	32,013	22,515	22,636	22,582	22,079
12	Outflows related to loss of funding on debt products	-	-	-	-	-	-	-	-
13	Credit and liquidity facilities	183,151	184,441	185,720	186,765	31,983	31,938	32,014	32,425
14	Other contractual funding obligations	35,217	38,129	41,328	43,606	3,109	4,415	5,341	5,956
15	Other contingent funding obligations	51,086	54,548	60,311	64,372	2,790	2,963	3,255	3,468
16	TOTAL CASH OUTFLOWS					274,060	279,651	288,181	299,251
CASH INFLOWS									
17	Secured lending (e.g. reverse repos)	163,647	179,926	187,264	195,313	20,398	22,303	23,500	24,918
18	Inflows from fully performing exposures	48,828	50,834	52,578	53,531	29,721	30,775	31,409	31,378
19	Other cash inflows	6,599	7,731	7,952	7,806	6,599	7,731	7,952	7,806
EU-19a	(Difference between total weighted inflows and total weighted outflows arising from transactions in third countries where there are transfer restrictions or which are denominated in non-convertible currencies)					-	-	-	-
EU-19b	(Excess inflows from a related specialised credit institution)					-	-	-	-
20	TOTAL CASH INFLOWS	219,074	238,491	247,794	256,651	56,718	60,809	62,861	64,102
EU-20a	Fully exempt inflows	-	-	-	-	-	-	-	-
EU-20b	Inflows subject to 90% cap	-	-	-	-	-	-	-	-
EU-20c	Inflows subject to 75% cap	184,106	201,818	209,188	215,434	56,718	60,809	62,861	64,102
TOTAL ADJUSTED VALUE									
EU-21	LIQUIDITY BUFFER					342,767	362,466	383,801	401,940
22	TOTAL NET CASH OUTFLOWS ⁽¹⁾					217,342	218,842	225,320	235,148
23	LIQUIDITY COVERAGE RATIO					157.71%	165.63%	170.34%	170.93%

(1) The net cash outflows are calculated on average on the amounts observed (over the 12 regulatory declarations concerned) including the application of a cap on cash inflows (maximum of 75% of gross outflows), if applicable.

(1) Average of last 12 month-end measurements.

Qualitative information on the LCR ratio (EU LIQ B)

Row number	Qualitative information
(a)	Explanations on the main drivers of LCR results and the evolution of the contribution of inputs to the LCR's calculation over time The Crédit Agricole Group's LCR is at a comfortable level, benefiting from large excess liquidity, mostly reinvested in Central Banks, and having a high-quality securities portfolio. The average ratio observed at the end of the quarters shows a continuous increase over the year 2021 due to the significant increase in excess liquidity and consequently in liquidity reserves, proportionally higher than the increase in net cash outflows. In effect, the liquidity reserves showed good progress, particularly under the effect of the Group's active participation in the T-LTRO operations of the European Central Bank and the dynamism of the customer resources activity.
(b)	Explanations on the changes in the LCR over time Cash outflows mainly come from stressed assumptions of outflows from customer deposits, up over the year (in line with the observed increase in customer resources), however to a lesser extent compared to the excess liquidity reserves. Cash outflows related to any drawdowns of off-balance sheet commitments (credit lines and facilities) remained limited and stable over the year. Cash inflows mainly come from repayments of customer assets, also up in 2021 (in line with the observed increase in loans), with a more limited impact than the increase in cash outflows.
(c)	Explanations on the actual concentration of funding sources The Crédit Agricole Group follows a prudent refinancing policy, with highly diversified access to markets, in terms of investor base and products.
(d)	High-level description of the composition of the institution's liquidity buffer. The Crédit Agricole Group's HQLA assets are of very good quality, mainly made up of deposits with Central Banks and level 1 securities, representing respectively 71% and 25% of the liquidity buffer observed on average over the year 2021. The high level of deposits in Central Banks results from the reinvestment of significant excess liquidity, the Group benefiting in particular from its active participation in the T-LTRO operations of the ECB.
(e)	Derivative exposures and potential collateral calls The cash outflows relating to this item materialize the contingent risk of an increase in margin calls on derivative transactions in an unfavorable market scenario (down slightly at the end of 2021 in line with the observed decrease in market disturbances) and an increase in possible security requirements following a downgrading of the Group's external rating (stable over the year).
(f)	Currency mismatch in the LCR At 31 December 2021, the Crédit Agricole Group hedged its net cash outflows with liquid assets denominated in the same currency for the main significant currencies (EUR, JPY, USD). The level of residual asymmetries observed in certain currencies is covered by surplus high-quality liquid assets available in other significant currencies and which could be easily converted to cover these needs, including in a crisis situation.
(g)	Other items in the LCR calculation that are not captured in the LCR disclosure template but that the institution considers relevant for its liquidity profile -

3.6.3 Net Stable Funding Ratio (NSFR)

Quantitative information on the net stable financing ratio (NSFR-EU LIQ 2)

		a	b	c	d	e
		Unweighted value by residual maturity				Weighted value
		No maturity	<6 months	6 months to <1 year	≥1 year	
Net Stable Funding Ratio (NSFR) at 30/06/2021 Scope of consolidation: Crédit Agricole Group (in millions of euros)						
AVAILABLE STABLE FUNDING (ASF) ITEMS						
1	Capital items and instruments	127,223	2	-	20,174	147,396
2	Own funds	127,223	2	-	20,174	147,396
3	Other capital instruments		-	-	-	-
4	Retail deposits		577,791	2,205	4,912	547,686
5	Stable deposits		415,466	89	2,451	397,228
6	Less stable deposits		162,325	2,116	2,460	150,458
7	Wholesale funding		610,373	42,060	335,973	524,658
8	Operational deposits		148,615	-	-	74,308
9	Other wholesale funding		461,758	42,060	335,973	450,351
10	Interdependent liabilities		69,995	-	-	-
11	Other liabilities	-	119,763	1,628	46,286	47,100
12	NSFR derivative liabilities	-				-
13	All other liabilities and capital instruments not included in the above categories		119,763	1,628	46,286	47,100
14	TOTAL AVAILABLE STABLE FUNDING (ASF)					1,266,841
REQUIRED STABLE FUNDING (RSF) ITEMS						
15	Total High-Quality Liquid Assets (HQLA)	-				15,819
EU-15a	Assets encumbered for a residual maturity of one year or more in a cover pool		438	491	52,988	45,829
16	Deposits held at other financial institutions for operational purposes		6,137	-	-	3,069
17	Performing loans and securities:		367,215	92,205	783,427	773,897
18	Performing securities financing transactions with financial customers collateralised by Level 1 HQLA subject to 0% haircut		158,178	11,455	2,770	10,909
19	Performing securities financing transactions with financial customer collateralised by other assets and loans and advances to financial institutions		61,393	5,906	25,412	32,962
20	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, and PSEs, of which:	-	106,280	49,532	330,797	380,994
21	With a risk weight of less than or equal to 35% under the Basel 2 Standardised Approach for credit risk	-	1,582	566	10,667	8,007
22	Performing residential mortgages, of which:	-	18,556	18,869	396,581	313,680
23	With a risk weight of less than or equal to 35% under the Basel 2 Standardised Approach for credit risk		15,338	15,651	372,262	289,791
24	Other loans and securities that are not in default and do not qualify as HQLA, including exchange-traded equities and trade finance on-balance sheet products		22,807	6,442	27,867	35,351
25	Interdependent assets		69,995	-	-	-
26	Other assets:		114,690	2,191	105,794	157,465
27	Physical traded commodities				-	-
28	Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs		8,679	-	447	7,757
29	NSFR derivative assets		6,386			6,386
30	NSFR derivative liabilities before deduction of variation margin posted		29,893			1,495
31	All other assets not included in the above categories		69,732	2,191	105,347	141,828
32	Off-balance sheet items		63,494	10,782	196,494	16,498
33	TOTAL REQUIRED STABLE FUNDING (RSF)					1,012,577
34	NET STABLE FUNDING RATIO (%)					125.11%

		a	b	c	d	e
		Unweighted value by residual maturity				
		No maturity	<6 months	6 months to <1 year	≥1 year	Weighted value
Net Stable Funding Ratio (NSFR) at 30/09/2021						
Scope of consolidation: Crédit Agricole Group						
<i>(in millions of euros)</i>						
AVAILABLE STABLE FUNDING (ASF) ITEMS						
1	Capital items and instruments	126,615	1	-	20,020	146,635
2	Own funds	126,615	1	-	20,020	146,635
3	Other capital instruments		-	-	-	-
4	Retail deposits		589,535	2,254	5,084	558,695
5	Stable deposits		419,957	54	2,536	401,546
6	Less stable deposits		169,578	2,200	2,549	157,149
7	Wholesale funding		651,056	31,751	330,308	522,120
8	Operational deposits		152,136	-	-	76,068
9	Other wholesale funding		498,920	31,751	330,308	446,052
10	Interdependent liabilities		70,893	-	-	-
11	Other liabilities	-	122,513	1,682	43,670	44,511
12	NSFR derivative liabilities	-				-
13	All other liabilities and capital instruments not included in the above categories		122,513	1,682	43,670	44,511
14	TOTAL AVAILABLE STABLE FUNDING (ASF)					1,271,961
REQUIRED STABLE FUNDING (RSF) ITEMS						
15	Total High-Quality Liquid Assets (HQLA)	-				14,692
EU-15a	Assets encumbered for a residual maturity of one year or more in a cover pool		449	412	52,942	45,733
16	Deposits held at other financial institutions for operational purposes		5,059	-	-	2,529
17	Performing loans and securities:		379,371	88,818	792,146	776,219
18	Performing securities financing transactions with financial customers collateralised by Level 1 HQLA subject to 0% haircut		171,200	8,238	2,073	7,390
19	Performing securities financing transactions with financial customer collateralised by other assets and loans and advances to financial institutions		58,528	5,807	25,456	32,545
20	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, and PSEs, of which:	-	108,135	49,001	334,040	383,608
21	With a risk weight of less than or equal to 35% under the Basel 2 Standardised Approach for credit risk	-	1,248	889	10,716	8,034
22	Performing residential mortgages, of which:	-	18,715	19,227	404,316	319,264
23	With a risk weight of less than or equal to 35% under the Basel 2 Standardised Approach for credit risk	-	15,497	15,942	379,852	295,218
24	Other loans and securities that are not in default and do not qualify as HQLA, including exchange-traded equities and trade finance on-balance sheet products	-	22,793	6,545	26,261	33,413
25	Interdependent assets	-	70,893	-	-	-
26	Other assets:	-	113,764	2,243	103,773	153,510
27	Physical traded commodities	-			-	-
28	Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs	-	7,458	-	1,026	7,211
29	NSFR derivative assets		5,550			5,550
30	NSFR derivative liabilities before deduction of variation margin posted		30,597			1,530
31	All other assets not included in the above categories		70,158	2,243	102,746	139,219
32	Off-balance sheet items		67,630	10,402	200,571	16,816
33	TOTAL REQUIRED STABLE FUNDING (RSF)					1,009,500
34	NET STABLE FUNDING RATIO (%)					126.00%

		a	b	c	d	e
		Unweighted value by residual maturity				
		No maturity	<6 months	6 months to <1 year	≥1 year	Weighted value
Net Stable Funding Ratio (NSFR) at 31/12/2021						
Scope of consolidation: Crédit Agricole Group						
<i>(in millions of euros)</i>						
AVAILABLE STABLE FUNDING (ASF) ITEMS						
1	Capital items and instruments	125,568	-	0	19,756	145,325
2	Own funds	125,568	-	0	19,756	145,325
3	Other capital instruments		-	-	-	-
4	Retail deposits		597,863	1,316	4,550	564,993
5	Stable deposits		423,575	58	2,595	405,046
6	Less stable deposits		174,288	1,258	1,955	159,947
7	Wholesale funding		645,799	41,253	321,462	518,028
8	Operational deposits		161,046	-	-	80,523
9	Other wholesale funding		484,754	41,253	321,462	437,506
10	Interdependent liabilities		71,056	-	-	-
11	Other liabilities	-	123,797	1,703	38,841	39,693
12	NSFR derivative liabilities	-				-
13	All other liabilities and capital instruments not included in the above categories		123,797	1,703	38,841	39,693
14	TOTAL AVAILABLE STABLE FUNDING (ASF)					1,268,040
REQUIRED STABLE FUNDING (RSF) ITEMS						
15	Total High-Quality Liquid Assets (HQLA)					12,281
EU-15a	Assets encumbered for a residual maturity of one year or more in a cover pool		444	485	52,135	45,105
16	Deposits held at other financial institutions for operational purposes		4,901	-	-	2,450
17	Performing loans and securities:		375,879	89,678	807,579	784,960
18	Performing securities financing transactions with financial customers collateralised by Level 1 HQLA subject to 0% haircut		166,325	6,297	3,001	7,340
19	Performing securities financing transactions with financial customer collateralised by other assets and loans and advances to financial institutions		56,972	6,973	24,916	32,792
20	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, and PSEs, of which:	-	106,954	49,504	343,402	390,781
21	With a risk weight of less than or equal to 35% under the Basel 2 Standardised Approach for credit risk	-	889	878	11,590	8,417
22	Performing residential mortgages, of which:	-	18,621	19,384	412,488	322,232
23	With a risk weight of less than or equal to 35% under the Basel 2 Standardised Approach for credit risk	-	15,687	16,426	387,730	298,241
24	Other loans and securities that are not in default and do not qualify as HQLA, including exchange-traded equities and trade finance on-balance sheet products	-	27,007	7,521	23,772	31,816
25	Interdependent assets	-	71,056	-	-	-
26	Other assets:	-	120,532	4,062	97,903	148,217
27	Physical traded commodities	-			-	-
28	Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs	-	8,592	-	1,114	8,250
29	NSFR derivative assets		3,577			3,577
30	NSFR derivative liabilities before deduction of variation margin posted		36,551			1,828
31	All other assets not included in the above categories		71,812	4,062	96,789	134,563
32	Off-balance sheet items		61,351	9,907	200,624	16,404
33	TOTAL REQUIRED STABLE FUNDING (RSF)					1,009,418
34	NET STABLE FUNDING RATIO (%)					125.62%

Qualitative information

The Crédit Agricole Group NSFR is at a comfortable level, the result of prudent management and large surpluses of funds over the medium to long term. The stable financing requirement at end-2021 comes mainly from customer loans, for which the weighted outstandings were slightly up at end-2021 (in line with the observed increase in loans), offset, however, by a decrease in equity investments.

The available stable funding more than covers the stable funding requirements for the end of 2021. It comes mainly from customer deposits, for which the weighted outstandings were slightly up (in line with the observed increase in customer funds), and from market and Central Bank funds (including T-LTRO) which were down slightly.

Interdependent assets and liabilities correspond to the portion of regulated deposits (*Livret A*, LDD and LEP) of customers of the Regional Banks, LCL, BforBank and Banque Chalus networks that are redeposited with the Caisse des Dépôts et Consignations (CDC).

3.7 GLOBAL INTEREST RATE RISK

In accordance with Article 448 of Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 (known as "CRR2") amending Regulation (EU) 575/2013 modified (CRR), Crédit Agricole Group is required to publish information on interest rate risk.

3.7.1 Qualitative information on interest rate risk management in the banking portfolio (EU IRRBBA standard)

a. Definition of global interest rate risk

Banking portfolio interest rate risk refers to the actual or potential risk of a decline in the bank's equity or revenues resulting from adverse movements in interest rates that affect its banking portfolio positions.

Interest rate risk can be broken down into three sub-types of risk:

- **directional risk** or deadlock risk, which results from the maturity structure of the instruments in the banking portfolio and reflects the risk induced by the timing of rate changes in the instruments. The magnitude of the deadlock risk varies depending on whether changes in the term structure of rates move steadily along the yield curve (parallel risk) or differently by period (non-parallel risk);
- **basis risk**, which reflects the impact of relative changes in interest rates for financial instruments with similar maturities and valued with different interest rate indexes;
- **option risk**, which results from optional derivative or balance sheet positions that allow the bank or its customer to modify the level and timing of cash flows; option risk is split into two categories: automatic option risk and behavioural option risk.

It is managed through the use of hedges and other means and controlled through limits.

b. Global interest rate risk management and mitigation strategies

Target

The objective of global interest rate risk management is to stabilise the future profits of the bank against the impact of any adverse interest rate movements.

Changes in interest rates impact the net interest margin by creating mismatches in timing or in the type of indexation between assets and sources of funds. Interest rate risk management uses balance sheet or off-balance sheet transactions to limit the resulting volatility in this income.

The scope for monitoring the global interest rate risk is made up of entities whose business generates an interest rate risk:

- Regional Banks (for the Crédit Agricole Group);
- LCL Group;

- Crédit Agricole S.A.;
- International Retail Banks, in particular the Crédit Agricole Italia Group;
- Crédit Agricole Corporate and Investment bank;
- Crédit Agricole Consumer Finance Group;
- Crédit Agricole Leasing & Factoring Group;
- CACEIS;
- Amundi.

The interest rate risk borne by the Insurance business is monitored using indicators specific to this business line. An assessment of the impact of an instantaneous rate shock on the level of own funds under Solvency 2 is performed on the Crédit Agricole Assurances scope. This indicator is incorporated within an alert threshold.

Limitation system and hedging practices

The rules for setting limits are intended to protect the bank's net asset value in accordance with Pillar 2 of the Basel 3 regulations regarding global interest rate risk and to limit the volatility, over time, of net interest margins by avoiding sizeable concentrations of risk on certain maturities.

The limits set at entity and scope level put bounds on the extent of the maximum discounted loss over the whole of the next 30 years and the maximum annual loss over each of the next 10 or 15 years in the event of a rate shock.

Each entity (including Crédit Agricole S.A.) manages its own exposure and hedges the interest rate risks generated by this method of financial organisation using financial instruments (on- and off-balance sheet, futures or options) under the supervision of its Asset-Liability Management Committee, in compliance with its limits and Group standards.

The Group's Financial Steering department and Risk department are represented on the main subsidiaries' ALM Committees. They ensure the harmonisation of methods and practices across the Group and monitor compliance with the limits assigned to each of the subsidiaries' entities. In addition to validation by the Group Risk Committee, the limits of the subsidiaries, the Crédit Agricole S.A. and Crédit Agricole Groups are approved by the governing body of each entity.

Limits that are reviewed annually and approved by Crédit Agricole S.A.'s Board of Directors govern the Group's exposure to global interest rate risk. These limits govern interest rate risk, inflation risk and basis risk.

The rules that apply in France to the setting of the *Livret A* index a portion of the interest to average inflation over a rolling six-month period. The interest on other passbooks is also correlated with the same half-yearly average inflation rate. As a result, the Group hedges the risk associated with these balance sheet items using instruments (carried on or off the balance sheet) for which the underlying is an inflation rate.

Stress testing

A quarterly internal mechanism (ICAAP or internal capital adequacy assessment process) estimates the internal capital requirement for the interest rate risk that Crédit Agricole Group could experience. This is measured in two ways: in economic value and in income.

The economic value impact is measured by taking into account:

- the directional interest rate risk (calculated based on gaps);
- automatic option rate risk (mainly delta equivalent and gamma equivalent of caps and floors options);
- the behavioural risk (such as early fixed-rate loan repayments);
- potential consumption of interest rate risk exposure limits.

The impact on revenues is calculated using net interest margin simulations (see below).

As one of the largest banking groups in Europe, the Crédit Agricole Group is subject to regulatory stress tests conducted by the European Banking Authority. Interest rate risk is one of the risks subject to this type of periodic exercise.

Role of independent audits

A three-tiered, independent monitoring system has been established to maintain the robustness of the system:

- the global interest rate risk measurement system is subject to an ongoing control process;
- the Group Risk Management department issues an opinion on management processes and new products;
- the Internal Audit department carries out regular inspections in the various departments.

Role and practices of the Asset-Liability Management Committee

Crédit Agricole Group manages its exposure under the supervision of the Crédit Agricole S.A. Asset-Liability Management Committee in compliance with its limits and internal standards.

The Asset-Liability Management Committee is chaired by Executive Management and includes several members of the Executive Committee as well as representatives of the Risk Management department:

- it examines the individual positions of Crédit Agricole S.A. and its main subsidiaries, along with consolidated positions for each quarterly closing;
- it examines compliance with the applicable limits;
- it validates the guidelines for the global interest rate risk of Crédit Agricole S.A. proposed by the ALM department.

Each Regional Bank's situation as regards global interest rate risk is reviewed quarterly by the Regional Banks' Risk Management Committee.

Bank practices regarding appropriate model validation

Consistency between the models used by the various Group entities is ensured through adherence to the modelling principles approved by the Standards and Methodology Committee. They are approved by the entity's ALM Committee and their relevance is monitored on an annual basis.

The asset and liability management models of the Regional Banks and LCL are developed at the national level by Crédit Agricole S.A. They follow the same validation circuit within Regional Banks and Crédit Agricole S.A. Is informed if they are adapted locally.

The relevance of the models is reviewed annually, including a review of historical data or current market conditions. They are subject to an independent review (known as a "second set of eyes") by the Crédit Agricole S.A. risk function for national models and by the Regional Bank's risk function for local adaptations.

c. Indicators for interest rate risk measurement and calculation frequency

The global interest rate risk is quantified using static and dynamic measures.

Approach in terms of economic value

The rate risk measurement is mainly based on the calculation of interest rate gaps.

This methodology consists of staggering outstandings over time (laddering of maturities in what is called a "static" process) at known rates and inflation-indexed outstandings according to their contractual terms (maturity date, amortisation profile) or by modelling out flows of outstandings where:

- the maturity profile is not known (products with no contractual maturity, such as demand deposits, passbook accounts or capital);
- behavioural options sold to customers are incorporated (early loan repayments, home purchase savings, etc.).

The risks arising from automatic options (cap and floor options) are included in the gaps using a delta-equivalent measure. A portion of these risks may be hedged using option-based products.

This measurement system is applied to all significant currencies (mainly USD, GBP and CHF).

A sensitivity of the net present value of the bank's economic value summarises the impact that a rate shock would have on the amount of the rate gaps defined above. This sensitivity is calculated for the interest rate and, where applicable, inflation and the basis risk (variable shocks depending on the reference index).

They are each subject to a framework in the form of a limit which may not exceed a percentage of total regulatory capital.

The gaps are consolidated quarterly at Crédit Agricole S.A. level. When their management requires it, some entities, particularly the major ones, measure their gaps more frequently. Economic value sensitivities are calculated with the same frequency.

Approach through income

An approach through income supplements this balance sheet picture with the projection of net interest income simulations over three years that incorporates assumptions of new production (the so-called "dynamic" approach). The methodology corresponds to that of the stress test conducted by the EBA, *i.e.* a picture at constant assessment and identical renewal of operations reaching maturity.

These indicators are not subject to a framework but contribute to the assessment of the internal capital need for interest rate risk.

This measurement takes place quarterly on the scopes of the main Group entities and on a consolidated basis.

d. Interest rate shocks used for internal measurements

Indicators for the approach through economic value

A uniform shock of +/-200 basis points is applied to calculate interest rate sensitivity. For inflation sensitivity, a shock of +/-100 basis points is assumed.

Indicators for the approach through income

The projected net interest margin simulations are carried out using six scenarios:

- realisation of forward rates (central scenario);
- shocks of +/-200 basis points on interest rates;
- shocks of +/-50 basis points on interest rates;
- shock of +100 basis points on inflation.

ICAAP

The measures used for the ICAAP for the approach through economic value are based on a set of six internal scenarios that incorporate yield curve distortions calibrated using a PCA (Principal Component Analysis) method and a calibration consistent with the one used for the assessment of other risks measured under Pillar 2 (a confidence interval of 99.9% and a historical observation period of ten years).

For the approach through income, the shocks used are +/-200 basis points.

e. Modelling and scope assumptions used for internal measurements

These asset and liability management models are usually defined based on a statistical analysis of past customer behaviour coupled with a qualitative analysis (economic and regulatory context, commercial strategy, etc.).

The modelling focuses mostly on the following:

- demand deposits: the outflow modelled takes into account the historically observed stability of outstandings. Although French demand deposits have historically shown a high degree of stability, a fraction of the outstandings (especially those created after 2015) are deemed to be more rate-sensitive and less stable;
- savings books: the model reflects dependence of the interest paid on these products on market rates and on inflation for some;
- matured loans: for the longest fixed-rate loans (mostly housing loans), the model takes into account the dependence of the intensity of early repayments on interest rate levels. Modelled early repayments are thus updated quarterly;
- equity: the model reflects a strategic convention that aims to stabilise the net interest margin. It links the maturity of the equity maturities to the maturity of the entity's commercial activity.

f. Interest rate risk hedging

This section discusses fair value hedges and cash flow hedges.

Global interest rate risk management aims to reconcile two approaches:

Protection of the bank's net asset value

This first approach requires matching balance sheet and off-balance sheet items that are sensitive to interest rate changes on assets and liabilities (or, in simplified terms, fixed-rate items), so as to neutralise the variations in fair value that occur when interest rates change.

If the matching is done by means of derivative instruments (mainly fixed-rate swaps, inflation swaps and market caps), the derivatives are classified as fair value hedges if the instruments (micro-FVH) or groups of instruments (macro-FVH) identified as the hedged items (fixed-rate assets and inflation: customer loans, fixed-rate liabilities and inflation: demand deposits and savings deposits) are eligible under IAS 39 (otherwise, as mentioned above, these derivatives are classified as held for trading, even though they hedge risk).

To check macrohedging suitability, hedging instruments and hedged items are grouped by maturity using contract characteristics or, for certain balance sheet line items (particularly deposits), using assumptions based on the financial characteristics of the products and historical behaviour. The comparison between the two maturity schedules (hedges and hedged items) means that hedging can be documented in a forward-looking manner for each maturity and each generation.

For each macrohedging relationship, the prospective effectiveness of the hedge is measured at year-end, thereby ensuring that for each maturity group, the principal amount of the hedged items is greater than the notional amount of the financial hedging derivatives used. The retrospective effectiveness is therefore measured while ensuring that the change in the hedged outstanding amount at the beginning of the period does not indicate any *a posteriori* overhedging. Other factors of ineffectiveness are also measured: BOR/OIS difference, Credit Valuation Adjustment (CVA)/Debit Valuation Adjustment (DVA) and Funding Valuation Adjustment (FVA).

Protection of the interest margin

This second approach requires neutralising variations in future cash flows of instruments or related balance sheet items that are affected by resets of their interest rates in the future, either because they are indexed to interest rate indexes that fluctuate or because they will be refinanced at market rates at some point in the future. If this neutralisation is done using derivative instruments (mainly interest rate swaps), the derivative instruments are classified as cash flow hedges (CFH). This neutralisation can also be carried out for balance sheet items or instruments that are identified individually (micro-CFHs) or portfolios of line items or instruments (macro-CFHs). As is the case for fair value hedges, the documentation and effectiveness assessment of these hedging relationships are based on provisional maturities.

For each hedging relationship, the prospective effectiveness of the hedge is measured at year-end, thereby ensuring that for each maturity group, the principal amount of the hedged items is greater than the notional amount of the financial hedging derivatives used.

The table below shows the cash flows, broken down by projected maturity date of the cash flow hedging derivatives:

— At 31 December 2021

<i>(in millions of euros)</i>				
Time to maturity	<1 year	1 to 5 years	≥5 years	Total
Cash flows from hedging derivatives	21	(153)	(94)	(226)

g. Main modelling and scope assumptions for regulatory measurements

The modelling and scope assumptions used for the internal measurements presented in point e. are also applied to the regulatory measurements, with the exception of the following:

- equity and shareholdings, other assets and other liabilities are excluded from the gaps;
- the average duration of non-maturity collection is capped at five years (a limit not reached in practice).

h. Meaning of measurements

The internal measurements show that the global interest rate risk positions are reasonable in relation to the amount of equity available to Crédit Agricole Group.

The sensitivity of the bank's economic value to a change in interest rates and inflation of 200 basis points and 100 basis points respectively amounts to €2,500 million, or 2.0% of total prudential own funds.

The regulatory measurements in the EU IRRBB1 statement below are penalised by the exclusion of Crédit Agricole Group own funds⁽¹⁾, which remain a significant fixed-rate resource.

i. Other relevant information

The refinancing transactions carried out under the TLTRO 3 drawn with the European Central Bank (ECB) are modelled as fixed-rate liabilities, taking into account the -1% cap option, until 23 June 2022, the known end date of the bonus period.

The interest rates for the main domestic collection products are updated monthly by the Crédit Agricole S.A. Interest Rate Committee.

3.7.2 Quantitative information on interest rate risk

The table below shows the sensitivity of economic value and net interest income to various interest rate shock scenarios.

— Interest rate risk of banking portfolio activities (Table EU IRRBB1)

Change in economic value of equity (in billions of euros)		31/12/2021
1	Parallel up	(10.9)
2	Parallel down	1.9
3	Steeper	(2.9)
4	Flatter	1.1
5	Short rate up	(1.5)
6	Short rate down	1.5

Change in net interest income (in billions of euros)		31/12/2021		
		Year 1	Year 2	Year 3
1	Parallel up (+50bp)	1.0	1.0	1.4
2	Parallel down (-50bp)	(0.6)	(1.0)	(1.3)

The sensitivity figures for net interest income above are calculated with a pass-through rate⁽²⁾ of 100%, either an immediate pass-through of interest rate changes to assets and liabilities (for all variable-rate instruments already on the balance sheet, and only for new transactions in the case of fixed-rate instruments), and on the other hand with demand deposits maintained at their current high level without remuneration (repeating the assumptions of the EBA's stress tests).

With a pass-through rate of 50%, the sensitivities in year 1, year 2 and year 3 would be €900 million, €700 million and €1,000 million respectively for a parallel upward shock scenario, and -€500 million, -€700 million and -€900 million respectively for a parallel downward shock scenario.

The sensitivity of net interest income in year 1 is strongly impacted by the TLTRO III raised from the European Central Bank. Without the 50 basis points bonus and the -1% maximum rate, the sensitivity for a parallel upward shock would have been €600 million (for a pass-through of 100%).

Calculation assumptions

The calculation assumptions and rate shock scenarios are defined by the European Banking Authority (EBA) in the "Guidance on the management of interest rate risk arising from non-trading book activities" published on 19 July 2018 (EBA/GL/2018/02).

• Economic value

Paragraph 115 of the EBA Guidance specifies how the change in economic value should be calculated. This is determined on the basis of a 30-year rolling balance sheet from which the value of equity and fixed assets is excluded. The average maturity of deposits without contractual maturity (demand deposits and savings books) outside financial institutions is limited to five years.

An instantaneous interest rate shock scenario is considered. The interest rate shocks used are the ones for the main economic regions to which Crédit Agricole Group has exposure, namely the eurozone, Switzerland and the United States.

(in basis points)	EUR	USD	CHF
Parallel shock	200	200	100
Short shock	250	300	150
Long shock	100	150	100

(1) Estimated at €8,500 million in net present value under the rising interest rate scenario.

(2) The pass-through rate is the sensitivity of customer rates to a change in the market rates.

The steepening and flattening of the yield curve scenarios are non-uniform scenarios where maturity-dependent interest rate shocks are applied to both short and long rates.

A minimum threshold (or floor), which varies according to maturity (from -100 basis points overnight to 0 basis points at 20 years, in accordance with Article 115(k) of the above-mentioned EBA Guidance) is applied to interest rates after downside shock scenarios are considered.

- **Net interest income**

The change in net interest income is calculated for a horizon of one, two and three years, assuming a constant balance sheet and therefore an identical renewal of the maturing transactions. An instantaneous interest rate shock scenario of 50 basis points is considered here, regardless of the currency.

Between the two approaches, sensitivities are reversed: the economic value of Crédit Agricole Group falls if interest rates rise, while the net interest margin increases.

The fall in economic value in the event of a rate hike is due to a generally lower volume of fixed-rate liabilities than fixed-rate assets on future maturities.

Conversely, the net interest margin increases if interest rates rise, as the sensitivity of renewed assets to rate changes is higher than that of renewed liabilities, due to the fact that liabilities include equity and retail customer resources (demand deposits and regulated savings), which are not sensitive to interest rate increases.

3.8 REMUNERATION POLICY

The information on the compensation policy required pursuant to EU Regulation 575/2013 modified (CRR) can be found in Chapter 3 of the Universal Registration Document. Reference should also be made to the report on “compensation policy and practices”, which is usually published before the end of April of the current year.

STATEMENT BY THE PERSON RESPONSIBLE

I certify that, to the best of my knowledge, pursuant to the EBA Guidelines 2016/11 on disclosure requirements under Part Eight of Regulation (EU) No.575/2013 (and subsequent amendments) 4.2 paragraph – section C, disclosures provided according to the aforementioned Part Eight have been prepared in accordance with the internal control processes agreed upon at the management body level.

Montrouge, 24 March 2022

The Deputy General Manager, Chief Financial Officer of Crédit Agricole S.A..

Jérôme GRIVET

4. CROSS-REFERENCE TABLES

— Cross-reference table for Pillar 3 (CRR and CRD 4)

CRR article	Topic	Reference 2020 Universal Registration Document	2020 Universal Registration Document
435 (CRR)	1. risk management policy and targets	Presentation of Committees – Corporate governance Main Group level Committees dealing with risk – Risk factors	p. 56 to 57
436 (a)(b)	2. scope of consolidation	Pillar 3 Financial statements Note 12.2	p. 121 to 125 et p. 360 to 386
436 (c)(d)(e) (CRR)	2. scope of consolidation	Unpublished information	p. 122
437 (CRR)	3. Equity	Reconciliation of accounting and regulatory capital Details of subordinated debt	p. 117 to 118
438 (CRR)	4. Own funds requirements	Risk-weighted assets by business line and trends	p. 126 to 128
439 (CRR)	5. Exposure to counterparty credit risk	General presentation of counterparty credit risk – exposures by type of risk Credit risk (all) Counterparty risk (all)	p. 128 to 177
440 (CRR)	6. Capital buffer	Minimum requirements and exposures by geographic area	p. 109 to 110 et p. 110
441 (CRR)	7. Indicators of global systemic importance	Communication on the indicators required for globally systemically important banks (G-SIBs) + website	p. 116 to 119, A01 and press release
442 (CRR)	8. Adjustments for credit risk	Default exposures and value adjustments	p. 133 to 141
443 (CRR)	9. Asset encumbrance	Asset encumbrance	p. 191 to 193
444 (CRR)	10. Use of ECAs	Protection providers	p. 141 et p. 178 to 179
445 (CRR)	11. Exposure to market risk	Exposure to market risk of the trading book	p. 187 to 190
446 (CRR)	12. Operational risk	Operational risk	p. 191
447 (CRR)	13. Equity exposures excluding the trading book	Equity exposures in the banking portfolio	p. 101
448 (CRR)	14. Exposure to interest rate risk on positions not included in the trading book	Global interest rate risk – Risk factors	p. 201 to 205
449 (CRR)	15. Exposures to securitisation positions	Securitisation – Pillar 3	p. 177 to 187
450 (CRR)	16. remuneration policy	Compensation policy – Corporate governance	p. 205
451 (CRR)	17. Leverage	Leverage ratio	p. 113 to 116
452 (CRR)	18. Use of the IRB approach to credit risk	Credit risk – internal ratings-based approach	p. 145 to 166
453 (CRR)	19. Use of credit risk mitigation techniques	Credit risk mitigation mechanism	p. 175 to 176
454 (CRR)	20. Use of the advanced measurement approaches to operational risk	Operational risk	p. 191
455 (CRR)	21. Use of internal market risk models	Internal models approach to market risk capital requirements – Pillar 3	p. 189 to 190

Additional elements are presented on the consolidated report on risks available on our website: www.credit-agricole.com/finance/finance/espace-investisseurs/informations-financieres.

EDTF cross-reference table

		Recommendation	Management report and other	Risk factors	Pillar 3	Consolidated financial statements
Introduction	1	Cross-reference table			p. 207	
	2	Terminology and risk measurements, key parameters used		p. 39 to 100	p. 128 and p. 142 to 158	p. 225 to 245, and p. 251 to 287
	3	Presentation of main risks and/or emerging risks		p. 39 to 100		p. 251 to 287
	4	New regulatory framework for solvency and Group targets	p. 35 to 36	p. 81 to 85	p. 101 to 108	p. 287
Governance and risk management strategy	5	Organisation of control and risk management	Chapter 3 URD and p.124 to 129	p. 39 to 100 and p. 57 to 64		
	6	Risk management strategy and implementation	Chapter 3 URD and p.124 to 129	p. 39 to 100	p. 101 to 111	
	7	Risk mapping by business line			p. 127	
	8	Governance and management of internal credit and market stress tests		p. 39 to 100, p.69		
Capital requirements and risk-weighted assets	9	Minimum capital requirements			p. 101 to 111	
	10a	Breakdown of composition of capital			p. 104 to 106 ⁽¹⁾	
	10b	Reconciliation of the balance sheet and prudential balance sheet and accounting equity and regulatory capital			p. 104 to 106 and p. 121 to 122	
	11	Change in regulatory capital			p. 107 to 108	
	12	Capital trajectory and target CRD 4 ratios	p. 34 to 35		p. 104 to 122	
	13	Risk-weighted assets by business line and risk type			p. 126 to 141	
	14	Risk-weighted assets and capital requirements by method and category of exposure		p. 67 to 68	p. 126 to 141	
	15	Exposure to credit risk by category of exposure and internal rating		p. 65 to 75	p. 129 to 177	
	16	Changes in risk-weighted assets by risk type			p. 126	
	17	Description of back-testing models and efforts to improve their reliability		p. 75 to 77, p. 94 to 96	p. 158 to 166	
	18	Management of liquidity and cash balance sheet		p. 81 to 86	p. 194 to 205	
Liquidity	19	Asset encumbrance			p. 191 to 193	
	20	Breakdown of financial assets and financial liabilities by contractual maturity				p. 274 to 278 and p. 336
	21	Liquidity and financing risk management		p. 81 to 86	p. 194 to 205	
Market risk	22 to 24	Market risk measurement		p. 75 to 80	p. 187 to 190	p. 225 to 245, p. 274 to 277 and p. 344 to 358
	25	Market risk management techniques		p. 75 to 80		
Credit risks	26	Maximum exposure, breakdown and diversification of credit risks		p. 70 to 75	p. 128 to 177	p. 251 to 273
	27 and 28	Provisioning policy and risk hedging		p. 73 to 75		p. 225 to 243 and p. 273 to 292
	29	Derivative instruments: notional, counterparty risk, offsetting		p. 43 to 49, p. 65 to 69, p. 70 to 75 and p. 86	p. 167 to 177	p. 235 to 237, p. 274 to 278 and p. 348
	30	Credit risk mitigation mechanism		p. 69		p. 343 to 344
Other risks	31	Other risks: insurance sector risks, operational risks and legal risks, information systems security and business continuity plans	p. 100 to 107	p. 50 to 53 and p. 91 to 100		p. 287, p. 300 to 301 and p. 328 to 331
	32	Declared risks and ongoing actions regarding operational and legal risks		p. 94 to 100		p. 328 to 331

(1) Details of debt issues available on the website: www.credit-agricole.com/en/finance/finance/financial-publications.

5. DISCLOSURE OF EXPOSURES SUBJECT TO MEASURES APPLIED IN RESPONSE TO THE COVID-19 CRISIS – CRÉDIT AGRICOLE GROUP (PAYMENT MORATORIA AND PUBLIC GUARANTEES)

TEMPLATE 1 – INFORMATION ON LOANS AND ADVANCES SUBJECT TO LEGISLATIVE AND NON-LEGISLATIVE MORATORIA

Purpose: provide an overview of the credit quality of loans and advances subject to moratoria on loan repayments applied in the light of the Covid-19 crisis, in accordance with EBA/GL/2020/02.

	a	b	c	d	e	f	g	
	Gross carrying amount							
			Of which: exposures with forbearance measures	Of which: Instruments with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)		Of which: exposures with forbearance measures	Of which: Unlikely to pay that are not past-due or past-due ≤90 days	
1 Loans and advances subject to moratorium	439,790,947	434,051,859	46,555,293	239,645,834	5,739,088	1,333,934	3,655,808	
2 of which: households	15,871,302	15,840,543	2,914,336	8,008,479	30,760	-	-	
3 of which: collateralised by residential immovable property	8,893,179	8,893,179	1,147,253	3,504,671	-	-	-	
4 of which: non-financial corporations	420,432,980	414,724,652	41,843,422	229,839,820	5,708,328	1,333,934	3,655,808	
5 of which: small and medium-sized enterprises	247,763,055	245,655,256	29,972,526	156,409,248	2,107,798	1,333,934	55,278	
6 of which: collateralised by commercial immovable property	198,513,679	195,762,836	27,480,432	144,658,413	2,750,843	-	2,750,843	

	h	i	j	k	l	m	n	o
	Accumulated impairment, accumulated negative changes in fair value due to credit risk							Gross carrying amount
			Of which: exposures with forbearance measures	Of which: Instruments with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)		Of which: exposures with forbearance measures	Of which: Unlikely to pay that are not past- due or past-due ≤90 days	Inflows to non-performing exposures
	(17,964,218)	(16,836,080)	(5,629,159)	(12,641,676)	(1,128,138)	(571,303)	(493,972)	10,072,103
	(548,661)	(535,548)	(353,257)	(499,531)	(13,113)	-	-	361,341
	(220,444)	(220,444)	(119,602)	(197,169)	-	-	-	-
	(17,152,235)	(16,037,211)	(5,024,354)	(11,890,597)	(1,115,025)	(571,303)	(493,972)	9,710,762
	(11,324,277)	(10,698,802)	(3,945,514)	(8,022,830)	(625,476)	(571,303)	(4,423)	9,710,762
	(9,311,228)	(9,040,096)	(3,418,249)	(8,100,279)	(271,132)	-	(266,709)	-

TEMPLATE 2 – BREAKDOWN OF LOANS AND ADVANCES SUBJECT TO LEGISLATIVE AND NON-LEGISLATIVE MORATORIA BY RESIDUAL MATURITY OF MORATORIA

Purpose: provide an overview of the volume of loans and advances subject to legislative and non-legislative moratoria in accordance with EBA/GL/2020/02 by residual maturity of these moratoria.

	a	b	c	d	e	f	g	h	i
	Number of obligors	Gross carrying amount							
			Of which: legislative moratoria	Of which: expired	Residual maturity of moratoria				
					≤3 months	>3 months ≤6 months	>6 months ≤9 months	>9 months ≤12 months	>1 year
1 Loans and advances for which moratorium was offered	361,988	47,258,832,207							
2 Loans and advances subject to moratorium (granted)	361,393	46,924,280,839	5,933,768,033	46,484,489,891	419,651,506	19,814,898	-	60,639	263,905
3 of which: households		5,109,197,523	1,229,142,453	5,093,326,221	15,287,367	491,571	-	60,639	31,726
4 of which: collateralised by residential immovable property		3,717,784,629	489,251,878	3,708,891,450	8,893,179	-	-	-	-
5 of which: non-financial corporations		41,765,840,876	4,687,552,660	41,345,407,896	400,877,474	19,323,327	-	-	232,179
6 of which: small and medium-sized enterprises		32,608,732,790	4,210,047,142	32,360,969,736	232,658,471	14,872,405	-	-	232,179
7 of which: collateralised by commercial immovable property		8,029,065,756	1,535,774,054	7,830,552,077	187,463,207	11,050,472	-	-	-

TEMPLATE 3 – INFORMATION ON NEWLY ORIGINATED LOANS AND ADVANCES PROVIDED UNDER NEWLY APPLICABLE PUBLIC GUARANTEE SCHEMES INTRODUCED IN RESPONSE TO COVID-19 CRISIS

Purpose: provide an overview of the stock of newly originated loans and advances subject to public guarantee schemes introduced in response to Covid-19 crisis.

	a	b	c	d
	Gross carrying amount		Maximum amount of the guarantee that can be considered	Gross carrying amount
		of which: forborne	Public guarantees received	Inflows to non-performing exposures
Newly originated loans and advances subject to public guarantee schemes	22,251,030,240	1,299,447,537	19,777,412,648	360,271,425
1 of which: households	278,396,683			1,935,331
2 of which: collateralised by residential immovable property	-			-
3 of which: non-financial corporations	21,955,669,689	1,293,549,877	19,511,591,405	358,336,094
4 of which: small and medium-sized enterprises	14,542,216,306			148,714,334
5 of which: collateralised by commercial immovable property	-			-
6				



4

CONSOLIDATED FINANCIAL STATEMENTS

Consolidated financial statements at 31 December 2021 approved by the Crédit Agricole S.A. Board of Directors on 9 February 2022 and submitted for the approval of the Ordinary General Meeting of 24 May 2022

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GENERAL FRAMEWORK

THE CRÉDIT AGRICOLE GROUP

The Crédit Agricole Group is made up of 2,406 Local Banks, 39 Regional Banks, its central body “Crédit Agricole S.A.” and their subsidiaries.

Crédit Agricole Mutuel was organised by the law of 5 November 1894, which laid down the principle for the creation of the Crédit Agricole Local Banks, the law of 31 March 1899, which federated the Local Banks into Crédit Agricole's Regional Banks, and the law of 5 August 1920, which created the *Office national du Crédit Agricole*, since then transformed into the *Caisse nationale de Crédit Agricole* and then Crédit Agricole S.A., which has the role of central body (the “central body”) in accordance with and as defined by the French Monetary and Financial Code.

The Crédit Agricole Group is a banking group with a central body within the meaning of the European Union's First Council Directive (77/780/EC), now repealed, including:

- the commitments of the central body and affiliated institutions are joint and several;
- the solvency and liquidity of the central body and of all the affiliated institutions are monitored as a whole on the basis of consolidated financial statements.

For groups with a central body, Directive 86/635, on the accounts of European credit institutions, stipulates that the whole constituted by the central body and its affiliated institutions must be the subject of consolidated financial statements which shall be drawn up, audited and published in accordance with this Directive.

In application of this Directive, the central body and affiliated institutions make up the reporting entity representing the joint interests notably established by the system of cross-guarantees that severally cover the commitments of the different entities of the Crédit Agricole Group. In addition, the different texts cited in the first paragraph explain and organise the existing joint interests at the legal, financial, economic and political levels, between Crédit Agricole S.A., the Regional Banks and the Local Banks of Crédit Agricole Mutuel. These joint interests are based in particular on the same mechanism of financial relationships, a single economic and commercial policy and on joint decision-making bodies, which have formed the basis of the Crédit Agricole Group for over a century.

Pursuant to European Regulation 1606/02, the consolidated financial statements of the reporting entity shall be prepared in accordance with IFRS as adopted by the European Union. The reporting entity is made up of the Local Banks, Regional Banks and the central body “Crédit Agricole S.A.”.

CRÉDIT AGRICOLE INTERNAL RELATIONS

Internal financing mechanisms

Crédit Agricole has instituted a number of internal financing mechanisms specific to the Group.

Regional Banks' current accounts

Each Regional Bank holds a current account with Crédit Agricole S.A., which records the financial movements resulting from internal financial transactions within the Group. This account, which may be in credit or debit, is presented in the balance sheet under “Crédit Agricole internal transactions – Current Accounts” and integrated on a specific line item, either “Loans and receivables due from credit institutions” or “Due to credit institutions”.

Special savings accounts

Funds held in special savings accounts (popular savings passbook accounts (*Livret d'épargne populaire*), sustainable and inclusive development passbook accounts (*Livret de développement durable et solidaire*), home purchase savings schemes and accounts, popular savings schemes, youth passbook accounts (*Livret Jeune*) and passbook savings accounts (*Livret A*) are collected by the Regional Banks on behalf of Crédit Agricole S.A. and must be centralised at the latter. Crédit Agricole S.A. recognises them on its balance sheet as “Due to customers”.

Term deposits and advances

The Regional Banks also collect non-government-regulated savings funds (passbook accounts, bonds, warrants, certain term accounts and similar accounts, etc.) on behalf of Crédit Agricole S.A. These funds are transferred to Crédit Agricole S.A., and are recognised as such on its balance sheet.

Special savings accounts and time deposits and advances are used by Crédit Agricole S.A. to make “advances” (loans) to the Regional Banks, with a view to funding their medium and long term loans.

A series of four internal financial reforms has been implemented. These reforms have permitted the transfer back to the Regional Banks, in the form of so-called “mirror advances” (with maturities and interest rates precisely matching those of the savings funds received) of first 15%, 25%, then 33% and, since 31 December 2001, 50% of the savings resources, which they are free to use at their discretion.

Since 1 January 2004, the financial margins generated by the centralised management of collected funds (and not transferred back via mirror advances) are shared by the Regional Banks and Crédit Agricole S.A. and are determined by using replacement models and applying market rates.

Furthermore, the Regional Banks may be refinanced in the form of advances negotiated at market rates with Crédit Agricole S.A.

Transfer of Regional Banks' liquidity surpluses

The Regional Banks may use their “monetary” deposits (demand deposits, non-centralised time deposits and negotiable certificates of deposit) to finance lending to their customers. Surpluses must be transferred to Crédit Agricole S.A. where they are booked as current or time accounts, under “Crédit Agricole internal transactions”.

Foreign currency transactions

The Regional Banks' foreign currency activities are refinanced through Cr dit Agricole S.A.

Medium and long-term notes issued by Cr dit Agricole S.A.

These are placed on the market or by the Regional Banks with their customers. They are booked on the balance sheet by Cr dit Agricole S.A. under liabilities either as "Debt securities" or as "Subordinated debt", depending on the type of security issued.

TLTRO III mechanism

The ECB set out a third series of long-term refinancing operations in March 2019, the terms and conditions of which were reviewed in September 2019 and again in March, April and December 2020, in connection with the Covid-19 situation.

The TLTRO III mechanism aims to provide long-term refinancing, with a subsidy in the event of reaching a lending performance target based on growth of lending to corporates and households, which is applied over the three-year maturity of the TLTRO operation. Under this mechanism, there is an additional subsidy that awards two further temporary incentives. The first is applied over the one-year period between June 2020 and June 2021, and the second, over the one-year period from June 2021 to June 2022.

The accounting treatment chosen by the Group, which has not changed from the one applied in 2020, consists of accounting for subsidies when the Group considers that the level of eligible amounts outstanding will render it possible to meet the conditions necessary to acquire these subsidies when they become due and payable by the ECB, i.e. on maturity of a TLTRO III, and allocating this subsidy to the period to which it corresponds on a prorata temporis basis.

The Group evaluated the accrued interest at the Deposit Facility rate -50 basis points floored at -100 basis points for the special interest rate period (1 January 2021 – 23 June 2021 for the period pertaining to the 2021 financial year), taking into account the achievement of the target applicable to the first incentive period. For the additional special interest rate period (24 June 2021 – 31 December 2021 for the period pertaining to the 2021 financial year), the interest rate used is also the Deposit Facility rate -50 basis points floored at -100 basis points, taking into account the achievement of the target for the level of eligible credits applicable to the second incentive period. As a result, the Group believes that it will receive all of the subsidies corresponding to this financing at maturity as it had met the conditions for this as at 31 December 2021. As a reminder, at 30 June 2021, the interest rate applied was the lowest of the deposit facility rate and the MRO -50 basis points given the uncertainties that the Group faced at that date with regard to meeting the eligible loan criteria during the additional special reference period.

As at 31 December 2021, the Group has drawn €162 billion in TLTRO III at the ECB.

Hedging of liquidity and solvency risks and banking resolution

Under the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code (CMF), Cr dit Agricole S.A., as the central body of the Cr dit Agricole network, must take all necessary measures to ensure the liquidity and solvency of each affiliated credit institution, as well as the network as a whole. As a result, each member of the network benefits from this internal financial solidarity.

The general provisions of the CMF (*Code mon taire et financier* — French Monetary and Financial Code) have been reflected in the internal provisions setting out the operational measures required for this legal solidarity mechanism.

In the initial public offering of Cr dit Agricole S.A., CNCA (now Cr dit Agricole S.A.) signed an agreement with the Regional Banks in 2001 aiming notably at governing internal relations within the Cr dit Agricole network. In particular, the agreement provides for the creation of a Fund for Bank Liquidity and Solvency Risks (FRBLS) designed to enable Cr dit Agricole S.A. to fulfil its role as central body by providing assistance to any affiliated members that may experience difficulties. The main provisions of this agreement are set out in Chapter III of the Registration Document filed by Cr dit Agricole S.A. with France's *Commission des op rations de Bourse* on 22 October 2001 under number R.01-453.

The European banking crisis management framework was adopted in 2014 by EU Directive 2014/59 (known as the "Bank Recovery and Resolution Directive – BRRD"), incorporated into French law by Order 2015-1024 of 20 August 2015, which also adapted French law to the provisions of European Regulation 806/2014 of 15 July 2014 establishing uniform rules and a uniform procedure for the resolution of credit institutions and certain investment firms in the framework of a Single Resolution Mechanism and a Single Resolution Fund. Directive (EU) 201/879 of 20 May 2019, known as "BRRD2", amended the BRRD and was incorporated into French law by Order 2020-1636 of 21 December 2020.

This framework, which includes measures to prevent and to resolve banking crises, is intended to preserve financial stability, to ensure the continuity of activities, services and operations of institutions whose failure could significantly impact the economy, to protect depositors, and to avoid or limit the use of public financial support as much as possible. In this context, the European Resolution Authorities, including the Single Resolution Board, have been granted extensive powers to take all necessary measures in connection with the resolution of all or part of a credit institution or the group to which it belongs.

For cooperative banking groups, the "extended single point of entry" ("extended SPE") resolution strategy is favoured by the resolution authorities, whereby resolution tools would be applied simultaneously at the level of Cr dit Agricole S.A. and the affiliated entities. In this respect, and in the event of a resolution of the Cr dit Agricole Group, the scope comprising Cr dit Agricole S.A. (in its capacity as central body) and its affiliated entities would be considered as a whole as the expanded single point of entry. Given the foregoing and the solidarity mechanisms that exist within the network, a member of the Cr dit Agricole network cannot be put individually in resolution.

The resolution authorities may initiate resolution proceedings against a credit institution where it considers that: the institution has failed or is likely to fail, there is no reasonable prospect that another private measure will prevent the failure within a reasonable time, a resolution measure is necessary, and a liquidation procedure would be inadequate to achieve the resolution objectives mentioned above.

The resolution authorities may use one or more resolution tools, as described below, with the objective of recapitalising or restoring the viability of the institution. The resolution tools should be implemented in such a way that equity holders (shares, mutual shares, CCIs, CCAs) bear losses first, with creditors following up immediately, provided that they are not excluded from bail-in legally speaking or by a decision of the resolution authorities. French law also provides for a protective measure when certain resolution tools or decisions are implemented, such as the principle that equity holders and creditors of an institution in resolution may not incur greater losses than those they would have incurred if the institution had been liquidated in the context of a judicial liquidation procedure under the French Commercial

Code (NCWOL principle referred to in Article L. 613-57.I of the CMF). Thus, investors are entitled to claim compensation if the treatment they receive in a resolution is less favourable than the treatment they would have received if the institution had been subject to normal insolvency proceedings.

In the event that the resolution authorities decide to put the Crédit Agricole Group in resolution, they will first write down the CET1 instruments (shares, mutual shares, CCI and CCA), additional Tier 1 instruments, and Tier 2 instruments, in order to absorb losses, and then possibly convert the additional Tier 1 instruments and Tier 2 instruments⁽¹⁾ into equity securities. Then, if the resolution authorities decide to use the bail-in tool, the latter would be applied to debt instruments⁽²⁾, resulting in the partial or total write-down of these instruments or their conversion into equity in order to absorb losses.

With respect to the central body and all affiliated entities, the resolution authorities may decide to implement, in a coordinated manner, impairment or conversion measures and, where applicable, internal bailouts. In such an event, the impairment or conversion measures and, where applicable, internal bailout measures would apply to all entities within the Crédit Agricole network, regardless of the entity in question and regardless of the origin of the losses.

The creditor hierarchy in resolution is defined by the provisions of Article L. 613-55-5 of the CMF, effective as at the date of implementation of the resolution.

Equity holders and creditors of the same rank or with identical rights in liquidation will then be treated equally, regardless of the Group entity of which they are creditors.

The scope of this bail-in, which also aims to recapitalise the Crédit Agricole Group, is based on capital requirements at the consolidated level.

Investors must then be aware that there is therefore a significant risk that holders of shares, mutual shares, CCIs and CCAs and holders of debt instruments of a member of the network will lose all or part of their investment if a resolution procedure is implemented on the Group, regardless of the entity of which they are a creditor.

The other resolution tools available to the resolution authorities are essentially the total or partial disposal of the activities of the institution to a third party or to a bridge institution and the separation of the assets of the institution.

This resolution framework does not affect the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code, which applies to the Crédit Agricole network, as defined in Article R. 512-18 of the same Code. Crédit Agricole S.A. considers that, in practice, this mechanism should be implemented prior to any resolution procedure.

The implementation of a resolution procedure to the Crédit Agricole Group would thus mean that the legal internal solidarity mechanism had failed to remedy the failure of one or more network entities, and hence of the network as a whole. It would also limit the likelihood that the conditions for triggering the guarantee covering the liabilities of Crédit Agricole S.A. (granted in 1988 to its third party creditors by the Regional Banks on a joint and several basis, and up to the aggregate amount of their own funds) are met. It should be recalled that this guarantee may be triggered in the event of an asset shortfall following Crédit Agricole S.A.'s bankruptcy or dissolution.

Specific guarantees provided by the Regional Banks to Crédit Agricole S.A. (Switch)

The Switch guarantee mechanism, established on 23 December 2011 and supplemented by an initial addendum in 2013 and twice amended in 2016, forms part of the financial relationship between Crédit Agricole S.A., as central body, and the mutual network of Crédit Agricole Regional Banks. The most recent amendments to these guarantees took effect retroactively on 1 July 2016, replacing the previous guarantees, and expire on 1 March 2027, subject to total or partial early termination or extension in accordance with the terms of the contract. A first partial termination corresponding to 35% of the Switch guarantees took place on 2 March 2020, a second, corresponding to 15% of the guarantees, took place on 1 March 2021, and a final one, corresponding to the remaining 50%, took place on 16 November 2021.

Capital ties between Crédit Agricole S.A. and the Regional Banks

The capital ties between Crédit Agricole S.A. and the Regional Banks are governed by an agreement entered into by the parties prior to Crédit Agricole S.A.'s initial public offering.

Under the terms of this agreement, the Regional Banks exercise their control over Crédit Agricole S.A. through SAS Rue La Boétie, a holding company wholly owned by the Regional Banks. The purpose of SAS Rue La Boétie is to hold enough shares to ensure that it always owns at least 50% of the share capital and voting rights of Crédit Agricole S.A.

In addition, under the same agreement, Crédit Agricole S.A. directly owned approximately 25% of the share capital of each Regional Bank (except for 99.9%-owned *Caisse régionale de la Corse*). Following the transaction to simplify the Group's capital structure on 3 August 2016, the bulk of the cooperative investment certificates ("*certificats coopératifs d'investissement*" or CCIs) and the cooperative associate certificates ("*certificats coopératifs d'associés*" or CCAs) held by Crédit Agricole S.A. were transferred to a holding company ("*Sacam Mutualisation*") jointly owned by the Regional Banks.

(1) Articles L. 613-48 and L. 613-48-3 of the CMF.

(2) Articles L. 613-55 and L. 613-55-1 of the CMF.

INFORMATION PERTAINING TO THE RELATED PARTIES

The related parties of the Crédit Agricole Group are the consolidated companies, including equity-accounted entities, the Group's senior executives and the Regional Banks, given the Group's legal structure and due to the fact that Crédit Agricole S.A. is the central body of the Crédit Agricole network.

Other shareholders' agreements

Shareholder agreements signed during the financial year are detailed in Note 2 "Major structural transactions and material events during the period".

Relationships between controlled companies affecting the consolidated balance sheet

A list of Crédit Agricole Group companies is presented in Note 12 "Scope of consolidation at 31 December 2021". Since the transactions and year-end outstandings between the Group's fully consolidated companies are eliminated on consolidation, only transactions with companies consolidated by the equity method affect the Group's consolidated financial statements.

The main corresponding outstandings and commitments in the consolidated balance sheet at 31 December 2021 relate to transactions with the equity-accounted entities for the following amounts:

- loans and receivables due from credit institutions: €2,249 million (€2,783 million at 31 December 2020);
- loans and receivables due from customers: €3,251 million (€2,811 million at 31 December 2020);
- debt due to credit institutions: €916 million (€1,180 million at 31 December 2020);
- debt due to customers: €153 million (€383 million at 31 December 2020);
- commitments given on financial instruments: €7,997 million (€7,410 million at 31 December 2020);
- commitments received on financial instruments: €4,919 million (€4,051 million at 31 December 2020).

The transactions entered into with these entities did not have a material effect on the income statement for the period.

Management of retirement, early retirement and end-of-career allowances: Internal hedging contracts within the Group

As presented in Note 1.2 "Accounting policies and principles", employees are provided with various types of post-employment benefits. These concern:

- end-of-career allowances;
- retirement plans, which may be either "defined-contribution" or "defined-benefit" plans.

The liability in this respect is partially funded by collective insurance contracts taken out with Predica, the Crédit Agricole Group's life insurance company.

These contracts govern:

- the setting up by the insurance company of mutual funds for investing contributions made by the employer to build up sufficient funds to cover end-of-career allowances or the various pension schemes;
- the management of the funds by the insurance company;
- the payment to the beneficiaries of the allowances and of the benefits due under the various plans.

Information on post-employment benefits is provided in Note 7 "Employee benefits and other compensation" in paragraphs 7.3 and 7.4.

Relations with senior management

Given the mutualist structure of the Crédit Agricole Group and the wide scope of the reporting entity, the concept of key management personnel as defined by IAS 24 is not representative of the governance rules in force in the Crédit Agricole Group.

The information required by IAS 24 on the compensation of senior managers is therefore not presented.

CONSOLIDATED FINANCIAL STATEMENTS

INCOME STATEMENT

(in millions of euros)	Notes	31/12/2021	31/12/2020
Interest and similar income	4.1	31,634	31,500
Interest and similar expenses	4.1	(11,851)	(12,710)
Fee and commission income	4.2	15,371	13,376
Fee and commission expenses	4.2	(4,621)	(3,933)
Net gains (losses) on financial instruments at fair value through profit or loss	4.3	14,839	2,452
<i>Net gains (losses) on held for trading assets/liabilities</i>		2,182	2,526
<i>Net gains (losses) on other financial assets/liabilities at fair value through profit or loss</i>		12,657	(74)
Net gains (losses) on financial instruments at fair value through other comprehensive income	4.4	61	691
<i>Net gains (losses) on debt instruments at fair value through other comprehensive income that may be reclassified subsequently to profit or loss</i>		(29)	585
<i>Remuneration of equity instruments measured at fair value through other comprehensive income that will not be reclassified subsequently to profit or loss (dividends)</i>		90	106
Net gains (losses) arising from the derecognition of financial assets at amortised cost	4.5	45	33
Net gains (losses) arising from the reclassification of financial assets at amortised cost to financial assets at fair value through profit or loss		-	-
Net gains (losses) arising from the reclassification of financial assets at fair value through other comprehensive income to financial assets at fair value through profit or loss		-	-
Income on other activities	4.6	41,325	37,367
Expenses on other activities	4.6	(49,813)	(35,372)
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	5.3	(168)	192
REVENUES		36,822	33,596
Operating expenses	4.7	(21,169)	(19,921)
Depreciation, amortisation and impairment of property, plant & equipment and intangible assets	4.8	(1,912)	(1,907)
GROSS OPERATING INCOME		13,741	11,768
Cost of risk	4.9	(2,193)	(3,651)
OPERATING INCOME		11,548	8,117
Share of net income of equity-accounted entities		392	419
Net gains (losses) on other assets	4.10	(27)	52
Change in value of goodwill	6.16	497	(968)
PRE-TAX INCOME		12,410	7,620
Income tax charge	4.11	(2,463)	(2,165)
Net income from discontinued operations	6.12	6	(262)
NET INCOME		9,953	5,193
Non-controlling interests	6.21	852	504
NET INCOME GROUP SHARE		9,101	4,689

NET INCOME AND OTHER COMPREHENSIVE INCOME

(in millions of euros)	Notes	31/12/2021	31/12/2020
NET INCOME		9,953	5,193
Actuarial gains and losses on post-employment benefits	4.12	245	(133)
Other comprehensive income on financial liabilities attributable to changes in own credit risk ⁽¹⁾	4.12	(13)	(149)
Other comprehensive income on equity instruments that will not be reclassified to profit or loss ⁽¹⁾	4.12	95	(242)
Pre-tax other comprehensive income on items that will not be reclassified to profit or loss excluding equity-accounted entities	4.12	327	(524)
Pre-tax other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	4.12	24	6
Income tax related to items that will not be reclassified to profit or loss excluding equity-accounted entities	4.12	(41)	103
Income tax related to items that will not be reclassified to profit or loss on equity-accounted entities	4.12	(14)	(2)
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	4.12	(1)	1
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX	4.12	295	(416)
Gains and losses on translation adjustments	4.12	957	(806)
Other comprehensive income on debt instruments that may be reclassified to profit or loss	4.12	(1,499)	602
Gains and losses on hedging derivative instruments	4.12	(886)	345
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	4.12-5.3	182	(198)
Pre-tax other comprehensive income on items that may be reclassified to profit or loss excluding equity-accounted entities	4.12	(1,246)	(57)
Pre-tax other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities, Group share	4.12	103	(135)
Income tax related to items that may be reclassified to profit or loss excluding equity-accounted entities	4.12	629	(276)
Income tax related to items that may be reclassified to profit or loss on equity-accounted entities	4.12	(3)	1
Other comprehensive income on items that may be reclassified to profit or loss from discontinued operations	4.12	(32)	5
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX	4.12	(549)	(462)
Other comprehensive income net of income tax	4.12	(254)	(878)
NET INCOME AND OTHER COMPREHENSIVE INCOME		9,699	4,315
Of which Group share		8,778	3,900
Of which non-controlling interests		921	415

(1) Of which €60 million of items transferred to Reserves of items that cannot be reclassified.

BALANCE SHEET – ASSETS

(in millions of euros)	Notes	31/12/2021	31/12/2020
Cash, central banks	6.1	241,191	197,792
Financial assets at fair value through profit or loss	3.1-6.2-6.6-6.7	433,134	438,534
<i>Held for trading financial assets</i>		233,031	258,187
<i>Other financial instruments at fair value through profit or loss</i>		200,103	180,347
Hedging derivative Instruments	3.2-3.4	16,023	22,965
Financial assets at fair value through other comprehensive income	3.1-6.4-6.6-6.7	268,700	277,909
<i>Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss</i>		264,572	274,260
<i>Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss</i>		4,128	3,649
Financial assets at amortised cost	3.1-3.3-6.5-6.6-6.7	1,258,283	1,165,650
<i>Loans and receivables due from credit institutions</i>		96,703	89,954
<i>Loans and receivables due from customers</i>		1,051,592	965,490
<i>Debt securities</i>		109,988	110,206
Revaluation adjustment on interest rate hedged portfolios		5,231	13,524
Current and deferred tax assets	6.10	8,113	6,619
Accruals, prepayments and sundry assets	6.11	43,081	45,613
Non-current assets held for sale and discontinued operations	6.12	2,965	5,017
Deferred participation benefits	6.17	(3)	-
Investments in equity-accounted entities	6.13	8,046	7,423
Investment property	6.14	8,292	7,362
Property, plant and equipment	6.15	10,909	10,539
Intangible assets	6.15	3,483	3,431
Goodwill	6.16	16,109	15,134
TOTAL ASSETS		2,323,557	2,217,512

BALANCE SHEET – LIABILITIES

(in millions of euros)	Notes	31/12/2021	31/12/2020
Central banks	6.1	1,276	864
Financial liabilities at fair value through profit or loss	6.2	243,555	263,160
<i>Held for trading financial liabilities</i>		205,075	227,318
<i>Financial liabilities designated at fair value through profit or loss</i>		38,480	35,842
Hedging derivative Instruments	3.2-3.4	16,827	23,725
Financial liabilities at amortised cost		1,447,463	1,334,171
<i>Due to credit institutions</i>	3.3-6.8	221,192	198,942
<i>Due to customers</i>	3.1-3.3-6.8	1,044,566	963,433
<i>Debt securities</i>	3.3-6.8	181,705	171,796
Revaluation adjustment on interest rate hedged portfolios		5,841	11,541
Current and deferred tax liabilities	6.10	3,013	3,507
Accruals, prepayments and sundry liabilities	6.11	58,637	54,204
Liabilities associated with non-current assets held for sale and discontinued operations	6.12	2,566	3,552
Insurance company technical reserves	6.17	377,687	365,556
Provisions	6.18	7,104	6,862
Subordinated debt	3.3-6.19	25,873	23,896
TOTAL LIABILITIES		2,189,842	2,091,038
EQUITY		133,715	126,474
Equity – Group share		126,498	119,565
Share capital and reserves		29,927	30,217
Consolidated reserves		85,467	82,333
Other comprehensive income		2,029	2,319
Other comprehensive income on discontinued operations		(26)	7
Net income (loss) for the year		9,101	4,689
Non-controlling interests		7,217	6,909
TOTAL LIABILITIES AND EQUITY		2,323,557	2,217,512

STATEMENT OF CHANGES IN EQUITY

	Group share								
	Share and capital reserves					Other comprehensive income			
	Share capital	Share premium and consolidated reserves ⁽¹⁾	Elimination of treasury shares	Other equity instruments	Total capital and consolidated reserves	Other comprehensive income on items that may be reclassified to profit and loss	Other comprehensive income on items that will not be reclassified to profit and loss	Total other comprehensive income	Net income
<i>(in millions of euros)</i>									
EQUITY AT 1 JANUARY 2020 PUBLISHED	11,908	95,039	(224)	5,134	111,857	4,079	(964)	3,115	-
Impacts of new accounting standards	-	-	-	-	-	-	-	-	-
EQUITY AT 1 JANUARY 2020	11,908	95,039	(224)	5,134	111,857	4,079	(964)	3,115	-
Capital increase	702	56	-	-	758	-	-	-	-
Changes in treasury shares held	-	-	(15)	-	(15)	-	-	-	-
Issuance / redemption of equity instruments	-	(5)	-	754	749	-	-	-	-
Remuneration of undated deeply subordinated notes	-	(383)	-	-	(383)	-	-	-	-
Dividends paid in 2020	-	(556)	-	-	(556)	-	-	-	-
Dividends received from Regional Banks and their subsidiaries	-	350	-	-	350	-	-	-	-
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-	-	-	-
Changes due to share-based payments	-	49	-	-	49	-	-	-	-
Changes due to transactions with shareholders	702	(489)	(15)	754	952	-	-	-	-
Changes in other comprehensive income	-	(35)	-	-	(35)	(296)	(397)	(693)	-
<i>Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves</i>	-	(30)	-	-	(30)	-	30	30	-
<i>Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves</i>	-	(5)	-	-	(5)	-	5	5	-
Share of changes in equity-accounted entities	-	-	-	-	-	(100)	4	(96)	-
Net income for 2020	-	-	-	-	-	-	-	-	4,689
Other changes	-	(224)	-	-	(224)	-	-	-	-
EQUITY AT 31 DECEMBER 2020	12,610	94,291	(239)	5,888	112,550	3,683	(1,357)	2,326	4,689
Appropriation of 2020 net income	-	4,689	-	-	4,689	-	-	-	(4,689)
EQUITY AT 1 JANUARY 2021	12,610	98,980	(239)	5,888	117,239	3,683	(1,357)	2,326	-
Impacts of new accounting standards ⁽²⁾	-	183	-	-	183	-	-	-	-
EQUITY AT 1 JANUARY 2021 RESTATED	12,610	99,163	(239)	5,888	117,422	3,683	(1,357)	2,326	-
Capital increase	1,072	638	-	-	1,710	-	-	-	-
Changes in treasury shares held	-	-	(1,048)	-	(1,048)	-	-	-	-
Issuance / redemption of equity instruments	-	(1)	-	(1,000)	(1,001)	-	-	-	-
Remuneration of undated deeply subordinated notes	-	(367)	-	-	(367)	-	-	-	-
Dividends paid in 2021	-	(2,823)	-	-	(2,823)	-	-	-	-
Dividends received from Regional Banks and their subsidiaries	-	1,587	-	-	1,587	-	-	-	-
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-	-	-	-
Changes due to share-based payments	-	24	-	-	24	-	-	-	-
Changes due to transactions with shareholders	1,072	(942)	(1,048)	(1,000)	(1,918)	-	-	-	-
Changes in other comprehensive income	-	(60)	-	-	(60)	(692)	269	(423)	-
<i>Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves</i>	-	(60)	-	-	(60)	-	60	60	-
<i>Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves</i>	-	-	-	-	-	-	-	-	-
Share of changes in equity-accounted entities	-	1	-	-	1	90	10	100	-
Net income for 2021	-	-	-	-	-	-	-	-	9,101
Other changes	-	(51)	-	-	(51)	-	-	-	-
EQUITY AT 31 DECEMBER 2021	13,682	98,111	(1,287)	4,888	115,394	3,081	(1,078)	2,003	9,101

(1) Consolidated reserves before elimination of treasury shares.

(2) Estimated impact of the first-time application of the IFRS IC decision of 21 April 2021 on calculating commitments relating to certain defined-benefit schemes (see Note 1.1 "Applicable standards and comparability"). As at 1 January 2020, the impact on equity would have been €168 million.

	Non-controlling interests					
	Other comprehensive income					
(in millions of euros)	Capital, associated reserves and income	Other comprehensive income on items that may be reclassified to profit and loss	Other comprehensive income on items that will not be reclassified to profit and loss	Total other comprehensive income	Total equity	Total consolidated equity
EQUITY AT 1 JANUARY 2020 PUBLISHED	6,649	(70)	(17)	(87)	6,562	121,534
Impacts of new accounting standards	-	-	-	-	-	-
EQUITY AT 1 JANUARY 2020	6,649	(70)	(17)	(87)	6,562	121,534
Capital increase	-	-	-	-	-	758
Changes in treasury shares held	-	-	-	-	-	(15)
Issuance/redemption of equity instruments	2	-	-	-	2	751
Remuneration of undated deeply subordinated notes	(91)	-	-	-	(91)	(474)
Dividends paid in 2020	(98)	-	-	-	(98)	(654)
Dividends received from Regional Banks and their subsidiaries	-	-	-	-	-	350
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-
Changes due to share-based payments	7	-	-	-	7	56
Changes due to transactions with shareholders	(180)	-	-	-	(180)	772
Changes in other comprehensive income	(1)	(32)	(23)	(55)	(56)	(784)
<i>Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves</i>	<i>(1)</i>	<i>-</i>	<i>1</i>	<i>1</i>	<i>-</i>	<i>-</i>
<i>Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
Share of changes in equity-accounted entities	-	(34)	-	(34)	(34)	(130)
Net income for 2020	504	-	-	-	504	5,193
Other changes	113	-	-	-	113	(111)
EQUITY AT 31 DECEMBER 2020	7,085	(136)	(40)	(176)	6,909	126,474
Appropriation of 2020 net income	-	-	-	-	-	-
EQUITY AT 1 JANUARY 2021	7,085	(136)	(40)	(176)	6,909	126,474
Impacts of new accounting standards	5	-	-	-	5	188
EQUITY AT 1 JANUARY 2021 RESTATED	7,090	(136)	(40)	(176)	6,914	126,662
Capital increase	-	-	-	-	-	1,710
Changes in treasury shares held	-	-	-	-	-	(1,048)
Issuance/redemption of equity instruments	-	-	-	-	-	(1,001)
Remuneration of undated deeply subordinated notes	(93)	-	-	-	(93)	(460)
Dividends paid in 2021	(399)	-	-	-	(399)	(3,222)
Dividends received from Regional Banks and their subsidiaries	-	-	-	-	-	1,587
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-
Changes due to share-based payments	6	-	-	-	6	30
Changes due to transactions with shareholders	(486)	-	-	-	(486)	(2,404)
Changes in other comprehensive income	-	43	16	59	59	(424)
<i>Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
<i>Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
Share of changes in equity-accounted entities	-	10	-	10	10	111
Net income for 2021	852	-	-	-	852	9,953
Other changes	(132)	-	-	-	(132)	(183)
EQUITY AT 31 DECEMBER 2021	7,324	(83)	(24)	(107)	7,217	133,715

CASH FLOW STATEMENT

The cash flow statement is presented using the indirect method.

Operating activities are representative of the income-generating activities of the Crédit Agricole Group.

Tax inflows and outflows are included in full within operating activities.

Investment activities show the impact of cash inflows and outflows associated with purchases and sales of investments in consolidated and non-consolidated companies, property, plant and equipment and intangible assets. This section includes strategic equity investments classified as at “Fair value through profit or loss” or “Fair value through other comprehensive income on items that cannot be reclassified”.

Financing activities show the impact of cash inflows and outflows associated with operations of financial structure concerning equity and long-term borrowing.

The **net cash flows** attributable to the operating, investment and financing activities of **discontinued operations** are presented on separate lines in the cash flow statement.

Net cash and cash equivalents include cash, debit and credit balances with central banks and debit and credit demand balances with credit institutions.

(in millions of euros)	Notes	31/12/2021	31/12/2020
Pre-tax income		12,410	7,620
Depreciation, amortisation and impairment of property, plant & equipment and intangible assets	4.18	1,912	1,907
Impairment of goodwill and other fixed assets	6.16	(497)	968
Net addition to provisions		20,247	10,702
Share of net income (loss) of equity-accounted entities		(423)	(507)
Net income (loss) from investment activities		28	(52)
Net income (loss) from financing activities		2,481	3,044
Other movements		2,360	1,391
Total Non-cash and other adjustment items included in pre-tax income		26,108	17,453
Change in interbank items		9,232	88,338
Change in customer items		(6,512)	50,669
Change in financial assets and liabilities		(980)	(85,507)
Change in non-financial assets and liabilities		4,989	1,343
Dividends received from equity-accounted entities ⁽¹⁾		368	185
Taxes paid		(2,979)	(3,240)
Net change in assets and liabilities used in operating activities		4,118	51,788
Cash provided (used) by discontinued operations		25	(57)
TOTAL NET CASH FLOWS FROM (USED BY) OPERATING ACTIVITIES (A)		42,661	76,804
Change in equity investments ⁽²⁾		735	(2,388)
Change in property, plant & equipment and intangible assets		(1,541)	(1,439)
Cash provided (used) by discontinued operations		(100)	(3)
TOTAL NET CASH FLOWS FROM (USED BY) INVESTING ACTIVITIES (B)		(906)	(3,830)
Cash received from (paid to) shareholders ⁽³⁾		(2,538)	951
Other cash provided (used) by financing activities ⁽⁴⁾		1,723	8,103
Cash provided (used) by discontinued operations		(3)	(129)
TOTAL NET CASH FLOWS FROM (USED BY) FINANCING ACTIVITIES (C)		(818)	8,925
IMPACT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENT (D)		(171)	(1,307)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENT (A + B + C + D)		40,766	80,592
Cash and cash equivalents at beginning of period		194,942	114,350
Net cash accounts and accounts with central banks*		196,680	95,003
Net demand loans and deposits with credit institutions**		(1,738)	19,347
Cash and cash equivalents at end of period		235,708	194,942
Net cash accounts and accounts with central banks*		240,131	196,680
Net demand loans and deposits with credit institutions**		(4,423)	(1,738)
NET CHANGE IN CASH AND CASH EQUIVALENTS		40,766	80,592

* Consisting of the net balance of the "Cash, central banks" item, excluding accrued interest and including the cash of entities reclassified as discontinued operations.

** Consisting of the balance of the "Non doubtful current accounts in debit" and "Non doubtful overnight accounts and advances" items as detailed in Note 6.5 and the "Current accounts in credit" and "Overnight accounts and deposits" items as detailed in Note 6.8 (excluding accrued interest).

(1) **Dividends received from equity-accounted entities:** at 31 December 2021, this amount includes the payment of dividends received from equity-accounted insurance entities for +€170 million, from Crédit Agricole Consumer Finance subsidiaries for +€177 million and from Amundi subsidiaries for +€21 million.

(2) **Change in equity investments:** this line shows the net effects on cash of acquisitions and disposals of equity investments.

– The net impact on Group cash of acquisitions and disposals of consolidated equity investments (subsidiaries and equity-accounted entities) at 31 December 2021 is +€2,358 million. The main transactions concern the acquisition of Credito Valtellinese for -€862 million by Crédit Agricole Italia, +€3,485 million in net cash acquired with the entry into scope of Credito Valtellinese, the acquisition of Lyxor for -€825 million by Amundi, +€223 million in cash acquired with the entry into scope of Lyxor, +€692 million in net cash disposed of with the sale of Bankoia, the acquisition of Olinn by Crédit Agricole Leasing and Factoring for -€136 million, and -€68 million in net cash outflow following the deconsolidation of Crédit Agricole CIB Algérie Bank SpA.

– During the same period, the net impact on the Group cash position of acquisitions and disposals of non-consolidated equity investments came to -€1,623 million, essentially from insurance investments.

(3) **Cash received from (paid to) shareholders:** this amount mainly corresponds to -€1,408 million in dividends, excluding dividends paid in shares, distributed by the Crédit Agricole Group. It breaks down as follows:

- dividends paid by Crédit Agricole S.A. for -€355 million;
- dividends paid by the Regional Banks and subsidiaries for -€194 million;
- dividends paid by non-controlled subsidiaries for -€399 million; and
- interest, equivalent to dividends on undated financial instruments treated as equity for -€460 million.

This amount also includes the capital increases at the Local Banks and Regional Banks for +€824 million, the capital increase reserved for employees of +€205 million and the issues and repayments of equity instruments for -€1,000 million.

As part of its share buyback programme, Crédit Agricole S.A. acquired shares worth -€1,059 million.

(4) **Other net cash flows from financing activities:** as at 31 December 2021, debt issues totalled +€9,484 million and redemptions -€7,989 million. Subordinated debt issues totalled +€4,444 million and redemptions -€1,486 million.

This line also includes cash flows from interest payments on subordinated debt and bonds for -€2,537 million.

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NOTE 1 GROUP ACCOUNTING POLICIES AND PRINCIPLES, ASSESSMENTS AND ESTIMATES APPLIED

1.1 Applicable standards and comparability

Pursuant to EC Regulation No. 1606/2002, the consolidated financial statements have been prepared in accordance with IAS/IFRS standards and IFRIC interpretations applicable at 31 December 2021 and as adopted by the European Union (carve-out version), thus using certain exceptions in the application of IAS 39 on macro-hedge accounting.

These standards and interpretations are available on the European Commission website at: https://ec.europa.eu/info/business-economy-euro/company-reporting-and-auditing/company-reporting/financial-reporting_en

The standards and interpretations are the same as those applied and described in the Group's financial statements for the financial year ended 31 December 2020.

They have been supplemented by the IFRS standards as adopted by the European Union at 31 December 2021 and for which application is mandatory for the first time during financial year 2021.

These cover the following:

Standards, Amendments or Interpretations	Date of first-time application: financial years from	Applicable in the Group
Amendment to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 Interest Rate Benchmark Reform – Phase 2	1 January 2021 ⁽¹⁾	Yes
Amendment to IFRS 4 Optional deferral of the application of IFRS 9 for entities engaged primarily in insurance activities, including entities in the insurance industry owned by a financial conglomerate as at 1 January 2023	1 January 2021	No
Amendment to IFRS 16 Second amendment on rent concessions related to Covid-19	1 April 2021 ⁽²⁾	Yes

(1) The Group decided to early apply the amendment to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 on the Interest Rate Benchmark Reform – Phase 2 from 1 January 2020.

(2) Applied retrospectively as at 1 January 2021.

Benchmark index reforms

In early 2019 the Crédit Agricole Group introduced a programme to prepare for and manage the benchmark transition for all its activities, with specific plans for each entity concerned. The programme was in line with the timetable and standards defined by the market – including some in which Crédit Agricole was actively involved – and the European regulatory framework (BMR).

Ahead of the discontinuation of the benchmarks, and as recommended by national working groups and the authorities, the Group has whenever possible made the switch to alternative indexes ahead of time, while aiming to comply with the deadlines set by the market or imposed by the authorities, along with the incentive milestones, to the extent possible. Substantial capital expenditure and a major effort on the part of the operating teams and business lines have been required to adapt tools and resources and cope with the workload resulting from the transitions, including the work of amending contracts. Note that the development of new software was largely dictated by the timetable for determining alternative indexes to Libor and the emergence of market standards.

The array of measures implemented since 2019 have meant that these transitions have been orderly and controlled. In the second half of 2021, entities focused their efforts in particular on finalising the development of new software and stepping up customer information and interactions so that customers had a deeper understanding of the transition process. Efforts to prevent conduct risk continued.

The work carried out also meant that Group entities could manage new RFR product offerings at the same time as maintaining the customer experience and customer satisfaction.

Summary of transitions at 31 December 2021

For most of the entities and activities concerned, proactive transition plans were activated as early as possible in 2021 and stepped up in the second half of the year: cash lending/borrowing between Group entities, Crédit Agricole S.A. bond issues, customer deposit accounts, and cleared interest rate derivatives, which were transitioned in bulk via the clearing houses' conversion cycles in October (Eonia) and December (Libor excluding USD).

The activation starting on 1 January 2022 of fallback clauses – considered a “safety net” – affected just a small percentage of the contracts impacted by the benchmark changes. However, for non-cleared derivatives covered by the ISDA fallback protocol, the market has broadly favoured activating fallbacks.

At the Crédit Agricole Group level, there were very few contracts benchmarked to Eonia or the CHF, EUR, GBP or JPY Libor that could not be renegotiated before 31 December 2021 or switched to an alternative index by activating the fallback clause. This residual group of contracts concerns either negotiations not finalised at 31 December but expected to be completed by early 2022, or contracts that already benefit or will benefit from prevailing legislative provisions.

Risk management

In addition to preparing for and implementing the replacement of the benchmarks that are being discontinued or will no longer be representative at 31 December 2021, and to comply with BMR regulations, the project's work also focused on managing and controlling the risks inherent in benchmark transitions, particularly the financial, operational, legal, compliance and customer protection aspects (conduct risk prevention).

For example, there could be financial risks for the sector if the market were to fragment as a result of the use of different types of rate (calculation of a pre-determined rate at the beginning of an interest period, known as a forward-looking rate, or calculation of a rate based on historical data, known as a backward-looking rate) and different agreements based on asset classes/currencies. However, the expectation is that these risks, which have been clearly identified within the Group, will probably diminish as market standards emerge and the private sector – supported by the banks – proves its ability to manage this fragmentation.

USD Libor

The work of the transition programme will continue in 2022, notably to prepare for the cessation of publication of USD Libor or its non-representativeness in June 2023. The situation mainly affects the Cr dit Agricole CIB investment bank, since it is the Group entity most exposed to this index. For the transition from USD Libor, the implementation of a statute will be confirmed by the UK authorities at a later date, the US authorities having already validated the designation of statutory replacement rates for contracts governed by New York law.

In order to ensure that the hedge accounting relationships affected by this benchmark reform can be maintained despite the uncertainties over the timetable and terms of transition between the current interest rate indexes and the new indexes, the IASB published amendments to IAS 39, IFRS 9

and IFRS 7 in September 2019, which were adopted by the European Union on 15 January 2020. The Group applies these amendments as long as uncertainties about the benchmarks concern the timings and amounts of interest rate benchmark-based cash flows and considers, in this respect, that all its hedging contracts related to the indexes in question are eligible for hedge accounting at 31 December 2021.

As at 31 December 2021, the inventory of hedging derivatives impacted by the reform and on which uncertainties remain shows a nominal amount of €92 billion.

Other amendments, published by the IASB in August 2020, supplement those published in 2019 and focus on the accounting consequences of replacing the former reference interest rates with other reference rates following the reforms.

These amendments, known as “Phase 2”, mainly are changes in contractual cash flows. They allow entities not to derecognise or adjust the carrying amount of financial instruments to reflect the changes required by the reform, but rather to update the effective interest rate to reflect the change in the alternative reference rate.

With regard to hedge accounting, entities will not have to de-designate their hedging relationships when making the changes required by the reform, subject to economic equivalence.

At 31 December 2021, the breakdown by significant benchmark index of instruments, based on the old benchmark rates and which must move to the new rates before maturity, is as follows:

(in millions of euros)	EONIA	LIBOR USD	LIBOR GBP	LIBOR JPY	LIBOR CHF	LIBOR EUR
Total non-derivative assets	-	34,350	1,596	150	214	-
Total non-derivative liabilities	-	1,221	2	-	-	-
Total notional amount of derivatives	-	2,345,066	1,276	116	-	-

In the absence of announcements regarding the future replacement of the Euribor, Wibor and Stibor indexes, these have been excluded from the quantitative data provided.

The outstanding amounts using the USD Libor that are being carried forward are those with a maturity date after 30 June 2023, which is the date on which the overnight, one-month, three-month, six-month and 12-month tenors will be discontinued or will no longer be representative.

For the other indexes, contracts switched to the alternative rate by activating the fallback clause have been excluded from the list. Consequently, outstanding amounts under the Eonia and CHF Libor are contracts for which the contractual renegotiation was not fully finalised at 31 December 2021 and for which there are no plans to use the legislative provisions in force. The outstanding amounts using the GBP or JPY Libor correspond to the residual group of contracts that have not yet been renegotiated with customers and that should be covered by the mechanism being set up by the European Commission⁽¹⁾.

For non-derivative financial instruments, the exposures correspond to the nominal value of the securities and the outstanding capital of depreciable instruments.

Accounting implications of the April 2021 IFRS IC decision on attributing post-employment benefits to periods of service for defined-benefit schemes

In December 2020, the IFRS IC received a submission about the methodology for calculating actuarial liabilities under defined-benefit schemes and the period over which benefits are attributed where the number of years of service giving rise to the benefit attribution was capped. Of the approaches analysed, the IFRS IC adopted the one that consisted in attributing a retirement benefit over the capped period preceding retirement age.

The plans affected by the IFRS IC IAS 19 decision are those for which:

- attribution of a retirement benefit is conditional on employment within the entity upon reaching the retirement age (with loss of all rights in the event of early retirement);
- retirement benefits depend on length of service but are capped after a certain number of years of service, the cap occurring, at least for some employees, well before retirement.

(1) Estimated date: end of first quarter 2022.

This decision represents a change of method in the approach adopted by the Group.

The impact of this decision, which was recognised at 1 January 2021 without comparatives, amounted to €251 million in terms of actuarial liabilities (see Note 7 “Employee benefits and other compensation”).

The impacts on the financial statements amounted to -€133 million in terms of a provision for employee retirement schemes (see Note 6.18 “Provisions”) and €149 million of surplus assets (recognised in

Note 6.11 “Accruals, prepayments and sundry assets and liabilities”) with an offset to equity of €188 million, after taking account of tax effects – see Statement of changes in equity.

As at 1 January 2020, the impact on actuarial liabilities would have been €214 million and the impact on equity, €168 million.

Moreover, as long as the early application of standards and interpretations adopted by the European Union is optional for a period, this option is not selected by the Group, unless otherwise stated.

This is the case in particular for:

Standards, amendments or interpretations	Date of first-time application: financial years from	Applicable in the Group
Improvements to IFRS 2018-2020 cycle		
• IFRS 1 First-time adoption of international financial reporting standards;		
• IFRS 9 Financial instruments; and		
• IAS 41 Agriculture.	1 January 2022	Yes
Amendment to IFRS 3		
References to the conceptual framework	1 January 2022	Yes
Amendment to IAS 16		
Proceeds of sale before intended use	1 January 2022	Yes
Amendment to IAS 37		
Costs to be included when assessing whether a contract will be loss-making	1 January 2022	Yes
IFRS 17		
Insurance contracts	1 January 2023	Yes

IFRS 17 “Insurance contracts”

IFRS 17 “Insurance Contracts”, issued in May 2017, will replace IFRS 4. It will apply to financial years beginning on or after 1 January 2023.

IFRS 17 sets out the new measurement and recognition principles for insurance contract liabilities and evaluation of their profitability, in addition to their presentation. Between 2017 and 2020, a framework on the implementation project in order to identify the challenges and impacts of the standard on the Group’s insurance subsidiaries began. Analysis and preparation work for implementation continued in 2021.

The version applicable in the Group, i.e. IFRS 17 as adopted by the European Union, allows EU insurance companies to exempt intergenerationally mutualised and cash-flow matched contracts from the annual cohort requirement imposed by the standard as adopted by the IASB.

Standards and interpretations not yet adopted by the European Union as at 31 December 2021

The standards and interpretations published by the IASB at 31 December 2021 but not yet adopted by the European Union are not applied by the Group. They will become mandatory only as from the date planned by the European Union and have not been applied by the Group at 31 December 2021.

1.2 Accounting policies and principles

Use of assessments and estimates to prepare the financial statements

Estimates made to draw up the financial statements are by nature based on certain assumptions and involve risks and uncertainties as to whether they will be achieved in the future.

Future results may be influenced by many factors, including:

- activity in domestic and international financial markets;
- fluctuations in interest and foreign exchange rates;
- the economic and political climate in certain industries or countries;
- changes in regulations or legislation.

This list is not exhaustive.

Accounting estimates based on assumptions are principally used in the following assessments:

- financial instruments measured at fair value;
- investments in non-consolidated companies;
- pension schemes and other post-employment benefits;
- stock option plans;
- impairment of debt instruments at amortised cost or at fair value through other comprehensive income that can be reclassified to profit or loss;
- provisions;
- impairment of goodwill;
- deferred tax assets;
- valuation of equity-accounted entities;
- policyholders’ deferred profit sharing.

The procedures for the use of assessments or estimates are described in the relevant sections below.

Financial instruments (IFRS 9, IAS 32 and IAS 39)

Definitions

IAS 32 defines a financial instrument as any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity, meaning any contract representing contractual rights or obligations to receive or pay cash or other financial assets.

Derivative instruments are financial assets or liabilities whose value changes according to that of an underlying asset, which requires a low or nil initial investment, and for which settlement occurs at a future date.

Financial assets and liabilities are treated in the financial statements in accordance with IFRS 9 as adopted by the European Union, including for financial assets held by the Group's insurance entities.

IFRS 9 sets the principles governing the classification and measurement of financial instruments, impairment/provisioning of credit risk and hedge accounting, excluding macro-hedging transactions.

It should nevertheless be noted that Crédit Agricole S.A. has opted not to apply the IFRS 9 general hedging model. All hedging relationships consequently remain within the scope of IAS 39 pending future provisions relating to macro-hedging.

So-called "green financial assets" and "green bonds" (on the liabilities side) comprise a variety of instruments and mainly relate to loans used to finance environmental projects. It should be noted that not all financial instruments with this qualification necessarily have a remuneration that varies according to ESG criteria. The terms are liable to change as a result of future European regulations. These instruments are recognised in accordance with IFRS 9 using the principles set out below.

Conventions for valuing financial assets and liabilities

Initial measurement

During their initial recognition, financial assets and liabilities are measured at fair value as defined by IFRS 13.

Fair value as defined by IFRS 13 corresponds to the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants, on the principal or the most advantageous market, at the valuation date.

Subsequent measurement

After initial recognition, financial assets and liabilities are measured according to their classification either at amortised cost using the effective interest rate method (EIR) for debt instruments or at fair value as defined by IFRS 13. Derivative instruments are always measured at fair value.

Amortised cost corresponds to the amount at which the financial asset or liability is measured during its initial recognition, including transaction costs directly attributable to its acquisition or issue, reduced by repayments of principal, increased or reduced by the cumulative amortisation calculated by the effective interest rate method (EIR) on any difference (discount or premium) between the initial amount and the amount at maturity. In the case of a financial asset at amortised cost or at fair value through comprehensive income that can be reclassified to profit or loss, the amount may be adjusted if necessary in order to correct for impairment (see the section on "Provisions for credit risk").

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to obtain the net carrying amount of the financial asset or financial liability.

Financial assets

Classification and measurement of financial assets

Non-derivative financial assets (debt or equity instruments) are classified on the balance sheet in accounting categories that determine their accounting treatment and their subsequent valuation mode.

The criteria for the classification and valuation of financial assets depends on the nature of the financial assets, according to whether they are qualified as:

- debt instruments (e.g. loans and fixed or determinable income securities); or
- equity instruments (e.g. shares).

These financial assets are classified in one of the following three categories:

- financial assets at fair value through profit or loss;
- financial assets at amortised cost (debt instruments only);
- financial assets at fair value through equity (can be reclassified to profit or loss for debt instruments; cannot be reclassified to profit or loss for equity instruments).

Debt instruments

The classification and valuation of a debt instrument depend on the combination of two criteria: the business model defined at portfolio level and the analysis of the contractual terms determined by debt instrument, unless the fair value option is used.

The three business models

The business model represents the strategy followed by the management of Crédit Agricole S.A. for managing its financial assets in order to achieve its objectives. The business model is specified for a portfolio of assets and does not constitute a case-by-case intention for an isolated financial asset.

We distinguish three business models:

- the hold to collect model where the aim is to collect contractual cash flows over the lifetime of the assets; this model does not always imply holding all of the assets until their contractual maturity; however, sales of assets are strictly governed;
- the hold to collect and sell model where the aim is to collect the contractual cash flows over the lifetime of the assets and to sell the assets; under this model, both the sale of the financial assets and receipt of cash flows are essential; and
- the other/sell model, where the main aim is to sell the assets.

In particular, it concerns portfolios where the aim is to collect cash flows via sales, portfolios whose performance is assessed based on fair value and portfolios of financial assets held for trading.

When the management strategy for managing financial assets does not correspond to either the collect model or the collect and sell model, these financial assets are classified in a portfolio whose management model is other/sell.

The contractual terms ("Solely Payments of Principal & Interest" or "SPPI" test)

"SPPI" testing combines a set of criteria, examined cumulatively, to establish whether contractual cash flows meet the characteristics of simple financing (principal repayments and interest payments on the remaining amount of principal due).

The test is satisfied when the financing gives entitlement only to the repayment of the principal and when the payment of interest received reflects the time value of money, the credit risk associated with the instrument, the other costs and risks of a conventional loan contract and a reasonable margin, whether the interest rate is fixed or variable.

In simple financing, interest represents the cost of the passage of time, the price of credit and liquidity risk over the period, and other components related to the cost of carrying the asset (e.g. administrative costs etc.).

In some cases, when qualitative analysis of this nature does not allow a conclusion to be made, quantitative analysis (or benchmark testing) is carried out. This additional analysis consists of comparing the contractual cash flows of the asset under review with the cash flows of a benchmark asset.

If the difference between the cash flows of the financial asset and the benchmark asset is considered immaterial, the asset is deemed to be simple financing.

Moreover, specific analysis is conducted when the financial asset is issued by special purpose entities establishing a differentiated order of payment among the holders of the financial assets by contractually linking multiple instruments and creating concentrations of credit risk ("tranches").

The mode of recognition of debt instruments resulting from qualification of the business model combined with the "SPPI" test may be presented in the following diagram:

Debt instruments		Business models		
		Hold to collect	Hold to collect and sell	Other/Sell
SPPI Test	Pass	Amortised cost	Fair value through comprehensive income that may be reclassified to profit or loss	Fair value through profit or loss (SPPI Test N/A)
	Fail	Fair value through profit or loss	Fair value through profit or loss	

Debt instruments at amortised cost

Debt instruments are measured at amortised cost if they are eligible for the hold to collect model and if they pass the "SPPI" test.

They are recorded at the settlement/delivery date and their initial valuation also includes accrued interest and transaction costs.

Amortisation of any premiums or discounts and loans and receivables transaction costs on fixed-income securities is recognised in the income statement using the effective interest rate method.

This category of financial instruments is impaired under the conditions described in the specific paragraph "Impairment/provisioning for credit risks".

Debt instruments at fair value through other comprehensive income (items that can be reclassified)

Debt instruments are measured at fair value through other comprehensive income on items that can be reclassified if they are eligible for the collect and sell model and if they pass the SPPI test.

They are recorded at the trade date and their initial valuation also includes accrued interest and transaction costs.

Amortisation of any premiums or discounts and transaction costs on fixed-income securities is recognised in the income statement using the effective interest rate method.

These financial assets are subsequently measured at fair value, with changes in fair value recorded in other comprehensive income on items that can be reclassified and offset against the outstandings account (excluding accrued interest recognised in profit or loss according to the effective interest rate method).

If the securities are sold, these changes are transferred to the income statement.

This category of financial instruments is adjusted for expected credit losses (ECL) under the conditions described in the specific paragraph "Impairment/provisions for credit risks" (without this affecting the fair value on the balance sheet).

Each tranche is assigned a rank of subordination that specifies the order of distribution of cash flows generated by the structured entity.

In this case, the "SPPI" test requires an analysis of the characteristics of contractual cash flows of the asset concerned and underlying assets according to the "look-through" approach and the credit risk borne by the tranches subscribed compared to the credit risk of the underlying assets.

Debt instruments at fair value through profit or loss

Debt instruments are measured at fair value through profit or loss in the following cases:

- the instruments are classified in portfolios composed of financial assets held for trading or for which the main objective is disposal.
- Financial assets held for trading are assets acquired or generated by the enterprise primarily with the aim of disposal in the short term or which are included in a portfolio of financial instruments managed as a unit and with the purpose of making a profit from short-term price fluctuations or an arbitrage margin. Although contractual cash flows are received during the period that Crédit Agricole S.A. holds the assets, receiving these contractual cash flows is not essential but ancillary;
- debt instruments that do not fulfil the criteria of the "SPPI" test. This is notably the case for UCIs (Undertakings for Collective Investment);
- financial instruments classified in portfolios which Crédit Agricole S.A. designates at fair value in order to reduce an accounting treatment difference on the income statement. In this case, the instrument is classified as designated at fair value through profit or loss.

Financial assets measured at fair value through profit or loss are initially recognised at fair value, excluding transaction costs (directly recorded to profit or loss) and including accrued interest.

They are subsequently measured at fair value and changes in fair value are recognised in profit or loss, under Revenues, offset against the outstandings account. Interest on these instruments is recorded under "Net gains (losses) on financial instruments at fair value through profit and loss".

This category of financial assets is not impaired for credit risk.

Debt instruments measured by definition at fair value through profit or loss whose business model is "Other/sell" are recorded at the trade date.

Debt instruments designated at fair value through profit or loss are recorded on the trade date.

Debt instruments measured by definition at fair value through profit or loss, failing the SPPI test, are recorded at the settlement date.

Equity instruments

Equity instruments are by default recognised at fair value through profit or loss, except in the case of the irrevocable option for classification and measurement at fair value through other comprehensive income on items that cannot be reclassified, providing that these instruments are not held for trading purposes.

Equity instruments at fair value through profit or loss

Financial assets measured at fair value through profit or loss are initially recognised at fair value, excluding transaction costs (directly recorded to profit or loss). Equity instruments held for trading purposes are recorded at the trade date. Equity instruments measured at fair value through profit or loss and not held for trading are recorded at the settlement date.

They are subsequently measured at fair value and changes in fair value are recognised in profit or loss, under Revenues, offset against the outstandings account.

This category of financial assets is not impaired.

Equity instruments at fair value through other comprehensive income on items that cannot be reclassified (irrevocable option)

The irrevocable option to recognise equity instruments at fair value through other comprehensive income on items that cannot be reclassified is adopted at the transactional level (line by line) and applies on the date of initial recognition. These securities are recorded at the trade date.

The initial fair value includes transaction costs.

During subsequent valuations, changes in fair value are recognised in other comprehensive income on items that cannot be reclassified. In case of disposal, these changes are not reclassified to profit or loss. The gain or loss on disposal is recognised in other comprehensive income.

Only dividends are recognised in profit or loss, if:

- the right of the entity to receive payment is established;
- it is probable that the economic benefits associated with the dividends will flow to the entity;
- the amount of dividends can be reliably estimated.

This category of financial assets is not impaired.

Reclassification of financial assets

In the case of a significant change in the business model used for managing financial assets (new activity, acquisition of entities, disposal or discontinuation of a significant activity), a reclassification of these financial assets is necessary. The reclassification applies to all financial assets in the portfolio from the date of reclassification.

In other cases, the business model remains unchanged for existing financial assets. If a new business model is identified, it applies prospectively to new financial assets grouped in a new management portfolio.

Temporary investments in/disposals of securities

Temporary disposals of securities (loans of securities, securities delivered under repurchase agreements) do not generally fulfil the conditions for derecognition.

Securities lent or sold under repurchase agreements remain on the balance sheet. In the case of securities under repurchase agreements, the amounts received, representing the liability to the transferee, are recognised on the liabilities side of the balance sheet by the transferor.

Securities borrowed or received under repurchase agreements are not recognised on the balance sheet of the transferee.

In the case of securities under repurchase agreements, a debt to the transferor is recorded on the balance sheet of the transferee and offset against the amount paid. If the security is subsequently resold, the transferee records a liability equivalent to the fair value of fulfilling their obligation to return the security received under the agreement.

Income and expenses relating to such transactions are posted to profit and loss on a prorated basis, except in the case of classification of assets and liabilities at fair value through profit or loss.

Derecognition of financial assets

A financial asset (or group of financial assets) is fully or partially derecognised if:

- the contractual rights to the cash flows from the financial asset expire;
- or are transferred or are deemed to have expired or been transferred because they belong de facto to one or more beneficiaries; and substantially all the risks and rewards of the financial asset are transferred.

In this case, any rights or obligations created or retained at the time of transfer are recognised separately as assets and liabilities.

If the contractual rights to the cash flows are transferred but some of the risks and rewards of ownership as well as control are retained, Crédit Agricole S.A. continues to recognise the financial asset to the extent of the Group's continuing involvement in that asset.

Financial assets renegotiated for commercial reasons without financial difficulties of the counterpart with the aim of developing or keeping a commercial relation are derecognised at the date of the renegotiation. The new loans granted to customers are recorded at their fair value on the date of renegotiation. Subsequent recognition depends on the business model and the SPPI test.

Interest paid by the government (IAS 20)

Under French government measures to support the agricultural and rural sector and to help home buyers, certain Crédit Agricole Group entities grant subsidised loans at rates fixed by the government. Consequently, the government pays these entities the difference between the subsidised lending rate and a predetermined benchmark rate. Thus, the loans that benefit from these subsidies are granted at market rates.

The subsidy system is periodically reviewed by the government.

In accordance with IAS 20, subsidies received from the government are recorded in profit or loss under Interest and similar income and spread over the life of the corresponding loans.

Overlay approach applicable to insurance activities

Crédit Agricole S.A. uses the overlay approach for financial assets held for the purposes of an activity related to insurance contracts, which are designated in accordance with the option offered by the amendments to IFRS 4 (Applying IFRS 9 "Financial Instruments" with IFRS 4 "Insurance Contracts"), published by the IASB in September 2016.

This approach aims to remedy the temporary accounting consequences of the discrepancy between the effective date of IFRS 9 and that of the new standard on insurance contracts replacing IFRS 4 (IFRS 17). This has the effect of eliminating from the income statement part of the additional accounting mismatch and the temporary volatility which could be caused by application of IFRS 9 before the entry into force of IFRS 17.

Eligible financial assets are designated instrument by instrument, and this may be done:

- at 1 January 2018, during the initial application of IFRS 9; or
- subsequently, but only at the time of the initial recognition of the assets in question.

In application of the overlay approach, Crédit Agricole S.A. reclassifies, for designated financial assets only, their impact in the income statement under other comprehensive income such that the amount presented in the income statement corresponds to that which would have been presented in the income statement if IAS 39 had been applied.

Consequently, the amount reclassified is equal to the difference between:

- the amount presented in net income under IFRS 9 for designated financial assets; and
- the amount that would have been presented in net income for designated financial assets if the insurer had applied IAS 39.

In the income statement, the effects of this reclassification are recognised under “revenues”, before tax effects, on the line “Reclassification of net gains or losses on financial assets related to the overlay approach”. The tax effects related to this reclassification are presented on the line “Income tax charge”.

In the statement of other comprehensive income, the effects of this reclassification are recognised as net gains and losses recognised directly in other comprehensive income on items that may be reclassified to profit or loss on the line “Reclassification of net gains or losses on financial assets related to the overlay approach”.

The financial assets that may be designated must fulfil the following characteristics:

- they are held by insurers within the Group for purposes of insurance activities;
- they are measured at fair value through profit or loss under IFRS 9 but would not have been measured in this way under IAS 39; they are financial assets which, under IAS 39, would have been recognised at amortised cost (assets held to maturity, loans and receivables) or at fair value through other comprehensive income (available-for-sale financial assets).

Evaluation of the impact of the designated financial assets on the income statement

Pursuant to the overlay approach, Crédit Agricole S.A. continues to apply the accounting policies and principles that the Group applied under IAS 39 for the recognition of profit or loss from designated financial assets:

Financial assets at amortised cost under IAS 39 (held-to-maturity financial assets/loans and receivables)

Financial assets at amortised cost are initially recognised at their initial fair value, including directly-attributable transaction costs and accrued interest.

They are subsequently measured at amortised cost with amortisation of any premium or discount and transaction costs using the corrected effective interest rate method.

Available-for-sale financial assets under IAS 39

“Available-for-sale financial assets” are initially recognised at initial fair value, including transaction costs that are directly attributable to the acquisition, and accrued interest.

“Available-for-sale financial assets” are later measured at fair value and subsequent changes in fair value are recorded in other comprehensive income.

If the securities are sold, these changes to items that may be reclassified to profit or loss are transferred to the income statement.

Amortisation of any premiums or discounts and transaction costs on fixed-income securities is recognised in the income statement using the effective interest rate method.

Impairment of designated financial assets under IAS 39

Impairment must be recognised when there is objective evidence of impairment resulting from one or more events occurring after the initial recognition of the financial asset.

Objective evidence of impairment corresponds to a prolonged or significant decline in the value of the security for equity securities or the appearance of significant deterioration in credit risk evidenced by a risk of non-recovery for debt securities.

For equity securities, Crédit Agricole S.A. uses quantitative criteria as indicators of potential impairment. These quantitative criteria are mainly based on a loss of 30% or more of the value of the equity instrument over a period of six consecutive months. Crédit Agricole S.A. may also take account of other factors such as financial difficulties of the issuer or short-term prospects.

Notwithstanding the above-mentioned criteria, Crédit Agricole S.A. recognises an impairment loss when there is a decline in the value of the equity instrument higher than 50% or prolonged over three years.

Financial liabilities

Classification and measurement of financial liabilities

Financial liabilities are classified on the balance sheet in the following two accounting categories:

- financial liabilities at fair value through profit or loss, either due to their nature or optionally;
- financial liabilities at amortised cost.

Financial liabilities at fair value through profit or loss due to their nature

Financial instruments issued primarily to be bought back in the short term, instruments forming part of an identified portfolio of financial instruments which are managed together and which have indications of a recent profile of short-term profit-taking, and derivatives (with the exception of certain hedging derivatives) are measured at fair value due to their nature.

Changes in the fair value of this portfolio are recognised through profit or loss.

Financial liabilities designated at fair value through profit or loss

Financial liabilities fulfilling one of the three conditions defined by the standard below may be designated for measurement at fair value through profit or loss: for hybrid issues comprising one or more separable embedded derivatives, in order to reduce or eliminate the distortion of accounting treatment or groups of managed financial liabilities for which performance is measured at fair value.

This option is irrevocable and applies mandatorily from the date of initial recognition of the instrument.

During subsequent measurement, these financial liabilities are measured at fair value through profit or loss for changes in fair value not related to own credit risk and through other comprehensive income on items that cannot be reclassified for changes in value related to own credit risk, unless this aggravates an accounting mismatch (in which case any changes in value related to the Company's own credit risk are recorded in the income statement, as required by the standard).

Financial liabilities measured at amortised cost

All other liabilities fulfilling the definition of a financial liability (excluding derivatives) are measured at amortised cost.

These liabilities are initially measured at fair value (including transaction income and costs) and subsequently at amortised cost using the effective interest rate method.

Deposits and savings accounts

Deposits and savings accounts are recorded under the category “Financial liabilities at amortised cost – Due to customers” in spite of the characteristics of the collection system within the Crédit Agricole Group, with deposits originating from the Regional Banks centralised at Crédit Agricole S.A. For the Group, the ultimate counterparty for these deposits is the end customer.

The deposits and savings are initially measured at fair value and subsequently at amortised cost.

Regulated savings products are by nature deemed to be at market rates. Provisions are accounted where necessary against home purchase savings plans and accounts as set out in Note 6.18 "Provisions".

Reclassification of financial liabilities

The initial classification of financial liabilities is irrevocable. No subsequent reclassification is authorised.

Distinction between debt instruments and equity

Securities are classed as debt instruments or equity instruments based on the economic substance of the contractual terms.

A financial liability is a debt instrument if it includes a contractual obligation:

- to provide another entity with cash, another financial asset or a variable number of equity instruments; or
- to exchange financial assets and liabilities with another entity at potentially unfavourable conditions.

An equity instrument is a non-redeemable financial instrument which offers discretionary return representing a residual interest in a company after deduction of all its financial liabilities (net assets) and which is not qualified as a debt instrument.

Treasury share buyback

Treasury shares or equivalent derivative instruments such as options on treasury shares bought by Crédit Agricole S.A. with a fixed strike ratio, including shares held to cover stock option plans, do not meet the definition of a financial asset and are deducted from equity. They do not generate any impact on the income statement.

Derecognition and modification of financial liabilities

A financial liability is derecognised in full or in part:

- when it is extinguished; or
- when quantitative or qualitative analyses suggest it has undergone a substantial change following restructuring.

A substantial modification of an existing financial liability must be recorded as an extinction of an initial financial liability and the recognition of a new financial liability (novation). Any differential between the carrying amount of the extinct liability and the new liability will be recognised immediately in the income statement.

If the financial liability is not derecognised, the original effective interest rate is maintained. A discount/premium is recognised immediately in the income statement at the date of modification and is then spread, using the original effective interest rate, over the remaining life of the instrument.

Negative interest on financial assets and financial liabilities

In accordance with the IFRS IC decision of January 2015, negative interest income (expense) on financial assets that does not meet the definition of income under IFRS 15 is recognised as interest expense in the income statement and not as a reduction of interest income. The same applies to negative interest expense (income) on financial liabilities.

Impairment/provisions for credit risks

Scope of application

In accordance with IFRS 9, Crédit Agricole S.A. recognises a correction for changes in value for expected credit losses (ECL) on the following outstandings:

- financial assets of debt instruments at amortised cost or fair value through other comprehensive income (items that can be reclassified) (loans and receivables, debt securities);
- financing commitments which are not measured at fair value through profit or loss;
- guarantee commitments coming under IFRS 9 and which are not measured at fair value through profit or loss;
- rental receivables coming under IFRS 16; and
- trade receivables generated by transactions under IFRS 15.

Equity instruments (at fair value through profit or loss or through Other Comprehensive Income on items that cannot be reclassified) are not concerned by impairment provisions.

Derivative and other financial instruments measured at fair value through profit or loss are subject to the calculation of counterparty risk which is not covered by the ECL model. This calculation is described in Chapter 5 "Risks and Pillar 3" of Crédit Agricole S.A.'s Universal Registration Document.

Credit risk and impairment/provisioning stages

Credit risk is defined as risk of loss related to default by a counterparty leading to its inability to meet its commitments to the Group.

The process of provisioning credit risk has three stages:

- **Stage 1:** upon initial recognition of the financial instrument (credit, debt security, guarantee etc.), Crédit Agricole S.A. recognises the 12-month expected credit losses;
- **Stage 2:** if the credit quality deteriorates significantly for a given transaction or portfolio, Crédit Agricole S.A. recognises the expected losses over its lifetime;
- **Stage 3:** when one or more default events have occurred on the transaction or on a counterparty with an adverse effect on the estimated future cash flows, Crédit Agricole S.A. recognises incurred losses over its lifetime. Subsequently, if the conditions for classifying financial instruments in Stage 3 are not met, the financial instruments are reclassified in Stage 2, then in Stage 1 according to the subsequent improvement in the quality of the credit risk.

Starting from the 31 December 2021 financial statements, the term "Bucket", which had been used since the transition to IFRS 9, will be replaced by the term "Stage" in all financial statements.

NB: this is a change in terminology only and has no impact on the accounting for credit loss (ECL) adjustments.

Definition of default

The definition of default for the requirements of ECL provisioning is identical to that used in management and for the calculation of regulatory ratios. A debtor is, therefore, considered to be in default when at least one of the following conditions has been met:

- a significant arrear in payment, generally more than ninety days past due, unless specific circumstances point to the fact that the delay is due to reasons independent of the debtor's financial situation;
- Crédit Agricole S.A. believes that the debtor is unlikely to settle its credit obligations unless it avails itself of certain measures such as enforcement of collateral security right.

A loan in default (Stage 3) is said to be impaired when one or more events occur which have a negative effect on the estimated future cash flows from this financial asset. Indications of impairment of a financial asset cover observable data on the following events:

- significant financial difficulties of the issuer or borrower;
- a breach of contract, such as default or overdue payment;
- the granting, by the lender(s) to the borrower, for economic or contractual reasons related to financial difficulties of the borrower, of one or more favours that the lender(s) would not have considered under other circumstances;
- the increasing probability of bankruptcy or financial restructuring of the borrower;
- the disappearance of an active market for the financial asset due to financial difficulties;
- the purchase or creation of a financial asset with a significant discount, which reflects the credit losses suffered.

It is not necessarily possible to isolate a particular event. The impairment of the financial asset could result from the combined effect of several events. The defaulting counterparty returns to a sound situation only after a period of observation that makes it possible to confirm that the debtor is no longer in default (assessment by the Risk Management Department).

Definition of expected credit loss ("ECL")

ECL is defined as the weighted expected probable value of the discounted credit loss (principal and interest). It represents the present value of the difference between the contractual cash flows and the expected cash flows (including principal and interest).

The ECL approach is designed to anticipate as early as possible the recognition of expected credit losses.

ECL governance and measurement

The governance of the system for measuring IFRS 9 parameters is based on the structure implemented as part of the Basel framework. The Group's Risk Management Department is responsible for defining the methodological framework and supervising the loan loss provisioning system.

The Group primarily relies on the internal rating system and current Basel processes to generate the IFRS 9 parameters required to calculate ECL. The assessment of the change in credit risk is based on an expected loss model and extrapolation based on reasonable scenarios. All information that is available, relevant, reasonable and justifiable, including of a forward-looking nature, must be retained.

The formula includes the probability of default, loss given default and exposure at default parameters.

These calculations are broadly based on the internal models used as part of the regulatory framework, but with adjustments to determine an economic ECL. IFRS 9 recommends a Point in Time analysis while having regard to historical loss data and forward-looking macroeconomic data, whereas the prudential regulation analyses the perspectives Through The Cycle for probability of default and in a Downturn for Loss Given Default.

The accounting approach also requires the recalculation of certain Basel parameters, in particular to eliminate internal recovery costs or floors that are imposed by the regulator in the regulatory calculation of Loss Given Default ("LGD").

ECLs are calculated according to the type of product concerned: financial instruments or off-balance sheet instruments.

The expected credit losses for the coming 12 months make up a percentage of the lifetime expected credit losses, and represent the lifetime cash flow shortfalls in the event of a default during the 12 months following the reporting period (or a shorter period if the expected lifetime of the financial instrument is less than 12 months), weighted by the probability of default within 12 months.

Expected credit losses are discounted at the effective interest rate used for the initial recognition of the financial instrument.

The terms of measurement of ECLs include collateral and other credit enhancements that are part of the contractual terms and which Crédit Agricole S.A. does not account for separately. The estimate of the expected cash flow shortfalls from a guaranteed financial instrument reflects the amount and timing of the recovery of the guarantees. In accordance with IFRS 9, the inclusion of guarantees and sureties does not affect the assessment of the significant deterioration in credit risk: this is based on the evolution of the debtor's credit risk without taking into account guarantees.

The models and parameters used are backtested at least annually.

Forward-looking macroeconomic data are taken into account in accordance with a methodological framework applicable at two levels:

- at Group level for the determination of a shared framework for the consideration of forward-looking data in the estimation of PD and LGD parameters over the transaction amortisation period;
- at the level of each entity in respect of its own portfolios.

Significant deterioration of credit risk

All Group entities must assess, for each financial instrument, the deterioration of credit risk from origination to each reporting date. Based on this assessment of the change in credit risk, the entities must classify their exposure into different risk categories (Stages).

To assess significant deterioration, the Group uses a process based on two levels of analysis:

- the first level is based on absolute and relative Group criteria and rules that apply to all Group entities;
- the second level is linked to the expert assessment, based on local forward-looking information, of the risk held by each entity in its portfolios that may lead to an adjustment in the Group Stage 2 reclassification criteria (switching a portfolio or sub-portfolio to lifetime ECL).

Each financial instrument is, without exception, assessed for significant deterioration. Contagion is not required for the downgrading of financial instruments of the same counterparty from Stage 1 to Stage 2. The significant deterioration assessment must consider the change in credit risk of the principal debtor without taking account of any guarantee, including for transactions with a shareholder guarantee.

Possible losses in respect of portfolios of small loans with similar characteristics may be estimated on a statistical basis rather than individually assessed.

To measure the significant deterioration of credit risk since initial recognition, it is necessary to look back at the internal rating and PD (probability of default) at origination.

Origination means the trading date on which Crédit Agricole S.A. became bound by the contractual terms of the financial instrument. For financing and guarantee commitments, origination means the date on which the irrevocable commitment was made.

In the absence of an internal rating model, the Crédit Agricole Group uses the absolute threshold of payment 30 days past due as the maximum threshold for significant deterioration and classification in Stage 2.

For outstandings (with the exception of securities) for which internal rating systems are in place (in particular exposures monitored by authorised methods), the Crédit Agricole Group considers that all of the information incorporated into the rating systems allows for a more detailed assessment than the over 30 days past due criterion alone.

If deterioration since origination is no longer observed, impairment may be reduced to the 12-month expected credit losses (Stage 1).

To make up for the fact that certain significant deterioration factors or indicators may not be identifiable at instrument level, the standard allows for the assessment of significant deterioration at financial instrument portfolio level, or for groups of portfolios or parts of portfolios.

Portfolios can be created for the collective assessment of deterioration for instruments that share common characteristics, such as:

- instrument type;
- credit risk rating (including internal Basel 2 rating for entities with an internal ratings system);
- collateral type;
- date of initial recognition;
- remaining term until maturity;
- business sector;
- geographical location of the borrower;
- the value of collateral relative to the financial assets, if this has an impact on the probability of default (for example, non-recourse loans in certain countries or loan-to-value ratios);
- distribution channel, purpose of financing, etc.

Differentiation of significant deterioration by market is therefore possible (home loans, consumer finance, loans to farmers or small businesses, corporate finance, etc.).

The grouping of financial instruments for the purposes of collective credit risk assessment may change over time, as new information becomes available.

For securities, Crédit Agricole S.A. uses an approach that consists of applying an absolute level of credit risk, in accordance with IFRS 9, below which exposures are classified in Stage 1 and provisions are made based on 12-month ECL.

As such, the following rules shall apply for monitoring the significant deterioration of securities:

- “Investment Grade” securities, at the reporting date, are classified in Stage 1 and provisions are made based on 12-month ECL;
- “Non-Investment Grade” securities (NIG), at the reporting date, must be subject to monitoring for significant deterioration since origination, and be classified in Stage 2 (lifetime ECL) in the event of significant deterioration in credit risk.

Relative deterioration must be assessed prior to the occurrence of a known default (Stage 3).

Restructuring due to financial difficulty

Debt instruments restructured due to financial difficulties are those for which Crédit Agricole S.A. has amended the original financial terms (interest rate, term etc.) for economic or legal reasons linked to the financial difficulties of the borrower, under conditions that would not have been considered under other circumstances. As such, these can be any debt instruments, regardless of the risk deterioration category of the debt instrument since the initial recognition.

In accordance with the EBA (European Banking Authority) definition as stated in the “Risk Factors” chapter, debt restructuring for financial difficulties of the debtor refers to any modification to one or more credit agreements for that same reason, as well as any refinancing granted due to financial difficulties experienced by the customer.

This definition of restructuring must be applied to each agreement and not at client level (no contagion).

The definition of loans restructured due to financial difficulty is therefore comprised of two cumulative criteria:

- contract modification or debt refinancing (concessions);
- a customer who is in a financial difficulty (a debtor facing, or about to face, difficulties in honouring financial commitments).

“Contract modification” refers to the following example situations:

- there is a difference between the modified contract and the former terms of the contract, to the benefit of the borrower;
- the contract modifications result in more favourable conditions for the borrower, from which other customers of the bank, with a similar risk profile and at the same time, do not benefit.

“Refinancing” refers to situations in which a new debt is granted to the client to enable it to repay in full or in part another debt for which it cannot meet the contractual terms and conditions due to its financial position.

The restructuring of a loan (whether performing or non-performing) infers the presumed existence of a proven risk of loss (Stage 3).

The need to recognise impairment on the restructured exposure must therefore be analysed accordingly (a restructuring does not automatically result in the recognition of impairment for proven losses or classification as default).

The “restructured loan” classification is temporary.

Once the restructuring as defined by the EBA has been carried out, the exposure continues to be classified as “restructured” for at least two years, if the exposure was performing when restructured, and three years if the exposure was in default when restructured. These periods are extended in the event of the occurrence of certain events (e.g. further incidents).

In the absence of derecognition for this type of event, the reduction of future cash flows granted to a counterparty, or the postponing of these flows as part of a restructuring, shall result in the recognition of a discount in the cost of risk.

It represents loss of future cash flow discounted at the original effective rate. It is equal to the difference between:

- the carrying amount of the loan; and
- the sum of theoretical future cash flows from the “restructured” loan, discounted at the original effective interest rate (defined at the date of the financing commitment).

In the event of a waiver of part of the share capital, this amount shall constitute a loss to be recorded immediately in cost of risk.

The discount recognised when a loan is restructured is accounted for under cost of risk.

Upon reversal of the discount, the portion associated with the passage of time is recorded in “Revenues”.

Accounts uncollectible

When a loan is deemed uncollectible, i.e. when it cannot be recovered in full or in part, the amount deemed uncollectible must be derecognised from the balance sheet and written off.

The decision as to when to write off a loan is taken on the basis of an expert opinion. This must therefore be established by each entity, with its Risk Management Department, according to its own business knowledge. Before any write-offs, a Stage 3 impairment loss must be recognised (with the exception of assets at fair value through profit or loss).

For loans at amortised cost or fair value through other comprehensive income on items that can be reclassified, the amount written off is recorded under cost of risk (nominal amount) and "Revenues" (interests).

Derivative financial instruments

Classification and measurement

Derivative instruments are financial assets or liabilities classified by default as derivative instruments held-for-trading unless they can be considered to be hedging derivatives.

They are recorded on the balance sheet at their initial fair value on the trading date.

They are subsequently recognised at their fair value.

At the end of each reporting period, the counterparty of the change in fair value of derivatives on the balance sheet is recorded:

- through profit or loss if it concerns derivative instruments held-for-trading and for fair value hedges;
- through other comprehensive income that may be reclassified to profit or loss for cash flow hedging derivatives and net investments in international operations for the effective portion of the hedge.

Hedge accounting

General framework

In accordance with a decision made by the Group, Crédit Agricole S.A. chooses not to apply the "hedge accounting" component of IFRS 9, as permitted by the standard. All hedging relationships will continue to be documented in accordance with the rules of IAS 39 until, at the latest, the date on which the macro-hedging text is adopted by the European Union. However, hedge accounting under IAS 39 uses the classification and measurement principles of IFRS 9 to decide which financial instruments qualify.

Under IFRS 9, and taking account of the IAS 39 hedging principles, debt instruments at amortised cost or fair value through other comprehensive income (items that may be reclassified) qualify as fair value hedges and as cash flow hedges.

Documentation

Hedging relationships must comply with the following principles:

- fair value hedges are intended to provide protection from exposure to changes in the fair value of an asset or a liability that has been recognised, or of a firm commitment that has not been recognised, attributable to the risk(s) hedged and that may have an impact on net income (for instance, the hedging of all or some changes in fair value caused by the interest rate risk of a fixed-rate debt);
- cash flow hedges are intended to provide protection from exposure to changes in the future cash flow of an asset or liability that has been recognised, or of a transaction considered to be highly probable, attributable to the risk(s) hedged and that could (in the event of a planned transaction not carried out) have an impact on net income (for instance, the hedging of changes in all or some of the future interest payments on a floating-rate debt);

- net investment hedges in international operations are intended to provide protection against the risk of unfavourable changes in fair value associated with the foreign exchange risk of an international investment in a currency other than the euro, Crédit Agricole S.A.'s presentation currency.

Hedges must also meet the following criteria in order to be eligible for hedge accounting:

- the hedging instrument and the hedged item must be eligible;
- there must be formal documentation from inception, primarily including the individual identification and characteristics of the hedged item, the hedging instrument, the nature of the hedging relationship and the nature of the hedged risk;
- the effectiveness of the hedge must be demonstrated, at inception and retrospectively, by testing at each reporting date.

For interest rate hedges for a portfolio of financial assets or financial liabilities, Crédit Agricole Group documents the hedging relationship for fair value hedges in accordance with the carve-out version of IAS 39 as adopted by the European Union. In particular:

- the Group documents these hedging relationships based on its gross position in derivative instruments and hedged items;
- the effectiveness of the hedging relationships is measured by maturity schedules.

Further details on the Group's risk management strategy and its application are presented in Chapter 3 "Risks and Pillar 3".

Measurement

The remeasurement of the derivative at fair value is recorded in the financial statements as follows:

- **fair value hedges:** the change in value of the derivative is recognised in the income statement symmetrically with the change in value of the hedged item in the amount of the hedged risk. Only the net amount of any ineffective portion of the hedge is recognised in the income statement;
- **cash flow hedges:** the change in value of the derivative is recognised in the balance sheet through a specific account in other comprehensive income (items that may be reclassified) for the effective portion and any eventual ineffective portion of the hedge is recognised in the income statement. Profits or losses on the derivative accrued through other comprehensive income are reclassified to profit or loss when the hedged cash flows occur;
- **hedges of net investment in an international operation:** the change in value of the derivative is recognised in the balance sheet in the translation adjustment equity account (items that may be reclassified) and any ineffective portion of the hedge is recognised in the income statement.

Where the conditions for benefiting from hedge accounting are no longer met, the following accounting treatment must be applied prospectively, unless the hedged item disappears:

- **fair value hedges:** only the derivative instrument continues to be revalued through profit or loss. The hedged item is wholly accounted for according to its classification. For debt instruments at fair value through other comprehensive income (items that may be reclassified), changes in fair value subsequent to the ending of the hedging relationship are recorded in other comprehensive income in their entirety. For hedged items valued at amortised cost, which were interest rate hedged, the revaluation adjustment is amortised over the remaining life of those hedged items;

- **cash flow hedges:** the hedging instrument is valued at fair value through profit or loss. The amounts accumulated in other comprehensive income under the effective portion of the hedge remain in other comprehensive income until the hedged flows of the hedged item affect profit or loss. For interest rate hedged instruments, income statement is impacted according to the payment of interest. In practice, the revaluation adjustment is amortised over the remaining life of those hedged items;
- **hedges of net investment in an international operation:** the amounts accumulated in other comprehensive income under the effective portion of the hedge remain in other comprehensive income as long as the net investment is held. The income is recorded once the net investment in an international operation exits the scope of consolidation.

Embedded derivatives

An embedded derivative is a component of a hybrid contract that meets the definition of a derivative product. This definition applies only to financial liabilities and non-financial contracts. Embedded derivatives must be accounted for separately from the host contract if the following three conditions are met:

- the hybrid contract is not measured at fair value through profit or loss;
- the embedded component taken separately from the host contract has the characteristics of a derivative;
- the characteristics of the derivative are not closely related to those of the host contract.

Determination of the fair value of financial instruments

When determining the fair value of financial instruments observable inputs must be prioritised. It is presented using the hierarchy defined in IFRS 13. IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants, on the principal or the most advantageous market, at the valuation date.

Fair value applies individually to each financial asset or financial liability. A portfolio exemption may be used where the management and risk monitoring strategy so allow and are appropriately documented. Thus, certain fair value parameters are calculated on a net basis when a group of financial assets and financial liabilities is managed on the basis of its net exposure to market or credit risks.

Crédit Agricole S.A. considers that the best evidence of fair value is reference to quoted prices published in an active market.

When such quoted prices are not available, fair value is determined using valuation techniques that maximise the use of relevant observable data and minimise the use of unobservable data.

When a debt is valued at fair value through profit or loss (by nature or designated), fair value takes account of the own credit risk of the issuer.

Fair value of structured issues

In accordance with IFRS 13, Crédit Agricole S.A. values its structured issues, recognised at fair value, by taking as a reference the issuer spread that specialist participants agree to receive to acquire new Group issues.

Counterparty risk on derivative instruments

Crédit Agricole S.A. incorporates into fair value the assessment of counterparty risk for derivative assets (Credit Valuation Adjustment or CVA) and, using a symmetrical treatment, the non-performance risk for derivative liabilities (Debit Valuation Adjustment or DVA or own credit risk).

The CVA makes it possible to determine the expected losses due to the counterparty from the perspective of the Crédit Agricole Group, and DVA, the expected losses due to the Crédit Agricole Group from the perspective of the counterparty.

The CVA/DVA is calculated on the basis of an estimate of expected losses based on the probability of default and loss given default. The methodology used maximises the use of observable market inputs. It is primarily based on market data such as registered and listed CDS (or Single Name CDS) or index CDS in the absence of registered CDS on the counterparty. In certain circumstances, historical default data may also be used.

Fair value hierarchy

The standard classifies fair value into three levels based on the observability of inputs used in valuation techniques:

Level 1: fair value corresponding to quoted prices (unadjusted) in active markets

Level 1 is composed of financial instruments that are directly quoted in active markets for identical assets and liabilities that Crédit Agricole S.A. can access at the valuation date. These are stocks and bonds quoted in active markets (such as the Paris Stock Exchange, the London Stock Exchange or the New York Stock Exchange) and also fund securities quoted in an active market and derivatives traded on an organised market, in particular futures.

A market is regarded as being active if quoted prices are readily and regularly available from an exchange, broker, dealer, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For financial assets and liabilities with offsetting market risks, Crédit Agricole S.A. uses mid-prices as a basis for establishing fair values for the offsetting risk positions. The Group applies the current asking price to open short positions and the current bid price to open long positions.

Level 2: fair value measured using directly or indirectly observable inputs other than those in Level 1

The inputs used are observable either directly (i.e. prices) or indirectly (derived from prices) and generally consist of data from outside Crédit Agricole S.A., which are publicly available or accessible and based on a market consensus.

Level 2 consists of:

- stocks and bonds quoted in an inactive market or not quoted in an active market but for which the fair value is established using a valuation methodology usually used by market participants (such as discounted cash flow techniques or the Black & Scholes model) and based on observable market data;
- instruments that are traded over the counter, the fair value of which is measured with models using observable market data, i.e. that can be derived from various independently available external sources which can be obtained on a regular basis. For example, the fair value of interest rate swaps is generally derived from the yield curves of market interest rates as observed at the reporting date.

When the models are consistent notably with standard models based on observable market data (such as interest rate yield curves or implied volatility surfaces), the day one gain or loss resulting from the initial fair value measurement of the related instruments is recognised in profit or loss at inception.

Level 3: fair value that is measured using significant unobservable inputs

For some complex instruments that are not traded in an active market, fair value measurement is based on valuation techniques using assumptions that cannot be observed on the market for an identical instrument. These instruments are disclosed within Level 3.

This mainly concerns complex interest rate instruments, equity derivatives, structured credit instruments for which fair value measurement includes, for instance, correlation or volatility inputs that are not directly benchmarkable with market data.

The transaction price is deemed to reflect the fair value at initial recognition, any recognition of day one gain or loss is deferred.

The margin relating to these structured financial instruments is generally recognised through profit or loss over the period during which inputs are deemed unobservable. When market data become "observable", the remaining margin to be deferred is immediately recognised in profit or loss.

Valuation methodologies and models used for financial instruments that are disclosed within Levels 2 and 3 incorporate all factors that market participants would consider in setting a price. They shall be beforehand validated by an independent control. Fair value measurement notably includes both liquidity risk and counterparty risk.

Offsetting of financial assets and financial liabilities

In accordance with IAS 32, Crédit Agricole S.A. nets a financial asset and a financial liability and reports the net amount when, and only when, it has a legally enforceable right to offset the amounts reported and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

The derivative instruments and the repurchase agreements handled with clearing houses that meet the two criteria required by IAS 32 have been offset on the balance sheet.

Net gains (losses) on financial instruments

Net gains (losses) on financial instruments at fair value through profit or loss

For financial instruments recognised at fair value through profit or loss, this item notably includes the following income statement elements:

- dividends and other revenues from equities and other variable-income securities which are classified under financial assets at fair value through profit or loss;
- changes in fair value of financial assets or liabilities at fair value through profit or loss;
- gains and losses on disposal of financial assets at fair value through profit or loss;
- changes in fair value and gains and losses on disposal or termination of derivative instruments not included in a fair value hedge or cash flow hedge relationship.

This item also includes the ineffective portion of hedges.

Net gains (losses) on financial instruments at fair value through other comprehensive income

For financial assets recognised at fair value through other comprehensive income, this item notably includes the following income statements elements:

- dividends from equity instruments classified as financial assets at fair value through other comprehensive income that cannot be reclassified;
- gains (losses) on disposals and income associated with the termination of hedging relationships on debt instruments classified as financial assets at fair value through other comprehensive income that can be reclassified;
- net income on disposals or associated with the termination of fair value hedging instruments of financial assets at fair value through other comprehensive income when the hedged item is sold.

Financing commitments and guarantees given

Financing commitments that are not designated as fair value through profit or loss or not treated as derivative instruments within the meaning of IFRS 9 are not recognised on the balance sheet. They are, however, covered by provisions in accordance with the provisions of IFRS 9.

A financial guarantee contract is a contract under which the issuer must make specific payments to reimburse the holder for a loss incurred due to a specific debtor's failure to make a payment when due under the initial or amended terms of a debt instrument.

Financial guarantee contracts are recognised at fair value initially then subsequently at the higher of:

- the value adjustment amount for losses determined in accordance with the provisions of IFRS 9 in the "Impairment" section; or
- the amount originally recognised less, where applicable, the sum of income recognised in accordance with the principles of IFRS 15 "Revenue from contracts with customers".

Provisions (IAS 37 and 19)

Crédit Agricole S.A. has identified all obligations (legal or constructive) resulting from a past event for which it is probable that an outflow of resources will be required to settle the obligation, and for which the due date or amount of the settlement is uncertain but can be reliably estimated. These estimates are discounted where applicable whenever there is a material impact.

For obligations other than those related to credit risk, Crédit Agricole S.A. has set aside general provisions to cover:

- operational risks;
- employee benefits;
- commitment execution risks;
- claims and liability guarantees;
- tax risks (excluding income tax);
- risks related to home purchase savings schemes.

The latter provision is designed to cover the Group's obligations in the event of unfavourable moves impacting home purchase savings schemes. These obligations are: i) to pay a fixed interest rate on the savings contract determined at inception for an undefined period of time; and ii) to grant a loan to home purchase savings plan and account savers at a rate fixed at inception of the contract. The provision is calculated for each generation of a home purchase savings scheme and for all home purchase savings accounts, with no netting of obligations between generations.

The amount of these obligations is calculated taking account notably of:

- subscriber behaviour models, based on assumptions regarding subscriber behaviour drawn from historical experience, which may not necessarily reflect actual trends in future behaviour;
- an estimate of the amount and term of the loans that will be granted in the future, based on historical experience over an extended period of time;
- the yield curve for market rates and reasonably foreseeable trends.

Certain estimates may be made to determine the amount of the following provisions:

- the provision for operational risks, which although subject to examination for identified risks, requires Management to make assessments with regard to incident frequency and the potential financial impact;
- the provision for legal risks, which is based on Management's best estimate in light of the information in its possession at the end of the reporting period.

Detailed information is provided in Note 6.18 "Provisions".

Employee benefits (IAS 19)

In accordance with IAS 19, employee benefits are recorded in four categories:

- short-term employee benefits, including salaries, social security contributions, annual leave, profit-sharing and incentive plans and premiums, are defined as those which are expected to be settled within 12 months of the financial year in which the related services have been rendered;
- post-employment benefits falling into two categories: defined-benefit schemes and defined-contribution schemes;
- other long-term benefits (long-service awards, bonuses and compensation payable 12 months or more after the end of the financial year);
- severance payments.

Post-employment benefits

Defined-benefit schemes

At each reporting date, Crédit Agricole S.A. sets aside reserves to cover its liabilities for retirement and similar benefits and all other employee benefits falling in the category of defined-benefit schemes.

In keeping with IAS 19, these commitments are stated based on a set of actuarial, financial and demographic assumptions, and in accordance with the Projected Credit Units method. Under this method, for each year of service, a charge is booked in an amount corresponding to the employee's vested benefits for the financial year. The charge is calculated based on the discounted future benefit.

Liabilities for retirement and other future employee benefits are based on assumptions made by Management with respect to the discount rate, staff turnover rate and probable increases in salary and social security costs. (See Note 7.4 "Post-employment benefits, defined-benefit schemes").

Discount rates are determined based on the average term of the commitment, that is, the arithmetical average of the terms calculated between the valuation date and the payment date weighted by employee turnover assumptions. The underlying used is the discount rate by reference to the iBoxx AA.

In accordance with IAS 19, Crédit Agricole S.A. revised all actuarial gains and losses that were recognised in other comprehensive income that cannot be reclassified. Actuarial gains and losses consist of experience adjustments (difference between what has been estimated and what has occurred) and the effect of changes in actuarial assumptions.

The expected return on plan assets is determined using discount rates applied to measure the defined benefit obligation. The difference between the expected and actual return on plan assets is recognised in other comprehensive income that cannot be reclassified.

The amount of the provision is equal to:

- the present value of the obligation to provide the defined benefits at the end of the reporting period, calculated in accordance with the actuarial method recommended by IAS 19;
- if necessary, reduced by the fair value of the assets allocated to covering these commitments. These may be represented by an eligible insurance policy. In the event that 100% of the obligation is covered by a policy that meets exactly the expense amount payable over the period for all or part of a defined-benefit plan, the fair value of the policy is deemed to be the value of the corresponding obligation, (i.e. the amount of the corresponding actuarial liability).

For such obligations that are not covered, a provision for retirement benefits is recognised under Provisions on the liabilities side of the balance sheet. This provision is equal to Crédit Agricole S.A.'s liabilities towards employees in service at financial year-end, governed by the Crédit Agricole Group's Collective Agreement that came into effect on 1 January 2005.

A provision to cover the cost of early retirement commitments is also listed under Provisions. This provision covers the additional discounted cost of the various early retirement agreements signed by the Crédit Agricole Group entities under which employees of eligible age may take early retirement.

Lastly, certain Group companies are liable to pay supplementary retirement benefits. A provision is calculated on the basis of the Company's actuarial liability for these benefits. These provisions are also shown on the liabilities side of the balance sheet under "Provisions".

Defined contribution schemes

"Employers" contribute to a variety of compulsory pension schemes. Plan assets are managed by independent organisations and the contributing companies have no legal or implied obligation to pay additional contributions if the funds do not have sufficient assets to cover all benefits corresponding to services rendered by employees during the year and during prior years. Consequently, Crédit Agricole S.A. has no liabilities in this respect other than its contributions due for the financial year ended.

Other long-term benefits

Other long-term benefits are employee benefits other than post-employment benefits or termination benefits but not fully due to employees within 12 months after the end of the financial year in which the related services have been rendered.

These include, in particular, bonuses and other deferred compensation payable 12 or more months after the end of the financial year in which they vest, but which are not share-based.

The measurement method is similar to the one used by the Group for post-employment benefits with defined-benefit schemes.

Share-based payments (IFRS 2)

IFRS 2 "Share-based payments" requires valuation of share-based payment transactions in the Company's income statement and balance sheet. This standard applies to transactions with employees and more specifically to:

- share-based payment transactions settled in equity instruments;
- share-based payment transactions settled in cash.

Share-based payment plans initiated by Crédit Agricole Group that are eligible for IFRS 2 are mainly transactions settled in equity instruments (stock options, free share allocation plans, variable compensation settled in indexed cash or in shares etc.).

Options granted are measured at their fair value at the date of grant primarily using the Black & Scholes model. These options are recognised as a charge under Employee expenses, with a corresponding adjustment to equity, spread over the vesting period.

Employee share issues offered to employees as part of the employee savings plans are also subject to the IFRS 2 standard. Shares may be offered to employees with a maximum discount of 30%. These plans have no vesting period but the shares are subject to a lock-up period of five years. The benefit granted to employees is measured as the difference between the fair value per share acquired taking account of the lock-up period and the purchase price paid by the employee on the subscription date multiplied by the number of shares subscribed.

A more detailed description of the method, existing plans and valuation methods is provided in Note 7.6 "Share-based payments".

The cost of share-based payments settled in Crédit Agricole S.A. equity instruments and the cost of share subscriptions are recognised in the financial statements of the entities that employ the plan beneficiaries. The impact is recorded under Employee expenses, with a corresponding increase in Consolidated reserves-Group share.

Current and deferred taxes (IAS 12)

In accordance with IAS 12, the income tax charge includes all income taxes, whether current or deferred.

It defines current tax liability as "the amount of income tax payable (recoverable) in respect of the taxable profit (tax loss) for a financial year". Taxable income is the profit (or loss) for a given financial year measured in accordance with the rules determined by the tax authorities.

The applicable rates and rules used to measure the current tax liability are those in effect in each country where the Group's companies are established.

The current tax liability includes all taxes on income, payable or recoverable, for which payment is not subordinated to the completion of future transactions, even if payment is spread over several years.

The current tax liability must be recognised as a liability until it is paid. If the amount that has already been paid for the current year and previous years exceeds the amount due for these years, the surplus must be recognised under assets.

Moreover, certain transactions carried out by Crédit Agricole S.A. may have tax consequences that are not taken into account in measuring the current tax liability. IAS 12 defines a difference between the carrying amount of an asset or liability and its tax base as a temporary difference.

This standard requires that deferred taxes be recognised in the following cases:

- a deferred tax liability should be recognised for any taxable temporary differences between the carrying amount of an asset or liability on the balance sheet and its tax base, unless the deferred tax liability arises from:
 - initial recognition of goodwill,
 - the initial recognition of an asset or a liability in a transaction that is not a business combination and that does not affect either the accounting or the taxable profit (taxable loss) at the transaction date;
- a deferred tax asset should be recognised for any deductible temporary differences between the carrying amount of an asset or liability on the balance sheet and its tax base, insofar as it is deemed probable that a future taxable profit will be available against which such deductible temporary differences can be allocated;
- a deferred tax asset should also be recognised for carrying forward unused tax losses and tax credits insofar as it is probable that a future taxable profit will be available against which the unused tax losses and tax credits can be allocated.

The tax rates applicable in each country are used as appropriate.

Deferred taxes are not discounted.

Taxable unrealised gains on securities do not generate any taxable temporary differences between the carrying amount of the asset and the tax base. As a result, deferred tax is not recognised on these gains. When the relevant securities are classified as financial assets at fair value through other comprehensive income, unrealised gains and losses are recognised directly through other comprehensive income. The tax charge or saving effectively borne by Crédit Agricole S.A. arising from these unrealised gains or losses is reclassified as a deduction from these gains.

In France long-term capital gains on the sale of equity investments, as defined by the French General Tax Code, are exempt from corporate income tax; with the exception of 12% of long-term capital gains that are taxed at the normally applicable rate. Accordingly, unrealised gains recognised at the end of the year generate a temporary difference requiring the recognition of deferred tax on this share.

Under IFRS 16 "Leases", a deferred tax liability is recognised on the right of use and a deferred tax asset on the rental debt for leases for which the Group is a lessee.

Current and deferred tax is recognised in net income for the financial year, unless the tax arises from:

- either a transaction or event that is recognised directly through other comprehensive income, during the same year or during another year, in which case it is directly debited or credited to other comprehensive income;
- or a business combination.

Deferred tax assets and liabilities are offset against each other if, and only if:

- Crédit Agricole S.A. has a legally enforceable right to offset current tax assets against current tax liabilities; and
- the deferred tax assets and liabilities apply to income taxes assessed by the same tax authority:
 - a) either for the same taxable entity, or
 - b) for different taxable entities that intend either to settle current tax assets and liabilities on a net basis, or to settle their tax assets and liabilities at the same time during each future financial year in which it is expected that substantial deferred tax assets or liabilities will be paid or recovered.

Tax risks relating to income tax result in the recognition of a current tax receivable or liability when the probability of receiving the asset or paying the liability is considered more likely than not. These risks are also taken into account in the valuation of current and deferred tax assets and liabilities.

IFRIC 23 on measuring uncertain tax positions applies when an entity has identified one or more uncertainties about the tax positions they have adopted. It also provides details of how to estimate them:

- the analysis must be based on an assessment by the tax authorities;
- the tax risk must be recognized as a liability as soon as it is more likely than unlikely that the tax authorities will question the treatment adopted, for an amount reflecting Management's best estimate;
- in the event that the probability of a refund by the tax authorities is greater than 50%, a receivable must be recognised.

When tax credits on income from securities portfolios and amounts receivable are effectively used to pay corporate income tax due for the year, they are recognised under the same heading as the income with which they are associated. The corresponding tax charge continues to be recognised under the "Income tax" charge heading in the income statement.

Treatment of fixed assets (IAS 16, 36, 38 and 40)

The Crédit Agricole Group applies component accounting for all of its property, plant and equipment. In accordance with the provisions of IAS 16, the depreciable amount takes account of the potential residual value of property, plant and equipment.

Land is measured at acquisition cost less any impairment losses.

Property used in operations, investment property and equipment are measured at their acquisition cost less accumulated depreciation and impairment losses since the time they were placed in service.

Purchased software is measured at acquisition cost less accumulated depreciation and impairment losses since acquisition.

Proprietary software is measured at cost less accumulated depreciation and impairment losses since completion.

Apart from software, intangible assets are mainly assets acquired during a business combination resulting from contractual rights (e.g. distribution agreement). These were valued on the basis of corresponding future economic benefits or expected service potential.

Fixed assets are depreciated over their estimated useful lives.

The following components and depreciation periods have been adopted by Crédit Agricole Group following the application of the measures on component accounting for property, plant and equipment. These depreciation periods are adjusted according to the type of asset and its location:

Component	Depreciation period
Land	Not depreciable
Structural works	30 to 80 years
Non-structural works	8 to 40 years
Plant and equipment	5 to 25 years
Fixtures and fittings	5 to 15 years
Computer equipment	4 to 7 years
Special equipment	4 to 5 years

Foreign currency transactions (IAS 21)

At the reporting date, assets and liabilities denominated in foreign currencies are translated to euro, the Crédit Agricole Group's operating currency.

In accordance with IAS 21, a distinction is made between monetary (e.g. debt instruments) and non-monetary items (e.g. equity instruments).

Foreign-currency denominated monetary assets and liabilities are translated at the closing rate. The resulting translation adjustments are recorded in the income statement. There are three exceptions to this rule:

- for debt instruments at fair value through other comprehensive income that can be reclassified, only the translation adjustments calculated on amortised cost are taken to the income statement; the balance is recorded in other comprehensive income that can be reclassified;
- translation adjustments on elements designated as cash flow hedges or forming part of a net investment in an international entity are recognised in other comprehensive income that can be reclassified;
- for financial liabilities designated at fair value through profit or loss, translation adjustments related to value changes attributable to own credit risk accounted in other comprehensive income (items that cannot be reclassified).

Non-monetary items are treated differently depending on the type of items before translation:

- items at historical cost are measured at the foreign exchange rate on the transaction date (historical rate);
- items at fair value are measured at the foreign exchange rate at the end of the reporting period.

Translation adjustments on non-monetary items are recognised:

- in the income statement if the gain or loss on the non-monetary item is recorded in the income statement;
- in other comprehensive income that cannot be reclassified if the gain or loss on the non-monetary item is recorded in other comprehensive income that cannot be reclassified.

Revenues from contracts with customers (IFRS 15)

Fee and commission income and expenses are recognised in income based on the nature of services with which they are associated.

Fees and commissions that are an integral part of the effective yield on a financial instrument are recognised as an adjustment to the yield on the instrument and included in its effective interest rate (in accordance with IFRS 9).

The recognition of other types of fees and commissions on the income statement must reflect the rate of transfer to the customer of control of the goods or services sold:

- the net income from a transaction associated with the provision of services is recognised under "Fee and commission income" at the time of transfer of control of the service to the customer, if this can be reliably estimated. This transfer may take place as the service is provided (ongoing service) or on a specific date (one-off service):
 - a) Fee and commission income from ongoing services (fees and commissions on payment instruments, for example) is recognised in income according to the degree of progress of the service provided.
 - b) Fee and commission income paid or received as compensation for one-off services is recognised in income, in its entirety, when the service is provided.

Fee and commission income payable or receivable and contingent upon the achievement of a performance target is recognised for the amount at which it is highly probable that the income thus recognised will not later be subject to a significant downward adjustment upon resolution of the contingency. These estimates are updated at the end of each reporting

period. In practice, this condition can result in the deferred recognition of certain items of performance-related fee and commission income until the expiry of the performance assessment period and until such income has been definitively acquired.

Insurance contracts (IFRS 4)

Insurance liabilities are still partially valued under French GAAP, as permitted by IFRS 4 regulations. This will continue to be the case until the first-time application of IFRS 17, expected on 1 January 2023, which will replace IFRS 4 and amend the existing standards. Financial assets held by the Crédit Agricole Group's insurance companies have been reclassified into the financial assets categories set out in IFRS 9.

The technical reserves of non-life insurance contracts include:

- reserves for claims, to cover the total cost of claims incurred but not yet paid should they be already subject of a claim and assessed or not; and
- reserves relating to the acquisition of premiums (mainly provisions for unearned premiums), allowing for the recognition of premiums relating to risks hedged over the course of a financial year as earnings for said year, and therefore to carry forward the portion of premiums written over the course of the year for a risk hedging period subsequent to the current financial year.

Provision for increasing risks may be required for insurance transactions against the risk of sickness and disability when the premiums are unbroken. It is equal to the difference between the current values of the commitments made by the insurer and by the policyholders. Its calculation is based on an ongoing approach of updating the bases used respectively by the insurer and insured (Article R. 343-7-5° of the French Insurance Code). It is calculated based on a continuous process of updating biometric bases (probability of incidence of a state of dependency, length of support, etc.). For the main *Assurance Dépendance* (long-term care insurance) products, the discount rate for assessing the provision for increasing risks has an identical limit to that used in life insurance – the lowest rate between 3.5% and 60% of the TME (*taux moyen des emprunts d'État* – average government loan rate).

A supplement to the mathematical provision for *Assurance Dépendance* product annuities is designed to cover any potential technical drift due to the payment of long-term care annuities in progress.

The mathematical provisions of life insurance contracts and financial contracts containing discretionary participation features correspond to the difference between the current value of insurer commitments and policyholder commitments. Provisions are calculated using actuarial methods that include assumptions pertaining to the premiums, the performance of financial assets, contract redemption rates and changes in operating expenses.

Contracts containing discretionary participation features are collectively classified as a liability under insurance company's technical reserves. They are recognised in the same manner as insurance contracts. Premiums on these contracts are recognised as income and the increase in obligations to policyholders is recognised as an expense.

Life insurance technical reserves are conservatively estimated based on the technical rates defined in the contracts. Liabilities associated with contracts with or without discretionary participation features or minimum guarantee are measured based on the market value of the underlying assets or its equivalent at the end of the reporting period and are recorded under financial liabilities.

The financial margin on these policies is taken to profit or loss, after reversal of technical items (premiums, benefits, etc.), according to deposit accounting principles.

Property and casualty insurance policy liabilities are estimated at the end of the reporting period, without applying any discount. Claims management costs associated with technical reserves are charged to a provision in the financial statements at the reporting date.

For non-life insurance contracts, acquisition costs are recognised as and when the premium is earned. For life insurance contracts, directly identifiable acquisition costs are deferred over the profit generation period.

Total expenses related to the insurance business are presented in Note 4.6 "Net income (expenses) on other activities".

Insurance or investment contracts with discretionary participation in profits are subject to shadow accounting in accordance with the option offered by IFRS 4. This shadow accounting consists of recording the portion of positive or negative revaluations of the financial assets backing these contracts in a policyholders' deferred profit sharing item, and of certain consolidation adjustments (e. g. elimination of the provision for liquidity risk) that may potentially accrue to policyholders.

In addition, CRC Regulation 2000-05 ⁽¹⁾ provides for the recognition of deferred profit sharing, which must be recognised in the case of deferred profit sharing liabilities and for their recoverable amount in the case of deferred profit sharing assets.

This policyholders' deferred profit sharing is recognised as a liability under "Insurance contract technical reserves" or as an asset, with a corresponding entry in income statement or other comprehensive income similar to the unrealised gains and losses on the assets to which it relates.

With regard to savings contracts, the policyholders' deferred profit sharing rate is assessed prospectively on the basis of scenarios studied that are consistent with the insurance company's management guidelines. It is only updated if it varies significantly.

In the event of a net unrealised loss, a deferred profit sharing asset is only recognised if it is highly probable that it will be allocated, by entity, to future profit sharings. This is especially the case if this deferred profit sharing asset can be deducted from future policyholder sharings, either directly by deducting it from the deferred profit sharing liabilities recorded for future disposal profits, or indirectly by being recoverable from future sums paid to policyholders.

The recoverability tests implemented in the event of a deferred profit sharing asset are in accordance with the CNC recommendation of 19 December 2008. They are based:

- firstly, on liquidity analyses of the Company, which show the enterprise's capacity to access funding sources to meet its obligations and its ability to hold assets with unrealised losses even if new production declines. The tests are performed with and without new production;
- secondly, on a comparison between the average value of future services measured by the internal model replicating the Company's management decisions and the value of the assets representing the obligations at market value. This shows the Company's ability to meet its obligations.

Lastly, sensitivity tests on the ability to activate policyholders' deferred profit sharing are also carried out, based in particular on a uniform increase in redemptions applied to redemption rates drawn from scenarios similar to those used by the French Regulatory and Resolution Supervisory Authority, or on a further decline in the equity and real estate markets.

Furthermore, in accordance with the provisions of IFRS 4, the Group ensures at each reporting date that the liabilities recognised for insurance policies and investment contracts containing discretionary participation (net of deferred acquisition costs and associated intangible assets) are adequate to meet estimated future cash flows.

(1) Relating to the consolidated and combined financial statements of companies governed by the French Insurance Code (*Code des assurances*) and organisations providing health, disability insurance and retirement income plans governed by the French Social Security Code (*Code de la sécurité sociale*) or Rural Code (*Code rural*).

The liability adequacy test used to verify this must meet the following minimum requirements, as defined in the standard:

- it must consider all future contractual cash flows, including associated management costs, fees and commissions as well as options and guarantees implicit in these contracts;
- if the test shows that the liability is inadequate, it is wholly recognised in profit or loss.

Leases (IFRS 16)

The Group may be the lessor or lessee of a lease.

Leases for which the Group is the lessor

Leases are analysed in accordance with their substance and financial reality. They are classified as finance leases or operating leases.

- In the case of finance leases, they are considered equivalent to a fixed asset sale to the lessee financed by a credit granted by the lessor. The analysis of the economic substance of finance leases leads the lessor to:
 - remove the leased asset from the balance sheet;
 - record a financial debt for the customer under “financial assets at amortised cost” for a value equal to the present value at the contract’s implicit rate of the rental payments due to the lessor under the lease, plus any non-guaranteed residual value owed to the lessor;
 - recognise deferred taxes for temporary differences relating to the financial debt and the net carrying amount of the leased asset;
 - break down the corresponding rental income into interest and capital amortisation.
- In the case of operating leases, the lessor recognises the leased assets under “Property, plant & equipment” on the assets side of its balance sheet and records the rental income on a straight-line basis under “Income from other activities” in the income statement.

Leases for which the Group is the lessee

Leases are recognised in the balance sheet on the date on which the leased asset is made available. The lessee records an asset representing the right of use of the leased asset under “property, plant & equipment” over the estimated term of the contract and a liability representing the rental payment obligation under “miscellaneous liabilities” over the same term.

The lease period of a contract corresponds to the non-cancellable term of the lease adjusted for the contract extension options that the lessee is reasonably certain to exercise and the termination option that the lessee is reasonably certain not to exercise.

In France, the term used for the “3/6/9” commercial leases is generally nine years with an initial non-cancellable period of three years. When the lessee deems that it is reasonably certain that it will not exercise the exit option after three years, the Group principle applicable to open-ended or automatically renewable contracts (i.e. first exit option after five years) will be applied to French commercial leases in most cases, on the lease commencement date. This means that the term will be estimated at six years. The Group principle (first exit option after five years) may not be applied in some specific cases, such as a lease where intermediate exit options have been waived (for example, in return for a rent reduction). In such cases the initial lease term of nine years will apply (generally unless an automatic extension of up to three years is expected).

The lease liability is recognised for an amount equal to the present value of the rental payments over the term of the contract. Rental payments include fixed rents, variable rents based on a rate or index, and payments that the lessee expects to pay as residual value guarantees, purchase options or early termination penalties. Variable rents that are not based on an index or rate and the non-deductible VAT on rents are excluded when calculating the debt and are recognised under “operating expenses”.

The discount rate applicable to the calculation of the right-of-use asset and the lease liability is, by default, the lessee’s marginal rate of indebtedness over the term of the agreement at the date of signature of the agreement, when the implicit rate cannot easily be established. The marginal indebtedness rate takes account of the rent payment structure. It reflects the terms of the lease (term, guarantee, economic environment, etc.) – here, the Group applies the IFRS IC decision of 17 September 2019 since the implementation of IFRS 16.

The lease expense is broken down into interest and amortisation of capital.

The right of use of the asset is valued at the initial value of the lease liability plus the initial direct costs, advance payments and restoration costs, reduced by the lease inducements. It is amortised over the estimated term of the lease.

The lease liability and the right of use may be adjusted in the event of amendment to the lease, re-estimation of the lease period or rent review related to the application of indexes or rates.

Deferred taxes are recognised as temporary differences in right-of-use and rental liabilities by the lessee.

In accordance with the exception set out in the standard, short-term leases (initial term of less than 12 months) and leases for which the new value of the leased asset is low are not recognised on the balance sheet. The corresponding leasing expenses are recorded on a straight-line basis in the income statement under “operating expenses”.

In accordance with the standard, the Group does not apply IFRS 16 to leases of intangible assets.

Non-current assets held for sale and discontinued operations (IFRS 5)

A non-current asset (or a disposal group) is classified as held-for-sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use.

For this to be the case, the asset (or disposal group) must be available for immediate sale in its present condition and its sale must be highly probable.

The relevant assets and liabilities are shown separately on the balance sheet under “Non-current assets held for sale and discontinued operations” and “Liabilities associated with non-current assets held for sale and discontinued operations”.

A non-current asset (or disposal group) classified as held for sale is measured at the lower of its carrying amount and fair value less costs of sale. In case of unrealised losses, impairment is recognised in the income statement. Non-current assets are no longer amortised when they are reclassified.

If the fair value of a group of assets held for sale less its selling costs is less than its carrying amount after impairment of non-current assets, the difference is allocated to the other assets in the group of assets held for sale including the financial assets and is recognised under net income from assets held for sale.

A discontinued operation is a component that the Group has either disposed of, or that is classified as held for sale, according to the following situations:

- it represents a separate major business line or geographical area of operations;
- it is part of a single coordinated plan to dispose of a separate major business line or geographical area of operations; or
- it is a subsidiary acquired exclusively with a view to resale.

The following are disclosed on a separate line of the income statement:

- the profit or loss from discontinued operations until the date of disposal, net of tax;
- the gain or loss recognised on the disposal or on measurement to fair value less costs of sale of the assets and liabilities constituting the discontinued operations, net of tax.

1.3 Consolidation principles and methods (IFRS 10, IFRS 11 and IAS 28)

Scope of consolidation

The consolidated financial statements include the financial statements of Crédit Agricole S.A. and those of all companies over which, in compliance with IFRS 10, IFRS 11 and IAS 28, Crédit Agricole S.A. exercises control, joint control or significant influence, except for those that are not material in relation to all the companies included in the scope of consolidation.

Definitions of control

In compliance with international accounting standards, all entities under control, under joint control or under significant influence are consolidated, provided that they are not covered by the exclusions below.

Exclusive control over an entity is deemed to exist if Crédit Agricole S.A. is exposed to or entitled to receive variable returns as a result of its involvement with the entity and if the power it holds over this entity allows it to influence these returns. Power in this context means substantive (voting or contractual) rights. Rights are considered substantive if the holder of the rights can in practice exercise them when decisions about the Company's relevant activities are made.

Crédit Agricole S.A. is deemed to control a subsidiary through voting rights when its rights give it the practical ability to direct the subsidiary's relevant activities. Crédit Agricole S.A. is generally considered to control a subsidiary when it holds more than half the existing or potential voting rights in an entity, whether directly or indirectly through subsidiaries, except when it can be clearly demonstrated that such ownership does not give it the power to direct its relevant activities. Control is also deemed to exist where Crédit Agricole S.A. holds half or less than half of the voting rights, including potential rights, in an entity but is able in practice to direct its relevant activities at its sole discretion, notably because of the existence of contractual arrangements, the size of its stake in the voting rights compared to those of other investors, or other reasons.

Control of a structured entity is not assessed on the basis of voting rights as these have no effect on the entity's returns. The analysis of control takes into account contractual arrangements, but also Crédit Agricole S.A.'s involvement and decisions when the entity was created, what agreements were made at its inception and what risks are borne by Crédit Agricole S.A., any rights under agreements that give the investor the power to direct relevant activities under specific circumstances only and any other facts or circumstances that indicate the investor can direct the entity's relevant activities. Where there is a management agreement, the extent of decision-making powers granted to the delegated manager and the remuneration accorded by such contractual arrangements are examined to establish whether the manager is in practice acting as an agent (with delegated powers) or as a principal (on their own account).

Furthermore, when decisions on the entity's relevant activities are taken, the indicators used to assess whether an entity is acting as agent or principal are as follows: the extent of the decision-making powers compared to the powers over the entity delegated to the manager, the remuneration provided for under the contractual arrangements, any substantive rights that may affect the decision-making capacity of other parties involved in the entity and the exposure to variable returns of other interests in the entity.

Joint control is deemed to exist when there is a contractual division of control over an economic activity. Decisions affecting the entity's relevant activities require unanimous agreement of the joint controllers.

In traditional entities, significant influence is defined as the power to influence but not control a company's financial and operational policies. Crédit Agricole S.A. is presumed to have significant influence if it owns 20% or more of the voting rights in an entity, whether directly or indirectly through subsidiaries.

Consolidation methods

The methods of consolidation are respectively defined by IFRS 10 and IAS 28. They depend on the type of control exercised by Crédit Agricole S.A. over the entities that can be consolidated, regardless of activity or whether or not they have legal entity status:

- full consolidation, for controlled entities, including entities with different financial statement structures, even if their business is not an extension of that of Crédit Agricole S.A.;
- the equity method, for the entities over which Crédit Agricole S.A. exercises significant influence and joint control.

Full consolidation consists in substituting for the value of the shares each of the assets and liabilities carried by each subsidiary. The equity and income attributable to non-controlling interests is presented separately in the consolidated balance sheet and income statement.

Non-controlling interests are as defined by IFRS 10 and incorporate instruments representing current ownership interests and that give right to a proportional share of the net assets in the event of liquidation and the other equity instruments issued by the subsidiary and not held by the Group.

The equity method consists in substituting for the value of shares the Group's proportional share of the equity and income of the companies concerned.

The change in the carrying amount of these shares includes changes in goodwill.

In the event of incremental share purchases or partial disposals with continued joint control or significant influence, Crédit Agricole S.A. recognises:

- in the case of an increase in the percentage of interest, additional goodwill;
- in the case of a reduction in the percentage of interest, a gain or loss on disposal/dilution in profit or loss.

Restatements and eliminations

Where necessary, financial statements are restated by Crédit Agricole S.A. to harmonise the valuation methods applied to consolidated companies.

The impact of Group internal transactions on the consolidated balance sheet and income statement is eliminated for fully consolidated entities.

Capital gains or losses arising from intra-group asset transfers are eliminated; any potential impairment measured at the time of disposal in an internal transaction is recognised.

Translation of the financial statements of foreign operations (IAS 21)

The financial statements of entities representing a “foreign operation” (subsidiary, branch, associate or joint venture) are translated to euro in two steps:

- if applicable, the local currency in which the financial statements are prepared is converted into the functional currency (currency of the main business environment of the entity). The conversion is made as if the information had been recognised initially in the functional currency (same conversion principles as for foreign currency transactions here above);
- the functional currency is converted into euros, the currency in which the Group's consolidated financial statements are presented. Assets and liabilities, including goodwill, are converted at the closing exchange rate. Equity items, such as share capital or reserves, are converted at their historical foreign exchange rates. Income and expenses included in the income statement are converted at the average exchange rate for the period. Foreign exchange impacts resulting from this conversion are recognised as a separate component of shareholders' equity. In the event of exit from the foreign operation (disposal, repayment of capital, liquidation, discontinuation of activity) or in the event of deconsolidation due to a loss of control (even without disposal), these translation adjustments are recognised in the income statement when the result of exit or loss of control is recognised.

Business combinations – Goodwill

Valuation and recognition of goodwill

Business combinations are accounted for using the acquisition method in accordance with IFRS 3, except for business combinations under common control, which are excluded from the scope of application of IFRS 3. In the absence of an IFRS standard or interpretation specifically applicable to a transaction, IAS 8 “Accounting principles, changes in accounting estimates and errors” leaves open the possibility of referring to the official positions of other standard-setting bodies. Accordingly, the Group has elected to apply US standard ASU 805-50, which seems to comply with the IFRS general principles, for entering business combinations under common control at carrying amount using the pooled interests method.

At the date of acquisition, the identifiable assets, liabilities and contingent liabilities of the acquired entity which satisfy the conditions for recognition set out in IFRS 3 are recognised at fair value.

Notably, restructuring liabilities are only recognised as a liability of the acquired entity if, at the date of acquisition, the acquiree is under an obligation to complete the restructuring.

Price adjustment clauses are recognised at fair value even if their application is not probable. Subsequent changes in the fair value of clauses if they are financial liabilities are recognised in the income statement. Only price

adjustment clauses relating to transactions where control was obtained at the latest by 31 December 2009 may still be recorded against goodwill, because these transactions were accounted for under IFRS 3 pre revision (2004).

The non-controlling interests that are shares of current interests giving rights to a share of the net assets in the event of liquidation may be measured, at acquirer's choice, in two ways:

- at fair value on the date of acquisition;
- at the share of the identifiable assets and liabilities of the acquired company revalued at fair value.

The option may be exercised at each acquisition.

The balance of non-controlling interests (equity instruments issued by the subsidiary and not held by the Group) should be recognised for its fair value on the date of acquisition.

The initial assessment of assets, liabilities and contingent liabilities may be revised within a maximum period of 12 months after the date of acquisition.

Some transactions relating to the acquired entity are recognised separately from the business combination. These include:

- transactions that end a pre-existing relationship between the acquired company and the acquiring company;
- transactions that compensate employees or the selling shareholders of the acquired company for future services;
- transactions aimed at reimbursing the acquiree or its former shareholders for acquisition-related costs that they have assumed on behalf of the acquirer.

These separate transactions are generally recognised in the income statement at the acquisition date.

The transferred consideration at the time of a business combination (the acquisition cost) is measured as the total of fair values transferred by the acquirer, at the date of acquisition in exchange for control of the acquired entity (for example: cash, equity instruments, etc.).

The costs directly attributable to the business combination shall be recognised as expenses, separately from the business combination. If the transaction is highly probable, they are recognised under “Net gains (losses) on other assets”, otherwise they are recognised under “Operating expenses”.

The difference between the sum of acquisition costs and non-controlling interests and the net balance at the date of acquisition of acquired identifiable assets and liabilities assumed, valued at their fair value, is recognised, when it is positive, in the assets side of the consolidated balance sheet, under “Goodwill” when the acquired entity is fully consolidated and under “Investments in equity-accounted entities” when the acquired company is consolidated using the equity method of accounting. Any badwill is recognised immediately through profit or loss.

Goodwill is carried in the balance sheet at its initial amount in the currency of the acquired entity and converted at the closing rate at the end of the reporting period.

When control is taken by stages, the interest held before taking control is revalued at fair value through profit or loss at the date of acquisition and the goodwill is calculated once, using the fair value at the date of acquisition of acquired assets and liabilities taken over.

When there is a loss of control, the proceeds from the disposal are calculated on the entirety of the entity sold and any investment share kept is recognised in the balance sheet at its fair value on the date control was lost.

Impairment of goodwill

Goodwill is tested for impairment whenever there is objective evidence of a loss of value and at least once a year.

The choices and assumptions used in assessing non-controlling interests at the date of acquisition may influence the amount of initial goodwill and any impairment resulting from a loss of value.

For the purpose of impairment testing, goodwill is allocated to the Group Cash Generating Units (CGUs) that are expected to benefit from the business combination. The CGUs have been defined within the Group's business lines as the smallest identifiable group of assets and liabilities functioning in a single business model. Impairment testing consists of comparing the carrying amount of each CGU, including any goodwill allocated to it, with its recoverable amount.

The recoverable amount of the CGU is defined as the higher of fair value less than of selling costs and value in use. The value in use is the present value of the future cash flows of the CGU, as set out in medium-term business plans prepared by the Group for management purposes.

When the recoverable amount is lower than the carrying amount, a corresponding impairment loss is recognised for the goodwill allocated to the CGU. This impairment is irreversible.

Changes to the post-acquisition percentage ownership interest and goodwill

In the event of an increase or decrease in Crédit Agricole S.A.'s percentage ownership interest in an entity that is already exclusively controlled and where there is no loss of control, there is no impact on the amount of goodwill recognised at the start of the business combination.

In the case of an increase in the percentage ownership interest of Crédit Agricole S.A. in an entity that is already exclusively controlled, the difference between the acquisition cost and the share of net assets acquired is recognised under "Consolidated reserves Group share".

In the event that Crédit Agricole S.A.'s percentage ownership interest in an entity that remains under its exclusive control declines, the difference between the selling price and the carrying amount of the share of net assets sold is also recognised directly under "Consolidated reserves Group share". Expenses arising from these transactions are recognised in equity.

Sale options granted to minority shareholders

The accounting treatment of sale options granted to minority shareholders is as follows:

- when a sale option is granted to the minority shareholders of a fully consolidated subsidiary, a liability is recognised in the balance sheet; on initial recognition, the liability is measured at the estimated present value of the exercise price of the options granted to the minority shareholders. Against this liability, the share of net assets belonging to the minority shareholders concerned is reduced to zero and the remainder is deducted from equity;
- subsequent changes in the estimated value of the exercise price will affect the amount of the liability, offset by an equity adjustment. Symmetrically, subsequent changes in the share of net assets due to minority shareholders are cancelled, offset in equity.

NOTE 2 MAJOR STRUCTURAL TRANSACTIONS AND MATERIAL EVENTS DURING THE PERIOD

The scope of consolidation and changes to it as at 31 December 2021 are shown in detail at the end of the notes in Note 12 "Scope of consolidation at 31 December 2021".

2.1 Covid-19 health crisis

Crédit Agricole S.A. implemented large-scale support measures to address the Covid-19 health crisis and its economic consequences. To support its customers whose businesses were impacted by the coronavirus crisis, the Group actively participated in the economic support measures put in place by public and market authorities.

2.1.1 State-guaranteed loans (SGL)

In the context of the health and economic crisis related to Covid-19, since 25 March 2020, the Crédit Agricole Group has granted all of its corporate customers, regardless of their size and status (farmers, professionals, merchants, artisans, corporates, etc.), access to the State-guaranteed Loan scheme, in addition to the measures already announced (extension of due dates, expedited procedures for reviewing applications, etc.).

These loans belong to a "Collection" business model and meet the test for contractual terms. They are therefore recognised at amortised cost.

At 31 December 2021, the balance of outstandings for State-guaranteed loans granted to customers by the Crédit Agricole Group was €22.3 billion. The amount of the guarantee received from the French State in connection with these loans is €19.8 billion.

2.1.2 Credit risk measurement

In the context of the health and economic crisis related to Covid-19, the Group continues to revise its forward-looking macroeconomic forecasts on a regular basis in order to estimate credit risk. As a reminder, the initial recognition of the effects of the health crisis and its macro-economic effects was included in reporting as from second quarter 2020.

Information on the macroeconomic scenarios used for the reporting period ended 31 December 2021

The Group used four scenarios for calculating IFRS 9 provisioning parameters in production at 31 December 2021 with projections for 2024. These four scenarios were developed in October 2021 based on the information and data available at that time.

The first scenario, which is the central one, weighted at 50% includes a growth profile that continues to depend heavily on the evolution of public health assumptions but incorporates a consumption-driven rebound in growth. Significant but presumably temporary inflation in the US, with a transitory acceleration in the eurozone that is kept in check.

- The growth profile continues to depend heavily on the evolution of public health assumptions, with the following assumptions for the eurozone and France:

Even in the event of new waves of infections, the lifting of the restrictive health measures last spring would not be questioned because of the ramp-up of the vaccination rollouts. Consolidation of a strong rebound in growth driven by consumption in the second half of 2021 and recovery continuing in 2022:

- GDP growth in the eurozone forecast at 5.4% in 2021, 4.4% in 2022 and 2.5% in 2023 after a -6.5% decline in 2020;
- GDP growth in France: Annual average growth would reach 6.4% in 2021 and GDP would return to its pre-crisis level by year end.

It would increase by 3.9% in 2022. However, some sectors could remain weakened (e.g. the aeronautics, automotive and tourism sectors) with lukewarm demand and supply affected by shortages of certain intermediate goods. There would also be a slight increase in business failures and the unemployment rate (very low in 2020), but the wave of failures feared at the onset of the pandemic would not materialise. Growth would reach 2% in 2023 and then slow to around 1.5% in 2024 before returning to its long-term trend (estimated at 1.35% by the French Ministry of the Economy).

Assumptions for the eurozone:

Less sustained pressure but same sources of pressure upstream and specific factors (new weightings, German VAT, base effects, etc.) that could lead to a transitory acceleration with inflation exceeding the 2% target in the second half of 2021 and first quarter of 2022. Inflation of 3% in August 2021 with a provisional peak expected around November 2021 when headline inflation could get close to 4% with core inflation around 2.4% and 1.6% in 2023. Then most likely a sharp decline with a return to comfortably below the target at end-2022 (around 1.5%). No risk of runaway inflation based on data available in October 2021. The unemployment assumptions stand at 8.6% in 2022 and 8.5% in 2023, slightly higher than in 2021.

- In the central scenario, the financial forecasts are as follows:

In the United States: cautious and very slow monetary tightening by the Fed (US central bank) alongside a gradual recovery in the labour market. Willingness of the FED to gradually curb asset purchases with a moderation of long-term rates in a context of ample liquidity and high demand for sovereign securities. 10-year UST yields would hover around 1.50% at end-2021 then around 1.25% at end-2022 and 1.4% at end-2023.

In the eurozone: still very accommodative ECB (European Central Bank) policy:

- key rates would remain unchanged over the 2021-2024 period, eliciting a need to support the fiscal stimulus plans, absorb the net issuance of securities, maintain favourable financial terms and keep risk premia in check. Consequently, ECB purchases would be extended beyond March 2022: high until end-2022 and extended (but reduced) in 2023;
- the ECB's €1,850 billion Pandemic Emergency Purchase Programme (PEPP), currently to run until March 2022, would be extended until December 2022 with a new envelope of around €180 billion. The Asset Purchase Programme (APP) would be maintained in 2022-2023 (at least) at a monthly pace of €30 billion;
- long-term rates: these remain very low given the ECB's activism, relatively moderate inflationary pressure and the absence of major tensions on the bond markets in the US. Consequently, the Bund yield would be kept at a low level;
- temporary pressure on the OAT/Bund spread (Q4 2021/Q1 2022 ahead of the presidential elections); in 2022 the French spread would narrow following the (supposedly reassuring) outcome of the elections, thanks to the enthusiasm of investors having neglected French securities; thereafter, return to a "normal" spread (30 basis points).

Assumptions for the United States:

Inflation in the October 2021 scenarios estimated at +4.4% for 2021, +3.5% in 2022 and +2.3% in 2023.

Inflation was stimulated by strong demand in the post-pandemic recovery phase, with specific pressures on shipping, disruptions to production chains caused by supply difficulties (longer delivery times, shortages of wood, steel and computer chips) and a surge in the price of commodities and intermediate goods;

However, this impact is expected to be temporary due to:

- legitimate but exaggerated fears of persisting higher inflation and further upward impulses in the second half of the year. 5.5% year-on-year increase, then easing from mid-2022. Core and headline inflation of 2.7% at end-2022;
- unemployment in the United States falling but still significantly higher (5.9% in Q2 2021) than pre-pandemic levels (3.5%); considerable drop in the participation rate (percentage of the population of working age included in the active population); the situation is still far from full employment which ultimately limits the risks of a sharp rise in wages;
- persistent disinflationary forces: globalisation; technological progress; strong global competition and the need to remain competitive;

The effects of the stimulus package in the United States call for nuance: some of the aid granted to households is saved, and some used to reduce debt. Consumption surplus is temporary, partly due to the effect of exiting the crisis/restrictions being lifted.

The second scenario, “moderate adverse”, differs from the central scenario in that inflation rises more sustainably and more sharply (2.7% in 2022 and 2% in 2023 compared with 2.4% and 1.6% respectively in scenario 1 in the eurozone). It includes a significant slowdown in consumption and investment in the eurozone and France from mid-2022 onwards and a rise in unemployment stemming from a more marked trend of bankruptcies. The projection for long-term rates could lead to declines on the equity markets and a correction of residential and commercial real estate

The second scenario differs from scenario 1 in the following ways:

- Inflation shock: The rise in inflation is more lasting and sharper than in the central scenario.

Demand is very high, particularly from the United States and China (demand in the United States boosted by a massive fiscal stimulus package), while supply is disrupted by the pandemic. Disruptions to production chains, supply difficulties and shortages of certain intermediate goods are more marked than in the central scenario. The rise in the price of oil, other commodities and certain intermediate goods is therefore greater and more sustainable.

Furthermore, there is a type of wage-price spiral, with wage growth primarily due to the sharp increase in prices and to recruitment difficulties. There is a pronounced impact in the United States and a lesser impact in the eurozone.

- Rates and markets:

Fed: tightening of monetary policy in the face of strong growth (at least at the start of the period) and higher and more sustainable inflation. Tapering is more significant and faster than expected in 2022 and there is a hike in the Fed funds rate in 2022.

10-year UST yield: tightening of monetary policy and investors' concerns about the risk of inflation taking hold. As a result, substantial rise in long-term rates in the US, despite ample liquidity in the financial system.

ECB: in the face of rising inflation, the ECB's asset purchase programme is revised slightly downwards.

Increase in the Bund and 10-year swaps in 2022 due to the rise in US long-term rates and reduction in ECB asset purchases.

Widening of spreads of France and Italy.

- Macro indicators in the eurozone/France:

Growth at end-2021, early 2022 but a significant slowdown in consumption and investment from mid-2022. The strong rise in inflation is only partially reflected in wages and leads to a decline in purchasing power. Corporate profits are impacted by the sharp increase in intermediate and payroll costs.

The rise in unemployment and bankruptcies is more pronounced than in the central scenario.

The increase in long-term rates leads to a decline in equity markets and a correction in residential and commercial real estate.

The third scenario is slightly more favourable than the first scenario and assumes that the pressure on commodities and intermediate goods prices in 2021 will ease quite significantly from 2022 onwards.

Global demand remains high, but as the public health situation in emerging markets improves, disruption to supply chains is limited. The assumption is that production line management becomes more effective and that supply difficulties are reduced. It is also assumed that wage increases remain fairly moderate.

From 2022 onwards, households start spending a significant portion of the savings surplus built up during the pandemic.

Growth in the eurozone is more sustained than in the central scenario (4.8% in 2022, 2.8% in 2023 against 4.4% and 2.5% respectively in scenario 1). Long-term rates in the eurozone are very low, close to their level in the central scenario.

The fourth scenario, which is the least likely and most negative, is that used in fiscal stress testing (July 2021). It is characterised by overheating, high inflation and a rise in long-term rates in the United States, on top of multiple crises in various countries. In France, a sharp economic slowdown is projected for 2022 and 2023, combined with a major correction in residential real estate.

US growth is particularly robust in 2021 and the start of 2022: post-pandemic restart and very strong fiscal stimulus (massive stimulus packages passed in full, rapid fall in unemployment and recovery in consumption).

There is an inflation shock in the United States, soaring commodities and intermediate goods prices (a new rise in oil prices in 2022 – high demand and geopolitical tensions in the Middle East); strong demand in the post-pandemic recovery phase, particularly from the United States and China; production chain disruptions leading to supply difficulties. Recruitment difficulties and wage pressure are observed in some sectors in the United States.

Bond markets become concerned about the high inflation figures, which are more pronounced than in the central scenario (fear of an inflation spiral caused by rising intermediate costs and wages) and the size of the US public deficit. The Fed is slow to react and “too late” in raising Fed funds rates in early 2022. Tightening of US monetary policy; fiscal drift; fears of inflation taking hold leading to major concerns among investors and a sharp rise in US long-term rates.

Several crises are piled onto this initial shock:

- stock market crash: the equity markets, which recorded strong gains in 2021 and are almost certainly overvalued, undergo a major correction in the face of the Fed's tightening and the sharp rise in long-term rates in the United States;

- emerging markets: in some emerging markets, major delays in the vaccination process; ongoing public health crisis; some sectors heavily impacted (tourism in Asia); weak growth, particularly in Asia (apart from China) where there is no significant post-pandemic rebound, unlike in the United States and European Union;
- crisis specific to France: pressures on the financial markets due to uncertainty about the upcoming presidential election which could lead to social and economic tension (rise in unemployment and bankruptcies in 2022 related to the end of “whatever it takes”, major social unrest similar to what was seen during the yellow vest protests bringing the country to a standstill). No new emergency plan to deal with this social unrest. OAT/Bund spread becomes very wide. Downgrading of the sovereign rating is envisaged;
- crisis specific to Italy: assumption of an end to the legislature in mid-2022 and a victory for a Lega Nord/Brothers of Italy coalition with a majority in both chambers; tug-of-war with the European Commission, blocking of payments under the Stimulus Plan leading to market concerns about economic policy; major widening of the BTP/Bund spread; downgrading of the sovereign rating.

Government support measures have been taken into account in the IFRS 9 projections: the risk parameter forecast process was revised in 2020 to better reflect the impact of government programmes in IFRS 9 forecasts. The effect of this revision was to mitigate the sudden intensity of the crisis and the strength of the recovery, and to spread these over a longer period (three years).

The variables relating to the interest rates level, and more generally all the variables linked to the capital markets, have not been modified, because their forecasts already structurally include the effects of the support policies.

In order to take into account local specificities (geographical and/or associated with certain activities/businesses), sectoral supplements are prepared at the local level (local forward-looking scenarios) by some Group entities, supplementing the macroeconomic scenarios defined centrally.

For the fourth quarter of 2021, the Crédit Agricole Group has made an exceptional additional ECL on healthy and impaired loans of €88 million recognised in cost of risk.

This exceptional adjustment reduces the effect of provision reversals that occur when the macroeconomic scenarios used in the central parameters for calculating Central ECLs are updated. The adjustment is intended to cover various kinds of broad uncertainties that increased in intensity towards the end of the year. Those uncertainties – the public health situation, inflation expectations, pace of interest rate adjustments, particularly in the eurozone, geopolitical uncertainties – were estimated by experts and cannot be modelled. This level of uncertainty was not included in the October 2021 macro scenarios used to calculate IFRS 9 provisions for fourth quarter 2021. Therefore, the result of the Q4 provisioning models only reflects the improvement in the October macro scenarios compared to the previous scenarios used in Q3 and does not incorporate this level of uncertainty.

By way of example, the January 2022 inflation forecasts anticipate a 3.9% rise in inflation in the eurozone for 2022, versus 2.4% in scenario 1.

At the end of December 2021, including local forward-looking scenarios, the share of Stage 1/Stage 2 provisions on the one hand (provisions for performing and underperforming customer loans) and Stage 3 provisions on the other hand (provisions for proven risks) represented **39% and 61%** of hedging inventories respectively for the Crédit Agricole Group.

At the end of December 2021, net additions to Stage 1/Stage 2 provisions represented **32%** of the Crédit Agricole Group's annual cost of risk compared to **68%** for the Stage 3 share of proven risks and other provisions.

Sensitivity analysis of IFRS 9 provisions (ECL Stages 1 and 2 amounts)

The first scenario, called the central scenario, was weighted at **50%** for the calculation of IFRS 9 ECL amounts for Q4 2021. By way of example, based on the 31 August 2021 data, a 10-point reduction in the weighting of the central scenario in the Q4 2021 calculations in favour of the more unfavourable second scenario would lead to a rise in expected credit losses (ECL) under the forward looking central scenario of around **0.5%** for the Crédit Agricole Group.

This anticipated sensitivity under the central scenario is not significant and could be reduced based on adjustments under the local forward looking scenario.

2.2 Main changes in the scope of consolidation

2.2.1 Purchase by Crédit Agricole Consumer Finance of 49% of the capital of the joint venture CACF Bankia S.A.

On 3 February 2021, Crédit Agricole Consumer Finance entered into an agreement with Bankia to acquire the 49% capital stake held by the latter in the joint venture Crédit Agricole Consumer Finance Bankia S.A. (CACF Bankia S.A.), confirming its goal to become a major player in the Spanish market.

The transaction was authorised by the Bank of Spain on 1 June 2021 and was completed on 11 June 2021.

As of 31 December 2021, CACF Bankia S.A. is therefore wholly owned by Crédit Agricole Consumer Finance and is fully consolidated in the consolidated financial statements of the Crédit Agricole Group.

In accordance with IFRS 3R, this additional acquisition has a positive impact of €16.5 million on net income, Group share for the revaluation of shares previously held. In addition, it leads to the recognition of goodwill of €35.8 million.

2.2.2 Disposal of Crédit Agricole CIB (Miami) goodwill to Santander

Crédit Agricole CIB (Miami) is a branch of Crédit Agricole CIB (CACIB), which is in turn 97.8% controlled by Crédit Agricole S.A.

In 2020, the executive management of Crédit Agricole S.A. and Crédit Agricole CIB began the process of putting the goodwill associated with outstanding loans to customers of the Crédit Agricole CIB (Miami) branch of Crédit Agricole CIB (CACIB) up for sale.

The assets and liabilities of Crédit Agricole CIB (Miami) have thus been reclassified under IFRS 5 in the consolidated financial statements of Crédit Agricole S.A. as of 31 December 2020.

The negotiations conducted since January 2021 with Santander bank led to the execution of a sale contract on 17 May 2021 for part of the commercial activity of the Crédit Agricole CIB (Miami) branch of Crédit Agricole CIB (CACIB) and an additional agreement on 14 June 2021 for a total amount of €27 million, generating a positive impact on Crédit Agricole S.A.'s income of €10.5 million, recognised under “Net income from discontinued or held-for-sale operations”.

The outstanding amounts not sold on 17 May and 14 June 2021, which correspond in the balance sheet to loans to customers for an amount of €3.5 million and debt owed to customers for an amount of €4.1 million, are no longer recognised under IFRS 5 as of 30 June 2021.

2.2.3 Disposal of Bankoia to Abanca

BANKOIA is a subsidiary 99.8% controlled by the Crédit Agricole Group. The shares of this company are 94.8% owned by *Caisse régionale Pyrénées Gascogne* and 5% by Crédit Agricole S.A.

On 29 September 2020, a disposal agreement with conditions precedent was signed by the *Caisse régionale* with the Spanish bank ABANCA, which acquired the Group's entire stake in BANKOIA.

At 31 December 2020, BANKOIA's assets and liabilities were reclassified under IFRS 5 in the Crédit Agricole Group's consolidated financial statements.

On 28 January 2021, Crédit Agricole Pyrénées Gascogne and Crédit Agricole S.A. announced the completion of the disposal of Bankoia to Abanca. The authorisations of the regulatory authorities (the European Central Bank and the *Comisión nacional del mercado de valores* (CNMV – Spain)) were obtained prior to that date.

The signing of this agreement is the culmination of the disposal process resulting from discussions initiated at the end of 2019 between Abanca, Crédit Agricole S.A. and Crédit Agricole Pyrénées Gascogne.

At 31 December 2021, the disposal of Bankoia does not have a material impact on the Crédit Agricole Group's consolidated financial statements.

2.2.4 Sale of Crédit Agricole Bank Romania to Vista Bank Romania S.A.

Crédit Agricole Bank Romania is a fully-owned subsidiary of Crédit Agricole S.A.

During 2019, Crédit Agricole S.A. initiated a process to put Crédit Agricole Bank Romania up for sale.

Crédit Agricole Bank Romania's assets and liabilities have thus been reclassified under IFRS 5 in the consolidated financial statements of the Crédit Agricole Group at 31 December 2019.

In December 2020, negotiations with the Romanian bank Vista Bank Romania S.A. led to the signing of an agreement to sell Crédit Agricole Bank Romania to Vista Bank Romania S.A. on 4 January 2021.

The sale was approved by the competent Romanian regulatory authorities (the National Bank of Romania and the National Competition Council) and was completed on 16 September 2021.

At 31 December 2021, the disposal of Crédit Agricole Bank Romania had no material impact on the Crédit Agricole Group's consolidated financial statements.

2.2.5 Voluntary public tender offer by Crédit Agricole Italia for the shares of Credito Valtellinese and mandatory public buyback offer

On 23 November 2020, Crédit Agricole Italia S.p.A. (Crédit Agricole Italia), a 75.6%-owned subsidiary of Crédit Agricole S.A. launched a voluntary all-cash public tender offer for all the ordinary shares of Credito Valtellinese S.p.A. (Credito Valtellinese).

The acquisition of Credito Valtellinese will help strengthen Crédit Agricole's competitive positioning in Italy, its second-largest domestic market, thus confirming a long-standing commitment supporting its clients and local communities in Italy.

All regulatory approvals required to complete the transaction have been obtained.

On 23 April 2021, the transaction was successfully completed, with Crédit Agricole Italia acquiring 91.17% of the share capital of Credito Valtellinese. The price paid by Crédit Agricole Italia was €12.27 per share, excluding dividends. In addition, the shareholders who contributed their shares received a dividend of €0.23 per share for the 2020 financial year, bringing the total payment to €12.50 per share.

At the end of the public buyback offer (the offer having ended on 21 May 2021 and settlement having taken place on 28 May 2021), a squeeze out followed on 4 June 2021 that enabled Crédit Agricole Italia to own 100% of the shares of Credito Valtellinese as from 30 June 2021.

As from 30 June 2021, Credito Valtellinese has been fully consolidated in the Crédit Agricole S.A. consolidated financial statements.

In compliance with the Revised IFRS 3, a consolidation adjustment of €925 million was generated for a purchase price of €862 million, while the adjusted net equity contributed by Credito Valtellinese amounted to €1,787 million.

At 31 December 2021, the Group made a final first consolidation goodwill adjustment in the amount of -€428 million net of income tax as follows:

- -€469 million for receivables due from customers;
- -€81 million for litigation files;
- -€48 million for financing (customer inflows);
- +€46 million related to customer contracts;
- -€106 million for the real estate portfolio;
- +€59 million for the securities portfolio;
- +€171 million for deferred tax.

Following this allocation, badwill of €497 million was recognised under the item "Change in value of goodwill" in the Crédit Agricole Group's consolidated income statement for the year ended 31 December 2021.

2.2.6 Acquisition of Lyxor by Amundi

After Amundi, a subsidiary of Crédit Agricole S.A., entered into exclusive negotiations with Société Générale to acquire Lyxor, Amundi and Société Générale announced the signature of a framework agreement on 11 June 2021.

The transaction was finalised on 31 December 2021 with a cash payment of €825 million following receipt of all necessary regulatory and competition approvals. This transaction gives Amundi powerful leverage to accelerate its development trajectory in the fast-growing ETF market, while supplementing its active management offering, in particular in liquid alternative assets and advisory solutions.

At 31 December 2021, Lyxor was therefore controlled exclusively by Amundi and was fully consolidated in the Crédit Agricole Group's consolidated financial statements.

In compliance with the Revised IFRS 3, a provisional allocation was made for acquisition costs, leading to the recognition of a consolidation adjustment of €652 million. The amount of net assets acquired as a result of this transaction was €208 million.

Note that the above takes into account a price adjustment of €35 million (corresponding to the excess in contributed net equity compared to the acquisition's contractual provisions).

The transaction will have no impact on the Crédit Agricole Group's consolidated income for the year ended 31 December 2021.

2.2.7 Acquisition of Olinn by Crédit Agricole Leasing & Factoring

On 7 November 2021, Crédit Agricole Leasing & Factoring (CAL&F) acquired all shares in the Olinn Group from Argos Wityu for a total amount of €136 million.

Olinn, a long-standing partner of Crédit Agricole Leasing & Factoring, is a European group specialising in the management of business equipment, offering a wide range of financing offers plus expertise in related services.

As a result of the transaction, Olinn is now 100% controlled by Crédit Agricole Leasing & Factoring, a subsidiary of Crédit Agricole S.A., and fully consolidated in Crédit Agricole Group's consolidated financial statements for the year ended 31 December 2021.

In compliance with the Revised IFRS 3, a consolidation adjustment of €182 million was generated for a purchase price of €136 million, while the adjusted net equity contributed by Olinn amounted to -€46 million.

Work on allocating the consolidation goodwill is under way and will be completed in 2022. At 31 December 2021, the acquisition of OLINN had no material impact on the Crédit Agricole Group's net income.

2.2.8 Change in consolidation method of Crédit Agricole Consumer Finance Nederland (CACF NL)

In 2021, CACF NL's Supervisory Board resolved to withdraw from negotiations to sell CACF NL. As a result, the conditions required to remain under IFRS 5 were no longer met and CACF NL, now in run-off, was fully consolidated in the consolidated financial statements for the year ended 31 December 2021.

At 30 September 2021, income was therefore reclassified from "Net income from discontinued or held-for-sale operations" to the various income line items related to "continuing operations" for a net impact of €1.2 million. The assets were reclassified from "Non-current assets held for sale" to the various line items on the asset side of the balance sheet related to "continuing operations" for an amount of €1,567 million. Liabilities were reclassified from "Liabilities associated with non-current assets held for sale" to the various line items on the liabilities side of the balance sheet relating to "continuing operations" for an amount of €250 million.

2.2.9 Reorganisation of the Crédit Agricole Group's real estate business

In February 2021, Crédit Agricole Immobilier, a subsidiary owned in equal parts by Crédit Agricole S.A. and the Regional Banks through Sacam Immobilier, created a new subsidiary called Crédit Agricole Services Immobiliers (CASIM) to consolidate real estate services for individual customers. The subsidiary is part of the Crédit Agricole Group's plan for a new real estate arm.

In fourth quarter 2021, Crédit Agricole Immobilier and eight Regional Banks contributed their real estate services activities to CASIM for a total of €145 million. This contribution from the Regional Banks and Crédit Agricole Immobilier was paid for in shares in CASIM, whose main shareholder remains Crédit Agricole Immobilier.

At 31 December 2021, these transactions had no material impact on the Crédit Agricole Group's consolidated financial statements.

2.2.10 Disposal plans (IFRS 5)

2.2.10.1 CA Indosuez Wealth (Brazil) S.A. DTVM

CA Indosuez Wealth (Brazil) S.A. DTVM is a subsidiary 97.8% controlled by Crédit Agricole S.A. The shares of this company are wholly owned by Crédit Agricole CIB (CACIB), which in turn is 97.8% controlled by Crédit Agricole S.A.

In 2020, the executive management of Crédit Agricole S.A. and Crédit Agricole CIB began the process of putting CA Indosuez Wealth (Brazil) S.A. DTVM up for sale.

The assets and liabilities of CA Indosuez Wealth (Brazil) have thus been reclassified under IFRS 5 in the consolidated financial statements of Crédit Agricole S.A. as of 31 December 2020.

Negotiations with SAFRA bank resulted in the signing of a sale contract for CA Indosuez Wealth (Brazil) on 23 April 2021. The completion of this transaction is subject to obtaining the usual regulatory agreements and verifications.

CA Indosuez Wealth (Brazil) is therefore maintained pursuant to IFRS 5 in the Crédit Agricole S.A. consolidated financial statements at 31 December 2021 for an amount of €10 million in "Non-current assets held for sale" and for an amount of €9 million in "Liabilities associated with non-current assets held for sale". The net income is classified under "Net income from discontinued or held-for-sale operations" for an amount of -€6 million.

2.2.10.2 Crédit Agricole Serbia

Crédit Agricole Serbia is a wholly owned subsidiary of Crédit Agricole S.A. In 2020, Crédit Agricole S.A.'s executive management initiated a process to put Crédit Agricole Serbia up for sale.

On 9 April 2021 it received a binding offer with a firm price from Raiffeisen Banka A.D. Serbia, a subsidiary of the Austrian bank, Raiffeisen Bank International AG.

This offer led to the signing of a sale contract on 5 August 2021. This transaction, which is subject to the approval of the competent regulatory authorities, is expected to be completed by the end of first quarter 2022.

Pursuant to IFRS 5, the assets and liabilities of Crédit Agricole Serbia are classified as at 31 December 2021 in the balance sheet under "Non-current assets held for sale" for the sum of €1,272 million and under "Liabilities associated with non-current assets held for sale" for the sum of €1,151 million. The net income is classified under "Net income from discontinued or held-for-sale operations" for an amount of €2.6 million.

2.2.10.3 La Médicale de France

La Médicale de France is a wholly-owned subsidiary of Crédit Agricole S.A. The shares of this company are wholly owned by Crédit Agricole Assurances, which in turn is 100% controlled by Crédit Agricole S.A.

In November 2021, the executive management of Crédit Agricole S.A. and Crédit Agricole Assurances entered into exclusive negotiations with the Generali Group over the sale of the La Médicale de France entity. These negotiations resulted in the signing of a Master Agreement on 24 November 2021.

The completion of this transaction, which is subject to the approval of the regulatory and competition authorities, is expected to take place by the end of the first half of 2022.

Pursuant to IFRS 5, the assets and liabilities of La Médicale de France are classified as at 31 December 2021 in the balance sheet under "Non-current assets held for sale" for the sum of €1,683 million and under "Liabilities associated with non-current assets held for sale" for the sum of €1,407 million. The net income is classified under "Net income from discontinued or held-for-sale operations" for an amount of -€2 million.

2.3 Partnership between Crédit Agricole Consumer Finance and Stellantis in long-term vehicle leasing

On 17 December 2021, the Crédit Agricole Group announced its intention to create a pan-European long-term leasing company with Stellantis that would be owned in equal parts by Crédit Agricole Consumer Finance and Stellantis. This planned exclusive partnership between Crédit Agricole Consumer Finance and Stellantis would immediately rank them in the top five of long-term leasing companies in Europe. The goal is to manage a fleet of over one million vehicles by 2026.

Crédit Agricole Consumer Finance also intends to develop its own pan-European, multi-brand vehicle financing, leasing and mobility company by acquiring full control of FCA Bank and Leasys Rent. The goal of this new entity is to become one of the leading players in the European market, most notably through modern, innovative solutions and white label offers. It will have a target of €10 billion in outstandings by 2026.

These transactions are expected to be implemented in the first half of 2023 once the necessary approvals from the competent regulatory and competition authorities have been received.

2.4 Full unwinding of the “Switch” guarantee mechanism

The “Switch” guarantee mechanism represents a transfer to the Regional Banks of a share of the regulatory prudential requirements that apply to Crédit Agricole S.A. for its insurance activities in return for a fixed compensation of the Regional Banks.

On 1 March 2021, Crédit Agricole S.A. unwound 15% of the switch guarantee mechanism set up between the Regional Banks and Crédit Agricole S.A. after the partial unwinding of 35% of the mechanism on 2 March 2020.

On 16 November 2021, Crédit Agricole S.A. unwound the remaining 50% of the “Switch” guarantee mechanism in full, thereby ending the Crédit Agricole Group’s commitment to fully unwind the Switch Insurance facility by the end of 2022.

This transaction has no impact on the results nor on the solvency ratios of the Crédit Agricole Group.

2.5 Payment of dividend for the 2020 financial year

The Crédit Agricole S.A. Ordinary General Meeting of Wednesday 12 May 2021 voted to approve an exceptional mechanism for the payment of the dividend for the 2020 financial year of €0.80 per share, with an option for payment in new shares. This option, which was open from Thursday 20 May until Thursday 3 June 2021, was accepted by 84.8% of Crédit Agricole S.A.’s shareholders, including the majority shareholder, SAS Rue La Boétie.

This transaction resulted in the creation of 175,330,851 new ordinary shares, which were delivered and listed on Euronext Paris on 9 June 2021. These new shares, which carry dividend rights as of 1 January 2021, immediately became part of the ordinary shares comprising the share capital of Crédit Agricole S.A.

The cash dividend was paid on Wednesday 9 June 2021.

2.6 Share buyback programme

After receiving all the necessary approvals from the supervisory authorities, Crédit Agricole S.A. launched two share buyback programmes on the market in 2021 for a total amount of €1.05 billion.

The first programme, initiated on 10 June and concluded on 21 September, resulted in the acquisition of 47,616,752 shares for an amount of €558.6 million.

The second programme began on 5 October and ended on 14 December. It resulted in the acquisition of 40,056,489 shares for an amount of €500 million.

The shares acquired under these two buyback programmes are being held as treasury shares and will be cancelled in 2022.

NOTE 3 FINANCIAL MANAGEMENT, RISK EXPOSURE AND HEDGING POLICY

Crédit Agricole S.A.’s Financial Management department is responsible for organising financial flows within Crédit Agricole Group, defining and implementing refinancing rules, asset and liability management, and managing regulatory prudential ratios. It sets out the principles and ensures a cohesive financial management system throughout the Group.

The Group’s management of banking risks is handled by the Group Risk Management and Permanent Controls department. This department reports to the Chief Executive Officer of Crédit Agricole S.A. and its task is to control credit, financial and operational risks.

A description of these processes and commentary appear in the chapter on “Risk factors” in the management report, as allowed by IFRS 7. The accounting breakdowns are presented in the financial statements.

3.1 Credit risk

3.1.1 Change in carrying amounts and value adjustments for losses during the period

Value adjustments for losses correspond to the impairment of assets and to provisions for off-balance sheet commitments recognised in net income (Cost of risk) relating to credit risk.

The following tables present a reconciliation of the opening and closing balances of value adjustments for losses recognised under cost of risk and associated carrying amounts, by accounting category and type of instrument.

Financial assets at amortised cost: debt securities

	Performing assets									Total
	Assets subject to 12-month ECL (Stage 1)		Assets subject to lifetime ECL (Stage 2)		Credit-impaired assets (Stage 3)					
	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount (a)	Loss allowance (b)	Net carrying amount (a) + (b)	
(in millions of euros)										
BALANCE AT 31 DECEMBER 2020	109,799	(41)	450	(4)	49	(45)	110,296	(90)	110,206	
Transfers between stages during the period	3	-	(3)	-	-	-	-	-		
Transfers from Stage 1 to Stage 2	(71)	-	71	-	-	-	-	-		
Return to Stage 2 from Stage 1	74	-	(74)	-	-	-	-	-		
Transfers to Stage 3 ⁽¹⁾	-	-	-	-	-	-	-	-		
Return from Stage 3 to Stage 2/Stage 1	-	-	-	-	-	-	-	-		
TOTAL AFTER TRANSFERS	109,802	(41)	447	(4)	49	(45)	110,296	(90)	110,206	
Changes in gross carrying amounts and loss allowances	996	(6)	(264)	(1)	1	(2)	733	(9)		
New financial production: purchase, granting, origination... ⁽²⁾	44,096	(25)	75	(5)			44,171	(30)		
Derecognition: disposal, repayment, maturity...	(48,938)	21	(354)	3	-	-	(49,292)	24		
Write-offs					-	-	-	-		
Changes of cash flows resulting in restructuring due to financial difficulties	-	-	-	-	-	-	-	-		
Changes in models' credit risk parameters during the period		-		-		-	-	-		
Changes in model/methodology		-		-		-	-	-		
Changes in scope	4,645	(1)	-	-	-	-	4,645	(1)		
Other ⁽³⁾	1,193	(1)	15	1	1	(2)	1,209	(2)		
TOTAL	110,798	(47)	183	(5)	50	(47)	111,029	(99)	110,930	
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽⁴⁾	(932)		(10)		-		(942)			
BALANCE AT 31 DECEMBER 2021	109,866	(47)	173	(5)	50	(47)	110,087	(99)	109,988	
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-			

(1) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1, which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(2) Originations in Stage 2 could include some originated loans in Stage 1 reclassified in Stage 2 during the period.

(3) The items in the "Others" line are mainly translation adjustments.

(4) Includes the impacts of fair value adjustments of micro-hedged instruments, the impacts relating to the use of the EIR method (notably the amortisation of premiums/discounts), the impacts of the accretion of discounts on restructured loans (recovered as revenue over the remaining term of the asset), the changes in related receivables and in the currency impact.

Financial assets at amortised cost: loans and receivables due from credit institutions

	Performing assets								
	Assets subject to 12-month ECL (Stage 1)		Assets subject to lifetime ECL (Stage 2)		Credit-impaired assets (Stage 3)				
	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount (a)	Loss allowance (b)	Net carrying amount (a) + (b)
(in millions of euros)									
BALANCE AT 31 DECEMBER 2020	89,865	(23)	61	-	407	(357)	90,335	(381)	89,954
Transfers between stages during the period	14	-	(14)	-	-	-	-	-	
Transfers from Stage 1 to Stage 2	-	-	-	-			-	-	
Return to Stage 2 from Stage 1	14	-	(14)	-			-	-	
Transfers to Stage 3 ⁽¹⁾	-	-	-	-	-	-	-	-	
Return from Stage 3 to Stage 2/Stage 1	-	-	-	-	-	-	-	-	
TOTAL AFTER TRANSFERS	89,879	(23)	47	-	407	(357)	90,335	(381)	89,954
Changes in gross carrying amounts and loss allowances	6,235	(6)	8	(2)	27	(25)	6,270	(33)	
New financial production: purchase, granting, origination... ⁽²⁾	22,530	(9)	20	(1)			22,550	(10)	
Derecognition: disposal, repayment, maturity...	(17,531)	10	(15)	(1)	(1)	1	(17,547)	10	
Write-offs					-	-	-	-	
Changes of cash flows resulting in restructuring due to financial difficulties	-	(2)	-	-	-	-	-	(2)	
Changes in models' credit risk parameters during the period		(5)		-		(2)	-	(7)	
Changes in model/methodology		-		-		-	-	-	
Changes in scope	502	-	-	-	-	-	502	-	
Other ⁽³⁾	734	-	3	-	28	(24)	765	(24)	
TOTAL	96,114	(29)	55	(2)	434	(382)	96,605	(414)	96,191
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽⁴⁾	512		-		1		513		
BALANCE AT 31 DECEMBER 2021	96,626	(29)	55	(2)	435	(382)	97,118	(414)	96,703
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-		

(1) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1 which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(2) Originations in Stage 2 could include some originated loans in Stage 1 reclassified in Stage 2 during the period.

(3) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1 which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(4) Includes the impacts of fair value adjustments of micro-hedged instruments, the impacts relating to the use of the EIR method (notably the amortisation of premiums/discounts), the impacts of the accretion of discounts on restructured loans (recovered as revenue over the remaining term of the asset), the changes in accrued interests.

Financial assets at amortised cost: loans and receivables due from customers

	Performing assets								Total
	Assets subject to 12-month ECL (Stage 1)		Assets subject to lifetime ECL (Stage 2)		Credit-impaired assets (Stage 3)				
	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount (a)	Loss allowance (b)	
(in millions of euros)									
BALANCE AT 31 DECEMBER 2020	889,620	(2,348)	72,129	(4,354)	23,326	(12,884)	985,075	(19,585)	965,490
Transfers between stages during the period	(38,995)	(407)	35,290	673	3,705	(1,242)	-	(976)	
Transfers from Stage 1 to Stage 2	(60,220)	252	60,220	(985)			-	(733)	
Return to Stage 2 from Stage 1	22,661	(673)	(22,661)	1,434			-	761	
Transfers to Stage 3 ⁽¹⁾	(1,899)	23	(2,958)	274	4,857	(1,594)	-	(1,297)	
Return from Stage 3 to Stage 2/Stage 1	463	(9)	689	(50)	(1,152)	352	-	293	
TOTAL AFTER TRANSFERS	850,625	(2,755)	107,419	(3,681)	27,031	(14,126)	985,075	(20,561)	964,514
Changes in gross carrying amounts and loss allowances	94,543	276	(2,751)	(1,306)	(6,729)	2,645	85,063	1,615	
New financial production: purchase, granting, origination... ⁽²⁾⁽⁴⁾	385,504	(1,178)	22,056	(2,006)			407,560	(3,184)	
Derecognition: disposal, repayment, maturity...	(310,875)	728	(26,975)	1,617	(4,351)	1,760	(342,201)	4,105	
Write-offs					(3,226)	3,167	(3,226)	3,167	
Changes of cash flows resulting in restructuring due to financial difficulties	(1)	1	(9)	3	(16)	27	(26)	31	
Changes in models' credit risk parameters during the period ⁽⁵⁾		755		(678)		(2,231)	-	(2,154)	
Changes in model/methodology		-		-		-	-	-	
Changes in scope ⁽⁷⁾	14,250	(31)	1,094	(213)	564	(14)	15,908	(258)	
Other ⁽⁶⁾	5,665	1	1,083	(29)	300	(64)	7,048	(92)	
TOTAL	945,168	(2,479)	104,668	(4,987)	20,302	(11,481)	1,070,138	(18,946)	1,051,192
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽³⁾	(630)		(308)		1,339		401		
BALANCE AT 31 DECEMBER 2021	944,538	(2,479)	104,360	(4,987)	21,641	(11,481)	1,070,539	(18,946)	1,051,592
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-		

(1) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1 which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(2) Originations in Stage 2 could include some originated loans in Stage 1 reclassified in Stage 2 during the period.

(3) Includes the impacts of fair value adjustments of micro-hedged instruments, the impacts relating to the use of the EIR method (notably the amortisation of premiums/discounts), the impacts of the accretion of discounts on restructured loans (recovered as revenue over the remaining term of the asset), the changes in accrued interests.

(4) At 31 December 2021, the amount of French State-guaranteed loans (SGL) granted to customers of the Group as part of measures to support the economy in the wake of the Covid-19 health crisis amounted to €22.3 billion.

(5) Concerning Stage 3 – this line corresponds to the change in the assessment of the credit risk on files already in default.

(6) The items on the line "Other" are mainly translation adjustments and, to a lesser extent, changes in value for which a breakdown could not be made.

(7) Stage 3 includes Credito Valtellinese impaired assets for a gross carrying amount of €1,214 million and a loss allowance of €664 million, which includes a preliminary allocation of the first consolidation goodwill of €378 million for receivables due from customers, i.e. a net book value of €550 million.

Financial assets at fair value through other comprehensive income debt securities

	Performing assets						Total	
	Assets subject to 12-month ECL (Stage 1)		Assets subject to lifetime ECL (Stage 2)		Credit-impaired assets (Stage 3)			
	Carrying amount	Loss allowance	Carrying amount	Loss allowance	Carrying amount	Loss allowance	Carrying amount	Loss allowance
(in millions of euros)								
BALANCE AT 31 DECEMBER 2020	271,913	(97)	2,347	(38)	-	(37)	274,260	(173)
Transfers between stages during the period	(1,272)	-	1,260	(12)	-	-	(12)	(12)
Transfers from Stage 1 to Stage 2	(1,536)	1	1,520	(17)			(16)	(16)
Return to Stage 2 from Stage 1	264	(1)	(260)	5			4	4
Transfers to Stage 3 ⁽¹⁾	-	-	-	-	-	-	-	-
Return from Stage 3 to Stage 2/Stage 1	-	-	-	-	-	-	-	-
TOTAL AFTER TRANSFERS	270,641	(97)	3,607	(50)	-	(37)	274,248	(185)
Changes in carrying amounts and loss allowances	(7,710)	(29)	(51)	-	-	-	(7,761)	(29)
Fair value revaluation during the period	(9,713)		(47)		-		(9,760)	
New financial production: purchase, granting, origination... ⁽²⁾	21,193	(24)	12,288	(11)	-	-	33,481	(35)
Derecognition: disposal, repayment, maturity...	(24,511)	17	(12,359)	4	-	-	(36,870)	21
Write-offs	-	-	-	-	-	-	-	-
Changes of cash flows resulting in restructuring due to financial difficulties	1	1	2	2	-	-	3	3
Changes in models' credit risk parameters during the period		(22)		5		-	-	(17)
Changes in model/methodology		-		-		-	-	-
Changes in scope	1,034	-	3	-	-	-	1,037	-
Other ⁽³⁾	4,286	(1)	62	-	-	-	4,348	(1)
TOTAL	262,931	(126)	3,556	(50)	-	(37)	266,487	(214)
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽⁴⁾	(2,105)		189		1		(1,915)	
BALANCE AT 31 DECEMBER 2021	260,826	(126)	3,745	(50)	1	(37)	264,572	(214)
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-	

(1) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1 which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(2) Originations in Stage 2 could include some originated loans in Stage 1 reclassified in Stage 2 during the period.

(3) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1 which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(4) Includes the impacts of the use of the EIR method (notably the amortisation of premiums/discounts).

Financing commitments

(in millions of euros)	Performing commitments								Total Net amount of commitment (a) + (b)
	Commitments subject to 12-month ECL (Stage 1)		Commitments subject to lifetime ECL (Stage 2)		Provisioned commitments (Stage 3)				
	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment (a)	Loss allowance (b)	
BALANCE AT 31 DECEMBER 2020	213,313	(399)	10,035	(392)	587	(117)	223,935	(908)	223,027
Transfers between stages during the period	(4,734)	(46)	4,719	3	15	(8)	-	(51)	
Transfers from Stage 1 to Stage 2	(7,383)	29	7,383	(110)			-	(81)	
Return to Stage 2 from Stage 1	2,665	(77)	(2,665)	111			-	34	
Transfers to Stage 3 ⁽¹⁾	(25)	3	(22)	3	47	(12)	-	(6)	
Return from Stage 3 to Stage 2/Stage 1	9	(1)	23	(1)	(32)	4	-	2	
TOTAL AFTER TRANSFERS	208,579	(445)	14,754	(389)	602	(125)	223,935	(959)	222,976
Changes in commitments and loss allowances	3,574	41	(1,110)	(118)	(99)	13	2,365	(64)	
New commitments given ⁽²⁾	145,957	(643)	5,019	(989)			150,976	(1,632)	
End of commitments	(146,635)	624	(6,299)	977	(311)	66	(153,245)	1,667	
Write-offs	-	-	-	-	(6)	6	(6)	6	
Changes of cash flows resulting in restructuring due to financial difficulties	(3)	-	(1)	-	(1)	-	(5)	-	
Changes in models' credit risk parameters during the period		67		(93)		(59)	-	(85)	
Changes in model/methodology		-		-		-	-	-	
Changes in scope	(80)	-	-	-	-	-	(80)	-	
Other ⁽³⁾	4,335	(7)	171	(13)	219	-	4,725	(20)	
BALANCE AT 31 DECEMBER 2021	212,153	(404)	13,644	(507)	503	(112)	226,300	(1,023)	225,277

(1) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1 which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(2) New commitments given in Stage 2 could include some originations in Stage 1 reclassified in Stage 2 during the period.

(3) The items on the line "Other" are mainly translation adjustments and, to a lesser extent, changes in value for which a breakdown could not be made.

Guarantee commitments

(in millions of euros)	Performing commitments						Total		
	Commitments subject to 12-month ECL (Stage 1)		Commitments subject to lifetime ECL (Stage 2)		Provisioned commitments (Stage 3)				
	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment (a)	Loss allowance (b)	Net amount of commitment (a) + (b)
BALANCE AT 31 DECEMBER 2020	81,013	(122)	6,586	(226)	1,231	(399)	88,831	(747)	88,084
Transfers between stages during the period	(1,794)	(21)	824	28	970	(33)	(1)	(26)	
Transfers from Stage 1 to Stage 2	(3,095)	13	3,093	(58)			(2)	(45)	
Return to Stage 2 from Stage 1	1,309	(34)	(1,308)	63			1	29	
Transfers to Stage 3 ⁽¹⁾	(11)	-	(1,001)	23	1,013	(35)	-	(12)	
Return from Stage 3 to Stage 2/Stage 1	3	-	40	-	(43)	2	-	2	
TOTAL AFTER TRANSFERS	79,219	(143)	7,410	(198)	2,201	(432)	88,830	(773)	88,057
Changes in commitments and loss allowances	30,707	23	(970)	(63)	(552)	1	29,185	(39)	
New commitments given ⁽²⁾	82,532	(117)	2,206	(186)			84,738	(303)	
End of commitments	(54,402)	99	(3,340)	174	(774)	114	(58,516)	387	
Write-offs	-	-	-	-	(60)	60	(60)	60	
Changes of cash flows resulting in restructuring due to financial difficulties	-	-	-	-	-	(17)	-	(17)	
Changes in models' credit risk parameters during the period		43		(33)		(148)	-	(138)	
Changes in model/methodology		-		-		(1)	-	(1)	
Changes in scope	(59)	-	-	-	(7)	-	(66)	-	
Other ⁽³⁾	2,636	(2)	164	(18)	289	(7)	3,089	(27)	
BALANCE AT 31 DECEMBER 2021	109,926	(120)	6,440	(261)	1,649	(431)	118,015	(812)	117,203

(1) Transfers to Stage 3 correspond to outstanding amounts initially classified as Stage 1 which, during the year, were downgraded directly to Stage 3, or to Stage 2 and later to Stage 3.

(2) New commitments given in Stage 2 could include some originations in Stage 1 reclassified in Stage 2 during the period.

(3) The items on the line "Other" are mainly translation adjustments and, to a lesser extent, changes in value for which a breakdown could not be made.

3.1.2 Maximum exposure to credit risk

An entity's maximum exposure to credit risk represents the carrying amount, net of any impairment loss recognised and without taking account of any collateral held or other credit enhancements (e.g. netting contracts that do not qualify for offset in accordance with IAS 32).

The tables below show the maximum exposures as well as the amount of collateral held and other credit enhancements allowing this exposure to be reduced.

Impaired assets at the end of the reporting period constitute the impaired assets (Stage 3).

Financial assets not subject to impairment requirements (accounted at fair value through profit or loss)

	31/12/2021					
	Maximum exposure to credit risk	Credit risk mitigation				
		Collateral held as security		Other credit enhancement		
		Financial instruments provided as collateral	Mortgages	Pledged securities	Financial guarantees	Credit derivatives
<i>(in millions of euros)</i>						
Financial assets at fair value through profit or loss (excluding equity securities and assets backing unit-linked contracts)	306,698	-	-	1,279	57	-
Held for trading financial assets	226,199	-	-	1,279	-	-
Debt instruments that do not meet the conditions of the "SPPI" test	80,429	-	-	-	57	-
Financial assets designated at fair value through profit or loss	70	-	-	-	-	-
Hedging derivative Instruments	16,023	-	-	-	-	-
TOTAL	322,721	-	-	1,279	57	-

	31/12/2020					
	Maximum exposure to credit risk	Credit risk mitigation				
		Collateral held as security		Other credit enhancement		
		Financial instruments provided as collateral	Mortgages	Pledged securities	Financial guarantees	Credit derivatives
<i>(in millions of euros)</i>						
Financial assets at fair value through profit or loss (excluding equity securities and assets backing unit-linked contracts)	328,068	-	3,864	702	152	-
Held for trading financial assets	251,966	-	-	691	-	-
Debt instruments that do not meet the conditions of the "SPPI" test	76,025	-	3,864	11	152	-
Financial assets designated at fair value through profit or loss	77	-	-	-	-	-
Hedging derivative Instruments	22,965	-	-	1,329	-	-
TOTAL	351,033	-	3,864	2,031	152	-

Financial assets subject to impairment requirements

	31/12/2021					
	Maximum exposure to credit risk	Credit risk mitigation				
		Collateral held as security		Other credit enhancement		
		Financial instruments provided as collateral	Mortgages	Pledged securities	Financial guarantees	Credit derivatives
(in millions of euros)						
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	264,572	-	-	-	39	-
of which impaired assets at the reporting date	1	-	-	-	-	-
Loans and receivables due from credit institutions	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Loans and receivables due from customers	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Debt securities	264,572	-	-	-	39	-
of which impaired assets at the reporting date	1	-	-	-	-	-
FINANCIAL ASSETS AT AMORTISED COST	1,258,283	16,981	263,758	34,660	301,773	907
of which impaired assets at the reporting date	10,216	120	2,294	228	2,181	-
Loans and receivables due from credit institutions	96,703	3,599	-	5,847	3,628	-
of which impaired assets at the reporting date	53	-	-	-	-	-
Loans and receivables due from customers	1,051,592	13,382	263,758	28,813	295,655	907
of which impaired assets at the reporting date	10,160	120	2,294	228	2,181	-
Debt securities	109,988	-	-	-	2,490	-
of which impaired assets at the reporting date	3	-	-	-	-	-
TOTAL	1,522,855	16,981	263,758	34,660	301,812	907
of which impaired assets at the reporting date	10,216	120	2,294	228	2,181	-

	31/12/2020					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial guarantees	Credit derivatives
<i>(in millions of euros)</i>						
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	274,260	-	-	-	44	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Loans and receivables due from credit institutions	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Loans and receivables due from customers	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Debt securities	274,260	-	-	-	44	-
of which impaired assets at the reporting date	-	-	-	-	-	-
FINANCIAL ASSETS AT AMORTISED COST	1,165,650	12,683	239,763	28,733	298,482	700
of which impaired assets at the reporting date	10,499	77	1,790	252	2,589	-
Loans and receivables due from credit institutions	89,954	4,634	-	930	3,302	700
of which impaired assets at the reporting date	50	-	-	-	28	-
Loans and receivables due from customers	965,490	8,049	239,763	27,803	292,444	-
of which impaired assets at the reporting date	10,443	77	1,790	252	2,561	-
Debt securities	110,206	-	-	-	2,736	-
of which impaired assets at the reporting date	5	-	-	-	-	-
TOTAL	1,439,910	12,683	239,763	28,733	298,526	700
of which impaired assets at the reporting date	10,499	77	1,790	252	2,589	-

Off-balance sheet commitments subject to provision requirements

	31/12/2021					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial guarantees	Credit derivatives
<i>(in millions of euros)</i>						
Guarantee commitments	117,203	221	20	406	5,547	1,527
of which provisioned commitments at the reporting date	1,218	1	1	-	6	-
Financing commitments	225,277	2	5,088	2,504	29,578	7,593
of which provisioned commitments at the reporting date	391	-	4	13	35	-
TOTAL	342,480	223	5,108	2,910	35,125	9,120
of which provisioned commitments at the reporting date	1,609	1	4	15	42	-

31/12/2020						
	Maximum exposure to credit risk	Credit risk mitigation				
		Collateral held as security		Other credit enhancement		
		Financial instruments provided as collateral	Mortgages	Pledged securities	Financial guarantees	Credit derivatives
(in millions of euros)						
Guarantee commitments	88,084	36	37	612	4,731	553
of which provisioned commitments at the reporting date	2,856	1	1	93	21	-
Financing commitments	223,027	1	4,891	2,276	21,509	7,827
of which provisioned commitments at the reporting date	471	-	6	17	42	-
TOTAL	311,111	37	4,928	2,888	26,240	8,380
of which provisioned commitments at the reporting date	3,327	1	6	110	63	-

A description of the assets held as collateral is provided in Note 9 "Commitments given and received and other guarantees".

3.1.3 Modified financial assets

Modified financial assets are those assets that have been restructured due to financial difficulties. Loans for which the Crédit Agricole Group changed the initial financial terms (interest rate, term) for economic or legal reasons connected with the borrower's financial difficulties, in a manner that would

not have been considered under other circumstances. They thus consist of loans classified as in default and performing loans at the date they are restructured. (A more detailed definition of restructured loans and their accounting treatment can be found in Note 1.2 "Accounting policies and principles", chapter entitled "Financial instruments – Credit risk".)

For assets restructured during the period, the carrying amount following restructuring consists of:

	Performing assets		
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)
(in millions of euros)			
Loans and receivables due from credit institutions	1	-	-
Gross carrying amount before modification	1	-	-
Net gains (losses) resulting from the modification	-	-	-
Loans and receivables due from customers	9	1,285	1,561
Gross carrying amount before modification	11	1,294	1,577
Net gains (losses) resulting from the modification	(1)	(9)	(16)
Debt securities	1	2	-
Gross carrying amount before modification	-	-	-
Net gains (losses) resulting from the modification	1	2	-

In accordance with the principles set out in Note 1.2 "Accounting policies and principles", chapter entitled "Financial instruments – Credit risk", restructured assets at a stage of impairment corresponding to that of Stage 2 (performing assets) or Stage 3 (impaired assets) may go back into Stage 1 (performing assets). The carrying amount of modified assets affected by this reclassification during the period is:

	Gross carrying amount
	Assets subject to 12-month ECL (Stage 1)
(in millions of euros)	
Restructured assets previously classified in Stage 2 or Stage 3 and reclassified in Stage 1 during the period	
Loans and receivables due from credit institutions	-
Loans and receivables due from customers	4
Debt securities	-
TOTAL	-

3.1.4 Credit risk concentrations

The carrying amounts and commitments are presented net of impairment and provisions.

Exposure to credit risk by category of credit risk

The credit risk categories are presented by probability of default intervals. The correspondence between internal ratings and probability of default intervals is discussed in the chapter entitled "Risk Factors and Pillar 3 – Credit Risk Management" of Crédit Agricole S.A.'s Universal Registration Document.

Financial assets at amortised cost

		At 31 December 2021			
		Carrying amount			
		Performing assets			Total
(in millions of euros)	Credit risk rating grades	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
Retail customers	PD ≤ 0.5%	494,022	5,818	-	499,840
	0.5% < PD ≤ 2%	69,110	18,554	-	87,664
	2% < PD ≤ 20%	24,861	26,077	-	50,938
	20% < PD < 100%	-	2,134	-	2,134
	PD = 100%	-	-	10,906	10,906
TOTAL RETAIL CUSTOMERS		587,993	52,583	10,906	651,482
Non-retail customers	PD ≤ 0.6%	467,005	11,928	(1)	478,932
	0.6% < PD < 12%	96,030	34,225	-	130,255
	12% ≤ PD < 100%	-	5,853	-	5,853
	PD = 100% ⁽¹⁾	-	-	11,222	11,222
TOTAL NON-RETAIL CUSTOMERS		563,035	52,006	11,221	626,262
Impairment		(2,557)	(4,994)	(11,910)	(19,461)
TOTAL		1,148,471	99,595	10,217	1,258,283

(1) Stage 3 includes Credito Valtellinese impaired assets for a gross carrying amount of €1,214 million and a loss allowance of €664 million, which includes a preliminary allocation of the first consolidation goodwill of €378 million for receivables due from customers, i.e. a net book value of €550 million.

		At 31 December 2020			
		Carrying amount			
		Performing assets			Total
(in millions of euros)	Credit risk rating grades	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
Retail customers	PD ≤ 0.5%	422,523	1,216	-	423,739
	0.5% < PD ≤ 2%	96,766	2,167	-	98,933
	2% < PD ≤ 20%	43,355	26,949	-	70,304
	20% < PD < 100%	-	4,848	-	4,848
	PD = 100%	-	-	11,553	11,553
TOTAL RETAIL CUSTOMERS		562,644	35,180	11,553	609,377
Non-retail customers	PD ≤ 0.6%	429,857	5,696	-	435,553
	0.6% < PD < 12%	96,783	22,945	-	119,728
	12% ≤ PD < 100%	-	8,819	-	8,819
	PD = 100%	-	-	12,226	12,226
TOTAL NON-RETAIL CUSTOMERS		526,640	37,460	12,226	576,326
Impairment		(2,412)	(4,358)	(13,283)	(20,053)
TOTAL		1,086,872	68,282	10,496	1,165,650

Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss

		At 31 December 2021			
		Carrying amount			
		Performing assets			Total
(in millions of euros)	Credit risk rating grades	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
Retail customers	PD ≤ 0.5%	-	-	-	-
	0.5% < PD ≤ 2%	-	-	-	-
	2% < PD ≤ 20%	-	-	-	-
	20% < PD < 100%	-	-	-	-
	PD = 100%	-	-	-	-
TOTAL RETAIL CUSTOMERS		-	-	-	-
Non-retail customers	PD ≤ 0.6%	258,983	2,659	-	261,642
	0.6% < PD < 12%	1,843	296	-	2,139
	12% ≤ PD < 100%	-	790	-	790
	PD = 100%	-	-	1	1
TOTAL NON-RETAIL CUSTOMERS		260,826	3,745	1	264,572
TOTAL		260,826	3,745	1	264,572

		At 31 December 2020			
		Carrying amount			
		Performing assets			Total
(in millions of euros)	Credit risk rating grades	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
Retail customers	PD ≤ 0.5%	-	-	-	-
	0.5% < PD ≤ 2%	-	-	-	-
	2% < PD ≤ 20%	-	-	-	-
	20% < PD < 100%	-	-	-	-
	PD = 100%	-	-	-	-
TOTAL RETAIL CUSTOMERS		-	-	-	-
Non-retail customers	PD ≤ 0,6%	271,167	1,157	-	272,324
	0.6% < PD < 12%	746	1,190	-	1,936
	12% ≤ PD < 100%	-	-	-	-
	PD = 100%	-	-	-	-
TOTAL NON-RETAIL CUSTOMERS		271,913	2,347	-	274,260
TOTAL		271,913	2,347	-	274,260

Financing commitments

		At 31 December 2021			
		Amount of commitment			
		Performing commitments			Total
(in millions of euros)	Credit risk rating grades	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
Retail customers	PD ≤ 0.5%	40,986	468	-	41,454
	0.5% < PD ≤ 2%	6,020	784	-	6,804
	2% < PD ≤ 20%	2,472	1,040	-	3,512
	20% < PD < 100%	-	103	-	103
	PD = 100%	-	-	144	144
TOTAL RETAIL CUSTOMERS		49,478	2,395	144	52,017
Non-retail customers	PD ≤ 0.6%	141,922	2,617	-	144,539
	0.6% < PD < 12%	20,753	7,512	-	28,265
	12% ≤ PD < 100%	-	1,120	-	1,120
	PD = 100%	-	-	359	359
TOTAL NON-RETAIL CUSTOMERS		162,675	11,249	359	174,283
Provisions ⁽¹⁾		(404)	(507)	(112)	(1,023)
TOTAL		211,749	13,137	391	225,277

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

		At 31 December 2020			
		Amount of commitment			
		Performing commitments			Total
(in millions of euros)	Credit risk rating grades	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
Retail customers	PD ≤ 0.5%	38,938	113	-	39,051
	0.5% < PD ≤ 2%	6,947	299	-	7,246
	2% < PD ≤ 20%	3,547	1,003	-	4,550
	20% < PD < 100%	-	231	-	231
	PD = 100%	-	-	133	133
TOTAL RETAIL CUSTOMERS		49,432	1,646	133	51,211
Non-retail customers	PD ≤ 0.6%	142,794	1,532	-	144,326
	0.6% < PD < 12%	21,087	5,640	-	26,727
	12% ≤ PD < 100%	-	1,217	-	1,217
	PD = 100%	-	-	454	454
TOTAL NON-RETAIL CUSTOMERS		163,881	8,389	454	172,724
Provisions ⁽¹⁾		(399)	(392)	(117)	(908)
TOTAL		212,914	9,643	470	223,027

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

Guarantee commitments

		At 31 December 2021			
		Amount of commitment			
		Performing commitments			Total
(in millions of euros)	Credit risk rating grades	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
Retail customers	PD ≤ 0.5%	1,666	37	-	1,703
	0.5% < PD ≤ 2%	315	43	-	358
	2% < PD ≤ 20%	137	81	-	218
	20% < PD < 100%	-	7	-	7
	PD = 100%	-	-	112	112
TOTAL RETAIL CUSTOMERS		2,118	168	112	2,398
Non-retail customers	PD ≤ 0.6%	95,643	3,334	-	98,977
	0.6% < PD < 12%	12,165	2,441	-	14,606
	12% ≤ PD < 100%	-	497	-	497
	PD = 100%	-	-	1,537	1,537
TOTAL NON-RETAIL CUSTOMERS		107,808	6,272	1,537	115,617
Provisions ⁽¹⁾		(120)	(261)	(431)	(812)
TOTAL		109,806	6,179	1,218	117,203

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

		At 31 December 2020			
		Amount of commitment			
		Performing commitments			Total
(in millions of euros)	Credit risk rating grades	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
Retail customers	PD ≤ 0.5%	1,559	40	-	1,599
	0.5% < PD ≤ 2%	409	5	-	414
	2% < PD ≤ 20%	156	86	-	242
	20% < PD < 100%	-	13	-	13
	PD = 100%	-	-	114	114
TOTAL RETAIL CUSTOMERS		2,124	144	114	2,382
Non-retail customers	PD ≤ 0.6%	69,334	1,314	-	70,648
	0.6% < PD < 12%	9,555	1,364	-	10,919
	12% ≤ PD < 100%	-	1,741	-	1,741
	PD = 100%	-	-	3,141	3,141
TOTAL NON-RETAIL CUSTOMERS		78,889	4,419	3,141	86,449
Provisions ⁽¹⁾		(122)	(226)	(399)	(747)
TOTAL		80,891	4,337	2,856	88,084

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

Credit risk concentrations by customer type

— Financial assets designated at fair value through profit or loss by customer type

(in millions of euros)	31/12/2021			31/12/2020		
	Carrying amount	Amount of changes in fair value resulting from changes in credit risk		Carrying amount	Amount of changes in fair value resulting from changes in credit risk	
		During the period	Cumulative		During the period	Cumulative
General administration	-	-	-	-	-	-
Central banks	-	-	-	-	-	-
Credit institutions	-	-	-	-	-	-
Large corporates	70	-	-	77	-	-
Retail customers	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS DESIGNATED AT FAIR VALUE THROUGH PROFIT OR LOSS	70	-	-	77	-	-

— Financial assets at amortised cost by customer type

(in millions of euros)	At 31 December 2021			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
General administration	97,546	1,178	82	98,806
Central banks	3,854	-	-	3,854
Credit institutions	120,319	61	440	120,820
Large corporates ⁽¹⁾	341,316	50,767	10,699	402,782
Retail customers	587,993	52,583	10,906	651,482
Impairment	(2,557)	(4,994)	(11,910)	(19,461)
TOTAL	1,148,471	99,595	10,217	1,258,283

(1) Stage 3 includes Credito Valtellinese impaired assets for a gross carrying amount of €1,214 million and a loss allowance of €664 million, which includes a preliminary allocation of the first consolidation goodwill of €378 million for receivables due from customers, i.e. a net book value of €550 million.

(in millions of euros)	At 31 December 2020			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
General administration	90,408	890	98	91,396
Central banks	4,924	-	-	4,924
Credit institutions	117,048	66	411	117,525
Large corporates	314,260	36,504	11,718	362,483
Retail customers	562,644	35,180	11,552	609,376
Impairment	(2,412)	(4,358)	(13,283)	(20,054)
TOTAL	1,086,872	68,282	10,496	1,165,650

— Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss by customer type

	At 31 December 2021			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
(in millions of euros)				
General administration	125,056	886	-	125,942
Central banks	578	433	-	1,011
Credit institutions	67,211	5	-	67,216
Large corporates	67,981	2,421	1	70,403
Retail customers	-	-	-	-
TOTAL	260,826	3,745	1	264,572

	At 31 December 2020			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
(in millions of euros)				
General administration	129,712	694	-	130,406
Central banks	372	378	-	750
Credit institutions	66,945	4	-	66,949
Large corporates	74,884	1,271	-	76,155
Retail customers	-	-	-	-
TOTAL	271,913	2,347	-	274,260

— Due to customers by customer type

(in millions of euros)	31/12/2021	31/12/2020
General administration	17,981	11,773
Large corporates	402,945	377,600
Retail customers	623,640	574,060
TOTAL AMOUNT DUE TO CUSTOMERS	1,044,566	963,433

— Financing commitments by customer type

	At 31 December 2021			
	Amount of commitment			
	Performing commitments			Total
	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
(in millions of euros)				
General administration	7,614	891	1	8,506
Central banks	-	-	-	-
Credit institutions	12,658	-	-	12,658
Large corporates	142,403	10,358	358	153,119
Retail customers	49,478	2,395	144	52,017
Provisions ⁽¹⁾	(404)	(507)	(112)	(1,023)
TOTAL	211,749	13,137	391	225,277

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

At 31 December 2020				
Amount of commitment				
Performing commitments				
(in millions of euros)	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	Total
General administration	6,854	753	-	7,607
Central banks	-	-	-	-
Credit institutions	14,739	-	(1)	14,738
Large corporates	142,288	7,637	454	150,379
Retail customers	49,432	1,645	134	51,211
Provisions ⁽¹⁾	(399)	(392)	(117)	(908)
TOTAL	212,914	9,643	470	223,027

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

— Guarantee commitments by customer type

At 31 December 2021				
Amount of commitment				
Performing commitments				
(in millions of euros)	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	Total
General administration	356	1	4	361
Central banks	433	-	-	433
Credit institutions	10,103	31	20	10,154
Large corporates	96,916	6,240	1,513	104,669
Retail customers	2,118	168	112	2,398
Provisions ⁽¹⁾	(120)	(261)	(431)	(812)
TOTAL	109,806	6,179	1,218	117,203

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

At 31 December 2020				
Amount of commitment				
Performing commitments				
(in millions of euros)	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	Total
General administration	300	-	-	300
Central banks	465	-	-	465
Credit institutions	7,570	32	23	7,625
Large corporates	70,554	4,387	3,118	78,059
Retail customers	2,124	144	114	2,382
Provisions ⁽¹⁾	(122)	(226)	(399)	(747)
TOTAL	80,891	4,337	2,856	88,084

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

Credit risk concentrations by geographical area

— Financial assets at amortised cost by geographical area

	At 31 December 2021			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	845,771	78,412	14,057	938,240
Other European Union countries ⁽¹⁾	169,555	10,836	4,510	184,901
Other European countries	34,148	3,145	448	37,741
North America	31,506	3,983	238	35,727
Central and South America	8,221	2,098	1,384	11,703
Africa and Middle East	19,785	2,344	1,093	23,222
Asia-Pacific (ex. Japan)	35,238	2,607	267	38,112
Japan	4,975	1,164	130	6,269
Supranational organisations	1,829	-	-	1,829
Impairment	(2,557)	(4,994)	(11,910)	(19,461)
TOTAL	1,148,471	99,595	10,217	1,258,283

(1) Stage 3 includes Credito Valtellinese impaired assets for a gross carrying amount of €1,214 million and a loss allowance of €664 million, which includes a preliminary allocation of the first consolidation goodwill of €378 million for receivables due from customers, i.e. a net book value of €550 million.

	At 31 December 2020			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	823,670	51,418	14,577	889,665
Other European Union countries	155,188	9,293	5,679	170,160
Other European countries	20,383	967	346	21,696
North America	29,084	3,356	302	32,742
Central and South America	6,907	2,076	1,212	10,195
Africa and Middle East	17,285	2,505	1,132	20,922
Asia-Pacific (ex. Japan)	30,643	1,829	300	32,772
Japan	4,347	1,196	231	5,774
Supranational organisations	1,777	-	-	1,777
Impairment	(2,412)	(4,358)	(13,283)	(20,053)
TOTAL	1,086,872	68,282	10,496	1,165,650

— Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss by geographical area

	At 31 December 2021			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	126,097	707	1	126,805
Other European Union countries	88,885	1,434	-	90,319
Other European countries	13,397	275	-	13,672
North America	20,702	558	-	21,260
Central and South America	462	-	-	462
Africa and Middle East	780	771	-	1,551
Asia-Pacific (ex. Japan)	5,630	-	-	5,630
Japan	2,524	-	-	2,524
Supranational organisations	2,349	-	-	2,349
TOTAL	260,826	3,745	1	264,572

	At 31 December 2020			
	Carrying amount			
	Performing assets			Total
	Assets subject to 12-month ECL (Stage 1)	Assets subject to lifetime ECL (Stage 2)	Credit-impaired assets (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	134,498	748	-	135,246
Other European Union countries	102,218	952	-	103,170
Other European countries	3,935	-	-	3,935
North America	20,993	6	-	20,999
Central and South America	374	-	-	374
Africa and Middle East	710	641	-	1,351
Asia-Pacific (ex. Japan)	5,351	-	-	5,351
Japan	1,454	-	-	1,454
Supranational organisations	2,380	-	-	2,380
TOTAL	271,913	2,347	-	274,260

— Due to customers by geographic area

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
France (including overseas departments and territories)	783,879	737,768
Other European Union countries	160,460	138,488
Other European countries	31,455	17,906
North America	17,419	23,075
Central and South America	5,889	5,498
Africa and Middle East	16,814	14,111
Asia-Pacific (ex. Japan)	17,888	13,949
Japan	10,757	12,633
Supranational organisations	5	5
TOTAL AMOUNT DUE TO CUSTOMERS	1,044,566	963,433

— Financing commitments by geographic area

	At 31 December 2021			
	Amount of commitment			
	Performing commitments			Total
	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	115,391	5,923	324	121,638
Other European Union countries	39,127	1,830	126	41,083
Other European countries	13,370	889	7	14,266
North America	26,587	2,698	2	29,287
Central and South America	2,495	1,360	39	3,894
Africa and Middle East	6,286	553	4	6,843
Asia-Pacific (ex. Japan)	7,773	391	1	8,165
Japan	1,124	-	-	1,124
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(404)	(507)	(112)	(1,023)
TOTAL	211,749	13,137	391	225,277

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

	At 31 December 2020			
	Amount of commitment			
	Performing commitments			Total
	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	121,138	4,305	361	125,804
Other European Union countries	49,120	1,382	197	50,699
Other European countries	6,403	181	5	6,589
North America	22,734	2,483	3	25,220
Central and South America	1,943	1,231	1	3,175
Africa and Middle East	4,885	435	-	5,320
Asia-Pacific (ex. Japan)	6,219	18	20	6,257
Japan	871	-	-	871
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(399)	(392)	(117)	(908)
TOTAL	212,914	9,643	470	223,027

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

— Guarantee commitments by geographic area

	At 31 December 2021			
	Amount of commitment			
	Performing commitments			Total
	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	46,068	2,642	362	49,072
Other European Union countries	21,184	2,576	1,131	24,891
Other European countries	9,050	287	77	9,414
North America	19,684	559	13	20,256
Central and South America	1,062	99	4	1,165
Africa and Middle East	2,796	72	57	2,925
Asia-Pacific (ex. Japan)	8,728	114	5	8,847
Japan	1,354	91	-	1,445
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(120)	(261)	(431)	(812)
TOTAL	109,806	6,179	1,218	117,203

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

	At 31 December 2020			
	Amount of commitment			
	Performing commitments			Total
	Commitments subject to 12-month ECL (Stage 1)	Commitments subject to lifetime ECL (Stage 2)	Provisioned commitments (Stage 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	36,980	916	506	38,402
Other European Union countries	16,480	1,700	2,613	20,793
Other European countries	3,261	128	-	3,389
North America	11,448	1,267	54	12,769
Central and South America	1,341	2	18	1,361
Africa and Middle East	2,530	108	46	2,684
Asia-Pacific (ex. Japan)	6,946	334	18	7,298
Japan	2,027	108	-	2,135
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(122)	(226)	(399)	(747)
TOTAL	80,891	4,337	2,856	88,084

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

3.1.5 Information on the watch list or individually impaired financial assets

Analysis of watch list or individually impaired financial assets by customer type

(in millions of euros)	Carrying amount at 31/12/2021								
	Assets without significant increase in credit risk since initial recognition (Stage 1)			Assets with significant increase in credit risk since initial recognition but not impaired (Stage 2)			Credit-impaired assets (Stage 3)		
	> 30 days up to			> 30 days up to			> 30 days up to		
	≤ 30 days	≤ 90 days	> 90 days	≤ 30 days	≤ 90 days	> 90 days	≤ 30 days	≤ 90 days	> 90 days
Debt securities	2	-	-	-	13	-	-	-	-
General administration	-	-	-	-	-	-	-	-	-
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	-	-	-	-	-	-	-	-	-
Large corporates	2	-	-	-	13	-	-	-	-
Retail customers	-	-	-	-	-	-	-	-	-
Loans and receivables	5,917	1,013	-	6,076	1,528	8	797	348	4,847
General administration	258	106	-	49	2	-	1	-	20
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	(5)	-	-	-	-	-	-	-	44
Large corporates	3,495	653	-	2,608	829	2	451	95	2,389
Retail customers	2,169	254	-	3,419	697	6	345	253	2,394
TOTAL	5,919	1,013	-	6,076	1,541	8	797	348	4,847

(in millions of euros)	Carrying amount at 31/12/2020								
	Assets without significant increase in credit risk since initial recognition (Stage 1)			Assets with significant increase in credit risk since initial recognition but not impaired (Stage 2)			Credit-impaired assets (Stage 3)		
	> 30 days up to			> 30 days up to			> 30 days up to		
	≤ 30 days	≤ 90 days	> 90 days	≤ 30 days	≤ 90 days	> 90 days	≤ 30 days	≤ 90 days	> 90 days
Debt securities	577	13	-	-	313	-	-	-	-
General administration	-	11	-	-	-	-	-	-	-
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	-	2	-	-	-	-	-	-	-
Large corporates	577	-	-	-	313	-	-	-	-
Retail customers	-	-	-	-	-	-	-	-	-
Loans and receivables	4,101	584	-	4,228	1,183	17	273	404	5,665
General administration	227	66	-	27	1	-	-	1	34
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	8	65	-	-	-	-	-	-	41
Large corporates	2,072	277	-	1,455	482	12	46	169	2,875
Retail customers	1,794	176	-	2,746	700	5	226	235	2,716
TOTAL	4,678	597	-	4,228	1,496	17	273	404	5,665

3.2 Market risk

(See chapter on “Risk management – Market risk”.)

Derivative instruments: analysis by residual maturity

The breakdown of market values of derivative instruments is shown by remaining contractual maturity.

Hedging derivative instruments – Fair value of assets

(in millions of euros)	31/12/2021						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	1,655	4,450	9,203	15,308
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	1,547	4,446	9,195	15,188
Interest rate options	-	-	-	-	-	-	-
Caps, floors, collars	-	-	-	108	4	8	120
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	74	55	19	148
Currency futures	-	-	-	74	55	19	148
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	25	-	-	25
Other	-	-	-	25	-	-	25
SUBTOTAL	-	-	-	1,754	4,505	9,222	15,481
Forward currency transactions	-	-	-	540	1	1	542
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – ASSETS	-	-	-	2,294	4,506	9,223	16,023

(in millions of euros)	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	4,023	4,613	13,841	22,477
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	4,019	4,607	13,834	22,460
Interest rate options	-	-	-	-	-	-	-
Caps, floors, collars	-	-	-	4	6	7	17
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	142	94	14	250
Currency futures	-	-	-	142	94	14	250
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	15	-	-	15
Other	-	-	-	15	-	-	15
SUBTOTAL	-	-	-	4,180	4,707	13,855	22,742
Forward currency transactions	-	-	-	214	2	7	223
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – ASSETS	-	-	-	4,394	4,709	13,862	22,965

Hedging derivative instruments – fair value of liabilities

(in millions of euros)	31/12/2021						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	1,392	5,018	9,787	16,197
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	1,386	5,008	9,786	16,180
Interest rate options	-	-	-	-	-	-	-
Caps, floors, collars	-	-	-	6	4	1	11
Other options	-	-	-	-	6	-	6
Currency instruments	-	-	-	41	37	175	253
Currency futures	-	-	-	41	37	175	253
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	15	-	-	15
Other	-	-	-	15	-	-	15
SUBTOTAL	-	-	-	1,448	5,055	9,962	16,465
Forward currency transactions	-	-	-	353	5	4	362
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – LIABILITIES	-	-	-	1,801	5,060	9,966	16,827

(in millions of euros)	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	2,026	6,387	14,662	23,075
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	2,023	6,380	14,658	23,061
Interest rate options	-	-	-	-	-	-	-
Caps, floors, collars	-	-	-	3	7	4	14
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	141	10	24	175
Currency futures	-	-	-	141	10	24	175
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	35	-	-	35
Other	-	-	-	35	-	-	35
SUBTOTAL	-	-	-	2,202	6,397	14,686	23,285
Forward currency transactions	-	-	-	436	2	2	440
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – LIABILITIES	-	-	-	2,638	6,399	14,688	23,725

Derivative instruments held for trading – fair value of assets

(in millions of euros)	31/12/2021						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	4	2	-	2,930	9,847	40,207	52,990
Futures	-	2	-	-	-	-	2
FRAs	-	-	-	3	-	-	3
Interest rate swaps	-	-	-	2,454	7,607	30,470	40,531
Interest rate options	-	-	-	11	984	8,816	9,811
Caps, floors, collars	-	-	-	462	1,256	879	2,597
Other options	4	-	-	-	-	42	46
Currency instruments and gold	88	15	-	5,102	4,181	4,141	13,527
Currency futures	87	15	-	3,460	3,206	3,738	10,506
Currency options	1	-	-	1,642	975	403	3,021
Other instruments	302	854	98	1,503	6,270	2,207	11,234
Equity and index derivatives	302	854	98	1,255	5,892	1,840	10,241
Precious metal derivatives	-	-	-	35	-	-	35
Commodities derivatives	-	-	-	-	-	-	-
Credit derivatives	-	-	-	31	71	62	164
Other	-	-	-	182	307	305	794
SUBTOTAL	394	871	98	9,535	20,298	46,555	77,751
Forward currency transactions	-	-	-	12,807	1,049	136	13,992
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – ASSETS	394	871	98	22,342	21,347	46,691	91,743

(in millions of euros)	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	5	1	-	4,904	15,622	53,088	73,620
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	3	-	-	3
Interest rate swaps	-	-	-	4,178	12,278	38,379	54,835
Interest rate options	-	-	-	158	2,233	13,429	15,820
Caps, floors, collars	-	-	-	565	1,111	1,280	2,956
Other options	5	1	-	-	-	-	6
Currency instruments and gold	-	-	-	6,625	3,528	3,902	14,055
Currency futures	-	-	-	4,349	2,884	3,564	10,797
Currency options	-	-	-	2,276	644	338	3,258
Other instruments	724	671	128	1,814	5,444	1,957	10,738
Equity and index derivatives	724	671	128	1,511	5,298	1,066	9,398
Precious metal derivatives	-	-	-	96	2	-	98
Commodities derivatives	-	-	-	-	-	-	-
Credit derivatives	-	-	-	18	80	51	149
Other	-	-	-	189	64	840	1,093
SUBTOTAL	729	672	128	13,343	24,594	58,947	98,413
Forward currency transactions	-	-	-	14,793	1,153	175	16,121
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – ASSETS	729	672	128	28,136	25,747	59,122	114,534

Derivative instruments held for trading – fair value of liabilities

(in millions of euros)	31/12/2021						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	2	-	2,116	10,650	40,175	52,943
Futures	-	2	-	-	-	-	2
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	1,445	8,093	28,409	37,947
Interest rate options	-	-	-	461	1,350	10,512	12,323
Caps, floors, collars	-	-	-	210	1,207	1,254	2,671
Other options	-	-	-	-	-	-	-
Currency instruments and gold	99	20	-	3,395	3,611	3,424	10,549
Currency futures	99	20	-	2,136	2,689	3,078	8,022
Currency options	-	-	-	1,259	922	346	2,527
Other instruments	554	764	109	1,435	2,767	1,562	7,191
Equity and index derivatives	554	764	109	572	2,260	1,152	5,411
Precious metal derivatives	-	-	-	45	-	-	45
Commodities derivatives	-	-	-	-	-	-	-
Credit derivatives	-	-	-	207	320	37	564
Other	-	-	-	611	187	373	1,171
SUBTOTAL	653	786	109	6,946	17,028	45,161	70,683
Forward currency transactions	-	-	-	12,436	710	1,109	14,255
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – LIABILITIES	653	786	109	19,382	17,738	46,270	84,938

(in millions of euros)	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	3,647	15,561	52,898	72,106
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	3,145	12,128	35,811	51,084
Interest rate options	-	-	-	180	2,370	15,247	17,797
Caps, floors, collars	-	-	-	319	1,063	1,840	3,222
Other options	-	-	-	3	-	-	3
Currency instruments and gold	-	-	-	4,803	3,311	3,439	11,553
Currency futures	-	-	-	2,860	2,771	3,250	8,881
Currency options	-	-	-	1,943	540	189	2,672
Other instruments	450	750	185	1,458	3,338	1,024	7,205
Equity and index derivatives	450	750	185	896	2,978	778	6,037
Precious metal derivatives	-	-	-	85	2	-	87
Commodities derivatives	-	-	-	-	-	-	-
Credit derivatives	-	-	-	195	318	30	543
Other	-	-	-	282	40	216	538
SUBTOTAL	450	750	185	9,908	22,210	57,361	90,864
Forward currency transactions	-	-	-	15,586	1,321	(44)	16,863
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – LIABILITIES	450	750	185	25,494	23,531	57,317	107,727

Derivative instruments: amount of commitment

	31/12/2021	31/12/2020
	Total notional amount outstanding	Total notional amount outstanding
<i>(in millions of euros)</i>		
Interest rate instruments	12,953,425	11,645,684
Futures	172,185	115,287
FRAs	1,346,821	2,561,506
Interest rate swaps	10,029,103	7,625,143
Interest rate options	745,713	723,536
Caps, floors, collars	488,983	519,805
Other options	170,620	100,407
Currency instruments and gold	551,828	469,974
Currency futures	312,539	253,145
Currency options	239,289	216,829
Other instruments	189,187	176,727
Equity and index derivatives	114,592	117,885
Precious metal derivatives	2,866	3,863
Commodities derivatives	7	4
Credit derivatives	20,958	20,620
Other	50,764	34,355
SUBTOTAL	13,694,440	12,292,385
Forward currency transactions	2,476,281	1,889,485
TOTAL NOTIONAL AMOUNT	16,170,721	14,181,870

Foreign exchange risk

(See chapter on "Risk management – Asset and liability management".)

3.3 Liquidity and financing risk

(See chapter on "Risk management – Asset and liability management".)

Loans and receivables due from credit institutions and due from customers by residual maturity

	31/12/2021					
	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
<i>(in millions of euros)</i>						
Loans and receivables due from credit institutions (including Crédit Agricole internal transactions)	30,489	2,154	63,843	631	-	97,117
Loans and receivables due from customers (including finance leases)	143,164	105,292	368,013	449,583	4,485	1,070,539
TOTAL	173,653	107,446	431,856	450,214	4,485	1,167,656
Impairment						(19,361)
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND FROM CUSTOMERS						1,148,295

	31/12/2020					
	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
<i>(in millions of euros)</i>						
Loans and receivables due from credit institutions (including Crédit Agricole internal transactions)	29,493	2,534	57,345	963	-	90,335
Loans and receivables due from customers (including finance leases)	113,622	119,886	331,417	415,954	4,195	985,074
TOTAL	143,115	122,420	388,762	416,917	4,195	1,075,409
Impairment						(19,965)
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND FROM CUSTOMERS						1,055,444

Due to credit institutions and to customers by residual maturity

	31/12/2021					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
Due to credit institutions	40,821	17,215	152,984	10,172	-	221,192
Due to customers	957,730	39,526	36,986	10,324	-	1,044,566
TOTAL AMOUNT DUE TO CREDIT INSTITUTIONS AND TO CUSTOMERS	998,551	56,741	189,970	20,496	-	1,265,758

	31/12/2020					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
Due to credit institutions	46,415	5,757	139,694	7,076	-	198,942
Due to customers	883,800	40,022	33,312	6,300	(1)	963,433
TOTAL AMOUNT DUE TO CREDIT INSTITUTIONS AND TO CUSTOMERS	930,215	45,779	173,006	13,376	-	1,162,375

Debt securities and subordinated debt

	31/12/2021					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
DEBT SECURITIES						
Interest bearing notes	1	5	7	-	-	13
Interbank securities	977	1,409	3,989	1,487	-	7,862
Negotiable debt securities	48,602	18,611	2,312	104	-	69,629
Bonds	8,199	6,275	50,083	37,259	-	101,816
Other debt securities	433	702	1,223	27	-	2,385
TOTAL DEBT SECURITIES	58,212	27,002	57,614	38,877	-	181,705
SUBORDINATED DEBT						
Dated subordinated debt	121	35	11,731	13,455	-	25,342
Undated subordinated debt	-	-	3	-	335	338
Mutual security deposits	-	-	-	-	191	191
Participating securities and loans	2	-	-	-	-	2
TOTAL SUBORDINATED DEBT	123	35	11,734	13,455	526	25,873

	31/12/2020					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
DEBT SECURITIES						
Interest bearing notes	1	2	8	-	-	11
Interbank securities	986	300	5,847	1,945	-	9,078
Negotiable debt securities	36,163	17,493	2,680	103	-	56,439
Bonds	4,386	7,871	49,205	41,945	-	103,407
Other debt securities	560	723	1,457	121	-	2,861
TOTAL DEBT SECURITIES	42,096	26,389	59,197	44,114	-	171,796
SUBORDINATED DEBT						
Dated subordinated debt	447	1,501	5,872	15,422	-	23,242
Undated subordinated debt	1	-	-	-	410	411
Mutual security deposits	1	-	-	-	180	181
Participating securities and loans	2	-	60	-	-	62
TOTAL SUBORDINATED DEBT	451	1,501	5,932	15,422	590	23,896

Financial guarantees at risk given by expected maturity

The amounts presented correspond to the expected amount of the call of financial guarantees at risk, i.e. guarantees that have been impaired or are on a watch list.

	31/12/2021					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
Financial guarantees given	155	110	-	-	-	265

	31/12/2020					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	Total
Financial guarantees given	110	2,570	-	-	-	2,680

Contractual maturities of derivative instruments are given in Note 3.2 "Market risk".

3.4 Hedge accounting

(See Note 3.2 "Market risk" and chapter on "Risk management – Asset and liability management".)

Fair value hedges

A fair value hedge modifies the risk caused by changes in the fair value of a fixed-rate financial instrument as a result of changes in interest rates. Fair value hedges transform fixed-rate assets or liabilities into floating-rate assets or liabilities.

Items hedged are principally fixed-rate loans, securities, deposits and subordinated debt.

Cash flow hedges

A cash flow hedge modifies the risk related to variability in cash flows arising from floating-rate financial instruments.

Items hedged are principally floating-rate loans and deposits.

Hedge of net investment in foreign currency

A hedge of a net investment in foreign currency modifies the risk inherent in exchange rate fluctuations connected with foreign currency investments in subsidiaries.

Hedging derivative instruments

	31/12/2021			31/12/2020		
	Market value		Notional amount	Market value		Notional amount
(en millions d'euros)	positive	negative		positive	negative	
Fair value hedges	15,052	15,983	980,660	20,795	23,455	978,435
Interest rate	14,726	15,945	961,144	20,584	23,020	957,340
Foreign exchange	326	38	19,516	211	435	21,095
Other	-	-	-	-	-	-
Cash flow hedges	967	794	73,300	2,131	264	59,346
Interest rate	582	252	28,889	1,893	55	25,380
Foreign exchange	360	527	44,277	223	174	33,838
Other	25	15	134	15	35	128
Hedges of net investments in foreign operations	4	50	2,441	39	6	2,910
TOTAL HEDGING DERIVATIVE INSTRUMENTS	16,023	16,827	1,056,401	22,965	23,725	1,040,691

Hedging derivative instruments: analysis by residual maturity (notionals)

The breakdown of notional values of derivative instruments is shown by remaining contractual maturity.

(in millions of euros)	31/12/2021						
	Exchange-traded			Over-the-counter			Total notional
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	50	-	-	341,018	325,632	323,333	990,033
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	50	-	-	340,593	325,160	320,151	985,954
Interest rate options	-	-	-	-	-	-	-
Caps, floors, collars	-	-	-	425	447	3,182	4,054
Other options	-	-	-	-	25	-	25
Currency instruments	-	-	-	11,056	692	7	11,755
Currency futures	-	-	-	11,056	692	7	11,755
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	134	-	-	134
Other	-	-	-	134	-	-	134
SUBTOTAL	50	-	-	352,208	326,324	323,340	1,001,922
Forward currency transactions	-	-	-	42,800	7,866	3,813	54,479
TOTAL NOTIONAL OF HEDGING DERIVATIVES	50	-	-	395,008	334,190	327,153	1,056,401

(in millions of euros)	31/12/2020						
	Exchange-traded			Over-the-counter			Total notional
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	402,804	300,509	279,407	982,720
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	402,370	299,222	276,309	977,901
Interest rate options	-	-	-	-	-	-	-
Caps, floors, collars	-	-	-	434	1,287	3,098	4,819
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	8,218	1,558	9	9,785
Currency futures	-	-	-	8,218	1,558	9	9,785
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	128	-	-	128
Other	-	-	-	128	-	-	128
SUBTOTAL	-	-	-	411,150	302,067	279,416	992,633
Forward currency transactions	-	-	-	44,426	1,682	1,950	48,058
TOTAL NOTIONAL OF HEDGING DERIVATIVES	-	-	-	455,576	303,749	281,366	1,040,691

Note 3.2 "Market risk – Derivative instruments: analysis by residual maturity" breaks down the market value of hedging derivative instruments by remaining contractual maturity.

Fair value hedges

Hedging derivative instruments

(in millions of euros)	31/12/2021			
	Carrying amount		Changes in fair value during the period (including end of hedges during the period)	Notional Amount
	Assets	Liabilities		
Fair value hedges				
Exchange-traded	-	-	-	-
Interest rate	-	-	-	-
Futures	-	-	-	-
Options	-	-	-	-
Foreign exchange	-	-	-	-
Futures	-	-	-	-
Options	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	4,550	7,044	(1,298)	305,483
Interest rate	4,224	7,006	(1,748)	285,967
Futures	4,223	7,006	(1,749)	285,452
Options	1	-	1	515
Foreign exchange	326	38	450	19,516
Futures	326	38	450	19,516
Options	-	-	-	-
Other	-	-	-	-
TOTAL FAIR VALUE MICRO-HEDGING	4,550	7,044	(1,298)	305,483
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	10,502	8,939	2,503	675,177
TOTAL FAIR VALUE HEDGES	15,052	15,983	1,205	980,660

(in millions of euros)	31/12/2020			
	Carrying amount		Changes in fair value during the period (including end of hedges during the period)	Notional Amount
	Assets	Liabilities		
Fair value hedges				
Exchange-traded	-	-	-	-
Interest rate	-	-	-	-
Futures	-	-	-	-
Options	-	-	-	-
Foreign exchange	-	-	-	-
Futures	-	-	-	-
Options	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	7,119	9,027	109	283,475
Interest rate	6,908	8,592	559	262,380
Futures	6,907	8,592	585	261,737
Options	1	-	(26)	643
Foreign exchange	211	435	(450)	21,095
Futures	211	435	(450)	21,095
Options	-	-	-	-
Other	-	-	-	-
TOTAL FAIR VALUE MICRO-HEDGING	7,119	9,027	109	283,475
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	13,676	14,428	(950)	694,960
TOTAL FAIR VALUE HEDGES	20,795	23,455	(841)	978,435

Changes in the fair value of hedging derivatives are recognised under “Net gains (losses) on financial instruments at fair value through profit or loss” in the income statement.

Hedged items

Micro-hedging	31/12/2021			
	Present hedges		Ended hedges	
	Carrying amount	of which accumulated fair value hedge adjustments	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be amortised	Fair value hedge adjustments during the period (including termination of hedges during the period)
<i>(in millions of euros)</i>				
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	38,392	241	-	(424)
Interest rate	38,392	241	-	(424)
Foreign exchange	-	-	-	-
Other	-	-	-	-
Debt instruments at amortised cost	108,742	2,421	61	(1,941)
Interest rate	104,081	2,434	62	(1,671)
Foreign exchange	4,661	(13)	(1)	(270)
Other	-	-	-	-
TOTAL FAIR VALUE HEDGES ON ASSETS ITEMS	147,134	2,662	61	(2,365)
Debt instruments at amortised cost	159,669	2,148	-	(3,647)
Interest rate	147,764	1,905	-	(3,781)
Foreign exchange	11,905	243	-	134
Other	-	-	-	-
TOTAL FAIR VALUE HEDGES ON LIABILITIES ITEMS	159,669	2,148	-	(3,647)

Micro-hedging	31/12/2020			
	Present hedges		Ended hedges	
	Carrying amount	of which accumulated fair value hedge adjustments	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be amortised	Fair value hedge adjustments during the period (including termination of hedges during the period)
<i>(in millions of euros)</i>				
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	36,847	735	-	295
Interest rate	36,847	735	-	296
Foreign exchange	-	-	-	(1)
Other	-	-	-	-
Debt instruments at amortised cost	97,612	4,333	85	1,056
Interest rate	94,037	4,093	85	755
Foreign exchange	3,575	240	-	301
Other	-	-	-	-
TOTAL FAIR VALUE HEDGES ON ASSETS ITEMS	134,459	5,068	85	1,351
Debt instruments at amortised cost	151,641	5,777	1	1,457
Interest rate	140,562	5,735	1	1,604
Foreign exchange	11,079	42	-	(147)
Other	-	-	-	-
TOTAL FAIR VALUE HEDGES ON LIABILITIES ITEMS	151,641	5,777	1	1,457

The fair value of the hedged portions of micro-hedged financial instruments at fair value is recognised in the balance sheet item to which it relates. Changes in the fair value of the hedged portions of micro-hedged financial instruments at fair value are recognised under "Net gains (losses) on financial instruments at fair value through profit or loss" in the income statement.

Macro-hedging	31/12/2021	
	Carrying amount	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be adjusted, on ended hedges
<i>(in millions of euros)</i>		
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	5,790	-
Debt instruments at amortised cost	446,719	488
TOTAL – ASSETS	452,509	488
Debt instruments at amortised cost	227,120	183
TOTAL – LIABILITIES	227,120	183

Macro-hedging	31/12/2020	
	Carrying amount	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be adjusted, on ended hedges
<i>(in millions of euros)</i>		
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	5,874	-
Debt instruments at amortised cost	477,094	616
TOTAL – ASSETS	482,968	616
Debt instruments at amortised cost	235,920	186
TOTAL – LIABILITIES	235,920	186

The fair value of the hedged portions of macro-hedged financial instruments at fair value is recognised under “Revaluation adjustment on interest rate hedged portfolios” on the balance sheet. Changes in the fair value of the hedged portions of macro-hedged financial instruments at fair value are recognised under “Net gains (losses) on financial instruments at fair value through profit or loss” in the income statement.

Gains (Losses) from hedge accounting

	31/12/2021		
	Net Income (Total Gains (losses) from hedge accounting)		
<i>(in millions of euros)</i>	Change in fair value of hedging derivatives (including termination of hedges)	Change in fair value of hedged items (including termination of hedges)	Hedge ineffectiveness portion
Interest rate	757	(846)	(89)
Foreign exchange	450	(405)	45
Other	-	-	-
TOTAL	1,207	(1,251)	(44)

	31/12/2020		
	Net Income (Total Gains (losses) from hedge accounting)		
<i>(in millions of euros)</i>	Change in fair value of hedging derivatives (including termination of hedges)	Change in fair value of hedged items (including termination of hedges)	Hedge ineffectiveness portion
Interest rate	(391)	354	(37)
Foreign exchange	(450)	448	(2)
Other	-	-	-
TOTAL	(841)	802	(39)

Cash flow hedges and hedges of net investments in foreign operations (NIH)

Hedging derivative instruments

(in millions of euros)	31/12/2021			
	Carrying amount		Changes in fair value during the period (including termination of hedges during the period)	Notional amount
	Assets	Liabilities		
Cash flow hedges				
Exchange-traded	-	-	-	50
Interest rate	-	-	-	50
Futures	-	-	-	50
Options	-	-	-	-
Foreign exchange	-	-	-	-
Futures	-	-	-	-
Options	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	442	601	(709)	40,465
Interest rate	59	69	(686)	980
Futures	59	63	(680)	940
Options	-	6	(6)	40
Foreign exchange	358	517	(23)	39,351
Futures	358	517	(23)	39,351
Options	-	-	-	-
Other	25	15	-	134
TOTAL CASH FLOW MICRO-HEDGING	442	601	(709)	40,515
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	523	183	(670)	27,859
Cash flow hedges of the foreign exchange exposure of a portfolio of financial instruments	2	10	(11)	4,926
TOTAL CASH FLOW MACRO-HEDGING	525	193	(681)	32,785
TOTAL CASH FLOW HEDGES	967	794	(1,390)	73,300
HEDGES OF NET INVESTMENTS IN FOREIGN OPERATIONS	4	50	5	2,441

(in millions of euros)	31/12/2020			
	Carrying amount		Changes in fair value during the period (including termination of hedges during the period)	Notional amount
	Assets	Liabilities		
Cash flow hedges				
Exchange-traded	-	-	-	-
Interest rate	-	-	-	-
Futures	-	-	-	-
Options	-	-	-	-
Foreign exchange	-	-	-	-
Futures	-	-	-	-
Options	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	961	245	(167)	31,838
Interest rate	730	52	(209)	3,774
Futures	730	52	(209)	3,759
Options	-	-	-	15
Foreign exchange	216	158	42	27,936
Futures	216	158	42	27,936
Options	-	-	-	-
Other	15	35	-	128
TOTAL CASH FLOW MICRO-HEDGING	961	245	(167)	31,838
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	1,163	3	386	21,606
Cash flow hedges of the foreign exchange exposure of a portfolio of financial instruments	7	16	(83)	5,902
TOTAL CASH FLOW MACRO-HEDGING	1,170	19	303	27,508
TOTAL CASH FLOW HEDGES	2,131	264	136	59,346
HEDGES OF NET INVESTMENTS IN FOREIGN OPERATIONS	39	6	45	2,910

Changes in the fair value of hedging derivatives are recognised under "Other comprehensive income" save for the ineffective portion of the hedging relationship which is recognised under "Net gains (losses) on financial instruments at fair value through profit or loss" in the income statement.

Hedge accounting impacts

(in millions of euros)	31/12/2021		
	Other comprehensive income on items that may be reclassified to profit and loss		Net income (Hedge accounting income or loss)
	Effective portion of the hedge recognised during the period	Amount reclassified from other comprehensive income into profit or loss during the period	Hedge ineffectiveness portion
Cash flow hedges	-	-	-
Interest rate	(1,358)	-	2
Foreign exchange	(34)	-	-
Commodities	-	-	-
Other	-	-	-
Total cash flow hedges	(1,392)	-	2
Hedges of net investments in foreign operations	5	-	-
TOTAL CASH FLOW HEDGES AND HEDGES OF NET INVESTMENTS IN FOREIGN OPERATIONS	(1,387)	-	2

	31/12/2020		
	Other comprehensive income on items that may be reclassified to profit and loss		Net income (Hedge accounting income or loss)
	Effective portion of the hedge recognised during the period	Amount reclassified from other comprehensive income into profit or loss during the period	Hedge ineffectiveness portion
(in millions of euros)			
Cash flow hedges	-	-	-
Interest rate	177	-	-
Foreign exchange	(41)	-	-
Commodities	-	-	-
Other	-	-	-
Total cash flow hedges	136	-	-
Hedges of net investments in foreign operations	45	-	-
TOTAL CASH FLOW HEDGES AND HEDGES OF NET INVESTMENTS IN FOREIGN OPERATIONS	181	-	-

3.5 Operational risks

(See chapter on "Risk management – Operational risks".)

3.6 Capital management and regulatory ratios

The Crédit Agricole S.A. Finance department is tasked with ensuring the adequacy of liquidity and capital between the requirements generated by the Group's global operations and its liquidity and capital financial resources. It is responsible for monitoring the prudential and regulatory ratios (solvency, liquidity, leverage, resolution) of Crédit Agricole Group and of Crédit Agricole S.A. To this end, it sets out the principles and ensures a cohesive financial management system throughout the Group.

Information on capital management and compliance with regulatory ratios as required by IAS 1 is presented in the chapter "Risk factors and Pillar 3".

The Group's management of banking risks is handled by the Group Risk Management and Permanent Controls department. This department reports to the Chief Executive Officer of Crédit Agricole S.A. and its task is to control credit, financial and operational risks.

A description of these processes and commentary appear in the chapter on "Risk management" in the management report, as allowed by IFRS 7. Nonetheless, the accounting breakdowns are still presented in the financial statements.

NOTE 4 NOTES ON NET INCOME AND OTHER COMPREHENSIVE INCOME

4.1 Interest income and expenses

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
On financial assets at amortised cost	24,646	23,664
Interbank transactions	2,603	1,862
Customer transactions	19,860	20,035
Finance leases	1,341	924
Debt securities	842	843
On financial assets recognised at fair value through other comprehensive income	4,630	4,973
Interbank transactions	-	-
Customer transactions	-	-
Debt securities	4,630	4,973
Accrued interest receivable on hedging instruments	2,313	2,803
Other interest income	45	60
INTEREST AND SIMILAR INCOME⁽¹⁾⁽²⁾	31,634	31,500
On financial liabilities at amortised cost	(9,589)	(10,225)
Interbank transactions	(1,414)	(1,093)
Crédit Agricole internal transactions	(13)	-
Customer transactions	(4,814)	(5,259)
Finance leases	(632)	(265)
Debt securities	(2,103)	(3,054)
Subordinated debt	(613)	(554)
Accrued interest receivable on hedging instruments	(2,221)	(2,399)
Other interest expenses	(41)	(86)
INTEREST AND SIMILAR EXPENSES⁽³⁾	(11,851)	(12,710)

(1) Of which €312 million for impaired loans (Stage 3) at 31 December 2021 versus €372 million at 31 December 2020.

(2) Of which €196 million for negative interest on financial liabilities at 31 December 2021 (€924 million at 31 December 2020).

(3) Of which -€1.6 billion for negative interest on financial assets at 31 December 2021 (-€316 million at 31 December 2020).

Interest income includes the catch-up effects arising from the extension of State-guaranteed loans totalling €34.4 million.

4.2 Fee and commission income and expenses

<i>(in millions of euros)</i>	31/12/2021			31/12/2020		
	Income	Expense	Net	Income	Expense	Net
Interbank transactions	290	(89)	201	245	(64)	181
Customer transactions	1,625	(236)	1,389	1,466	(219)	1,247
Securities transactions	36	(137)	(101)	54	(151)	(97)
Foreign exchange transactions	56	(38)	18	51	(39)	12
Derivative instruments and other off-balance sheet items	378	(211)	167	384	(201)	183
Payment instruments and other banking and financial services	7,032	(2,212)	4,820	6,269	(1,908)	4,361
Mutual funds management, fiduciary and similar operations	5,952	(1,695)	4,257	4,903	(1,347)	3,556
TOTAL FEES AND COMMISSIONS INCOME AND EXPENSE	15,371	(4,621)	10,750	13,376	(3,933)	9,443

Asset Gathering and Retail Banking (in France or abroad) are the main contributors of the fee and commission income from customer transactions and transactions involving payment instruments and other banking and financial services.

Fee and commission income from managing UCITS, trusts and similar activities are mainly related to Asset Gathering.

4.3 Net gains (losses) on financial instruments at fair value through profit or loss

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
Dividends received	1,145	962
Unrealised or realised gains (losses) on held for trading assets/liabilities	1,555	2,900
Unrealised or realised gains (losses) on equity instruments at fair value through profit or loss	2,273	(2,740)
Unrealised or realised gains (losses) on debt instruments that do not meet the conditions of the "SPPI" test	3,201	764
Net gains (losses) on assets backing unit-linked contracts	5,854	1,153
Unrealised or realised gains (losses) on assets/liabilities designated at fair value through profit or loss ⁽¹⁾	(270)	(640)
Net gains (losses) on Foreign exchange transactions and similar financial instruments (excluding gains or losses on hedges of net investments in foreign operations)	1,125	92
Gains (losses) from hedge accounting	(44)	(39)
NET GAINS (LOSSES) ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	14,839	2,452

(1) Excluding issuer credit spread for liabilities designated at fair value through profit or loss (unless the standard allows for an exception to eliminate or reduce a mismatch in the income statement).

Analysis of net gains (losses) from hedge accounting:

	31/12/2021		
<i>(in millions of euros)</i>	Gains	Losses	Net
Fair value hedges	11,447	(11,463)	(16)
Changes in fair value of hedged items attributable to hedged risks	6,338	(5,056)	1,282
Changes in fair value of hedging derivatives (including termination of hedges)	5,109	(6,407)	(1,298)
Cash flow hedges	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Hedges of net investments in foreign operations	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	20,800	(20,830)	(30)
Changes in fair value of hedged items	9,095	(11,628)	(2,533)
Changes in fair value of hedging derivatives	11,705	(9,202)	2,503
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	4	(2)	2
Changes in fair value of hedging instrument – ineffective portion	4	(2)	2
TOTAL GAINS (LOSSES) FROM HEDGE ACCOUNTING	32,251	(32,295)	(44)

	31/12/2020		
<i>(in millions of euros)</i>	Gains	Losses	Net
Fair value hedges	9,487	(9,484)	3
Changes in fair value of hedged items attributable to hedged risks	4,234	(4,340)	(106)
Changes in fair value of hedging derivatives (including termination of hedges)	5,253	(5,144)	109
Cash flow hedges	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Hedges of net investments in foreign operations	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	19,129	(19,171)	(42)
Changes in fair value of hedged items	10,141	(9,233)	908
Changes in fair value of hedging derivatives	8,988	(9,938)	(950)
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	-	-	-
Changes in fair value of hedging instrument – ineffective portion	-	-	-
TOTAL GAINS (LOSSES) FROM HEDGE ACCOUNTING	28,617	(28,656)	(39)

Details of gains (losses) from hedge accounting by type of relationship (fair value hedges, cash flow hedges, etc.) are presented in Note 3.4 "Hedge accounting".

4.4 Net gains (losses) on financial instruments at fair value through other comprehensive income

(in millions of euros)	31/12/2021	31/12/2020
Net gains (losses) on debt instruments at fair value through other comprehensive income that may be reclassified subsequently to profit or loss ⁽¹⁾	(29)	585
Remuneration of equity instruments measured at fair value through other comprehensive income that will not be reclassified subsequently to profit or loss (dividends) ⁽²⁾	90	106
NET GAINS (LOSSES) ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	61	691

(1) Excluding realised gains or losses from impaired debt instruments (Stage 3) mentioned in Note 4.9 "Cost of risk".

(2) Of which €3 million dividends on equity instruments at fair value through non-recyclable equity derecognised during the period.

4.5 Net gains (losses) arising from the derecognition of financial assets at amortised cost

(in millions of euros)	31/12/2021	31/12/2020
Debt securities	43	39
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	11	-
Gains arising from the derecognition of financial assets at amortised cost	54	39
Debt securities	(5)	(2)
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	(4)	(4)
Losses arising from the derecognition of financial assets at amortised cost	(9)	(6)
NET GAINS (LOSSES) ARISING FROM THE DERECOGNITION OF FINANCIAL ASSETS AT AMORTISED COST⁽¹⁾	45	33

(1) Excluding realised gains or losses from the derecognition of impaired debt instruments (Stage 3) mentioned in Note 4.9 "Cost of risk".

4.6 Net income (expenses) on other activities

(in millions of euros)	31/12/2021	31/12/2020
Gains (losses) on fixed assets not used in operations	(32)	(25)
Other net income from insurance activities ⁽¹⁾	11,816	6,179
Change in insurance technical reserves ⁽²⁾	(20,846)	(4,625)
Net income from investment property	207	216
Other net income (expense)	367	250
INCOME (EXPENSE) RELATED TO OTHER ACTIVITIES	(8,488)	1,995

(1) The €5,637 million increase in other net income from insurance activities between 31 December 2021 and 31 December 2020 was mainly due to an increase in net inflows in the amount of €6,300 million on the savings/retirement activity.

(2) The -€16,221 million increase in insurance company technical reserves between 31 December 2021 and 31 December 2020 is due mainly to the net positive inflows and the change in valuation adjustments on unit-linked contracts.

4.7 Operating expenses

(in millions of euros)	31/12/2021	31/12/2020
Employee expenses	(13,839)	(12,685)
Taxes other than on income or payroll-related and regulatory contributions ⁽¹⁾	(1,206)	(1,392)
External services and other operating expenses	(6,124)	(5,844)
OPERATING EXPENSES	(21,169)	(19,921)

(1) Of which -€479 million recognised in relation to the Single Resolution Fund at 31 December 2021 (-€566 million at 31 December 2020).

Fees paid to Statutory Auditors

The breakdown of fees paid to Statutory Auditors by firm and type of engagement by fully consolidated Crédit Agricole Group companies was as follows in 2021:

Board of Statutory Auditors of Crédit Agricole Group

(in millions of euros excluding taxes)	Ernst & Young		PricewaterhouseCoopers		Total 2021
	2021	2020	2021	2020	
Statutory audit, certification, review of individual and consolidated financial statements	16.83	19.37	17.69	15.99	34.52
Issuer	2.04	2.16	2.07	2.19	4.11
Fully consolidated subsidiaries	14.79	17.21	15.62	13.80	30.41
Non audit services	8.99	4.97	8.87	7.77	17.86
Issuer	0.67	0.48	1.17	0.95	1.84
Fully consolidated subsidiaries	8.32	4.49	7.70	6.82	16.02
TOTAL	25.82	24.34	26.56	23.76	52.38

The total sum of fees paid to PricewaterhouseCoopers Audit, Statutory Auditor of Crédit Agricole S.A., appearing in the consolidated income statement for the financial year, amounts to €13 million, of which €10.7 million relates to the certification of the accounts of Crédit Agricole S.A. and its subsidiaries, and €2.3 million relates to non-audit services (comfort letters, agreed-upon procedures, responsibility statements, services relating to social and environmental information, consultations, etc.).

The total sum of fees paid to Ernst & Young et Autres, Statutory Auditor of Crédit Agricole S.A., appearing in the consolidated income statement for the financial year, amounts to €10.7 million, of which €8.4 million relates to the certification of the accounts of Crédit Agricole S.A. and its subsidiaries, and €2.3 million relates to non-audit services (comfort letters, agreed-upon procedures, responsibility statements, review of tax returns, consultations, etc.).

Other Statutory Auditors engaged in the audit of fully consolidated Crédit Agricole Group companies

(in millions of euros excluding taxes)	Mazars		KPMG		Deloitte		Autres		Total 2021
	2021	2020	2021	2020	2021	2020	2021	2020	
Statutory audit, certification, review of individual and consolidated financial statements	3.59	2.59	1.81	1.91	0.21	0.24	1.83	1.85	7.44
Non audit services⁽¹⁾	0.31	0.20	0.17	0.28	0.01	-	0.13	0.10	0.62
TOTAL	3.90	2.79	1.98	2.19	0.22	0.24	1.96	1.95	8.06

(1) Non audit services identified in this table correspond to assignments performed by these firms in the companies where they are Statutory Auditors.

4.8 Depreciation, amortisation and impairment of property, plant and equipment and intangible assets

(in millions of euros)	31/12/2021	31/12/2020
Depreciation and amortisation	(1,885)	(1,906)
Property, plant and equipment ⁽¹⁾	(1,390)	(1,440)
Intangible assets	(495)	(466)
Impairment losses (reversals)	(27)	(1)
Property, plant and equipment	(13)	1
Intangible assets	(14)	(2)
DEPRECIATION, AMORTISATION AND IMPAIRMENT OF PROPERTY, PLANT & EQUIPMENT AND INTANGIBLE ASSETS	(1,912)	(1,907)

(1) Of which -€518 million accounted for under the depreciation of the right-of-use asset at 31 December 2021 versus -€564 million at 31 December 2020.

4.9 Cost of risk

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
CHARGES NET OF REVERSALS TO IMPAIRMENTS ON PERFORMING ASSETS (STAGE 1 OR STAGE 2) (A)	(618)	(1,633)
Stage 1: Loss allowance measured at an amount equal to 12-month expected credit loss	(104)	(735)
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	1	(5)
Debt instruments at amortised cost	(111)	(627)
Commitments by signature	6	(103)
Stage 2: Loss allowance measured at an amount equal to lifetime expected credit loss	(514)	(898)
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	2	(1)
Debt instruments at amortised cost	(396)	(750)
Commitments by signature	(120)	(147)
CHARGES NET OF REVERSALS TO IMPAIRMENTS ON CREDIT-IMPAIRED ASSETS (STAGE 3) (B)	(1,442)	(2,007)
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	-	(10)
Debt instruments at amortised cost	(1,356)	(2,027)
Commitments by signature	(86)	30
Other assets (C)	(2)	(10)
Risks and expenses (D)	(65)	55
CHARGES NET OF REVERSALS TO IMPAIRMENT LOSSES AND PROVISIONS (E) = (A) + (B) + (C) + (D)	(2,127)	(3,595)
Realised gains (losses) on disposal of impaired debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	-	-
Realised gains (losses) on impaired debt instruments at amortised cost	-	-
Losses on non-impaired loans and bad debt	(214)	(232)
Recoveries on loans and receivables written off	237	229
recognised at amortised cost	237	229
recognised in other comprehensive income that may be reclassified to profit or loss	-	-
Discounts on restructured loans	(26)	(35)
Losses on commitments by signature	(1)	(1)
Other losses	(69)	(123)
Other gains	7	106
COST OF RISK	(2,193)	(3,651)

4.10 Net gains (losses) on other assets

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
Property, plant & equipment and intangible assets used in operations	2	49
Gains on disposals	38	100
Losses on disposals	(36)	(51)
Consolidated equity investments	(13)	(4)
Gains on disposals	27	11
Losses on disposals	(40)	(15)
Net income (expense) on combinations	(16)	7
NET GAINS (LOSSES) ON OTHER ASSETS	(27)	52

4.11 Taxes

Income tax charge

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
Current tax charge	(2,785)	(2,802)
Deferred tax charge	345	535
Reclassification of current tax charge (income) related to overlay approach	(23)	102
TOTAL TAX CHARGE	(2,463)	(2,165)

Reconciliation of the theoretical tax rate and effective tax rate

At 31 December 2021

<i>(in millions of euros)</i>	Base	Tax rate	Tax
Pre-tax income, goodwill impairment, discontinued operations and share of net income of equity-accounted entities	11,521	28.41%	(3,273)
Impact of permanent differences		(3.88)%	447
Impact of different tax rates on foreign subsidiaries		(0.72)%	83
Impact of losses for the year, utilisation of tax loss carryforwards and temporary differences		0.36%	(41)
Impact of reduced tax rate		(1.45)%	167
Impact of other items		(1.34)%	154
EFFECTIVE TAX RATE AND TAX CHARGE		21.38%	(2,463)

The theoretical tax rate is the standard tax rate (including the additional social contribution) on taxable profits in France at 31 December 2021.

At 31 December 2020

<i>(in millions of euros)</i>	Base	Tax rate	Tax
Pre-tax income, goodwill impairment, discontinued operations and share of net income of equity-accounted entities	8,169	32.02%	(2,616)
Impact of permanent differences		(3.04)%	248
Impact of different tax rates on foreign subsidiaries		(1.80)%	147
Impact of losses for the year, utilisation of tax loss carryforwards and temporary differences		0.65%	(53)
Impact of reduced tax rate		(0.43)%	35
Impact of other items		(0.91)%	74
EFFECTIVE TAX RATE AND TAX CHARGE		26.51%	(2,165)

The theoretical tax rate is the standard tax rate (including the additional social contribution) on taxable profits in France at 31 December 2020.

4.12 Changes in other comprehensive income

The breakdown of income and expenses recognised for the period is presented below:

Breakdown of total other comprehensive income

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX		
Gains and losses on translation adjustments	957	(806)
Revaluation adjustment of the period	957	(806)
Reclassified to profit or loss	-	-
Other changes	-	-
Other comprehensive income on debt instruments that may be reclassified to profit or loss	(1,499)	602
Revaluation adjustment of the period	(1,514)	842
Reclassified to profit or loss	(55)	(181)
Other changes	70	(59)
Gains and losses on hedging derivative instruments	(886)	345
Revaluation adjustment of the period	(886)	348
Reclassified to profit or loss	-	-
Other changes	-	(3)
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	182	(198)
Revaluation adjustment of the period	186	(198)
Reclassified to profit or loss	-	-
Other changes	(4)	-
Pre-tax other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities	103	(135)
Income tax related to items that may be reclassified to profit or loss excluding equity-accounted entities	629	(276)
Income tax related to items that may be reclassified to profit or loss on equity-accounted entities	(3)	1
Other comprehensive income on items that may be reclassified to profit or loss from discontinued operations	(32)	5
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX	(549)	(462)
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX		
Actuarial gains and losses on post-employment benefits	245	(133)
Other comprehensive income on financial liabilities attributable to changes in own credit risk	(13)	(149)
Revaluation adjustment of the period	(14)	(155)
Reclassified to reserves	1	6
Other changes	-	-
Other comprehensive income on equity instruments that will not be reclassified to profit or loss	95	(242)
Revaluation adjustment of the period	80	(189)
Reclassified to reserves	57	36
Other changes	(42)	(89)
Pre-tax other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	24	6
Income tax related to items that will not be reclassified to profit or loss excluding equity-accounted entities	(41)	103
Income tax related to items that will not be reclassified to profit or loss on equity-accounted entities	(14)	(2)
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	(1)	1
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX	295	(416)
OTHER COMPREHENSIVE INCOME NET OF INCOME TAX	(254)	(878)
Of which Group share	(323)	(789)
Of which non-controlling interests	69	(89)

Breakdown of tax impacts related to other comprehensive income

	31/12/2020				Changes				31/12/2021			
	Gross	Income tax charges	Net of income tax	of which Group share	Gross	Income tax charges	Net of income tax	of which Group share	Gross	Income tax charges	Net of income tax	of which Group share
<i>(in millions of euros)</i>												
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS												
Gains and losses on translation adjustments	(694)	(6)	(700)	(588)	957	1	958	909	263	(5)	258	321
Gains and losses on debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	4,253	(1,096)	3,157	3,143	(1,499)	381	(1,118)	(1,112)	2,754	(715)	2,039	2,031
Gains and losses on hedging derivative instruments	1,151	(291)	860	860	(886)	228	(658)	(660)	265	(63)	202	200
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	390	(13)	377	376	182	19	202	202	572	6	578	578
Other comprehensive income on items that may be reclassified to profit or loss excluding equity-accounted entities	5,100	(1,406)	3,694	3,791	(1,246)	629	(617)	(661)	3,854	(777)	3,077	3,130
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities	(154)	2	(152)	(113)	103	(3)	100	90	(51)	(2)	(53)	(23)
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities on discontinued operations	5	-	5	5	(32)	-	(32)	(31)	(26)	-	(26)	(26)
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS	4,951	(1,404)	3,547	3,683	(1,174)	626	(549)	(602)	3,777	(779)	2,998	3,081
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS												
Actuarial gains and losses on post-employment benefits	(1,333)	310	(1,023)	(992)	245	(54)	192	185	(1,087)	255	(832)	(807)
Other comprehensive income on financial liabilities attributable to changes in own credit risk	(363)	98	(265)	(265)	(13)	-	(13)	(13)	(376)	98	(278)	(278)
Other comprehensive income on equity instruments that will not be reclassified to profit or loss	34	(92)	(58)	(49)	95	13	107	98	128	(79)	49	49
Other comprehensive income on items that will not be reclassified to profit or loss excluding equity-accounted entities	(1,662)	316	(1,346)	(1,306)	327	(41)	286	270	(1,335)	274	(1,061)	(1,036)
Other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	(41)	(11)	(52)	(52)	24	(14)	10	10	(17)	(25)	(42)	(42)
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	1	-	1	1	(1)	-	(1)	(1)	-	-	-	-
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS	(1,701)	304	(1,397)	(1,357)	350	(55)	295	279	(1,352)	250	(1,102)	(1,078)
OTHER COMPREHENSIVE INCOME	3,249	(1,099)	2,150	2,326	(824)	571	(254)	(323)	2,425	(529)	1,896	2,003

	31/12/2019				Changes				31/12/2020			
	Gross	Income tax charges	Net of income tax	of which Group share	Gross	Income tax charges	Net of income tax	of which Group share	Gross	Income tax charges	Net of income tax	of which Group share
<i>(in millions of euros)</i>												
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS												
Gains and losses on translation adjustments	111	(4)	107	184	(805)	(2)	(807)	(772)	(694)	(6)	(700)	(588)
Gains and losses on debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	3,650	(969)	2,681	2,672	603	(127)	476	471	4,253	(1,096)	3,157	3,143
Gains and losses on hedging derivative instruments	806	(242)	564	564	345	(49)	296	296	1,151	(291)	860	860
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	588	86	674	671	(198)	(99)	(297)	(295)	390	(13)	377	376
Other comprehensive income on items that may be reclassified to profit or loss excluding equity-accounted entities	5,155	(1,129)	4,026	4,091	(55)	(277)	(332)	(300)	5,100	(1,406)	3,694	3,791
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities	(20)	2	(18)	(13)	(134)	-	(134)	(100)	(154)	2	(152)	(113)
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities on discontinued operations	2	(1)	1	1	3	1	4	4	5	-	5	5
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS	5,137	(1,128)	4,009	4,079	(186)	(276)	(462)	(396)	4,951	(1,404)	3,547	3,683
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS												
Actuarial gains and losses on post-employment benefits	(1,200)	280	(920)	(891)	(133)	30	(103)	(101)	(1,333)	310	(1,023)	(992)
Other comprehensive income on financial liabilities attributable to changes in own credit risk	(214)	58	(156)	(157)	(149)	40	(109)	(108)	(363)	98	(265)	(265)
Other comprehensive income on equity instruments that will not be reclassified to profit or loss	276	(126)	150	138	(242)	34	(208)	(187)	34	(92)	(58)	(49)
Other comprehensive income on items that will not be reclassified to profit or loss excluding equity-accounted entities	(1,138)	212	(926)	(910)	(524)	104	(420)	(396)	(1,662)	316	(1,346)	(1,306)
Other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	(47)	(9)	(56)	(55)	6	(2)	4	4	(41)	(11)	(52)	(52)
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	1	-	1	1	-	-	-	-	1	-	1	1
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS	(1,184)	203	(981)	(964)	(517)	101	(416)	(393)	(1,701)	304	(1,397)	(1,357)
OTHER COMPREHENSIVE INCOME	3,953	(925)	3,028	3,115	(704)	(174)	(878)	(789)	3,249	(1,099)	2,150	2,326

NOTE 5 SEGMENT INFORMATION

Definition of operating segments

According to IFRS 8, information disclosed is based on the internal reporting that is used by the Executive Committee to manage Crédit Agricole Group, to assess performance, and to make decisions about resources to be allocated to the identified operating segments.

Operating segments according to the internal reporting consist of the business lines of the Group.

At 31 December 2021, Crédit Agricole Group's business activities were organised into seven operating segments:

- the following six business lines:
 - French Retail Banking – Regional Banks,
 - French Retail Banking – LCL,
 - International Retail Banking,
 - Asset Gathering,
 - Large customers,
 - Specialised Financial Services;
- as well as the “Corporate Centre”.

Presentation of business lines

1. French Retail Banking – Regional Banks

This business line encompasses the Regional Banks and their subsidiaries.

The Regional Banks represent the bank for individuals, farmers, professionals, businesses and local authorities, with strong local roots.

Crédit Agricole's Regional Banks market the full range of banking and financial products and services: savings products (money market, bonds, securities and funds), financing products (particularly home loans and consumer credit), insurance products (life and non-life insurance), as well as payment instruments, personal services, para-banking services and asset management.

2. French Retail Banking – LCL

LCL is a French Retail Banking network with a strong presence in urban areas. It is organised into four business lines: Retail Banking for individual customers, Retail Banking for small businesses, private banking and corporate banking.

LCL offers a full range of banking products and services, together with asset management, insurance and wealth management products.

3. International Retail Banking

This business line encompasses international subsidiaries and equity investments that are mainly involved in Retail Banking.

These subsidiaries and equity investments are primarily located in Europe: in Italy with Gruppo Bancario Crédit Agricole Italia, Crédit Agricole Polska in Poland, as well as in Ukraine.

Other subsidiaries operate around the Mediterranean, e.g. Crédit du Maroc and Crédit Agricole Egypt.

Finally, this division includes other banks that are not significant in size.

The international consumer credit, leasing and factoring subsidiaries (subsidiaries of Crédit Agricole Consumer Finance, Crédit Agricole Leasing & Factoring and EFL in Poland, etc.) are not included in this segment, but in “Specialised Financial Services”, except Calit in Italy, which is part of International Retail banking.

4. Asset Gathering

This business line brings together:

- the insurance activities of Crédit Agricole Group companies to support customers at every stage of their lives and cover all their property & casualty and life insurance needs in France and abroad, via the following three business lines:

- Savings and retirement,
- Death & disability/creditor/group insurance,
- Property & casualty insurance.

The partnership agreement signed with Europ Assistance in January 2021 means that the Crédit Agricole Assurances group now offers a comprehensive range of assistance services.

- the asset management activities of the Amundi Group, offering savings solutions for retail clients and investment and technology solutions for institutional investors in Europe, Asia and the Americas through a full range of active and passive management services in traditional or real assets. The acquisition of Lyxor on 31 December 2021 will strengthen Amundi's positioning;
- as well as wealth management activities conducted mainly by Indosuez Wealth Management subsidiaries (CA Indosuez (Switzerland) S.A., CA Indosuez Wealth (Europe), CFM Indosuez Wealth and CA Indosuez).

5. Large customers

The Large Customers division includes the Corporate and Investment bank, which itself consists of two main lines of business most of which are carried out by Crédit Agricole CIB, and Asset servicing for institutions and issuers carried out by CACEIS:

- financing activities, which include corporate banking in France and internationally and structured finance. Structured Finance consists of originating, structuring and financing investment transactions often collateralised by physical assets (planes, boats, office buildings, commodities, etc.) and complex and structured credit instruments;
- capital markets and investment banking activities bring together capital market activities (treasury, foreign exchange, interest rate derivatives, bond markets), and investment banking activities (mergers and acquisitions consulting and primary equity advisory);
- financial services for institutional investors and issuers: CACEIS Bank for custody and depositary services, CACEIS Fund Administration for fund administration services and CACEIS Corporate Trust for issuer services. Since 2019, Kas Bank, the activities of Santander Securities Services (“S3”) in Spain and 49.99% of its activities in Latin America are now included in CACEIS.

6. Specialised Financial Services

Specialised Financial Services comprises the Group entities that provide financial products and services to individual customers, small businesses, corporates and local authorities in France and abroad. These concern:

- consumer finance companies around Crédit Agricole Consumer Finance in France and through its international subsidiaries or partnerships (Agos, Creditplus Bank, Credibom, CACF Spain, FCA Bank, GAC Sofinco and Wafasalaf);
- Specialised Financial Services for corporates, such as factoring and lease finance (Crédit Agricole Leasing & Factoring Group, EFL) and financing specifically for energy and the regions, for corporates, local authorities and farmers, who are actors in the energy transition (through Unifergie, a subsidiary of Crédit Agricole Leasing & Factoring). In December 2021, CAL&F consolidated its strategy to be a key player in the usage economy by acquiring 100% of the capital of Olinn, the leading player in comprehensive equipment financing and management solutions.

7. Corporate Centre

This segment encompasses:

- Crédit Agricole S.A.'s Corporate Centre function, asset and liability management and management of debt connected with acquisitions of subsidiaries or equity investments and the net impact of tax consolidation for Crédit Agricole S.A.;
- the results of private equity activities and various other Crédit Agricole Group companies (notably CA Immobilier, Uni-médias, Foncaris, BForBank, etc.);
- the results from services companies including IT and payment companies (CA-GIP and CAPS) and real-estate companies.

The division also includes the technical and volatile impacts related to intragroup transactions.

5.1 Operating segment information

Transactions between operating segments are effected at arm's length.

Segment assets are determined based on balance sheet elements for each operating segment.

(in millions of euros)	31/12/2021							
	French Retail Banking		International Retail Banking	Asset Gathering	Large customers	Specialised Financial Services	Corporate Centre	Total
	Regional Banks	LCL						
Revenues	14,096	3,696	3,180	6,528	6,318	2,692	312	36,822
Operating expenses	(9,074)	(2,371)	(2,331)	(3,012)	(4,036)	(1,402)	(855)	(23,081)
GROSS OPERATING INCOME	5,022	1,325	849	3,516	2,282	1,290	(543)	13,741
Cost of risk	(605)	(222)	(786)	(18)	(39)	(505)	(18)	(2,193)
OPERATING INCOME	4,417	1,103	63	3,498	2,243	785	(561)	11,548
Share of net income of equity-accounted entities	(11)	-	3	84	8	308	-	392
Net gains (losses) on other assets	27	6	(13)	-	(39)	(8)	-	(27)
Change in value of goodwill ⁽¹⁾	-	-	497	-	-	-	-	497
PRE-TAX INCOME	4,433	1,109	550	3,582	2,212	1,085	(561)	12,410
Income tax charge	(1,249)	(309)	198	(643)	(512)	(120)	172	(2,463)
Net income from discontinued operations	-	-	1	5	-	-	-	6
NET INCOME	3,184	800	749	2,944	1,700	965	(389)	9,953
Non-controlling interests	1	-	132	501	57	157	4	852
NET INCOME GROUP SHARE	3,183	800	617	2,443	1,643	808	(393)	9,101

(1) Badwill of €497 million following the acquisition of Credito Valtellinese by CA Italia.

(in millions of euros)	31/12/2021							
	French Retail Banking		International Retail Banking	Asset Gathering	Large customers	Specialised Financial Services	Corporate Centre	Total
	Regional Banks	LCL						
SEGMENT ASSETS	-	-	-	-	-	-	-	-
Of which investments in equity-accounted entities	86	-	-	4,852	276	2,832	-	8,046
Of which goodwill	22	4,354	835	8,067	1,406	1,339	86	16,109
TOTAL ASSETS	831,377	189,870	126,032	536,310	910,516	93,324	(363,872)	2,323,557

	31/12/2020							
	French Retail Banking		International Retail Banking	Asset Gathering	Large customers	Specialised Financial Services	Corporate Centre	Total
(in millions of euros)	Regional Banks	LCL						
Revenues	13,057	3,521	2,723	5,750	6,297	2,526	(278)	33,596
Operating expenses	(8,836)	(2,319)	(1,809)	(2,871)	(3,783)	(1,288)	(922)	(21,828)
GROSS OPERATING INCOME	4,221	1,202	914	2,879	2,514	1,238	(1,200)	11,768
Cost of risk	(1,042)	(390)	(566)	(56)	(829)	(732)	(36)	(3,651)
OPERATING INCOME	3,179	812	348	2,823	1,685	506	(1,236)	8,117
Share of net income of equity-accounted entities	2	-	-	66	7	344	-	419
Net gains (losses) on other assets	(13)	2	72	3	1	(3)	(10)	52
Change in value of goodwill ⁽¹⁾	(3)	-	-	-	-	-	(965)	(968)
PRE-TAX INCOME	3,165	814	420	2,892	1,693	847	(2,211)	7,620
Income tax charge	(1,066)	(252)	(104)	(775)	(277)	(69)	378	(2,165)
Net income from discontinued operations	-	-	(48)	(24)	-	(135)	(55)	(262)
NET INCOME	2,099	562	268	2,093	1,416	643	(1,888)	5,193
Non-controlling interests	3	-	75	362	57	84	(77)	504
NET INCOME GROUP SHARE	2,096	562	193	1,731	1,359	559	(1,811)	4,689

(1) Goodwill Crédit Agricole Italia impairment for -€965 million.

	31/12/2020							
	French Retail Banking		International Retail Banking	Asset Gathering	Large customers	Specialised Financial Services	Corporate Centre	Total
(in millions of euros)	Regional Banks	LCL						
SEGMENT ASSETS	-	-	-	-	-	-	-	-
Of which investments in equity-accounted entities	97	-	-	4,422	262	2,642	-	7,423
Of which goodwill	25	4,354	832	7,326	1,405	1,120	72	15,134
TOTAL ASSETS	781,801	181,650	97,078	518,507	898,364	85,291	(345,179)	2,217,512

5.2 Segment information: geographical analysis

The geographical analysis of segment assets and results is based on the place where operations are booked for accounting purposes.

	31/12/2021				31/12/2020			
(in millions of euros)	Net income Group share	Of which Revenues	Segment assets	Of which goodwill	Net income Group share	Of which Revenues	Segment assets	Of which goodwill
France (including overseas departments and territories)	5,734	26,085	1,918,206	10,313	3,477	23,930	1,841,878	9,942
Italy	1,233	3,705	143,146	1,266	(154)	3,102	109,350	1,241
Other European Union countries	752	2,923	78,049	3,180	569	3,244	94,242	2,712
Other European countries	423	1,558	39,387	788	90	753	22,522	727
North America	400	1,139	57,000	468	277	1,110	65,364	430
Central and South America	(4)	23	1,086	-	76	104	1,391	-
Africa and Middle East	124	477	11,049	38	86	471	10,126	35
Asia-Pacific (ex. Japan)	333	631	33,628	31	219	590	27,838	25
Japan	106	281	42,006	25	49	292	44,801	22
TOTAL	9,101	36,822	2,323,557	16,109	4,689	33,596	2,217,512	15,134

5.3 Insurance specificities

(See chapter on “Risk factors – Insurance sector risks” on managing this sector risk.)

Gross income from insurance activities

	31/12/2021			31/12/2020		
(in millions of euros)	Income statement prior to reclassification of overlay approach	Reclassification related to overlay approach	Income statement post-reclassification of overlay approach	Recognition in accordance with IFRS 9 excluding effect of overlay approach	Effect of overlay approach	Recognition after effect of overlay approach
Written premium	37,130	-	37,130	30,063	-	30,063
Change in unearned premiums	(152)	-	(152)	(223)	-	(223)
Earned premiums	36,978	-	36,978	29,840	-	29,840
Other operating income	164	-	164	236	-	236
Investment income	7,070	(6)	7,064	7,194	(6)	7,188
Investment expenses	(461)	1	(460)	(588)	2	(586)
Gains (losses) on disposals of investments net of impairment and amortisation reversals	(178)	277	99	426	484	910
Change in fair value of investments at fair value through profit or loss	10,119	(1,828)	8,291	(1,776)	2,422	646
Change in impairment on investments	(52)	64	12	26	(483)	(457)
Investment income net of expenses	16,498	(1,492)	15,006	5,282	2,419	7,701
Claims expenses⁽¹⁾	(45,962)	1,324	(44,638)	(28,370)	(2,227)	(30,597)
Revenue from reinsurance operations	706	-	706	670	-	670
Expenses from reinsurance operations	(843)	-	(843)	(862)	-	(862)
Net reinsurance income (expense)	(137)	-	(137)	(192)	-	(192)
Contract acquisition costs	(2,372)	-	(2,372)	(2,350)	-	(2,350)
Amortisation of investment securities and similar	-	-	-	-	-	-
Administration costs	(2,353)	-	(2,353)	(2,257)	-	(2,257)
Other current operating income (expense)	(447)	-	(447)	(491)	-	(491)
Other operating income (expense)	(26)	-	(26)	(7)	-	(7)
OPERATING INCOME	2,343	(168)	2,175	1,691	192	1,883
Financing expenses	(282)	-	(282)	(225)	-	(225)
Share of net income of associates	-	-	-	-	-	-
Income tax charge	(335)	(23)	(358)	(572)	102	(470)
Net income from discontinued or held-for-sale operations	(2)	-	(2)	-	-	-
CONSOLIDATED NET INCOME	1,724	(191)	1,533	894	294	1,188
Non-controlling interests	(75)	-	(75)	80	-	80
NET INCOME GROUP SHARE	1,649	(191)	1,458	814	294	1,108

(1) Including -€24.8 billion of cost of claims at 31 December 2021 (-€23 billion at 31 December 2020), -€1.7 billion of changes in policyholder profit-sharing at 31 December 2021 (-€1 billion at 31 December 2020) and -€17.4 billion of changes in technical reserves at 31 December 2021 (€-6 billion at 31 December 2020).

Breakdown of insurance company investments

(in millions of euros)	31/12/2021	31/12/2020
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	197,794	175,851
Held for trading financial assets	1,389	936
Other financial instruments at fair value through profit or loss	196,405	174,915
HEDGING DERIVATIVE INSTRUMENTS	42	710
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	221,357	232,590
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	221,223	232,355
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	134	235
Financial assets at amortised cost	4,498	5,566
INVESTMENT PROPERTY	7,146	6,373
INVESTMENTS IN ASSOCIATES AND JOINT VENTURE	4,467	4,127
TOTAL INSURANCE COMPANY INVESTMENTS	435,304	425,217

As of 31 December 2021, investments in Insurance entities accounted for by the equity method amount to €4,467 million compared with €4,127 million at 31 December 2020.

	31/12/2021			31/12/2020		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses	Carrying amount	Unrealised gains	Unrealised losses
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	221,223	14,951	(638)	232,355	23,683	(24)
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	134	3	(15)	235	27	(10)
TOTAL OF FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	221,357	14,954	(653)	232,590	23,710	(34)

Reclassification between net income and other comprehensive income for financial assets designated under the overlay approach

	31/12/2021			31/12/2020		
(in millions of euros)	Amount reported for the designated financial assets applying IFRS 9	Amount that would have been reported for the designated financial assets applying IAS 39	Amount reclassified in other comprehensive income applying the overlay approach	Amount reported for the designated financial assets applying IFRS 9	Amount that would have been reported for the designated financial assets applying IAS 39	Amount reclassified in other comprehensive income applying the overlay approach
Investment income	726	720	(6)	756	750	(6)
Investment expenses	(7)	(6)	1	(10)	(8)	2
Gains (losses) on disposals of investments net of impairment and amortisation reversals	84	361	277	(1)	483	484
Change in fair value of investments at fair value through profit or loss	1,828	-	(1,828)	(2,422)	-	2,422
Change in impairment on investments	-	64	64	-	(483)	(483)
Investment income net of expenses	2,631	1,139	(1,492)	(1,677)	742	2,419
Claims expenses			1,324			(2,227)
OPERATING INCOME			(168)			192
Income tax charge			(23)			102
NET INCOME GROUP SHARE			(191)			294

NOTE 6 NOTES TO THE BALANCE SHEET

6.1 Cash, central banks

(in millions of euros)	31/12/2021		31/12/2020	
	Assets	Liabilities	Assets	Liabilities
Cash	4,118	-	4,023	-
Central banks	237,073	1,276	193,769	864
CARRYING AMOUNT	241,191	1,276	197,792	864

6.2 Financial assets and liabilities at fair value through profit or loss

Financial assets at fair value through profit or loss

(in millions of euros)	31/12/2021	31/12/2020
Held for trading financial assets	233,031	258,187
Other financial instruments at fair value through profit or loss	200,103	180,347
Equity instruments	41,895	35,077
Debt instruments that do not meet the conditions of the "SPPI" test	82,147	81,293
Assets backing unit-linked contracts	75,991	63,900
Financial assets designated at fair value through profit or loss	70	77
CARRYING AMOUNT	433,134	438,534
Of which lent securities	1	666

Financial assets held for trading

(in millions of euros)	31/12/2021	31/12/2020
Equity instruments	6,832	6,221
Equities and other variable income securities	6,832	6,221
Debt securities	23,038	18,517
Treasury bills and similar securities	15,091	13,081
Bonds and other fixed income securities	7,883	5,384
Mutual funds	64	52
Loans and receivables	111,418	118,915
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	820	872
Securities bought under repurchase agreements	110,598	118,043
Pledged securities	-	-
Derivative instruments	91,743	114,534
CARRYING AMOUNT	233,031	258,187

Securities acquired under repurchase agreements include those that Crédit Agricole Group is authorised to use as collateral.

Equity instruments at fair value through profit or loss

(in millions of euros)	31/12/2021	31/12/2020
Equities and other variable income securities	26,950	22,407
Non-consolidated equity investments	14,945	12,670
TOTAL EQUITY INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	41,895	35,077

Debt instruments that do not meet the conditions of the "SPPI" test

(in millions of euros)	31/12/2021	31/12/2020
Debt securities	79,205	77,806
Treasury bills and similar securities	227	178
Bonds and other fixed income securities	12,812	13,466
Mutual funds	66,166	64,162
Loans and receivables	2,942	3,488
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	2,942	3,488
Securities bought under repurchase agreements	-	-
Pledged securities	-	-
TOTAL DEBT INSTRUMENTS THAT DO NOT MEET THE CONDITIONS OF THE "SPPI" TEST	82,147	81,294

Financial assets designated at fair value through profit or loss

(in millions of euros)	31/12/2021	31/12/2020
Loans and receivables	-	-
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	-	-
Debt securities	70	77
Treasury bills and similar securities	-	-
Bonds and other fixed income securities	70	77
TOTAL FINANCIAL ASSETS DESIGNATED AT FAIR VALUE THROUGH PROFIT OR LOSS	70	77

Financial liabilities at fair value through profit or loss

(in millions of euros)	31/12/2021	31/12/2020
Held for trading financial liabilities	205,075	227,318
Financial liabilities designated at fair value through profit or loss	38,480	35,842
CARRYING AMOUNT	243,555	263,160

Held for trading financial liabilities

(in millions of euros)	31/12/2021	31/12/2020
Securities sold short	41,933	37,179
Securities sold under repurchase agreements	78,204	82,412
Debt securities	-	-
Due to customers	-	-
Due to credit institutions	-	-
Derivative instruments	84,938	107,727
CARRYING AMOUNT	205,075	227,318

Detailed information on derivative transaction instruments is provided in Note 3.2 relating to market risk, in particular on interest rates.

Financial liabilities designated at fair value through profit or loss

Financial liabilities for which changes in issuer spread are recognised in other comprehensive income and will not be reclassified

	31/12/2021				
(in millions of euros)	Carrying amount	Difference between carrying amount and amount contractually required to pay at maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk	Amount realised at derecognition ⁽¹⁾
Deposits and subordinated liabilities	3,482	-	-	-	-
Deposits	3,482	-	-	-	-
Subordinated liabilities	-	-	-	-	-
Debt securities	22,721	312	387	14	(1)
Other financial liabilities	-	-	-	-	-
TOTAL	26,203	312	387	14	(1)

(1) The amount realised upon derecognition is transferred to consolidated reserves.

	31/12/2020				
(in millions of euros)	Carrying amount	Difference between carrying amount and amount contractually required to pay at maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk	Amount realised at derecognition ⁽¹⁾
Deposits and subordinated liabilities	3,548	-	-	-	-
Deposits	3,548	-	-	-	-
Subordinated liabilities	-	-	-	-	-
Debt securities	21,652	875	363	155	(6)
Other financial liabilities	-	-	-	-	-
TOTAL	25,200	875	363	155	(6)

(1) The amount realised upon derecognition is transferred to consolidated reserves.

Pursuant to IFRS 9, Crédit Agricole Group calculates changes in fair value attributable to changes in own credit risk using a methodology that allows for them to be separated from changes in value attributable to changes in market conditions.

Basis for calculating own credit risk

The source taken into account for the calculation of own credit risk may vary from one issuer to another. Within the Crédit Agricole Group, the source used is the change in its cost of market refinancing based on the type of issuance.

Calculation of unrealised gains/losses on own credit adjustment (recognised in other comprehensive income)

Crédit Agricole Group's preferred approach is based on the liquidity component of issues. All issues are replicated by a group of vanilla loans/borrowings. Changes in fair value attributable to changes in own credit risk of all issues therefore correspond to those of said loans. These are equal to the changes in fair value of the loan book caused by changes in the cost of refinancing.

Calculation of realised gains/losses on own credit risk (recognised in consolidated reserves)

Crédit Agricole Group has elected to transfer fair value changes attributable to changes in own credit risk upon unwinding to consolidated reserves. Accordingly, when there is a total or partial early redemption,

a sensitivity-based calculation is done. This consists of measuring the change in fair value attributable to the changes in own credit risk of a given issuance as being the sum of the credit spread sensitivities multiplied by the change in this spread between the issuance date and the redemption date.

Financial liabilities for which changes in issuer spread are recognised in net income

	31/12/2021			
(in millions of euros)	Carrying amount	Difference between carrying amount and due on maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk
Deposits and subordinated liabilities	12,277	-	-	-
Deposits	12,277	-	-	-
Subordinated liabilities	-	-	-	-
Debt securities	-	-	-	-
Other financial liabilities	-	-	-	-
TOTAL	12,277	-	-	-

	31/12/2020			
(in millions of euros)	Carrying amount	Difference between carrying amount and due on maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk
Deposits and subordinated liabilities	10,642	-	-	-
Deposits	10,642	-	-	-
Subordinated liabilities	-	-	-	-
Debt securities	-	-	-	-
Other financial liabilities	-	-	-	-
TOTAL	10,642	-	-	-

6.3 Hedging derivative instruments

Detailed information is provided in Note 3.4 on "Hedge accounting".

6.4 Financial assets at fair value through other comprehensive income

	31/12/2021		
	Carrying amount	Unrealised gains	Unrealised losses
<i>(in millions of euros)</i>			
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	264,572	15,056	(678)
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	4,128	1,175	(1,076)
TOTAL	268,700	16,231	(1,754)

	31/12/2020		
	Carrying amount	Unrealised gains	Unrealised losses
<i>(in millions of euros)</i>			
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	274,260	23,955	(470)
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	3,649	1,106	(1,073)
TOTAL	277,909	25,061	(1,543)

Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss

	31/12/2021		
	Carrying amount	Unrealised gains	Unrealised losses
<i>(in millions of euros)</i>			
Treasury bills and similar securities	84,413	7,150	(471)
Bonds and other fixed income securities	180,159	7,906	(207)
Total Debt securities	264,572	15,056	(678)
Loans and receivables due from credit institutions	-	-	-
Loans and receivables due from customers	-	-	-
Total Loans and receivables	-	-	-
TOTAL DEBT INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	264,572	15,056	(678)
Income tax charge		(4,079)	213
OTHER COMPREHENSIVE INCOME ON DEBT INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		10,977	(465)

	31/12/2020		
	Carrying amount	Unrealised gains	Unrealised losses
<i>(in millions of euros)</i>			
Treasury bills and similar securities	89,552	10,488	(94)
Bonds and other fixed income securities	184,708	13,468	(376)
Total Debt securities	274,260	23,956	(470)
Loans and receivables due from credit institutions	-	-	-
Loans and receivables due from customers	-	-	-
Total Loans and receivables	-	-	-
TOTAL DEBT INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	274,260	23,955	(470)
Income tax charge		(6,224)	80
OTHER COMPREHENSIVE INCOME ON DEBT INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		17,731	(390)

Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss

Other comprehensive income on equity instruments that cannot be reclassified

	31/12/2021		
	Carrying amount	Unrealised gains	Unrealised losses
<i>(in millions of euros)</i>			
Equities and other variable income securities	892	19	(103)
Non-consolidated equity investments	3,236	1,156	(973)
TOTAL EQUITY INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS	4,128	1,175	(1,076)
Income tax charge		(94)	16
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		1,081	(1,060)

	31/12/2020		
	Carrying amount	Unrealised gains	Unrealised losses
<i>(in millions of euros)</i>			
Equities and other variable income securities	784	17	(95)
Non-consolidated equity investments	2,865	1,089	(978)
TOTAL EQUITY INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS	3,649	1,106	(1,073)
Income tax charge		(107)	16
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		999	(1,057)

Equity instruments derecognised during the period

	31/12/2021		
	Fair value at the date of derecognition	Cumulative gains realised ⁽¹⁾	Cumulative losses realised ⁽¹⁾
<i>(in millions of euros)</i>			
Equities and other variable income securities	4	-	-
Non-consolidated equity investments	105	4	(64)
TOTAL INVESTMENTS IN EQUITY INSTRUMENTS	109	4	(64)
Income tax charge		-	-
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)⁽¹⁾		4	(64)

⁽¹⁾ Realised gains and losses are transferred to consolidated reserves when the instrument in question is derecognised.

	31/12/2020		
	Fair value at the date of derecognition	Cumulative gains realised ⁽¹⁾	Cumulative losses realised ⁽¹⁾
<i>(in millions of euros)</i>			
Equities and other variable income securities	332	-	(11)
Non-consolidated equity investments	61	11	(31)
TOTAL INVESTMENTS IN EQUITY INSTRUMENTS	393	11	(42)
Income tax charge		(1)	6
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)⁽¹⁾		10	(36)

⁽¹⁾ Realised gains and losses are transferred to consolidated reserves when the instrument in question is derecognised.

6.5 Financial assets at amortised cost

(in millions of euros)	31/12/2021	31/12/2020
Loans and receivables due from credit institutions	96,703	89,954
Loans and receivables due from customers ⁽¹⁾	1,051,592	965,490
Debt securities	109,988	110,206
CARRYING AMOUNT	1,258,283	1,165,650

(1) At 31 December 2021, as part of the economic support measures in the wake of the Covid-19 health crisis, the amount of guarantee commitments from the French State (SGL) granted by Crédit Agricole Group totalled €22.3 billion.

Loans and receivables due from credit institutions

(in millions of euros)	31/12/2021	31/12/2020
CREDIT INSTITUTIONS		
Loans and receivables	90,672	81,974
of which non doubtful current accounts in debit ⁽¹⁾	7,236	6,496
of which non doubtful overnight accounts and advances ⁽¹⁾	146	177
Pledged securities	-	1
Securities bought under repurchase agreements	5,879	7,653
Subordinated loans	564	616
Other loans and receivables	2	91
Gross amount	97,117	90,335
Impairment	(414)	(381)
CARRYING AMOUNT	96,703	89,954

(1) These transactions are partly comprised of the item "Net demand loans and deposits with credit institutions" on the Cash Flow Statement.

Loans and receivables due from customers

(in millions of euros)	31/12/2021	31/12/2020
CUSTOMER TRANSACTIONS		
Trade receivables	39,135	23,892
Other customer loans	992,172	922,220
Pledged securities	240	205
Securities bought under repurchase agreements	3,915	3,713
Subordinated loans	171	137
Insurance receivables	151	308
Reinsurance receivables	852	845
Advances in associates' current accounts	831	918
Current accounts in debit	14,229	15,020
Gross amount	1,051,696	967,258
Impairment	(18,401)	(19,034)
NET VALUE OF LOANS AND RECEIVABLES DUE FROM CUSTOMERS	1,033,295	948,224
FINANCE LEASES		
Property leasing	5,281	5,474
Equipment leases, operating leases and similar transactions	13,562	12,342
Gross amount	18,843	17,816
Impairment	(546)	(550)
NET VALUE OF LEASE FINANCING OPERATIONS	18,297	17,266
CARRYING AMOUNT	1,051,592	965,490

Debt securities

(in millions of euros)	31/12/2021	31/12/2020
Treasury bills and similar securities	44,312	39,979
Bonds and other fixed income securities	65,775	70,318
Total	110,087	110,297
Impairment	(99)	(91)
CARRYING AMOUNT	109,988	110,206

6.6 Transferred assets not derecognised or derecognised with ongoing involvement

Transferred assets not derecognised in full at 31 December 2021

	Transferred assets but still fully recognized				
	Transferred assets				
(in millions of euros)	Carrying amount	Of which securitisation (non-deconsolidating)	Of which securities sold/bought under repurchase agreements	Of which other ⁽¹⁾	Fair value ⁽²⁾
Held for trading financial assets	17,526	-	17,526	-	17,526
Equity instruments	326	-	326	-	326
Debt securities	17,200	-	17,200	-	17,200
Loans and receivables	-	-	-	-	-
Other financial instruments at fair value through profit or loss	-	-	-	-	-
Equity instruments	-	-	-	-	-
Debt securities	-	-	-	-	-
Loans and receivables	-	-	-	-	-
Financial assets at fair value through other comprehensive income	17,013	-	17,013	-	16,654
Equity instruments	-	-	-	-	-
Debt securities	17,013	-	17,013	-	16,654
Loans and receivables	-	-	-	-	-
Financial assets at amortised cost	17,999	15,864	2,094	40	18,052
Debt securities	2,134	-	2,094	40	2,134
Loans and receivables	15,865	15,864	-	-	15,918
TOTAL FINANCIAL ASSETS	52,538	15,864	36,633	40	52,232
Finance leases	-	-	-	-	-
TOTAL TRANSFERRED ASSETS	52,538	15,864	36,633	40	52,232

(1) Including securities lending without cash collateral.

(2) When the "counterparty (counterparties) to the associated liabilities has (have) recourse only to the transferred assets (IFRS 7.42D.(d))".

Transferred assets but still fully recognized						Transferred assets recognised to the extent of on the entity's continuing involvement			
Associated liabilities						Assets and associated liabilities			
Carrying amount	Of which securitisation (non- deconsolidating)	Of which securities sold/bought under repurchase agreements	Of which other ⁽¹⁾	Fair value ⁽²⁾	Net fair value ⁽²⁾	Initial total carrying amount of assets prior to transfer	Carrying amount of assets still recognised (continuing involvement)	Carrying amount of associated liabilities	
17,277	-	17,277	-	17,277	249	-	-	-	
303	-	303	-	303	23	-	-	-	
16,974	-	16,974	-	16,974	226	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
17,004	-	17,004	-	17,004	(350)	-	-	-	
-	-	-	-	-	-	-	-	-	
17,004	-	17,004	-	17,004	(350)	-	-	-	
-	-	-	-	-	-	-	-	-	
15,196	13,119	2,077	-	15,196	2,855	-	-	-	
2,077	-	2,077	-	2,077	56	-	-	-	
13,119	13,119	-	-	13,119	2,799	-	-	-	
49,477	13,119	36,358	-	49,477	2,754	-	-	-	
-	-	-	-	-	-	-	-	-	
49,477	13,119	36,358	-	49,477	2,754	-	-	-	

Transferred assets not derecognised in full at 31 December 2020

	Transferred assets but still fully recognized				
	Transferred assets				
(in millions of euros)	Carrying amount	Of which securitisation (non-deconsolidating)	Of which securities sold/bought under repurchase agreements	Of which other ⁽¹⁾	Fair value ⁽²⁾
Held for trading financial assets	14,130	-	14,130	-	14,130
Equity instruments	3,173	-	3,173	-	3,173
Debt securities	10,957	-	10,957	-	10,957
Loans and receivables	-	-	-	-	-
Other financial instruments at fair value through profit or loss	-	-	-	-	-
Equity instruments	-	-	-	-	-
Debt securities	-	-	-	-	-
Loans and receivables	-	-	-	-	-
Financial assets at fair value through other comprehensive income	26,059	-	25,905	154	25,999
Equity instruments	-	-	-	-	-
Debt securities	26,059	-	25,905	154	25,999
Loans and receivables	-	-	-	-	-
Financial assets at amortised cost	15,737	14,152	1,580	5	16,396
Debt securities	1,585	-	1,580	5	1,585
Loans and receivables	14,152	14,152	-	-	14,811
TOTAL FINANCIAL ASSETS	55,926	14,152	41,615	159	56,525
Finance leases	-	-	-	-	-
TOTAL TRANSFERRED ASSETS	55,926	14,152	41,615	159	56,525

(1) Including securities lending without cash collateral.

(2) When the "counterparty (counterparties) to the associated liabilities has (have) recourse only to the transferred assets (IFRS 7.42D.(d))".

Securitisations

Consolidated securitisations with external investors are a transfer of assets within the meaning of the amendment to IFRS 7. The Group effectively has an indirect contractual obligation to deliver to external investors the cash flows from assets sold to the securitisation fund (although these assets are recorded in the Group balance sheet through the consolidation of the fund). Receivables assigned to the securitisation fund are used as collateral for investors.

Fully self-subscribed consolidated securitisations do not constitute a transfer of assets within the meaning of IFRS 7.

Crédit Agricole Consumer Finance Securitisations

At 31 December 2021, Crédit Agricole Consumer Finance managed seventeen consolidated vehicles for securitisation of retail consumer loans and car dealer financing in Europe. Securitisation transactions carried out within Crédit Agricole Consumer Finance Group are not considered to form part of a deconsolidation transaction under IFRS and have therefore been reintegrated into Crédit Agricole S.A. consolidated financial statements.

The carrying amounts of the relevant assets (net of related liabilities) amounted to €2,309 million at 31 December 2021. They include, in particular, outstanding customer loans with a net carrying amount of €4,748 million. The amount of securities mobilised on the market stood at €4,473 million. The value of securities still available to be mobilised stood at €6,420 million.

CA Italia securitisations

At 31 December 2021, Crédit Agricole Italia managed one home loan securitisation vehicle. This securitisation transaction is not considered to form part of a deconsolidation transaction under IFRS and has therefore been reintegrated into the Crédit Agricole S.A. consolidated financial statements.

The carrying amounts of the relevant assets amounted to €12,781 million at 31 December 2021.

FCT Crédit Agricole Habitat 2017, 2018, 2019 and 2020 securitisations

At 31 December 2021, the Regional Banks managed four housing loan securitisation vehicles. These securitisation transactions are not considered to form part of deconsolidation transactions under IFRS and have therefore been reintegrated into the Crédit Agricole Group's consolidated financial statements. The carrying amounts of the relevant assets amounted to €17,955 million at 31 December 2021.

During the year, the Crédit Agricole Group did not recognise any commitments incurred in relation to assets transferred and derecognised in full.

Transferred assets but still fully recognized						Transferred assets recognised to the extent of on the entity's continuing involvement			
Associated liabilities						Assets and associated liabilities			
Carrying amount	Of which securitisation (non- deconsolidating)	Of which securities sold/bought under repurchase agreements	Of which other ⁽¹⁾	Fair value ⁽²⁾	Net fair value ⁽²⁾	Initial total carrying amount of assets prior to transfer	Carrying amount of assets still recognised (continuing involvement)	Carrying amount of associated liabilities	
13,908	-	13,908	-	13,908	222	-	-	-	
3,123	-	3,123	-	3,123	50	-	-	-	
10,785	-	10,785	-	10,785	172	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
25,874	-	25,874	-	25,874	124	-	-	-	
-	-	-	-	-	-	-	-	-	
25,874	-	25,874	-	25,874	124	-	-	-	
-	-	-	-	-	-	-	-	-	
13,457	11,927	1,530	-	13,461	2,936	-	-	-	
1,530	-	1,530	-	1,530	54	-	-	-	
11,927	11,927	-	-	11,931	2,882	-	-	-	
53,239	11,927	41,312	-	53,243	3,282	-	-	-	
-	-	-	-	-	-	-	-	-	
53,239	11,927	41,312	-	53,243	3,282	-	-	-	

6.7 Exposure to sovereign risk

The scope of sovereign exposures recorded covers exposures to Governments, but does not include local authorities. Tax debt is excluded from these amounts. Exposure to sovereign debt corresponds to an exposure net of impairment (carrying amount) presented both gross and net of hedging.

The Group's exposure to sovereign risk is as follows:

Banking activity

31/12/2021	Exposures Banking activity net of impairment						
	Other financial instruments at fair value through profit or loss		Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss	Financial assets at amortised cost	Total banking activity before hedging	Hedging	Total banking activity after hedging
(in millions of euros)	Held-for-trading financial assets	Other financial instruments at fair value through profit or loss					
Germany	-	426	170	394	990	-	990
Saudi Arabia	5	-	-	1,300	1,305	-	1,305
Argentina	-	-	-	42	42	-	42
Austria	9	3	6	312	330	-	330
Belgium	-	20	1,911	2,185	4,116	(62)	4,054
Brazil	12	-	214	122	348	-	348
China	212	-	66	262	540	(1)	539
Egypt	1	8	771	328	1,108	-	1,108
Spain	-	5	83	2,218	2,306	13	2,319
United States	2,780	1	98	906	3,785	(122)	3,663
France	-	933	4,056	19,533	24,522	(613)	23,909
Hong Kong	91	-	-	1,274	1,365	-	1,365
Italy	-	13	3,648	12,719	16,380	(314)	16,066
Japan	182	-	440	1,430	2,052	-	2,052
Lyban	-	-	-	-	-	-	-
Morocco	212	7	202	-	421	-	421
Poland	-	-	772	242	1,014	-	1,014
United Kingdom	-	1	-	-	1	-	1
Russia	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-
Ukraine	-	-	111	233	344	-	344
Venezuela	-	-	-	18	18	-	18
Other sovereign countries	916	228	917	5,154	7,215	(3)	7,212
TOTAL	4,420	1,645	13,465	48,672	68,202	(1,102)	67,100

31/12/2020	Exposures Banking activity net of impairment						
	Other financial instruments at fair value through profit or loss		Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss	Financial assets at amortised cost	Total banking activity before hedging	Hedging	Total banking activity after hedging
(in millions of euros)	Held-for-trading financial assets	Other financial instruments at fair value through profit or loss					
Germany	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	890	890	-	890
Argentina	-	-	-	44	44	-	44
Austria	119	2	3	329	453	(2)	451
Belgium	-	35	2,481	2,206	4,722	(208)	4,514
Brazil	8	-	112	158	278	-	278
China	189	-	34	136	359	(2)	357
Egypt	1	7	641	347	996	-	996
Spain	-	10	1,363	2,278	3,651	(120)	3,531
United States	1,721	1	73	819	2,614	(7)	2,607
France	35	5,928	4,066	20,822	30,851	(744)	30,107
Hong Kong	58	-	-	880	938	(1)	937
Italy	-	56	3,072	8,262	11,390	(286)	11,104
Japan	-	-	246	1,435	1,681	1	1,682
Lyban	-	-	-	-	-	-	-
Morocco	11	23	244	-	278	-	278
Poland	-	-	950	229	1,179	-	1,179
United Kingdom	-	-	-	-	-	-	-
Russia	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-
Ukraine	-	-	78	208	286	-	286
Venezuela	-	-	-	30	30	-	30
Other sovereign countries	1,086	825	1,076	4,961	7,948	(27)	7,921
TOTAL	3,228	6,887	14,439	44,034	68,588	(1,396)	67,192

Insurance activity

For the insurance activity, exposure to sovereign debt is presented as net of impairment, before hedging, and corresponds to an exposure before application of sharing mechanisms between insurer and policyholder specific to life insurance.

Gross exposures		
(in millions of euros)	31/12/2021	31/12/2020
Germany	323	-
Saudi Arabia	-	1
Argentina	6	-
Austria	546	2,486
Belgium	3,992	4,152
Brazil	4	-
China	4	-
Egypt	-	-
Spain	4,648	3,777
United States	60	50
France	50,923	54,728
Hong Kong	-	-
Italy	8,806	9,103
Japan	199	132
Lyban	-	-
Morocco	2	-
Poland	330	325
United Kingdom	3	6
Russia	7	-
Turkey	10	-
Ukraine	-	-
Venezuela	-	1
Other sovereign countries	2,276	3,437
TOTAL EXPOSURES	72,139	78,198

6.8 Financial liabilities at amortised cost

(in millions of euros)	31/12/2021	31/12/2020
Due to credit institutions	221,192	198,942
Due to customers	1,044,566	963,433
Debt securities	181,705	171,796
CARRYING AMOUNT	1,447,463	1,334,171

Due to credit institutions

(in millions of euros)	31/12/2021	31/12/2020
CREDIT INSTITUTIONS		
Accounts and borrowings	203,985	177,124
of which current accounts in credit ⁽¹⁾	7,755	6,591
of which overnight accounts and deposits ⁽¹⁾	4,239	1,953
Pledged securities	-	-
Securities sold under repurchase agreements	17,207	21,818
CARRYING AMOUNT	221,192	198,942

(1) These transactions are partly comprised of the item "Net demand loans and deposits with credit institutions" on the Cash Flow Statement.

As at 31 December 2021, the Group has drawn €162 billion in TLTRO III at the ECB.

Due to customers

(in millions of euros)	31/12/2021	31/12/2020
Current accounts in credit	550,200	495,518
Special savings accounts	349,946	329,528
Other amounts due to customers	139,931	134,106
Securities sold under repurchase agreements	2,124	1,520
Insurance liabilities	973	906
Reinsurance liabilities	676	590
Cash deposits received from ceding and retroceding companies against technical insurance commitments	716	1,265
CARRYING AMOUNT	1,044,566	963,433

Debt securities

(in millions of euros)	31/12/2021	31/12/2020
Interest bearing notes	13	11
Interbank securities	7,862	9,078
Negotiable debt securities	69,629	56,439
Bonds ⁽¹⁾	101,816	103,407
Other debt securities	2,385	2,861
CARRYING AMOUNT	181,705	171,796

(1) Includes issues of covered bonds and issues of senior non-preferred bonds.

The outstanding amount of senior non-preferred securities of Crédit Agricole Group thus stood at €28.8 billion in euro equivalent at 31 December 2021, versus €24.1 billion in euro equivalent at 31 December 2020.

Debt securities issued by Crédit Agricole S.A. and held by insurance entities of the Crédit Agricole Group are eliminated for euro contracts. They were also eliminated when they were backing unit-linked contracts with financial risk borne entirely by the policyholder.

6.9 Information on the offsetting of financial assets and financial liabilities

Offsetting – financial assets

Type of financial instrument (in millions of euros)	31/12/2021					
	Offsetting effects on financial assets covered by master netting agreements and similar agreements					
	Other amounts that can be offset under given conditions					Net amount after all offsetting effects
	Gross amounts of recognised financial assets before offsetting	Gross amounts of recognised financial liabilities set off in the financial statements	Net amounts of financial liabilities presented in the financial statements ⁽³⁾	Gross amounts of financial liabilities covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾⁽²⁾	107,563	-	107,563	74,565	15,264	17,734
Reverse repurchase agreements ⁽⁴⁾	250,750	130,117	120,633	8,906	111,048	679
Securities lent						
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS SUBJECT TO OFFSETTING	358,313	130,117	228,196	83,471	126,312	18,413

(1) Including margin calls but before any XVA impact.

(2) 84% of derivatives on the asset side at the reporting date were subject to offsetting.

(3) The net amount of financial assets shown in the summary statements is equal to the amount shown on the balance sheet as assets.

(4) 99% of repurchase agreements on the assets side at the reporting date were subject to offsetting.

At 31 December 2021, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the so-called "settlement to market" mechanism).

Type of financial instrument (in millions of euros)	31/12/2020					
	Offsetting effects on financial assets covered by master netting agreements and similar agreements					
	Other amounts that can be offset under given conditions					Net amount after all offsetting effects
	Gross amounts of recognised financial assets before offsetting	Gross amounts of recognised financial liabilities set off in the financial statements	Net amounts of financial assets presented in the financial statements ⁽³⁾	Gross amounts of financial liabilities covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾⁽²⁾	137,884	10	137,874	93,630	23,531	20,713
Reverse repurchase agreements ⁽⁴⁾	196,815	67,200	129,616	7,111	121,911	594
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS SUBJECT TO OFFSETTING	334,699	67,210	267,490	100,741	145,442	21,307

(1) Including margin calls but before any XVA impact.

(2) 85% of derivatives on the asset side at the reporting date were subject to offsetting.

(3) The net amount of financial assets shown in the summary statements is equal to the amount shown on the balance sheet as assets.

(4) 99% of repurchase agreements on the assets side at the date were subject to offsetting.

At 31 December 2020, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the so-called "settlement to market" mechanism).

The methodology for identifying/listing financial assets and liabilities covered by master netting agreements and other financial instruments received as collateral was reviewed in 2021. The 2020 note was amended accordingly.

Offsetting – financial liabilities

Type of financial instrument (in millions of euros)	31/12/2021					
	Offsetting effects on financial liabilities covered by master netting agreements and similar agreements					
	Gross amounts of recognised financial assets before offsetting	Gross amounts of recognised financial assets set off in the financial statements	Net amounts of financial liabilities presented in the financial statements ⁽³⁾	Other amounts that can be offset under given conditions		Net amount after all offsetting effects
				Gross amounts of financial assets covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾⁽²⁾	101,732	-	101,732	74,565	18,260	8,906
Repurchase agreements ⁽⁴⁾	227,652	130,117	97,535	8,906	73,207	15,422
Securities borrowed	-	-	-	-	-	-
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL LIABILITIES SUBJECT TO OFFSETTING	329,384	130,117	199,267	83,471	91,467	24,328

(1) Including margin calls but before any XVA impact.

(2) 91% of derivatives on the liabilities side at the reporting date were subject to offsetting.

(3) The net amount of financial liabilities shown in the summary statements is equal to the amount shown on the balance sheet as liabilities.

(4) 93% of repurchase agreements on the liabilities side at the reporting date were subject to offsetting.

At 31 December 2021, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the so-called “settlement to market” mechanism).

Type of financial instrument (in millions of euros)	31/12/2020					
	Offsetting effects on financial liabilities covered by master netting agreements and similar agreements					
	Gross amounts of recognised financial liabilities before offsetting	Gross amounts of recognised financial assets set off in the financial statements	Net amounts of financial liabilities presented in the financial statements ⁽³⁾	Other amounts that can be offset under given conditions		Net amount after all offsetting effects
				Gross amounts of financial assets covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾⁽²⁾	131,476	10	131,466	93,630	25,031	12,805
Repurchase agreements ⁽⁴⁾	172,972	67,200	105,772	7,111	97,518	1,143
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL LIABILITIES SUBJECT TO OFFSETTING	304,448	67,210	237,238	100,741	122,549	13,948

(1) Including margin calls but before any XVA impact.

(2) 90% of derivatives on the liabilities side at the reporting date were subject to offsetting.

(3) The net amount of financial liabilities shown in the summary statements is equal to the amount shown on the balance sheet as liabilities.

(4) 99% of repurchase agreements on the liabilities side at the reporting date were subject to offsetting.

At 31 December 2020, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the so-called “settlement to market” mechanism).

The methodology for identifying/listing financial assets and liabilities covered by master netting agreements and other financial instruments received as collateral was reviewed in 2021. The 2020 note was amended accordingly.

6.10 Current and deferred tax assets and liabilities

(in millions of euros)	31/12/2021	31/12/2020
Current tax	1,808	1,481
Deferred tax	6,305	5,138
TOTAL CURRENT AND DEFERRED TAX ASSETS	8,113	6,619
Current tax	1,380	1,332
Deferred tax	1,633	2,175
TOTAL CURRENT AND DEFERRED TAX LIABILITIES	3,013	3,507

Tax audits

Crédit Agricole CIB Paris tax audit

After an audit of accounts for the 2017 and 2018 financial years, Crédit Agricole CIB was the subject of adjustments as part of proposed corrections received in 2021. Crédit Agricole CIB is disputing the reasoning behind the corrections. A provision has been recognised to cover the estimated risk.

CLSA liability guarantee

In 2013, Crédit Agricole Group sold the CLSA entities to the Chinese group CITICS.

Following tax adjustments made on some CLSA entities in India and the Philippines, CITICS invoked the liability guarantee against Crédit Agricole Group. The adjustments have been challenged with stated arguments. A provision has been recognised to cover the estimated risk.

Crédit Agricole Consumer Finance tax audit

Crédit Agricole Consumer Finance was audited in 2018 and 2019 for the periods 2014-2015 and 2016-2017 respectively, with arrears collected for those periods. In 2021, Crédit Agricole Consumer Finance filed claims with the tax authorities disputing some of those arrears.

Agos Ducato tax audit

Following a prior audit, completed in 2021, Agos Ducato made provisions in its accounts for the impact the audit will have on subsequent years.

Predica tax audit

Predica was the subject of an audit of accounts for the 2015 and 2016 financial years. A proposed correction received in early 2019 remained under dispute. After France's National Tax Commission released an opinion in Predica's favour, the tax authorities dropped their reassessment in 2021 and Predica reversed the corresponding provision.

Net deferred tax assets and liabilities break down as follows:

(in millions of euros)	31/12/2021	31/12/2020
Temporary timing differences – tax	5,872	4,660
Non-deductible accrued expenses	543	370
Non-deductible provisions for liabilities and charges	3,737	3,824
Other temporary differences ⁽¹⁾	1,592	466
Deferred tax on reserves for unrealised gains or losses	(532)	(1,206)
Financial assets at fair value through other comprehensive income	(732)	(1,205)
Cash flow hedges	(64)	(282)
Gains and losses/Actuarial differences	141	190
Other comprehensive income attributable to changes in own credit risk	93	92
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	30	-
Deferred tax on income and reserves	(668)	(491)
of which Reclassification of net gains (losses) of designated financial assets applying the overlay approach	(30)	-
TOTAL DEFERRED TAX	4,672	2,963

(1) The portion of deferred tax related to tax loss carryforwards was €717 million for 2021 compared with €376 million for 2020.

Deferred tax assets are netted on the balance sheet by tax entity.

In order to assess the level of deferred tax assets to be recognised, Crédit Agricole Group takes into account for each company or tax group concerned the applicable tax status and the earnings projections established during the budgetary process.

6.11 Accrued income and expenses and other assets and liabilities

Accruals, prepayments and sundry assets

(in millions of euros)	31/12/2021	31/12/2020
Other assets	35,787	38,184
Inventory accounts and miscellaneous	312	299
Collective management of <i>Livret de développement durable</i> (LDD) savings account and united	-	-
Sundry debtors ⁽¹⁾	32,292	34,531
Settlements accounts	1,171	720
Due from shareholders – unpaid capital	28	-
Other insurance assets	287	327
Reinsurer's share of technical reserves	1,697	2,307
Accruals and deferred income	7,294	7,429
Items in course of transmission	2,633	3,240
Adjustment and suspense accounts	102	298
Accrued income	2,590	2,117
Prepaid expenses	1,010	673
Other accruals prepayments and sundry assets	959	1,101
CARRYING AMOUNT	43,081	45,613

(1) Including €92 million in respect of the contribution to the Single Resolution Fund in the form of a security deposit at 31 December 2021. The Single Resolution Fund may use the security deposit to provide funding unconditionally and at any time.

The estimated impact of the first-time application of the IFRS IC decision of 21 April 2021 resulted in the creation of a surplus asset of €149 million in accruals, prepayments and sundry assets.

Accruals, prepayments and sundry liabilities

(in millions of euros)	31/12/2021	31/12/2020
Other liabilities⁽¹⁾	41,330	37,134
Settlements accounts	1,711	1,769
Sundry creditors	35,947	32,129
Liabilities related to trading securities	1,323	906
Other insurance liabilities	12	12
Lease liabilities	2,337	2,318
Other	-	-
Accruals and deferred income	17,307	17,070
Items in course of transmission ⁽²⁾	3,465	3,742
Adjustment and suspense accounts	1,104	1,144
Unearned income	3,734	3,842
Accrued expenses	7,603	7,020
Other accruals prepayments and sundry assets	1,401	1,322
CARRYING AMOUNT	58,637	54,204

(1) The amounts shown include related debts.

(2) Net amounts are shown.

6.12 Non-current assets held for sale and discontinued operations

Balance sheet of discontinued or held for sale operations

(in millions of euros)	31/12/2021	31/12/2020
Cash, central banks	215	162
Financial assets at fair value through profit or loss	419	11
Hedging derivative Instruments	-	-
Financial assets at fair value through other comprehensive income	704	275
Financial assets at amortised cost	1,308	4,456
Revaluation adjustment on interest rate hedged portfolios	-	-
Current and deferred tax assets	6	32
Accruals, prepayments and sundry assets	222	45
Investments in equity-accounted entities	-	-
Investment property	19	1
Property, plant and equipment	34	46
Intangible assets	38	(11)
Goodwill	-	-
TOTAL ASSETS	2,965	5,017
Central banks	-	408
Financial liabilities at fair value through profit or loss	-	1
Hedging derivative Instruments	-	-
Financial liabilities at amortised cost	1,143	2,878
Revaluation adjustment on interest rate hedged portfolios	-	-
Current and deferred tax liabilities	20	13
Accruals, prepayments and sundry liabilities	103	53
Insurance company technical reserves	1,280	-
Provisions	5	21
Subordinated debt	-	-
Adjustment to fair value of assets held for sale and discontinued operations (excluding taxes)	15	178
TOTAL LIABILITIES AND EQUITY	2,566	3,552
NET ASSET FROM DISCONTINUED OR HELD-FOR-SALE OPERATIONS	399	1,465

Income statement from discontinued operations

(in millions of euros)	31/12/2021	31/12/2020
Revenues	129	59
Operating expenses	(113)	(89)
Depreciation, amortisation and impairment of property, plant & equipment and intangible assets	(23)	(34)
Cost of risk	8	(6)
Pre-tax income	1	(70)
Share of net income of equity-accounted entities	-	-
Net gains (losses) on other assets	26	-
Change in value of goodwill	-	(55)
Income tax charge	(21)	(5)
Net income	6	(130)
Income associated with fair value adjustments of discontinued operations	-	(132)
Net income from discontinued operations	6	(262)
Non-controlling interests	-	-
NET INCOME FROM DISCONTINUED OPERATIONS – GROUP SHARE	6	(262)

Discontinued operations cash flow statement

(in millions of euros)	31/12/2021	31/12/2020
Net cash flows from (used by) operating activities	25	(57)
Net cash flows from (used by) investment activities	(100)	(3)
Net cash flows from (used by) financing activities	(3)	(129)
TOTAL	(78)	(189)

6.13 Joint ventures and associates

Financial information of joint ventures and associates

At 31 December 2021:

- the equity-accounted value of joint ventures totalled €3,306 million (€2,829 million at 31 December 2020);
- the equity-accounted value of associates totalled €4,739 million (€4,594 million at 31 December 2020).

FCA Bank is a joint venture created with Fiat Chrysler Automobiles (FCA), now incorporated into the Stellantis group. The company operates in 18 European countries and manages all financing activities for dealers and customers of brands from the FCA group: Fiat, Lancia, Alfa Romeo, Maserati, Chrysler,

Jeep Europe, as well as brands from other constructors developed under private labelling agreements (Jaguar Land Rover, Ferrari, Morgan, Hymer etc.), across varying geographical scopes. As indicated in Note 2.3 (See "Highlights") the nature of the partnership with Stellantis will inevitably evolve due to agreements that are still being negotiated and that will not be implemented until the beginning of 2023. The equity-accounted value of the investment in FCA Bank was tested under existing agreements; this value would not be called into question by taking into account the conditions envisaged for the transaction under negotiation.

Material associates and joint ventures are presented in the table below. These are the main joint ventures and associates that make up the "Equity-accounted value on the balance sheet".

	31/12/2021					
(in millions of euros)	% of interest	Equity-accounted value	Share of market value	Dividends paid to Group's entities	Share of net income ⁽¹⁾	Share of shareholders' equity ⁽²⁾
Joint ventures						
FCA Bank	50.0%	2,243	-	140	246	1,931
S3 Latam Holdco 1	34.7%	276	-	-	8	541
SCI Paul Cézanne	49.0%	322	350	-	5	81
Others		465	-	19	32	643
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES (JOINT VENTURES)		3,306			291	3,196
Associates						
Icade	19.1%	945	919	57	39	552
Korian	24.4%	875	718	8	15	829
Ramsay Générale de Santé	39.8%	697	941	-	26	426
Altarea	24.7%	635	839	41	(17)	457
GAC Sofinco Auto Finance Co. (ex-GAC CACF)	50.0%	447	-	27	54	447
SCI Heart of La Défense	33.3%	189	227	13	(62)	189
Frey	22.4%	175	183	7	7	172
ABC-CA Fund Management Co.	23.2%	180	-	9	28	180
Wafasalaf	49.0%	137	-	9	13	78
SBI Funds Management Private Limited	25.6%	174	-	6	47	149
Others		286		32	(18)	164
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		4,740			132	3,643
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		8,046			423	6,839

(1) The share of net income from policyholders' deferred profit sharing of the joint ventures and associates of the Asset Gathering activities are classified as revenues in the income statement.

(2) Shareholders' equity Group share in the financial statements of the joint venture or associate when the joint venture or associate is a sub-group.

The market value shown in the table above is the quoted price of the shares on the market at 31 December 2021. This value may not be representative of the selling value since the value in use of equity-accounted entities may be different from the equity-accounted value determined pursuant to IAS 28.

Investments in equity-accounted entities were subject to impairment tests, in case of an indication of impairment, using the same methodology as for goodwill.

	31/12/2020					
(in millions of euros)	% of interest	Equity-accounted value	Share of market value	Dividends paid to Group's entities	Share of net income ⁽¹⁾	Share of shareholders' equity ⁽²⁾
Joint ventures⁽²⁾						
FCA Bank	50.0%	2,117	-	-	307	1,811
S3 Latam Holdco 1	34.8%	262	-	-	7	525
Others		450	-	16	(10)	550
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES (JOINT VENTURES)		2,829			304	2,886
Associates						
Icade	19.0%	935	892	56	49	544
Korian	24.3%	768	801	-	18	728
Ramsay Générale de Santé	39.6%	669	785	-	5	401
Altarea	24.7%	583	613	37	5	486
GAC Sofinco Auto Finance Co. (ex-GAC CACF)	50.0%	375	-	26	52	375
SCI Heart of La Défense	33.3%	264	230	10	4	264
Frey	19.4%	146	143	7	6	144
ABC-CA Fund Management Co.	23.2%	143	-	-	16	143
Wafasalaf	49.0%	127	-	-	(9)	71
SBI Funds Management Private Limited	25.8%	123	-	6	39	99
Others		461	-	52	18	251
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		4,594			203	3,506
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		7,423			507	6,392

(1) The share of net income from policyholders' deferred profit sharing of the associates of the Asset Gathering activities are classified as revenues in the income statement.

(2) Shareholders' equity Group share in the financial statements of the joint venture or associate when the joint venture or associate is a sub-group.

Condensed financial information for the material associates and joint ventures of Crédit Agricole Group is shown below:

	31/12/2021			
(in millions of euros)	Revenues	Net income	Total assets	Total Equity
Joint ventures				
FCA Bank	800	494	24,165	3,863
S3 Latam Holdco 1	90	39	1,215	1,082
SCI Paul Cézanne	9	9	185	176
Associates				
Icade	207	207	12,571	3,737
Korian	61	61	13,738	3,606
Ramsay Générale de Santé	65	65	6,682	1,099
Altarea	(69)	(69)	8,832	2,729
GAC Sofinco Auto Finance Co. (ex-GAC CACF)	252	108	6,155	266
SCI Heart of La Défense	(185)	(185)	1,762	685
Frey	31	31	1,590	821
ABC-CA Fund Management Co.	220	85	616	541
Wafasalaf	112	27	1,595	159
SBI Funds Management Private Limited	218	123	433	404

	31/12/2020			
(in millions of euros)	Revenues	Net income	Total assets	Total Equity
Joint ventures				
FCA Bank	836	501	25,767	3,622
S3 Latam Holdco 1	77	29	1,182	1,049
Associates				
Icade	258	258	12,429	3,715
Korian	74	74	11,884	2,620
Ramsay Générale de Santé	13	13	6,715	1,037
Altarea	19	19	9,114	2,939
GAC Sofinco Auto Finance Co. (ex-GAC CACF)	233	104	6,338	789
SCI Heart of La Défense	13	13	1,880	795
Frey	31	31	1,430	743
ABC-CA Fund Management Co.	98	48	512	430
Wafasalaf	102	(18)	1,224	145
SBI Funds Management Private Limited	170	104	301	269

Significant restrictions on joint ventures and associates

The Crédit Agricole Group is subject to the following restrictions:

Regulatory constraints

The subsidiaries of Crédit Agricole Group are subject to prudential regulation and regulatory capital requirements in their host countries. The minimum equity capital (solvency ratio), leverage ratio and liquidity ratio requirements limit the capacity of these entities to pay dividends or to transfer assets to Crédit Agricole Group.

Legal constraints

The subsidiaries of Crédit Agricole Group are subject to legal provisions concerning the distribution of capital and distributable earnings. These requirements limit the ability of the subsidiaries to distribute dividends. In the majority of cases, these are less restrictive than the regulatory limitations mentioned above.

Restriction on assets backing unit-linked contracts for the Insurance business

Assets backing unit-linked contracts of Crédit Agricole Group are held for the benefit of policyholders. Assets of the insurance subsidiaries of Crédit Agricole Group are mainly held for satisfying their obligation towards their policyholders. Assets transfers to other entities are possible following the legal conditions. However, in case of a transfer, a part of the profit due to the transfer must be intended for the policyholders.

6.14 Investment property

(in millions of euros)	31/12/2020	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements	31/12/2021
Gross amount	7,933	168	1,484	(617)	-	(8)	8,960
Depreciation and impairment	(571)	(55)	(48)	11	-	(5)	(668)
CARRYING AMOUNT⁽¹⁾	7,362	113	1,436	(606)	-	(13)	8,292

(1) Including investment property let to third parties.

(in millions of euros)	31/12/2019	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements	31/12/2020
Gross amount	7,787	108	392	(352)	-	(2)	7,933
Depreciation and impairment	(511)	(30)	(46)	19	-	(3)	(571)
CARRYING AMOUNT⁽¹⁾	7,276	78	346	(333)	-	(5)	7,362

(1) Including investment property let to third parties.

Fair value of investment properties

The market value of investment property recorded at amortised cost, as valued by “expert appraisers”, was €12,969 million at 31 December 2021 compared to €11,379 million at 31 December 2020.

(in millions of euros)		31/12/2021	31/12/2020
Quoted prices in active markets for identical instruments	Level 1	4	2
Valuation based on observable data	Level 2	12,527	11,138
Valuation based on unobservable data	Level 3	438	239
MARKET VALUE OF INVESTMENT PROPERTIES		12,969	11,379

All investment property are recognised at cost in the balance sheet.

6.15 Property, plant & equipment and intangible assets (excluding goodwill)

Property, plant and equipment used in operations includes the rights of use of assets leased as lessee.

Depreciation and impairment of property, plant and equipment is presented including depreciation on property, plant and equipment leased under operating leases.

(in millions of euros)	31/12/2020	Changes in scope	Increases (acquisitions) ⁽¹⁾	Decreases (disposals and redemptions)	Translation adjustments	Other movements ⁽¹⁾	31/12/2021
PROPERTY, PLANT & EQUIPMENT USED IN OPERATIONS							
Gross amount	22,479	680	1,743	(850)	90	76	24,218
Depreciation and impairment	(11,940)	(373)	(1,450)	544	(50)	(40)	(13,309)
CARRYING AMOUNT	10,539	307	293	(306)	40	36	10,909
INTANGIBLE ASSETS							
Gross amount	9,219	239	759	(443)	17	(55)	9,736
Depreciation and impairment	(5,788)	(115)	(586)	300	(9)	(55)	(6,253)
CARRYING AMOUNT	3,431	124	173	(143)	8	(110)	3,483

(1) Of which €40.2 million of intangible fixed assets resulting from the preliminary allocation of the goodwill on the initial consolidation of Lyxor by Amundi.

(in millions of euros)	31/12/2019	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements ⁽¹⁾	31/12/2020
PROPERTY, PLANT & EQUIPMENT USED IN OPERATIONS							
Gross amount	21,187	177	1,810	(1,149)	(117)	571	22,479
Depreciation and impairment	(11,034)	(67)	(1,415)	567	60	(51)	(11,940)
CARRYING AMOUNT	10,153	110	395	(582)	(57)	520	10,539
INTANGIBLE ASSETS							
Gross amount	8,816	98	685	(334)	(27)	(44)	9,219
Depreciation and impairment	(5,433)	(1)	(544)	238	15	(38)	(5,788)
CARRYING AMOUNT	3,383	97	141	(96)	(12)	(82)	3,431

(1) Taking into account the effects of first-time adoption of the IFRS IC decision of 26 November 2019 respecting the duration of IFRS 16 leases, the balance of right of use assets in the balance sheet would have been €2,466 million at 31 December 2019 (versus €1,898 million before application of the IFRS IC decision).

6.16 Goodwill

(in millions of euros)	31/12/2020 gross	31/12/2020 net	Increases (acquisitions)	Decreases (Divestments)	Impairment losses during the period	Translation adjustments	Other movements	31/12/2021 gross	31/12/2021 net
French Retail Banking	5,595	4,379	5	-	3	-	(11)	5,589	4,376
of which LCL Group	5,558	4,354	-	-	-	-	-	5,558	4,354
of which Regional banks	37	25	5	-	3	-	(11)	31	22
International Retail Banking	3,379	832	-	-	-	3	-	3,388	835
of which Italy	3,042	796	-	-	-	-	-	3,042	796
of which Poland	207	-	-	-	-	-	-	205	-
of which Ukraine	38	-	-	-	-	-	-	43	-
of which other countries	92	36	-	-	-	3	-	98	39
Asset Gathering	7,325	7,326	663	-	-	78	-	8,066	8,067
of which asset management ⁽¹⁾	5,214	5,215	663	-	-	45	-	5,922	5,923
of which insurance	1,262	1,262	-	-	-	-	-	1,262	1,262
of which international wealth management	849	849	-	-	-	33	-	882	882
Specialised Financial Services	2,823	1,120	219	-	-	-	-	3,097	1,339
of which Consumer finance (excl. Agos) ⁽²⁾	1,665	926	37	-	-	-	-	1,756	963
of which Consumer finance – Agos	672	103	-	-	-	-	-	672	103
of which Factoring ⁽³⁾	486	91	182	-	-	-	-	669	273
Large customers	2,726	1,405	-	-	-	1	-	2,726	1,406
of which Corporate and Investment Banking	1,817	496	-	-	-	1	-	1,817	497
of which Asset Servicing	909	909	-	-	-	-	-	909	909
Corporate Centre	72	72	9	-	(6)	-	11	92	86
TOTAL	21,920	15,134	896	-	(3)	82	-	22,958	16,109
Group share	20 122	13 524	693	3	(3)	69	-	20 953	14 287
Non-controlling interests	1 798	1 610	203	(3)	-	13	-	2 005	1 822

(1) Of which goodwill of €658 million in the Amundi group at 31 December 2021 following the consolidation of Anatec for €6 million and Lyxor for €652 million.

(2) Goodwill of €37 million at 31 December 2021 following the acquisition of the capital of the CACF Bankia S.A. joint venture resulting in a change in consolidation method from equity-accounted to full consolidation.

(3) Goodwill of €182 million at 31 December 2021 following the consolidation of Olinn in the CALF Group.

Determining the value in use of the CGUs

Goodwill was subject to impairment tests based on the assessment of the value in use of the Cash Generating Units (CGU) with which it is associated. Determining the value in use was based on discounting the CGUs' estimated future cash flows calculated from activities forecasts over a period over four years (2022-2025) developed for Group management purposes, extrapolated over a fifth year in order to merge towards a standardized final year.

The economic scenario on which the projected financial trajectories are based is one of gradual containment of the pandemic and successive waves having less and less impact on business activity. However, the degree of economic recovery varies widely from country to country, depending on how much monetary and fiscal manoeuvring is available to support the economy. Growth will still have been very robust in 2021, after the sharp decline in 2020, and the outlook for 2022 remains healthy. US growth has been resilient, despite the jolts caused by the pandemic; it will remain above its potential in 2022 before gradually returning to its expected level. In the eurozone, economic activity is not expected to return to its trend level until mid-2022 but inflationary shock is unlikely to change the scenario of a gradual slowdown in otherwise robust growth.

These forecasts are based on (i) inflationary pressures expected to remain limited over time, gradually easing in 2022 as a result of a gradual rebalancing of supply and demand, (ii) a decline in the savings rate that accompanies sustained growth in consumption and offsets lower growth in disposable income, and (iii) investment based on healthy companies and sustained demand as a result of stimulus packages.

Monetary policies should gradually normalise. The ECB is expected to remain accommodative, continuing its asset purchase programme until at least the end of 2022, before gradually withdrawing it, resulting in a limited rise in long-term interest rates. The Fed, which is phasing out quantitative easing by halting its asset purchases in 2022 before raising interest rates, is nevertheless expected to maintain the size of its balance sheet.

As of 31 December 2021, perpetual growth rates, discount rates and capital allocated rates as a proportion of risk-weighted assets were distributed by business line as shown in the table below:

In 2021 (for the Crédit Agricole Group fully consolidated entities)	Perpetual growth rates	Discount rates	Capital allocated
French Retail Banking – LCL	2.0%	7.6%	9.35%
International Retail Banking – Italy	2.0%	8.8%	9.48%
International Retail Banking – Others	5.0%	16.0%	9.63%
Specialised Financial Services ⁽¹⁾	2.0%	7.6% to 9.3%	9.34% to 9.63%
			9.39% to 9.67%
Asset Gathering	2.0%	7.6% to 8.5%	80% of the solvency margin (Insurance)
Large customers	2.0%	8.1% to 9.5%	9.39% to 9.53%

(1) The Consumer Credit CGU (excluding Agos) now includes CACF Spain after CACF acquired all shares held by Bankia.

Valuation parameters, in particular the discount rates, were updated to 31 December 2021. Discount rates are determined based on a rolling monthly average over 12 years. The discount rate level is broadly stable compared to the prior financial year.

Perpetual growth rates as of 31 December 2021 remain unchanged from those used as of 31 December 2020.

As in the previous year, prudential requirements include the application of Article 104a of CRD 5 which allows Pillar 2 Requirements (P2R) to be covered with 56.25% of CET1 capital.

Sensitivity of the valuation of CGUs to the main valuation parameters

The sensitivity of the value in use of the CGUs comprising each of the major business segments to the variation of certain valuation parameters is presented in the following table:

	Sensitivity to capital allocated	Sensitivity to discount rates	Sensitivity to cost of risk in the final year	Sensitivity to the cost/income ratio in the final year			
In 2021	+100 bp	-50 bp	+50 bp	-10%	+10%	-100 bp	100 bp
French Retail Banking – LCL	(4.0%)	+8.9%	(7.4%)	+2.6%	(2.6%)	+3.0%	(3.0%)
International Retail Banking – Italy	(4.3%)	+7.2%	(6.2%)	+2.7%	(2.7%)	+2.7%	(2.7%)
International Retail Banking – Others	(3.1%)	+3.9%	(3.6%)	+1.3%	(1.3%)	+1.4%	(1.4%)
Specialised Financial Services	(5.4%)	+10.1%	(8.5%)	+9.6%	(9.6%)	+4.3%	(4.3%)
Asset Gathering	(0.7%)	+8.7%	(7.3%)	NS	NS	+1.5%	(1.5%)
Large customers	(7.2%)	+7.5%	(6.5%)	+0.7%	(0.7%)	+2.2%	(2.2%)

Sensitivity analyses have been conducted on goodwill – Group share with variations of the main parameters of valuation applied uniformly for all CGU. These analyses show that the CGUs that have been impaired in recent years, namely the French Retail Banking – LCL CGU and the International Retail Banking – Italy CGU, are less sensitive to deteriorations in the model's parameters than previously. However, the Consumer Credit CGU (excluding Agos) remains sensitive to changes in certain parameters.

• With regard to operational parameters:

- a 50-basis point increase in discount rates would not result in a negative difference between value in use and consolidated value for any of the CGUs;
- on the assumption of a significant increase of 100 basis points in discount rates, the difference would remain positive for the French Retail Banking – LCL and International Retail Banking – Italy CGUs. This margin would still be very slightly positive in the case of the Consumer Credit CGU (excluding Agos) and extremely positive for the other CGUs;

- a 100-basis point increase in the level of CET1 capital allocated to the CGUs would still result in a positive difference for all CGUs.

• With regard to operational parameters:

- the simulated deterioration assumptions, namely a scenario of a +10% increase in the cost of risk in the last year of the projection combined with a +100 basis point change in the cost-to-income ratio for the same year, would not result in a negative difference between value in use and the carrying amount for any CGUs other than the Consumer Credit CGU (excluding Agos) for which the difference would be approximately €180 million.

• Special situation of CA Immobilier:

In 2021 it created a new subsidiary called Crédit Agricole Services Immobiliers (CA-SIM) to consolidate real estate services for individual customers. The subsidiary is part of the Crédit Agricole Group's plan for a new real estate division. CA Immobilier and some Regional Banks have passed on their real estate management business for private individuals

and owner associations to CA-SIM. CA Immobilier has also transferred its Square Habitat network management business to CA-SIM. The planned new real estate division is key to transforming the business line. It required substantial capital expenditure that was funded by a capital increase carried out in early 2021 by the shareholders of CA Immobilier. The aim is to develop innovative solutions that are expected to have a positive impact on the division's profitability and growth in the medium term. Although this capital expenditure has not yet been fully deployed, it falls within the overall plan validated by governance in connection with the project launch and capital increase. The capital expenditure has been capitalised and concerns all of CA-SIM's business segments (Property Management, Transactions, Rental and Sales, Insurance Brokerage, and so on) for which tools have been adapted or replaced. It also covers the upgrading of the web portal in order to increase the networks' visibility and strengthen the division's digital positioning to give it the impetus it needs. The tools developed for CA-SIM are also available to all Square Habitat networks.

Pursuant to IAS 36.33b, the value in use of CA Immobilier was assessed on the basis of the discounted value of future cash flows established over a long period, consistent with the projection that the project will create value and lead to a sufficient level of maturity by 2030 to constitute an

appropriate terminal year for discounting to infinity. As the contribution from the new CA-SIM division will be negative in the upcoming financial years, in line with the capital expenditure described above and with gradual revenue growth, maintaining a 5-year projection would lead to an impairment of the investment in CA Immobilier, all things being equal. Such an approach would obviously be misleading given the stable profits of the real estate development division and the CA-SIM division's medium-term earnings prospects.

The business trajectory used was established for the purpose of managing the deployment of the new real estate division. This deployment is significantly changing CAI's business, with the CA-SIM division growing steadily. In particular it is based on individual trajectories used to value the business passed on to CA-SIM and reflects the goals to develop market share for the entire real estate division and generate the synergies expected from the capital expenditure described above. The maturity projection for the business will remain set for 2030 so that the detailed flow projection period will gradually be reduced until it returns to the usual five-year projection period.

Other valuation parameters were established using the same methodology as for goodwill.

6.17 Insurance company technical reserves

Breakdown of insurance technical reserves

	31/12/2021				
(in millions of euros)	Life	Non-Life	International	Creditor	Total
Insurance contracts	228,907	8,863	28,475	2,115	268,360
Investment contracts with discretionary profit-sharing	65,568	-	17,178	-	82,746
Investment contracts without discretionary profit-sharing	2,845	-	1,706	-	4,551
Deferred participation benefits (liability)	21,473	70	699	-	22,242
Other technical reserves	-	-	-	-	-
TOTAL TECHNICAL RESERVES	318,793	8,933	48,058	2,115	377,899
Deferred participation benefits (asset)	(3)	-	-	-	(3)
Reinsurer's share of technical reserves	(735)	(537)	(75)	(350)	(1,697)
NET TECHNICAL RESERVES	318,055	8,396	47,983	1,765	376,199

	31/12/2020				
(in millions of euros)	Life	Non-Life	International	Creditor	Total
Insurance contracts	215,228	9,161	24,856	2,066	251,311
Investment contracts with discretionary profit-sharing	67,322	-	16,155	-	83,476
Investment contracts without discretionary profit-sharing	2,609	-	1,637	-	4,245
Deferred participation benefits (liability)	25,556	137	1,284	-	26,976
Other technical reserves	-	-	-	-	-
TOTAL TECHNICAL RESERVES	310,714	9,299	43,931	2,066	366,010
Deferred participation benefits (asset)	-	-	-	-	-
Reinsurer's share of technical reserves	(1,255)	(628)	(73)	(351)	(2,307)
NET TECHNICAL RESERVES	309,459	8,671	43,857	1,716	363,703

Reinsurers' share in technical reserves and other insurance liabilities is recognised under "Accruals, prepayments and sundry liabilities". The breakdown of insurance company technical reserves is presented before elimination of issues in euro and in units of account subscribed by insurance companies.

Deferred policyholders' profit sharing, before tax, at 31 December 2021 and 31 December 2020 breaks down as follows:

Deferred participation benefits	31/12/2021	31/12/2020
	Deferred participation benefits in liabilities (in assets when appropriate)	Deferred participation benefits in liabilities (in assets when appropriate)
(in millions of euros)		
Deferred participation on revaluation of financial assets at fair value through other comprehensive income and hedging derivatives	(16,005)	(22,905)
of which deferred participation on revaluation of financial assets at fair value through other comprehensive income ⁽¹⁾	(16,040)	(23,508)
of which deferred participation hedging derivatives	35	603
Deferred participation on financial assets at fair value through profit or loss adjustment	(4,074)	(1,611)
Other deferred participation	(2,160)	(2,461)
TOTAL PRE-TAX OTHER DEFERRED PARTICIPATION BENEFITS	(22,239)	(26,977)

(1) See Note 6.4 "Assets at fair value through other comprehensive income".

6.18 Provisions

(in millions of euros)	31/12/2020	1/1/2021	Changes in scope	Additions	Reversals, amounts used	Reversals, amounts not used	Translation adjustments	Other movements	31/12/2021
Home purchase schemes risks	1,354	-	-	17	-	(123)	-	(1)	1,247
Execution risks of commitments by signature	1,656	-	8	3,093	(66)	(2,894)	32	6	1,835
Operational risks	343	-	3	207	(15)	(61)	4	1	482
Employee retirement and similar benefits ⁽¹⁾	1,972	(133)	93	391	(137)	(56)	11	(216)	1,925
Litigation	808	-	50	93	(60)	(138)	2	3	758
Equity investments	5	-	-	1	(1)	-	-	1	6
Restructuring	27	-	-	21	(2)	(23)	-	(1)	22
Other risks	697	-	75	331	(123)	(175)	4	20	829
TOTAL	6,862	(133)	229	4,154	(404)	(3,470)	53	(187)	7,104

(1) Of which €1,255 million for post-employment benefits under defined-benefit schemes, as detailed in Note 7.4, including €196 million for the provision for long-service awards.

(2) Estimated impact of the first-time application of the IFRS IC decision of 21 April 2021 on calculating commitments relating to certain defined-benefit schemes (see Note 1.1 "Applicable standards and comparability").

As at 1 January 2020, the impact on employee retirement schemes would have been -€226 million.

At 31 December 2021, employee retirement and similar benefits included €307 million (€71 million at 31 December 2020) of provisions arising from social costs of the restructuring plans. The provision for restructuring includes the non-social costs of those plans.

(in millions of euros)	31/12/2019	Changes in scope	Additions	Reversals, amounts used	Reversals, amounts unused	Translation adjustments	Other movements	31/12/2020
Home purchase schemes risks	1,195	-	188	-	(29)	-	-	1,354
Execution risks of commitments by signature	1,481	2	2,575	(18)	(2,355)	(28)	(1)	1,656
Operational risks	403	-	81	(31)	(92)	(2)	(16)	343
Employee retirement and similar benefits ⁽¹⁾	1,982	-	191	(147)	(166)	(5)	117	1,972
Litigation	852	-	112	(62)	(88)	(3)	(3)	808
Equity investments	6	-	2	(1)	(2)	-	-	5
Restructuring	33	-	7	(3)	(9)	-	(1)	27
Other risks	985	1	252	(143)	(289)	(3)	(106)	697
TOTAL	6,937	3	3,408	(405)	(3,030)	(41)	(10)	6,862

(1) Of which €1,530 million for post-employment benefits under defined-benefit schemes, as detailed in Note 7.4, including €151 million for the provision for long-service awards.

Litigation and exceptional events

Strauss/Wolf/Faudem

US citizens and members of their families who were victims of terrorist attacks attributed to Hamas and committed in Israel between 2001 and 2004 have brought proceedings against Crédit Lyonnais and another bank before a New York court.

They claim that these banks gave support to terrorists as they each kept an account opened (in 1990 in the case of Crédit Lyonnais) by a charity providing aid to Palestinians. The plaintiffs allege that the account was used to transfer funds to Palestinian entities accused of financing Hamas. The plaintiffs, who have not put a figure on the damages they have suffered, are claiming compensation for "injury, anguish and emotional pain".

As the matter and the proceedings currently stand, the plaintiffs have not provided proof that the charity was actually linked to terrorists, nor that Crédit Lyonnais was aware that its client could have been involved (if it were to be proven) in financing terrorism. The Court nonetheless demanded that this be demonstrated by the plaintiffs if they are to win their case. Crédit Lyonnais vigorously denies the plaintiffs' allegations.

Under a ruling made on 28 February 2013, the judge issued a Summary Judgement referring Crédit Lyonnais and the plaintiffs to a jury trial on the merits.

In February 2018, Crédit Lyonnais filed a new motion for a summary judgement based on a recent case-law so that the plaintiffs' claims can be dismissed without such a jury trial. On January 2019 the plaintiffs tried to modify their briefs in order to add new plaintiffs before their action be time-barred. The judge refused this request and two new actions (Fisher and Miller) have been filed before the same court as the one in charge of the procedures Strauss/Wolf. They are similar to the pending actions, their legal analysis are identical and their result will depend on the outcome of the motion for a summary judgement filed by Crédit Lyonnais in February 2018.

From a procedural standpoint they will remain outstanding until then.

On 31 March 2019 the court upheld in its entirety the "motion for summary judgment" filed by Crédit Lyonnais in February 2018. It considered that no reasonable jury could find in favour of the plaintiffs and dismissed all their claims. The plaintiffs appealed against this decision.

On 7 April 2021 the Second Circuit Court of appeals dismissed the Plaintiffs' appeal.

On 3 September 2021, plaintiffs filed a petition for writ of certiorari with the US Supreme Court. On 7 January 2022, the Supreme Court called for the views of the Solicitor General on the advisability of examining this appeal. The Supreme Court will make its decision on this matter after obtaining that opinion.

CIE case (Cheque Image Exchange)

In March 2008, LCL and Crédit Agricole S.A. and ten other banks were served notice of grievances on behalf of the *Conseil de la concurrence* i.e. the French Competition Council (now the *Autorité de la concurrence*).

They were accused of colluding to implement and apply interchange fees for cashing cheques, since the passage of the Cheque Image Exchange system, i.e. between 2002 and 2007. In the opinion of the *Autorité de la concurrence*, these fees constitute anti-competitive price agreements in the meaning of Articles 81 paragraph 1 of the treaty establishing the European Community and Article L. 420-1 of the French Commercial Code, and allegedly caused damage to the economy.

In their defence, the banks categorically refuted the anticompetitiveness of the fees and contested the legality of the proceedings.

In a decision published on 20 September 2010, the *Autorité de la concurrence* stated that the Cheque Image Exchange fee (CEIC) was anti-competitive by its very aim and that it artificially increased the costs borne by remitting banks, which resulted in an unfavourable impact on the prices of banking services. Concerning one of the fees for related services, the fee for cancellation of wrongly cleared transactions (AOCT), and the *Autorité de la concurrence* called on the banks to revise their amount within six months of the notification of the decision.

The accused banks were sanctioned for an overall amount of €384.92 million.

LCL and Crédit Agricole were respectively sentenced to pay €20.7 million and €82.1 million for the CEIC and €0.2 million and €0.8 million for the AOCT.

All of the banks appealed the decision to the Paris Court of Appeal. By a decree of 23 February 2012, the Court overruled the decision, stating that the *Autorité de la concurrence* had not proven the existence of competition restrictions establishing the agreement as having an anti-competitive purpose.

The *Autorité de la concurrence* filed an appeal with the Supreme Court on 23 March 2012.

On 14 April 2015, the French Supreme Court (*Cour de cassation*) overruled the Paris Court of Appeal's decision dated 23 February 2012 and remanded the case to the Paris Court of Appeal with a change in the composition of the Court on the sole ground that the Paris Court of Appeal declared the UFC-Que Choisir and ADUMPE's interventions in the proceedings devoid of purpose without having considered their arguments.

The Supreme Court did not rule on the merits of the case and Crédit Agricole has brought the case before the Paris Court of Appeal.

The Paris Court of Appeal issued a decree on 21 December 2017. It confirmed the decision of the *Autorité de la concurrence* dated 20 September 2010 but reduced from €82,940,000 to €76,560,000 the sanction on Crédit Agricole. LCL's sanction remains unchanged, at an amount of €20,930,000.

As well as the other banks parties to this procedure, LCL and Crédit Agricole filed an appeal with the Supreme Court.

On 29 January 2020, the French Supreme Court (*Cour de cassation*) overruled the Paris Court of Appeal's decision dated 21 December 2017 and referred the case to the same Court with a different composition on the ground that the Paris Court of Appeal had not characterized the existence of restrictions of competition by object.

In a decision dated 2 December 2021, the Paris Court of Appeal overturned the decision of the *Autorité de la concurrence* and ruled that it is not established that the introduction of the CEIC and the AOCT constituted any anti-competitive practices by their object or by their effects.

On 31 December 2021, the *Autorité de la concurrence* appealed to the French Supreme Court (*Cour de cassation*) against this decision.

Office of Foreign Assets Control (OFAC)

In October 2015, Crédit Agricole S.A. and its subsidiary Crédit Agricole Corporate and Investment Bank (Crédit Agricole CIB) reached agreements with the US and New York authorities that had been conducting investigations regarding US dollar transactions with countries subject to US economic sanctions. The events covered by this agreement took place between 2003 and 2008.

Crédit Agricole CIB and Crédit Agricole S.A., which cooperated with the US and New York authorities in connection with their investigations, have agreed to pay a total penalty amount of \$787.3 million (i.e. €692.7 million). The payment of this penalty has been allocated to the pre-existing reserve that had already been taken and, therefore, has not affected the accounts for the second half of 2015.

The agreements with the Board of Governors of the Federal Reserve System (Fed) and the New York State Department of Financial Services (NYDFS) are with CASA and Crédit Agricole CIB. The agreement with the Office of Foreign Assets Control (OFAC) of the US Department of the Treasury is with Crédit Agricole CIB. Crédit Agricole CIB also entered into separate deferred prosecution agreements (DPAs) with the United States Attorney's Office for the District of Columbia (USAO) and the District Attorney of the County of New York (DANY), the terms of which are three years. On 19 October 2018 the two deferred prosecution agreements with USAO and DANY ended at the end of the three year period, Crédit Agricole CIB having complied with all its obligations under the DPAs.

Crédit Agricole continues to strengthen its internal procedures and its compliance programs regarding laws on international sanctions and will continue to cooperate fully with the US and New York authorities with its home regulators, the European Central Bank and the French Regulatory and Resolution Supervisory Authority (ACPR), and with the other regulators across its worldwide network.

Pursuant to the agreements with NYDFS and the US Federal Reserve, Crédit Agricole's compliance program is subject to regular reviews to evaluate its effectiveness, including a review by an independent consultant appointed by NYDFS for a term of one year and annual reviews by an independent consultant approved by the Federal Reserve.

Euribor/Libor and other indexes

Crédit Agricole S.A. and its subsidiary Crédit Agricole CIB, in their capacity as contributors to a number of interbank rates, have received requests for information from a number of authorities as part of investigations into: (i) the calculation of the Libor (London Interbank Offered Rates) in a number of currencies, the Euribor (Euro Interbank Offered Rate) and certain other market indices; and (ii) transactions connected with these rates and indices. These demands covered several periods from 2005 to 2012.

As part of its cooperation with the authorities, Crédit Agricole S.A. and its subsidiary Crédit Agricole CIB carried out investigations in order to gather the information requested by the various authorities and in particular the American authorities – the DOJ (Department of Justice) and CFTC (Commodity Future Trading Commission) – with which they are in discussions. It is currently not possible to know the outcome of these discussions, nor the date when they will be concluded.

Furthermore, Crédit Agricole CIB is currently under investigation opened by the Attorney General of the State of Florida on both the Libor and the Euribor. Following its investigation and an unsuccessful settlement procedure, on 21 May 2014, the European Commission sent a statement of objection to Crédit Agricole S.A. and to Crédit Agricole CIB pertaining to agreements or concerted practices for the purpose and/or effect of preventing, restricting or distorting competition in derivatives related to the Euribor.

In a decision dated 7 December 2016, the European Commission jointly fined Crédit Agricole S.A. and Crédit Agricole CIB €114,654,000 for participating in a cartel in euro interest rate derivatives. Crédit Agricole S.A. and Crédit Agricole CIB are challenging this decision and have asked the General Court of the European Union to overturn it.

The Swiss competition authority, COMCO, has conducted an investigation into the market for interest rate derivatives, including the Euribor, with regard to Crédit Agricole S.A. and several Swiss and international banks. This investigation was closed following a settlement procedure under which Crédit Agricole S.A. agreed to pay a penalty of CHF4,465,701 and proceedings costs amounting to CHF187,012 without any admission of guilt.

Moreover, in June 2016 the South Korean competition authority (KFTC) decided to close the investigation launched in September 2015 into Crédit Agricole CIB and the Libor index on various currencies, Euribor and Tibor indices. The investigation into certain foreign exchange derivatives (ABS-NDF) has been closed by the KFTC according to a decision notified to Crédit Agricole CIB on 20 December 2018.

Concerning the two class actions in the United States of America in which Crédit Agricole S.A. and Crédit Agricole CIB have been named since 2012 and 2013 along with other financial institutions, both as defendants in one ("Sullivan" for the Euribor) and only Crédit Agricole S.A. as defendant for the other ("Lieberman" for Libor), the "Lieberman" class action is at the preliminary stage that consists in the examination of its admissibility; proceedings are still suspended before the US District Court of New York State. Concerning the "Sullivan" class action, Crédit Agricole S.A. and Crédit Agricole CIB introduced a motion to dismiss the applicants' claim. The US District Court of New York State upheld the motion to dismiss regarding Crédit Agricole S.A. and Crédit Agricole CIB in first instance. On 14 June 2019, the plaintiffs appealed this decision.

Since 1 July 2016, Crédit Agricole S.A. and Crédit Agricole CIB, together with other banks, are also party to a new class action suit in the United States ("Frontpoint") relating to the Sibor (Singapore Interbank Offered Rate) and SOR (Singapore Swap Offer Rate) indices. After having granted a first motion to dismiss filed by Crédit Agricole S.A. and Crédit Agricole CIB, the New York Federal District Court, ruling on a new request by the plaintiffs, excluded Crédit Agricole S.A. from the Frontpoint case on the grounds that it had not contributed to the relevant indexes. The Court considered, however, taking into account recent developments in case law that its jurisdiction could apply to Crédit Agricole CIB, as well as to all the banks that are members of the Sibor index panel. The allegations contained in the complaint regarding the Sibor/USD index and the SOR index were also rejected by the court, therefore the index Sibor/Singapore dollar alone is still taken into account. On 26 December, the plaintiffs filed a new complaint aimed at reintroducing into the scope of the Frontpoint case the alleged manipulations of the Sibor and SOR indexes that affected the transactions in US dollars. Crédit Agricole CIB, alongside the other defendants, objected to this new complaint at the hearing held on 2 May 2019 before the New York Federal District Court. On 26 July 2019, the Federal Court granted the defendants' motion to dismiss. The plaintiffs filed a notice of appeal on 26 August 2019.

On 17 March 2021, a three-judge panel of the Court of Appeal of the Second Circuit reversed the dismissal and returned the case to the District Court. The defendants, including Crédit Agricole CIB, requested the Second Circuit Court to rehear the case "en banc" (all the active judges of the Court). This motion was denied by the Second Circuit Court on 6 May 2021. Another motion was filed on 12 May 2021 by the defendants seeking a stay of this decision remanding the case to the District Court, which was rejected on 24 May 2021. On 1 October 2021, the defendants filed a petition for writ of certiorari with the US Supreme Court, which decided on 10 January 2022 not to consider the case. A new petition, currently under review, has been filed by the defendants before the District Court in an attempt to stop this action.

These class actions are civil actions in which the plaintiffs claim that they are victims of the methods used to set the Euribor, Libor, Sibor and SOR rates, and seek repayment of the sums they allege were unlawfully received, as well as damages and reimbursement of costs and fees paid.

Bonds SSA

Several regulators requested information to Crédit Agricole S.A. and to Crédit Agricole CIB for investigations relating to activities of different banks involved in the secondary trading of Bonds SSA (Supranational, Sub-Sovereign and Agencies) denominated in American dollars. Through the cooperation with these regulators, Crédit Agricole CIB proceeded to internal inquiries to gather the required information available. On 20 December 2018, the European Commission issued a Statement of Objections to a number of banks including Crédit Agricole S.A. and Crédit Agricole CIB within its inquiry on a possible infringement of rules of European Competition law in the secondary trading of Bonds SSA denominated in American dollars. Crédit Agricole S.A. and Crédit Agricole CIB became aware of these objections and issued a response on 29 March 2019, followed by an oral hearing on 10-11 July 2019.

In a decision dated 28 April 2021, the European Commission jointly fined Crédit Agricole S.A. and Crédit Agricole CIB €3,993,000 for participating in a cartel in the secondary trading market of Bonds SSA denominated in American dollars. On 7 July 2021, Crédit Agricole S.A. and Crédit Agricole CIB appealed this decision to the General Court of the European Union.

Crédit Agricole CIB was included with other banks in a putative consolidated class action before the United States District Court for the Southern District of New York. That action was dismissed on 29 August 2018 on the basis that the plaintiffs failed to allege an injury sufficient to give them standing. However the plaintiffs were given an opportunity to attempt to remedy that defect. The plaintiffs filed an amended complaint on 7 November 2018. Crédit Agricole CIB as well as the other defendants filed motions to dismiss the amended complaint. An order issued on 30 September 2019 dismissed the class action against Crédit Agricole CIB for lack of personal jurisdiction and, in a subsequent ruling, the Court held that the plaintiffs had in any event failed to state a claim for violation of US antitrust law. In June 2020, the plaintiffs took an appeal from both of the Court's orders. On 19 July 2021, the Second Circuit Court of Appeals affirmed the district court's holding that plaintiffs had failed to state a claim for violation of US antitrust law. Plaintiffs' deadline to seek further review of the district court's decision from the US Supreme Court passed on 2 December 2021 without plaintiffs taking any further action, and the action therefore is concluded.

On 7 February 2019, a second class action was filed against Crédit Agricole CIB and the other defendants named in the class action already pending before the United States District Court for the Southern District of New York. In July 2020, the plaintiffs voluntarily discontinued the action but the claim could be revived.

On 11 July 2018, Crédit Agricole S.A. and Crédit Agricole CIB were notified with other banks of a class action filed in Canada, before the Ontario Superior Court of Justice. Another class action has been filed before the Federal Court of Canada. The action before the Ontario Superior Court of Justice was dismissed on 19 February 2020.

O'Sullivan and Tavera

On 9 November 2017, a group of individuals, (or their families or estates), who claimed to have been injured or killed in attacks in Iraq filed a complaint ("O'Sullivan I") against several banks including Crédit Agricole S.A., and its subsidiary Crédit Agricole Corporate Investment Bank (Crédit Agricole CIB), in US Federal District Court in New York.

On 29 December 2018, the same group of individuals, together with 57 new plaintiffs, filed a separate action ("O'Sullivan II") against the same defendants.

On 21 December 2018, a different group of individuals filed a complaint ("Tavera") against the same defendants.

All three complaints allege that Crédit Agricole S.A., Crédit Agricole CIB, and other defendants conspired with Iran and its agents to violate US sanctions and engage in transactions with Iranian entities in violation of the US Anti-Terrorism Act and the Justice against Sponsors of Terrorism Act. Specifically, the complaints allege that Crédit Agricole S.A., Crédit Agricole CIB, and other defendants processed US dollar transactions on behalf of Iran and Iranian entities in violation of sanctions administered by the US Treasury Department's Office of Foreign Assets Control, which allegedly enabled Iran to fund terrorist organizations that, as is alleged, attacked plaintiffs. The plaintiffs are seeking an unspecified amount of compensatory damages.

On 2 March 2018, Crédit Agricole CIB and other defendants filed a motion to dismiss the O'Sullivan I Complaint. On 28 March 2019, the Court granted defendants' motion to dismiss. On 22 April 2019, the plaintiffs filed a motion to amend their complaint. Defendants submitted an opposition to that motion on 20 May 2019 and plaintiffs filed a reply on 10 June 2019. On 25 February 2020 the plaintiffs' motion to amend their complaint was denied and their original complaint dismissed with prejudice.

On 28 May 2020, plaintiffs filed a motion requesting that the court enter a final judgment against defendants to allow an appeal. On 11 June 2020, the defendants filed an opposition to plaintiffs' motion, and plaintiffs filed a reply brief on 18 June 2020. On 29 June 2021, the court denied plaintiffs' motion.

On 28 July 2021, the court stayed the O'Sullivan I action pending a decision in the appeal in a related case, *Freeman v. HSBC Holdings, PLC*, No. 19-3970 (2d. Cir.). (The O'Sullivan II and Tavera cases have been previously stayed pending that appeal.)

Italian Competition Authority

On 5 October 2018, CA Consumer Finance S.A. ("CACF") and its subsidiary FCA Bank SpA owned at 50% received – together with several other banks and certain car manufacturers – a statement of objections from the *Autorità Garante della Concorrenza et del Mercato* (Italian Competition Authority).

It was alleged in this statement of objections that several banks offering financing solutions for vehicles commercialized by certain car manufacturers have restricted competition as a result of certain exchanges of information, in particular within two professional associations.

In a decision notified on 9 January 2019 the *Autorità Garante della Concorrenza et del Mercato* considered that FCA Bank SpA had participated in this alleged infringement and this infringement was also attributable to CACF.

FCA Bank SpA has been fined €178.9 million. FCA Bank SpA and CACF appealed against this decision before the Administrative Regional Court (TAR) of Lazio. On 4 April 2019, the TAR of Lazio issued an interim relief order staying the execution of the obligation to pay the fine imposed on FCA Bank S.p.A. subject to the provision by FCA Bank S.p.A. of a guarantee covering the amount of the fine.

On 24 November 2020 the TAR of Lazio annulled the decision of the *Autorità Garante della Concorrenza et del Mercato*. On 23 December 2020 the *Autorità Garante della Concorrenza et del Mercato* appealed against this decision before the Italian Council of State. On 3 February 2022, the Italian Council of State dismissed the appeal, thereby confirming definitively the annulment of the decision of the *Autorità Garante della Concorrenza et del Mercato*.

Intercontinental Exchange, Inc. ("ICE")

On 15 January 2019 a class action ("Putnam Bank") was filed before a federal court in New York (US District Court Southern District of New York) against the Intercontinental Exchange, Inc. ("ICE") and a number of banks including Crédit Agricole S.A., Crédit Agricole CIB and Crédit Agricole Securities-USA. This action has been filed by plaintiffs who allege that they have invested in financial instruments indexed to the USD ICE LIBOR. They accuse the banks of having collusively set the index USD ICE LIBOR at artificially low levels since February 2014 and made thus illegal profits.

On 31 January 2019 a similar action ("Livonia") has been filed before the US District Court Southern District of New York, against a number of banks including Crédit Agricole S.A., Crédit Agricole CIB and Crédit Agricole Securities-USA. On 1 February 2019, these two class actions were consolidated for pre-trial purposes.

On 4 March 2019, a third class action ("Hawaii Sheet Metal Workers retirement funds") was filed against the same banks in the same court and consolidated with the two previous actions on 26 April 2019.

On 1 July 2019, the plaintiffs filed a "Consolidated Class Action Complaint". On 30 August 2019, the Defendants filed a motion to dismiss against this consolidated complaint. On 26 March 2020, a judgment granted the Defendants Motion to Dismiss. On 24 April 2020, the plaintiffs filed a notice of appeal.

On 30 November 2020, during briefing of the appeal, Plaintiffs' lawyers informed Defendants that all of the named Plaintiffs wished to withdraw from the case and, on 1 December 2020, Plaintiffs' counsel filed the motion to stay the appeal, which Defendants opposed. The court denied the motion on 7 December 2020 and Plaintiffs filed their reply brief on 15 December 2020.

On 28 December 2020, DYJ Holdings Inc. filed a motion for leave to intervene to replace the current named plaintiffs. On 7 January 2021, Defendants filed a brief in opposition to DYJ Holdings' motion and also filed a motion to dismiss the appeal.

On 6 April 2021, the court granted DYJ Holdings Inc.'s motion for leave to intervene and denied Defendants' motion to dismiss the appeal.

On 10 June 2021, Defendants submitted a supplemental brief addressing merits issues unique to DJJ Holdings.

Oral argument was held on 29 November 2021.

Crédit Agricole Consumer Finance Nederland B.V.

The conditions for the review of the interest rates of revolving loans marketed by Crédit Agricole Consumer Finance Nederland BV, a fully owned subsidiary of Crédit Agricole Consumer Finance S.A., and its subsidiaries are the subject of borrowers' claims relating to the criteria for revising these rates and possible overpayments of interests.

On 21 January 2019, in two individual cases concerning two subsidiaries of Crédit Agricole Consumer Finance Nederland BV, the Appeals Committee of KIFID (the Financial Services Complaints Authority) in the Netherlands decided that in case the consumers had no or insufficient information on the specific factors that determine the interest rate, the individual interest rate needed to follow the movement of market interest rates on consumer loans.

Crédit Agricole Consumer Finance Nederland BV implemented a compensation plan for the benefit of the borrowers in May 2020 which takes into account the aforementioned decisions of KIFID. Other institutions in the Netherlands have implemented compensation plans. Crédit Agricole Consumer Finance Nederland B.V. Supervisory Board decided to close this compensation plan on 1 March 2021.

CACEIS Germany

CACEIS Germany has received from the Bavarian tax authorities a claim for the repayment of the dividend tax refunded to a number of its customers in 2010.

This claim amounts to €312 million. It is accompanied by a demand for the payment of €148 million of interests (calculated at the rate of 6% per annum).

CACEIS Germany strongly challenge this claim that it finds to be totally unfounded.

CACEIS Germany filed an appeal against it and requested a stay of enforcement of the payment obligation pending a final decision on the substance. The stay of enforcement was granted for the payment of €148 million of interests and rejected for the repayment of the amount of €312 million. CACEIS appealed against the decision to reject. The rejection being enforceable, the sum of €312 million was paid by CACEIS which, given the ongoing appeal proceedings, recorded a claim for an equivalent amount in its accounts.

Amundi – AMF Procedure

Following a special enquiry conducted between 2017 and 2019, the *Autorité des marchés financiers* ("AMF"), the French regulatory body, notified Amundi (Amundi AM and Amundi Intermediation) of various complaints on 12 June 2020. These grievances relate to a number of transactions executed in 2014 and 2015 by two former employees (an ex portfolio manager and an ex trader).

Amundi fully cooperated with the regulatory authorities to address this issue.

This case has been subject to a public hearing of AMF Enforcement Committee the 7 July 2021.

On 4 August 2021, the AMF Enforcement Committee imposed a fine of €25 million on Amundi AM and €7 million on Amundi Intermediation, which have been paid, thus closing this procedure.

Home purchase savings plan provision

Deposits collected in home purchase savings accounts and plans during the savings phase

(in millions of euros)	31/12/2021	31/12/2020
HOME PURCHASE SAVINGS PLANS		
Under 4 years old	8,362	6,408
Between 4 and 10 years old	54,302	52,694
Over 10 years old	46,942	48,569
TOTAL HOME PURCHASE SAVINGS PLANS	109,606	107,671
TOTAL HOME PURCHASE SAVINGS ACCOUNTS	12,977	12,654
TOTAL DEPOSITS COLLECTED UNDER HOME PURCHASE SAVINGS CONTRACTS	122,583	120,325

Customer deposits outstanding, excluding government subsidies, are based on the carrying amount at the end of November 2021 for the financial statements at 31 December 2021 and at the end of November 2020 for the financial statements at 31 December 2020.

Outstanding loans granted to holders of home purchase savings accounts and plans

(in millions of euros)	31/12/2021	31/12/2020
Home purchase savings plans	29	42
Home purchase savings accounts	145	207
TOTAL OUTSTANDING LOANS GRANTED UNDER HOME PURCHASE SAVINGS CONTRACTS	174	249

Provision for home purchase savings accounts and plans

(in millions of euros)	31/12/2021	31/12/2020
HOME PURCHASE SAVINGS PLANS		
Under 4 years old	9	5
Between 4 and 10 years old	89	531
Over 10 years old	1,149	818
TOTAL HOME PURCHASE SAVINGS PLANS	1,247	1,354
TOTAL HOME PURCHASE SAVINGS ACCOUNTS	-	-
TOTAL PROVISIONS FOR HOME PURCHASE SAVINGS CONTRACTS	1,247	1,354

(in millions of euros)	31/12/2020	Additions	Reversals	Other movements	31/12/2021
Home purchase savings plans	1,354	16	(123)	-	1,247
Home purchase savings accounts	-	-	-	-	-
TOTAL PROVISIONS FOR HOME PURCHASE SAVINGS CONTRACTS	1,354	16	(123)	-	1,247

Age plan is determined based on the date of the midway point in the generation of plans to which they belong.

All of the home purchase savings plans and accounts collected by the Regional Banks are recognised at 100% as liabilities in the consolidated financial statements of Crédit Agricole Group.

Half of the amount of outstanding loans related to home purchase savings plans and accounts is recognised by Crédit Agricole Group and the other half by the Regional Banks in the tables above.

The amounts recognised under provisions represent the portion of risk borne by Crédit Agricole S.A., LCL and the Regional Banks.

Consequently, the ratio between the provision booked and the outstanding amounts shown on Crédit Agricole Group's balance sheet is not representative of the level of provisioning for home purchase savings risk.

6.19 Subordinated debt

(in millions of euros)	31/12/2021	31/12/2020
Dated subordinated debt ⁽¹⁾	25,342	23,242
Undated subordinated debt ⁽²⁾	338	411
Mutual security deposits	191	181
Participating securities and loans	2	62
CARRYING AMOUNT	25,873	23,896

(1) Includes issues of dated subordinated notes "TSR".

(2) Includes issues of deeply subordinated notes "TSS" and undated subordinated notes "TSDI".

Debt securities issued by Crédit Agricole S.A. and held by insurance entities of Crédit Agricole S.A. are eliminated for euro and unit-linked contracts.

Subordinated debt

The issue of subordinated debt plays a part in regulatory capital management while contributing to refinancing all of Crédit Agricole Group's operation.

The European Directive and Regulation on capital requirements for credit institutions and investment firms – CRD IV/CRR ⁽¹⁾ – sets out the conditions under which subordinated instruments can qualify as regulatory capital and stipulates the terms and conditions for phasing out the qualification of old instruments that do not meet those conditions.

All subordinated debt issuance, whether new or old, is likely to be subject to bail-in in certain circumstances, particularly in the event of resolution of the issuing bank, in accordance with applicable French law transposing the European Directive on the reorganisation and resolution of credit institutions and investment firms (BRRD ⁽²⁾).

Subordinated debt differs from preferred or non-preferred senior bonds by virtue of its ranking in liquidation (principal and interest) contractually defined by their subordination clause, which refers explicitly to applicable French law, depending on the date on which they were issued (subordinated debt is junior to non-preferred and preferred senior bonds).

Senior non-preferred debt issues

With the law on transparency, the fight against corruption and the modernisation of the economy (also referred to as the "Sapin 2 Law") of 9 December 2016, France created a category of senior debt – senior non-preferred debt – meeting in particular certain eligibility criteria (as defined in the applicable regulation) of the TLAC and MREL ratios (see Articles L. 613-30-3-I-4° and R. 613-28 of the French Monetary and Financial Code).

(1) Directive 2013/36/EU of 26 June 2013 as amended and modified since Directive (EU) 2019/878 of 20 May 2019, including through the Directive (and its transpositions into French law) and Regulation (EU) 575/2013 of 26 June 2013 as supplemented and amended since, including through Regulation (EU) 2019/876 of 20 May 2019.

(2) Directive 2014/59/EU of 15 May 2014 as supplemented and amended since, including through Directive (EU) 2019/879 of 20 May 2019 regarding the loss-absorbing and recapitalisation capacity of credit institutions and investment firms and Directive 98/26/EC.

In the case of a resolution procedure and according to the conditions of the applicable regulations, senior non-preferred securities may be impaired, in whole or in part, or converted into capital (Core Tier 1 capital), as part of the bail-in, before other senior debt (the "senior preferred" debt), but only after the full impairment or conversion into capital of subordinated instruments – including, without limitation, Tier 1 (CET1 and Additional Tier 1)

and Tier 2 instruments – and only if those initial impairments or conversions are insufficient to allow for the bail-in of the institution concerned.

In the event of liquidation, senior non-preferred securities will be repaid, if any funds remain, after the full repayment of senior preferred debt but before subordinated debt which may or may not qualify as regulatory capital.

6.20 Undated financial instruments

The main issues of undated subordinated and deeply subordinated debt classified in shareholders' equity Group share are:

Issue date	Currency			At 31 December 2021				
		Amount in currency at 31 December 2020	Partial repurchases and redemptions	Amount in currency at 31 December 2021	Amount in euros at inception rate	Interests paid Group share	Issuance costs net of taxes	Shareholders' equity Group share
		(in millions of units)	(in millions of units)	(in millions of units)	(in millions of euros)	(in millions of euros)	(in millions of euros)	(in millions of euros)
23/01/2014	USD	1,750	-	1,750	1,283	(945)	(8)	330
08/04/2014 ⁽¹⁾	GBP	500	-	103	125	(71)	(1)	53
08/04/2014	EUR	1,000	(1,000)	-	-	-	-	-
19/01/2016	USD	1,250	-	1,250	1,150	(527)	(8)	615
26/02/2019	USD	1,250	-	1,250	1,098	(194)	(7)	897
14/10/2020	EUR	750	-	750	750	(36)	(5)	709
23/06/2021 ⁽¹⁾	GBP	-	-	397	482	(19)	(1)	462
Crédit Agricole S.A. Issues	-	-	-	-	4,888	(1,792)	(30)	3,066
Issues subscribed in-house:								
Group share / Non controlling interests effect		-	-	-	-	48	-	48
Issues subscribed by Crédit Agricole CIB for currency regulation		-	-	-	-	-	-	-
TOTAL		-	-	-	4,888	(1,744)	(30)	3,114

(1) Securities from the CYGNUS GBP issue were part of an exchange offer in June 2021 for GBP 397 million with the issue of a new series.

The main issues of undated subordinated and deeply subordinated debt classified in shareholder's equity – Non controlling interests share (insurance) are:

Issue date	Currency			At 31 December 2020		
		Amount in currency at 31 December 2020	Partial repurchases and redemptions	Amount in currency at 31 December 2021	Amount in euros at inception rate	Income – Non controlling interests
		(in millions of units)	(in millions of units)	(in millions of units)	(in millions of euros)	(in millions of euros)
10/14/2014	EUR	745	-	745	745	(236)
1/13/2015	EUR	1,000	-	1,000	1,000	(254)
Insurance Issues	-	-	-	-	1,745	(490)
TOTAL	-	-	-	-	1,745	(490)

Changes relating to undated subordinated and deeply subordinated debt affecting shareholders' equity Group share are as follows:

(in millions of euros)	Equity-Group share		Non-controlling interests	
	31/12/2021	31/12/2020	31/12/2021	31/12/2020
Undated deeply subordinated notes				
Interests paid accounted as reserves	(367)	(383)	(16)	(14)
Changes in nominal amounts	(1,000)	754	-	-
Income tax savings related to interest paid to security holders recognised in net income	109	127	-	-
Issuance costs (net of tax) accounted as reserves	(1)	(5)	-	-
Other	-	-	-	-
Undated subordinated notes				
Interests paid accounted as reserves	-	-	(76)	(76)
Changes in nominal amounts	-	-	-	-
Income tax savings related to interest paid to security holders recognised in net income	22	24	-	-
Issuance costs (net of tax) accounted as reserves	-	-	-	-
Other	-	-	-	-

As undated subordinated and deeply subordinated financial instruments are considered equity instruments issued, the tax effects on the compensation paid are recognised as income tax in the income statement.

6.21 Non-controlling interests

Information on significant non-controlling interests

The table below presents information on the consolidated subsidiaries and structured entities with significant non-controlling interests in relation to the total equity of the Group or of the sub-group level or where the total balance sheet of the entities held by the non-controlling interests is significant.

(in millions of euros)	31/12/2021				
	% of voting rights held by non-controlling interests	% of ownership interests held by non-controlling interests	Net income allocated to non-controlling interests during the reporting period	Accumulated non-controlling interests at the end of the reporting period	Dividends paid to non-controlling interests
Amundi Group	31%	31%	417	2,729	178
Crédit Agricole Italia Group	15%	15%	89	797	13
CACEIS Group	30%	31%	58	933	144
Agos SPA	39%	39%	152	455	48
CA Egypt	40%	40%	30	189	-
Other entities ⁽¹⁾	0%	0%	106	2,114	15
TOTAL			852	7,217	398

(1) Of which €1,745 million related to the issuance of Additional Tier 1 undated subordinated bonds realised on 14 October 2014 and 13 January 2015 by Crédit Agricole Assurances, accounted for in equity of non-controlling interests.

	31/12/2020				
(in millions of euros)	% of voting rights held by non-controlling interests	% of ownership interests held by non-controlling interests	Net income allocated to non-controlling interests during the reporting period	Accumulated non-controlling interests at the end of the reporting period	Dividends paid to non-controlling interests
Amundi Group	30%	30%	275	2,414	-
Crédit Agricole Italia Group	15%	15%	(45)	853	-
CACEIS Group	30%	30%	58	1,030	-
AGOS SPA	39%	39%	82	376	64
CA Egypt	40%	40%	26	145	22
Other entities ⁽¹⁾	0%	0%	108	2,091	12
TOTAL			504	6,909	98

(1) Of which €1,745 million related to the issuance of Additional Tier 1 undated subordinated bonds realised on 14 October 2014 and 13 January 2015 by Crédit Agricole Assurances, accounted for in equity of non-controlling interests.

Individual summary financial information on significant non-controlling interests

The table below presents summary information on subsidiaries with significant non-controlling interests for the Crédit Agricole Group on the basis of the IFRS financial statements.

	31/12/2021			
(in millions of euros)	Total assets	Revenues	Net income	Net income and other comprehensive income
Amundi Group	28,718	3,136	1,366	1,504
Crédit Agricole Italia Group	104,798	2,336	609	583
CACEIS Group	122,132	1,179	187	157
AGOS SPA	17,544	849	389	388
CA Egypt	3,430	204	77	76
TOTAL	276,622	7,704	2,628	2,708

	31/12/2020			
(in millions of euros)	Total assets	Revenues	Net income	Net income and other comprehensive income
Amundi Group	28,888	2,521	907	757
Crédit Agricole Italia Group	76,328	1,891	217	240
CACEIS Group	120,695	1,129	189	156
AGOS SPA	17,309	809	223	222
CA Egypt	2,704	197	66	65
TOTAL	245,924	6,547	1,602	1,440

6.22 Breakdown of financial assets and financial liabilities by contractual maturity

The breakdown of balance sheet financial assets and liabilities is made according to contractual maturity date.

The maturities of derivative instruments held for trading and for hedging correspond to their date of contractual maturity.

Equities and other variable-income securities are by nature without maturity; they are classified "Indefinite".

	31/12/2021					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Cash, central banks	241,191	-	-	-	-	241,191
Financial assets at fair value through profit or loss	103,547	31,203	36,855	74,094	187,435	433,134
Hedging derivative Instruments	1,558	736	4,506	9,223	-	16,023
Financial assets at fair value through other comprehensive income	13,886	17,733	97,239	135,605	4,237	268,700
Financial assets at amortised cost	184,239	117,992	477,740	474,897	3,415	1,258,283
Revaluation adjustment on interest rate hedged portfolios	5,231					5,231
TOTAL FINANCIAL ASSETS BY MATURITY	549,652	167,664	616,340	693,819	195,087	2,222,562
Central banks	1,276	-	-	-	-	1,276
Financial liabilities at fair value through profit or loss	101,920	17,551	38,828	85,256	-	243,555
Hedging derivative Instruments	1,401	400	5,060	9,966	-	16,827
Financial liabilities at amortised cost	1,056,763	83,743	247,584	59,373	-	1,447,463
Subordinated debt	123	35	11,734	13,455	526	25,873
Revaluation adjustment on interest rate hedged portfolios	5,841					5,841
TOTAL FINANCIAL LIABILITIES BY MATURITY	1,167,324	101,729	303,206	168,050	526	1,740,835

	31/12/2020					
(in millions of euros)	≤ 3 months	> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	Total
Cash, central banks	197,792	-	-	-	-	197,792
Financial assets at fair value through profit or loss	122,462	28,506	39,987	82,117	165,462	438,534
Hedging derivative Instruments	1,538	2,856	4,709	13,862	-	22,965
Financial assets at fair value through other comprehensive income	9,165	14,925	100,815	149,271	3,733	277,909
Financial assets at amortised cost	153,961	136,215	426,599	445,749	3,126	1,165,650
Revaluation adjustment on interest rate hedged portfolios	13,524					13,524
TOTAL FINANCIAL ASSETS BY MATURITY	498,442	182,502	572,110	690,999	172,321	2,116,374
Central banks	864	-	-	-	-	864
Financial liabilities at fair value through profit or loss	108,788	20,907	41,417	92,048	-	263,160
Hedging derivative Instruments	1,961	677	6,399	14,682	6	23,725
Financial liabilities at amortised cost	972,311	72,168	232,203	57,489	-	1,334,171
Subordinated debt	451	1,501	5,932	15,422	590	23,896
Revaluation adjustment on interest rate hedged portfolios	11,541					11,541
TOTAL FINANCIAL LIABILITIES BY MATURITY	1,095,916	95,253	285,951	179,641	596	1,657,357

NOTE 7 EMPLOYEE BENEFITS AND OTHER COMPENSATION

7.1 Analysis of employee expenses

(in millions of euros)	31/12/2021	31/12/2020
Salaries ⁽¹⁾⁽²⁾	(8,770)	(7,969)
Contributions to defined-contribution plans	(771)	(754)
Contributions to defined-benefit plans	(137)	(155)
Other social security expenses	(2,482)	(2,319)
Profit-sharing and incentive plans	(810)	(673)
Payroll-related tax	(869)	(815)
TOTAL EMPLOYEE EXPENSES	(13,839)	(12,685)

(1) Regarding deferred variable compensation paid to market professionals, Crédit Agricole Group booked a charge for share-based payments of €60 million at 31 December 2021 compared with €70 million at 31 December 2020.

(2) Of which retirement-related indemnities amounted to €244 million at 31 December 2021, compared with €224 million at 31 December 2020.

7.2 Average headcount

Average headcount	31/12/2021	31/12/2020
France	105,639	104,584
International	40,998	37,576
TOTAL	146,636	142,159

7.3 Post-employment benefits, defined-contribution plans

"Employers" contribute to a variety of compulsory pension schemes. Plan assets are managed by independent organisations and the contributing companies have no legal or implied obligation to pay additional contributions if the funds do not have sufficient assets to cover all benefits corresponding to services rendered by employees during the year and during prior years.

Consequently, Crédit Agricole Group companies have no liability in this respect other than the contributions payable.

Within the Group, there are several compulsory defined-contribution schemes, the main ones being Agirc/Arrco, which are French supplementary retirement plans, and some supplementary plans in place notably within UES Crédit Agricole S.A.

Analysis of supplementary pension plans in France

Business Line	Entity	Compulsory supplementary pension plans	Estimate number of employees covered as at 31/12/2021	Estimate number of employees covered as at 31/12/2020
Central Support functions	UES Crédit Agricole S.A.	Agriculture industry plan 1.24%	1,790	1,750
Central Support functions	UES Crédit Agricole S.A.	"Article 83" Group Executive managers plan	215	219
French retail bankin – LCL	LCL	"Article 83" Group Executive managers plan	268	292
Large customers	Crédit Agricole CIB	"Article 83" type plan	5,199	5,032
Asset Gathering	CAAS/ Pacifica / SIRCA / La MDF	Agriculture industry plan 1.24%	4,738	4,443
Asset Gathering	CAAS / Pacifica / CACI / La MDF	"Article 83" Group Executive managers plan	78	79
Asset Gathering	CACI / CA Indosuez Wealth (France) / CA Indosuez Wealth (Group) / Amundi	"Article 83" type plan	3,962	3,725

7.4 Post-employment benefits, defined-benefit schemes

Change in actuarial liability

	31/12/2021		31/12/2020	
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Actuarial liability at 31/12/N-1	3,093	1,822	4,915	4,803
Impact of IFRIC IAS 19 at opening ⁽²⁾	(252)	-	(252)	-
Translation adjustments	-	112	112	(55)
Cost of service rendered during the period	176	40	216	179
Financial cost	10	18	28	49
Employee contributions	1	17	18	16
Benefit plan changes, withdrawals and settlement	(9)	-	(9)	(95)
Changes in scope	64	1	65	(3)
Benefits paid (mandatory)	(172)	(72)	(244)	(224)
Tax, administrative costs and bonuses	-	-	-	-
Actuarial gains/(losses) arising from changes in demographic assumptions ⁽¹⁾	3	(15)	(12)	(6)
Actuarial gains/(losses) arising from changes in financial assumptions ⁽¹⁾	(89)	(56)	(145)	251
ACTUARIAL LIABILITY AT END OF PERIOD	2,824	1,868	4,692	4,915

(1) Of which actuarial gains/losses related to experience adjustment.

(2) Concern the impact of the first-time application of the IFRS IC decision of 21 April 2021 on calculating commitments relating to certain defined-benefit schemes totalling €252 million at 1 January 2021 (see Note 1.1 "Applicable standards and comparability").

As at 1 January 2020, the impact on actuarial liabilities would have been €226 million.

Breakdown of the net charge recognised in the income statement

	31/12/2021		31/12/2020	
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Service cost	(167)	(41)	(208)	(86)
Income/expenses on net interests	17	(3)	14	(14)
IMPACT ON PROFIT OR LOSS FOR THE YEAR	(150)	(44)	(194)	(100)

Breakdown of net income and loss directly recognised in other comprehensive income on items that may not be reclassified to profit and loss

	31/12/2021		31/12/2020	
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Revaluation from net liabilities (from net assets)	Eurozone	Outside Eurozone	All Zones	All Zones
Total amount of actuarial gains or losses recognised in other comprehensive income that will not be reclassified to profit or loss at beginning of period	942	348	1,290	1,159
Translation adjustments	-	10	10	(4)
Actuarial gains/(losses) on assets	(39)	(75)	(114)	(106)
Actuarial gains/(losses) arising from changes in demographic assumptions ⁽¹⁾	3	(15)	(12)	(6)
Actuarial gains/(losses) arising from changes in financial assumptions ⁽¹⁾	(89)	(56)	(145)	251
Adjustment of assets restriction's impact	(3)	-	(3)	9
TOTAL AMOUNT OF ACTUARIAL GAINS OR LOSSES RECOGNISED IN OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS AT END OF PERIOD	(128)	(136)	(264)	144

(1) Of which actuarial gains/losses related to experience adjustment.

Change in fair value of assets

	31/12/2021		31/12/2020	
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Fair value of assets at beginning of period	1,870	1,539	3,409	3,311
Translation adjustments	-	102	102	(51)
Interests on asset (income)	7	17	24	35
Actuarial gains/(losses)	33	75	108	106
Employer contributions	109	30	138	148
Employee contributions	1	17	18	16
Benefit plan changes, withdrawals and settlement	-	-	-	-
Changes in scope	14	1	16	(8)
Tax, administrative costs and bonuses	-	(1)	(1)	(1)
Benefits paid out under the benefit plan	(78)	(69)	(147)	(147)
FAIR VALUE OF ASSETS AT END OF PERIOD	1,956	1,711	3,667	3,409

Change in fair value of reimbursement rights

	31/12/2021		31/12/2020	
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Fair value of reimbursement rights at beginning of period	316	-	316	338
Translation adjustments	-	-	-	-
Interests on reimbursement rights (income)	-	-	-	2
Actuarial gains/(losses)	6	-	6	-
Employer contributions	14	-	14	7
Employee contributions	-	-	-	-
Benefit plan changes, withdrawals and settlement	-	-	-	-
Changes in scope	3	-	3	6
Tax, administrative costs and bonuses	-	-	-	-
Benefits paid out under the benefit plan	(51)	-	(51)	(37)
FAIR VALUE OF REIMBURSEMENT RIGHTS AT END OF PERIOD	288	-	288	316

Net position

	31/12/2021		31/12/2020	
(in millions of euros)	Eurozone	Outside Eurozone	All Zones	All Zones
Closing actuarial liability	(2,824)	(1,868)	(4,692)	(4,915)
Impact of asset restriction	(3)	(13)	(16)	(18)
Fair value of assets at end of period	1,956	1,711	3,667	3,409
Other ⁽¹⁾	(66)	-	(66)	-
NET POSITION OF ASSETS/(LIABILITIES) AT END OF PERIOD	(937)	(170)	(1,107)	(1,524)

(1) Following the €86 million adjustment recorded on 1 January 2021 in respect of the Article 137-11 pension plan system, the remaining commitment to be deferred amounts to €66 million as at 31 December 2021, with a deferral of €20 million recorded in respect of the 2021 financial year

Defined-benefit schemes: main actuarial assumptions

	31/12/2021		31/12/2020	
(in millions of euros)	Eurozone	Outside Eurozone	Eurozone	Outside Eurozone
Discount rate ⁽¹⁾	0.58%	1.21%	0.35%	0.99%
Actual return on plan assets and on reimbursement rights	5.72%	5.82%	2.39%	7.34%
Expected salary increase rates ⁽²⁾	1.46%	1.89%	1.40%	1.74%
Rate of change in medical costs	0.00%	0.00%	0.00%	0.00%

(1) Discount rates are determined as a function of the average duration of the commitment, that is, the arithmetic mean of durations calculated between the valuation date and the payment date weighted by assumptions of staff turnover. The underlying used is the discount rate by reference to the iBoxx AA.

(2) Depending on the employees concerned (managers or non-managers).

Information on plan assets: allocation of assets⁽¹⁾

(in millions of euros)	Eurozone			Outside Eurozone			All Zones		
	%	Amount	of which listed	%	Amount	of which listed	%	Amount	of which listed
Equities	11.1%	249	90	25.1%	429	429	17.2%	678	519
Bonds	63.2%	1,418	348	45.8%	784	784	55.7%	2,202	1,132
Property/Real estate	4.8%	107	-	12.3%	210	-	8.0%	317	-
Other assets	20.9%	469	-	16.9%	289	-	19.2%	758	-

(1) Of which fair value of reimbursement rights.

At 31 December 2021, the sensitivity analysis showed that:

- a 50-basis point increase in discount rates would reduce the commitment by 5.66%;
- a 50-basis point decrease in discount rates would increase the commitment by 6.23%.

Crédit Agricole Group's policy on covering employment-related commitments reflects local rules on funding post-employment benefits in countries with minimum funding requirements. Overall, commitments arising from the Group's post-employment obligations were 84% covered at 31 December 2021 (including reimbursement rights).

7.5 Other employee benefits

In France, the Group's main entities pay long-service awards. The amounts vary according to practices and collective bargaining agreements in place.

The provisions funded by Crédit Agricole Group for these other employment-related commitments amounted to €671 million at 31 December 2021.

7.6 Share-based payments

7.6.1 Stock option plan

No new plan was implemented in 2021.

the Crédit Agricole S.A. share price, which is not material, was recognised in equity.

7.6.2 Deferred variable compensation settled either in shares or in cash indexed to the share price

The deferred variable compensation plans implemented by the Group take two forms:

- equity-settled plans;
- cash-settled plans indexed to the Crédit Agricole S.A. share price.

Since 1 January 2016, all existing and future deferred variable compensation plans are now cash-settled plans indexed to the Crédit Agricole S.A. share price. The impact of the revaluation of the commitment on the basis of

This deferred variable compensation is subject to continued employment and a performance condition. It is broken down into thirds that are payable in March 2022, March 2023 and March 2024.

The expense related to these plans is recognised in compensation expenses. It is spread on a straight-line basis over the vesting period to factor in continued employment, and a liability is recorded in employee expenses, the amount of which is subject to periodical revaluation through profit or loss until the settlement date, depending on the evolution of the share price of Crédit Agricole S.A. and on vesting conditions (continued employment and performance).

NOTE 8 LEASES

8.1 Leases for which the Group is the lessee

The item "Property, plant and equipment" in the balance sheet consists of own and leased assets that do not meet the definition of investment properties.

(in millions of euros)	31/12/2021	31/12/2020
Owned property, plant & equipment	8,593	8,210
Right-of-use on lease contracts	2,316	2,329
TOTAL PROPERTY, PLANT & EQUIPMENT USED IN OPERATIONS	10,909	10,539

Crédit Agricole Group is also a lessee under lease agreements for IT equipment (photocopiers, computers, etc.) with terms of one to three years. These are low-value and/or short-term leases. Crédit Agricole Group has opted to apply the exemptions provided for in IFRS 16 and not recognise the right-of-use asset and the lease liability for these leases in the balance sheet.

Change in right of use assets

The Crédit Agricole Group is the lessee of many assets including offices, agencies and computer equipment.

Information relating to the contracts of which Crédit Agricole Group is a lessee is presented below:

(in millions of euros)	31/12/2020	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements ⁽¹⁾	31/12/2021
Property/Real estate							
Gross amount	3,134	144	396	(167)	27	(21)	3,513
Depreciation and impairment	(923)	(33)	(458)	84	(11)	6	(1,335)
TOTAL PROPERTY/REAL ESTATE	2,211	111	(62)	(83)	16	(15)	2,178
Equipment							
Gross amount	239	12	108	(28)	-	-	331
Depreciation and impairment	(121)	(7)	(73)	8	-	-	(193)
TOTAL EQUIPMENT	118	5	35	(20)	-	-	138
TOTAL RIGHT-OF-USE	2,329	116	(27)	(103)	16	(15)	2,316

(1) Taking into account the effects of first-time adoption of the IFRS 16 decision of 26 November 2019 respecting the duration of IFRS 16 leases, the balance of rights of use in the balance sheet would have been €2,466 million at 31 December 2019 (see Note 1.1 "Applicable standards and comparability").

(in millions of euros)	31/12/2019	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements	31/12/2020
Property/Real estate							
Gross amount	2,308	2	2	622	(388)	621	621
Depreciation and impairment	(497)	-	-	(451)	90	(74)	(74)
TOTAL PROPERTY/REAL ESTATE	1,811	2	2	171	(298)	547	547
Equipment							
Gross amount	162	78	78	62	(55)	(2)	(2)
Depreciation and impairment	(75)	(16)	(16)	(55)	22	1	1
TOTAL EQUIPMENT	87	62	62	7	(33)	(1)	(1)
TOTAL RIGHT-OF-USE	1,898	64	64	178	(331)	546	546

Maturity schedule of rental debts

	31/12/2021			
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease liabilities
Lease liabilities	527	1,224	586	2,337
	31/12/2020			
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease liabilities
Lease liabilities	522	1,153	643	2,318

Details of rental contract income and expenses

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
Interest expense on lease liabilities	(30)	(34)
TOTAL INTEREST AND SIMILAR EXPENSES (REVENUES)	(30)	(34)
Expense relating to short-term leases	(33)	(15)
Expense relating to leases of low-value assets	(48)	(43)
Expense relating to variable lease payments not included in the measurement of lease liabilities	(135)	(18)
Income from subleasing right-of-use assets	1	1
Gains or losses arising from leaseback transactions	-	-
Gains or losses arising from lease modifications	-	-
TOTAL OPERATING EXPENSES	(215)	(75)
Depreciation for right-of-use	(519)	(564)
TOTAL DEPRECIATION AND AMORTISATION OF PROPERTY, PLANT & EQUIPMENT	(519)	(564)
TOTAL EXPENSE AND INCOME ON LEASE CONTRACTS	(764)	(673)

Cash flow amounts for the period

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
Total Cash outflow for leases	(774)	(511)

8.2 Leases for which the Group is the lessor

Crédit Agricole Group offers its customers leasing activities that take the form of leasing agreements, lease financing with purchase options, finance leasing and long-term leasing arrangements. Lease agreements are classified as finance leases when the terms of the lease transfer substantially all of the risks and benefits inherent in ownership to the lessee.

Other lease agreements are classified as operating leases.

Income from rental contracts

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
Finance leases	1,161	754
Selling profit or loss	51	35
Finance income on the net investment in the lease	1,110	719
Income relating to variable lease payments	-	-
Operating leases	321	329
Lease income	321	329

Schedule of rent payments to be received

<i>(in millions of euros)</i>	31/12/2021						
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease payments receivable	Unearned finance income	Discounted residual value	Financial lease receivables
Finance leases	4,561	8,919	4,998	18,478	1,130	951	18,299

<i>(in millions of euros)</i>	31/12/2020						
	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease payments receivable	Unearned finance income	Discounted residual value	Financial lease receivables
Finance leases	5,022	8,680	3,495	17,197	1,455	1,614	17,356

Lease agreements expire on their residual maturity date.

The amount by expiry corresponds to the undiscounted contractual amount.

NOTE 9 COMMITMENTS GIVEN AND RECEIVED AND OTHER GUARANTEES

Financing and guarantee commitments and other guarantees include discontinued operations.

Commitments given and received

(in millions of euros)	31/12/2021	31/12/2020
COMMITMENTS GIVEN		
Financing commitments	226,300	223,935
Commitments given to credit institutions	12,658	14,738
Commitments given to customers	213,642	209,197
Confirmed credit lines	148,900	152,359
Documentary credits	6,075	4,842
Other confirmed credit lines	142,825	147,517
Other commitments given to customers	64,742	56,838
Guarantee commitments	118,015	88,831
Credit institutions	10,596	8,117
Confirmed documentary credit lines	4,461	2,955
Other guarantees	6,135	5,162
Customers	107,419	80,714
Property guarantees	5,567	5,231
Other customer guarantees	101,852	75,483
Securities commitments	5,022	4,557
Securities to be delivered	5,022	4,557
COMMITMENTS RECEIVED		
Financing commitments	131,491	138,115
Commitments received from credit institutions	127,532	133,963
Commitments received from customers	3,959	4,152
Guarantee commitments	430,151	399,827
Commitments received from credit institutions	123,714	107,543
Commitments received from customers	306,437	292,284
Guarantees received from government bodies or similar institutions ⁽¹⁾	72,086	70,856
Other guarantees received	234,351	221,428
Securities commitments	3,710	4,107
Securities to be received	3,710	4,107

(1) As part of the economic support measures in the wake of the Covid-19 health crisis, the Cr dit Agricole Group granted loans for which it received guarantee commitments from the French State (PGE). At 31 December 2021, these guarantee commitments received amounted to  19.8 billion.

Financial instruments given and received as collateral

(in millions of euros)	31/12/2021	31/12/2020
CARRYING AMOUNT OF FINANCIAL ASSETS PROVIDED AS COLLATERAL (INCLUDING TRANSFERRED ASSETS)		
Securities and receivables provided as collateral for the refinancing structures (Banque de France, CRH, etc.)	413,257	397,614
Securities lent	20,227	12,911
Security deposits on market transactions	18,424	19,208
Other security deposits	-	-
Securities sold under repurchase agreements	97,535	105,771
TOTAL CARRYING AMOUNT OF FINANCIAL ASSETS PROVIDED AS COLLATERAL	549,443	535,504
CARRYING AMOUNT OF FINANCIAL ASSETS RECEIVED IN GUARANTEE		
Other security deposits	-	-
Fair value of instruments received as reusable and reused collateral		
Securities borrowed	11	7
Securities bought under repurchase agreements	152,878	157,468
Securities sold short	41,922	37,172
TOTAL FAIR VALUE OF INSTRUMENTS RECEIVED AS REUSABLE AND REUSED COLLATERAL	194,811	194,647

Receivables pledged as collateral

At 31 December 2021, Crédit Agricole S.A. deposited €297.9 billion of receivables (mainly on behalf of the Regional Banks and the subsidiaries) for refinancing transactions to the Banque de France, compared with €274.2 billion at 31 December 2020.

At 31 December 2021, Crédit Agricole S.A. deposited €10.6 billion of receivables for refinancing transactions to the Caisse de Refinancement de l'Habitat on behalf of the Regional Banks, compared with €12.1 billion at 31 December 2020, and €1 billion of receivables were deposited directly by LCL.

At 31 December 2021, €0.1 billion of Regional Bank and €0.74 billion of Crédit Agricole CIB receivables had been pledged as collateral for the covered bonds issued by European Secured Notes Issuer (ESNI), a French securitisation company formed by five banks including Crédit Agricole Group.

At 31 December 2021, €37.7 billion of Regional Bank and €9.2 billion of LCL receivables had been pledged as collateral for the covered bond issues of Crédit Agricole Home Loan SFH, a financial company wholly owned by Crédit Agricole S.A.

As at 31 December 2021, in the context of transactions with EIB/CEB supranationals, Crédit Agricole S.A. deposited €2.5 billion in receivables on behalf of the Regional Banks.

As at 31 December 2021, in the context of refinancing transactions with CDC, Crédit Agricole S.A. deposited €2.7 billion in receivables on behalf of the Regional Banks.

These processes, for which there is no transfer of contractual cash flows, do not form part of the asset transfers.

Guarantees held and assets received as collateral

Guarantees held and assets received as collateral by the Crédit Agricole Group which it is allowed to sell or to use as collateral are mostly held within Crédit Agricole S.A. The majority of these are receivables pledged as collateral by the Regional Banks and their main bank subsidiaries to Crédit Agricole S.A., the latter acting as the central body with regard to the external refinancing organisations, in order to obtain refinancing. These receivables (property-related, or loans to businesses or local authorities) are selected and rated for their quality and retained on the balance sheet of the contributing entities.

The majority of these guarantees consist of mortgage liens, collateral or guarantees received, regardless of the quality of the assets guaranteed. They are mainly related to repurchase agreements and securities pledged to guarantee brokerage transactions.

Crédit Agricole Group policy is to sell seized collateral as soon as possible. Crédit Agricole CIB and Crédit Agricole S.A. had no such assets at 31 December 2021.

NOTE 10 RECLASSIFICATION OF FINANCIAL INSTRUMENTS

Principles applied by the Crédit Agricole Group

Reclassifications are performed only under exceptional circumstances and following a decision by the Executive Management of the entity as a result of internal or external changes: significant changes in the entity's activity.

Reclassification performed by the Crédit Agricole Group

In 2021, the Crédit Agricole Group did not carry out any reclassification pursuant to paragraph 4.4.1 of IFRS 9.

NOTE 11 FAIR VALUE OF FINANCIAL INSTRUMENTS

Fair value is the price that would be received at the sale of an asset or paid to transfer a liability in a standard transaction between market participants at the valuation date.

Fair value is defined on the basis of the exit price.

The fair values shown below are estimates made on the reporting date using observable market data wherever possible. These are subject to change in subsequent periods due to developments in market conditions or other factors.

The calculations represent best estimates. They are based on a number of assumptions. It is assumed that market participants act in their best economic interest.

To the extent that these models contain uncertainties, the fair values shown may not be achieved upon actual sale or immediate settlement of the financial instruments concerned.

The fair value hierarchy of financial assets and liabilities is broken down according to the general observability criteria of the valuation inputs, pursuant to the principles defined under IFRS 13.

Level 1 of the hierarchy applies to the fair value of financial assets and liabilities quoted in active markets.

Level 2 of the hierarchy applies to the fair value of financial assets and liabilities with observable inputs. This agreement includes market data relating to interest rate risk or credit risk when the latter can be revalued

based on observable Credit Default Swap (CDS) spreads. Securities bought or sold under repurchase agreements subject of an active market, depending on the underlying and the maturity of the transaction are also included in Level 2 of the hierarchy, as are financial assets and liabilities with a demand component for which fair value is measured at unadjusted amortised cost.

Level 3 of the hierarchy indicates the fair value of financial assets and financial liabilities for which there is no observable data or for which some parameters can be remeasured based on internal models that use historical data. These are mainly parameters related to credit or early redemption risk.

In some cases, market values are close to carrying amounts. These include:

- variable-rate assets or liabilities for which changes in interest rates do not significantly affect fair value since the interest rates for these instruments adjust frequently to market rates;
- short-term assets or liabilities where the redemption value is considered to be close to the market value;
- instruments executed on a regulated market (e.g. regulated savings) for which the prices are set by the public authorities;
- demand assets and liabilities;
- transactions for which there is no reliable observable data.

11.1 Fair value of financial assets and liabilities recognised at amortised cost

Amounts presented below include accruals and prepayments and, in the case of assets, are net of impairment.

Financial assets recognised at amortised cost and measured at fair value on the balance sheet

<i>(in millions of euros)</i>	Value at 31/12/2021	Estimated fair value at 31/12/2021	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
FINANCIAL ASSETS NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
LOANS AND RECEIVABLES	1, 148,295	1, 231,519	-	187,332	1, 044,187
Loans and receivables due from credit institutions	96,703	115,295	-	114,876	419
Current accounts and overnight loans	7,381	11,597	-	11,592	5
Accounts and long-term loans	82,877	97,125	-	96,906	219
Pledged securities	-	-	-	-	-
Securities bought under repurchase agreements	5,879	5,889	-	5,889	-
Subordinated loans	565	671	-	476	195
Other loans and receivables	1	13	-	13	-
Loans and receivables due from customers	1, 051,592	1, 116,224	-	72,456	1, 043,768
Trade receivables	57,322	65,517	-	32,184	33,333
Other customer loans	975,083	1, 029,186	-	20,746	1, 008,440
Pledged securities	240	240	-	240	-
Securities bought under repurchase agreements	3,915	3,916	-	3,879	37
Subordinated loans	163	173	-	117	56
Insurance receivables	151	152	-	86	66
Reinsurance receivables	851	852	-	-	852
Advances in associates' current accounts	794	903	-	647	256
Current accounts in debit	13,073	15,285	-	14,557	728
DEBT SECURITIES	109,988	111,670	87,458	11,067	13,145
Treasury bills and similar securities	44,285	44,911	42,563	2,105	243
Bonds and other fixed income securities	65,703	66,759	44,895	8,962	12,902
TOTAL FINANCIAL ASSETS OF WHICH FAIR VALUE IS DISCLOSED	1, 258,283	1, 343,189	87,458	198,399	1, 057,332

(in millions of euros)	Value at 31/12/2020	Estimated fair value at 31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
FINANCIAL ASSETS NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
LOANS AND RECEIVABLES	1,055,444	1,122,841	-	238,606	884,235
Loans and receivables due from credit institutions	89,954	109,882	-	109,302	580
Current accounts and overnight loans	6,673	10,320	-	10,245	75
Accounts and long-term loans	74,945	91,068	-	90,793	275
Pledged securities	-	-	-	-	-
Securities bought under repurchase agreements	7,653	7,665	-	7,665	-
Subordinated loans	616	735	-	505	230
Other loans and receivables	67	94	-	94	-
Loans and receivables due from customers	965,490	1,012,959	-	129,304	883,655
Trade receivables	41,018	41,329	-	21,445	19,884
Other customer loans	905,106	950,451	-	90,202	860,249
Pledged securities	205	205	-	205	-
Securities bought under repurchase agreements	3,713	3,713	-	3,460	253
Subordinated loans	135	137	-	81	56
Insurance receivables	308	308	-	82	226
Reinsurance receivables	845	845	-	5	840
Advances in associates' current accounts	858	938	-	675	263
Current accounts in debit	13,302	15,033	-	13,149	1,884
DEBT SECURITIES	110,206	112,959	84,192	12,811	15,956
Treasury bills and similar securities	39,959	40,828	36,648	3,951	229
Bonds and other fixed income securities	70,247	72,131	47,544	8,860	15,727
TOTAL FINANCIAL ASSETS OF WHICH FAIR VALUE IS DISCLOSED	1,165,650	1,235,800	84,192	251,417	900,191

Financial liabilities recognised at amortised cost and measured at fair value on the balance sheet

(in millions of euros)	Value at 31/12/2021	Estimated fair value at 31/12/2021	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
Due to credit institutions	221,192	257,037	-	255,887	1,150
Current accounts and overnight loans	11,994	12,301	-	12,301	-
Accounts and term deposits	191,991	227,338	-	226,188	1,150
Pledged securities	-	-	-	-	-
Securities sold under repurchase agreements	17,207	17,398	-	17,398	-
Due to customers	1,044,566	1,065,542	-	712,635	352,907
Current accounts in credit	550,200	566,089	-	566,089	-
Special savings accounts	349,946	350,145	-	-	350,145
Other amounts due to customers	139,931	144,794	-	144,301	493
Securities sold under repurchase agreements	2,124	2,124	-	2,124	-
Insurance liabilities	973	973	-	94	879
Reinsurance liabilities	676	701	-	27	674
Cash deposits received from ceding and retroceding companies against technical insurance commitments	716	716	-	-	716
Debt securities	181,705	185,515	56,291	128,665	559
Subordinated debt	25,873	27,271	3	27,268	-
TOTAL FINANCIAL LIABILITIES OF WHICH FAIR VALUE IS DISCLOSED	1,473,336	1,535,365	56,294	1,124,455	354,616

(in millions of euros)	Value at 31/12/2020	Estimated fair value at 31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
Due to credit institutions	198,942	237,265	-	236,102	1,163
Current accounts and overnight loans	8,545	8,609	-	8,609	-
Accounts and term deposits	168,579	206,654	-	205,605	1,049
Pledged securities	-	-	-	-	-
Securities sold under repurchase agreements	21,818	22,002	-	21,888	114
Due to customers	963,433	981,214	-	648,587	332,627
Current accounts in credit	495,519	512,036	-	512,036	-
Special savings accounts	329,527	329,539	-	-	329,539
Other amounts due to customers	134,106	135,334	-	134,904	430
Securities sold under repurchase agreements	1,520	1,520	-	1,520	-
Insurance liabilities	906	905	-	101	804
Reinsurance liabilities	590	615	-	26	589
Cash deposits received from ceding and retroceding companies against technical insurance commitments	1,265	1,265	-	-	1,265
Debt securities	171,796	177,224	88,130	88,447	647
Subordinated debt	23,896	24,499	6,739	17,760	-
TOTAL FINANCIAL LIABILITIES OF WHICH FAIR VALUE IS DISCLOSED	1,358,067	1,420,202	94,869	990,896	334,437

11.2 Information about financial instruments measured at fair value

Valuation mechanism

Financial instruments are valued by management information systems and checked by a team that reports to the Risk Management department and is independent from the market operators.

Valuations are based on the following:

- prices or inputs obtained from independent sources and/or validated by the Market Risk department using a series of available sources such as market data providers, market consensus and broker data;
- models approved by the quantitative teams in the Market Risk department.

The valuation produced for each instrument is a mid-market valuation, which does not take account of the direction of the trade, the bank's aggregate exposure, market liquidity or counterparty quality. Adjustments are then made to the market valuations to incorporate those factors, as well as the potential uncertainties inherent in the models or inputs used.

The main types of valuation adjustments are the following:

Mark-to-Market adjustments

These adjustments correct any potential variance between the mid-market valuation of an instrument obtained using internal valuation models and the associated inputs and the valuation obtained from external sources or market consensus data. This adjustment can be either positive or negative.

Bid/ask reserves

These adjustments incorporate the bid/ask spread for a given instrument in order to reflect the price at which the position could be reversed. These adjustments are always negative.

Uncertainty reserves

These adjustments constitute a risk premium taken into account by all market participants. These adjustments are always negative:

- input uncertainty reserves seek to incorporate in the valuation of an instrument any uncertainty that might exist as regards one or more of the inputs used;
- model uncertainty reserves seek to incorporate in the valuation of an instrument any uncertainty that might exist due to the choice of model used.

In addition, in accordance with IFRS 13 "Fair value measurement", Crédit Agricole S.A. prices in to the fair value calculated for its OTC derivatives (i.e. those traded over the counter) various adjustments linked to:

- default risk or credit rating (Credit Valuation Adjustment/Debit Valuation Adjustment);
- future funding costs and benefits (Funding Valuation Adjustment);
- liquidity risk associated with collateral (Liquidity Valuation Adjustment).

Liquidity Valuation Adjustment (CVA)

The CVA (Credit Valuation Adjustment) is a mark-to-market adjustment to incorporate the market value of the default risk (risk of non-payment of amounts due in the event of default or deterioration in credit quality) in the value of OTC derivatives of our counterparties. This adjustment is calculated per counterparty based on the positive future exposure of the trading portfolio (taking into account any netting or collateral agreements, where such exist) weighted by the probabilities of default and losses given default.

The methodology used maximises the use of market inputs/prices (probabilities of default are derived in priority directly from any existing listed CDS, proxies of listed CDS and other credit instruments where these are deemed sufficiently liquid). This adjustment is always negative and reduces the fair value of the OTC derivative assets held in the portfolio.

Liquidity Valuation Adjustment (DVA)

The Debit Valuation Adjustment (DVA) is a mark-to-market adjustment that aims to incorporate the market value of the default risk (potential losses to which Crédit Agricole S.A. may expose its counterparties in the event of default or a deterioration in its creditworthiness) in the value of perfectly collateralised OTC derivatives. This adjustment is calculated by collateral contract type on the basis of negative future exposure profiles of the trading portfolio weighted by default probabilities (Crédit Agricole S.A.) and losses incurred in the event of default.

The methodology used maximises the use of market inputs/prices (use of CASA CDS to determine default probabilities). This adjustment is always positive and reduces the fair value of the OTC derivative liabilities held in the portfolio.

Liquidity Valuation Adjustment (FVA)

The Funding Valuation Adjustment (FVA) is a mark-to-market adjustment that aims to incorporate the additional future funding costs and benefits based on ALM (Asset & Liability Management) funding costs in the value of not collateralised or imperfectly collateralised OTC derivatives. This adjustment is calculated per counterparty based on the future exposure of the trading portfolio (taking into account any netting or collateral agreements, where such exist) weighted by ALM funding spreads.

As regards the scope of "cleared" derivatives, an FVA adjustment called IMVA (Initial Margin Value Adjustment) is calculated to take into account the future financing costs and gains of the initial margins to be posted with the main derivatives clearing houses until the portfolio matures.

Liquidity Valuation Adjustment (LVA)

The LVA (Liquidity Valuation Adjustment) is the positive or negative valuation adjustment intended to reflect both the potential absence of collateral payments for counterparties with a CSA (Credit Support Annex), as well as the non-standard remuneration of CSAs.

Therefore, the LVA reflects the profit or loss resulting from additional liquidity costs. It is calculated on the scope of OTC derivatives with CSAs.

Breakdown of financial instruments at fair value by valuation model

Amounts presented below include accruals and prepayments and are net of impairment.

Financial assets measured at fair value

(in millions of euros)	31/12/2021	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
HELD FOR TRADING FINANCIAL ASSETS	233,031	27,610	198,726	6,695
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	820	-	1	819
Securities bought under repurchase agreements	110,598	-	108,476	2,122
Pledged securities	-	-	-	-
Held for trading securities	29,870	27,226	2,257	387
<i>Treasury bills and similar securities</i>	15,091	13,830	1,261	-
<i>Bonds and other fixed income securities</i>	7,883	6,674	995	214
<i>Mutual funds</i>	64	64	-	-
<i>Equities and other variable income securities</i>	6,832	6,658	1	173
Derivative instruments	91,743	384	87,992	3,367
OTHER FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	200,103	124,809	58,522	16,772
Equity instruments at fair value through profit or loss	41,895	25,638	7,960	8,297
Equities and other variable income securities	26,950	22,844	2,564	1,542
Non-consolidated equity investments	14,945	2,794	5,396	6,755
Debt instruments that do not meet the conditions of the "SPPI" test	82,147	45,723	28,094	8,330
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	2,942	-	2,910	32
Debt securities	79,205	45,723	25,184	8,298
<i>Treasury bills and similar securities</i>	227	4	223	-
<i>Bonds and other fixed income securities</i>	12,812	2,032	9,966	814
<i>Mutual funds</i>	66,166	43,687	14,995	7,484
Assets backing unit-linked contracts	75,991	53,448	22,398	145
Treasury bills and similar securities	486	467	19	-
Bonds and other fixed income securities	4,132	523	3,609	-
Equities and other variable income securities	11,015	2,045	8,969	1
Mutual funds	60,358	50,413	9,801	144
Financial assets designated at fair value through profit or loss	70	-	70	-
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Debt securities	70	-	70	-
<i>Treasury bills and similar securities</i>	-	-	-	-
<i>Bonds and other fixed income securities</i>	70	-	70	-
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	268,700	237,897	29,350	1,453
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	4,128	183	2,641	1,304
<i>Equities and other variable income securities</i>	892	17	539	336
<i>Non-consolidated equity investments</i>	3,236	166	2,102	968
Debt instruments at fair value through other comprehensive income that may be reclassified to profit and loss	264,572	237,714	26,709	149
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Debt securities	264,572	237,714	26,709	149
<i>Treasury bills and similar securities</i>	84,413	84,133	280	-
<i>Bonds and other fixed income securities</i>	180,159	153,581	26,429	149
HEDGING DERIVATIVE INSTRUMENTS	16,023	-	16,023	-
TOTAL FINANCIAL ASSETS MEASURED AT FAIR VALUE	717,857	390,316	302,621	24,920
Transfers from Level 1: Quoted prices in active markets for identical instruments			988	88
Transfers from Level 2: Valuation based on observable data		1,220		2,236
Transfers from Level 3: Valuation based on unobservable data		-	544	
TOTAL TRANSFERS TO EACH LEVEL		1,220	1,532	2,324

Level 1 to Level 3 transfers mainly involve non-subordinated debt securities.

Level 2 to Level 3 transfers mainly involve non-subordinated debt securities and trading derivative instruments.

Level 3 to Level 2 transfers mainly involve securities received under repurchase agreements from credit institutions, non-subordinated debt securities and trading derivative instruments.

Level 1 to Level 2 transfers mainly involve treasury bills, bonds and other fixed-income securities.

(in millions of euros)	31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
HELD FOR TRADING FINANCIAL ASSETS	258,187	22,635	230,259	5,293
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	872	-	141	731
Securities bought under repurchase agreements	118,043	-	116,418	1,625
Pledged securities	-	-	-	-
Held for trading securities	24,738	22,542	1,769	427
<i>Treasury bills and similar securities</i>	13,081	11,774	1,307	-
<i>Bonds and other fixed income securities</i>	5,384	4,768	460	156
<i>Mutual funds</i>	52	52	-	-
<i>Equities and other variable income securities</i>	6,221	5,948	2	271
Derivative instruments	114,534	93	111,931	2,510
OTHER FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	180,347	110,605	58,084	11,658
Equity instruments at fair value through profit or loss	35,077	21,501	7,724	5,852
Equities and other variable income securities	22,407	18,906	2,370	1,131
Non-consolidated equity investments	12,670	2,595	5,354	4,721
Debt instruments that do not meet the conditions of the "SPPI" test	81,293	44,677	30,842	5,774
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	3,487	-	3,483	4
Debt securities	77,806	44,677	27,359	5,770
<i>Treasury bills and similar securities</i>	178	4	174	-
<i>Bonds and other fixed income securities</i>	13,466	2,126	10,614	726
<i>Mutual funds</i>	64,162	42,547	16,571	5,044
Assets backing unit-linked contracts	63,900	44,426	19,442	32
Treasury bills and similar securities	498	489	9	-
Bonds and other fixed income securities	4,382	1,145	3,237	-
Equities and other variable income securities	8,377	1,543	6,834	-
Mutual funds	50,643	41,249	9,362	32
Financial assets designated at fair value through profit or loss	77	1	76	-
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Debt securities	77	1	76	-
<i>Treasury bills and similar securities</i>	-	-	-	-
<i>Bonds and other fixed income securities</i>	77	1	76	-
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	277,909	250,642	27,017	250
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	3,649	560	2,839	250
<i>Equities and other variable income securities</i>	784	17	724	43
<i>Non-consolidated equity investments</i>	2,865	543	2,115	207
Debt instruments at fair value through other comprehensive income that may be reclassified to profit and loss	274,260	250,082	24,178	-
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Debt securities	274,260	250,082	24,178	-
<i>Treasury bills and similar securities</i>	89,552	88,877	675	-
<i>Bonds and other fixed income securities</i>	184,708	161,205	23,503	-
HEDGING DERIVATIVE INSTRUMENTS	22,965	17	22,948	-
TOTAL FINANCIAL ASSETS MEASURED AT FAIR VALUE	739,408	383,899	338,308	17,201
Transfers from Level 1: Quoted prices in active markets for identical instruments			1,532	12
Transfers from Level 2: Valuation based on observable data		154		938
Transfers from Level 3: Valuation based on unobservable data		1	1,316	
TOTAL TRANSFERS TO EACH LEVEL		155	2,848	950

Level 1 to Level 2 transfers mainly involve options listed on the underlying equity.

Level 1 to Level 3 transfers involve bonds and other fixed-income securities.

Level 2 to Level 1 transfers mainly involve treasury bills, bonds and other fixed-income securities.

Level 2 to Level 3 transfers mainly involve securities bought/sold under repurchase agreements and trading derivative instruments.

Level 3 to Level 1 transfers involve bonds and other fixed-income securities.

Level 3 to Level 2 transfers mainly involve securities bought/sold under repurchase agreements from credit institutions, from customers and trading derivative instruments. Several positions can now be observed.

Financial liabilities measured at fair value

<i>(in millions of euros)</i>	31/12/2021	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Held for trading financial liabilities	205,075	41,861	161,383	1,831
Securities sold short	41,933	41,622	292	19
Securities sold under repurchase agreements	78,204	-	77,504	700
Debt securities	-	-	-	-
Due to credit institutions	-	-	-	-
Due to customers	-	-	-	-
Derivative instruments	84,938	239	83,587	1,112
Financial liabilities designated at fair value through profit or loss	38,480	11,227	20,354	6,899
Hedging derivative Instruments	16,827	-	16,114	713
TOTAL FINANCIAL LIABILITIES MEASURED AT FAIR VALUE	260,382	53,088	197,851	9,443
Transfers from Level 1: Quoted prices in active markets for identical instruments			1	11
Transfers from Level 2: Valuation based on observable data		5		275
Transfers from Level 3: Valuation based on unobservable data		-	817	
TOTAL TRANSFERS TO EACH LEVEL		5	818	286

Liability transfers to and from Level 3 mainly involve securities sold under repurchase agreements from credit institutions, trading derivatives and financial liabilities at fair value through profit or loss.

Level 2 to Level 1 transfers mainly concern short sales.

<i>(in millions of euros)</i>	31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Held for trading financial liabilities	227,318	37,024	188,695	1,599
Securities sold short	37,179	36,931	248	-
Securities sold under repurchase agreements	82,412	-	81,923	489
Debt securities	-	-	-	-
Due to credit institutions	-	-	-	-
Due to customers	-	-	-	-
Derivative instruments	107,727	93	106,524	1,110
Financial liabilities designated at fair value through profit or loss	35,842	9,943	20,205	5,694
Hedging derivative Instruments	23,725	-	23,114	611
TOTAL FINANCIAL LIABILITIES MEASURED AT FAIR VALUE	286,885	46,967	232,014	7,904
Transfers from Level 1: Quoted prices in active markets for identical instruments			1,057	-
Transfers from Level 2: Valuation based on observable data		64		986
Transfers from Level 3: Valuation based on unobservable data		-	627	
TOTAL TRANSFERS TO EACH LEVEL		64	1,684	986

Level 1 to Level 2 transfers mainly involve options listed on the underlying equity.

Level 2 to Level 1 transfers mainly involve negotiable debt securities.

Level 3 to Level 1 transfers had no impact in 2020.

Level 3 to Level 2 transfers mainly involve securities received under repurchase agreements and interest rate swaps. The review of the observability analysis of the derivatives and the financial liabilities measured at fair value by option amounts to €500 million and are relating to repurchase agreements.

Level 2 to Level 3 transfers mainly result from better identification of fair value levels on transactions already present at 31 December 2019 for €425 million and a review of the observability analysis for €624 million.

Financial instruments classified in Level 1

Level 1 comprises all derivatives quoted in an active market (options, futures, etc.), regardless of their underlying (interest rate, exchange rate, precious metals, major stock indexes), as well as equities and bonds quoted in an active market.

A market is considered as being active if quoted prices are readily and regularly available from exchange, brokers, dealers, pricing services or regulatory agencies, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Corporate, government and agency bonds that are valued on the basis of prices obtained from independent sources, deemed to be enforceable and updated regularly, are classified in Level 1. This covers the bulk of sovereign and agency bonds and corporate securities held. Issuers whose bonds are not quoted are classified in Level 3.

Financial instruments classified in Level 2

The main financial instruments classified in Level 2 are:

Liabilities designated at fair value

financial liabilities designated at fair value are classified in Level 2 when their embedded derivative is deemed to be classified in Level 2.

Over-the-counter derivatives

The main OTC derivatives classified in Level 2 are those valued using inputs considered to be observable and where the valuation technique does not generate any significant exposure to a model risk.

Level 2 therefore mainly includes:

- linear derivative products such as interest rate swaps, currency swaps and forward FX. They are valued using simple models widely used in the market, based on directly observable inputs (foreign exchange rates, interest rates), or inputs derived from observable market prices (currency swaps);
- non-linear vanilla instruments such as caps, floors, swaptions, currency options, equity options and credit default swaps, including digital options. They are valued using simple models widely used in the market, based either on directly observable inputs (foreign exchange rates, interest rates, share prices) or inputs that can be derived from observable market prices (volatilities);
- standard forfeitable swap-type exotic mono-underlying, foreign exchange baskets in major currencies.
These products are valued using models that are slightly more complex but shared by the market. The significant valuation inputs are observable. Prices are observable in the market, especially through brokers' prices and market consensus data as applicable, which help to confirm internal valuations;
- securities, listed equity options, and equity futures, listed on a market deemed inactive and for which independent valuation data are available;

Financial instruments classified in Level 3

Financial instruments classified in Level 3 are those which do not meet the conditions for classification in Level 1 or 2. They are therefore mainly financial instruments with a high model risk whose valuation requires substantial use of unobservable inputs.

The initial margin on all new transactions classified in Level 3 is reserved at the date of initial recognition. It is written back into the profit or loss account either spread over the period during which the inputs are considered to be unobservable or in full on the date when the inputs become observable.

Level 3 therefore mainly includes:

Securities

Securities classified in Level 3 mainly include:

- unlisted shares or bonds for which no independent valuation is available;
- ABSs and CLOs for which there are indicative independent quotes but which are not necessarily executable;
- ABSs, CLOs and super senior and mezzanine CDO tranches where it cannot be demonstrated that the market is active.

Liabilities designated at fair value

Financial liabilities designated at fair value are classified in Level 3 when their embedded derivative is deemed to be classified in Level 3.

Over-the-counter derivatives

Unobservable income includes complex financial instruments that are significantly exposed to model risk or that involve parameters that are considered unobservable.

The aggregate of these principles is mapped for observability according to the three levels indicating for each product, currency and maturity the classification used.

The following are classified mainly in Level 3:

- linear interest rate or currency products for long maturities in major currencies, for shorter maturities in emerging currencies; this may include repurchase agreements depending on the maturity of the targeted operations and their underlying assets;
- non-linear interest rate or currency products for very long-dated maturities in major currencies, for shorter maturities in emerging currencies;
- the complex derivatives below:
 - certain equity derivatives: products traded on overly shallow option markets or very long-dated maturity options or products for which the valuation depends on non-observable correlations between different underlying equities,
 - certain exotic interest rate products for which the underlying is the difference between two interest rates (structured products based on interest rate differences or products for which correlations are not observable),
 - certain products for which the underlying is the forward volatility of an index. These products are not considered observable due to a high model risk and reduced liquidity that prevents the precise regular assessment of valuation inputs,
 - securitisation swaps generating an exposure to the prepayment rate. The prepayment rate is determined on the basis of historical data on similar portfolios,
 - long-term interest-rate/currency products known as Power Reverse Dual Currency, or products for which the underlying is a basket of currencies. The correlation inputs between interest rates and currencies and between the two interest rates are determined based on an internal methodology built on historic data. Market consensus helps to ensure consistency of the entire mechanism,
 - products with more than one underlying generating exposures to correlations between several risk classes (interest rates, credit, currency, inflation and equities),
 - CDOs based on Corporate credit baskets. These are no longer significant.

Net change in financial instruments measured at fair value according to Level 3

Financial assets measured at fair value according to Level 3

(in millions of euros)	Total Financial assets measured at fair value according to Level 3	Held for trading financial assets									
		Loans and receivables due from credit institutions	Loans and receivables due from customers	Securities bought under repurchase agreements	Pledged securities	Treasury bills and similar securities	Bonds and other fixed income securities	Mutual funds	Held for trading securities		
									Equities and other variable income securities	Held for trading securities	Derivative instruments
Closing balance (31/12/2020)	17,201	-	731	1,625	-	-	156	-	271	427	2,510
Gains or losses during the period ⁽¹⁾	1,263	-	7	(272)	-	-	9	-	5	14	243
Recognised in profit or loss	1,121	-	(9)	(272)	-	-	9	-	5	14	235
Recognised in other comprehensive income	142	-	16	-	-	-	-	-	-	-	8
Purchases	8,021	-	380	2,058	-	-	67	-	168	235	665
Sales	(2,517)	-	(271)	-	-	-	(8)	-	(271)	(279)	-
Issues	29	-	-	-	-	-	-	-	-	-	22
Settlements	(901)	-	(38)	(763)	-	-	(1)	-	-	(1)	(83)
Reclassifications	1	-	10	-	-	-	-	-	-	-	-
Changes associated with scope during the period	43	-	-	-	-	-	-	-	-	-	-
Transfers	1,780	-	-	(526)	-	-	(9)	-	-	(9)	10
Transfers to Level 3	2,324	-	-	-	-	-	-	-	-	-	17
Transfers from Level 3	(544)	-	-	(526)	-	-	(9)	-	-	(9)	(7)
CLOSING BALANCE (31/12/2021)	24,920	-	819	2,122	-	-	214	-	173	387	3,367

Other financial instruments at fair value through profit or loss										
(in millions of euros)	Equity instruments at fair value through profit or loss		Debt instruments that do not meet the conditions of the "SPPI" test							
	Equity and other variable income securities	Non-consolidated equity investments	Loans and receivables due from credit institutions	Loans and receivables due from customers	Securities bought under repurchase agreements	Pledged securities	Debt securities			
							Treasury bills and similar securities	Bonds and other fixed income securities	Mutual funds	Debt securities
Closing balance (31/12/2020)	1,131	4,721	-	4	-	-	-	726	5,044	5,770
Gains or losses during the period ⁽¹⁾	168	90	-	1	-	-	-	3	859	864
Recognised in profit or loss	167	82	-	1	-	-	-	3	860	863
Recognised in other comprehensive income	1	8	-	-	-	-	-	-	-	-
Purchases	250	1,394	-	22	-	-	-	90	2,475	2,568
Sales	(131)	(161)	-	(5)	-	-	-	(89)	(1,546)	(1,636)
Issues	-	-	-	-	-	-	-	-	1	1
Settlements	-	-	-	-	-	-	-	(5)	(11)	(16)
Reclassifications	1	11	-	-	-	-	-	-	-	-
Changes associated with scope during the period	8	(6)	-	-	-	-	-	-	(8)	(8)
Transfers	115	706	-	10	-	-	-	89	670	755
Transfers to Level 3	115	695	-	21	-	-	4	89	672	761
Transfers from Level 3	-	11	-	(11)	-	-	(4)	-	(2)	(6)
CLOSING BALANCE (31/12/2021)	1,542	6,755	-	32	-	-	-	814	7,484	8,298

(in millions of euros)	Other financial instruments at fair value through profit or loss								
	Assets backing unit-linked contracts				Financial assets designated at fair value through profit or loss				
	Treasury bills and similar securities	Bonds and other fixed income securities	Equities and other variable income securities	Mutual funds	Loans and receivables due from credit institutions	Loans and receivables due from customers	Debt securities		
							Treasury bills and similar securities	Bonds and other fixed income securities	Debt securities
Closing balance (31/12/2020)	-	-	-	32	-	-	-	-	-
Gains or losses during the period ⁽¹⁾	-	-	1	46	-	-	-	-	(8)
Recognised in profit or loss	-	-	1	46	-	-	-	-	(8)
Recognised in other comprehensive income	-	-	-	-	-	-	-	-	-
Purchases	-	-	-	66	-	-	-	-	14
Sales	-	-	-	-	-	-	-	-	(11)
Issues	-	-	-	-	-	-	-	-	-
Settlements	-	-	-	-	-	-	-	-	-
Reclassifications	-	-	-	-	-	-	-	-	8
Changes associated with scope during the period	-	-	-	-	-	-	-	-	(9)
Transfers	-	-	-	-	-	-	-	-	6
Transfers to Level 3	-	-	-	-	-	-	-	-	-
Transfers from Level 3	-	-	-	-	-	-	-	-	6
CLOSING BALANCE (31/12/2021)	-	-	1	144	-	-	-	-	-

(in millions of euros)	Financial assets at fair value through other comprehensive income							
	Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss		Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss					
	Equities and other variable income securities	Non-consolidated equity investments	Loans and receivables due from credit institutions	Loans and receivables due from customers	Debt securities			Hedging derivative instruments Debt securities
					Treasury bills and similar securities	Bonds and other fixed income securities	Debt securities	
Closing balance (31/12/2020)	43	207	-	-	-	-	-	-
Gains or losses during the period ⁽¹⁾	3	105	-	-	(4)	(4)	(8)	-
Recognised in profit or loss	-	-	-	-	(4)	(5)	(9)	-
Recognised in other comprehensive income	3	105	-	-	-	1	1	-
Purchases	52	184	-	-	-	148	147	-
Sales	-	(24)	-	-	-	(10)	(10)	-
Issues	-	6	-	-	-	-	-	-
Settlements	-	-	-	-	-	-	-	-
Reclassifications	-	(21)	-	-	-	-	-	-
Changes associated with scope during the period	1	48	-	-	-	-	-	-
Transfers	237	463	-	-	4	15	19	-
Transfers to Level 3	237	463	-	-	-	15	15	-
Transfers from Level 3	-	-	-	-	4	-	4	-
CLOSING BALANCE (31/12/2021)	336	968	-	-	-	149	148	-

(1) This balance includes the gains and losses of the period made on assets reported on the balance sheet at the closing date, for the following amounts:

Gains/ losses for the period from Level 3 assets held at the end of the period	1,263
Recognised in profit or loss	1,121
Recognised in other comprehensive income	142

Financial liabilities measured at fair value according to Level 3

(in millions of euros)	Held for trading financial liabilities							Financial liabilities designated at fair value through profit or loss	Hedging derivative instruments
	Total	Securities sold short	Securities repurchase agreements	Debt securities	Due to credit institutions	Due to customers	Derivative Instruments		
Closing balance (31/12/2020)	7,904	-	489	-	-	-	1,110	5,694	611
Gains or losses during the period ⁽¹⁾	(165)	-	(286)	-	-	-	(129)	97	153
Recognised in profit or loss	(175)	-	(286)	-	-	-	(139)	97	153
Recognised in other comprehensive income	10	-	-	-	-	-	10	-	-
Purchases	972	8	707	-	-	-	250	7	-
Sales	(183)	-	-	-	-	-	(5)	(178)	-
Issues	3,092	-	-	-	-	-	-	3,092	-
Settlements	(1,646)	-	(29)	-	-	-	(96)	(1,470)	(51)
Reclassifications	-	-	-	-	-	-	-	-	-
Changes associated with scope during the period	-	-	-	-	-	-	-	-	-
Transfers	(531)	11	(181)	-	-	-	(18)	(343)	-
Transfers to Level 3	286	11	1	-	-	-	8	266	-
Transfers from Level 3	(817)	-	(182)	-	-	-	(26)	(609)	-
CLOSING BALANCE (31/12/2021)	9,443	19	700	-	-	-	1,112	6,899	713

(1) This balance includes the gains and losses of the period made on liabilities reported on the balance sheet at the closing date, for the following amounts:

Gains/losses for the period from Level 3 assets held at the end of the period	(165)
Recognised in profit or loss	(175)
Recognised in other comprehensive income	10

Gains and losses recognised in profit or loss relating to financial instruments held for trading and designated at fair value through profit or loss and derivative instruments are recognised in "Net gains (losses) on financial instruments at fair value through profit or loss"; gains and losses recognised in profit or loss relating to financial assets at fair value through equity are recognised in "Net gains (losses) on financial instruments at fair value through profit or loss through other comprehensive income".

Sensitivity analysis for financial instruments measured using the Level 3 valuation model

The use of unobservable inputs introduces uncertainty, which we have assessed below using a sensitivity calculation on instruments valued using these inputs.

Scope of interest rate derivatives

As regards interest rate derivatives, two key inputs are considered to be unobservable and of such a type that they result in the classification of the associated products in Level 3: correlation and prepayment rates (early redemption).

Correlation

Many products are sensitive to a correlation parameter. However, this parameter is not unique and there are many different types of correlation, including:

- forward correlation between two successive indices in the same currency, e.g.: 2-year CMS/10-year CMS;
- Interest rate/interest rate correlation (different indices) – e.g. 3M USD Libor/3M EUR Libor;
- interest rate/FX correlation (or Quanto), e.g. USD/JPY – USD;

- equity/equity correlation;
- equity/FX correlation;
- equity/interest rate correlation;
- FX/FX correlation.

Prepayment rate

The prepayment rate is the rate of early repayment on securitisation portfolios, whether voluntary or involuntary (default). Exposure to this risk factor may stem from two types of source: direct exposure to these asset classes, or certain "securitisation" swaps, i.e. where the variations in their nominal amounts are adjusted automatically to the nominal amount of the underlying portfolio, with no marked-to-market payment. The prepayment rate plays a significant part in their valuation.

Calculation of impact

With respect to correlation

The results presented below have been obtained by applying the following distinct risk shocks:

- correlations between successive indices in the same currency (i.e. CMS correlations);
- cross assets correlations (e.g.: Equity/FX or IR/Equity) and between two interest-rate curves in different currencies.

The result of the stress test is the sum of the absolute values obtained. For each type of correlation we considered absolute values by currency, maturity and portfolio, thus making a conservative assumption. For the CMS correlations, we considered the various underlyings independently (e.g. 1y10y, 2y10y).

The quantity expressed is a sensitivity for a normalised market variation assumption that is not intended to measure the impact of extreme variations.

With respect to the prepayment rate

Direct exposure to assets comprising a pre-payment risk concerns securitisations such as RMBS and CLO and mezzanine CDO tranches. These exposures are marginal. They can be taken into account through sensitivity to a 1 basis point change in credit spreads. This sensitivity being very low (<€50 thousand/bp), exposure to pre-payment rate is thus considered to be negligible.

The pre-payment rate is not an observable market parameter and the valuation model used for the securitisation swaps is particularly conservative. The valuation used is defined as the lower of the valuation obtained using a very fast pre-payment rate and using a very slow pre-payment rate. A “normal” variation in the pre-payment rate will therefore have no material impact on the marked to market, so no Day One is used for these products.

11.3 Estimated impact of inclusion of the margin at inception

<i>(in millions of euros)</i>	31/12/2021	31/12/2020
Deferred margin at beginning of period	138	66
Margin generated by new transactions during the period	124	61
Amortisation and cancelled/reimbursed/matured transactions	(83)	(63)
Effects of inputs or products reclassified as observable during the period	(5)	(6)
Other movements ⁽¹⁾	11	80
DEFERRED MARGIN AT END OF PERIOD	185	138

⁽¹⁾ The amount of €80 million recorded in Other movements is linked to the revision of the historical method for calculating day one on the non-linear scope during financial year 2020.

The first day margin on market transactions falling within Level 3 of fair value is reserved on the balance sheet and recognised in profit or loss as time passes or when unobservable parameters become observable again.

NOTE 12 SCOPE OF CONSOLIDATION AS AT 31 DECEMBER 2021

12.1 Information on subsidiaries

12.1.1 Restrictions on controlled entities

Regulatory, legal or contractual provisions may limit the Crédit Agricole Group's ability to have free access to the assets of its subsidiaries and to settle the Group's liabilities.

The Crédit Agricole Group is subject to the following restrictions:

Regulatory constraints

The subsidiaries of Crédit Agricole Group are subject to prudential regulation and regulatory capital requirements in their host countries. The minimum equity capital (solvency ratio), leverage ratio and liquidity ratio requirements limit the capacity of these entities to pay dividends or to transfer assets to Crédit Agricole Group.

Legal constraints

The subsidiaries of Crédit Agricole Group are subject to legal provisions concerning the distribution of capital and distributable earnings. These requirements limit the ability of the subsidiaries to distribute dividends. In the majority of cases, these are less restrictive than the regulatory limitations mentioned above.

Contractual constraints

Constraints related to guarantees: The Crédit Agricole Group encumbers certain financial assets to raise funds through securitisation or refinancing with central banks. Once pledged as guarantees, the assets can no longer be used by the Group. This mechanism is described in Note 9 "Commitments given and received and other guarantees".

Restriction on assets backing unit-linked contracts for the Insurance business

Assets backing unit-linked contracts of Crédit Agricole Group are held for the benefit of policyholders. Assets of the insurance subsidiaries of Crédit Agricole Group are mainly held for satisfying their obligation towards their policyholders. Assets transfers to other entities are possible following the legal conditions. However, in case of a transfer, a part of the profit due to the transfer must be intended for the policyholders.

Other constraints

Some Crédit Agricole S.A. subsidiaries must obtain prior approval from their regulatory authorities for the distribution of dividends.

The dividend payment of CA Egypt is subject to the prior approval of the local regulator.

12.1.2 Support for structured entities under Group control

Crédit Agricole CIB has contractual arrangements with some consolidated structured entities that equate to commitments to provide financial support. To meet its funding needs, Crédit Agricole CIB uses structured debt issuance vehicles to raise cash on financial markets. Securities issued by these entities are fully underwritten by Crédit Agricole CIB. At 31 December 2021, the outstanding volume of these issues was €7.9 billion.

As part of its third-party securitisation business, Crédit Agricole CIB provides liquidity facilities to its ABCP conduits. At 31 December 2021, these liquidity facilities totalled €39 billion.

Crédit Agricole S.A. provided no other financial support for any structured entities consolidated at 31 December 2021 and 31 December 2020.

12.1.3 Securitisation transactions and dedicated funds

Various Group entities conduct securitisation transactions on their own account as part of collateralised refinancing transactions. Depending on the circumstances, these transactions can be wholly or partially placed with investors, sold under repurchase agreements or kept on the issuer's balance sheet as liquid securities reserves that can be used to manage refinancing.

Following the IFRS 9 decision tree, these transactions are considered to form part of deconsolidating or non-deconsolidating transactions: for non-deconsolidating transactions, the assets are retained on the consolidated balance sheet of Crédit Agricole Group.

For more details on these securitisation transactions and on the indication of the carrying amount of the assets concerned and associated liabilities, see Note 6.6 "Transferred assets not derecognised or derecognised with ongoing involvement".

12.2 Composition of the scope

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
Algeria									
	Crédit Agricole CIB Algérie Bank Spa	■	E2	S	Corporate and Investment Banking	-	100.0	-	100.0
Australia									
	Crédit Agricole CIB Australia Ltd	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
Austria									
	Amundi Austria GmbH	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	FCA Bank GmbH	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	LEASYS AUSTRIA GMBH	▲	01	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
Belgium									
	AMUNDI ASSET MANAGEMENT BELGIUM	■	-	B	Asset Gathering	100.0	100.0	69.5	69.9
	Benelpart	■	-	S	Corporate and Investment Banking	100.0	100.0	97.4	97.4
	CA Indosuez Wealth (Europe) Belgium Branch	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CACEIS Bank, Belgium Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS Belgium	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	Crédit Agricole CIB (Belgique)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Eurofactor S.A. – NV (Benelux)	■	-	B	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCA BANK S.P.A, BELGIAN BRANCH	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	Financière des Scarabées	■	-	S	Corporate and Investment Banking	100.0	100.0	98.7	98.7
	Lafina	■	-	S	Corporate and Investment Banking	100.0	100.0	97.7	97.7
	LEASYS SPA Belgian Branch	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	RENTYS	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	SNGI Belgium	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Sofipac	■	-	S	Corporate and Investment Banking	98.6	98.6	96.0	96.0
Brazil									
	Banco Crédito Agricole Brasil S.A.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	CA Indosuez Wealth (Brazil) S.A. DTVM	■	04	S	Asset Gathering	100.0	100.0	100.0	100.0
	FIC-FIDC	■	-	CSE	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Fundo A de Investimento Multimercado	■	-	CSE	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	SANTANDER CACEIS BRASIL DTVM S.A.	▲	-	JV	Corporate and Investment Banking	50.0	50.0	34.7	34.7
	SANTANDER CACEIS BRASIL PARTICIPACOES S.A.	▲	-	JV	Corporate and Investment Banking	50.0	50.0	34.7	34.7
Bulgaria									
	Amundi Czech Republic Asset Management Sofia Branch	■	-	B	Asset Gathering	100.0	100.0	69.5	69.9
Canada									
	Crédit Agricole CIB (Canada)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
Chile									
	AMUNDI ASSET MANAGEMENT AGENCIA EN CHILE	■	-	B	Asset Gathering	100.0	100.0	69.5	69.9
China									
	ABC-CA Fund Management CO	▲	-	A	Asset Gathering	33.3	33.3	23.2	23.3
	Amundi BOC Wealth Management Co. Ltd	■	-	S	Asset Gathering	55.0	55.0	38.2	38.3
	Crédit Agricole CIB China Ltd	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB China Ltd Chinese Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	GAC – SOFINCO 2014-01	▲	-	SA	Specialised Financial Services	50.0	50.0	50.0	50.0
	GAC – Sofinco Auto Finance Co.	▲	-	A	Specialised Financial Services	50.0	50.0	50.0	50.0
	HUI JU TONG 2019-1	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	HUI JU TONG 2020-2	▲	-	CSE	Specialised Financial Services	50.0	50.0	50.0	50.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	HUITONG 2018-2	▲	-	CSE	Specialised Financial Services	50.0	50.0	50.0	50.0
	HUITONG 2018-3	▲	-	CSE	Specialised Financial Services	50.0	50.0	50.0	50.0
	HUITONG 2019-1	▲	-	CSE	Specialised Financial Services	50.0	50.0	50.0	50.0
Colombia									
	SANTANDER CACEIS COLOMBIA S.A., SOCIEDAD FIDUCIARIA	▲	-	JV	Corporate and Investment Banking	50.0	50.0	34.7	34.7
Czech Republic									
	Amundi Czech Republic Asset Management, A.S.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Amundi Czech Republic, Investicni Spolecnost, A.S.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
Denmark									
	FCA Capital Danmark A/S	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	LEASYS DANMARK, FILIAL AF LEASYS SPA	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
Egypt									
	Crédit Agricole Egypt S.A.E.	■	-	S	International Retail Banking	60.5	60.5	60.5	60.5
Finland									
	AMUNDI ASSET MANAGEMENT FINLAND BRANCH	■	I2	B	Asset Gathering	100.0	-	69.5	-
	Crédit Agricole CIB (Finlande)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	FCA CAPITAL DANMARK A/S, Finland Branch	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
France									
	SNC 120 RUE SAINT GEORGES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	1 BD MONGE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	11 GABRIEL PERI	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	15 RUE DE ST CYR	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	2 PL. DUMAS DE LOIRE & 7 R 2 PLACES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	2,417 Caisses locales	●	(vide)	Parent	Asset Gathering	100.0	100.0	100.0	100.0
	21 ALSACE LORRAINE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	24 RUE D'ALSACE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	24 RUE DES TUILLIERS	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	29 LANTERNE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	3 CUMIER	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	37 ROUTE DES BLANCHES (GEX FERNEY)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	38 Caisses régionales	●	(vide)	Parent	Asset Gathering	100.0	100.0	100.0	100.0
	42 RUE MERCIERE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	57 COURS DE LA LIBERTE (SCI)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	57 RUE MARCHANDE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	6 RUE VAUBECOUR	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	78 DENFERT	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	7-9-11 RUE DU MILIEU	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	91 CREQUI	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	93 GRANDE RUE D'OULLINS	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	ACAJOU	■	-	CSE	Asset Gathering	100.0	100.0	69.5	70.0
	ACTICCIA VIE 3 ⁽¹⁾	■	-	CSE	Asset Gathering	99.3	99.3	99.3	99.3
	ACTICCIA VIE 90 C ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	ACTICCIA VIE 90 N2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	ACTICCIA VIE 90 N3 C ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	ACTICCIA VIE 90 N4 ⁽¹⁾	■	-	CSE	Asset Gathering	99.9	100.0	99.9	100.0
	ACTICCIA VIE 90 N6 C ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	ACTICCIA VIE N2 C ⁽¹⁾	■	-	CSE	Asset Gathering	99.3	99.3	99.3	99.3
	ACTICCIA VIE N4 ⁽¹⁾	■	-	CSE	Asset Gathering	99.7	99.7	99.7	99.7
	ACTICCIA VIE ⁽¹⁾	■	-	CSE	Asset Gathering	99.2	99.1	99.2	99.1
	ACTIONS 50 3DEC ⁽¹⁾	■	-	CSE	Asset Gathering	99.8	100.0	99.8	100.0
	ADMINISTRATION GESTION IMMOBILIERE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Adret Gestion	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	AGRICOLE RIVAGE DETTE ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	ALGERIE 10	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
Alsolia		■	E4	S	Specialised Financial Services	-	100.0	-	100.0
ALTA VAI HOLDCO P		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
ALTAREA		▲	-	A	Asset Gathering	24.7	24.7	24.7	24.7
AM AC FR ISR PC 3D ⁽¹⁾		■	-	CSE	Asset Gathering	67.5	81.9	67.5	81.9
AM DESE FII DS3IMDI ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
AM.AC.EU.ISR-P-3D ⁽¹⁾		■	-	CSE	Asset Gathering	47.6	36.0	47.6	36.0
AM.AC. MINER.-P-3D ⁽¹⁾		■	-	CSE	Asset Gathering	86.2	86.3	86.2	86.3
AM.AC.USA ISR P 3D ⁽¹⁾		■	-	CSE	Asset Gathering	58.7	58.9	58.7	58.9
AM.ACT. EMER.-P-3D ⁽¹⁾		■	-	CSE	Asset Gathering	45.3	42.8	45.3	42.8
AM.RDT PLUS -P-3D ⁽¹⁾		■	-	CSE	Asset Gathering	50.7	48.6	50.7	48.6
AMIRAL GROWTH OPP A ⁽¹⁾		■	-	CSE	Asset Gathering	51.1	51.1	51.1	51.1
AMUN.TRESO CT PC 3D ⁽¹⁾		■	-	CSE	Asset Gathering	2.0	56.2	2.0	56.2
AMUN.ACT.REST.P-C ⁽¹⁾		■	-	CSE	Asset Gathering	31.1	37.9	31.1	37.9
AMUN.TRES.EONIA ISR E FCP 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	78.4	61.8	78.4	61.8
AMUNDI		■	-	S	Asset Gathering	69.5	69.6	69.5	69.6
AMUNDI AC.FONC.PC 3D ⁽¹⁾		■	-	CSE	Asset Gathering	58.1	59.8	58.1	59.8
AMUNDI ACTIONS FRANCE C 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	46.3	54.9	46.3	54.9
AMUNDI AFD AV DURABL P1 FCP 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	74.8	78.8	74.8	78.8
AMUNDI ALLOCATION C ⁽¹⁾		■	-	CSE	Asset Gathering	99.4	99.3	99.4	99.3
AMUNDI Asset Management		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI CA 08/04/2021		■	E1	CSE	Corporate Centre	-	-	-	-
AMUNDI CA 13/01/2021		■	E1	CSE	Corporate Centre	-	100.0	-	100.0
AMUNDI CA 15/07/2021		■	E1	CSE	Corporate Centre	-	100.0	-	100.0
AMUNDI CAP FU PERI C ⁽¹⁾		■	I1	CSE	Asset Gathering	98.0	-	98.0	-
Amundi ESR		■	O1	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI Finance		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI Finance Emissions		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI GBL MACRO MULTI ASSET P ⁽¹⁾		■	E1	CSE	Asset Gathering	-	70.1	-	70.1

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
AMUNDI GRD 24 FCP ⁽¹⁾		■	E1	CSE	Asset Gathering	-	100.0	-	100.0
AMUNDI HORIZON 3D ⁽¹⁾		■	-	CSE	Asset Gathering	66.6	66.3	66.6	66.3
AMUNDI Immobilier		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI India Holding		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI Intermédiation		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI Issuance		■	E4	S	Asset Gathering	-	100.0	-	69.6
AMUNDI IT Services		■	-	S	Asset Gathering	99.6	99.6	70.5	70.6
AMUNDI KBI ACTION PC ⁽¹⁾		■	-	CSE	Asset Gathering	88.2	87.7	88.2	87.7
AMUNDI KBI ACTIONS C ⁽¹⁾		■	-	CSE	Asset Gathering	90.2	89.9	90.2	89.9
AMUNDI KBI AQUA C ⁽¹⁾		■	-	CSE	Asset Gathering	79.1	74.3	79.1	74.3
AMUNDI OBLIG EURO C ⁽¹⁾		■	-	CSE	Asset Gathering	51.8	49.6	51.8	49.6
AMUNDI PATRIMOINE C 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	85.7	85.7	85.7	85.7
AMUNDI PE Solution Alpha		■	-	CSE	Asset Gathering	100.0	100.0	69.5	70.0
AMUNDI Private Equity Funds		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI PULSACTIONS ⁽¹⁾		■	-	CSE	Asset Gathering	56.8	57.5	56.8	57.5
AMUNDI SONANCE VIE 7 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	97.5	97.4	97.5	97.4
AMUNDI SONANCE VIE N8 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	98.6	100.0	98.6
AMUNDI TRANSM PAT C ⁽¹⁾		■	-	CSE	Asset Gathering	98.0	98.6	98.0	98.6
AMUNDI VALEURS DURAB ⁽¹⁾		■	-	CSE	Asset Gathering	69.3	63.3	69.3	63.3
AMUNDI Ventures		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
AMUNDI-CSH IN-PC ⁽¹⁾		■	-	CSE	Asset Gathering	74.7	78.4	74.7	78.4
AMUNDI OBLIGMONDEP ⁽¹⁾		■	-	CSE	Asset Gathering	73.7	70.8	73.7	70.8
ANATEC		■	I1	S	Asset Gathering	100.0	-	69.5	-
Angle Neuf		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Anjou Maine Gestion		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
ANTINEA FCP ⁽¹⁾		■	-	CSE	Asset Gathering	21.7	37.3	21.7	37.3
Aquitaine Immobilier Investissement		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
ARC FLEXIBOND-D ⁽¹⁾		■	-	CSE	Asset Gathering	2.5	7.1	2.5	7.1
ARCAPARK SAS		▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
ARTEMID ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
ASSUR&ME		■	E5	CSE	Asset Gathering	-	100.0	-	100.0
ATOUT EUROPE C FCP 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	85.2	84.7	85.2	84.7
ATOUT FRANCE C FCP 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	41.6	41.8	41.6	41.8
ATOUT PREM S ACTIONS 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	99.9	99.9	99.9	99.9
ATOUT VERT HORIZON FCP 3 DEC ⁽¹⁾		■	-	CSE	Asset Gathering	35.1	35.2	35.1	35.2
Auxifip		■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
AXA EUR.SM.CAP E 3D ⁽¹⁾		■	-	CSE	Asset Gathering	92.6	93.0	92.6	93.0
AZUR		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
B IMMOBILIER ⁽¹⁾		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Banque Chalus		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Bercy Champ de Mars		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Bercy Participations		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
BERCY VILLIOT		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Bforbank S.A.		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
BFT CREDIT OPPORTUNITES -I-C ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
BFT EQUITY PROTEC 44 ⁽¹⁾		■	I1	CSE	Asset Gathering	100.0	-	100.0	-
BFT FRAN FUT-C SL3D ⁽¹⁾		■	-	CSE	Asset Gathering	53.1	50.0	53.1	50.0
BFT Investment Managers		■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
BFT LCR		■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
BFT LCR NIVEAU 2		■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
BFT LCR SOCIAL GREEN - FR0014003M45		■	I1	CSE	Corporate Centre	100.0	-	100.0	-
BFT opportunité ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
BFT PAR VIA EQ EQ PC ⁽¹⁾		■	I2	CSE	Asset Gathering	46.9	-	46.9	-
BFT SEL RDT 23 PC ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	99.6	100.0	99.6
BFT STATERE P (C) ⁽¹⁾		■	E1	CSE	Asset Gathering	-	42.7	-	42.7
BFT VALUE PREM OP CD ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
BOUTIN 56		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
Brie Picardie Croissance		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CA Aquitaine Agences Immobilières		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
CA Aquitaine Immobilier		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
CA Centre France Développement		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
CA Centre-Est Développement Immobilier		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
CA EDRAAM OPPORTUNITES ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CA Grands Crus		■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
CA Indosuez		■	O1	S	Asset Gathering	100.0	100.0	100.0	100.0
CA Indosuez Gestion		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
CA Indosuez Wealth (Group)		■	E4	S	Asset Gathering	-	100.0	-	100.0
CA INVESTISSEMENTS STRATEGIQUES CENTRE-EST		■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
CA MASTER EUROPE ⁽¹⁾		■	E1	CSE	Asset Gathering	-	46.1	-	46.1
CA MASTER PATRIMOINE FCP 3DEC ⁽¹⁾		■	-	CSE	Asset Gathering	98.2	98.6	98.2	98.6
CA VITA INFRASTRUCTURE CHOICE FIPS c.I.A. ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CA VITA PRIVATE DEBT CHOICE FIPS c.I.A. ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CA VITA PRIVATE EQUITY CHOICE ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2013 COMPARTIMENT 5 A5 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2013 FCPR B1 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2013 FCPR C1 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2013 FCPR D1 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2013-2 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2013-3 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2014 COMPARTIMENT 1 PART A1 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2014 INVESTISSEMENT PART A3 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
CAA 2015 COMPARTIMENT 1 ⁽¹⁾		■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CAA 2015 COMPARTIMENT 2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA 2016 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA COMMERCE 2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA INFRASTRUCTURE 2017 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA INFRASTRUCTURE 2018 – COMPARTIMENT 1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA INFRASTRUCTURE 2019 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA INFRASTRUCTURE ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PR FI II C1 A1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIV EQY 19 CF A ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIV.FINANC. COMP.1 A1 FIC ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIV.FINANC. COMP.2 A2 FIC ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2017 BIS ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2017 FRANCE INVESTISSEMENT ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2017 MEZZANINE ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2017 TER ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2017 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2018 – COMPARTIMENT 1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2018 – COMPARTIMENT FRANCE INVESTISSEMENT ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2019 COMPARTIMENT 1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2019 COMPARTIMENT BIS ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAA PRIVATE EQUITY 2019 COMPARTIMENT TER ⁽¹⁾	■	-	CSE	Asset Gathering	90.9	100.0	90.9	100.0
	CAA SECONDAIRE IV ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAAP CREATION	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CAAP Immo	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAAP IMMO GESTION	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAAP Immo Invest	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CACEIS Bank	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS Corporate Trust	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS Fund Administration	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS S.A.	■	-	S	Corporate and Investment Banking	69.5	69.5	69.5	69.5
	CACF Immobilier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CACI NON VIE ⁽¹⁾	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CACI VIE ⁽¹⁾	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CACL DIVERSIFIE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CADEISDA 2DEC ⁽¹⁾	■	-	CSE	Asset Gathering	49.0	40.0	49.0	40.0
	CADINVEST	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CADS Capital	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CADS Développement	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CADS IMMOBILIER	■	It	S	Asset Gathering	100.0	-	100.0	-
	CAIRS Assurance S.A.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Caisse régionale de Crédit Agricole mutuel de la Corse	●	-	Parent	Corporate Centre	100.0	100.0	100.0	100.0
	CALIE Europe Succursale France ⁽¹⁾	■	-	B	Asset Gathering	100.0	94.1	100.0	94.1
	CALIFORNIA 09 ⁽¹⁾	■	-	CSE	Asset Gathering	82.5	67.3	82.5	67.3
	Calixte Investissement	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CAM HYDRO	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Camca Courtage	■	-	S	Asset Gathering	100.0	100.0	100.0	81.0
	CAP ACTIONS 3	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAP Régulier 1	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CAP Régulier 2	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CAPG ENERGIES NOUVELLES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CAPG INVESTISSEMENTS ENERGETIQUES	■	-	S	Asset Gathering	65.0	65.0	65.0	65.0
	CAPI Centre-Est	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CAREPTA R 2016 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Cariou Holding	■	-	S	Corporate Centre	50.0	71.4	50.0	71.4
	CASRA CAPITAL	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CEDAR	■	-	CSE	Asset Gathering	99.9	100.0	69.4	70.0
	Centre France Location Immobilière	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Centre Loire Expansion	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CFM Indosuez Conseil en Investissement	■	-	S	Asset Gathering	70.2	70.2	69.0	69.0
	CFM Indosuez Conseil en Investissement, Succursale de Noumea	■	-	B	Asset Gathering	70.2	70.2	69.0	69.0
	Chabrillac	■	E2	S	Asset Gathering	-	100.0	-	93.5
	CHALOPIN GUILLOTIERE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Charente Périgord Expansion	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Charente Périgord Immobilier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CHORELIA N2 PART C ⁽¹⁾	■	-	CSE	Asset Gathering	87.7	87.8	87.7	87.8
	CHORELIA N4 PART C ⁽¹⁾	■	-	CSE	Asset Gathering	88.3	88.5	88.3	88.5
	CHORELIA N5 PART C ⁽¹⁾	■	-	CSE	Asset Gathering	77.2	77.7	77.2	77.7
	CHORELIA N6 PART C ⁽¹⁾	■	-	CSE	Asset Gathering	81.1	81.8	81.1	81.8
	CHORELIA N7 C ⁽¹⁾	■	-	CSE	Asset Gathering	87.5	87.7	87.5	87.7
	CHORELIA PART C ⁽¹⁾	■	-	CSE	Asset Gathering	84.8	85.1	84.8	85.1
	Chorial Allocation	■	-	CSE	Asset Gathering	99.9	99.7	69.4	69.8
	CL CLARES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CL Développement de la Corse	●	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	CL Promotion	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Clifap	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	CMDS IMMOBILIER	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CNP ACP 10 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	98.2	100.0	98.2
	Cofam	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Compagnie Foncière Lyonnaise	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Compagnie Française de l'Asie (CFA)	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	COMPARTIMENT DS3 – IMMOBILIER VAUGIRARD ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	COMPARTIMENT DS3 – VAUGIRARD ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CONSTANTINE 12	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CPR AM	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	CPR CONSO ACTIONNAIRE FCP P ⁽¹⁾	■	-	CSE	Asset Gathering	50.3	51.8	50.3	51.8
	CPR CROIS.REA.-P ⁽¹⁾	■	-	CSE	Asset Gathering	26.8	28.3	26.8	28.3
	CPR EUR.HLD.M.P 3D ⁽¹⁾	■	-	CSE	Asset Gathering	41.1	44.3	41.1	44.3
	CPR EuroGov LCR	■	-	CSE	Corporate Centre	100.0	75.6	100.0	75.6
	CPR EUROLAND ESG P ⁽¹⁾	■	-	CSE	Asset Gathering	16.7	5.4	16.7	5.4
	CPR FOCUS INF.-P-3D ⁽¹⁾	■	-	CSE	Asset Gathering	10.1	39.5	10.1	39.5
	CPR GLO SILVER AGE P ⁽¹⁾	■	-	CSE	Asset Gathering	95.1	95.1	95.1	95.1
	CPR OBLIG 12 M.P 3D ⁽¹⁾	■	-	CSE	Asset Gathering	92.7	90.2	92.7	90.2
	CPR REF. STE.P.R.O-100 FCP 3DEC ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CPR REFL RESP 0-100 I 3DEC ⁽¹⁾	■	E1	CSE	Asset Gathering	-	99.3	-	99.3
	CPR REFL RESP0-100 P FCP 3DEC ⁽¹⁾	■	E1	CSE	Asset Gathering	-	85.4	-	85.4
	CPR REFLEX STRATEDIS 0-100 P 3D ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	99.8	100.0	99.8
	CPR RENAL JAP.-P-3D ⁽¹⁾	■	-	CSE	Asset Gathering	37.6	35.0	37.6	35.0
	CPR SILVER AGE P 3DEC ⁽¹⁾	■	-	CSE	Asset Gathering	58.6	55.7	58.6	55.7
	CRCAM GESTION	■	I2	S	Asset Gathering	100.0	-	100.0	-
	Crealfi	■	-	S	Specialised Financial Services	51.0	51.0	51.0	51.0
	Crédit Agricole – Group Infrastructure Platform	■	-	S	Corporate Centre	100.0	100.0	99.7	99.7
	Crédit Agricole Agriculture	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CRÉDIT AGRICOLE AQUITAINE RENDEMENT	■	01	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Assurances (CAA)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Assurances Solutions	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CRÉDIT AGRICOLE ATLANTIQUE VENDEE IMMOBILIER PARTICIPATION	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Capital Investissement et Finance (CACIF)	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Crédit Agricole Centre Est Immobilier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole CIB Air Finance S.A.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB Financial Solutions	■	-	CSE	Corporate and Investment Banking	99.9	99.9	99.9	99.9
	Crédit Agricole CIB Global Banking	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB S.A.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB Transactions	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Consumer Finance	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Crédit Agricole Creditor Insurance (CACI)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole F.C. Investissement	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Home Loan SFH	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	CRÉDIT AGRICOLE ILLE-ET-VILAINE EXPANSION	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Immobilier	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Crédit Agricole immobilier Corporate et Promotion	■	I2	S	Corporate Centre	100.0	-	100.0	-
	Crédit Agricole Immobilier Promotion	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Crédit Agricole Immobilier Services	■	E4	S	Corporate Centre	-	100.0	-	100.0
	Crédit Agricole Languedoc Energies Nouvelles	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Languedoc Immobilier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Languedoc Patrimoine	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Crédit Agricole Leasing & Factoring	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Crédit Agricole Payment Services	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	Crédit Agricole Public Sector SCF	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	Crédit Agricole Régions Développement	■	-	S	Corporate Centre	72.3	73.6	72.3	73.6
	Crédit Agricole Services Immobiliers	■	I2	S	Corporate Centre	99.4	-	99.4	-
	Crédit Agricole Immobilier Services	■	I2	S	Corporate Centre	100.0	-	99.5	-
	Crédit Agricole Technologies et Services	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Crédit Agricole S.A.	●	-	Parent	Corporate Centre	100.0	100.0	100.0	100.0
	Crédit LIFT	■	E4	S	Specialised Financial Services	-	100.0	-	100.0
	Crédit Lyonnais Développement Économique (CLDE)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CROIX ROUSSE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DAPAR	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DE L'ARTOIS	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Delfinances	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	DELTA	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	DES CYGNES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DES ECHEVINS	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DES PAYS-BAS	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DIRECT LEASE	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	Doumer Finance S.A.S.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	DS Campus ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	DU 34 RUE EDOUARD HERRIOT	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DU 46	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DU BOIS DU PORT	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DU CARILLON	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DU CORBILLON	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	DU CORVETTE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DU ROZIER	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	DU TOURNE-FEUILLE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Edokial	■	E3	S	Asset Gathering	-	66.0	-	95.7
	EFFTHERMIE FPCI ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Emeraude Croissance	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	EPARINTER EURO BD ⁽¹⁾	■	-	CSE	Asset Gathering	23.9	54.1	23.9	54.1
	ESNI (compartiment Crédit Agricole CIB)	■	-	CSE	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	ESNI (compartiment Crédit Agricole S.A.)	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	ESTER FINANCE TECHNOLOGIES	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Etoile Gestion	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Eucalyptus FCT	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	EUROHABITAT	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	EUROPEAN CDT SRI PC ⁽¹⁾	■	-	CSE	Asset Gathering	55.6	44.6	55.6	43.8
	EUROTERTIAIRE 2	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Everbreizh	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCA CAPITAL France S.A.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA Leasing France	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCP Centre Loire	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCP CHAMPAGNE BOURGOGNE RENDEMENT	■	I2	S	Asset Gathering	100.0	-	100.0	-
	FCPR CAA 2013 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR CAA COMP TER PART A3 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR CAA COMPART BIS PART A2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR CAA COMPARTIMENT 1 PART A1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR CAA France croissance 2 A ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR PREDICA 2007 A ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	FCPR PREDICA 2007 C2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR PREDICA 2008 A1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR PREDICA 2008 A2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR PREDICA 2008 A3 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR PREDICA SECONDAIRE I A1 ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	FCPR PREDICA SECONDAIRE I A2 ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	FCPR PREDICA SECONDAIRES II A ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	FCPR PREDICA SECONDAIRES II B ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	FCPR UI CAP AGRO ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCPR UI CAP SANTE A ⁽¹⁾	■	E1	CSE	Asset Gathering	-	99.8	-	99.8
	FCT BRIDGE 2016-1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT CAA – Compartiment 2017-1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT CAA COMPARTIMENT CESSION DES CREANCES LCL	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	FCT CAREPTA – COMPARTIMENT 2014-1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT CAREPTA – COMPARTIMENT 2014-2 ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	FCT CAREPTA – COMPARTIMENT RE-2016-1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	97.8	100.0	97.8
	FCT CAREPTA – RE 2015 -1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT CFN DIH	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	FCT Crédit Agricole Habitat 2017 (sauf compartiment Corse)	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT Crédit Agricole Habitat 2017 Compartiment Corse	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	FCT Crédit Agricole Habitat 2018 (sauf compartiment Corse)	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT Crédit Agricole Habitat 2018 Compartiment Corse	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	FCT Crédit Agricole Habitat 2019 (sauf compartiment Corse)	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT Crédit Agricole Habitat 2019 Compartiment Corse	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	FCT Crédit Agricole Habitat 2020 (sauf compartiment Corse)	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT Crédit Agricole Habitat 2020 Compartiment Corse	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	FCT GINKGO DEBT CONSO 2015-1	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCT GINKGO PERSONAL LOANS 2016-1	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCT GINKGO SALES FINANCE 2015-1	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCT GINKGO MASTER REVOLVING LOANS	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCT GINKGO PERSONAL LOANS 2020-01	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCT GINKGO SALES FINANCE 2017-1	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCT MID CAP 2 05/12/22 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FCT True Sale (Compartiment LCL)	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FDA 18 -0-3D ⁽¹⁾	■	01	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FDCA3 P ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FEDERIS CORE EU CR 19 MM ⁽¹⁾	■	-	CSE	Asset Gathering	43.7	43.7	43.7	43.7
	Federval ⁽¹⁾	■	-	CSE	Asset Gathering	97.9	97.9	97.9	97.9
	Fief Nouveau	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	FIMO Courtage	■	-	S	Asset Gathering	100.0	100.0	99.0	99.0
	Finamur	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Financière Lumis	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Finaref Assurances S.A.S.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Finaref Risques Divers	■	E4	S	Asset Gathering	-	100.0	-	100.0
	Fininvest	■	-	S	Corporate and Investment Banking	98.3	98.3	98.3	98.3
	FINIST-LCR	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FIRECA	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Fletirec	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Foncaris	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	FONCIERE ATLANTIQUE VENDEE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Foncière Crédit Agricole Sud Rhone Alpes	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Foncière du Maine	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	FONCIERE HYPERSUD	▲	-	JV	Asset Gathering	51.4	51.4	51.4	51.4
	Foncière TP	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	FONDS AV ECH FIA G ⁽¹⁾	■	I2	CSE	Asset Gathering	100.0	-	100.0	-
	FONDS AV ECHUS FIA A ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	80.9	100.0	80.9
	FONDS AV ECHUS FIA B ⁽¹⁾	■	I2	CSE	Asset Gathering	100.0	-	100.0	-
	FONDS AV ECHUS FIA F ⁽¹⁾	■	I2	CSE	Asset Gathering	100.0	-	100.0	-
	Force 29	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Force Charente Maritime Deux Sèvres	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Force Iroise	■	-	CSE	Asset Gathering	99.9	100.0	99.9	100.0
	Force Languedoc	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Force Lorraine Duo	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Force Profile 20	■	-	S	Asset Gathering	100.0	100.0	99.8	99.9
	Force Run	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Force Toulouse Diversifié	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Force 4	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FPCI Cogeneration France I ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	FR0010671958 PREDIQUANT A5 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Franche Comté Développement Foncier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Franche Comté Développement Immobilier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	FREY	▲	-	A	Asset Gathering	22.4	19.4	22.4	19.4
	FREY RETAIL VILLEBON	▲	-	JV	Asset Gathering	47.5	47.5	47.5	47.5
	Grands Crus Investissements (GCI)	■	-	S	Corporate Centre	52.1	52.1	52.1	52.1
	GRANGE HAUTE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	GRD 44 N3 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	GRD 44 N2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD 44 N4 PART CD ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD 44 N5 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD 44 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD 54 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD ACT.ZONE EURO ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD CAR 39 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD FCR 99 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD IFC 97 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD02 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD03 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD05 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD07 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD08 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD09 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD10 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD11 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD12 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD13 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD14 ⁽¹⁾	■	-	CSE	Asset Gathering	97.8	97.8	97.8	97.8
	GRD17 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD18 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD19 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD20 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	GRD21 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Groupe CAMCA	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	GROUPE ROSSEL LA VOIX	▲	-	A	Asset Gathering	25.2	25.2	25.2	25.2
	HASTINGS PATRIM AC ⁽¹⁾	■	-	CSE	Asset Gathering	36.7	42.3	36.7	42.3
	HDP BUREAUX ⁽¹⁾	■	-	S	Asset Gathering	95.0	95.0	95.0	95.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	HDP HOTEL ⁽¹⁾	■	-	S	Asset Gathering	95.0	95.0	95.0	95.0
	HDP LA HALLE BOCA ⁽¹⁾	■	-	S	Asset Gathering	95.0	95.0	95.0	95.0
	Héphaïstos Multidevices FCT	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	HOLDING EUROMARSEILLE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	HYMNOS P 3D ⁽¹⁾	■	-	CSE	Asset Gathering	90.7	74.0	90.7	74.0
	IAA CROISSANCE INTERNATIONALE ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Icade	▲	-	A	Asset Gathering	19.1	19.0	19.1	19.0
	IDIA	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	IDIA DEVELOPPEMENT	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	IDIA PARTICIPATIONS	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	IMEFA 177 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	IMEFA 178 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	IMEFA 179 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Immeuble Franche Comté	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Immocam	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	IND.CAP EMERG.-C-3D ⁽¹⁾	■	-	CSE	Asset Gathering	32.7	42.0	32.7	42.0
	INDO ALLOC MANDAT C ⁽¹⁾	■	-	CSE	Asset Gathering	94.0	92.4	94.0	92.4
	INDOS.EURO.PAT.PD 3D ⁽¹⁾	■	-	CSE	Asset Gathering	34.4	43.2	34.4	43.2
	INDOSUEZ ALLOCATION ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	99.5	100.0	99.5
	INDOSUEZ CAP EMERG.M ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Inforsud Gestion	■	-	CSE	Asset Gathering	98.9	95.0	98.8	95.0
	INFORSUD TECHNOLOGIES	■	-	S	Asset Gathering	100.0	100.0	98.9	95.0
	INFRA FOCH TOPCO	▲	-	A	Asset Gathering	35.7	35.7	35.7	35.7
	Interfimo	■	-	S	Asset Gathering	99.0	99.0	99.0	99.0
	INTERIMOB	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	INVEST RESP S3 3D ⁽¹⁾	■	-	CSE	Asset Gathering	53.9	74.6	53.9	74.6
	IRIS HOLDING FRANCE	■	-	S	Asset Gathering	80.1	80.1	80.1	80.1
	Issy Pont ⁽¹⁾	■	-	CSE	Asset Gathering	90.0	75.0	90.0	75.0
	IUB Holding	■	-	S	International Retail Banking	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
JOLIOT CURIE	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
KENNEDY LE VILLAGE	■	I1	S	Asset Gathering		100.0	-	100.0	-
KORIAN	▲	-	A	Asset Gathering		24.4	24.3	24.4	24.3
La Route Avance	■	-	CSE	Corporate and Investment Banking		100.0	100.0	-	-
LCL	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
LCL 3 TEMPO AV 11/16 ⁽¹⁾	■	E1	CSE	Asset Gathering		-	100.0	-	100.0
LCL 6 HORIZ. AV 0615 ⁽¹⁾	■	-	CSE	Asset Gathering		100.0	100.0	100.0	100.0
LCL AC.DEV. DU.EURO ⁽¹⁾	■	-	CSE	Asset Gathering		87.5	87.7	87.5	87.7
LCL AC.EMERGENTS 3D ⁽¹⁾	■	-	CSE	Asset Gathering		38.6	43.2	38.6	43.2
LCL AC.MDE HS EU.3D ⁽¹⁾	■	-	CSE	Asset Gathering		43.1	38.1	43.1	38.1
LCL ACT RES NATUREL ⁽¹⁾	■	-	CSE	Asset Gathering		50.5	45.7	50.5	45.7
LCL ACT.E-U ISR 3D ⁽¹⁾	■	-	CSE	Asset Gathering		28.3	26.9	28.3	26.9
LCL ACT.OR MONDE ⁽¹⁾	■	-	CSE	Asset Gathering		55.9	49.5	55.9	49.5
LCL ACT.USA ISR 3D ⁽¹⁾	■	-	CSE	Asset Gathering		87.2	87.0	87.2	87.0
LCL ACTIONS EURO C ⁽¹⁾	■	-	CSE	Asset Gathering		36.9	36.7	36.9	36.7
LCL ACTIONS EURO FUT ⁽¹⁾	■	-	CSE	Asset Gathering		77.0	76.3	77.0	76.3
LCL ACTIONS MONDE FCP 3 DEC ⁽¹⁾	■	-	CSE	Asset Gathering		43.0	43.3	43.0	43.3
LCL ALLOCATION DYNAMIQUE 3D FCP ⁽¹⁾	■	-	CSE	Asset Gathering		95.7	95.4	95.7	95.4
LCL BDP ECHUS D ⁽¹⁾	■	I2	CSE	Asset Gathering		100.0	-	100.0	-
LCL BP ECHUS B ⁽¹⁾	■	I1	CSE	Asset Gathering		100.0	-	100.0	-
LCL COM CARB STRA P ⁽¹⁾	■	I1	CSE	Asset Gathering		93.5	-	93.5	-
LCL COMP CB AC MD P ⁽¹⁾	■	I1	CSE	Asset Gathering		61.9	-	61.9	-
LCL DEVELOPEM. PME C ⁽¹⁾	■	-	CSE	Asset Gathering		67.5	67.9	67.5	67.9
LCL DOUBLE HORIZON A ⁽¹⁾	■	-	CSE	Asset Gathering		100.0	100.0	100.0	100.0
LCL ECHUS E ⁽¹⁾	■	E1	CSE	Asset Gathering		-	-	-	-
LCL Emissions	■	-	S	Asset Gathering		100.0	100.0	69.5	69.6
LCL FLEX 3D ⁽¹⁾	■	-	CSE	Asset Gathering		54.7	49.4	54.7	49.4
LCL INVEST.EQ C ⁽¹⁾	■	-	CSE	Asset Gathering		93.6	93.4	93.6	93.4

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
LCL INVEST. PRUD.3D ⁽¹⁾	■	-	CSE	Asset Gathering		93.4	92.7	93.4	92.7
LCL L.GR.B.AV 17 C ⁽¹⁾	■	-	CSE	Asset Gathering		100.0	100.0	100.0	100.0
LCL MGEST 60 3DEC ⁽¹⁾	■	E1	CSE	Asset Gathering		-	88.1	-	88.1
LCL MGEST FLO-100 ⁽¹⁾	■	-	CSE	Asset Gathering		89.3	92.5	89.3	92.5
LCL OBL.CREDIT EURO ⁽¹⁾	■	-	CSE	Asset Gathering		87.2	84.4	87.2	84.4
LCL TRIPLE TEMPO AV (FEV.2015) ⁽¹⁾	■	E1	CSE	Asset Gathering		-	100.0	-	100.0
LE CONNECTEUR	■	I1	S	Asset Gathering		100.0	-	100.0	-
LEASYS France S.A.S	▲	-	JV	Specialised Financial Services		50.0	50.0	50.0	50.0
LEASYS RENT FRANCE SAS	▲	-	JV	Specialised Financial Services		50.0	50.0	50.0	50.0
L'EGLANTINE	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
LES OVALISTES	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
LEYNAUD 41	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
LF PRE ZCP 12 99 LIB ⁽¹⁾	■	-	CSE	Asset Gathering		100.0	72.4	100.0	72.4
LHL IMMOBILIER	■	O1	S	Asset Gathering		100.0	100.0	100.0	100.0
L'IMMOBILIER D'A COTE	■	I2	S	Corporate Centre		100.0	-	99.4	-
L'Immobilier d'A Côte	■	E4	CSE	Asset Gathering		-	100.0	-	100.0
LINXO	■	I1	S	Corporate Centre		88.5	-	88.5	-
LINXO GROUP	■	I1	S	Corporate Centre		88.5	-	88.5	-
Lixobail	■	-	S	Specialised Financial Services		100.0	100.0	100.0	100.0
Lixocourtage	■	-	S	Specialised Financial Services		100.0	100.0	100.0	100.0
Lixocredit	■	E5	S	Specialised Financial Services		-	100.0	-	100.0
LMA S.A.	■	-	CSE	Corporate and Investment Banking		100.0	100.0	-	-
LOCA-CORB	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
LOCAPLEX	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
LOCAGUET	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0
Locam	■	-	S	Asset Gathering		100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Londres Croissance C16	■	-	CSE	Asset Gathering	100.0	100.0	69.5	70.0
	LOUVOIS PLACEMENT ⁽¹⁾	■	E1	CSE	Asset Gathering	-	40.1	-	40.1
	LYONNAISE DE PREFABRICATION	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	LYXOR ASSET MANAGEMENT	■	I3	S	Asset Gathering	100.0	-	69.5	-
	LYXOR INTERMEDIATION	■	I3	S	Asset Gathering	100.0	-	69.5	-
	LYXOR INTERNATIONAL ASSET MANAGEMENT	■	I3	S	Asset Gathering	100.0	-	69.5	-
	M.D.F.89 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	MACE MONGE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	MAISON DE LA DANSE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	MAZARIK 24	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Médicale de France	■	O4	S	Asset Gathering	100.0	100.0	100.0	100.0
	Merisma	■	E5	CSE	Corporate and Investment Banking	-	100.0	-	100.0
	MGC	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Midi Toulousain Immobilier	■	E5	S	Asset Gathering	-	100.0	-	100.0
	Molinier Finances	■	-	S	Corporate and Investment Banking	100.0	100.0	97.1	97.1
	MOULIN DE PRESSENSE	■	-	S	Asset Gathering	50.0	100.0	50.0	100.0
	NECI	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NMP CHASSELOUP	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NMP Développement	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NMP Gestion	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	NMP IMMO	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NMP MERCIER	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NMP VANEAU	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Nord Capital Investissement	■	-	S	Asset Gathering	99.5	99.3	99.5	99.3
	Nord Est Aménagement Promotion	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Nord Est Expansion	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Nord Est Immo	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Nord Est Patrimoine Immobilier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Normandie Seine Foncière	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NORMANDIE SEINE IMMOBILIER	■	I2	S	Corporate Centre	100.0	-	99.4	-
	Normandie Seine Immobilier	■	E4	S	Asset Gathering	-	100.0	-	100.0
	Normandie Seine Participation	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NS AGIR	■	I2	S	Asset Gathering	100.0	-	100.0	-
	NS ALTERNATIVE PERFORMANCE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	NS Immobilier	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	OBJECTIF DYNAMISME FCP ⁽¹⁾	■	-	CSE	Asset Gathering	96.3	98.3	96.3	98.3
	OBJECTIF LONG TERME FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	OBJECTIF MEDIAN FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	OBJECTIF PRUDENCE FCP ⁽¹⁾	■	-	CSE	Asset Gathering	87.9	77.3	87.9	77.3
	OLINN BUSINESS SOLUTIONS	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	OLINN FG	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	OLINN IT	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	OLINN LEASING	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	OLINN MOBILE	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	OLINN SAS	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	OLINN SERVICES	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	OPCI CAA CROSSROADS ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	OPCI Camp Invest ⁽¹⁾	■	-	CSE	Asset Gathering	80.1	80.1	80.1	80.1
	OPCI ECO CAMPUS SPPICAV ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	OPCI GHD SPPICAV PROFESSIONNELLE ⁽¹⁾	■	-	CSE	Asset Gathering	90.0	90.0	90.0	90.0
	OPCI Immanens	■	-	CSE	Asset Gathering	100.0	100.0	67.9	70.0
	OPCI Immo Emissions	■	-	CSE	Asset Gathering	100.0	100.0	67.9	70.0
	OPCI Iris Invest 2010 ⁽¹⁾	■	-	CSE	Asset Gathering	80.1	80.1	80.1	80.1

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	OPCI MASSY BUREAUX ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	OPCI Messidor ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	OPCIMMO LCL SPICAV 5DEC ⁽¹⁾	■	-	CSE	Asset Gathering	97.4	97.5	97.4	97.5
	OPCIMMO PREM SPICAV 5DEC ⁽¹⁾	■	-	CSE	Asset Gathering	95.4	95.0	95.4	95.0
	OPTALIME FCP 3DEC ⁽¹⁾	■	-	CSE	Asset Gathering	99.6	99.6	99.6	99.6
	OXLIN	■	I1	S	Corporate Centre	88.5	-	88.5	-
	Ozerne Institutionnel	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	P.N.S.	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Pacific EUR FCC	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	Pacific IT FCT	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	Pacific USD FCT	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	Pacifica	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	PATRIMOINE ET COMMERCE	▲	-	A	Asset Gathering	20.3	20.8	20.3	20.8
	Paymed	■	-	S	Corporate Centre	91.7	70.0	91.7	70.0
	PCA IMMO	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	PED EUROPE ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Peg – Portfolio Eonia Garanti	■	E2	CSE	Asset Gathering	-	97.2	-	68.0
	PG Développement	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	PG IMMO	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	PG Invest	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	POLYLOC	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	PORT EX ABS RET P ⁽¹⁾	■	-	CSE	Asset Gathering	98.9	99.6	98.9	99.6
	PORT.METAUX PREC.A-C ⁽¹⁾	■	-	CSE	Asset Gathering	98.6	97.7	98.6	97.7
	PORTF DET FI EUR AC ⁽¹⁾	■	-	CSE	Asset Gathering	99.6	98.9	99.6	98.9
	PORTFOLIO LCR 80 GREEN BONDS	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	PORTFOLIO LCR CREDIT	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	PORTFOLIO LCR GOV	■	-	CSE	Corporate Centre	99.9	99.9	89.4	84.3
	PORTFOLIO LCR GOV 4A	■	-	CSE	Corporate Centre	100.0	100.0	96.6	96.7

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	PORTFOLIO LCR 50	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	PORTFOLIO LCR CREDIT JUIN 2023	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	Predica	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Predica 2005 FCPR A ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Predica 2006 FCPR A ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Predica 2006-2007 FCPR ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDICA 2010 A1 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDICA 2010 A2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDICA 2010 A3 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDICA ENERGIES DURABLES ⁽¹⁾	■	-	S	Asset Gathering	60.0	58.8	60.0	58.8
	Predica OPCI Bureau ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Predica OPCI Commerces ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Predica OPCI Habitation ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDICA SECONDAIRES III ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Predicant A1 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Predicant A2 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Predicant A3 FCP ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDIPARK ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Prediquant Eurocroissance A2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Prediquant opportunité ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDIQUANT PREMIUM ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREDIWATT ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Prestimmo	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Pyrénées Gascogne Altitude	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Pyrénées Gascogne Gestion	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Radian	■	E5	CSE	Corporate Centre	-	100.0	-	100.0
	RAMSAY – GENERALE DE SANTE	▲	-	A	Asset Gathering	39.8	39.6	39.8	39.6
	RAVIE FCP 5DEC ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	RED CEDAR	■	-	CSE	Asset Gathering	100.0	100.0	69.5	69.9

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	RENE 35	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	RETAH PART C ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Réunion Télécom	■	-	S	Asset Gathering	86.0	86.0	86.0	86.0
	RSD 2006 FCP 3DEC ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	RUE DU BAC (SCI)	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	Run Cartes	■	-	S	Asset Gathering	60.0	60.0	51.6	51.6
	S.A. Foncière de l'Erable	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	S.A.S. Evergreen Montrouge	■	-	CSE	Corporate Centre	100.0	100.0	100.0	100.0
	S.A.S. Rue La Boétie	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	S.A.S. Sacam Avenir	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	S.A. RESICO ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Sacam Assurances Cautions	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Sacam Développement	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Sacam Fireca	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Sacam Immobilier	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Sacam International	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Sacam Mutualisation	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Sacam Participations	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	SAINT CLAR (SNC)	■	-	S	Asset Gathering	99.8	100.0	64.9	65.0
	Santeffi	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	SARL PAUL VERLAINE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SAS Brie Picardie Expansion	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SAS CATP EXPANSION	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SAS CENTRE D'AFFAIRES DU PARC LUMIERE	■	E2	S	Asset Gathering	-	100.0	-	100.0
	SAS Crédit Agricole Centre Loire Investissement	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SAS CRISTAL	▲	-	A	Asset Gathering	46.0	46.0	46.0	46.0
	SAS DEFENSE CB3	▲	-	JV	Asset Gathering	25.0	25.0	25.0	25.0
	SAS PARHOLDING	▲	E2	A	Asset Gathering	-	50.0	-	50.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SAS PREDI-RUNGIS ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SAS SQUARE HABITAT CHARENTE-MARITIME DEUX-SEVRES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SAS SQUARE HABITAT CRÉDIT AGRICOLE TOURAINE POITOU	■	I2	S	Asset Gathering	100.0	-	100.0	-
	SCI 1 PLACE FRANÇOISQUE REGAUD	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 1 TERRASSE BELLINI	▲	-	JV	Asset Gathering	33.3	33.3	33.3	33.3
	SCI 22 QUAI SARRAIL	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 25-27 RUE DES TUILERIES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 27 QUAI ROMAIN ROLLAND	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 3 QUAI J. MOULIN	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 5 RUE DU BŒUF	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 50-52 MONTEE DU GOURGUILLOIN	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 955	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI ACADEMIE MONTROUGE	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	SCI BMEDIC HABITATION ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI CA Run Développement	■	-	S	Asset Gathering	99.9	99.9	99.9	99.9
	SCI Campayrol	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI CAMPUS MEDICIS ST DENIS ⁽¹⁾	■	-	S	Asset Gathering	70.0	70.0	70.0	70.0
	SCI CAMPUS RIMBAUD ST DENIS ⁽¹⁾	■	-	S	Asset Gathering	70.0	70.0	70.0	70.0
	SCI CAP ARROW	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI CARPE DIEM	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	SCI CONFIDENCE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI Crystal Europe	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI D2 CAM	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	SCI DE LA CROIX ROCHERAN	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI DE LA MAISON DU GRIFFON	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI DES JARDINS D'ORSAY	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI DU 113 RUE DES CHARMETTES	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SCI DU 36	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI DU 7 RUE PASSET	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI DU JARDIN LAENNEC	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI DU JARDIN SAINT JOSEPH	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI Euralliance Europe	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI EUROMARSEILLE 1	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	SCI EUROMARSEILLE 2	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	SCI FEDERALE PEREIRE VICTOIRE ⁽¹⁾	■	-	S	Asset Gathering	99.0	99.0	99.0	99.0
	SCI FEDERALE VILLIERS ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI FEDERLOG ⁽¹⁾	■	-	S	Asset Gathering	99.9	99.9	99.9	99.9
	SCI FEDERLONDRES ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI FEDERPIERRE ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI FONDIS	▲	-	A	Asset Gathering	25.0	25.0	25.0	25.0
	SCI GAMBETTA	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI GEX POUILLY	■	12	S	Asset Gathering	100.0	-	94.7	-
	SCI GREEN CROZET	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI GRENIER VELLE ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI Haussmann 122	■	-	S	Asset Gathering	100.0	100.0	100.0	81.0
	SCI HEART OF LA DEFENSE	▲	-	A	Asset Gathering	33.3	33.3	33.3	33.3
	SCI Holding Dahliat ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI ILOT 13	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	SCI IMEFA 001 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 002 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 003 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 004 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 005 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 006 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 008 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 009 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SCI IMEFA 010 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 011 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 012 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 013 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 016 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 017 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 018 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 020 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 022 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 025 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 032 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 033 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 034 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 035 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 036 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 037 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 038 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 039 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 042 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 043 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 044 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 047 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 048 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 051 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 052 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 054 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 057 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 058 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 060 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SCI IMEFA 061 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 062 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 063 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 064 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 067 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 068 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 069 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 072 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 073 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 074 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 076 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 077 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 078 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 079 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 080 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 081 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 082 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 083 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 084 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 085 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 089 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 091 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 092 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 096 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 100 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 101 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 102 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 103 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 104 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SCI IMEFA 105 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 107 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 108 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 109 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 110 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 112 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 113 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 115 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 116 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 117 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 118 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 120 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 121 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 122 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 123 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 126 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 128 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 129 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 131 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 132 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 140 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 148 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 149 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 150 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 155 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 156 ⁽¹⁾	■	-	S	Asset Gathering	90.0	90.0	90.0	90.0
	SCI IMEFA 157 ⁽¹⁾	■	-	S	Asset Gathering	90.0	90.0	90.0	90.0
	SCI IMEFA 158 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 159 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SCI IMEFA 164 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 169 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 170 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 171 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 172 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 173 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 174 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 175 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI IMEFA 176 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI JDL BAITMENT 5	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI La Boétie 65	■	-	S	Asset Gathering	100.0	100.0	100.0	81.0
	SCI LA LEVEE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI LA RUCHE 18-20	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI LE BRETAGNE	■	-	S	Asset Gathering	75.0	75.0	75.0	75.0
	SCI LE TAMARINIER	■	I1	S	Asset Gathering	100.0	-	100.0	-
	SCI LE VILLAGE VICTOR HUGO ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI MEDI BUREAUX ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI MONTAGNY 71	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI PACIFICA HUGO ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI Paul Cézanne	▲	I3	JV	Asset Gathering	49.0	-	49.0	-
	SCI PORTE DES LILAS – FRERES FLAVIEN ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI Quartz Europe	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI Quentyvel	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	SCI ROUBAIX CHAPLIN	■	I1	S	Asset Gathering	100.0	-	89.1	-
	SCI SILK OFFICE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI SRA BELLEDONNE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI SRA CHARTREUSE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI SRA VERCORS	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI TANGRAM ⁽¹⁾	■	-	CSE	Asset Gathering	90.7	95.7	90.7	95.7

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SCI Turenne Wilson	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI VALHUBERT ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI VAUGIRARD 36-44 ⁽¹⁾	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI VICQ D'AZIR VELLEFAUX ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI VILLA BELLA	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCI WAGRAM 22/30	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	SCI WASHINGTON	▲	E2	A	Asset Gathering	-	34.0	-	34.0
	Scica HIL	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SCPI LFP MULTIMMO ⁽¹⁾	■	-	CSE	Asset Gathering	46.5	41.6	46.5	41.6
	SEGUR 2	■	I1	S	Asset Gathering	100.0	-	100.0	-
	Sequana	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SH PREDICA ENERGIES DURABLES SAS ⁽¹⁾	■	-	S	Asset Gathering	99.9	99.9	99.9	99.9
	Shark FCC	■	E1	CSE	Corporate and Investment Banking	-	100.0	-	-
	SILOS DE JONAGE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Sircam	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SNC CACF INVESTISSEMENTS FONCIERS	■	I1	S	Asset Gathering	100.0	-	100.0	-
	SNC Kalliste Assur	■	E4	S	Corporate Centre	-	100.0	-	100.0
	SNGI	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	SO.GI.CO	■	E4	S	Corporate Centre	-	100.0	-	100.0
	SO.GI.CO	■	I2	S	Corporate Centre	100.0	-	99.5	-
	Socadif	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Société de Transactions Immobilières de Bourbon	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Société d'Epargne Foncière Agricole (SEFA)	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	SOCIETE D'ETUDES DE PARTICIPATIONS ET D'INVESTISSEMENT	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SOCIÉTÉ D'EXPLOITATION DES TELEPHÉRIQUES TARENTAISE-MAURIENNE	▲	-	A	Asset Gathering	38.1	38.1	38.1	38.1
	Société Financière de Ty Nay	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Société Financière du Languedoc Roussillon (SOFILAR)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Société Générale Gestion (S2G)	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Sodica	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	Sofinco Participations	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	SOLIDARITE AMUNDI P ⁽¹⁾	■	-	CSE	Asset Gathering	70.7	79.2	70.7	79.2
	SOLIDARITE INITIATIS SANTE ⁽¹⁾	■	-	CSE	Asset Gathering	76.9	79.6	76.9	79.6
	SOLYMO	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SONANCE VIE 4 FCP ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	SONANCE VIE 5 FCP 3DEC ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	SONANCE VIE 6 FCP ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	SONANCE VIE 9 ⁽¹⁾	■	-	CSE	Asset Gathering	98.0	98.2	98.0	98.2
	Spirica	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SQUARE HABITAT ATLANTIQUE VENDEE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SQUARE HABITAT FRANCHE-COMTE	■	I2	S	Corporate Centre	100.0	-	99.4	-
	Square Habitat Gestion Sud Rhône Alpes	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	SQUARE HABITAT NEUF	■	I1	S	Asset Gathering	100.0	-	100.0	-
	Square Habitat Nord de France	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Square Habitat Pays Basque	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Square Habitat Sud Rhône Alpes	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Square Habitat Toulouse 31	■	E4	S	Asset Gathering	-	100.0	-	100.0
	Square Habitat Toulouse 31	■	I2	S	Corporate Centre	100.0	-	99.4	-
	Société Européenne de Développement d'Assurances	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Société Européenne de Développement du Financement	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	STEPHANE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Sud Rhône Alpes Placement	■	-	S	Asset Gathering	100.0	100.0	99.9	99.9
	TCB	■	-	S	Corporate and Investment Banking	98.7	98.7	97.4	97.4
	Toulouse 31 Court Terme	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	TOUR MERLE (SCI)	▲	-	JV	Asset Gathering	50.0	50.0	50.0	50.0
	TRIA 6 ANS N 16 PT C ⁽¹⁾	■	I2	CSE	Asset Gathering	50.0	-	50.0	-
	TRIAN 6 ANS N10 C ⁽¹⁾	■	-	CSE	Asset Gathering	81.5	82.1	81.5	82.1
	TRIANANCE 6 AN 12 C ⁽¹⁾	■	-	CSE	Asset Gathering	84.0	84.4	84.0	84.4
	TRIANANCE 6 AN 13 C ⁽¹⁾	■	I1	CSE	Asset Gathering	85.1	-	85.1	-
	TRIANANCE 6 AN 14 C ⁽¹⁾	■	I1	CSE	Asset Gathering	89.4	-	89.4	-
	TRIANANCE 6 ANS 5 C ⁽¹⁾	■	-	CSE	Asset Gathering	78.9	79.2	78.9	79.2
	TRIANANCE 6 ANS N 11 ⁽¹⁾	■	-	CSE	Asset Gathering	82.7	83.2	82.7	83.2
	TRIANANCE 6 ANS N 15 ⁽¹⁾	■	I2	CSE	Asset Gathering	86.3	-	86.3	-
	TRIANANCE 6 ANS N 9 ⁽¹⁾	■	-	CSE	Asset Gathering	3.3	79.7	3.3	79.7
	TRIANANCE 6 ANS N2 C ⁽¹⁾	■	E1	CSE	Asset Gathering	-	74.8	-	74.8
	TRIANANCE 6 ANS N3 ⁽¹⁾	■	-	CSE	Asset Gathering	3.0	70.5	3.0	70.5
	TRIANANCE 6 ANS N6 ⁽¹⁾	■	-	CSE	Asset Gathering	84.0	84.6	84.0	84.6
	TRIANANCE 6 ANS N7 C ⁽¹⁾	■	E1	CSE	Asset Gathering	-	82.1	-	82.1
	TRIANANCE 6 ANS N8 C ⁽¹⁾	■	E1	CSE	Asset Gathering	-	86.6	-	86.6
	TRIANANCE 6 ANS ⁽¹⁾	■	E1	CSE	Asset Gathering	-	61.9	-	61.9
	Triple P FCC	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	TSUBAKI OFF (FCT)	■	E1	CSE	Corporate and Investment Banking	-	100.0	-	-
	TSUBAKI ON (FCT)	■	E1	CSE	Corporate and Investment Banking	-	100.0	-	-
	UBAF	▲	-	JV	Corporate and Investment Banking	47.0	47.0	47.0	47.0
	Ucafleet	▲	-	A	Specialised Financial Services	35.0	35.0	35.0	35.0
	UI CAP SANTE 2 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Unifergie	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	UNI-INVEST ANJOU MAINE	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Uni-medias	■	-	S	Corporate Centre	100.0	100.0	100.0	100.0
	UNIPIERRE ASSURANCE (SCPI) ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	Val de France Expansion	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Val de France Rendement	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Valeurs Monétiques	■	-	S	Asset Gathering	100.0	100.0	86.0	86.0
	VENDOME INV.FCP 3DEC ⁽¹⁾	■	-	CSE	Asset Gathering	90.2	92.0	90.2	92.0
	VENDOME SEL EURO PC ⁽¹⁾	■	-	CSE	Asset Gathering	8.8	43.6	8.8	43.6
	Via Vita	■	E2	S	Asset Gathering	-	100.0	-	100.0
	VILLAGE BY CA NORD DE France	■	I1	S	Asset Gathering	100.0	-	100.0	-
	VMIER TOULON	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	OLINN INVEST	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
Germany									
	A-BEST ELEVEN UG	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	A-BEST NINETEEN	▲	I2	SJV	Specialised Financial Services	50.0	-	50.0	-
	A-BEST SIXTEEN	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	Amundi Deutschland GmbH	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	CACEIS Bank S.A., Germany Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS FONDS SERVICE GMBH	■	I1	S	Corporate and Investment Banking	69.5	-	69.5	-
	Crédit Agricole CIB (Allemagne)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	CRÉDIT AGRICOLE LEASING GERMAN BRANCH	■	I2	B	Specialised Financial Services	100.0	-	100.0	-
	Creditplus Bank AG	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	EUROFACTOR GmbH	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCA Bank Germany GmbH	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	FCA VERSICHERUNGS SERVICE GMBH	▲	I2	JV	Specialised Financial Services	50.0	-	50.0	-
	FERRARI FINANCIAL SERVICES GMBH	▲	-	JV	Specialised Financial Services	50.0	50.0	25.0	25.0
	LEASYS SPA GERMAN BRANCH	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	LYXOR INTERNATIONAL ASSET MANAGEMENT German Branch	■	I3	S	Asset Gathering	100.0	-	69.5	-
	RETAIL AUTOMOTIVE CP GERMANY 2016 UG	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	RETAIL AUTOMOTIVE CP GERMANY 2021 UG	■	I2	CSE	Specialised Financial Services	100.0	-	100.0	-
Greece									
	AMUNDI Hellas MFMC S.A.	■	E1	S	Asset Gathering	-	100.0	-	69.6
	Crédit Agricole Life	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	FCA Bank GmbH, Hellenic Branch	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA Capital Hellas S.A.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA Insurance Hellas S.A.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
Guernsey									
	Crédit Agricole CIB Finance (Guernsey) Ltd	■	-	CSE	Corporate and Investment Banking	99.9	99.9	99.9	99.9
Hong Kong									
	AMUNDI ASSET MANAGEMENT HONG KONG BRANCH	■	-	B	Asset Gathering	100.0	100.0	69.5	70.0
	AMUNDI Hong Kong Ltd	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	CA Indosuez (Suisse) S.A. Hong Kong Branch	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Asia Shipfinance Ltd	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB (Hong-Kong)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Securities (Asia) Limited Hong Kong	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
Hungary									
	Amundi Investment Fund Management Private Limited Company	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
India									
	Crédit Agricole CIB (Inde)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB Services Private Ltd	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	State Bank of India Fund Management	▲	-	A	Asset Gathering	37.0	37.0	25.6	25.9
Ireland									
	Amundi Intermédiation Dublin Branch	■	-	B	Asset Gathering	100.0	100.0	69.5	69.6
	Amundi Ireland Ltd	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	ARES CAPITAL LIMITED	■	E1	S	Specialised Financial Services	-	100.0	-	61.0
	CACEIS Bank, Ireland Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS Ireland Limited	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACI LIFE LIMITED	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CACI NON LIFE LIMITED	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CACI Reinsurance Ltd	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CORSAIR 1.52% 25/10/38 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CORSAIR 1.5255% 25/04/35 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CORSAIRE FINANCE IRELAND 0.83% 25-10-38 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CORSAIRE FINANCE IRELAND 1.24% 25-10-38 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	CORSAIRE FINANCE IRELAND 0.7% 25-10-38 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	EFL Lease Abs 2017-1 Designated Activity Company	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	EFL LEASE ABS 2021-1 DESIGNATED ACTIVITY COMPANY	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	ERASMUS FINANCE	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA BANK SPA, IRISH BRANCH	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA Capital Re Limited	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	FIXED INCOME DERIVATIVES – STRUCTURED FUND PLC	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	KBI Fund Managers Limited	■	-	S	Asset Gathering	87.5	87.5	69.5	69.6
	KBI Global Investors (North America) Limited	■	-	S	Asset Gathering	87.5	87.5	69.5	69.6
	KBI Global Investors Limited	■	-	S	Asset Gathering	87.5	87.5	69.5	69.6
	PIMCO GLOBAL BND FD-CURNC EX ⁽¹⁾	■	-	CSE	Asset Gathering	31.6	52.9	31.6	52.9
	PREMIUM GR 0% 28 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN 0.508% 25-10-38 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN 0.63% 25-10-38 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN 1.24% 25/04/35 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN 1.531% 25-04-35 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN 1.55% 25-07-40 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN 4.52%06-21 EMTN ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	PREMIUM GREEN 4.54%06-13.06.21 ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	PREMIUM GREEN 4.5575%21 EMTN ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	PREMIUM GREEN 4.56%06-21 ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	PREMIUM GREEN 4.7% EMTN 08/08/21 ⁽¹⁾	■	E1	CSE	Asset Gathering	-	100.0	-	100.0
	PREMIUM GREEN 4.72%12-250927 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN PLC 1.095% 25-10-38 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN PLC 4.30%2021 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN TV 06/22 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN TV 07/22 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN TV 07-22 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN TV 22 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN TV 26/07/22 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN TV2027 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN TV23/05/2022 EMTN ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PREMIUM GREEN4.33%06-29/10/21 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Space Holding (Ireland) Limited	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Italy									
	A-BEST EIGHTEEN	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	A-BEST FIFTEEN	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	A-BEST FOURTEEN	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	A-BEST SEVENTEEN	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	A-BEST TWELVE	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	Agos	■	-	S	Specialised Financial Services	61.0	61.0	61.0	61.0
	AGOSCOM S.R.L.	■	-	B	Specialised Financial Services	100.0	100.0	61.0	61.0
	AMUNDI Real Estate Italia SGR S.p.A.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	AMUNDI SGR S.p.A.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	BANCO PICCOLO CREDITO VALTELLINESE S.P.A..	■	I3	S	International Retail Banking	100.0	-	84.9	-
	CA Assicurazioni	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CA Indosuez Wealth (Europe) Italy Branch	■	I2	B	Asset Gathering	100.0	-	100.0	-
	CA Indosuez Wealth Italy S.P.A.	■	E1	S	Asset Gathering	-	100.0	-	100.0
	CACEIS Bank, Italy Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACI DANNI ⁽¹⁾	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CACI VITA ⁽¹⁾	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CLICKAR SRL	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	Crédit Agricole CIB (Italie)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Friuladria S.p.A.	■	-	S	International Retail Banking	99.6	82.4	84.6	70.0
	Crédit Agricole Group Solutions	■	-	S	International Retail Banking	100.0	100.0	84.8	83.5
	Crédit Agricole Italia	■	-	S	International Retail Banking	84.9	84.9	84.9	84.9
	Crédit Agricole Leasing Italia	■	-	S	International Retail Banking	100.0	100.0	87.2	87.2
	Crédit Agricole Vita S.p.A.	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CREVAL COVERED BOND S.R.L.	▲	I3	JV	International Retail Banking	60.0	-	45.8	-
	CREVAL PIU'FACTOR S.P.A.	■	I3	S	International Retail Banking	100.0	-	76.2	-
	Eurofactor Italia S.p.A.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	FAST THREE SRL	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA Bank	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	GENERAL FINANCE S.P.A.	▲	I3	JV	International Retail Banking	46.8	-	35.7	-
	GLOBAL BROKER S.P.A.	▲	I3	JV	International Retail Banking	30.0	-	22.9	-
	ItalAsset Finance SRL	■	-	CSE	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Leasys	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	LEASYS RENT SPA	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	Nexus 1 ⁽¹⁾	■	-	CSE	Asset Gathering	97.2	88.8	97.2	88.8
	NIXES SIX (LTD)	▲	-	SJV	Specialised Financial Services	50.0	50.0	50.0	50.0
	RAJNA IMMOBILIARE S.R.L.	▲	I3	JV	International Retail Banking	50.0	-	38.1	-
	SONDRIO CITTA' FUTURA S.R.L.	▲	I3	JV	International Retail Banking	49.0	-	37.4	-
	STELLINE REAL ESTATE S.P.A.	■	I3	S	International Retail Banking	100.0	-	76.2	-
	SUNRISE SPV 20 SRL	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	SUNRISE SPV 30 SRL	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	SUNRISE SPV 40 SRL	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	SUNRISE SPV 50 SRL	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	SUNRISE SPV Z60 Srl	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	SUNRISE SPV Z70 Srl	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	SUNRISE SPV Z80 Srl	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	SUNRISE SPV Z90 Srl	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	SUNRISE SPV Z92 SRL	■	I2	CSE	Specialised Financial Services	100.0	-	61.0	-
	SUNRISE SPV Z93 Srl	■	I2	CSE	Specialised Financial Services	100.0	-	61.0	-
	SUNRISE SRL	■	-	CSE	Specialised Financial Services	100.0	100.0	61.0	61.0
	VALTELLINA GOLF CLUB S.P.A.	▲	I3	JV	International Retail Banking	43.1	-	32.8	-
	VAUGIRARD ITALIA '	■	I2	S	Asset Gathering	100.0	-	100.0	-
	VAUGIRARD SOLARE ⁽¹⁾	■	I1	S	Asset Gathering	100.0	-	100.0	-
Japan									
	AMUNDI Japan	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Crédit Agricole CIB (Japon)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Life Insurance Company Japan Ltd	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole Securities Asia BV (Tokyo)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	UBAF (Japon)	▲	-	B	Corporate and Investment Banking	47.0	47.0	47.0	47.0
Luxembourg									
	0057514 AUC ⁽¹⁾	■	E1	CSE	Asset Gathering	-	59.2	-	59.2
	1827 A2EURO ⁽¹⁾	■	-	CSE	Asset Gathering	30.0	61.1	30.0	61.1
	37785 QXEUR ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	56055 A5 EUR ⁽¹⁾	■	-	CSE	Asset Gathering	99.1	99.5	99.1	99.5
	56055 AEURHC ⁽¹⁾	■	-	CSE	Asset Gathering	43.0	51.6	43.0	51.4
	5880 AEURC ⁽¹⁾	■	-	CSE	Asset Gathering	76.6	59.2	76.6	59.2
	5884 AEURC ⁽¹⁾	■	-	CSE	Asset Gathering	6.1	30.6	6.1	30.6
	5922 AEURHC ⁽¹⁾	■	-	CSE	Asset Gathering	58.6	54.0	58.6	54.0
	5940 AEURC ⁽¹⁾	■	I2	CSE	Asset Gathering	51.5	-	51.5	-
	78752 AEURHC ⁽¹⁾	■	-	CSE	Asset Gathering	43.8	41.1	43.8	41.1
	A FD EQ E CON AE(C) ⁽¹⁾	■	-	CSE	Asset Gathering	18.7	61.8	18.7	61.8
	A FD EQ E FOC AE (C) ⁽¹⁾	■	-	CSE	Asset Gathering	55.5	67.4	55.5	67.4
	AF INDEX EQ JAPAN AE CAP ⁽¹⁾	■	-	CSE	Asset Gathering	80.5	80.1	80.5	80.1
	AF INDEX EQ USA A4E ⁽¹⁾	■	-	CSE	Asset Gathering	62.3	63.0	62.3	63.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	AFCPRGLLIFEAE ⁽¹⁾	■	E1	CSE	Asset Gathering	-	42.2	-	42.2
	AJPMGBIGOAE ⁽¹⁾	■	-	CSE	Asset Gathering	78.2	82.3	78.2	82.3
	AIMSCWOAE ⁽¹⁾	■	-	CSE	Asset Gathering	5.4	4.6	5.4	4.6
	AMUN NEW SIL RO AEC ⁽¹⁾	■	I2	CSE	Asset Gathering	40.2	-	40.2	-
	AMUNDI B GL AGG AEC ⁽¹⁾	■	-	CSE	Asset Gathering	5.6	9.6	5.6	9.6
	AMUNDI BGEB AEC ⁽¹⁾	■	-	CSE	Asset Gathering	37.0	49.1	37.0	49.1
	AMUNDI EMERG MKT BD-MZEURHC ⁽¹⁾	■	-	CSE	Asset Gathering	77.9	63.2	77.9	63.2
	AMUNDI EQ E IN AEC ⁽¹⁾	■	-	CSE	Asset Gathering	43.9	41.2	43.9	41.2
	AMUNDI GLB MUL-ASSET-M2EURC ⁽¹⁾	■	-	CSE	Asset Gathering	51.7	47.5	51.7	47.5
	AMUNDI GLO M/A CONS-M2 EUR C ⁽¹⁾	■	-	CSE	Asset Gathering	79.3	76.2	79.3	76.2
	AMUNDI GLOBAL SERVICING	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Amundi Luxembourg S.A.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	AMUNDI SF - DVRS S/T BD-HEUR ⁽¹⁾	■	I2	CSE	Asset Gathering	46.6	-	46.6	-
	AMUNDI-EUR EQ GREEN IM-IEURC ⁽¹⁾	■	-	CSE	Asset Gathering	25.6	65.5	25.6	65.5
	AMUNDI-GL INFLAT BD-MEURC ⁽¹⁾	■	-	CSE	Asset Gathering	38.7	57.5	38.7	57.5
	APLEGROSENIEU HD ⁽¹⁾	■	-	CSE	Asset Gathering	15.7	50.9	15.7	50.9
	BA-FII EUR EQ O-GEUR ⁽¹⁾	■	-	CSE	Asset Gathering	52.1	51.9	52.1	51.9
	CA Indosuez Wealth (Asset Management)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CA Indosuez Wealth (Europe)	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CACEIS Bank, Luxembourg Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	Camca Assurance	■	-	S	Asset Gathering	100.0	100.0	100.0	87.8
	Camca Lux Finance Management Company	■	E1	S	Asset Gathering	-	100.0	-	84.3
	Camca Réassurance	■	-	S	Asset Gathering	100.0	100.0	100.0	82.0
	CHORELIA N3 PART C ⁽¹⁾	■	-	CSE	Asset Gathering	86.1	86.3	86.1	86.3
	CPR INV MEGATRENDS R EUR-ACC ⁽¹⁾	■	I2	CSE	Asset Gathering	43.6	-	43.6	-
	CPR I-SM B C-AEURA ⁽¹⁾	■	-	CSE	Asset Gathering	91.8	64.0	91.8	64.0
	CPR-CLIM ACT-AEURA ⁽¹⁾	■	-	CSE	Asset Gathering	21.0	43.0	21.0	43.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CPRGLDISOPARAC ⁽¹⁾	■	-	CSE	Asset Gathering	45.6	43.6	45.6	43.6
	Crédit Agricole CIB Finance Luxembourg S.A.	■	-	CSE	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Life Insurance Europe	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	EUROPEAN MARKETING GROUP	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	EXANE 1 OVERDR CC ⁽¹⁾	■	-	CSE	Asset Gathering	71.7	72.1	71.7	72.1
	Fcp Camca Lux Finance	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	FE AMUNDI INC. BLDRIHE C ⁽¹⁾	■	-	CSE	Asset Gathering	90.6	80.2	90.6	80.2
	FRANKLIN DIVER-DYN-IACC EU ⁽¹⁾	■	-	CSE	Asset Gathering	54.4	48.0	54.4	48.0
	FRANKLIN GLB MLT-AS IN-IAEUR ⁽¹⁾	■	-	CSE	Asset Gathering	69.0	76.1	69.0	76.1
	Fund Channel	■	-	S	Asset Gathering	100.0	100.0	69.5	68.1
	IGSF-GBL GOLD FD-I C ⁽¹⁾	■	-	CSE	Asset Gathering	50.4	25.9	50.4	25.9
	INDOFIFLEXEQ ⁽¹⁾	■	-	CSE	Asset Gathering	46.4	47.3	46.4	47.3
	INDO-GBL TR-PE ⁽¹⁾	■	-	CSE	Asset Gathering	58.2	59.4	58.2	59.4
	INDOSUEZ NAVIGATOR C ⁽¹⁾	■	-	CSE	Asset Gathering	49.4	42.5	49.4	42.5
	Investor Service House S.A.	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	JPM US EQY ALL CAP-C HDG ⁽¹⁾	■	-	CSE	Asset Gathering	90.1	88.7	90.1	88.7
	JPM US SEL EQ PLS-CA EUR HD ⁽¹⁾	■	-	CSE	Asset Gathering	62.6	66.0	62.6	66.0
	JPMORGAN F-JPM US VALUE-CEHA ⁽¹⁾	■	-	CSE	Asset Gathering	41.0	84.5	41.0	84.5
	JPMORGAN F-US GROWTH-CAHD ⁽¹⁾	■	-	CSE	Asset Gathering	20.8	31.5	20.8	31.5
	LRP – CPT JANVIER 2013 0.30 13-21 11/01A ⁽¹⁾	■	-	CSE	Asset Gathering	84.6	84.2	84.6	84.2
	LYXOR FUND SOLUTION	■	I3	S	Asset Gathering	100.0	-	69.5	-
	Partinvest S.A.	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	PREDICA INFRASTRUCTURE S.A.	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	PurpleProtAsset 1.36% 25/10/2038 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	PurpleProtAsset 1.093% 20/10/2038 ⁽¹⁾	■	-	CSE	Asset Gathering	100.0	100.0	100.0	100.0
	SCI 32 Liberté	■	-	S	Asset Gathering	100.0	100.0	100.0	82.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Space Lux	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Malaysia									
	AMUNDI Malaysia Sdn Bhd	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
Mauritius									
	GSA Ltd	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
Mexico									
	AMUNDI ASSET MANAGEMENT MEXICO BRANCH	■	-	B	Asset Gathering	100.0	100.0	69.5	69.9
	Banco Santander CACEIS México, S.A., Institución de Banca Múltiple	▲	-	JV	Corporate and Investment Banking	50.0	50.0	34.7	34.7
	Pioneer Global Investments LTD Mexico city Branch	■	-	B	Asset Gathering	100.0	100.0	69.5	69.9
Monaco									
	Caisse régionale Provence – Côte d'Azur, Agence de Monaco	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CFM Indosuez Gestion	■	-	S	Asset Gathering	70.2	70.2	68.1	68.1
	CFM Indosuez Wealth	■	-	S	Asset Gathering	70.2	70.2	69.0	69.0
	LCL Succursale de Monaco	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
Morocco									
	Crédit du Maroc	■	-	S	International Retail Banking	78.7	78.7	78.7	78.7
	Crédit du Maroc Leasing et Factoring	■	-	S	Specialised Financial Services	100.0	100.0	85.8	85.8
	FCA DEALER SERVICES ESPANA S.A., Morocco Branch	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	SIFIM	■	-	JV	International Retail Banking	100.0	100.0	78.7	78.7
	Themis Courtage	▲	-	A	Specialised Financial Services	49.0	49.0	49.0	48.9
	Wafa Gestion	▲	-	A	Asset Gathering	34.0	34.0	23.6	23.8
	Wafasalaf	▲	-	A	Specialised Financial Services	49.0	49.0	49.0	49.0
Netherlands									
	A-BEST 21	▲	I2	SJV	Specialised Financial Services	50.0	-	50.0	-
	AMUNDI ASSET MANAGEMENT NEDERLAND	■	-	B	Asset Gathering	100.0	100.0	69.5	70.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	CACEIS Bank, Netherlands Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	Crédit Agricole Consumer Finance Nederland	■	02	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Crédit Agricole Securities Asia BV	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	De Kredietdesk B.V.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	EUROFACTOR NEDERLAND	■	-	B	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCA Capital Nederland B.V.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	Financierings Data Netwerk B.V.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	Finata Zuid-Nederland B.V.	■	-	S	Specialised Financial Services	98.1	98.1	98.1	98.1
	IDM lease maatschappij B.V.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Iebe Lease B.V.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	INTERBANK NV	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Krediet '78 B.V.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	LEASYS Nederland	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	MAGOI BV	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	MATSUBA BV	■	-	CSE	Specialised Financial Services	100.0	100.0	100.0	100.0
	NIXES SEVEN SRL	▲	E1	SJV	Specialised Financial Services	-	50.0	-	50.0
	NL Findio B.V.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	RIBANK NV	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Sinefinair B.V.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Sufinair B.V.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
Norway									
	FCA Capital Norge AS	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
Poland									
	AMUNDI Polska	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Arc Broker	■	-	S	International Retail Banking	100.0	100.0	100.0	100.0
	CALIE Europe Succursale Pologne ⁽¹⁾	■	E1	B	Asset Gathering	-	100.0	-	100.0
	Carefleet S.A.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	CDT AGRI ZYCIE TU'	■	I1	S	Asset Gathering	100.0	-	100.0	-
	Crédit Agricole Bank Polska S.A.	■	-	S	International Retail Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Polska S.A.	■	-	S	International Retail Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Service sp z o.o.	■	-	S	International Retail Banking	100.0	100.0	100.0	100.0
	EFL Finance S.A.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	EFL Services	■	E4	S	Specialised Financial Services	-	100.0	-	100.0
	EUROFACTOR POLSKA S.A.	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Europejski Fundusz Leasingowy (E.F.L.)	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCA BANK SPA ODDZIAŁ W POLSCE, Polska Branch	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	LEASYS POLSKA	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	TRUCK CARE Sp	■	01	S	Specialised Financial Services	70.0	70.0	70.0	70.0
Portugal									
	ARES LUSITANI STC, S.A	■	I2	S	Specialised Financial Services	100.0	-	100.0	-
	Credibom	■	-	S	Specialised Financial Services	100.0	100.0	100.0	100.0
	Eurofactor S.A. (Portugal)	■	-	B	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCA Capital IFIC	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	GNB SEGUROS	■	01	S	Asset Gathering	100.0	100.0	100.0	100.0

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	LEASYS PORTUGAL S.A.	▲	01	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	THETIS FINANCE 2015-1	■	E1	CSE	Specialised Financial Services	-	100.0	-	100.0
Qatar									
	CACIB Qatar Financial Center Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
Romania									
	Amundi Asset Management S.A.I S.A.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Crédit Agricole Romania	■	E2	S	International Retail Banking	-	100.0	-	100.0
Russia									
	Crédit Agricole CIB AO	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
Saudi Arabia									
	CRÉDIT AGRICOLE CIB ARABIA FINANCIAL COMPANY	■	I2	S	Asset Gathering	100.0	-	100.0	-
Serbia									
	Crédit Agricole Banka Srbija a.d. Novi Sad	■	O4	S	International Retail Banking	100.0	100.0	100.0	100.0
Singapore									
	Amundi Intermédiation Asia PTE Ltd	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	AMUNDI Singapore Ltd	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Azqore S.A. Singapore Branch	■	-	B	Asset Gathering	80.0	80.0	80.0	80.0
	CA Indosuez (Suisse) S.A. Singapore Branch	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	Crédit Agricole CIB (Singapour)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Fund Channel Singapore Branch	■	-	B	Asset Gathering	100.0	100.0	69.5	69.6
	UBAF (Singapour)	▲	-	B	Corporate and Investment Banking	47.0	47.0	47.0	47.0
Slovakia									
	Amundi Czech Republic Asset Management Bratislava Branch	■	-	B	Asset Gathering	100.0	100.0	69.5	69.9
South Korea									
	Crédit Agricole CIB (Corée du Sud)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Securities (Asia) Limited Seoul Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	NH-AMUNDI ASSET MANAGEMENT	▲	-	A	Asset Gathering	30.0	30.0	20.9	21.0
	UBAF (Corée du Sud)	▲	-	B	Corporate and Investment Banking	47.0	47.0	47.0	47.0
Spain									
	A-BEST THIRTEEN	▲	E1	SJV	Specialised Financial Services	-	50.0	-	50.0
	AMUNDI Iberia S.G.I.I.C S.A.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Bankoa	■	E2	S	International Retail Banking	-	99.8	-	99.8
	BANKOA KARTERA S.A.	■	E2	S	International Retail Banking	-	100.0	-	99.8
	CA Indosuez Wealth (Europe) Spain Branch	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CACEIS BANK SPAIN, S.A.U.	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS FUND ADMINISTRATION SPAIN S.A.U.	■	O1	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CRCAM SUD MED. SUC	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CRÉDIT AGRICOLE BANKOA GESTION	■	E2	S	International Retail Banking	-	100.0	-	99.8
	Crédit Agricole CIB (Espagne)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	CRÉDIT AGRICOLE CONSUMER FINANCE SPAIN EFC	■	O1	S	Specialised Financial Services	100.0	51.0	100.0	51.0
	Crédit Agricole Leasing & Factoring, Sucursal en Espana	■	-	B	Specialised Financial Services	100.0	100.0	100.0	100.0
	FCA Capital España EFC S.A.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA Dealer services España, S.A.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	LEASYS RENT ESPANA S.L.U	▲	I2	JV	Specialised Financial Services	50.0	-	50.0	-
	LEASYS SPA, Spanish Branch	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	Predica – Prévoyance Dialogue du Crédit Agricole ⁽¹⁾	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	Sabadell Asset Management, S.A., S.G.I.I.C.	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Santander CACEIS Latam Holding 1,S.L.	▲	O1	JV	Corporate and Investment Banking	50.0	50.0	34.7	34.7
	Santander CACEIS Latam Holding 2,S.L.	▲	O1	JV	Corporate and Investment Banking	50.0	50.0	34.7	34.7

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	VAUGIRARD AUTOVIA SLU ⁽¹⁾	■	-	CSE	Asset Gathering	94.8	100.0	94.8	100.0
	Vaugirard Infra S.L.	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
Sweden									
	AMUNDI ASSET MANAGEMENT SWEDEN BRANCH	■	I2	B	Asset Gathering	100.0	-	69.5	-
	Crédit Agricole CIB (Suède)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	FCA Capital Sverige	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
Switzerland									
	AMUNDI Suisse	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Azqore	■	-	S	Asset Gathering	80.0	80.0	80.0	80.0
	CA Indosuez (Suisse) S.A. Switzerland Branch	■	-	B	Asset Gathering	100.0	100.0	100.0	100.0
	CA Indosuez (Switzerland) S.A.	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CA Indosuez Finanziaria S.A.	■	-	S	Asset Gathering	100.0	100.0	100.0	100.0
	CACEIS Bank, Switzerland Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	CACEIS Switzerland S.A.	■	-	S	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	Crédit Agricole next bank (Suisse) S.A.	■	-	S	International Retail Banking	100.0	100.0	100.0	100.0
	FCA Capital Suisse S.A.	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	SWISS HOME LOAN	■	-	JV	International Retail Banking	94.5	94.5	94.5	94.5
Taiwan									
	Amundi Taiwan Limited	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	Crédit Agricole CIB (Taipei)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
Ukraine									
	CRÉDIT AGRICOLE BANK	■	-	S	International Retail Banking	100.0	100.0	100.0	100.0
United Arab Emirates									
	AMUNDI ASSET MANAGEMENT DUBAI (OFF SHORE) BRANCH	■	-	B	Asset Gathering	100.0	100.0	69.5	69.9
	Crédit Agricole CIB (ABU DHABI)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Crédit Agricole CIB (Dubai DIFC)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB (Dubai)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
United Kingdom									
	AMUNDI (UK) Ltd	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6
	AMUNDI ASSET MANAGEMENT LONDON BRANCH	■	-	B	Asset Gathering	100.0	100.0	69.5	69.6
	Amundi Intermédiation London Branch	■	-	B	Asset Gathering	100.0	100.0	69.5	69.6
	CACEIS Bank, UK Branch	■	-	B	Corporate and Investment Banking	100.0	100.0	69.5	69.5
	Crédit Agricole CIB (Royaume-Uni)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB Holdings Ltd	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole CIB Pension Limited Partnership	■	-	CSE	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	ER CAPITAL LTD	▲	I2	SJV	Specialised Financial Services	50.0	-	50.0	-
	FCA Automotive Services UK Ltd	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FCA Dealer Services UK Ltd	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	FERRARI FINANCIAL SERVICES GMBH, UK Branch	▲	-	B	Specialised Financial Services	50.0	50.0	50.0	50.0
	Leasys UK Ltd	▲	-	JV	Specialised Financial Services	50.0	50.0	50.0	50.0
	LYXOR ASSET MANAGEMENT UK LLP	■	I3	S	Asset Gathering	100.0	-	69.5	-
	Succursale Crédit Agricole S.A.	■	-	B	Corporate Centre	100.0	100.0	100.0	100.0
United States									
	Amundi Asset Management US Inc.	■	O1	S	Asset Gathering	100.0	100.0	69.5	69.6
	Amundi Distributor US Inc.	■	O1	S	Asset Gathering	100.0	100.0	69.5	69.6
	Amundi Holdings US Inc.	■	O1	S	Asset Gathering	100.0	100.0	69.5	69.6
	Amundi Pioneer Institutional Asset Management Inc.	■	E4	S	Asset Gathering	-	100.0	-	69.6

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

Principal place of business	Crédit Agricole Group Scope of consolidation	(1)	(a)	(b)	Activity	% control		% interest	
						31/12/ 2021	31/12/ 2020	31/12/ 2021	31/12/ 2020
	Amundi US Inc	■	01	S	Asset Gathering	100.0	100.0	69.5	69.6
	Atlantic Asset Securitization LLC	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	Crédit Agricole America Services Inc.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole ClB (États-Unis)	■	-	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole ClB (Miami)	■	02	B	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Global Partners Inc.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Leasing (USA) Corp.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	Crédit Agricole Securities (USA) Inc.	■	-	S	Corporate and Investment Banking	100.0	100.0	100.0	100.0
	La Fayette Asset Securitization LLC	■	-	CSE	Corporate and Investment Banking	100.0	100.0	-	-
	LYXOR ASSET MANAGEMENT HOLDING CORP	■	I3	S	Asset Gathering	100.0	-	69.5	-
	LYXOR ASSET MANAGEMENT INC.	■	I3	S	Asset Gathering	100.0	-	69.5	-
	Vanderbilt Capital Advisors LLC	■	-	S	Asset Gathering	100.0	100.0	69.5	69.6

(1) UCITS, unit-linked funds and SCIs held by insurance entities.

Branches are mentioned in italic.

(a) Scope changes

Inclusions (I) into the scope of consolidation

I1: Breach of threshold

I2: Creation

I3: Acquisition (including controlling interests)

Exclusions (E) from the scope of consolidation

E1: Discontinuation of business (including dissolution and liquidation)

E2: Sale to non Group companies or deconsolidation following loss of control

E3: Deconsolidated due to non-materiality

E4: Merger or takeover

E5: Transfer of all assets and liabilities

Other (O)

O1: Change of company name

O2: Change in consolidation method

O3: First time listed in the Note on scope of consolidation

O4: Entities classified as non-current assets held for sale and discontinued operations

(b) Type of entity and control nature

S: Subsidiary

B: Branch

CSE: Consolidated structured entity

JV: Joint venture

SJV: Structured joint venture

JO: Joint operation

A: Associate

S.A.: Structured associate

(1) Consolidation Method: ■ Full ▲ Equity Accounted ● Parent

NOTE 13 INVESTMENTS IN NON-CONSOLIDATED COMPANIES AND STRUCTURED ENTITIES

13.1 Non-consolidated equity investments

These securities, which are recorded at fair value through profit or loss or at fair value through other comprehensive income that will not be reclassified to profit or loss, are variable-income securities representing a significant portion of the share capital of the companies that issued them and are intended to be held on a long-term basis.

This line item amounted to €18,181 million at 31 December 2021, compared with €15,536 million at 31 December 2020. At 31 December 2021, the main investment in non-consolidated companies where percentage of control is greater than 20% and which have significant value on the balance sheet is Crédit Logement (shares A and B). The Group's investment represents 32.50% of Crédit Logement's capital and amounts to €499 million but does not confer any significant influence over this entity, which is jointly held by various French banks and companies.

13.2 Non-consolidated structured entities

IFRS 12 defines a structured entity as an entity that has been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity, such as when any voting rights relate to the administrative tasks only and the relevant activities are directed by means of contractual arrangements.

Information on the nature and extent of interests held

At 31 December 2021, the Crédit Agricole Group entities had interests in certain non-consolidated structured entities, the main characteristics of which are presented below on the basis of their type of activity:

Securitisation

The Crédit Agricole Group, mainly through its subsidiaries in the Large Customers business line, is tasked with structuring securitisation vehicles through the purchase of trade or financial receivables. The vehicles fund such purchases by issuing multiple tranches of debt and equity investments, with repayment being linked to the performance of the assets in such vehicles. Crédit Agricole S.A. invests in and provides liquidity facilities to the securitisation vehicles it has sponsored on behalf of customers.

Asset management

Crédit Agricole Group, through its subsidiaries in the Asset Gathering business line, structures and manages entities on behalf of customers wishing to invest in specific assets in order to obtain the best possible return having regard to the chosen level of risk. The Crédit Agricole Group entities may thus either be required to hold interests in such entities in order to ensure a successful launch or to guarantee the performance of such structures.

Investment funds

Entities in the Crédit Agricole Group Asset Gathering business line invest in companies established to meet investor demand in connection with treasury management and with the investment of insurance premiums received from insurance company customers, in accordance with the regulatory provisions in the French Insurance Code. Insurance company investments cover commitments to policyholders over the life of insurance policies. Their value and returns are correlated to these commitments.

13.1.1 Non-consolidated controlled entities

Information relating to conventional entities under exclusive control, under joint control and subject to significant influence, and to controlled structured entities not included in the scope of consolidation are available on the Crédit Agricole S.A. website at the time of publication of the Universal Registration Document update.

13.1.2 Material non-consolidated equity investments

Material equity investments accounting for a fraction of capital greater than or equal to 10% and not included in the scope of consolidation are presented in a table available online on the Crédit Agricole website at the time of publication of the Universal Registration Document update.

Structured finance

Lastly, the Crédit Agricole Group, via its subsidiaries in the Large Customers business line, is involved in special purpose asset acquisition entities. These entities may take the form of asset financing companies or lease financing companies. In structured entities, the financing is secured by the asset. The Group's involvement is often limited to the financing or to financing commitments.

Sponsored entities

The Crédit Agricole Group sponsors a structured entity in the following cases:

- The Crédit Agricole Group is involved in establishing the entity and that involvement, which is remunerated, is deemed essential for ensuring the proper completion of transactions;
- structuring takes place at the request of the Crédit Agricole Group and it is the main user thereof;
- the Crédit Agricole Group transfers its own assets to the structured entity;
- the Crédit Agricole Group is the manager;
- the name of a subsidiary or of the parent company of the Crédit Agricole Group is linked to the name of the structured entity or of the financial instruments issued by it.

The Crédit Agricole Group has sponsored non-consolidated structured entities in which it does not hold an interest at 31 December 2021.

Gross revenues from sponsored entities mainly comprise interest expense and income in securitisation and investment funds, in which Crédit Agricole Assurances and Crédit Agricole CIB do not hold any interests at the reporting date. For Crédit Agricole Assurances, these amount to -€4 million.

Information on the risks related to interests

Financial support for structured entities

In 2021, the Crédit Agricole Group did not provide financial support to any non-consolidated structured entities.

At 31 December 2021, the Crédit Agricole Group did not intend to provide financial support to any non-consolidated structured entities.

Interests in non-consolidated structured entities by type of activities

At 31 December 2021 and 31 December 2020, the Group's involvement in non-consolidated structured entities is disclosed in the following tables, for each group of sponsored structured entities that are significant to the Group:

	31/12/2021			
	Securitisation vehicles			
	Maximum loss			
	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure
<i>(in millions of euros)</i>				
Financial assets at fair value through profit or loss	5	5	-	5
Financial assets at fair value through other comprehensive income	-	-	-	-
Financial assets at amortised cost	494	494	-	494
TOTAL ASSETS RECOGNISED RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	499	499	-	499
Equity instruments	-	-	-	-
Financial liabilities at fair value through profit or loss	3	3	-	3
Liabilities	63	-	-	-
TOTAL LIABILITIES RECOGNISED RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	66	3	-	3
Commitments given	-	6	-	6
Financing commitments	-	6	-	6
Guarantee commitments	-	-	-	-
Other	-	-	-	-
Provisions for execution risks – commitments given	-	-	-	-
TOTAL COMMITMENTS (NET OF PROVISION) TO NON-CONSOLIDATED STRUCTURED ENTITIES	-	6	-	6
TOTAL BALANCE SHEET RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	433	-	-	-

(1) Non-sponsored structured entities generate no specific risk related to the nature of the entity. Information concerning these exposures is set out in Note 3.1 "Credit risk" and Note 3.2 "Market risk". These are investment funds in which the Group is not a manager, and structured financing entities in which the Group has only granted a loan.

	31/12/2020			
	Securitisation vehicles			
	Maximum loss			
	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure
<i>(in millions of euros)</i>				
Financial assets at fair value through profit or loss	6	6	-	6
Financial assets at fair value through other comprehensive income	-	-	-	-
Financial assets at amortised cost	-	-	-	-
TOTAL ASSETS RECOGNISED RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	6	6	-	6
Equity instruments	-	-	-	-
Financial liabilities at fair value through profit or loss	21	1	-	1
Liabilities	11	-	-	-
TOTAL LIABILITIES RECOGNISED RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	31	1	-	1
Commitments given	-	75	-	75
Financing commitments	-	18	-	18
Guarantee commitments	-	-	-	-
Other	-	57	-	57
Provisions for execution risks – commitments given	-	-	-	-
TOTAL COMMITMENTS (NET OF PROVISION) TO NON-CONSOLIDATED STRUCTURED ENTITIES	-	75	-	75
TOTAL BALANCE SHEET RELATING TO NON-CONSOLIDATED STRUCTURED ENTITIES	25	-	-	-

(1) Non-sponsored structured entities generate no specific risk related to the nature of the entity. Information concerning these exposures is set out in Note 3.1 "Credit risk" and Note 3.2 "Market risk". These are investment funds in which the Group is not a manager, and structured financing entities in which the Group has only granted a loan.

31/12/2021												
Asset management				Investments funds ⁽¹⁾				Structured finance ⁽¹⁾				
Maximum loss				Maximum loss				Maximum loss				
Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	
1,368	1,368	-	1,368	40,382	40,382	-	40,382	5	5	-	5	
-	-	-	-	50	50	-	50	-	-	-	-	
-	-	-	-	254	254	-	254	1,949	1,949	-	1,949	
1,368	1,368	-	1,368	40,686	40,686	-	40,686	1,954	1,954	-	1,954	
-	-	-	-	-	-	-	-	-	-	-	-	
576	576	-	576	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	374	-	-	-	
576	576	-	576	-	-	-	-	374	-	-	-	
-	18,249	405	17,843	-	-	-	-	-	856	-	856	
-	-	-	-	-	-	-	-	-	812	-	812	
-	18,261	405	17,855	-	-	-	-	-	44	-	44	
-	-	-	-	-	-	-	-	-	-	-	-	
-	(12)	-	(12)	-	-	-	-	-	-	-	-	
-	18,249	405	17,843	-	-	-	-	-	856	-	856	
88,117	-	-	-	376,124	-	-	-	1,580	-	-	-	

31/12/2020												
Asset management				Investments funds ⁽¹⁾				Structured finance ⁽¹⁾				
Maximum loss				Maximum loss				Maximum loss				
Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	
3,179	3,179	-	3,179	54,122	54,122	-	54,122	17	17	-	17	
-	-	-	-	106	106	-	106	-	-	-	-	
-	-	-	-	207	207	-	207	2,007	2,007	-	2,007	
3,179	3,179	-	3,179	54,435	54,435	-	54,435	2,024	2,024	-	2,024	
-	-	-	-	-	-	-	-	-	-	-	-	
799	799	-	799	33	2	-	2	-	-	-	-	
-	-	-	-	-	-	-	-	416	-	-	-	
799	799	-	799	33	2	-	2	416	-	-	-	
-	18,210	399	17,811	-	277	-	277	-	1,044	-	1,044	
-	-	-	-	-	-	-	-	-	974	-	974	
-	18,242	399	17,843	-	-	-	-	-	70	-	70	
-	-	-	-	-	277	-	277	-	-	-	-	
-	(32)	-	(32)	-	-	-	-	-	-	-	-	
-	18,210	399	17,811	-	277	-	277	-	1,044	-	1,044	
113,940	-	-	-	380,588	-	-	-	1,461	-	-	-	

Maximum exposure to losses

The maximum exposure to loss risk on financial instruments corresponds to the value recognised on the balance sheet, with the exception of option sale derivatives and CDS (credit default swaps) for which the exposure corresponds to assets for the notional amount and to liabilities for the

notional amount less the marked-to-market. The maximum exposure to loss risk on commitments given corresponds to the notional amount and the provision for commitments given in the amount recognised on the balance sheet.

NOTE 14 EVENTS SUBSEQUENT TO 31 DECEMBER 2021

No major event has taken place subsequent to the reporting date.

STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

This is a free translation into English of the Statutory Auditors' report issued in French and is provided solely for the convenience of English speaking readers. This report includes information specifically required by European regulations or French law, such as information about the appointment of Statutory Auditors. This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

(For the year ended 31 December 2021)

A l'assemblée générale

CREDIT AGRICOLE S.A.

12, place des Etats-Unis

92127 Montrouge cedex

OPINION

In compliance with the engagement entrusted to us by your General Meeting of Shareholders, we have audited the accompanying consolidated financial statements of the Crédit Agricole Group for the year ended 31 December 2021.

As indicated in the "General framework" section of the consolidated financial statements, the consolidated financial statements of the Crédit Agricole Group, a network organised around a central body, are prepared on the basis of the network formed by the Local Banks, the Regional Banks and Crédit Agricole S.A., the central body.

In our opinion, the consolidated financial statements give a true and fair view of the assets and liabilities and of the financial position of the Group at 31 December 2021 and of the results of its operations for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union.

The audit opinion expressed above is consistent with our report to the Audit Committee.

BASIS FOR OPINION

Audit framework

We conducted our audit in accordance with professional standards applicable in France. We believe that the conducted audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under these standards are further described in the "Responsibilities of the Statutory Auditors relating to the audit of the consolidated financial statements" section of our report.

Independence

We conducted our audit engagement in compliance with the independence rules provided for in the French Commercial Code (Code de commerce) and the French Code of Ethics (Code de déontologie) for Statutory Auditors for the period from 1 January 2021 to the date of our report, and, in particular, we did not provide any non-audit services prohibited by Article 5(1) of Regulation (EU) No. 537/2014.

JUSTIFICATION OF ASSESSMENTS – KEY AUDIT MATTERS

Due to the global crisis related to the COVID-19 pandemic, the financial statements of this period have been prepared and audited under specific conditions. Indeed, this crisis and the exceptional measures taken in the context of the state of sanitary emergency have had numerous consequences for companies, particularly on their operations and their financing, and have led to greater uncertainties on their future prospects. Those measures, such as travel restrictions and remote working, have also had an impact on the companies' internal organization and the performance of the audits.

It is in this complex and evolving context that, in accordance with the requirements of Articles L. 823-9 and R. 823-7 of the French Commercial Code relating to the justification of our assessments, we inform you of the key audit matters relating to the risks of material misstatement that, in our professional judgement, were the most significant in our audit of the consolidated financial statements, as well as how we addressed those risks.

These matters were addressed as part of our audit of the consolidated financial statements as a whole, and therefore contributed to the opinion we formed as expressed above. We do not provide a separate opinion on specific items of the consolidated financial statements.

Credit risk and estimate of expected losses on performing and non-performing loans

Identified risk	How our audit addressed this risk
In accordance with IFRS 9, the Crédit Agricole Group recognises loss allowances in respect of expected credit losses (ECL) on exposures that are performing («Stage 1» and «Stage 2») and non-performing («Stage 3»). Given the significant judgement required in determining such loss allowances, especially in the context of the COVID-19 crisis, we deemed their estimate to be a key audit matter for the following main entities and risk segments: - Crédit Agricole Regional Banks: IFRS 9 input (probability of default – PD, loss given default – LGD measurement and ECL) calculation models, as defined by the Group with respect to performing and underperforming exposures (Stages 1 and 2); - Crédit Agricole CIB: loss allowances on performing exposures (Stage 1 and Stage 2) for financing granted to companies in the transport, tourism and energy sectors, as well as those on all non-performing exposures (Stage 3), due to an uncertain economic environment, the complexity of identifying exposures presenting a risk of non-recovery and the degree of judgement needed to estimate recovery flows; - Retail Banking: loss allowances on exposures in Stages 1 and 2, particularly for the corporate and professional segments; - Consumer Finance: loss allowances on exposures in Stages 1, 2 and 3 in France and Italy.	We examined the procedures implemented by the Risk department to classify loans (Stages 1, 2 or 3) and measure the amount of recorded loss allowances. We examined the methods used to take into account the effects of the COVID-19 crisis, the macroeconomic forecasts and the treatment of measures to support the economy used for the calculation of loss allowances, as well as the related financial information. We tested what we deemed to be the key controls implemented by the main entities for the annual portfolio reviews, the updating of credit ratings, the identification of sectors impacted by the COVID-19 crisis, performing or non-performing exposures, and the measurement of loss allowances. We also read the main findings of the main Crédit Agricole Group entities' specialised committees in charge of monitoring performing and non-performing loans. Regarding loss allowances on Stages 1 and 2, we: - asked experts to assess the economic scenarios used, the methods and measurements for various loss allowances inputs and calculation models. We examined in particular the adaptations made to take into account the impacts of measures dedicated to support the economy; - examined the methodology used by the Risk department to identify a significant increase in credit risk ("SICR") and accounting treatments implemented to take into account measures to support the economy; - tested the controls that we deemed to be of key importance in relation to the transfer of the data used to calculate loss allowances or the reconciliations between the bases used for their calculation and the accounting records; - carried out independent loss allowance calculations based on samples, compared the calculated amount with the amount booked and examined the adjustments made by management where applicable; - assessed the analyses carried out by management on the Crédit Agricole CIB corporate bank's exposures with a negative outlook with a focus on sectors hit hard by the COVID-19 crisis. Regarding individually calculated loss allowances in Stage 3: - For Crédit Agricole CIB, we: - examined the estimates used for impaired significant counterparties; - examined, based on a credit files sample, the factors underlying the main assumptions used to assess expected cash inflows, taking into account in particular the collateral value. - For Consumer Finance, we checked the consistency between data used in the calculation of loss allowances and data available in the management IT systems and based on samples, tested the quality of historical data used in the statistical estimates. Lastly, we examined the disclosures in relation to credit risk coverage provided in the notes to the consolidated financial statements.

At 31 December 2021, the loss allowances for expected losses related to all eligible exposures (excluding Crédit Agricole internal transactions) amounted to €21.5 billion, including:

- €9.0 billion of loss allowances on performing and underperforming exposures deteriorated (€3.2 billion for Stage 1 and €5.2 billion for Stage 2);
- €12.5 billion of loss allowances on non-performing exposures (Stage 3).

See Notes 1.2 and 3.1 to the consolidated financial statements.

Measurement of goodwill and badwill

Identified risk	How our audit addressed this risk
Goodwill is tested for impairment whenever there are objective indications of impairment and otherwise at least once a year. These tests are based on a comparison between the carrying amount of each Cash Generating Unit (CGU) and its recoverable amount, defined as the higher of fair value less costs to sell and value in use. Value in use is determined by discounting the estimated future cash flows generated by the CGU, as defined in the four-year financial forecasts determined by each entity's management for the purpose of its business monitoring and extended over one year. The capital allocation rate is determined by considering, if applicable, any specific requirements set by the regulator (Pillar 2 in particular). We deemed the measurement of goodwill to be a key audit matter as impairment tests necessarily require management to make decisions concerning the key assumptions to use, in particular for determining financial forecasts and discount rates. In addition, we deemed the measurement of the badwill relating to the acquisition of Credito Valtellinese by Crédit Agricole Italia to be a key audit matter, given the importance of the assumptions used to determine the identifiable assets and liabilities.	We obtained an understanding of the processes implemented by the Crédit Agricole S.A. Group to assess the need for impairment of goodwill. We brought in valuation experts to our audit teams to assess the assumptions used to determine the discount rates and the perpetual growth rates used as well as the models used for calculating discounted cash flows. We tested the calculations and compared the main assumptions (capital allocation rate, discount rate, perpetual growth rate, etc.) with external sources. We examined the financial forecasts prepared by the management of each entity concerned and used in the model to: • check their consistency with those that have been presented to the governance bodies (Board of Directors or Supervisory Board) of the entities or sub-groups, and the justification of potential adjustments made; • assess the main underlying assumptions, including for the determination of the terminal year. These assumptions were assessed in view of the economic environment affected by the COVID-19 crisis, the former financial forecasts and the actual performance over prior periods; • conduct sensitivity analyses of the value in use to some of the assumptions (level of capital allocated, discount rate, cost of risk, cost to income ratio). We also examined the disclosures provided in the notes to the consolidated financial statements on the results of these impairment tests and the level of sensitivity to various measurement inputs. With regard to the measurement of badwill relating to the acquisition of Credito Valtellinese, our work consisted in particular of: • assessing, alongside our valuation experts, the assumptions used by management to measure identifiable assets and liabilities; • controlling the recognition of the allocation of goodwill on initial consolidation; • examining the disclosures provided in the notes to the consolidated financial statements.

At 31 December 2021, goodwill recorded in the balance sheet amounted to €16.1 billion. See Notes 1.2 and 6.16 to the consolidated financial statements.

The badwill recorded in the income statement following the acquisition of Credito Valtellinese amounted to €497 million. See Note 2.2.5.

Legal, tax and compliance risks

Identified risk	How our audit addressed this risk
The Crédit Agricole Group is the subject of judicial proceedings and several investigations and requests for regulatory information from various regulators. These are mainly related to the Euribor/Libor and SSA bond matters with the authorities from various countries (USA, UK) and the European Union. They also concern ongoing actions by the Italian competition authority and the Dutch credit mediator and supervisory body for the consumer finance business line. Various tax investigations are also ongoing in France and some of the countries in which the Group operates (including Germany). The decision to recognise a provision or a receivable and the amount to be recorded requires, by its nature, the use of judgement, due to the difficulty in assessing the outcome of pending litigation or uncertainties regarding certain tax treatments. Given the importance of judgement, these assessments carry a significant risk of material misstatement in the consolidated financial statements and are therefore a key audit matter.	We obtained an understanding of the process implemented by management to assess the risks arising from these litigations and tax uncertainties, as well as the provisions or receivables, where applicable, through quarterly inquiries with management and more specifically with the Legal, Tax and Compliance departments of the Group and its main subsidiaries. Our audit work involved: • assessing the assumptions made to determine provisions or receivables based on available information (documentation prepared by the Legal or Tax department or external counsel of Crédit Agricole S.A. and main Group entities, correspondence from regulators and minutes of Legal Risks Committee meetings); • reading the analyses and conclusions of the Group's legal advisors and their responses to our requests for confirmation; • regarding more specifically tax risks, examining, with our tax specialists, the responses provided by the Group to the relevant authorities as well as the risk assessment made by the Group; • assessing, accordingly, the level of provisions or receivables as at 31 December 2021. Lastly, we examined the related disclosures provided in the notes to the consolidated financial statements.

The various ongoing investigations, requests for information and actions of certain authorities, as well as the main tax inspections as of 31 December 2021, are presented in Notes 1.2, 6.10 and 6.18 to the consolidated financial statements.

Measurement of certain Crédit Agricole CIB financial assets and liabilities and Crédit Agricole Assurances financial assets classified in level 3

Identified risk	How our audit addressed this risk
Within the Large Corporate business line of the Crédit Agricole Group, Crédit Agricole CIB originates, structures, sells and trades derivative financial instruments, for corporates, financial institutions and large issuers. Moreover, the issue of debt instruments, some of which are “hybrid”, to the Group’s international and domestic customers contributes to the management of the Crédit Agricole CIB medium- and long-term refinancing: • Derivative financial instruments held for trading are recorded on the balance sheet at fair value through profit or loss. • “Hybrid” debt issued is recognised in financial liabilities at fair value through profit or loss by option. Financial instruments whose measurement requires the use of significant unobservable market inputs are classified in level 3 fair value. The classification of such instruments by level of fair value and their measurement require judgement from management, in particular regarding: • the definition of the observability mapping of the valuation inputs; • the use of internal and non-standard valuation models; • the valuation of inputs not supported by observable market data; • the assessment of valuation adjustments designed to take into account uncertainties in the models, inputs used or counterparty and liquidity risks. Moreover, insurance investments of Crédit Agricole Assurances classified in level 3 are mostly units of venture capital funds (“FCPR”) and unlisted equity securities measured using assumptions that are not supported by observable market data. The valuation process of these instruments, which takes into account liquidity and counterparty risks when appropriate, has become more complex in the context of COVID-19 crisis. Taking into account the uncertain economic environment, we consider that the valuation of these financial assets and liabilities of Crédit Agricole CIB and insurance assets of Crédit Agricole Assurances which are classified in level 3, to be a key audit matter, due to the expert judgement and variety and complexity of the methods used for their valuation.	We obtained an understanding of the processes and controls implemented by Crédit Agricole CIB to identify, measure and recognise derivative financial instruments and structured debt issues classified in level 3. We examined the controls that we deemed of key importance and that were mainly performed by the Risk department, such as the review of the observability mapping, the independent verification of measurement inputs and the internal approval of valuation models. We also examined the processes for recording valuation adjustments and the accounting classification of financial products. With the support of our specialists in the valuation of financial instruments, we carried out independent valuations, analysed those performed by Crédit Agricole CIB as well as the assumptions, inputs, methodologies and models used at 31 December 2021. In particular, we examined the documentation relating to developments in the observability mapping during the period. We also examined the main valuation adjustments recorded and management’s justification of the main valuation differences with respect to counterparties observed in margin calls and losses and/or gains in the event of the disposal of financial products. For insurance investments of Crédit Agricole Assurances classified in level 3, we performed the following procedures: • We updated our understanding of the internal control environment and valuation processes of these financial assets; • For assets measured using internal valuation models: – assessing the consistency of the assumptions, methods and inputs used as regards market practice and the economic context; – we analysed the values determined and recorded at 31 December 2021. • For assets measured by management companies external to Crédit Agricole Assurances: – we compared the measurements used at 31 December 2021 with the reports provided by asset management companies; – for assets directly impacted by the health and economic crisis: we examined independent valuation reports and the correct analysis of underlying risks; – for assets measured before the closing date, we examined the analyses performed by the Group to ensure there was no material difference between the recorded values and the values at the closing date. • we assessed the appropriateness of the disclosures provided in the notes to the consolidated financial statements.

Within assets, Crédit Agricole CIB’s derivative financial instruments and Crédit Agricole Assurances’ insurance assets are recorded in the balance sheet of the Crédit Agricole Group as financial assets at fair value which, in level 3, represent €24.9 billion at 31 December 2021.

Within liabilities, Crédit Agricole CIB’s derivative financial instruments and structured debt issues are recorded in the balance sheet of the Crédit Agricole Group as financial liabilities at fair value which, in level 3, represent €9.4 billion at 31 December 2021.

See Notes 1.2, 6.2 and 11.2 to the consolidated financial statements.

Specific technical reserves in relation to insurance policies

Identified risk	How our audit addressed this risk
Within the Insurance business line of the Crédit Agricole Group, insurance liabilities are recognised as technical reserves in compliance with French consolidation standards and the applicable regulations, as permitted under IFRS 4. These technical reserves include specific provisions that require judgement in their determination. These include: - the reserve for increasing risks of dependence, established where the present value of the insurer's commitments (payment of services) is greater than the projected contributions of policyholders; - reserves for claims related to non-life insurance policies to cover the total cost of claims incurred, but not yet reported or valued. For life insurance policies and financial contracts containing discretionary participation features, the Group conducts an annual liability adequacy test to ensure that insurance liabilities are adequate to meet estimated future cash flows after projected management fees. Considering the sensitivity of the above specific reserves and of the liability adequacy test to the different underlying assumptions used, especially in the context of the COVID 19 crisis (asset yield forecasts, policyholders' behaviour, insurer management's decisions, period of independent living or probability of occurrence of a state of dependency, future premiums, statistical models and expert assessments used for valuing late claims, discount rate, etc.), we deemed specific technical reserves and liability adequacy tests to be a key audit matter.	For the main specific reserves mentioned in the column opposite, we performed the following procedures with the support of our actuaries: - obtaining an understanding of the compliance of the Group's methodology for measuring these reserves; - obtaining an understanding of the control environment relating to the management or valuation of losses, the design of forecast models or stochastic models and the determination of the main assumptions to the model (asset yield, future premiums, mortality tables, probability of occurrence of a state of dependency, projected period of dependent living, discount rate, etc.); - obtaining an understanding of the results of the controls implemented by the Group to check the accuracy of management data used to calculate the reserves; - analysing certain assumptions or data in the light of market practice, the historical data and the economic context related to the COVID-19 crisis; - examining the controls that we deemed of key importance in relation to the information systems supporting the processing of technical data and accounting entries; - recalculating certain reserves. More specifically for the liability adequacy test, we examined the sensitivity of the result to scenarios of changes in the main financial and portfolio assumptions in order to check that the provisions remain sufficient in these different scenarios.
Net insurance technical reserves amount to €376.2 billion at 31 December 2021. See Notes 1.2, 4.6 and 6.17 to the consolidated financial statements.	

SPECIFIC VERIFICATIONS

As required by legal and regulatory provisions and in accordance with professional standards applicable in France, we have also performed the specific verifications on the information pertaining to the Group presented in the management report of the Board of Directors.

We have no matters to report as to its fair presentation and its consistency with the consolidated financial statements.

OTHER VERIFICATIONS AND INFORMATION PURSUANT TO LEGAL AND REGULATORY REQUIREMENTS

Presentation of the consolidated financial statements to be included in the annual financial report

In accordance with professional standards applicable to the Statutory Auditors' procedures for annual and consolidated financial statements presented according to the European single electronic reporting format, we have verified that the presentation of the consolidated financial statements to be included in the annual financial report referred to in paragraph I of Article L. 451-1-2 of the French Monetary and Financial Code (Code monétaire et financier) and prepared under the Chief Executive Officer's responsibility, complies with this format, as defined by European Delegated Regulation No. 2019/815 of 17 December 2018. As it relates to the consolidated financial statements, our work included verifying that the markups in the financial statements comply with the format defined by the aforementioned Regulation.

On the basis of our work, we conclude that the presentation of the consolidated financial statements to be included in the annual financial report complies, in all material respects, with the European single electronic reporting format.

It is not our responsibility to ensure that the consolidated financial statements to be included by the Company in the annual financial report filed with the AMF correspond to those on which we carried out our work.

Appointment of the Statutory Auditors

We were appointed Statutory Auditors of Crédit Agricole S.A. by the General Meeting of Shareholders held on 19 May 2004 for PricewaterhouseCoopers Audit and in 1985 for Ernst & Young et Autres.

At 31 December 2021, PricewaterhouseCoopers Audit and Ernst & Young et Autres were in the eighteenth and thirty-seventh consecutive year of their engagement, respectively.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for preparing consolidated financial statements giving a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union, and for implementing the internal control procedures it deems necessary for the preparation of consolidated financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern, and using the going concern basis of accounting, unless it expects to liquidate the Company or to cease operations.

The Audit Committee is responsible for monitoring the financial reporting process and the effectiveness of internal control and risk management systems, as well as, where applicable, any internal audit systems, relating to accounting and financial reporting procedures.

The consolidated financial statements were approved by the Board of Directors.

RESPONSIBILITIES OF THE STATUTORY AUDITORS RELATING TO THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Objective and audit approach

Our role is to issue a report on the consolidated financial statements. Our objective is to obtain reasonable assurance about whether the consolidated financial statements as a whole are free of material misstatement. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with professional standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions taken by users on the basis of these consolidated financial statements.

As specified in Article L. 823-10-1 of the French Commercial Code, our audit does not include assurance on the viability or quality of the Company's management.

As part of an audit conducted in accordance with professional standards applicable in France, the Statutory Auditors exercise professional judgement throughout the audit.

They also:

- identify and assess the risks of material misstatement in the consolidated financial statements, whether due to fraud or error, design and perform audit procedures in response to those risks, and obtain audit evidence considered to be sufficient and appropriate to provide a basis for their opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- obtain an understanding of the internal control procedures relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control;
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management and the related disclosures in the notes to the consolidated financial statements;
- assess the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. This assessment is based on the audit evidence obtained up to the date of the audit report. However, future events or conditions may cause the Company to cease to continue as a going concern. If the Statutory Auditors conclude that a material uncertainty exists, they are required to draw attention in the audit report to the related disclosures in the consolidated financial statements or, if such disclosures are not provided or are inadequate, to issue a qualified opinion or a disclaimer of opinion;
- evaluate the overall presentation of the consolidated financial statements and assess whether these statements represent the underlying transactions and events in a manner that achieves fair presentation;
- obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. The Statutory Auditors are responsible for the management, supervision and performance of the audit of the consolidated financial statements and for the opinion expressed thereon.

Report to the Audit Committee

We submit a report to the Audit Committee which includes, in particular, a description of the scope of the audit and the audit program implemented, as well as the results of our audit. We also report any significant deficiencies in internal control that we have identified regarding the accounting and financial reporting procedures.

Our report to the Audit Committee includes the risks of material misstatement that, in our professional judgement, were the most significant for the audit of the consolidated financial statements and which constitute the key audit matters that we are required to describe in this report.

We also provide the Audit Committee with the declaration provided for in Article 6 of Regulation (EU) No. 537/2014, confirming our independence within the meaning of the rules applicable in France, as defined in particular in Articles L. 822-10 to L. 822-14 of the French Commercial Code and in the French Code of Ethics for Statutory Auditors. Where appropriate, we discuss any risks to our independence and the related safeguard measures with the Audit Committee.

Neuilly-sur-Seine and Paris-La Défense, 25 March 2022

The Statutory Auditors

PricewaterhouseCoopers Audit
Agnès Husherr

ERNST & YOUNG et Autres
Olivier Durand



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GENERAL INFORMATION

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INFORMATION ON CRÉDIT AGRICOLE GROUP ENTITIES

TABLE ON ENTITIES (ARTICLE L. 511-45)

Geographic location	Revenues excluding intragroup eliminations	Average headcount (full time equivalent)	Pre-tax income	Income tax charge – current	Income tax charge – deferred	Public grants received
FRANCE (INCLUDING DOM-TOM)						
France	25,269	103,929	7,484	(1,782)	(199)	-
France DOM-TOM	413	1 710	103	(30)	1	-
OTHER EU COUNTRIES						
Germany	569	1,349	188	(46)	(11)	-
Austria	60	119	34	(10)	1	-
Belgium	61	118	31	(8)	-	-
Bulgaria	-	2	-	-	-	-
Denmark	-	-	-	-	-	-
Spain	340	697	157	(55)	12	-
Finland	25	15	6	(2)	1	-
Greece	(12)	19	(15)	-	-	-
Hungary	3	19	1	-	-	-
Ireland	173	567	126	(12)	-	-
Italy	3,711	15,581	1,049	(222)	448	-
Luxembourg	1,066	1,560	673	(120)	20	-
Netherlands	115	561	(5)	(1)	(17)	-
Poland	402	4,970	61	(23)	7	-
Portugal	160	544	68	(19)	-	-
Czech Republic	22	93	9	(2)	-	-
Romania	1	274	-	-	-	-
Slovakia	1	5	-	-	-	-
Sweden	36	50	23	(5)	-	-
OTHER EUROPEAN COUNTRIES						
Monaco	151	460	42	(7)	-	-
Russia	22	168	5	(2)	1	-
United Kingdom	1,072	884	687	(106)	40	-
Serbia	(3)	-	(4)	-	-	-
Switzerland	391	1 384	44	(18)	(1)	-
Ukraine	125	2 286	58	(11)	-	-
Guernsey	1	-	-	-	-	-
NORTH AMERICA						
Canada	9	16	9	(2)	(1)	-
United States	1,130	1,168	542	(152)	23	-
Mexico	1	2	-	-	-	-

Geographic location	Revenues excluding intragroup eliminations	Average headcount (full time equivalent)	Pre-tax income	Income tax charge – current	Income tax charge – deferred	Public grants received
CENTRAL AND SOUTH AMERICA						
Argentina	-	-	-	-	-	-
Brazil	23	102	7	(8)	(3)	-
Chili	2	5	1	(1)	-	-
AFRICA AND MIDDLE EAST						
Algeria	-	-	-	-	-	-
Saudi Arabia	-	1	(2)	-	-	-
Egypt	204	2,504	110	(33)	-	-
United Arab Emirates	47	109	18	-	-	-
Morocco	228	2,477	94	(31)	(5)	-
Mauritius	-	125	1	-	-	-
Qatar	-	5	(1)	-	-	-
ASIA AND OCEANIA (EXCL. JAPAN)						
Australia	56	36	40	(12)	1	-
China	74	229	12	3	5	-
South Korea	57	93	23	(1)	(4)	-
Hong Kong	289	704	100	(17)	-	-
India	35	201	16	(4)	1	-
Malaysia	12	21	9	(2)	-	-
Singapore	152	933	63	(8)	(2)	-
Taiwan	48	117	13	-	(2)	-
Vietnam	-	-	-	-	-	-
JAPAN						
Japan	281	426	137	(36)	6	-
TOTAL	36,822	146,636	12,017	(2,785)	322	-

MATERIAL CHANGES

The financial statements for financial year 2021 were approved by the Board of Directors at its meeting of 09 February 2022. Since that date, there has been no material change in the financial or commercial position of the Company and Crédit Agricole S.A.

TRANSACTIONS WITH RELATED PARTIES

The main transactions entered into with related parties are disclosed in the consolidated financial statements as at 31 December 2021 in the “General framework – Related parties” section.

Moreover, please note that no agreements other than the related-party agreements cited in the Statutory Auditors’ report were entered into, directly or through intermediaries, between, (i) the Chief Executive Officer, any one

of the Deputy Chief Executive Officers or Directors or shareholders holding more than 10% of the voting rights in Crédit Agricole S.A., and (ii) another company in which Crédit Agricole S.A. holds, directly or indirectly, more than half of the share capital unless, where appropriate, these agreements relate to ordinary arm’s length transactions.

PERSON RESPONSIBLE FOR THE UNIVERSAL REGISTRATION DOCUMENT AND ITS AMENDMENTS

Mr Philippe Brassac, Chief Executive Officer of Crédit Agricole S.A.

STATEMENT BY THE PERSON RESPONSIBLE

I hereby certify that, to my knowledge, the information contained in the present Amendment to the Universal registration document is true and accurate and contains no omission likely to affect the import thereof.

I hereby certify that, to my knowledge, the consolidated financial statements have been prepared in accordance with applicable accounting standards and give a true and fair view of the assets, liabilities, financial position and results of Crédit Agricole Group and all entities included in the consolidated Group, and that the management report contained in the present Amendment to the Universal registration document, provides a true and fair view of the development and performance of the business, profit or loss and financial position of Crédit Agricole Group and all the entities included in the consolidated Group, and that it describes the principal risks and uncertainties that they face.

Montrouge, 4th April 2022

Chief Executive Officer of Crédit Agricole S.A.

Philippe Brassac

STATUTORY AUDITORS

Statutory Auditors

Ernst & Young et Autres	PricewaterhouseCoopers Audit
Company represented by Olivier Durand	Company represented by Agnès Husherr
1-2, place des Saisons 92400 Courbevoie, Paris – La Défense 1	63, rue de Villiers 92208 Neuilly-sur-Seine
Statutory Auditors, Member, Compagnie Régionale des Commissaires aux Comptes de Versailles et du Centre	Statutory Auditors, Member, Compagnie Régionale des Commissaires aux Comptes de Versailles et du Centre

Ernst & Young et Autres was appointed Statutory Auditor under the name Barbier Frinault et Autres by the Ordinary General Meeting of 31 May 1994. This term of office was renewed for a further six years at the Combined General Meeting of 16 May 2018.

Ernst & Young et Autres is represented by Olivier Durand.

PricewaterhouseCoopers Audit was appointed Statutory Auditor by the Ordinary General Meeting of 19 May 2004. This term of office was renewed for a further six years at the Combined General Meeting of 16 May 2018.

PricewaterhouseCoopers Audit is represented by Agnès Husherr.

The Crédit Agricole S.A. Board of Statutory Auditors remained unchanged in the 2011/2012/2013/2014/2015/2016/2017/2018/2019/2020 and 2021 financial years. The signatories remained unchanged in the 2011/2012/2013 and 2014 financial years, namely Valérie Meeus for Ernst & Young et Autres and Catherine Pariset for PricewaterhouseCoopers Audit. Since 2015, the signatory for PricewaterhouseCoopers Audit has been Anik Chaumartin, replacing Catherine Pariset. In 2015 and 2016, the signatory for Ernst & Young et Autres was Valérie Meeus, who was replaced in 2017 by Olivier Durand. Since 2021, the signatory for PricewaterhouseCoopers Audit has been Agnès Husherr, replacing Anik Chaumartin.

Alternate Statutory Auditors

Picarle et Associés	Jean-Baptiste Deschryver
Company represented by Béatrice Delaunay	
1-2, place des Saisons 92400 Courbevoie, Paris – La Défense 1	63, rue de Villiers 92208 Neuilly-sur-Seine
Statutory Auditors, Member, Compagnie Régionale des Commissaires aux Comptes de Versailles et du Centre	Statutory Auditors, Member, Compagnie Régionale des Commissaires aux Comptes de Versailles et du Centre

Picarle et Associés was appointed Alternate Statutory Auditor for Ernst & Young et Autres by the Combined General Meeting of 17 May 2006. This term of office was renewed for a further six years at the Combined General Meeting of 16 May 2018.

Jean-Baptiste Deschryver was appointed Alternate Statutory Auditor for PricewaterhouseCoopers Audit for a term of six financial years by the Combined General Meeting of 16 May 2018.

CROSS-REFERENCE TABLES

CROSS-REFERENCE TABLE OF THE AMENDEMENT TO THE UNIVERSAL REGISTRATION DOCUMENT

This cross-reference table contains the headings provided for in Annex 1 (as referred to in Annex 2) of Delegated Regulation (EU) 2019/980 of the Commission of 14 March 2019 supplementing Regulation (EU) 2017/1129 of the European Parliament and of the Council and repealing Commission Regulation (EC) No 809/2004 (Annex I), in application of the “Prospectus Directive”. It refers to the pages of the present document, and reflects, in addition, the pages of the Universal registration document 2021 registered with the AMF on 24 March 2022 under the number D.22-0142.

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Section 1	Persons responsible		
1.1	Identity of the persons responsible	714	403
1.2	Declaration of the persons responsible	714	403
1.3	Statement or report of the persons acting as experts	N/A	N/A
1.4	Information from a third party	N/A	N/A
1.5	Declaration concerning the competent authority	N/A	N/A
Section 2	Statutory auditors		
2.1	Identity of the statutory auditors	714	403
2.2	Change, if any	714	403
Section 3	Risk factors	276 to 289	38 to 53
Section 4	Information about the issuer		
4.1	Legal name and commercial name	450; 692	3
4.2	Location, registration number and legal entity identifier (“LEI”)	450; 692	N/A
4.3	Date of incorporation and lifespan	450; 692	N/A
4.4	Registered office and legal form, legislation governing the business activities, country of origin, address and telephone number of the legal registered office, website with a warning notice	42; 692 to 699; 722	N/A
Section 5	Business overview		
5.1	Principal activities.	14 to 28; 252 to 263; 537 to 539	7 to 15; 17 to 20; 297 to 301
5.2	Principal markets	11; 14 to 28; 537 to 539; 656 to 657	6; 10 to 15; 299 to 301
5.3	Major events in the development of the business	16 to 28; 29; 30 to 31	222; 223; 248 to 250; 359 to 386
5.4	Strategy and targets	269 to 271	34 to 37
5.5	Dependence on patents, licenses, contracts and manufacturing processes	335	96
5.6	Statement on competitive position	9	5
5.7	Investments		
5.7.1	Major investments made	29 to 31; 462 to 463; 488 to 489; 603 to 624; 700	248 to 250
5.7.2	Main current or future investments	700	N/A
5.7.3	Information on joint ventures and partner companies	563 to 565	319 to 322
5.7.4	Environmental issues that may impact the use of property, plant and equipment	49 to 54	N/A
Section 6	Organisational structure		
6.1	Brief description of the Group	5	3

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
6.2	List of important subsidiaries	454 to 455; 604 to 624; 660 to 663	360 to 386
Section 7	Review of the financial position and performance⁽¹⁾		
7.1	Financial position	456 to 463; 640 to 642	217 to 223
7.1.1	Changes in results and financial position containing key indicators of financial and, if applicable, extra-financial performance	247 to 268	18 to 34
7.1.2	Forecasts of future development and research and development activities	268 to 271	34 to 37
7.2	Operating income	456; 642	217
7.2.1	Major factors, unusual or infrequent events or new developments	246 to 252	18 to 22
7.2.2	Reasons for major changes in revenues or net income	NA	N/A
Section 8	Capital resources		
8.1	Information on share capital	10 to 11; 340 to 360; 459 to 461; 576; 641; 675	3; 6; 8; 9; 33; 101 to 125; 219 to 221; 288; 294 to 296
8.2	Cash flow	462 to 463	222 to 223
8.3	Financing needs and structure	251 to 252; 317 to 321; 518 to 520	22; 81 to 86; 78 to 280
8.4	Restrictions on the use of capital	340 to 346; 603	101 to 120; 359 to 390
8.5	Expected sources of financing	700	N/A
Section 9	Regulatory environment		
	Description of the regulatory environment that could impact the Company's business activities	285 to 286; 465 to 483; 486 to 488	48; 225 to 242; 246 to 248
Section 10	Trend information		
10.1	Description of the main trends and any material change in the Group's financial performance since the end of the financial year	268 to 271; 701	34 to 37
10.2	Events that could materially impact the outlook	268 to 271; 701	34 to 37
Section 11	Profit projections or estimates		
11.1	Profit projections or estimates reported	N/A	N/A
11.2	Statement describing the main assumptions for projections	N/A	N/A
11.3	Declaration of comparability with the historical financial information and compliance of the accounting methods	N/A	N/A
Section 12	Administrative, management, supervisory and executive management bodies		
12.1	Information on the members	131 to 142; 162 to 191	N/A
12.2	Conflicts of interest	135; 139 to 140; 192	N/A
Section 13	Compensation and benefits		
13.1	Remuneration paid and benefits in kind	136; 193 to 234; 582 to 585; 683	337 to 340
13.2	Provisions for pensions, retirements and other similar benefits	654; 670	337 to 340
Section 14	Board practices		
14.1	Expiry date of terms of office	134; 137; 162 to 163; 164 to 189; 190; 191	N/A
14.2	Service agreements binding members of the administrative and management bodies	192	N/A
14.3	Information on Audit and Remuneration committees	146 to 151	N/A
14.4	Declaration of compliance with the corporate governance system in force	132 to 161; 142; 235 to 241	N/A

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
14.5	Potential future changes in corporate governance	N/A	N/A
<i>(1) Informations related to events occurred after the Board of directors dated 9th February 2022 are not part of the management report.</i>			
Section 15	Employees		
15.1	Number of employees	89; 115 to 116; 273; 683; 702 to 703	8; 9; 337
15.2	Profit-sharing and stock options	164 to 189; 207; 214 to 216; 217 to 231; 585; 655	340
15.3	Agreement stipulating employee shareholding	38 to 39; 654 to 655	N/A
Section 16	Major shareholders		
16.1	Shareholders holding more than 5% of share capital	34 to 35; 576	N/A
16.2	Existence of different voting rights	34 to 35; 693	N/A
16.3	Direct or indirect control	5; 34 to 35	3
16.4	Agreements that if implemented could result in a change of control	N/A	N/A
Section 17	Transactions with related parties	453; 563 to 565; 644 to 646; 676	213 to 216; 319 to 322; 402
Section 18	Financial information concerning the Company's assets and liabilities, financial position and profits and losses		
18.1	Historical financial information		
18.1.1	Audited historical financial information for the past three financial years and audit report	273; 448 to 636; 640 to 689	212 to 398
18.1.2	Change of accounting reference date	N/A	N/A
18.1.3	Accounting standards	465 to 485; 647 to 649	225 to 245
18.1.4	Change of accounting standards	N/A	N/A
18.1.5	Balance sheet, income statement, changes in equity, cash flow, accounting methods and explanatory notes	11; 640 to 685	6; 219 to 390
18.1.6	Consolidated financial statements	448 to 628	212 to 398
18.1.7	Age of financial information	456 to 463; 640 to 642	217 to 223
18.2	Interim and other financial information (audit or review reports, as applicable)	N/A	N/A
18.3	Audit of historical annual financial information		
18.3.1	Independent audit of historical annual financial information	630 to 637	391 to 398
18.3.2	Other audited information	N/A	N/A
18.3.3	Unaudited financial information	N/A	N/A
18.4	Pro forma financial information	N/A	N/A
18.5	Dividend policy		
18.5.1	Description of the dividend distribution policy and any applicable restriction	36	N/A
18.5.2	Amount of the dividend per share	3; 10; 36; 273; 286; 491; 577; 646	N/A
18.6	Administrative, legal and arbitration proceedings	331 to 335; 560; 570; 571 to 574; 670 to 671	327 to 332
18.7	Significant change in financial position.	N/A	N/A

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
Section 19	Additional information		
19.1	Information on share capital		
19.1.1	Amount of capital subscribed, number of shares issued and fully paid up and par value per share, number of shares authorised	34 to 35; 36 to 37; 576; 675; 692 to 694	N/A
19.1.2	Information on non-equity shares	N/A	N/A
19.1.3	Number, carrying value and nominal value of the shares held by the Company	34 to 35; 38; 39	N/A
19.1.4	Convertible or exchangeable securities or securities with subscription warrants attached	N/A	N/A
19.1.5	Conditions governing any acquisition rights and/or any obligation attached to the capital subscribed, but not paid up, or on any undertaking to increase the capital	N/A	N/A
19.1.6	Option or conditional or unconditional agreement of any member of the Group	N/A	N/A
19.1.7	History of share capital	34 to 35	N/A
19.2	Memorandum and Articles of Association		
19.2.1	Register and company purpose	692 to 699	N/A
19.2.2	Rights, privileges and restrictions attached to each class of shares	N/A	N/A
19.2.3	Provisions with the effect of delaying, deferring or preventing a change in control	35; 692 to 699	N/A
Section 20	Material contracts	701	N/A
Section 21	Documents available	701	N/A

N/A : non applicable.

In accordance with Annex I of European Regulation 2017/1129, the following are incorporated by reference:

- the annual and consolidated financial statements for the financial year ended 31 December 2019 and the corresponding Statutory Auditors' Reports, as well as the Group's management report, appearing respectively on pages 566 to 614 and 388 to 556, on pages 612 to 615 and 557 to 564 and on pages 216 to 239 of the Crédit Agricole S.A. 2019 Registration Document filed with the AMF on 25 March 2020 under number D.20-0168. The information is available via the following link: www.credit-agricole.com/en/pdfPreview/180684;
- the annual and consolidated financial statements for the financial year ended 31 December 2020 and the corresponding Statutory Auditors' Reports, as well as the Group's management report, appearing respectively on pages 594 to 646 and 408 to 591, on pages 644 to 647 and 585 to 592 and on pages 226 to 253 of the Crédit Agricole S.A. 2020 Registration Document filed with the AMF on 24 March 2021 under number D.21-0184. The information is available via the following link: www.credit-agricole.com/en/pdfPreview/187401.

The sections of the Registration documents number D.20-0168 and number D.21-0184 not referred to above are either not applicable to investors or are covered in another part of this Universal registration document.

All these documents incorporated by reference in this Document have been filed with the French Financial Markets Authority (Autorité des marchés financiers) and can be obtained on request free of charge during the usual office opening hours at the registered office of the issuer as indicated at the end of this Document.

These documents are available on the website of the issuer (<https://www.credit-agricole.com/en/finance/finance/financial-publications>) and on the website of the AMF (www.amf-france.org).

The information incorporated by reference has to be read according to the above cross-reference table. Any information not indicated in the crossreference table but included in the documents incorporated by reference is only given for information.

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